

LAW OF TRADERS AND BUSINESS ORGANIZATIONS: A TEXTBOOK

Mesganaw Kiflelew (PH. D)

Dagnachew Worku

Fekadu Petros

Gizachew Silesh

March 2023

Addis Ababa Ethiopia

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Contents

Acknowledgements	i
INTRODUCTION.....	1
PART I: TRADE REGULATION IN ETHIOPIA	1
CHAPTER ONE: INTRODUCTION TO REGULATION OF BUSINESS	2
1.1. Introduction to Business Regulation	2
1.2. Purposes of Regulation	5
1.3. Trade Regulation Laws in Ethiopia	12
1.4. Introducing Major Trade Regulation Laws of Ethiopia	14
1.5. Review Questions	15
CHAPTER TWO: DEFINING TRADE AND TRADER	16
2.1. Review of Human Activities	16
2.2. Trade/ Business Activities	18
2.3. Trader under Ethiopian Commercial Code	21
2.3.1. Who is a Trader?	21
2.3.2. Exceptions to Article 5	25
2.3.3. Trader, Investor, Entrepreneur, Professional Activity	32
2.4. Capacity to Become a Trader	36
2.4.1. Incapacity as a Limitation to Become a Trader (Article 10-14,)	36
2.4.2. Marriage as a Limitation against Trading (Article 15-20)	38
2.5. Review Questions	41
CHAPTER THREE: ASSISTANTS OF A TRADER	43
3.1. Commercial Employees (Article (Article 27-41)	44
3.1.1. A Sales Person (Article 27-31)	44
3.1.2. A Manager (Article 32-35)	45
3.1.3. A Commercial Traveller (Article 36, 38, 39 & 41)	46

3.1.4.	A Commercial Representative (Article 37, 38, 39, 40 & 41).....	46
3.2.	Agents of a Trader (Article 42-60).....	47
3.2.1.	A Commercial Agent (Article 42-53).....	48
3.2.2.	Commercial Broker (Article 54-57).....	50
3.2.3.	Commission Agent (Article 58-60).....	51
3.3.	Review Questions	51
CHAPTER FOUR: COMMERCIAL REGISTRATION, TRADE NAME REGISTRATION, AND BUSINESS LICENSE		53
4.1.	Commercial Registration	54
4.1.1.	Commercial Registration & Public Interest	54
4.1.2.	Persons to be registered	55
4.1.3.	Entries in the Commercial Register.....	55
4.1.4.	Government Organs Responsible to put entries in a Commercial Register	58
4.1.5.	Cancellation of Commercial Registration	58
4.2.	Trade Name Registration	59
4.3.	Business License	60
4.3.1.	Business License and Public Interest.....	60
4.3.2.	The Entrepreneurial Activities Subject to Business Licensing Law	64
4.3.3.	Conditions and Steps to Obtain Business License	66
4.3.4.	Organs Responsible to Issue Business License	72
4.3.5.	Validity Period of Business License	73
4.3.6.	Cancellation of a Business License	76
4.3.7.	Sanctions for Operating Business without Business License.....	78
4.4.	Rights & Obligations of a Trader	80
4.5.	Review Questions	83
CHAPTER FIVE: BUSINESS.....		85

5.1. Definition of Business (Article 106-122).....	87
5.1.1. Précising Definition of a Business	87
5.1.2. Enumerative Definition of a Business (Elements of a Business (Article 109-121) 91	
5.1.3. Defining Business by Exclusion (Article 110,111)	94
5.2. Regulating Property Rights of a Business Owner.....	95
5.2.1. Sale of a Business (Article 122-142)	95
5.2.2. Mortgage of a Business (Article 143-155).....	101
5.2.3. Hire of a Business (Article 156- 167)	105
5.2.4. Contribution of a Business towards the Capital of a Business Organization (Article 168-171) 107	
5.3. Review Questions	109
PART II: LAW OF BUSINESS ORGANIZATIONS	110
CHAPTER SIX: INTRODUCTION TO BUSINESS ORGANIZATIONS	112
6.1 Legal Persons in General.....	113
6.1.1 Not-for Profit entities.....	114
6.1.2 For-profit Entities	116
6.2 Conceptualizing Business Organizations	116
6.3 Types and Classification of Business Organizations.....	124
6.3.1 Types of Business Organizations	124
6.3.2 Classifications of Business Organization	125
6.3.2.1 Partnerships Vs. Companies.....	126
6.3.2.2 .Commercial Business Organizations vs. Non-Commercial/Civil/ Business Organizations.....	131
6.3.2.3 Public Companies Vs. Private Companies	133
6.4 Dissolution and Liquidation of Business Organizations.....	134
6.4.1 Grounds for Dissolution of business organizations.....	135

6.4.2	Liquidation	137
6.5	Summary.....	138
6.6	Review questions:	139
CHAPTER SEVEN: GENERAL PARTNERSHIP.....		141
7.1	Nature of General Partnership	142
7.2	Formation of General Partnership	143
7.2.1	Memorandum of Association	144
7.2.2	Two or more partners	145
7.2.3	The Business Purpose of the Partnership	147
7.2.4	Contributions from Partners: Nature and Amount	148
i.	Nature of contribution	148
ii.	Amount of contribution	149
iii.	Guarantees and risks	149
7.2.5	Name of the Partnership.....	151
7.2.6	Registration and Acquisition of Legal personality.....	152
7.3	Management of General Partnership.....	153
7.3.1	Designated Manager	154
7.3.2	Powers of the Manager	155
7.3.3	Duties of the Manager.....	155
7.4	Rights and Duties Of Partners	156
7.4.1	Rights of Partners	156
7.4.1.1	Pecuniary Interests of Partners	156
7.4.1.2	Control rights of partners	159
i.	Appointment and dismissal of a manager	159
ii.	The right to inquire about the state of the partnership`s business	160
iii.	The participation of partners in the partners` meeting	160

7.4.2	Obligations of Partners.....	161
i.	Duty to pay contribution.....	161
ii.	Duty work diligently and with due care	162
iii.	Duty to avoid conflict of interest	162
7.5	Relation among partners and with third parties.....	162
7.5.1	Transferability of Shares in Partnership.....	163
i.	Transfer of Beneficial Interests and Rights in a Share to Third Party	163
ii.	Transfer of Shares to Another Partner	164
iii.	Transfer of Shares to non-partners	164
7.5.2	Relation of partners with the partnership and third parties ..	165
7.6	Dissolution and Liquidation of General Partnership	167
7.6.1	Grounds for Dissolution	167
7.6.2	Liquidation	170
7.7	Summary.....	171
7.8	Review questions	172
CHAPTER EIGHT: LIMITED PARTNERSHIP		174
8.1.	Nature of Limited Partnership	174
8.2.	Formation of Limited Partnership	176
8.3.	Contributions of partners.....	176
8.4.	Management of Limited Partnership.....	177
8.5.	Participation of partners in matters beyond the powers of the manager	179
8.6.	Rights and Obligations of General Partners and Limited Partners	180
8.7.	Transfer of Shares.....	181
8.8.	Dissolution and Winding up of Limited partnership.....	181
8.9.	Summary.....	182
8.10.	Review questions	183

CHAPTER NINE: LIMITED LIABILITY PARTNERSHIP	185
9.1. Introduction: Genesis of Limited liability partnership	185
9.2. The Nature of Limited Liability Partnership (LLP).....	187
9.2.1. Professional Service	187
9.2.2. Professionals/Partners	188
9.3. The Formation of Limited Liability Partnership (LLP)	189
9.4. Liability of Partners.....	189
9.5. The Impact of Departure of a Partner on the Partnership	192
9.6. Duty to Avoid Conflict of Interest	193
9.7. Decision Making in an LLP.....	193
9.8. Applicability of the Rules Governing General Partnership....	194
9.9. Dissolution of LLP	195
9.10. Summary.....	195
9.11. Review Questions	196
CHAPTER TEN: JOINT VENTURE.....	198
10.1 Nature of Joint Venture in General.....	199
10.1.1 Contractual Joint Ventures.....	199
10.1.2 The Entity Joint Ventures	201
10.2 Formation of Joint Venture	205
10.3 Contributions.....	206
10.4 Management of Joint Venture	206
10.5 Participation in Management and scope of Liability of Partners in Joint Venture.....	207
10.6 Dissolution of joint venture	210
10.7 Applicability of the Rules Governing General Partnership....	211
10.8 Summary.....	213
10.9 Review Question.....	214

CHAPTER ELEVEN: INTRODUCTION TO SHARE COMPANY	215
11.1. Meaning of Share Company.....	215
11.2. History of Share Company.....	217
11.3. Theories of Company.....	221
11.3.1. Contract theory	221
11.3.2. Concession theory.....	222
11.3.3. Real Entity Theory	222
11.4. Basic Features of Share Company.....	223
11.4.1. Distinct legal personality	223
11.4.2. Limited liability	224
11.4.3. Issuance and Transferability of securities.....	229
11.4.4. Delegated management.....	229
11.5. Summary.....	230
11.6. Review Questions	231
CHAPTER TWELVE: FORMATION OF SHARE COMPANY	232
Introduction.....	232
12.1. Common formation Conditions	232
12.1.1. Minimum Number of Members.....	233
12.1.2. Capital.....	235
12.1.3. Firm Name.....	244
12.1.4. Memorandum of Association	245
12.1.5. Authentication	248
12.1.6. Registration.....	249
12.2. Specific Conditions for Formation through Public Subscription	252
12.2.1. Prospectus.....	253
12.2.2. Formation Audit report.....	255
12.2.3. Meeting of Subscribers	256

12.3. Promoters.....	257
12.3.1. Definition of promoters.....	257
12.3.2. Criteria to become promoter.....	259
12.3.3. Duties of promoters.....	260
12.3.4. Liabilities of promoters.....	261
12.3.5. Remuneration of promoters.....	261
12.4. Founders	262
12.5. Pre-formation Contracts	263
12.6. Summary.....	266
12.7. Review questions	267
CHAPTER THIRTEEN: FINANCING SHARE COMPANY.....	269
Introduction.....	269
13.1. Types of Financing.....	269
13.1.1. Equity financing.....	270
13.1.2. Debt financing	271
13.1.3. Hybrid financing.....	271
13.2. Share.....	272
13.2.1. Nature of share.....	272
13.2.2. Allotment of share.....	274
13.2.3. Classes of shares.....	275
13.2.4. Forms of share.....	282
13.2.5. Share Registration.....	283
13.2.6. Issuance of share	284
13.2.7. Rights and Duties arising out of share.....	287
13.2.8. Altering of share capital	295
13.3. Debentures	297
13.3.1. Meaning and Nature	297

13.3.2.	Issuance and allotment	299
13.3.3.	Governance of the interest of debenture holders.....	302
13.4.	Summary.....	304
13.5.	Review Questions	305
CHAPTER FOURTEEN: GENERAL OVERVIEW ON CORPORATE GOVERNANCE		308
Introduction.....		308
14.1.	Meaning of corporate governance	308
14.2.	Overview on Principles of Corporate Governance	310
14.2.1.	Ensuring the basis for effective corporate governance	311
14.2.2.	Rights and equitable treatment of shareholders and key ownership functions	311
14.2.3.	Institutional investors, stock markets, and other intermediaries.....	312
14.2.4.	Roles of stakeholders in corporate governance	313
14.2.5.	Corporate disclosure and transparency	313
14.2.6.	Responsibilities of the board	314
14.3.	Organs of corporate governance: brief overview.....	315
14.3.1.	Board and Top management.....	316
14.3.2.	Meetings of shareholders.....	316
14.3.3.	Auditors	317
14.3.4.	Stakeholders (Creditors employees, consumers)	317
14.3.5.	Government	318
14.4.	Corporate social responsibility	318
14.5.	Summary.....	319
14.6.	Review Questions	320
CHAPTER FIFTEEN: MANAGEMENT OF SHARE COMPANY....		321
Introduction.....		321
15.1.	Board Structure.....	322

15.2. Board of Directors.....	324
15.2.1. Composition.....	324
15.2.2. Removal, Resignation and Replacement	332
15.2.3. Remuneration	333
15.2.4. Powers of board of directors	338
15.2.5. Board Decision Making	342
15.2.6. Restrictions on powers of directors	344
15.2.7. Liability of directors	365
15.3. Supervisory Board	373
15.3.1. Composition, Removal and Remuneration	374
15.3.2. Power, Duties and Liability	375
15.3.3. General Manager and Secretary of the Company.....	377
15.4. Summary.....	378
15.5. Review Questions	381
CHAPTER SIXTEEN: ACCOUNTS, AUDIT AND INVESTIGATION OF SHARE COMPANY.....	384
Introduction.....	384
16.1. Accounts.....	385
16.1.1. Content and Scope of Accounts.....	386
16.1.2. Amortization.....	386
16.1.3. Profit.....	387
16.1.4. Reserve	387
16.1.5. Dividend	388
16.2. Audit and Auditors	390
16.2.1. Meaning and Types of audit.....	390
16.2.2. Appointment, Removal and Resignation of Auditors	391
16.2.3. Remuneration of Auditors.....	394

16.2.4. Roles and powers of auditors	394
16.2.5. Duties and Liabilities of Auditors	396
16.3. Investigation and Inspectors	397
16.4. Summary.....	399
16.5. Review Questions	400
CHAPTER SEVENTEEN: MEETINGS OF SHAREHOLDERS OF SHARE COMPANY	402
Introduction.....	402
17.1. Meetings in General	403
17.2. Call for Meeting	405
17.2.1. Power to Call Meeting	405
17.2.2. Mode of Calling	408
17.2.3. Contents of the Notice.....	409
17.2.4. Duration of the Notice.....	410
17.3. Conducting the Meeting	411
17.3.1. Organizing Meeting Executors	411
17.3.2. Participation	413
17.3.3. Voting.....	415
17.4. Resolution	416
17.5. Ordinary General Meeting.....	417
17.6. Extraordinary general meeting.....	419
17.7. Special meeting.....	421
17.8. Summary.....	422
17.9. Review Questions	424
CHAPTER EIGHTEEN: DISSOLUTION & WINDING UP OF SHARE COMPANY	426
Introduction.....	426
18.1. Grounds of Dissolution	426

18.2. Winding Up.....	428
18.3. Summary.....	429
18.4. Review Questions	430
CHAPTER NINETEEN: PRIVATE LIMITED COMPANY	431
19.1 Nature.....	431
19.2 Formation	434
19.2.1. Members	435
19.2.2. Contributions/Capital.....	435
19.2.3. Firm Name of the PLC	438
19.3. Shares in PLC.....	438
19.3.1. Form of shares.....	439
19.3.2. Nature of Shares in PLC	440
19.3.3. Transfer of Shares	442
19.3.3.1. Formality Required to Transfer Shares In PLC	442
19.3.3.2. The degree of freedom to transfer one's share in PLC ...	443
19.4. Management of the PLC.....	445
19.4.1. Shareholders Meeting/Company Meeting (Ordinary and Extraordinary)	446
19.4.1.1. Extraordinary General Meeting (EGM).	447
19.4.1.2. Ordinary General Meeting (OGM).....	447
19.4.2. Manager of PLC	449
19.4.3. Auditors	451
19.5. Accounts of PLC.....	452
19.6. Dissolution and Winding-Up of PLC	453
19.7. Summary.....	455
19.8. Review question.....	456
CHAPTER TWENTY: ONE MEMBER PRIVATE LIMITED COMPANY	458

20.1	Nature SMPLC.....	459
20.2	Formation of SMPLC	460
20.3	The Rule Regarding Group Companies of Single Member Companies 462	
20.4	Contributions and Capital of SMPLC	463
20.5	Liability in SMPLC.....	464
20.6	Management of SMPLC	465
20.6.1	General Manager	465
20.6.2	Shareholder Meeting/Company Meeting.....	466
20.7	Dissolution and Winding up of SMPLC	467
20.8	Summary.....	468
20.9	Review Question.....	470
CHAPTER TWENTY ONE: CONVERSION, MERGER, DIVISION, AND GROUP BUSINESS ORGANIZATIONS		471
21.1.	Conversion	471
21.1.1.	The Concept of Conversion	472
21.1.2.	The Effect of Conversion on Continuity of the Legal Entity	473
21.1.3.	The Power to Decide on Conversion.....	474
21.1.4.	Conversion and Protection of Dissenting members.....	475
21.1.5.	Conversion and Protection Creditors.....	476
21.1.6.	The Effect of Conversion on Liability Members	477
21.2.	Merger of Business Organizations.....	478
21.2.1.	Definition of Merger	478
21.2.2.	Merger how effected	479
21.2.3.	Division of Business Organizations.....	480
21.2.4.	Eligibility for merger or Division.....	481
21.2.5.	Protection of Creditors during Merger or Division	489

21.2.6.	Effects of Merger and Division	491
21.3.	Regulating Grouping of Companies.....	492
21.3.1.	Definition of a “Group” (Article 550-553)	493
21.3.2.	Rights of Shareholders, Creditors, and Group Members (Article 554-564)	495
21.4.	Regulating Foreign Business Organizations.....	496
21.5.	Review Questions	497
PART III: INSOLVENCY LAW.....		500
CHAPTER TWENTY TWO: INTRODUCTION TO ETHIOPIAN INSOLVENCY LAW		502
22.1.	Business failures and creditor remedies.....	502
22.1.1.	Business life-cycles	502
22.1.2.	Dissolution and liquidation of business organizations under company law	503
22.1.3.	Insolvency Procedures	504
22.1.4.	Creditor remedies by individual enforcement.....	505
22.2.	The nature of insolvency law and insolvency proceedings.....	506
22.3.	Insolvency Procedures under the New Commercial Code.....	511
22.3.1.	The Three Alternative Procedures	511
22.3.2.	Initiation of insolvency proceedings	513
22.3.3.	Objectives of Ethiopia’s Insolvency Law	514
22.3.4.	The sources of Insolvency law in Ethiopia	517
22.3.5.	Historical overview of the development of bankruptcy in Ethiopia ...	519
22.3.6.	Scope of Ethiopian Insolvency law	521
22.4.	Summary.....	523
22.5.	Review questions	524
CHAPTER TWENTY THREE: PREVENTIVE RESTRUCTURING.....		525
23.1.	Definition of preventive restructuring	525
23.2.	Effect of opening of PR on the debtor and creditors	527

23.3. The status and role of the debtor during PR Proceedings	528
23.4. The role of the RE	530
23.5. The role of creditors in preventive restructuring	531
23.6. The restructuring plan and its implementation	532
23.7. Summary.....	536
23.8. Review questions	537
CHAPTER TWENTY FOUR: REORGANIZATION PROCEEDINGS	538
24.1. Definition: The Nature and objectives of reorganization proceeding	538
24.2. Persons/organs/ that can initiate reorganization proceeding..	540
24.3. Organs/Persons/responsible for administering reorganization proceedings	545
24.3.1. Supervisory judge	546
24.3.2. The supervisor in reorganization.....	547
24.3.3. Controllers	549
24.4. The consequence of judgment opening reorganization proceedings	550
24.4.1. General stay of enforcement actions.....	550
24.4.2. Publicity of opening of proceedings	552
24.5. The status of debtor during reorganization proceedings	553
24.6. Treatment of pre-insolvency contracts, payments and transfers	554
24.6.1. On-going contracts	554
24.6.2. Pre-insolvency claims.....	555
24.6.3. Claims subject to invalidation	556
24.7. Submission and verification of pre-insolvency claims	558
24.8. The reorganization plan and its approval.....	561
24.9. Sale of business as a going concern.....	564
24.10. Closure and/or conversion of reorganization proceedings into bankruptcy.....	565

24.11. Summary.....	566
24.12. Review questions	567
CHAPTER TWENTY FIVE: BANKRUPTCY (LIQUIDATION) PROCEEDING.....	568
25.1. The definition of bankruptcy proceeding	568
25.2. Initiation of bankruptcy (liquidation) proceedings	569
25.3. The procedures and requirements for entering bankruptcy judgment 570	
25.4. Persons responsible for conduct of bankruptcy proceedings..	572
25.5. The effect of bankruptcy on the debtor and creditors.....	576
25.5.1. The Effect as Regards the Debtor	576
25.5.2. Effect as regards the creditors	578
25.6. The bankrupt estate	579
25.6.1. What constitutes the bankrupt estate?	579
25.6.2. Protection and preservation of the bankrupt estate.....	581
25.6.3. The administration of the bankrupt estate	582
25.7. Treatment of contracts in bankruptcy proceeding	585
25.7.1. Post bankruptcy contracts.....	585
25.7.2. Pre-insolvency creditors whose contracts are subject to invalidation	585
25.7.3. Pre-insolvency creditors required to submit claims.....	586
25.8. Sale of business as a going concern.....	588
25.9. Winding up, distributions and closure of bankruptcy proceeding	590
25.9.1. Ranking and distributions	590
25.9.2. Closure of bankruptcy proceedings.....	593
25.10. Summary.....	593
25.11. Review questions	594
CHAPTER TWENTY SIX: OTHER MISCELLANEOUS TOPICS	595

26.1. Simplified reorganization and bankruptcy procedures	595
26.1.1. Simplified reorganization procedures	595
26.1.2. Simplified bankruptcy procedures	597
26.2. Discharge of the debtor.....	598
26.3. Civil and criminal sanctions arising from bankruptcy.....	599
26.3.1. Civil liabilities arising from bankruptcy	600
26.3.2. Criminal liabilities arising from bankruptcy.....	601
26.3.3. Disqualifications	603
26.4. Summary.....	604
26.5. Review Questions	605
REFERENCES.....	i

INTRODUCTION

Commercial law plays indispensable role by creating an enabling business environment for business entities. While commerce evolved, governments had welcomed the development but at the same time had to play a regulatory role. As the name implies, commercial law governs commerce. Modern legal systems have all designed rules to govern commerce/behavior of people in commerce. While some have generally regarded commercial law as part of private law, others have sought some special features that demand distinct treatment of commercial law. In particular in civil law countries, it has been the trend to codify commercial law as distinguishable subset of private law.

Ethiopia introduced specific¹ legislations on commerce in the 1930s-the Bankruptcy Law of 1931 and the Company law of 12th July, 1933. Late in the 1950s, Ethiopia was engaged in codification of laws that marked a major development in the Ethiopian legal system. The Commercial Code of the 1960 was one of these codified laws. The Code was adapted from the then modern laws of the time. It provided comprehensive commercial law comprising a total of 1182 articles categorized into five² books with each having several titles, chapters, sections and hundreds of individual articles addressing different subject matters in commerce: Book I-Traders and Business; Book II-Business Organizations; Book III- Carriage and Insurance; Book IV- Negotiable Instruments and Banking Transactions; Book V- bankruptcy and Schemes of Arrangement.³

The 1960 Commercial Code had served more than six decades and played immense role in the legal system of the country. Of course, some sources show that significant

¹ The Bankruptcy Law and the Company law of 12th July, 1933, later repealed by Commercial Code 1960.

² There is also book VI but it is all about transition provisions.

³ Commercial Code of the Empire of Ethiopia, Proclamation No. 166, Extraordinary Issue No.3 of 1960, came into force on the 11th day of September, 1960(Here in after 1960 Commercial Code of Ethiopia)

part of the Commercial Code has not been in use, partly because of limited conceptualization and mainly because the “economic and social realities have lagged far behind legal postulates.”⁴ On the other hand, the decades of political and economic developments in Ethiopia rendered the 1960 Ethiopian Commercial Code unfit for this time. The Code had not benefited from reforms for more than half a century despite compelling circumstance. Experts in the field have pointed out several shortcomings of the code⁵. Attempts to catch up to new developments demanding commercial law reforms were made by issuing piece meal legislations.⁶ Yet, these legislations brought potential duplications and inconsistencies to the once consolidated codified commercial laws of Ethiopia. Even worse, most of the piece meal legislations were in frequent changes implying that the whole drafting process was not serious and rigorous, and such frequent revisions and amendments added confusions about the applicable law to commercial life.⁷

Convinced that an overhaul reform of Commercial Code had been overdue, the Ethiopian Ministry of Justice of the Federal Government had initiated the revision of the commercial code in the 2000s⁸ which resulted in the new Commercial Code

⁴ Addis Ababa Chamber of Commerce and Sectoral Associations, Position of the Business Community on the Revision of the Commercial Code of Ethiopia (July 2008)7.

⁵ ሊቀ ወርቁ እና ሌሎች፣ የንግድ ሕግ ማሻሻያ የፖሊሲ ሰነድ፣ የንግድ ሕጉን ለማሻሻል የቀረቡ የፖሊሲ ነጥቦች አጭር ማጠቃለያ (Executive Summary) ፣ በንግድ ሕግ ማሻሻያ የፖሊሲ ሰነድ አዘጋጅ የቴክኒክ ኮሚቴ አባላት የተዘጋጀ ፣ መጋቢት 2006 ዓ.ም፣ <https://hulawcourses.files.wordpress.com/2016/11/final-executive-summary-of-commercial-code.pdf> ::

⁶ Commercial registration and licensing legislations, trade practice legislations, investment laws etc, have been legislated. These legislations (along with their amendments/revisions) had a bearing on the commercial code, especially on the concept of trade activities and traders.

⁷ Some of these enactments are/were Commercial Registration and Business Licensing Proclamation No 67/97; Business Mortgage Proclamation No. 98/1998; Commercial Registration and Licensing, Council of Ministers Regulation 13/1997; Addis Ababa/ Dire Dawa Administration Commercial Registration and Licensing Council of Ministers Regulation 14/1997; Commercial Registration and Licensing Council of Ministers Amendment Regulation 87/2003; Commercial Registration and Business Licensing Proclamation No. 328/2003; Trade Practice Proclamation No. 329/2003; Trade Marks Registration and Protection Proclamation No. 501/2006.

⁸ The Ministry of Justice (MoJ) of the Federal Government had completed the Draft- Revised Version of the 1960 Commercial Code of Ethiopia before 2006. See e Addis Ababa Chamber of

of Ethiopia just in 2021, after almost two decades since the start of the revision.⁹ The revision has brought significant changes both in terms of structure and content. In terms of structure, it has reduced the code from five books to three books, and the total number of articles is reduced from 1182 to 825. Book I-Traders and Business; Book II-Business Organizations; Book V- Bankruptcy and Schemes of Arrangement of the 1960's Commercial Code are totally abrogated. And substituted by the revised Commercial Code has put new rules in place. But Book III- Carriage and Insurance; and Book IV- Negotiable Instruments and Banking Transactions¹⁰ of the Commercial Code of 1960 are still in force and will continue until the ongoing revision results in a new code.¹¹ The two Commercial Codes are, thus, operating side by side in their own subject matters.

In terms of content, the notable changes brought by the revision are considerable. In book I (traders, trade and businesses), the revision redefined traders as subject of commercial law broadening the scope of economic activities whose undertaking would be within the ambit of commercial law instead of Civil Code; commercial registration and licensing is adjusted to reflect the current political structure and developments in economic sectors; it redefined business concepts and legal transactions pertaining thereto in a way that fits current developments in economic thoughts and legal jurisprudence in the area.

Regarding Book II-Business Organizations, the revision has discarded the dichotomy of business organizations into civil business organizations and commercial ones; discarded outmoded business entities; introduced new business

Commerce and Sectoral Associations, Position of the Business Community on the Revision of the Commercial Code of Ethiopia, July 2008, p.5.

⁹ Commercial Code of Federal Democratic Republic of Ethiopia, Proclamation No.1243/2021(Herein after Commercial Code of Ethiopia)

¹⁰ 1960 Commercial Code of Ethiopia.

¹¹ These two books are also under revision and a separate code is expected to come. The provisions of Books Three and Four of the Commercial Code Proclamation No. 166/1960 shall continue to apply pending the issuance of financial services Code subject to any clear contrary stipulations in other laws. Commercial Code of Ethiopia, Article 3(3).

organizations and thereby expanded the possibilities to do business; and updated the entry, governance, and exit cycles of most of the business organizations that were old-fashioned to fit current developments.

Book III (Preventive Restructuring, Reorganization and Bankruptcy Law), has primarily reformed the most criticized aspect of the commercial code that alleged the content of the law was biased toward liquidation instead of rehabilitation.

Overall, while the revised Commercial Code of Ethiopia is the result of years of financial and intellectual investment and the result has been commendable, the new developments and the whole package of commercial law must reflect existing social and economic realities. Legal professionals and the rest of its consumers need to digest and endorse legal concepts and their implications in the revised commercial code.

This text book on law of traders and business organizations is prepared owing to the dearth of proper reference materials on the subject. There were limited reference materials to the course Law of Traders and Business Organization. We believe that this textbook on Law of Traders and Business Organization will significantly ameliorate the apparent scarcity of up-to-date and up-to-standard textbooks.

The textbook covers all the topics in the revised commercial code (Book I-Traders, Trade and Businesses; Book II-Business Organizations; Book III-Insolvency (Preventive Restructuring, Reorganization and Bankruptcy Law)). The authors attempted to prepare a precise, comprehensive, readable, understandable, well referenced text-book.

We have included insolvency law at the end of the text-book. Our intention in including a part on insolvency law in a book dealing with Law of Traders and Business organization is to give a basic understanding of insolvency processes to students. Under Ethiopian Law insolvency procedure applies only to traders and

business organizations. Therefore, a textbook on the subject cannot be complete without a compendium on insolvency law. Readers should, however, note that this part is not to be taken as a full-fledged text book on Insolvency Law in its own. This has made the textbook to cover the new Commercial Code in its entirety. Nevertheless, some parts are dealt in more depth than others.

PART I: TRADE REGULATION IN ETHIOPIA

Introduction

The objective of this part is to describe requirements that a person ought to fulfill to engage in profit making activities. As such the objective of this part is basically to define a trader and then to proceed to requirements that a trader ought to fulfill. It also defines the rights that one can have because of his status as a trader. In order to attain this objective, the following points will be discussed:

- Reviewing why trade need to be regulated
- Defining a trader
- Distinguishing an employee/an agent from a trader
- Distinguishing conditions to operate business activities
- Distinguishing an authority responsible to authorize the operation of business activities
- Defining rights and duties of being a trader

The main sources for this part are the revised Commercial Code, Commercial Registration and Business Licensing Proclamation, Federal Cassation Decision and personal field observations and experiences. Review questions and bibliographies are included under each chapter to strength the discussion of the issues under consideration.

CHAPTER ONE: INTRODUCTION TO REGULATION OF BUSINESS

This chapter discusses three main points. The first point is defining the phrase “business regulation.” The second point is to search for public policy reasons that justify business regulation. The third point is to describe the laws that have been issued to regulate business. There are review questions at the end of the chapter.

1.1. Introduction to Business Regulation

This subsection is concerned with three interrelated issues: the definition of regulation, types of regulations and types of business regulations.

What do we mean by the term “Regulation”?

The term regulation refers to the law that is imposed on individuals or entities so that such individuals/entities have certain expected patterns of behavior. As we may see from the following three hypothetical examples the law may be imposed on political parties so that the party politics may have identifiable patterns of behavior or a law may be imposed on those who celebrate victory day a dressing standard on occasion of celebration of such victory day so that certain cultural values are maintained for future generation or a person who want to engage in agribusiness may be required to get permission from certain agriculture bureau so that certain biodiversity is protected.

Types of Regulation

Based on its purpose regulation may be classified into:

- Political regulation
- Social regulation
- Economic regulation

Examples of political regulation are election laws, political party laws, media laws and demonstration & public gathering laws. Examples of social regulation laws are laws related to culture, tourism and sport such as drug and alcohol laws, public holiday celebration laws, tourist guide laws, hotel standard laws, and sporting laws. Economic regulations are all those laws that deal with production, distribution and consumptions of goods/services, protection of the environment, exploitation of natural resources and so on.

Economic regulation may be further divided into macroeconomic and microeconomic regulation. Examples of macroeconomic regulations are laws related to money supply, inflation, unemployment rate, growth rate and the like. Macro-economic regulation generally refers to laws related to the role of the state in planning the economy of a state. Micro economic regulations are the laws that intend to make sure those individual economic decision makers behave in accordance of the macroeconomic plan. Micro economic regulation may therefore be called business regulation.

Business Regulation

The concern of this text book is business regulation. Business regulation laws describe the conditions that an individual/entity is expected to fulfill to become a trader, the business ethics of a trader and what a trader is expected to fulfill to close his business. Therefore; the phrase business regulation is used to indicate the scenario where the state uses law as an instrument to determine how a person

- Enters into a market as a trader
- Operates his business
- Leaves the market

Law prescribes at least two things in the above three stages of engaging in a business. The first prescription is the obligation to do or not to do. An example of an obligation to do certain things is: a person may be required to register with a concerned

authority before she starts business operation. An example of an obligation not to do something is a trader may be prohibited from supplying certain goods to the market such as cocaine. Generally, to do or not to do obligation may include obligations to:

- Observe certain price
- Supply certain goods to the market
- Stay out of certain market
- Follow product standardization rules
- Abstain from certain types of contract
- Apply particular techniques in production process
- Pay certain minimum wage

The second prescription is the consequences that one has to suffer for failure to do something or not to do. For example, a person who fails to get his name struck off from trade register may still be required to fulfill the obligation of a trader even though he has factually stopped operating business. Such a consequence for failure to live up to the law is usually called a sanction. A sanction may be imposed in the form of:

- Fines
- Publicizing of violations
- Imprisonment
- An order to make certain specific arrangement
- An injunction against withholding certain actions
- Closing down the business

Types of Business Regulation

Business regulation may be classified into economic and social based on the object of the regulation. If the purpose of regulating traders' behavior is ensuring market competition such regulation is called economic regulation. Economic regulation

may further be divided into structural regulation and conduct regulation. Structural regulation is used to regulate market structure. Restriction on market entry and exist and requirements of certain qualifications to provide professional services are the best examples of structural regulation, conduct regulation is used for regulating behavior in a market. Minimum quality, rule against advertising and price control are the best examples of conduct regulation.

If the purpose of regulating the traders' behavior is ensuring social justice such as equality, labor right, environment and fair price such regulation is called social regulation. Labor law, Environmental law, Consumer protection law, and Non-discrimination law are best examples of social regulation.

1.2. Purposes of Regulation

Public Interest and Regulation

Public interest is an interest that a political community wants to realize through the instrumentality of the state and its apparatus. It is the general welfare of the public that warrants recognition and protection by the state. It is what the public wants to realize or see to happen. This implies that public interest refers to the basic justification of the existence of the political community. The concept of public interest relates to the justification of why the state exists. This means something which is in the public interest in one country/political community may not necessarily be considered to be in the public interest in another country/political community. What constitutes public interest may even vary from time to time in a particular country/political community.

The purpose of regulation is to serve as an instrument for a particular country/political community to attain its political aim or ambition. In this sense, rregulation means using law as an instrument to attain public interest. However; it should be noted that regulation/law is not the only means to attain public interest;

public interests may be ensured through moral norms, non-state actors such as civic societies and the market.

Public Interest and Highest Political Organ

As stated above public interest is a political concept. Whether something constitutes public interest or not is a matter of political decision. Political decisions are made by highest political organs of a country. For example, under the Constitution of the Federal Democratic Republic of Ethiopia, the highest political organ is the House of Peoples Representative. The responsibility of the Council of Ministers under the current Ethiopian political system is to propose to the House of Peoples Representative that certain thing should be considered as public interest and once that proposal get acceptance, then the Council of Ministers proceeds to propose a draft law that is draft regulation that serves as an instrument to bring the public interest into reality. The role of the judiciary is to interpret the regulations in light of the public interest the House of Peoples' Representatives has intended the regulation to serve.

Public Interest and Democracy

In a modern democracy, individuals who have a common believe that a certain thing is a public interest form a political party and then participate in democratic election with the aim to control the highest political organ of the country that determines whether something is a public interest or not and make law/regulation to bring the claimed public interest into practical reality. This means public interest is defined by a political party that gets majority seat in highest political organ. Public interest is therefore; the interest of the majority of the citizens of a country. This implies that there are citizens of that country who do not have any interest in the thing defined as public interest by the highest political organ. Sometimes such public interest might contradict with individual (minority) interest.

Public Interest and Constitution

The very purpose of a modern constitution is to protect individuals against public interest as described above. Therefore; a constitution is a limitation on what constitutes public interest. For example, the highest political organs can never do certain things which may go against basic human rights as public interest. Thus, a constitution expressly provides certain individual rights that can trump public interest.

Public Interest and Human Rights

We can gather from the above discussion that public interest is a democratic concept whereas the individual interest is a human right concept. There are usually conflicts between public interest and human rights. A Constitution is a pact concluded between the public interest (as represented by democracy) and human rights (as represented by individual). According to this pact, certain interests of an individual are defined as human rights so that democracy may not go against it. This means democracy is limited by human rights as defined under the constitution.

Public Interest and Independent Judiciary

Sometimes there might be disagreement between the democracy and individual on what the constitution defines as human rights and limits may exist on such human rights. The judiciary is responsible for resolving such controversy. This means the judiciary is constitutionally established to resolve any dispute that may arise between the public (as represented by the democracy) and the individual citizens of a country. The extent of the judiciary's independence from the highest political organ implies the extent of human right protection guaranteed by the constitution. In a political/legal system where the judiciary is almost equivalent to the highest political organ there is strong protection of individual rights/interests against public interest.

Public Interest and Judicial Independence in Ethiopia

Although the FDRE Constitution Art 78 expressly claims that the independent judiciary is established, analysis of the Constitutional provisions implies the independence of the judiciary is nominal. This could be inferred from the fact that the judiciary does not have the power to nullify the regulations made by the highest political organ. The infancy of legal professionalism in Ethiopia combined with leftist political culture exacerbates the problem. So, it is difficult to see situations where matters determined as public interest by the highest political organ could be trumped by individual human rights.

Role of Professionals in Determining Public Interest

As stated above public interest is determined by political organ. This means the issue whether certain thing is a public interest is determined by a political process. The technocrats or the professionals try to implement these political judgements. Thus, the role of professionals in determining public interest is limited to showing the possible implication of such public interest on other similar public interest. This means professionals assist the political process of determining the public interest by analysing the claimed public interest against other general or particular public interests. The other role of professional is to find out best ways or alternatives (such as best regulation) to attain the public interest. In short professionals are technocrats that have knowledge, attitudes and skills to develop instruments to attain public interest as defined by political process and properly implement such instruments.

Dimensions of Public Interest

Based on the area of interest intended to be protected public interest may be classified into:

- Political dimension of public interest
- Social dimension of public interest

- Economic dimension of public interest

- o Political Dimension of Public Interest

Political version of Public interest implies that the democracy aspires to build certain types of political values such as political tolerance, gender balance in political leadership, national unity identity pluralism and justice. These types of regulations target the political parties and elections in a political community. For example, election law of a country such as Ethiopia may regulate the way political parties deal with past history of the country. Furthermore; these election law may further provide that financial support by the state for the political parties is based on gender proportionality in party leadership. Political parties may also be required by law to ensure that their leadership should proportionally represent ethnic identities. Ensuring participatory democracy and fair resource distribution (labor regulation, high tax rate on rich, social security laws can also be considered as political dimension of public interest.

- o Social Dimension of Public Interest

The social dimension of public interest here mainly refers to the interest of a democracy in certain identity related values such as folklore, music, history, language and rituals. Protection of historical heritages such as Labella, Harar Jegol and rituals such as Chamballa in Sidama and Erecha in Oromia can be cited as examples. Regulating tourism in a country usually intends to protect the culture and moral values of that particular country. Ethiopia has long established Ministry of Culture. The FDRE Constitution under Article 39 has expressly declared culture, history and language of nation, nationalities and peoples as a major public interest.

- o Economic Dimension of Public Interest

When we talk about public interest what usually come to our mind are economic issues. In fact, even most literatures or scholarly works equates public interest with economic matters. Most of the regulations are related to economic issues either

directly or indirectly. But as we discussed in the preceding sections, economic interest is not the only type of public interest.

The economic version of public interest refers to welfare economics where regulation ultimately benefits every individual by enabling economic resources to be allocated efficiently. This means regulation is complementary to market. In principle the market is considered as the best way to ensure the most efficient resource allocation. But sometimes the market may fail to live up to such expectation due different factors. Therefore; regulations seek to remedy such market failures/defects. The underlying conception of the public interest underpinning welfare economic versions of theories of regulation assume that greater allocative efficiency in the use of society's scarce resources will reduce economic waste and allow more individuals to pursue whatever they personally consider to be their own version of the good life, expressed in terms of their ability to pay. Regulation is considered as an instrument to ensure the best possible allocation of scarce resources for individual and collective good. In other words, the collective welfare is defined in terms of efficient resource use.

The major causes of market failure are: market monopoly, under-provision of public goods, externalities, information asymmetry and bounded rationality. Market monopoly refers to the situation where there are few supplies thereby leading to the situation where the price of goods/service is determined by suppliers due to the absence of competition between suppliers.

The concept of a public good is, as its name suggests, "...a commodity the benefit from which is shared by the public as a whole, or by some group within it. More specifically, it combines two characteristics: first, consumption by one person does not leave less for others to consume; and, a secondly, it is impossible or too costly for the supplier to exclude those who do not pay for the benefit. Take the often-cited

example of a national defence system which provides collective security.”¹² That all residents of Gondar will benefit from such a system will not diminish the benefit that will be enjoyed by residents of Jimma and it is not possible to prevent any residents of Jimma say, one who does not pay his taxes from the protection which the system provides. The example should make it obvious why the market method of allocation cannot be used to determine supply of a public good. Suppose a private firm offered to provide a community with protection according to the level of demand for such protection, as expressed by the willingness to pay. Each individual in the community would know that however much she was willing to pay for the protection would not affect the amount of protection actually supplied, because each would be able to benefit to the same degree however much she paid. If she paid nothing, she would still be able to ‘free-ride’. Willingness to pay, in other words, cannot be used to measure demand and will thus fail to provide incentives for suppliers to produce.”¹³

Externalities are an economic concept where a benefit or loss extends to third parties. A trader may make gain or lose due to factors unrelated to his investment. Feminist thinkers usually advocate that capitalists have been making large profit since they never pay for the gender responsibilities of the women such as the child bearing. This means an employer in a capitalist system employs a young man aged fourteen or above by paying salary/wage enough to the livelihood of this young person without taking into account all that was spent to make the person capable of doing a certain job. Environmental pollution is also the usual type of externalities that the polluter fails to include the damage in his balance sheet.

¹² Bronwen Morgan and Karen Yeung, *An Introduction to Law and Regulation Text and Materials* (Cambridge University Press, 2007) 23

¹³ Ibid.

Information asymmetry and limited rationality refers to the incomplete information that the consumers have about the goods/service they buy and their ability to make rational decision.

One text explains the concept of information asymmetry as follows:

“Consumer choice lies at the heart of the economic notion of allocative efficiency. To aim at a state in which resources move to their more highly valued uses implies that choices between sets of alternatives may be exercised; individuals prefer some commodities to others and such preferences are reflected in demand. The market system of allocation is fuelled by an infinite number of expressions of these preferences. However, the assertion that observed market behaviour in the form of expressed preferences leads to allocative efficiency depends crucially on two fundamental assumptions: that decision-makers have adequate information on the set of alternatives available, including the consequences to them of exercising choice in different ways; and that they are capable of processing that information and of ‘rationally’ behaving in a way that maximises their expected utility. A significant failure of either assumption may set up a prima facie case for regulatory intervention.”¹⁴

1.3. Trade Regulation Laws in Ethiopia

Declaratory Laws

In modern constitutional democracies laws may be classified into declaratory and regulatory laws. This distinction is made based on the purpose of a specific legislation or specific provision of legislation. Declaratory laws are laws that declare

¹⁴ Ibid 24

the rights and duties of citizens in a political community. Declaratory laws set forth the rights of an individual and limits to such rights in relation to similar rights of other individuals. In short, such law defines:

- the relation that should exist between individuals
- the role of the state in enforcing and interpreting such relations
- the cost that individuals are expected to pay for the role state plays as interpreter and enforcer

Declaratory laws therefore refer to the laws that guarantees and protects individual interests. Such laws are usually equivalent to human rights. The best examples are human rights laws criminal law and tax laws. Most of the provisions of criminal law are usually declaratory laws where individuals are prohibited not to do harm to other individuals such as murder, rape, robbery, theft, forgery. The tax laws usually deal with how the state collects money from individuals to cover the expenses of enforcing and interpreting laws that define individual relationship. The constitutional law and administrative procedure laws also contain a lot of declaratory laws since these laws warn the state that it should abstain from interfering into individual life unless such interference is necessary to enforce and interpret the relationship that should exist between individuals. But we have to bear in mind that there might be a lot of regulatory laws in the criminal law, the tax law, constitutional law or administrative law.

Regulatory Laws

As stated in the preceding sections, regulatory laws are laws that set forth limitations on declaratory laws for the sake of protecting public interest. Regulatory laws remind us the existence of tripartite and often conflicting interests in a political community. The first two interests are the conflicting interests of individuals who come to form a political community in order to peacefully settle their conflicts of interest. This implies that a political community is a result of some form of pact or

agreement. Such pact/agreement leads to the emergence of a group called democracy (majority) or a political community (state). Then this majority or state may have some interests that possibly conflict with the interests of individual citizens. Regulatory Laws are laws that intend to resolve the conflict between the majority/state in the one hand and the individual in the other hand.

Trade Regulation Laws

Trade Regulation Laws regulate a conflict of interest between a trader and the democracy/political community. Such conflict is usually resolved by:

- defining a trader
- providing entry and exist procedures into trading activity
- defining what a trader can do or cannot do
- excluding certain economic activities from trading activity
- setting ethical standard of a trader

1.4. Introducing Major Trade Regulation Laws of Ethiopia

In fact, almost every business activity is regulated in Ethiopia. Thus, it is very difficult to exhaustively mention al trade regulation laws of Ethiopia. The following are some examples of areas of regulation in Ethiopia.

- Commercial Registration and Licensing
- Trade competition and consumer protection
- the Commercial Code of Ethiopia
- Trade mark registration and protection
- standard control
- food & medicine control,
- commodity exchange market regulation,
- stock market regulation

- Private higher education regulation
- Private primary & secondary education regulation
- Public transport regulation

1.5. Review Questions

1. Do you know what political ideology is? Do you see any relation between political ideology and regulation?
2. Give at least three examples of regulations pertaining to the political version of public interest by citing specific legislation/provisions in the legislation of the FDRE government.
3. Give at least three examples of regulations pertaining to the economic version of public interest by citing specific provisions from the Criminal Code of the Federal Democratic Republic of Ethiopia of 2004.
4. For the purpose of understanding regulatory laws; this text-book divides law into declaratory and regulatory laws. Do you agree with such division? Do you think such division helps to explain regulatory law?
5. Discuss the practical importance of distinguishing regulatory law from declaratory law.

CHAPTER TWO: DEFINING TRADE AND TRADER

Introduction

The whole content of part I of this text book is describing how the Ethiopian legal system regulates a trader. In Chapter One we tried to understand the concept of regulation. In this Chapter we define a trader. In order to define a trader, we use an elimination method i.e., we begin to describe human activity and move to describe economic activities, trading activities and vocational activities. Based on these ideas we shall define a trader.

2.1. Review of Human Activities

Human Activities

The activities that human beings engage in can be generally classified into:

- joyful activities
- religious activities
- social activities
- political activities
- public administration activities
- economic activities

A person may perform certain activities with the intention to enjoy or to take pleasure or gain satisfaction. Joyful activities are activities that are performed in order to produce immediate pleasure or immediate happiness. A person can make sport or play games or visit new areas or join with friends to get happiness or even to keep one's health intact. Consumption of goods and services may also be considered as joyful activities. Human being may also perform religious activities such as worshipping, rituals, prayers and preaching either in association with others or individually. There are also social activities such as helping relatives, or

participating in social gatherings. Charitable activity is also an example of a social activity. Modern politics has also added additional dimension to human activities: engaging in political activities such as political party membership, activism. In pre-modern politics, political activities were taken as reflecting a natural division of labour where few participate in politics as birth right or duty. Engaging in the management of the relationship between individuals or groups is also another type of human activities. This activity has been carried out in collective form by creating an entity called a state/political community and an institution that represents this entity called a government. Joyful activities are the culmination (ultimate end) and economic activities are the foundation of all these activities.

Economic Activities

Economic activities are activities that are carried out with the intention to produce and distribute goods and services. An economic activity is carried out with the intention to produce more goods/services than already exists. Things produced through economic activity are normally available in scare amount. Scarcity means what exists is less than what is wanted/demanded by human beings.

Most of the human activities are usually economic activities. A person engages in economic activities as a farmer, an investor, an entrepreneur, an employ or a self-employer, an employee. Economic activities are engaged either for profit or for subsistence. Economic activities may also be classified into primary, secondary and tertiary economic activities. Primary economic activities are economic activities that directly depend on nature such as agriculture, forestry, fishing, and mining; secondary economic activity is an economic activity that further processes products of primary activities. It refers to manufacturing activity. Tertiary activities are the service sector activities such as transport, finance, construction, consulting service, medical service, legal service, entertainment, hospitality service and so on.

2.2. Trade/ Business Activities

Trading activity is an economic activity where goods and services are transacted with the aim of earning profit. The trading/business activities are carried in all economic sectors. The activity may be in the agricultural sector or industrial sector or service sector. For example, cattle rearing or herding sheep or goats may be a business activity. Similarly manufacturing clothes may be a business activity. Tailoring may be a business activity. The key terms that determine whether the activity is a business activity are:

- the activity is an economic activity and
- the activity is the result of entrepreneurial venture
- the activity is carried out with the intention to make profit

We have already discussed economic activities. The following paragraph describes entrepreneurial venture and the profit-making purpose (the intention to gain wealth)

Entrepreneurial Venture

An entrepreneur is an individual who is able to forecast and designs with reasonable justification that engaging in certain economic activity will be profitable. The entrepreneur is commonly seen as an innovator, a source of new ideas, goods, services, and business/or procedures (business making designs/methods). Economic activities always have a risk of making a loss as any new economic activity's possible positive return is dependent on future happenings. But the entrepreneur is not necessarily the person who takes the risk of loss that comes out of out of economic activity. This is because the entrepreneur is not necessary the investor or owner of the economic venture.

Entrepreneurial venture is insufficient to distinguish trading/business activities from other economic activities. As stated above economic activity is carried out to produce more wealth than the wealth used to produce the new wealth. This implies

that any person who want engage in economic activity has to make a reasonable forecast and design that engaging in such activity will be gainful. For example; if a peasant wants to harvest wheat this year, he has to calculate that the amount of wheat that he will produce is more than the money he expends to harvest the wheat. Handcrafts person or professionals are also expected to make similar judgement when they want to provide services based on market price. Charitable economic activities and cooperative economic activities apply the entrepreneurial mode when they want to engage in economic activities. Moreover; the concept of social entrepreneur has emerged in the past several years. Social entrepreneurship is a process of finding solution to economic problems such as poverty, or excessive wealth inequality by applying the market model. In short, the existence of entrepreneurship does not necessarily indicate an economic activity as a business activity

Profit Making Purpose/Intention to be rich

Profit is the difference between the wealth that one gain by carrying out economic activities and the expenses that he has incurred to produce such wealth. It is the revenue remaining after all costs are paid. These costs include labour, materials, interest on debt, and taxes. Profit is usually used when describing the activity of a business. But everyone with an income has profit. It's what's left over after paying the bills. In short, every economic activity is carried out for profit. Profitability is even included in the concept of entrepreneurship as stated above. So, profit making is insufficient to distinguish business activities from other forms of economic activities. If we want to distinguish business activities from other forms of economic activities, we have to emphasis on the motive of making profit. This means we have to ask a question: why do a person wants to make profit from the economic activity? The answer to such question is that such person wants to be rich. To be wealthy means to have property in excess of personal consumption. To appreciate the idea

of the “intention to be wealthy” let us discuss the opposite idea that is the intention to fulfil subsistence needs.

Intention to fulfil Subsistence Need

Economic activities may be carried out for the purpose of fulfilling consumption need such as food, clothing, and shelter for one self or for others. Charitable organizations produce goods/services that are enough to provide the planned charitable activity. A peasant or handcraft person produces goods and services that will be enough for the subsistence of her family. However; the amount of goods/service necessary for subsistence are relative to the economy of a country. In a subsistence economic activity, the person that engages in the economic activity does not attempt to accumulate wealth. The reason why she does not attempt to accumulate wealth is either because she understands that the situation does not allow her to think that way or she has a belief that producing goods/services in excess of subsistence consumption is morally objectionable. For examples those who advocate for cooperative movement consider wealth accumulation as objectionable.

Economic Activity as a Risk-Taking Activity

All economic activities involve some form of risk. The risk is the possibility of losing all or part of the property invested and sometimes even more than that. A peasant who sows wheat on his farm takes a risk that he may lose the seed, the fertilizer and his labour in addition to the opportunity cost that he has already incurred due to bad weather or pest invasion. Similarly, a person who engages in business activity understands that he may suffer a loss. However; there are difference between business activity and subsistence economic activity by the level of risk taken. It is understandable why the person who engages in subsistence economic activity takes less risk when compared to the person engaging in business activities. The Amharic proverb runs: “አንድ አይን ያለዉ በአፈር አይጫወትም::” which means one eyed never play with dust.”

2.3. Trader under Ethiopian Commercial Code

To understand what is meant by a trader in Ethiopian legal system one has to thoroughly examine the Articles of the Commercial Code that runs from Article 1 to Article 26. These Articles:

- define a person who should be regarded as a trader
- , provide an exception to the definition,
- impose limits to the right to become a trader
- indicates limits to commercial business activities

2.3.1. Who is a Trader?

We can get an answer to this question by thoroughly and cumulatively reading Article 1 to Article 26 of the «Commercial Code of Ethiopia Proclamation No. 1243/2021" We have to adhere to the constructive approach. The phrase “constructive interpretation” is used here to refer to a process of imposing purpose on an article of a law in order to best reflect the intention of the law maker. This can also be understood from the vantage point of a deconstructive approach which gives attention to revealing the defects of the law. Following this approach let us consider the question again. Who is a trader?

The answer to such question may be as follows:

“A trader is any person who professionally and for gain carries on business activity.”

This definition is composed of the following four terms:

- person
- professionally
- for gain
- business activity

A trader is a person. This means a trader is either a human being or an entity having legal personality. An entity that does not have legal personality can never be considered as a trader. Note that as indicated under Article 4(1) of the Code artificial persons such as cooperative societies, the state and its organs, charities and societies are not regarded as trader. This is because these artificial entities do not fulfil the criteria of profit-making purpose that is, they do not have an intention to make any one wealthy.

The other important term is professionally. Apparently, the word professionally may seem to refer to a “calling requiring specialized knowledge and often long and intensive academic preparation.”¹⁵ However; such definition includes criteria which are irrelevant to a trader status. For a person to become a trade academic training or qualification is irrelevant. The term professionally under Article 5 of the Commercial Code refers to regularity than specific qualification.

The purpose of the law maker in utilizing the word professionally in describing a trader is to exclude the possibility of regarding as a trader, persons who occasionally (without any determinable regularity) carry out economic activities with the intention to make gain. For example; Bekele, an employee in Ethiopian Civil Service University, has been living in condo houses in Addis Ababa by paying birr seven thousand since September 2009 but he is going to get University housing in February 2023 and he intends to make some money from the house that he is going to leave by acting as a broker for the house owner. Bekele would not be engaged in a profession because the activity is occasional.

The other two important terms of the definition are the term “gain” and “business activity”. The term gain is used to indicate profit making purpose or the intention to be rich whereas business activity indicates that a trader is a person who engages in

¹⁵ Merriam –Webster’s Dictionary Thesaurus, Encyclopedia Britannica Library

an entrepreneurial activity.¹⁶ Notice that the phrase “business activity” is not expressly included under Article 5 of the revised Commercial Code but it can be derived from the ordinary concept of trade and the lists provided under the same Article.

Examples of Business Activities

The lists of economic activities under Article 5 are intended to give examples. Unless expressly prohibited by a law (for example criminal law and investment law) as provided under Article 21 a person may engage in any economic activity of his choice which might have not been imagined by the law maker or even by any other trader. Entrepreneurship, which is the core concept in business activity, implies the possibility of innovative economic activities. In economic history most of the contemporary business activities such industry, banking, tourism, internet service platforms etcetera have emerged in the nineteenth, twentieth and twenty-first century. In the history of commerce, the commercial activity emerges first and then regulation follows. The most recent innovative economic activity is the operating of holding company. The Commercial Code Proclamation No.1243/2023 Article 9(1) has expressly recognized this operation as a business activity.

But we may ponder why the law maker provides such lists when the lists do not have any legal effect. The answer may relate to the fact that we Ethiopians have been predominantly agrarian until the commercial code introduced business activity. This means the law maker has the additional task of telling the people of Ethiopia that agriculture is not the only economic activity. However; such tendency of the successive Ethiopian governments, if true, implies arrogance and disrespect to the general public. The alternative answer may be the tendency of the civil servants who

¹⁶ See Preceding discussion of this chapter on these two terms.

rush to prohibit everything not expressly granted by law. These types of employees have a tendency to believe that government is the guardian of the public.

As discussed in the preceding paragraphs, the thirty-six types of business activities mentioned under Article 5 are simply tip of the iceberg; there are a lot of business activities that can be created and organized by an entrepreneur. However; this should not be taken to mean that anything that can be priced in a market can be supplied. We have to bear in mind that the innovative business imagination of the entrepreneur is limited due to general moral norms (norms which the state never helps individuals to go against), public interest (regulatory laws), or the rights of other persons.

Therefore; a person who comes up with new way of earning income by producing goods or providing service must make sure that such production and distribution of goods and service is possible, moral and legal by using the standards set under Article 1715, 1716 and 1717. For example, a person can never engage in the production and distribution of obscene materials or trafficking in human being, producing narcotic drugs, providing prostitution service, etcetera.

Regulatory laws which have the intention of protecting certain political, social or economic interest may also be a limitation on the entrepreneurial venture. Investment laws and financial regulation laws are the best examples in this regard. Ethiopian investment law reserves certain economic activities to the government. For example, it is not possible to engage in utility (water, electricity) production and supply for profit making purpose. Competition laws also restrict the imaginative freedom of an entrepreneur both for the protection of public interest and individual rights. As we can read from Article 21 and Article 25 first paragraph, no person may engage in business activity which it is prohibited by other laws.

2.3.2. Exceptions to Article 5

Article 6-8 lists persons who may not be regarded as a trader even though they may engage in any of the economic activities mentioned under Article 5. The justification is simple. These persons do not have the intention to accumulate wealth. They are doing everything to fulfil subsistence need. Trade is a capitalist concept where individuals engage in economic activity to be rich. Traders have the passion to accumulate wealth although they know that they consume only very little of the wealth they accumulate. We can say that traders have the hobby of producing and accumulating excess. This implies that an economic activity becomes a business activity when it is carried out by a trader. The Commercial Code and related legislations intend to regulate economic activities carried out for profit making purpose. The following are therefore not traders and are not subject to laws regulating business:¹⁷

- State and its agencies
- Charities and societies
- Small scale works
- Handicrafts person
- Agricultural and forestry undertaking
- Professional activities

The nature of legal personality (state and its agencies, charities), the size of the economic activity (small scale work), the technology used (handicrafts person) and the level of economic activity (agriculture and forestry undertaking) and the organization of the economic activity (professional activity) are the criteria the Commercial Code uses to determine the exceptions to Article 5. Let us see this by thoroughly examining Article. 4(1), 24, 6, 7, and 8 separately and respectively:

¹⁷ However; the Commercial Registration and Licensing Proclamation requires the charities to receive business license to engage in economic activities.

Article 4(1) & Article 24: Artificial Persons

The State and its administrative agencies, political parties, associations, charities, societies, cooperative societies, public enterprises and business organizations are juridical persons. As provided under Article 4(1) only business organizations and public enterprises can be assimilated to a trader. Other artificial person can never be regarded as a trade even in case when they engage in activities mentioned under Article 5 of the Commercial Code.

However; it is difficult to understand the mission of Article 4 and 24 because of the following reasons:

- The state and its agencies are policy developers, regulators, law enforcers and public good providers. This means they never engage in economic activity. For example, education and health service may be economic activities but these services may also be public goods based on the macro economic circumstances of the country. Government agencies such as public hospitals and public university are therefore; providing public goods. The services are delivered without taking into account the direct economic gain which can have market value. The state and its agencies are budgetary institutions. They are not engaging in economic activities.¹⁸ In lieu of this interpretation Article 26 of the Code is worthless and may even be used by the administrative organs as a pretext to go beyond the limit of power/responsibility given to them by the establishing law. The responsibility of the state is to engage in public administration activities including macro and micro economic regulation.¹⁹

¹⁸Remember that we defined economic activity that can possibly involve entrepreneurial activity. Bear in mind here, economic activity is defined narrowly by taking into account the market economy model. By this narrow definition, economic activity is supply of goods/service to consumers for a determined price.

¹⁹ This argument assumes a liberal political system where the role of the state is limited.

- Economic activities are beyond the objectives of religious institutions, associations, charities and societies. Bear in mind that these artificial persons are the creation of the law maker i.e., the law maker creates them for specific purpose and anything beyond that is a violation of the law that creates them as a person. Religious institutions are created to implement the freedom of religion as provided under Article 27 of the FDRE constitution.²⁰ Individuals who have the object to engage in business activity have to do it either individually as a sole trader or in partnership form (business organization) or cooperative or as peasant/pastoralist community. In this regard Article 24 is unnecessary and may even be used as a pretext to allow economies to fall into the hands of certain religions. By the way engaging in economic activities by religious institutions is dangerous both for the religion itself and for the stability of the country. Associations are established to engage in social issues. Societies (such as Ethiopian Lawyers' Association, Association of Ethiopian Medical Doctors, Ethiopian Economists Association, etcetera.) are established to advance the professional interest of their members. Societies do not have reason to engage in economic activities. We should always bear in mind what economic activities mean. An activity is called an economic activity when it produces goods or service which can have market value.
- Charities are established to provide goods and service to economically disadvantage individuals. The goods/services they provide are usually collected from the members or the public. However; if the charity has an intention to apply a business model to the charitable activity it should fully be described as a trade for all legal purposes. Allowing charities to engage in business activity without making them subject to the law that governs traders is destruction to a market

²⁰When we say that religious institutions, associations, charities, and societies it is simply to mean that these entities are made the subject of rights and obligation or granted legal personality by the law maker. This does not imply the factual existence of grouping of peoples for whatsoever, purpose.

economy.²¹ Therefore; it is the responsibility of the judiciary in particular and the legal profession in general to strictly interpret Article 24 to mean that charities shall never engage in economic activities unless registered as a trader.

- Article 4 in general and sub (2) in particular seem to confuse property ownership with business ownership. This sub article provides about the administration of shares.²² Property right is expressly recognized for individuals and juridical persons equally as envisaged under Article 40(2) of the FDRE constitution without making distinction as to the type of the artificial person. The right includes administration, use and disposition as envisaged under Article 40(1) of the FDRE constitution. Moreover; this article appears to give a dangerous message that all artificial persons can be investors (not necessarily traders). The danger of the message is twofold. The first danger is that administrative agencies could possibly use the public fund beyond the objective of the fund by becoming investors. As we know investors bear risk of loss. So public fund is at the risk of being lost due to the decision of political leaders who lacks market knowledge. The second risk is the possible destruction of competition in the economy where religious institutions become investors because customers possibly choose the goods/services of those companies where religious institutions have economic interest not based on quality, quantity or price, which defeats the law of demand and supply. This justification also holds true for associations, charities and societies. However, once these artificial entities are allowed to own share, it goes without saying that they incur rights and liabilities accordingly as part of their personality.

²¹ Notice that the Ministry of Justice has issued directive No.937/2022 allowing charities to engage in business activities and the Commercial Registration and Licensing Proclamation No.980/2016 Article 5(1) provides that “(N)o person shall obtain any kind of business license without being registered in commercial register and Commercial Registration and Licensing Council of Ministers Regulation No. 392/2016 Article 29 provides for criteria to obtain certificate of business license of associations authorized to engage in business under other laws.

²² A share is an incorporeal property. This means it is subject to property law under the Civil Code of Ethiopia. A share is also a negotiable instrument and thus it is subject to the Commercial Code of 1960 of Ethiopia.

Article 6: Small Scale Activities

A business is said to be a small scale if it fulfils the following three criteria cumulatively:

- **Primary economic activities or Labour Supply (Article 6(1) Cum. Article 5(4,5,31,32,33,35 & 36)**
 - farming (plant growing, animal husbandry and fishing)
 - consultancy
 - medicine
 - veterinary
 - education,
 - Secretary Service
 - office support
 - security
- **Three or less Employees**
- **No accumulation of raw material or stock**

This means a person who carries out any of the economic activities mentioned under Article 5 of the Commercial Code in small scale, he is considered as if he is engaging in a subsistence economic activity despite of the revenue he may generate from such activity. The criteria that the Code uses to define a small-scale economic activity are three as state above. These are; the level of economic activity (primary or tertiary economic activity), number of employees and the storage of raw material or stock. If any of these criteria is missing, the person engaging in economic activity defined under Article 5 is called a trader. For example, if a person has a store where to store a raw material as input for future production of goods or delivery of services then such person is a trader. In short in a small scale work a person buys a raw material or an input to produce goods/service for a specified customer. This type of economic

activity is usually a professional activity although it could include activities such as traditional mining, catering and so on.

Article 7 Handicrafts Person

Handcraft person is an individual who produce handicrafts or provide technical services. Handicrafts are items made by hand, often with the use of simple tools, and are generally artistic and / or traditional in nature. They include objects of utility and objects of decoration. Potters, gold/iron smith, weavers, shoemaker, carpenter, roof makers, mason, butcher (a person who slaughters animals or dresses their flesh), tailors, etcetera. In short handicrafts person under this specific Article ought to be given broader meaning to include both those who produce goods and those who provide skilled labour. The distinction between the labour provided under Article 6 above and this Article 7 is that the labour under Article 6 is referring to skilled through modern formal education whereas the labour under Article 7 is acquired through informal/apprentice training.

As provided under Article 7; for a business to qualify as handicrafts business it has to pass through the following four tests cumulatively:

- craftsmanship skill
- craftsmanship skill as basic source of income
- not more than three employees
- use only small tools or machines
- does not maintain stock of raw materials

Article 8: Peasants/Pastoralist, Communities/Cooperatives

In Ethiopian context the term peasant/pastoralist refers to individuals who are living in rural parts of the country by using farming as their calling. The FDRE constitution guarantees to these individuals the right to use land for free. The farming enables the peasant/ pastoralists to produce means for subsistence. Farming is the oldest form of

economic activity and its basic philosophy is to produce only subsistence. Despite this philosophy, since farming is usually practiced by using very old technology by using rainfall water, a farmer rarely has the intention to accumulate wealth. It is this lack of this intention and not the amount of income generated or the way such income is generated that distinguishes peasant/pastoralist from a trader at least for the purpose of the legislator. Notice that peasants/pastoralists may engage in the farming activity either individually or in cooperation with others. Such cooperation may be given different names such as adjacent farming, agricultural community or agricultural cooperative. The agricultural community may be in the form of ordinary partnership or in the form of collective exploitation of property.

It is usually perceived that a peasant or a pastoralist deals with crops or livestock. But we have to realize that peasants/pastoralists may add value to their product so that they can get a better price. For example, a pastoralist may slaughter his cattle and then sell the meat in a market if he believes that selling the cattle alive will earn him less money. There should be no one who could tell him what to do with his livestock since such is a property right guaranteed under the FDRE constitution Article 40(1). Moreover; there should be no one who will tell him what to feed to his cattle since such is part of the administration of his private property. A person may sell his own grazing land and buy factory produced forages for his cattle. Notice that Article 8(1) is absolutely awkward or at least absolutely unjust and even very shameful provision unless we read it very carefully.²³

²³ The Commercial Code Proclamation No.1243/2021 has made revision to Article 6-8 of the Commercial Code of 1960 but there is an opinion that such revision is based on conceptual misunderstanding of the issue and is more confusing. It is claimed that the revision was made to make sure that investor may never escape from the trade law under the guise of agricultural activity. It is argued that there is no chance for the investor to disguise himself as a pastoralist/peasant. This is because of the land tenure system in Ethiopia. No one can access land without due knowledge of the government. Land is not available on the market. No one can access land through succession unless such person is a peasant/pastoralist. Whether a person is a peasant/pastoralist or an investor can easily be known by examining how such person accessed the land.

Incidentally notice that there is a distinction between pastoralist/peasants as envisaged under Article 8 and those who engage in farming as envisaged under Article 6(1) cum Article 5(4). The latter are not peasants/pastoralists and do not have the constitutional right to have free access to land since they are not peasants/pastoralists. The possible way to access rural land for these persons is either getting it from the peasant/pastoralists or getting it from the government as part of small and micro enterprise development project.

2.3.3. Trader, Investor, Entrepreneur, Professional Activity

This subsection is the continuation of the preceding subsection. In order to have a precise understanding of a concept of a trader, it is important to distinguish this concept from other related concepts such as investor and investment, entrepreneur and entrepreneurship and self-employment and self-employment (professional activity).

Investor and Investment

An investor is a person who provides capital necessary to carry out business activity whenever such capital earns more income than it might earn as a bank deposit or rent.²⁴ Such act of the investor is called investment. Economic gain is what the investor goes after. The investment may be made in various forms such as equity, loan and various intermediate instruments. The amount of money/equity invested may be large or small but it remains investment as far as the higher earning motive exists. Example1: Abebe has G+1 villa and he used to get birr one million per year by letting out the villa. But this year he contributed the use right of the house receiving in return a share in the capital of X company from which he projected to receive a profit share of one million five hundred thousand birr per annum. Example2: Ashenafi had ten million birrs deposited in a bank saving account earning

²⁴ In a strict sense of the term depositor of money in a bank or a person who collects house rent for example may be regarded as an investor.

an annual interest of seven hundred fifty thousand birr but this year he bought shares of a company which promised fifteen per cent profit return. Abebe and Ashenafi are both investors.

An investor has no ownership right on the business and has no direct participation in the management of a business for which he provided capital when the business is owned by a sole trader or a limited partnership. This relieves him from taking the risk of running a business. A limited partner in a limited partnership or a lender to a business organization or to a sole trader is an investor who is totally free from business risk (except the possibility of losing what he invested). A person who contributed capital to start business in a joint venture is also an investor since he has no participation in the management and also for the purpose of third parties, he never owns the business as well. But a person who becomes an investor by buying shares in a company has some participation in the management of the company and risks losing the capital invested. But since he has no ownership and has no say in the business because the business is owned by the company not by the shareholders. This makes him an investor. A business is owned by a trader not by an investor but in case of sole trader the investor and the trader may be the same person.²⁵

²⁵ Incidentally one may ponder if all legal persons have the right to become an investor. This day there has been a tradition in public universities to establish private limited company to generate income. Moreover; there are public rumours that religious institutions own shares especially in the financial companies. The Commercial Code Article 4(2), 24 and 26 seem to support such tendencies. But this author is of the opinion such tendencies complicate both the politics and the economy. This author strongly believes that it is beyond the constitutional and administrative powers and responsibilities of administrative agencies to become an investor. Religious institutions are recognized as legal person to preach and worship and investment is beyond the scope of that recognition. The same holds true for associations and societies. A charity that aspires to be an investor has to accept the status of a trader. Therefore; an investor is either a physical person or a business organization or a public enterprise. State and its agencies, charities, societies, cooperative societies and religious institutions are not entitled to invest.

Trader vs. Investor

An investor is not regarded as a trader by the mere fact of the investment activity. Investment activity is quite different from trading/business activity. A trader owns and manages the business and runs the business activity. As stated above an investor has no such roles; he simply collects the profit or the interest as he agreed with the trader. But a trader might have been the one who invested in the business in case when he covered the whole or part of the capital necessary to run the business either by using his own property or borrowing from investors or financial institutions. In such case the person is both an investor and a trader. There is a possibility that a trader has invested nothing to begin the business in which case he has no status of investor but only a status of a trader. This may be the case in joint venture where the trader is the one that runs the business but the capital to run the business is supplied by the non-disclosed partner. Business may sometimes start without capital; in which case the trader does not have the status of the investor. This happens when the business is financed through trade credit or when the business is providing expertise knowledge.

Trader vs, Entrepreneur

An entrepreneur is the one who realized that the production cost of certain good/service is less than the market price of such thing. The entrepreneur identifies the goods/service to be produced, its methods of production, its cost of production and finally its market price. He innovates the economic activity and designs its business method. The entrepreneur may run the business himself by covering the capital necessary to run it. In this case, he is an entrepreneur, trader and investor. However; he may run the business himself but finds a secret joint venture that supplies the capital necessary. In this case he is an entrepreneur and trader but not an investor. The third option is to sell the business idea to someone who wants to

operate it. In this last case he is an entrepreneur but neither a trader nor an investor. This means a trader may not necessarily be an entrepreneur.

Traders vs. Professionals/Self-Employment

A person is called a professional when he belongs to a certain profession. Profession exists when three things are cumulatively fulfilled. These three things are:

- Long term academic training in a specific field of knowledge such as law, medicine and civil engineering
- Practicing the academic knowledge to earn livelihood
- Applying common standards of behaviour that regulate the quality of service delivered by the members of the profession.

Therefore; a professional is not a person who sells goods/services by producing them or buying them from other. A professional provides his own labour to those who want his skill and special knowledge. Thus, a professional is neither a trader or entrepreneur nor an investor. However; if the person buys this expertise skill with the intention to resell it is a business activity. Health service and education services are the usual examples where the service of a professional can be bought and resold. An entrepreneur may come up with best way of organizing other professions too such as accounting, marketing, statistics, and etcetera. But it is not legally allowed to organized legal professionals in such manner. In short when the specialized professional provides the expert service himself, he will not be regarded as a trader as per Article 6(1) cumulative Article 5(31, 32, 33, 35 and 36) and such person is called an independent contractor. But when the expert provides his labour under the supervision of another person, then the expert is called an employee and the supervisor is called a trader.²⁶

²⁶ The law may prohibit some professions to be organized by an entrepreneur for profit making purpose. For example, it is prohibited to organize legal professionals for profit making purpose.

2.4. Capacity to Become a Trader

In principle every individual has the constitutional right to engage in business activity either individually or in collaboration with others.²⁷ However, incapacity, and marriage may possibly limit such rights.

2.4.1. Incapacity as a Limitation to Become a Trader (Article 10-14,)

Incapacities of an individual are of two types. The first incapacity is general disability which emanates from age, health or criminal liability.²⁸ The second type of incapacity is called special disability which emanates from occupation or nationality.²⁹

General Incapacity

Article 10(1) of the Commercial Code of Ethiopia Proclamation No.1243/2021 expressly prohibits incapable persons from becoming a trader. Article 10(2) further states that any business activity carried out by incapable person does not produce any legal effect. This sub article impliedly warns that the act of carrying on business activity shall never open a room for incapable person who carried out such activity to be regarded as a trader.

A tutor can never start a new business venture on behalf of a minor or interdicted person.³⁰ This implies that a person can never be given power of agency to begin a business activity on behalf of a sole proprietor. Article 23(2) of the Commercial Registration and Licensing Council of Ministers Regulation No.392/2016 prohibits obtaining a business license for a sole proprietor through an agent. Starting business activity is very personal to the individual who is going to be regarded as a trader. If

²⁷ Commercial Code of Ethiopia, Article 21.

²⁸ Civil Code of Ethiopia 1960, Extraordinary issue No.2 of 1960 of the Negarit Gazeta, came to force on the 11th day of September, 1960 (here in after Civil Code of Ethiopia), Article 193

²⁹ Ibid Article 194

³⁰ Commercial Code of Ethiopia, Article 11(2)

a tutor earnestly believes that the minor should be a trader, he has to petition to the court to get the minor emancipated.³¹ However; once the business activity starts it can be carried on through an agent. That is why Article 11(2) gives an option to the tutor to close or carry on the business activity already started provided the family law allows him to do so. Bear in mind the family law can never authorize a tutor to start a new business on behalf of a minor³² since the Commercial Code prevails over the Family Law on issues related to determining persons who can become a trader and rights and obligations of a trader.

Capacity is presumed. Every person is presumed to be capable.³³ Therefore; a party who want to benefit from the incapacity has to prove the existence of such incapacity. For example, a regulatory organ which want to prohibit trade license on the ground of incapacity of the claimant, has to prove the claimed incapacity. What is the evidence that should be produced to prove such incapacity? ³⁴

The Commercial Code in Article 22 addresses special disability. “Particular persons may be restricted or prevented from acting as traders or from carrying on a particular trade that is incompatible with their work by legal provisions.”³⁵ Article 29, 38.202, and 319 of the same code which prohibits an employee from competing with the trader can be taken as an example. Nationality may also be a restriction on the individual right to become a trader. The Ethiopian Banking Regulation prohibits foreigners to engage in banking and insurance business and moreover; Ethiopian investment law prohibits foreigners from engaging in certain business activities.³⁶

³¹ Ibid Article 12.

³² See Federal Revised Family Code Proclamation No. 213/2000, Extraordinary Issue No. 1 of 2000 of the Federal Negarit Gazeta, came into force as of the 4th day of July, 2000(here in after Federal Revised Family Code), Article 276. Based on this provision, court authorization is mandatory to continue the already started business activity forming part of the estate of a minor.

³³ Civil Code of Ethiopia, Article 192.

³⁴ Please refer Commercial Code of Ethiopia, Articles 13 and 14 as well as relevant parts of Civil Code of Ethiopia, Civil Procedure and Evidence Laws.

³⁵ Commercial Code of Ethiopia, Article 22(1).

³⁶ Investment Regulation No. 474/2020, Articles 4-6.

2.4.2. Marriage as a Limitation against Trading (Article 15-20)

As provided under Article 34(1) of the FDRE constitution the “family is the natural and fundamental unit of society and is entitled to protection by society and the State.” Such protection includes ensuring that the rights of spouses should not be unnecessarily affected. Article 15-20 the Commercial Code regulates how a married person may engage in business activity without unnecessarily affecting the rights of the other spouse and the market economy.

The code attempts to balance such possible conflict of interest between the family, the individual and the market. To protect the interest of the market, first paragraph of Article 15 of the code provides that a trade activity started and carried out by one spouse is considered as a joint enterprise of both spouses. Such joint enterprise is defined under Article 18 of the Code, which means “debts contracted by the trading spouse shall be deemed to be debts of the marriage and may be recovered on the personal estate of each spouse and on common property.” This implies that both spouses take the risk of loss from the business activity as they are entitled to be common owner of the profit that may be derived therefrom.³⁷ To balance this market interest against the family interest the code authorizes one of the spouses to object the business activity.³⁸

However; objection affects only those who are:³⁹

- **aware of such objection:**

There is no special form of objection. A spouse may give the objection in writing, orally or in any other form of communication. But this spouse has a duty to prove that he/she has made the other spouse or third parties to be aware of his objection of

³⁷ Federal Revised Family Code, Article 62(1)

³⁸ Commercial Code of Ethiopia, Article 15.

³⁹ Ibid Article 16.

the trading activity. This means written form of objection is the most convenient to prove although it may be less convenient to give.

- **presumed to be aware of such objection**

In case the objecting spouse is unable to prove that the other spouse/ third parties actually know the objection, he may relieve himself from such burden of prove by showing that he has entered his objection in the Commercial Register.

Effects of Objection

The whole purpose of the objection is to relieve the common property and personal property of the objecting spouse from being used as a guarantee of debts that might arise from the business activity.⁴⁰ Marriage never inhibits a person from engaging in trade activity since choosing a calling is a constitutionally guaranteed individual right and may even be considered as an inviolable and inalienable human right. The right to work (labour right) is a human right.

Counter Objection and its Effect

The objection given to the other spouse or third parties or entered in the commercial register may be counter objected by the trading spouse.⁴¹ The counter objection has to be submitted to family arbitrators.⁴² The counter objecting spouse has to prove that the objection affects family interest.⁴³ Since the law does not define family interest it becomes the responsibility of the arbitrators. If the arbitrators accept the

⁴⁰ Incidentally; this author is usually thrilled by the popular opinion that the common property can be a guarantee to pay the debt incurred by the trading spouse only when the business activity is a joint enterprise or a cooperative activity of both spouses. This is because as provided under Article 62(1) of the Federal Revised Family Code, any income derived by personal effort of both spouses is presumed to be common property and the popular opinion is behind this family law provision. How can it be moral and even logical to share from the good sides of a spouse but to avoid the bad sides of one's spouse? Probably, such a rule could possibly affect the trading spouse's ability to make business.

⁴¹ Commercial Code of Ethiopia, Article 17 and Federal Revised Family Code, Articles 118 and 119.

⁴² Commercial Code of Ethiopia, Article 17.

⁴³ Ibid.

counter objection presented by the trading spouse, the effect is to make the business activity a joint enterprise.⁴⁴ But such decision of the arbitration produces the expected effect only if it is entered in the commercial register. Incidentally, we can notice from Article 17 of the Code that the spouse that objects to the business activity can make objection without giving justification. Such spouse is expected to give justification when the other spouse counter objects before the arbitrators. We have to also notice that the objection or the counter objection may be made at any time

Joint Enterprise vs. Trade in Cooperation

It is difficult to see what Article 20 intends to add. It seems that whatever rule this article intends to build has already been provided under the preceding article.

Article 20 Cooperation of Spouses

Where spouses carry on a trade in cooperation, the debt incurred by the trader spouse shall be deemed to be a matrimonial debt that is recoverable from the common property of the spouses and the private property of each spouse unless it is shown that one of them is the employee of the other.

Is it possible to make distinction between the phrase “**joint enterprise**” and the phrase “**trade in cooperation**”? If this distinction holds true, Article 20 adds something. Otherwise, it becomes superfluous. Joint enterprise is indicated under Article 15 and is indirectly defined under Article 16, 17, 18 and 19. Joint enterprise means both spouses are traders since a business started by one spouse and willingly or mandatorily accepted by the other spouse. Then what is trade in cooperation? We may imagine that trade in cooperation implies that the business is started by both spouses conjointly. If so, what is its legal implication?

The Effect of Article 15-20 on Marriage Relation

⁴⁴ Ibid.

It seems that the disadvantages of Article 15-20 outweigh the advantages that would be gained. Basically, it undermines the marriage relationship and possibly goes against the foundation of a society by weakening the decision-making power of each spouse, producing conflict between spouses and finally impoverishing the family.

A spouse who disagrees with business activity is entitled to object and the trading spouse is entitled to counter object this objection. This can make the family a battleground. Since the counter-objection is to be submitted to arbitrators, this is inviting third parties to the marriage relationship which is mainly a private affair. There is less chance for the marriage to survive the struggle of both spouses to win in front of the arbitrators. The dispute may also take longer time to resolve. Moreover; since the law encroaches upon individual decision-making right, people may be reluctant to get married.

Moreover; the Commercial Code goes beyond its scope. The relationship between husband and wife is the realm of Family Law. Under the Federal Family Code Proclamation 213/2000 arbitration is used as an institution to resolve family dispute when both spouses agree but the Code seems to make arbitration mandatory. Still more; Family Law is a state matter whereas the Commercial Code is a federal matter.

2.5. Review Questions

1. Ato Bilal had organized a business that he intends to run as a sole trader. His business intends to provide domestic workers under his own risk and responsibility to any individual who has the demand. However; he was very upset by the civil servant in the Ministry of Commerce who told him that he can register his business as a broker only. Is the Civil Servant, right?
2. Name at least five types of business activities not expressly included under the list in Article 5 of the Commercial Code Proclamation No1243/2021.
3. Burkasa is a peasant residing in the vicinity of Addis Ababa, ten kilo meter north of Addis Ababa in the Sendafa direction. He has ten hectares of grazing

land where he carries out a beef farming. In the past he used to sell live animals. But recently he has started to slaughter the oxen with the intention to sell raw, fired and cooked meat. Since his farm is very close to Addis Ababa-Asmara road he has been able to get a ten million birr per year, twenty times what he used to earn earlier. Although most of the jobs are done by him and his family, he employed two cooks and one chef. Based on the demand of his customers his wife and his daughter-in-law have begun to produce tela, tej and other local drinks. But the local leaders have ordered him to take trade license or stop the economic activity. Is he required to get trade license?

4. Recently many public universities in Ethiopia have taken as a fashion to establishing a private limited company to generate income. Please discuss this with your colleagues and instructors from the perspective of the Commercial Code of Ethiopia Proclamation No.1243/2021 and from the perspective of administrative law.
5. The first half part of Article 25 reads as follows:” No business organization shall carry on a trade which it is not permitted to carry...” Does this convey a message that there is no restriction entrepreneurial activity of a sole trader? Comment.
6. Abebe and Milki have been husband & wife since 2010. Abebe started a restaurant business in January 2023. He is registered in a commercial register as a married trader. Milki’s name appears on the commercial register as a wife. However; Milki has been eager to know whether she is a trader as she is the wife of Abebe. Is she a trader? Is it even necessary to determine her status?
7. Article 10 and Article 280(2) of the Commercial Code of the 1960 are repealed under the New Commercial Code. Does this imply that business organizations are always traders? Discuss.

CHAPTER THREE: ASSISTANTS OF A TRADER

Introduction

A trader is either an individual or a commercial business organization or a public enterprise. When an individual is a trader, she is called a sole trader. When a business organization is a trader, it is a general partnership, limited partnership, a limited liability partnership, a joint venture, a limited liability company, a one-person company or a share company. A trader which is a business organization necessarily needs someone acts on behalf of it. Even an individual trader usually needs an assistant to carry out the business activity at least when he gets sick, wants to fulfil social responsibilities, wants to open more branches, etcetera. In short, a trader usually has one or more assistants who are not usually traders themselves. These assistants are called auxiliaries.

The power and responsibilities of these auxiliaries are varied but can be categorized into three groups based on the job description of the employees. The first group are those who provide office support service such as accountants, secretaries, human resources persons, guards and janitors. The second group are those employees that engage in the production of goods/service (for a trader that produce goods/services) such as cooks and chefs for restaurant, engineers in the construction company, weavers in the textile business, and tailors in the garment business. The third group are those employees that have the responsibility of buying and selling goods/service as part of the business activity of a trader. This chapter discuss the effects on the trader of this third group's relation with the clients of the trader. Notice that the relationship of these employees with trader is governed by the employment law and such is outside the purview of the Commercial Code.

Based on the type of the contract that created the relationship between a trader and those individuals that buy and sell goods/services as part of the trader's business activity, auxiliaries can be classified into employment contract and agency contract.

3.1. Commercial Employees (Article (Article 27-41))

Commercial employees are employees of a trader. They are employed to represent the business. These employees are either commercial employees or managers or commercial travellers or commercial representatives. Such classification is based on the breadth of their responsibility and their ability to create contract on behalf of a trader. Commercial employees are not traders; they are auxiliaries of a trader.⁴⁵ Only physical person can be employed as a commercial employee. Employment Law is the default rule that governs the relationship between a trader and the commercial employees: The Commercial Code is a special law. Bear in mind that the Employment Law governs the contractual relation between the trader and the employee without any consideration of the contractual relationship between the trader and his clients due to the commercial activities carried out by the commercial employee on behalf the employer. On the other hand, the Commercial Code is primarily interested in governing the contractual relation between the trader and his clients due to the commercial activities carried out by the commercial employee on behalf of the employer and the relationship between the trader and the commercial employee is the secondary concern of the Commercial Code.

3.1.1. A Sales Person (Article 27-31)

A sales person is an employee that sells goods and services on behalf and in the name of a trader. Any transaction that he makes while on duty creates rights and obligation on the trader. A salesperson is said to be on duty when he enters into a sale contract while he is in the sales store during or even outside of a working hour.

⁴⁵ Ibid Articles 27(2), 32(2), 36(3) and 37(2).

A mere existence of any person in the sales stores implies that the person in the store is a sales person. No additional evidence such as registration in the commercial register is necessary to show that such a person is a sales person. Any transaction the salespersons make or any collection of payment he makes outside the sales store binds the trader only if there is express or tacit authorization to such effect. This means the sales person needs to have additional authorization to deal with clients of the trader outside of the sales store. An employment contract of a sales person may be terminated if the sales person engages in private trade in competition with the trader in his own behalf or on behalf of a third person.⁴⁶

3.1.2. A Manager (Article 32-35)

A manager is a commercial employee who is employed by a trader to carry out acts of management and to sign contracts and documents on behalf and in the name of the trader.⁴⁷ A manager is an employee of a trader and he is not a trader himself although the trader carries out the business activity via the manager.⁴⁸ The employment of a manager has to be entered into a commercial register although third parties may use the contract of employment as evidence to show the managerial power of an employee.⁴⁹

The manager has agency power of a general agent. A general agent is empowered to carry out acts of management directly related to the business activity.⁵⁰ This act of management includes hiring and firing of employees, buying goods/services necessary for the business activity, entering into loan contract, receiving payment and also making payment. As part of his activity, he may sign negotiable instruments.⁵¹ In short, he represents the trader in all juridical activity except that he

⁴⁶ Ibid Article 29(2).

⁴⁷ Ibid Article 32(1).

⁴⁸ Ibid Article 32(2).

⁴⁹ Ibid Article 33.

⁵⁰ Ibid Article 34 (1).

⁵¹ Ibid Article 34(1).

cannot sell or mortgage an immovable property or the business itself.⁵² A limit on the power of the manager in the contract of employment is null and void even when it was entered in the commercial register except where such limitation is geographical limitation.⁵³

3.1.3.A Commercial Traveler (Article 36, 38, 39 & 41)

A commercial traveller is employed to advertise the goods and services of the trade by going from the head office of a trader to the residence of a possible client.⁵⁴ This employee's main duty therefore; is to find a client and solicit the goods/services of the trader. He is not a sales person although he might carry the goods with him for sampling purpose.⁵⁵ This means any contract that he enters into on behalf the trader does not bind the trader unless impliedly or expressly approved. An employment contract of a commercial traveller may be terminated without compensation if the employee engages in private trade in competition with the trader in his own behalf or on behalf of a third person.⁵⁶ A commercial traveller's employment contract may terminate without following the labour law but if the termination is unjustified the employee is entitled to compensation equivalent to the expansion of the trader's market or the customers introduced by him.⁵⁷

3.1.4.A Commercial Representative (Article 37, 38, 39, 40 & 41)

A Commercial representative is employed to advertise the goods/services of the trader outside of the trader's business residence.⁵⁸ A commercial representative is an ambassador of a trader. This employee's main duty therefore; is to find a client and solicit the goods/services of the trader outside of the business residence area. He

⁵² Ibid Article 34(2).

⁵³ Ibid Article 35.

⁵⁴ Ibid Article 36(1).

⁵⁵ Ibid Article 36(1).

⁵⁶ Ibid Article 38.

⁵⁷ Ibid Article 41.

⁵⁸ Ibid Article 37(1).

is not a sales person and any contract he enters into does not bind the trader although he might carry the goods with him for sampling purpose.⁵⁹ Commercial representative differs from commercial traveller in that the former works outside of the business place of the trader whereas the latter resides in the business place of the trader. An employment contract of a commercial representative may be terminated without compensation if the employee engages in private trade in competition with the trader in his own behalf or on behalf of a third person.⁶⁰ A commercial traveller's employment contract may terminate without following the labour law but if the termination is unjustified the employee is entitled to compensation equivalent to the expansion of the trader's market or the customers introduced by him.⁶¹

3.2. Agents of a Trader (Article 42-60)

In his relation to his clients in addition to commercial employees, a trader may also be assisted by agents who carry out agency service as a business activity. A trader creates contractual relation with agents by agency contract. The similarity between commercial employees and Commercial agents is that both represent the trader before his clients. The law of agency is the default rule that governs the contractual relationship between the agent and principal as well as the relationship between the principal and third parties with whom an agent has entered into transaction. Commercial agents are traders themselves. Commercial Agents may be physical person or a business organization or a public enterprise. Agents that help the trader in his business activity may be commercial agent or commercial broker or commission agent.

⁵⁹ Ibid Article 36(1).

⁶⁰ Ibid Article 38.

⁶¹ Ibid Article 41.

3.2.1. A Commercial Agent (Article 42-53)

A Commercial agent is an agent “who is entrusted by a trader with representing him permanently in a specified area or to certain customers of the trader and dealing or making agreement in the name and on behalf of the trader.”⁶² Notice that the word ‘permanently’ implies that the commercial agency contract is not time bound or is for an indefinite period of time. So, if a trader appoints someone as an agent to represent him only on a particular dealing or only for a specified period, such agent is not a commercial agent. This means such agency relationship is beyond the scope of Article 42(2, 3), 43-53 of the Commercial Code and the agency law has to be resorted to as a default rule. Geographical limitation or client type or even identity limitation could still be made in commercial agency contract.⁶³

o Duties of a commercial agent towards a trader:⁶⁴

- act in utmost good faith and diligence
- assure in words and practice that he is exclusive agent
- report his activities as soon as possible
- provide market information to the trader as soon as obtained
- keep trade secrets
- abstain from carrying on a private trade similar to the trader by himself or on behalf of others in his duty area
- carry out his responsibility personally⁶⁵
- abstain from carrying on a private trade similar to the trader by himself or on behalf of others in his duty area even after termination of agency contract for at least three years or more as provided in written contract⁶⁶

⁶² Ibid Article 42(2).

⁶³ Ibid Article 42(1).

⁶⁴ Ibid Articles 43, 44, and 45.

⁶⁵ Ibid Article 49.

⁶⁶ Ibid Article 53.

- bear the recurrent costs and expenses of the agency activity as the agent is a trader himself However; a contract with the trader may provide to the contrary⁶⁷
- o Sanctions for violation of Obligations by the Commercial Agent
 - termination without notice⁶⁸
 - termination of agency contract plus damage when the agent carries out similar private trade⁶⁹
- o Duties of a Principal (Trader) (Article 46-48)
 - Cooperate with the commercial agent whenever demanded such as by making all necessary information and samples available to him. Good faith is expected from both parties as such is the foundation of any contractual relations.⁷⁰
 - Pay expenses directly related to the transaction entered by the agent on his behalf⁷¹
 - Pay remuneration to all dealings entered or could have been possibly entered into on behalf of the principal in the geographical area/clients specified in the commercial agency agreement. It does not matter if;
 - ❖ the transaction was entered by the principal himself or another agent of the principal⁷²
 - ❖ the transaction was not carried out as far as there was a possibility of entering into such transaction⁷³
- o Causes of Termination of Commercial Agency Contract (Article 50)

⁶⁷ Ibid Article 47.

⁶⁸ Ibid Article 50(2).

⁶⁹ Ibid Article 45(3).

⁷⁰ Civil Code of Ethiopia, Articles 1713 and 1731.

⁷¹ Commercial Code of Ethiopia, Article 47.

⁷² Ibid Article 48(1).

⁷³ Ibid. However; the principal may prove the fault of the agent to avoid the obligation.

- expiry of the business activity⁷⁴
 - death, incapacity, dissolution of the commercial agent or the principal
 - termination by notice for no good cause
 - termination without notice for good cause
- o Consequences of Termination of Commercial Agency Contract (Article 51-53)
- compensation when termination is without good cause
 - all remunerations and expenses due shall be paid forthwith
 - agent shall receive remuneration for all contracts negotiated or entered into agent shall abstain from carrying on a private trade similar to the trader by himself or on behalf of others in his duty area/clients.

3.2.2. Commercial Broker (Article 54-57)

A Commercial Broker is a person who is appointed by a trader to negotiate contracts with third parties on behalf of the trade.⁷⁵ Commercial Broker is a facilitator, intermediary or negotiator or a go-between between a buyer and a seller of goods/services. He may be employed to this task either by a buyer or a seller or sometimes by both. His role is similar to that of conciliator or mediator. A commercial broker is not an agent and hence any transaction he enters into or any payment he receives does not bind a trader. The obligation of a commercial agent is to inform both parties of the terms of a proposed contract.

- o Right to remuneration (Article 57)
- the right depends on a conclusion of contract only

⁷⁴ Notice that Commercial Agency Contract is defined as a permanent contract and therefore Article 50(1) of the Commercial Code should be understood to mean not the time of the contract but the expiry of the market which makes the agency unnecessary.

⁷⁵ Commercial Code of Ethiopia, Articles 54 and 55.

- only a trader who agreed to use the brokerage service pays
- bad faith of the commercial broker nullifies his right to remuneration

3.2.3. Commission Agent (Article 58-60)

A commission agent is an agent who is authorized by a trader “to buy or to sell goods, movables or any other thing of a similar nature in his name, but on behalf of the principal, or to enter into a contract of carriage of goods in his name but on behalf of”⁷⁶ the trader. A commission agent undertakes the same thing as a commercial agent on behalf a trader, but the distinction between the two types of agency is that in case of commission agent the contract is concluded by the name of the commission agent himself although the benefit of such contract goes to the trader. This means a principal trader is unknown to those who buy goods/services of this trader or sell goods/services to this trader. However; a commercial agent clearly discloses the trader’s name to clients. The best example of commission agent is a stock broker.

o Applicability of the Civil Code (Article 2234-2252)

Article 59 of The Commercial Code specifies the details about the Commission Agent to the Civil Code Provisions. The Civil Code provisions contain detailed rules about types, rights and duties and liabilities of commission agent. Such details are already covered under the Law of Agency and there is no need to repeat here.

3.3. Review Questions

1. Discuss stock broker commission agency contract.
2. Some argue that Article 59 of the Commercial Code Proclamation No.1243/2021 is the result of poor drafting. These individuals argue that the details about the commission agent which currently exist in the Civil Code should have been

⁷⁶ Ibid Article 58(1).

imported to the Commercial Code while that part of the Civil Code repealed at the same time. Do you see any logic in this proposal?

3. Alemitu, Sintayehu and Birara have been residents of Addis Ababa since they entered into a contract to sell hair conditioners imported by Jelly Ethiopia PLC by going home to home in Bole Sub-City. Jelly Ethiopia introduced this marketing strategy in September 2018 by entering into a contract to that effect with Alemitu, Sintayehu and Birara. The contract between Jelly Ethiopia PLC and Alemitu, Sintayehu and Birara states that the girls receive conditioners from the company and sell the same only in Bole sub city and for every hair conditioner sold the girls are entitled to five per cent of the total sale price. Please determine the type of contractual relation that exists between the company and the three girls and also explain why it is important to identify the type of the contract.

The Commercial Code Proclamation No.1243/2021 does not contain an express provision that prohibit a general manager to engage in private trade similar to the commercial activities of a trader. What does this imply.

CHAPTER FOUR: COMMERCIAL REGISTRATION, TRADE NAME REGISTRATION, AND BUSINESS LICENSE

Introduction

Sometimes it might be in the interest of the public to regulate the entry of a trader into a trading activity. This shows that a decision of a person to engage in an entrepreneurial activity may not be enough to start operating business. A government may want to further provide additional conditions to engage in a certain entrepreneurial activity. The government of the FDRE has already shown its desire to provide additional conditions to engage in a certain entrepreneurial activity by enacting commercial registration, trade name registration and licensing law.

The objective of this chapter is to describe:

- o the conditions that a trader has to fulfil to obtain a certificate of commercial registration, trade name and business license
- o the procedures to be followed to check the fulfilment the conditions
- o responsible government organ to check the fulfilment of such conditions

The chapter takes the following as its main objective:

- o define commercial registration, trade name and business license
- o define the public interest that the government intend to protect by requiring a trader to obtain commercial registration, trade name registration and business license certificates
- o list conditions that should be fulfilled to be entered into a commercial register, and to get a trade name registration and a business license
- o identify government organs responsible to register trader and trade name and grant a business license
- o describe the procedures that a trader has to follow to enter himself and his trade name into a commercial register and obtain a business license

- o describe the sanctions for starting entrepreneurial activity without a commercial and trade name registration and without a business license

To carry out its mission this chapter is organized into five sections: section one deals with commercial registration, section two is on trade name registration, section three is about business License, section four describes consequences of commercial registration, trade name registration and obtainment of business licenses and section five is the sanctions imposed on a trader for failure to register and obtain business licenses.

4.1. Commercial Registration

Under this subsection we shall:

- o define commercial registration and analyse the public interest that the law intends to protect
- o describe persons that should enter into commercial register and entries of the commercial register
- o describe requirements of that a trader has to fulfil to enter into a commercial register
- o enumerate the causes for cancellation of commercial registration

4.1.1. Commercial Registration & Public Interest

Commercial Registration indicates the entering of a name of a trader, the type of a business activity he intends to engage in, the name of the business (trade name) and other related information in a document prepared to register traders. The public interest that the commercial registration could possibly guarantee are market competition and the individual right to information. Market competition presupposes free flow of information but information asymmetry is usually the main challenge of market economy. In order to solve this problem, the government may require every person who engages in business activity to get registered in the commercial

register and make the registration open to the public. This has at least three benefits. The first benefit is to the trader himself and other traders. This means a trader can have information about who engages in business activity, the type of business activity and the address of a trader. Such information may help a trader to plan his business activities. The second benefit is information to the regulatory organ that has the responsibility to enforce competition laws. The third benefit is for the consumers/clients of the trader so that the consumers/clients can have full information to make the trader accountable. The constitutional rights of freedom of information may also be the reason why the government forces traders to enter their names and other relevant information in the commercial register.

4.1.2. Persons to be registered

According to Article 82 of the Commercial Code the persons to be registered in the Commercial Register are traders and commercial representatives. But the Commercial Registration and Licensing Proclamation contain additional lists. Thus, the cumulative reading of the two laws gives us the following lists:

- traders (including franchisor and institutional investors)
- commercial representatives
- sectorial associations
- associations allowed to engage in business activities

We have to notice that the citizenship of the trader or the duration of the business activity or the size of the capital of the trader is irrelevant to determine the persons to be registered. Anybody that intends to carry out business activity in Ethiopian territory for definite or indefinite period has to enter itself in the commercial register.

4.1.3. Entries in the Commercial Register

- o Content of the Entries: What has to be registered?

Things that have to be registered are facts that describe the trader such as the name of the trader, his address and the business activities he carries out and trade name. A trader may have one or more businesses and all these businesses have to enter into the commercial register.

The entries may be principal, subsidiary, complementary, alteration or deletion.⁷⁷ The content of entries depends on the type of registration. The types of registration are two: principal or registration.⁷⁸ Principal registration implies that a trader is entering into a commercial register for the first time. registration implies that the trader was principally registered somewhere else in Ethiopia. In a registration he is making subsidiary or complementary registration such as opening new branches.

In case of principal registration, the following information about the trader must be entered in the commercial register:⁷⁹

- first name, father name and grandfather name
- date and place of birth
- nationality
- personal address
- the date on which a minor trader was authorized to carry on trade by his tutor
- the place and date of the marriage a married trade
- the information concerning dissolution of marriage for a widow/widower trader
- Whether a trader created the business or bought it or leased it and in case of lease, the name of the lessor and all other information necessary for registration

⁷⁷ Ibid Article 78.

⁷⁸ Ibid Article 86 and 87.

⁷⁹ Ibid Article 87.

- the trade name (the name of the business)
- the trademark, if any
- the address of the business
- the addresses of other businesses, branches or representative offices, if any, which the trader operates either at the place of registration or in other places
- the names of branch managers, if any, and whether their powers are limited to the management of a branch
- the date on which the license for carrying on the trade was granted, if any

In case of registration the following information about the trader must be entered in the commercial register:⁸⁰

- first name, father name and grandfather name
- nationality
- personal address
- the trade name of the business, branch or representative office
- the address at which the business, branch or representative office is located
- the object of the trade
- the name of the manager and whether his powers are limited to the management of a branch
- the date on which the license for carrying on the trade was granted, if any
- the place of principal registration and the registration number

o Steps to get entered in the commercial register:

Entries in the commercial register are made in the following steps:⁸¹

- a request by a trader for registration by filling application form and attaching necessary documents to this application form

⁸⁰ Ibid Article 88.

⁸¹ Ibid Articles 79 and 80.

- a verification by the official in charge of the register of the accuracy of the statement made by the person applying for registration
- make entry of the information in the commercial register
- issue certificate of registration
- transmit information and documents to the Central Data Base

4.1.4. Government Organs Responsible to put entries in a Commercial Register

Commercial registration is carried out both by the Ministry of Trade and Industry and Bureaus' of Trade & Industry.⁸²

Ministry of Trade and Industry registers the following:⁸³

- companies
- foreign business persons
- federal public enterprises
- commercial representatives
- sectoral associations to be organized at federal level
- foreign branch offices of chambers of commerce
- any person who wants to engage in business category to which the license is issued by the Ministry

4.1.5. Cancellation of Commercial Registration

A trader can be cancelled from a commercial register if any of the following happens:

- a trader stops operating a business
- cancellation is imposed as an administrative penalty

⁸² Anything not reserved for the Ministry of Trade and Industry can be under the jurisdiction of the States.

⁸³ Regional governments including city administrations register partnerships and sole proprietorships.

- court gives an order to cancel the business license
- fraud was committed during registration
- a trader failed to start business operation within one year unless justified
- cancellation of business license for any reason

4.2. Trade Name Registration

Trader's name is the name that is used to identify a trader from other traders or individuals. It is one of the attributes of legal personality. In case of physical person, a trader's name is the name that the trader uses in his civil life and such name is governed under the Civil Code. In case of business organization, the name is determined by the partners/shareholders as provided under Book II of the Commercial Code. Company name or partnership name is a name of a trader (artificial person). When a person exercises his rights such as entering into a contract, sue and be sued he has to use his name, which is the name of the trader.

A trade name is a name of a business. A trader may operate multiple businesses. For example, a trader may have a hotel business in Addis Ababa, a tour guide business in Lalibella, a dairy farm business in Sheger. A trader uses a trade name in order to distinguish these businesses from each other and from similar businesses of other traders. Registration of a trade name is quite important to provide sufficient information to consumers and to protect a trader himself against unfair competition which ultimately ensures market competition.

In order to fulfil such public interests that is ensuring market competition, it is mandatory under Ethiopian law to get a trade name registered both at the place where the trader was entered into a commercial register and at the place where the trader obtained his business license for that particular business. However; the trade name that has to be registered should conform to the public morality and the interest of third parties.

4.3. Business License

Under this subsection we try to do following things:

- o define business license
- o guess the public interest that the business licensing law intend to protect
- o implicate the negative aspects of business licensing law
- o describe steps to be followed to obtain business license
- o list organs responsible to issue business license
- o describe renewal, suspension and cancellation of business license

4.3.1. Business License and Public Interest

Business license is an identification card issued by a competent authority to prove that the holder of such card is a trader. It is a means of proving that someone is a trader. This means business license plays a role of identity card. It is prima facie evidences that whosoever; holds a business license is a trader. And to the contrary any person who has no business license is not a trade even if he engages in entrepreneurial activity. Such identification is a very important source of information for a consumer, tax collector and crime prevention police. By looking at a business license a consumer could easily recognize that the person with whom he is dealing is a trader. A consumer could also easily know the name and the address of a trader with whom he is dealing. Business license could also simplify the tax collection activity since the business license relieves the tax collector from trying to answer a question whether the person with whom he is engaging is a trader as per Article 5 of the Commercial Code.

Moreover; a crime prevention police would also be relieved of a daunting task of distinguishing morally or criminally prohibited activities from legitimate entrepreneurial activities. The crime prevention police can consider any activity carried without business license as morally or criminal prohibited and any activity

carried by business license holder as morally and legally permitted. It is the responsibility of a business license issuing authority to distinguish immoral or illegal activity from moral and legal activity. This indicates that business license issuance

However; court may prove that a person holding a business license is not actually a trader. This might happen when the business license issuing authority commits mistake while identity entrepreneurial activity from ordinary economic activity and wrongly issues a business license for an economic activity excluded by the law from the realm of entrepreneurial activities. Similarly, the business license issuing authority may fail to issue a business license for a certain entrepreneurial activity believing that such activity is not an entrepreneurial activity.

As we discussed in Chapter One a democratic government interferes in any activity of a trader only when such interest is intended to protect a public interest. Thus, there must be a public interest that the government has intended to fulfil while requiring a trader to get business license to start his entrepreneurial activity.

What can these public interests that the Ethiopian Government has intended to ensure by requiring traders to get business license to start entrepreneurial activities?

It is not possible to get a source that give direct answer for the above question. But it is possible to get the answer from the preamble and also some provisions(such as provisions that describe conditions to be fulfilled to obtain and renew a business license, reasons for cancellation and suspension of business license) of the Commercial Registration and Business Licensing Proclamation No.980/2016, the Commercial Registration and Business Licensing Amendment Proclamation No.1150/2019, the Commercial Registration and Business Licensing Regulation No.392/2016, the Commercial Registration and Business Licensing Regulation Amendment No.461/2020, and the Directives issued by the Ministry of Trade & Industry to implement the Proclamation and the Regulation.

Accordingly, one can reasonably guess the following as the public interest that the Ethiopian government intend to protect:

- o Crime Prevention
- o Health & Sanitary Protection
- o Environmental Protection
- o Safety Precaution
- o Quality Standard Assurance

Article 24(1) the Proclamation provides that one the responsibility of the business licence issuing authority is to ascertain that “the business activity intended to be carried on is not prohibited by law.” This implies that the business license is intended to make sure individuals never publicly engage in morally or criminally prohibited activities under the guise of engaging in entrepreneurial activities. Article 29(1a) authorizes business license issuing authority to suspend a business license it has issued if the license holder fails to meet health and sanitary standards. This same sub article further provides that the license may also be suspended for failure to fulfil Environmental protection standards, safety standards and quality standards.

o The negative aspects of business licensing law

As stated above the business licensing law is intended to protect public interest. But we have to also notice that it may also be against certain types of public interests. This means the public interest protected by business licensing requirement is not without side effects.

One of the major draw backs of business licensing is stifling entrepreneurship. As we stated above the business license issuing authority has to check whether the entrepreneurial activity for which business license is sought is morally and legally acceptable. The civil servant that issues the license has the tendency to reject for innovative economic activities as if such activity is not recognized as entrepreneurial activity under Article 5 of the New Commercial Code. Although there is a right to

appeal against the decision of such civil servant, the business idea may possibly expire until the court rules on the appeal. Even the court itself may not understand the innovative nature of the activity applied for. This is a very serious disadvantage in a country like Ethiopia where trial and error are the best strategy to go out of poverty and where there is very infant entrepreneurial tradition.

The second major problem of business licensing law is the possibility creating market entry barrier thereby shielding market monopoly. The business issuance procedure may take long thereby prohibiting or delaying the entry of competitor into a market timely. Government officials and civil servants may intentionally and sometimes unintentionally collaborate with dominant suppliers to block new entrants into a market.

The third shortcoming is responsibility confusion in relation to crime prevention. Crime prevention is the proper job of a police and public prosecutor rather than a civil servant in the Ministry of Trade and Industry. There is a high possibility that a civil servant in the Ministry of Trade and Industry to consider some entrepreneurial activities as illegal and allow illegal activities as legal. Although the public prosecutor could still prosecute a person who engage in an illegal activity regardless of the business license, the possibility of limiting entrepreneurial activity the civil servant is very high.

The other side effect is administrative and compliance cost. The business licensing law implementation requires a great deal of money from the government budget and a great deal of energy of from the part of the trader. The licensing, supervision, suspension and cancellation measures taken by the government are burdensome on the government budget. If these tasks are not properly handled by the government, such would lead to bad governance and market entry barriers. On the part of the entrepreneurs the cost of complying with licensing requirements can be

burdensome.⁸⁴ What makes the expense of the public and individual trader more painful is the fact that the purpose of business licensing law can sufficiently be attained by the commercial licensing law.

4.3.2. The Entrepreneurial Activities Subject to Business Licensing Law

Does every trader need to have a business license to operate business? Concerning this question there are two views. The first view is that having business license is mandatory for every trader and the second view is that having a business license is an exception and in principle a trader does not need to hold a business license to carry out business activities. Let us see these views one by one.

o Business License is Mandatory

The view that asserts the mandatory nature of business license is based on Article 22(1) of Commercial Registration and Licensing Proclamation No.980/2016. According to this sub article “(No) person shall engage in a business activity without having a valid business license.” This means any activity that can fall under the definition of Article 5 of the New Commercial Code can be performed only after receiving business license. “Any person engaged in business activity without having a valid license...shall, without prejudice to the confiscation of merchandise, service provision and manufacturing equipment, be punished with fine from Birr 150,000 (one hundred fifty thousand) to Birr 300,000 (three hundred thousand) and with rigorous imprisonment from 7 (seven) years to 15 (fifteen) years.”⁸⁵ The current practice of the government corresponds to these provisions: practically no one is allowed to engage in business activity without business license.

o Business License is an Exception

⁸⁴ However; the licensing requirements under the Commercial Registration and Licensing Council of Ministers Regulation No.392/2016 are generally less costly to comply.

⁸⁵ Commercial Registration and Licensing Proclamation No.980/2016, Article 49(2).

Those who believe the exceptionality of business license to certain business activities asserts that business license is necessary for only few business activities expressly listed by a special law and any business activity outside of such list can be carried out without business license. Such belief is based on Article 41(1) and 43(1) of the FDRE Constitution and Article 21 of the Commercial Code. Article 41(1) of the FDRE constitution provides that “(E)very Ethiopian has the right to engage freely in economic activity and to pursue a livelihood of his choice anywhere within the national territory.” This means an Ethiopian is unconditionally entitled to engage in business activities: he/she does not need the blessing/permission of a government to become a trader. By guaranteeing the right to improved living standard, Article 43 (1) of the FDRE Constitution entitles Ethiopians to engage in entrepreneurial activity which involves a freedom to try almost everything and anything with the intention to improve one’s own economic life provided such trial and error would not prejudice human rights and the environment. These two Constitutional provisions therefore; prohibit government from imposing an obligation to obtain a business license on a person intending to engage in business activity. Article 21 of the Commercial Code is the affirmation of the constitutional rights.

However; the above view holds true only if we assume that business license is an entry visa into a realm of business activity. If we take business license as an identification card or a passport, requiring a trader to hold a business license never contradicts the concept of entrepreneurship or freedom to engage in business activity. This means by requiring having a business license, the government is simply demanding the trader to hold a document that proves his identity; it is up to the individual to choose whatsoever business activity to engage in but he has to hold a document that shows the business activity he is engaging in.

Incidentally we have to notice that defining business license as identity card/passport denies the licensing authority the power to refuse to give business license for

whatsoever reasons except the vagueness/ambiguity of the business activity to be carried out.

4.3.3. Conditions and Steps to Obtain Business License

o Conditions to Issue Business License

The issuing authority has to consider only three things to issue a business license. The first and the very basic thing is submitting commercial registration certificate, and the second thing is the description of the business activity and no other condition and the third is morality & legality of the business. It obvious to condition business license to a trader's declaration of application. Furthermore; a trader who applies for business license has to clearly and precisely indicate the business activity he/she intends to carry out in the application form. The business licensing authority may refuse to issue a business license of the business activity is not clearly indicated. The business licensing authority may also refuse to issue the license if it believes that such activity is immoral or illegal.

o Steps to Obtain Business License

The steps to obtain a business license are simple. As indicated under Article 23 & 24 of Commercial Registration & Licensing Proclamation No.980/2016, and Article 23-29 Commercial Registration and Licensing Council of Ministers Regulation No. 392/2016; there exist two steps to get the business license. The first step is completion of an application form prepared by the licensing authority and submitting such application form with necessary documents that prove the identity of the applicant, manager of the business, and other similar documents. The second step is issuance of the business license by the concerned government institution.

For the purpose of determining the necessary documents that has to be attached to the completed application form, traders or activities are categorized as follows:

- Sole trader

- Partnership & private limited companies
- Share Company
- Public enterprise
- Commercial representative
- International organization winning international bid
- Associations authorized to engage in business
- Boarder trade
- Franchising⁸⁶
- Foreign trade exhibition⁸⁷
- Holding company⁸⁸

A sole trader has to attach the following documents:⁸⁹

1. Identity Card & Two passport size photograph of the trader
2. Manager's Identity Card
3. Certificate of commercial registration
4. Investment license in case of foreign investor
5. Statement of the address of the business if there exists principal and branch
6. Proof of business premise or written confirmation of the address of the business by the local administration
7. Certificate of competence, if applicable

⁸⁶ The documents that a franchisor has to attach to the application for obtainment of franchise license are not expressly provided under Commercial Registration and Licensing Council of Ministers Regulation No.392/2016 although Article 48 of the same regulation may give a hint. A more serious challenge however is whether business license is a requirement to enter into a contract of franchising since franchising may be considered as part of the original business for which license was already obtained.

⁸⁷ Commercial Registration and Licensing Proclamation No 980/2016 expects the Council of Ministers to decide the conditions to grant permission to hold foreign trade exhibition.

⁸⁸ The Commercial Registration & Licensing Regulation No.392/2016 does not indicate documents to be submitted to obtain business license. There is a doubt whether holding company form is a business activity.

⁸⁹ Commercial Registration & Licensing Regulation No.392/2016, Article 23.

A partnership or a private limited company has to attach the following documents:⁹⁰

1. Identity card of the Agent & document indicating the agency
2. Certificate of Commercial Registration
3. Two passport size photographs and Identity Card of the manager & authenticated document indicating appointment
4. Authenticated Memorandum of Association
5. Investment Licence in case the trader is foreign investor
6. Where there are foreign incorporated Partnership or Private Limited Company as shareholder the following additional documents
 - o its certificate of incorporation issued at the country of formation
 - o a notarized minute of resolution or other similar decision passed by the authorized organ to join the business organization
 - o address of principal & branch office
 - o Investment License
7. Proof of business premise or written confirmation of the address of the business by the local administration
8. Certificate of competence, if applicable

A share company has to meet the following conditions in order to obtain a business license:⁹¹

1. Identity Card of the Agent & authenticated document indicating the agency
2. Certification of Commercial Registration
3. Two passport size photographs and Identity Card of the Manager & authenticated document indicating the appointment

⁹⁰ Ibid Article 24.

⁹¹ Ibid Article 25.

4. authenticated memorandum of association
5. Passport & Investment permit in case a foreign investor is a shareholder
6. Where there are foreign incorporated Partnership or Private Limited Company as shareholder the following additional documents
 - o its certificate of incorporation issued at the country of formation
 - o a notarized minute of resolution or other similar decision passed by the authorized organ to join the business organization
 - o address of principal & branch office
 - o Investment License
7. Proof of business premise or written confirmation of the address of the business by the local administration
8. Certificate of competence, if applicable

A Public Enterprise has to meet the following conditions in order to obtain a business license:⁹²

1. Identity Card of the Agent & authenticated document indicating the agency
2. Certificate of Commercial Registration
3. Copy of the law that establishes the Public Enterprise
4. Two passport size photographs and Identity Card of the Manager & letter indicating the appointment
5. Proof of business premise or written confirmation of the address of the business by the local administration
6. Certificate of competence, if applicable

A trader has to produce the following conditions in order to obtain a special certificate of commercial representative:⁹³

⁹² Ibid Article 26.

⁹³ Ibid Article 27.

1. The business license of the trader / an attorney; original and copy of power of attorney given by the principal and valid Business License of the trader & Identity card and Two passport size photograph of the commercial representative
2. Certificate of registration of the representative
3. bank confirmation for deposit of minimum of USD 100,000 (One Hundred Thousand United States Dollar) in domestic bank in the name of the representative
4. Proof of business premise or written confirmation of the address of the business by the local administration
5. Details explanation of the business activities of the representative
6. verification showing commitment to obtain residence and work permit from appropriate government body

An International Business Organizations winning International Bid has to meet the following conditions in order to obtain a business license:⁹⁴

1. Identity Card of the Agent & authenticated document indicating the agency in case the application is made by person other than the manager
2. Completed Application Form
3. Certificate of Registration
4. Two passport size photographs and Identity Card of the Manager & letter indicating the appointment
5. Original and necessary copies of passport of the manager
6. Notification of business address
7. The bid agreement from the bidding body and
8. A support letter of registration requirement from the bidding body

⁹⁴ Ibid Article 28.

An Associations Authorized to engage in business has to meet the following in order to obtain a business license:⁹⁵

1. Identity Card of the Agent & authenticated document indicating the agency in case the application is made by a person other than the manager
2. Completed Application Form
3. Commercial registration certificate
4. Two passport size photographs and Residence Identity Card of the manager & authenticated document indicating appointment
5. Proof of business premise or written confirmation of the address of the business by the local administration
6. Certificate of competence, if applicable

An applicant for issuance of special certificate of business license of border trading shall submit the following documents with the application form:⁹⁶

1. Certification from the area where the border trade is conducted stating that the concerned applicant is of Ethiopian nationality and a resident.
2. Written confirmation of authorization from the concerned authority to engage in border trade activity.
3. Two passport size photographs taken within six months' time, which shows clear identity of the applicant
4. Original and necessary copies of valid identification card or passport of the applicant
5. Certificate of Tax Identification Number (TIN)
6. Written verification issued from the area of the business attesting the business address of the applicant

⁹⁵ Ibid Article 29.

⁹⁶ Ibid Article 44.

4.3.4. Organs Responsible to Issue Business License

The organs responsible to issue business license can be categorized into three. These are:

- the Sectorial Ministries/Agencies/Authorities
- the Ministry of Trade & Industry
- the States' Bureaus of Trade & Industry

The business activities that should be issued a business license by the Sectorial Ministries/Agencies/Authorities are specifically listed under Article 21(4) of Commercial Registration & Licensing Proclamation No.980/2016. The lists of the business activities and the corresponding responsible Ministries are the following:

- prospecting and mining of minerals- Ministry of Mining
- various water works services- Ministry of Water and Natural Resource
- Financial Services- National Bank of Ethiopia
- Aviation Business- Ethiopian Aviation Authority
- radioactive materials and radiation emitting equipment- Ethiopian Radiology Authority
- telecommunication services- Ethiopian Telecommunication Authority
- Electric Power Supply - Ethiopian Electricity Authority
- Fire arm and Explosive supply & Maintenance- Ministry of Defense
- Water Transport Service- Ministry of Transport & Logistics
- Multimodal transport services- Ministry of Transport & Logistics
- broadcasting services- Ethiopian Broadcasting Authority
- Security exchange and related activities- Ethiopian Capital Market Authority

All other business activities that are not expressly mentioned under Article 21(4) of Commercial Registration & Licensing Proclamation No.980/2016 shall be licensed either by the Ministry of Trade & Industry or States' Bureau of Trade and Industry but not by both. However; since the proclamation does not expressly mention the

types of business activities that should be licensed by the Ministry of Trade and Industry as well as by the States Bureau of Trade & Industry, we have to rely on Article 51, 52, 55 and 96-99 of the FDRE Constitution, and the practice of the Ministry of Trade & Industry and the States' Bureau of Trade and Industry.

Such sources imply that Ministry of Trade and Industry issues a business license for:

- interstate business activities
- import and export trade
- boarder trade

States' Bureau of Trade and Industry issues business license for any business activity limited within their administrative boundary regardless of whether the business activity is carried out by a sole trader or a business organization, a public enterprise, an international business organization or association, an association or a commercial representative. The only criterion is the area limit of a business activity for which a license is sought.

However; a trader who has received business license from a State can open branches in other states without receiving additional business license but such trader has to make registration. This implies that the responsibility of Ministry of Trade & Industry is impliedly delegated to the States' Bureau of Trade & Industry.

4.3.5. Validity Period of Business License

A legally issued business license loses its validity because of the following three reasons:

- Not renewed within six months of the end of a budget year
- Suspended by the issuing authority
- Cancelled by the issuing authority or court

o Renewal Period & Renewal Steps

A business license remains valid only for the budget year it is issued or renewed for. This means it should be renewed for every budget year. Any Trader who has used the business for one budget year has to get the business license for the next budget year. To renew his business, license a trader is given a six-month period starting from the first day of the new budget year. For example, if Abebe got a new business license in the month of May, this business license remains valid for the two months of the budget year and has to be renewed if it has to provide service for the whole budget year.

A trader who wants his business license renewed for the next budget year has to submit the following to the business license issuing authority:

- Completed Application form
- Tax Clearance
- audit report in case of an association
- Balance sheet in the case of Private Limited Company
- Identification Card and two passport size photographs of the manager
- authenticated document evidencing power of attorney in case of application completed by an agent
- Proof of business premise or written confirmation of the address of the business by the local administration
- Receipt indicating payment of renewal fee

If the above documents are attached to the completed application form, the license should be automatically renewed. However; company's application for renewal may be refused if its balance sheet shows loss of three-fourth of its capital.

o Consequences of Failure to Renew Business License

Failure to renew license within six months of the new budget year entails two consequences. The first is penalty fee for the remaining months of the budget year.

The fee is birr two thousand five hundred for the seventh month and an additional one thousand five hundred birr for the following five months. For example, if the trader applies for renewal on twentieth day of the seventh month, he pays two thousand five hundred birrs as a penalty fee in addition to the normal renewal fee. But if this trader applies for renewal on 29th day of the eleventh month of the budget year such trader is expected to pay birr eight thousand as a penalty fee in addition to the normal renewal fee. The second consequence of failure to renew business license until the end of the new budget year is cancellation of the business license. A trader whose business license is cancelled is obliged to stop the business activity for one year and can apply for new business license after one year. However; if the trader can prove that it was force majeure that prevented him to get the business license in the budget, he can get a new business license without waiting for one year.

o Suspension of Business License

The second reason that makes a business license invalid is suspension. This subsection reviews the cause and consequence of suspension and the authority that is empowered to order a suspension.

o Causes of Suspension of a Business License

Business license is suspended when a trader violates law of traders such as

- failure to meet standards
 - ❖ health
 - ❖ occupational
 - ❖ sanitary,
 - ❖ environment,
 - ❖ quality
 - ❖ Safety
- violating Obligations of a trader
- Misinforming Licensing Authority

- Using the business license for unauthorized purposes
- leaving place of registration
- violating any regulatory laws
- violating intellectual property rights
- operating without certificates of competence, if any

o Consequences of Suspension

The suspension of business license forces the trader to stop the business activity up until the trader rectifies faults that has led to the suspension. Where the licensing organ discovers that a trader has committed any of the above faults, such licensing organ shall immediately order the suspension of business activity and inform the trader to rectify the fault within specified time.

o Organs empowered to suspend the Business License

The organ that is empowered to suspend a business license is the organ that has issued such business license. However; since court has a constitutional power to interpret a law and pass any decision it deems legal, such constitutional power gives the court to order suspension of a business license. However; court suspension of a business license is a rare case. An organ that issues a certificate of competence may also have an indirect power to suspend a business license since suspension of a competence automatically leads to a suspension of a business license.

4.3.6. Cancellation of a Business License

The second reason that makes a business license invalid is cancellation of the business license. This subsection reviews the cause and consequence of cancellation and the authority that is empowered to order a cancellation of a business license.

o Causes of Cancellation of a Business License

The organ that issued a business license cancels a business license if any of the following happened.

- trader's termination of the business activity
 - the business license was issued or renewed based on falsified document;
 - the business license was utilized for an unauthorized purpose
 - causes of suspension of the business license was not rectified within the time given
 - business license was not renewed within the budget year
 - commercial registration of a business person was cancelled
 - Certificates of competence was cancelled by the issuer of such certificate
 - the business person was declared bankrupt
- o Consequences of Cancellation of Business License
- closure of business premises by the issuing authority
 - a trader can never carry out such specific business activity

Any trader

- who terminated his business activity by returning the business license, within renewal period without penalty can obtain such business license at any time he wants
- who terminates his business license without returning the business license on time can obtain such license after a year
- whose business license was cancelled due to failure to renew in the budget year can obtain such license after a year
- whose business license was cancelled for violation of trade regulation law can obtain such business license after two years
- whose business license was cancelled due to cancellation of commercial register can get the business license just after he obtained certificate of commercial registration
- whose business license was cancelled due to cancellation of certificates of competence can obtain the business license just after he obtained certificate of competence

- the business person who was declared bankrupt can obtain a business license after the closure of the bankruptcy proceeding

4.3.7. Sanctions for Operating Business without Business License

Operating business without entering into a commercial register or without obtaining business license has three cumulative sanctions, namely, administrative, criminal and civil sanctions. This section enumerates and describes such three sanction under the heading of commercial registration, trade name registration and business license.

o Sanctions for Failure to Enter into Commercial Register

▪ Administrative Sanction

There is no administrative sanction for failure to enter into a commercial register. This is because there is no provision in the Commercial Code and the Commercial Registration and Licensing Proclamation No.980/2016(as amended) that authorize a regulatory organ to take administrative measures against a person who operate business without getting registered in the commercial register. This may be for two reasons. The first reason is that a commercial registration is a precondition to obtain a business license and therefore; any administrative measures that is imposed on a person for operating business without business license indirectly punishes the trader's failure to enter into a commercial register. But this justification fails because commercial registration includes amendments and additional entries which may be made after the business license is obtained. Even in cases when the entries were expected to have been made before the obtainment of business license only the certificate of registration considered and the organ that issues the business license has no means to prove that the trader had to make additional entries and amendments in the commercial register. Besides this justification equates the fault of a trader who has entered in the commercial register but failed to obtain license with a trader who operates business without registration and business license. The second reason might relate to the purpose of commercial registration. The government requires

commercial registration to enable third parties to have access to information. This means the government has no means to know whether this right of information is violated. This shows that administrative measures are less productive to enforce individual rights to information and the civil remedy would be more feasible and just.

- Civil Sanction & Criminal Sanction

As provided under Article 103 of the Commercial Code the following facts relating to persons who are traders shall not affect the rights of third parties in good faith where they have not been entered in the commercial register:

- ❖ the minority of the trader
- ❖ the marriage of the trader\
- ❖ the marriage settlement of the trader
- ❖ the dissolution of the marriage of the trader
- ❖ the judgment declaring the trader incapable
- ❖ objection by a spouse
- ❖ the limitation of the powers of a manager to the management of a branch or representative office
- ❖ the removal or dismissal of a manager

- Criminal Sanction

- ❖ shall be punished with fine from Birr 10,000 (ten thousand) to Birr 30,000 (thirty thousand) and with simple imprisonment from one year to three year⁹⁷

- o Sanction for Engaging in Business Activity Without Business License

- Criminal Sanctions

- ❖ punishable with fine from Birr 150,000 (one hundred fifty thousand) to Birr 300,000 (three hundred thousand) and with

⁹⁷ Commercial Registration & Licensing Proclamation No.980/2016, Article 49(8).

rigorous imprisonment from 7 (seven) years to 15 (fifteen) years ⁹⁸

- Administrative Sanctions⁹⁹
 - ❖ closure of business premises by the issuing authority
 - ❖ a trader can never carry out such specific business activity
- Civil Sanction
 - ❖ there is no civil sanction

4.4. Rights & Obligations of a Trader

The consequences of Commercial Registration, Trade Name Registration are entitling a trader to certain rights and also creating certain obligations on such trader. This subsection enumerates such rights and obligations of a trader.

Rights of a Trader¹⁰⁰

The followings are rights of a trader:

o Right to Freedom of Trade

A person who obtained a business license has a freedom to operate the business activity for which he has obtained the business license. This means the government is obliged to ensure the constitutional right of a person to engage in an economic activity of his own choice.¹⁰¹

o Right to Information

Once a person gets the status of a trader, he has the right to obtain information on commercial registration and licensing service.¹⁰² The government is duty bound to

⁹⁸ Ibid Article 49(2).

⁹⁹ Ibid Article 46.

¹⁰⁰ Ibid Article 25.

¹⁰¹ Constitution of the Federal Democratic Republic of Ethiopia Proclamation No. 1/1995 (hereinafter FDRE Constitution), Article 40(1).

¹⁰² Commercial Registration & Licensing Proclamation No.980/2016, Article 25(3).

provide necessary information that a trader needs in order to compete in a market economy.

- o Right to be Protected against anti-competitive trade practices

The government has a responsibility to ensure that the playing field that is the market has to be levelled. For example; it is the duty of the government to make sure that market entry and exist is unhindered by those traders who have market dominance.¹⁰³ Equally a government is responsible to ensure that there are no anti-competitive agreements, concerted practices and decisions.¹⁰⁴ A trader is also entitled to be protected against unfair competition.¹⁰⁵

Obligations of a Trader

The following are the obligation of a trader:

- o ensure public health safety, and environment

A trader has a public responsibility to make sure that his business activity never affects the environment, the public health and safety. For example, a trader has to “carry on the various business activities for which business licenses have been issued in a separate places or premises, where carrying on such activities at the same place or premises endangers public health and safety or property.”¹⁰⁶

- o provide sufficient information about himself

The trader is duty bound to ensure fair trade by providing necessary information to the consumers and the public authorities.¹⁰⁷ For example in case a trader is a share

¹⁰³ Competition and Consumers Protection Proclamation No. 813/2013, Article 5.

¹⁰⁴ Ibid Article 7.

¹⁰⁵ Ibid Article 8.

¹⁰⁶ Commercial Registration & Licensing Proclamation No.980/2016, Article 26(1) and (3).

¹⁰⁷ Ibid Article 26(2, 4, 7, 8, and 9). Notice that sub (5) and sub (6) of the same provision may also imply the duty to provide information.

company or private limited company such trader shall cause audit of his financial statements by auditor every fiscal year and submit reports.¹⁰⁸

o transact at vertical level and avoid monopoly¹⁰⁹

A trader must make sure that any commercial purchase or sell only from those traders in a vertical hierarchy in the chains of business activities. This means a producer can never sale his product to other producers of similar products; a wholesaler can never sell products to another wholesaler of similar products and retailer can never sell to another retailer of the same products. The chain of a business activity has to be:

Producer ➡ wholesaler ➡ Retailer ➡ Consumer

A trader should also refrain from acting as a sole importer or distributor unless authorized by a regulation issued by the Council of Ministers.¹¹⁰ A trader who is authorized to operate as sole importer is duty bound to supply services and spare parts for the machineries it imports.¹¹¹

o keeping books and accounts and preservation of books & correspondences

A trader is legally required to keep books and accounts.¹¹² The books and accounts to be kept and the nature of keeping are as prescribed by the tax law, the Council of Ministers' regulation or the directives of the Ministry of Trade and Industry or book II of this Code.¹¹³ In case such law does not exist or insufficient, the trader has kept books and accounts as required by the business practice.¹¹⁴ The trader may keep the books and accounts either in a digital form or paper form.¹¹⁵ Books and accounts so

¹⁰⁸ Ibid Article 26(8).

¹⁰⁹ Ibid Articles 26(10), 38,43, and 44.

¹¹⁰ Ibid Article 38 and 43.

¹¹¹ Ibid Article 44.

¹¹² Commercial Code of Ethiopia, Article 61.

¹¹³ Ibid Article 63 and 64.

¹¹⁴ Ibid Article 61.

¹¹⁵ Ibid Article 65.

kept and correspondences made by a trader must be preserved for ten years.¹¹⁶ However; petty traders are relieved of this obligation of keeping books and accounts.¹¹⁷

The books, accounts and correspondences kept by a trader benefit among other persons the trader himself, the tax authority and even the creditor of the trader. The trader can use these books, accounts and correspondences as an evidence for any case brought against him in court of law and the tax authority uses the information therefrom to assess the tax obligation of the trader or any other tax payer and the creditors of the trader can also use these books, accounts and correspondences to prove their claim against the trader or any other person.¹¹⁸

o Respect Public Order and Morality

A trader has to behave responsibly and in good faith against the interest of the country and the public. Accordingly, a trader must make sure that its activity is economically efficient, environmentally resilient and socially acceptable. In doing so the trader contributes a lot to the prosperity of the country. Particularly the trader must make sure that its activity may never go directly or indirectly against the criminal law of Ethiopia and the moral value of the society where it operates its business.

4.5. Review Questions

1. Dear students; please form a group of five students and go for a field visit to local trade and Industry office and collect the Directives of Ethiopian Business Licensing Category and evaluate such directives against the FDRE Constitution and Trade Regulation Law.

¹¹⁶ Ibid Article 67 and 67.

¹¹⁷ Ibid Article 62.

¹¹⁸ Ibid Article 68 and 69, and see also the relevant the tax legislations.

2. Dear Instructor: would you please order each student to hypothetically obtain a business license and arrange situations necessary.
3. Identify the business activities that are required to have certificate of competence.
4. Discuss the consequences of entering information in the commercial register.

CHAPTER FIVE: BUSINESS

Introduction

As indicated under Article 40(2) of the FDRE Constitution, Private property “...shall mean any tangible or intangible product which has value and is produced by the labour, creativity, enterprise or capital of an individual citizen, associations which enjoy juridical personality under the law, or in appropriate circumstances, by communities specifically empowered by law to own property in common.” The three basic elements of this definition are the following:

- private property may be tangible or intangible thing
- such thing has value
- such thing is the product of labour, creativity, enterprise or capital
- the producer may be an individual, artificial persons or community

Business fulfils the above four criteria. As we see below business is an intangible or incorporeal movable in its characteristics as property. It has value since it is something useful but scarcely available. Business is the outcome of handwork of a trader (individual, business organization or public enterprise). Therefore; business is a private property.

The owner of private property has the right to dispose of such property by sale or bequest or to transfer it otherwise.¹¹⁹ This means a business owner may transfer his business by sale or donation or he may give it as security for his own debt or other persons’ debt or allow another trader to operate the business upon payment of some fee or without any payment. Business can also be donated or given as a legacy to a legacy in singular or universal title. The only limit to such right is public interest or the rights of other citizens.¹²⁰

¹¹⁹ FDRE Constitution, Article 40(1).

¹²⁰ Ibid.

Title Five of Book One of the Commercial Code has an objective of ensuring that the owner of a business exercises his ownership right without affecting public interest. The Commercial Code is generally a regulatory law. This means unless expressly provided under a specific article that such article be derogated by contract, the articles of the Commercial Code shall be understood as mandatory rules where the parties subject to that specific provision can never change the content of that article by contract. The Commercial Code Proclamation 1243/2021 generally settles a conflict of interest that may possibly exist between the public (the democratic majority) and an individual. As an implication of this responsibility Article 114, 115, 116, 119(1), 122, and 156(2) make reference to the Civil Code. As compared to the Commercial Code Proclamation No.1243/2021, the Civil Code is generally intended to resolve the conflict of interest between the parties to the dispute (such as contracting parties etcetera) and it is therefore; a declaratory law. As can be recalled from the discussion in Chapter One of Part One of this text book laws are either declaratory or regulatory. One of the basic features of declaratory laws is that they are gap filling or complementary/supplementary laws and are applicable only where parties have failed to expressly or impliedly state otherwise. But regulatory laws are set to protect public interest and therefore; are mandatory; parties can never set them aside either expressly or impliedly.

With the intention of ensuring that business owners never contradict public interest, the Commercial Code Proclamation No.1243/2021 begins by defining what is meant by business and proceeds to regulatory limitations on the rights of business owner during sale, mortgage, and hiring and capital contribution. In line with this organization, we first discuss the definition of business and proceed to the regulatory frameworks.

5.1. Definition of Business (Article 106-122)

The Commercial Code defines business as part of its regulatory mission although such definition may also have an incidental effect on a declaratory law. Regulating something is quite difficult without determining the contours of the thing to be regulated. The code defines business in three alternative ways. The first is a précising definition accompanied by explanations as indicated under Article 106-108. The second is enumerating elements constituting a business as indicate under Article 109,112-122.The third is definition by exclusion (Article 110 and 111). Let us start from the precising definition and then proceed to the enumerative definition and definition by exclusion.

5.1.1. Précising Definition of a Business

“A business is an incorporeal movable consisting of all movable property brought together and organized for the purpose of carrying out any of the commercial activities in Article 5 of this Code (Article 106).”

This definition contains the following elements:

- a business is an incorporeal movable
- the incorporeal movable is brought together & organized
- the purpose of bringing together and organization of the incorporeal movable is profit making

o Defining incorporeal Movables

When the law says that business is an incorporeal movable it intends to exclude corporal movables from the contours of business. The cumulative readings of Article 1127 and 1128 of the Code shows that the Code impliedly divides movable properties into corporeal and incorporeal movable. Corporeal movables “...are **things which have material existence** and can move themselves or be moved by

man without losing their individual character.”¹²¹ Although the Civil Code fails to expressly define incorporeal movables, the definition of corporeal movable is sufficient to understand what incorporeal chattels are. Incorporeal movables are things which do not have material existence but can be moved by man without losing their individual characters. Of course, there are no incorporeal immovable since only buildings and lands are deemed to be immovables under Article 1130 of the Civil Code.

Therefore; business does not have anything to do with corporeal movables of a trader such or immovables of a trader even if these properties might have been brought together and organized for the purpose of carrying out commercial activity. For example, a trader is engaging in hotel business, he needs chairs, sofas, kitchen utensils, a land/a building (a premise where clients sit to eat, where food items can be stored), food items, cars used to transport clients or goods necessary for the hotel service. But none of these things form part of a business. Incorporeal properties of the trader are those properties other than corporeal movables and immovables. Only these incorporeal properties are within the contour of business.

o “...brought together and organized”?

Although incorporeal movables are within the contours of a business, they are not business by themselves either individually or in totality. As we see in the next section, trade name, patent rights, and trademarks are some of the examples of incorporeal movable. However; a trade name or a trade mark or patent is not business. A sum total of all these properties do not make a business. What the law means is that these rights are the raw materials (blocks) that a trader needs to build a business. Until the trader uses these properties to build a business, the properties remain ordinary incorporeal properties. As a house builder needs blocks, cements, water, iron bar, iron sheet and the like to build a house, a trader needs incorporeal

¹²¹ Civil Code of Ethiopia, Article 1127. Also note that the Civil Code uses the word chattels to mean movable things.

movables such as trade name, trademark, and patent to build a business. A business is something built by a trader using incorporeal movable properties. The law is referring to this building process when it uses the phrase "... brought together and organized". Bear in mind that as building a house requires certain talent, building of a business also requires an art from the part of a trader. A talented trader builds an excellent business whereas untalented trade possibly builds very poor business.

o Elaborating business (Article 107,108)

- Every trader operates business
- A trader may not own a business
- A business owner may or may not be a trader
- A business may have a branch
- A sale of a branch business makes the branch a principal business

Everybody who is carrying out commercial activity operates a business¹²² but may not necessarily be an owner of the business he operates. The business he is operating might be owned by another person who ceased to be the operator of that business either because he gives it in usufruct or hired it out. However; business is something gradually built up by a trader. A trader who starts commercial activity has an intention to run a commercial activity. Such intention forms the foundation of a business provided the trader advertises such intention and tells the possible clients why such clients should choose his goods/services rather than similar goods/services already available or are on process of being generated. Such advertisement creates some good will and it is such goods will which is the foundation of the business. Then he immediately gets trade name, trade mark and other distinguishing marks. This means just at the time the trader begins a commercial activity, he already has a business unless he already started to run another person's business in which case, he does not own the trade name, the trade mark and other marks and any good will that

¹²² Commercial Code of Ethiopia, Article 107(1).

he gradually develops benefits the business he is operating. He is not building but he is operating the already built business. However; the business may be at its infant stage which is a small business. A trader who begins commercial activity by buying or hiring business¹²³ can have big business. The size of a business is determined by the number of possible customers/clients it has. In fact, the utility of business is to attract as much clients as possible.

As a person can build many houses, a trader can also build many businesses. There is no limit to the number of business that a trader can own or operate other than obtaining a license for each of the businesses. This means a trader can have one or more businesses¹²⁴ which are operated by him or other traders. A person may even engage in a commercial activity of building or buying a business and selling/hiring such business.

A single business may be divided into a principal business and a branch business.¹²⁵ This means a business can be divided into subsets. These subsets could have independent existence whenever necessary. For example: Alemu has a built a hotel business in Addis Ababa which has a trade name the “New Dawn” and a trade mark “L.J”. If he opens branch hotel business in Hawassa, Gondar, Mekelle, Bahir Dar, Debre Birhan, using this trade name and trade mark, then we can say that he has principal hotel business in Addis Ababa and branches in the mentioned town. Whenever necessary it is possible to treat any of the branches as a separate business.¹²⁶ If for example Alemu sells his hotel business in Hawassa, this branch business becomes a principal business itself and the buyer will have a business of his own which has head office in Hawassa.

¹²³ Ibid Article 107(3).

¹²⁴ Ibid Article 107(2).

¹²⁵ Ibid Article 108(1).

¹²⁶ Ibid Article 108(2).

5.1.2. Enumerative Definition of a Business (Elements of a Business (Article 109-121))

The Ethiopian legal system lacks commercial law jurisprudence. That has created fear in the legislator that courts may not sufficiently understand the précising definition given above. In order to avoid such fear, the legislator has resorted to enumeration of elements of a business. It enumerates and defines the incorporeal movables that can be used to build a business.

As we can read from Article 109 of the Commercial Code, business is the organization of some or all of the following properties by the owners of such property to carry out commercial activity:

- good will
- trade name
- trade mark
- distinguishing mark
- right to lease a business premise
- intellectual property rights
- business making methods, etc.

o What does good will mean? (Article 109(1),112-114)

The Commercial Code Proclamation No.1243/2021 avoids giving a direct meaning of good will. The Code limits itself to stating the place/ the proportional share of goodwill in business and the source of good will (where does good will come from), and how good will can be protected. Article 109(1) indicates that good will covers the larger part of business. Article 112 tells us where a business owner gets the good will. According to this article a business owner gets good will from s creation and an operation of business. This implies that business precedes good will; to generate good will one has to first create business and he has to operate this created business. However; it is possible to claim that the second component of Article 112 defines

good will as “... a value which arises from relations between a trader and third parties who may require from him goods or services.” But this is not more than giving a hint. In fact, one can say this is defining what business operation means rather than what good will is. Article 113 describes the techniques that the business owner may use to avoid the erosion of good will. The techniques are prohibiting

- commercial employees, commercial traveller, commercial representative, and commercial agent from carrying on similar private trade
- the lessor of a business premises to carry on similar business on the same building
- a seller of a business from carrying on the same or similar business activity with the buyer for a maximum of five years starting from the date of the sale of the business
- the lessor of a business from creating, buying or otherwise acquiring a business having similar objects during the currency of the hiring contract
- the lessee to compete with the business owner for a maximum of five years

However; the preservation measures are not limited to the above. Article 114 of the Commercial Code further reminds us of the unfair competition measures that could be taken to protect a good will as indicated under trade competition law¹²⁷ and the Civil Code¹²⁸.

N.B Good will is the capacity of a business to attract clients to buy goods/services supplied by the person that operates the business. Compare this definition with the Black’s Law Dictionary 4th edition definition which reads as follows:” The favourable consideration shown by the purchasing public to goods known to emanate from a particular source.”

o Trade Name

¹²⁷ See Trade Competition & Consumer Protection Proclamation No.813/2013.

¹²⁸ Civil Code of Ethiopia, Article 2057.

A trade name is a name of a business.¹²⁹ It enables the clients of a business to distinguish such business from similar businesses built and operated by other traders. In a market economy similar business are assumed to operate side by side by providing similar or the same goods and services to the consumers. These businesses try to win customers by providing better quality, more quantity or offering lesser price. Trade name helps customer to make such identification. A trader can never benefit from his good will if he does not have trade name since he cannot be identified by his clients unless his commercial activity is limited to very small locality. Trade name is also useful to a consumer since it enables such consumer to buy goods/services of a business he likes most.

- o Distinguishing Mark (Article 109(2b))

Although the term distinguishing mark was defined under Article 140(1) of the Commercial Code of 1960, such article is not included under the Commercial Code Proclamation No.1243/2021. We have to note that distinguishing mark is neither a trade name nor a trade mark. Trade mark is a mark that appears on goods/service but a distinguishing mark appears in the premises of a business. For example, the Commercial Bank of Ethiopia raises a pink coloured flag in its business premises and paints this pink colour on its business correspondence letters, calendar etc. On the other hand, Zemen Bank S.C. has built a statue of Chicago Bull in its premises. Similarly, Abyssinia Bank S.C. usually raises a statue of Ethiopian Patriots in its business premises.

- o the right to lease of the premise (Article 116-121)

The whole purpose of Article 116-121 is to define a right or lease of a business premise as part of a business. The right to operate a business on a certain premise for definite or indefinite period is part of a business.¹³⁰ A person who gets a premise

¹²⁹ For more discussion look at the discussion in Chapter Four above.

¹³⁰ Commercial Code of Ethiopia, Article 116 in tandem with Civil Code of Ethiopia, Articles 2896 and 2927.

to operate a specified business may not operate a business other than the business he agreed to operate in the lease contract.¹³¹ The lessor provides such contractual terms in order to protect his business from disintegration. For example, the lessor was operating a hotel business on a premise suspended the hotel business for some time and he let out the premise for tailoring business. The lessee can never operate a hotel business on the premise since such may affect the business of the lessor. We have to bear in mind that it is the business owner who knows an activity that affects his business most.

The lessor is also prohibited from competing with the lessee by opening similar business on a building where the lessee is operating the business.¹³² The court has to order the closure of such business of a lessor in addition to awarding damage to be paid to the lessee.¹³³ A lessee has the right sub-let the premises to the person who buys or his business or who gets his business by lease.¹³⁴ This right can never be set aside by contract of lease of a premise.¹³⁵ If the business is mortgaged the lessor can terminate the lease contract by giving one month default notice to the creditors¹³⁶ so that the right to the lease may not guarantee the debtor of business owner. “Any clause in the contract of lease providing that the contract shall terminate as of right where the lessee is subject to the proceedings provided in Book Three of this Code shall be of no effect.”¹³⁷

5.1.3. Defining Business by Exclusion (Article 110,111)

We have seen the alternative techniques that the legislator uses to define business; précising definition and enumerative definition. Definition by exclusion is the third

¹³¹ Commercial Code of Ethiopia, Article 117.

¹³² Ibid Article 118(1).

¹³³ Ibid Article 118(2).

¹³⁴ Ibid Article 119(1).

¹³⁵ Ibid.

¹³⁶ Ibid Article 120(1).

¹³⁷ Ibid Article 121(1).

technique utilized under Article 110 and 111 of the Commercial Code Proclamation No.1243/2021.

Article 110 provides that a business may consist of corporeal elements such as equipment or goods. Unless expressly agreed by the concerned party's business is limited to incorporeal movables. Article 111 further states that business never contains assets and liabilities that the business owner has acquired or incurred during the operation of the business. Thus, the legislator attempts to define business by excluding corporeal movables and claims from the definition.

5.2. Regulating Property Rights of a Business Owner

As we discussed at the beginning of this Chapter, business is a private property. The owner of a private property has the right to dispose, use and collect its fruits. This means a business owner can sale/mortgage/donate/abandon his business or hire it out with the intention to collect rent fee. Owner's rights are capped by public interest and rights of another citizen. The goal of Article 122-171 of the Commercial Code is to describe such caps. This section summarizes of such caps under four subtitles: sale of a business, mortgage of a business, hiring of a business and contribution of a business as a share of capital.

5.2.1. Sale of a Business (Article 122-142)

What does a sale of a business mean?

A sale of a business is a contract of sale. A contract of sale is defined under Article 2266 of the Civil Code as follows:¹³⁸

¹³⁸ Ibid Article 122. The provision indicates that the Civil Code is a general law on matters relating to sale of a business and the Commercial Code Proclamation No.1243/2021 is a special law. This means unless otherwise provided in the Commercial Code Proclamation No.1243/2021 the contract of sale of a business is governed by the Civil Code provisions dealing with contract of sale.

A contract of sale is a contract whereby one of the parties, the seller, undertakes to deliver a thing and transfer its ownership to another party, the buyer, in consideration of a price expressed in money which the buyer undertakes to pay him.

The basic ideas of this definition are the following:

- the parties to the contract are called seller and buyer
- seller delivers a business and transfer its ownership to the buyer
- the buyer pays a price expressed in money to the seller

Scope of Application of the Commercial Code Article 122-142 applies to:¹³⁹

- sale, and donation of a business by negotiation
- sale of a business by auction for whatsoever reason
- partition of a business for consideration such as sale of a branch

N.B. Selling one or more constituent elements of a business shall not be considered as a sale of business unless there is a proof that such sale of a constituent element is a sale of the business in disguise.¹⁴⁰ This means a business owner can sell the elements of the business such as a trade mark, patent right or even the trade name but the business still remains in the hands of the original owner. However; since good will is the foundation of a business, it is not possible to sell good will of a business separately from the business.¹⁴¹

Written Form is Mandatory (Article 124)

A contract of sale of a business has to be made in writing. Oral contracts are null and void. The written agreement need not be attested by witnesses because the registration of the contract can substitute the purpose of witness attestation.

¹³⁹Ibid Article 123(1).

¹⁴⁰Ibid Article 123(2).

¹⁴¹ Ibid.

Mandatory Contents of a Contract of Sale of a Business (Article 125 & 126)

If any of the following contents are omitted while writing a contract of sale of a business a court may declare such contract null and void.¹⁴²

- two years balance sheet & profit statement
- detail information about a lease a business premise, if any
- any encumbrance on the business, if any

Obligations of a seller of a business (Article 127-131)

The following are contractual obligations of a seller of a business:

- handing over of the business to the buyer
- assist the buyer to take over the good will
- prepare an inventory of all accounting document and books
- make accounting documents and book available for inspection by the buyer for a period of two years
- hand over to the buyer all correspondents that comes to him(seller) after the sale of the business
- refrain from competing with the buyer for a maximum of five years

Obligations of a buyer (Article 132-135)

The following are contractual obligations of a buyer of a business:

- make accounting documents and book available for inspection by the buyer for a period of two years
- cooperate with the seller to take delivery of the business
- liquidate the business
- pay the sell price to the seller after liquidation of the business

¹⁴² Ibid Article 125 cum 126.

Liquidation of a business (Article 133,134,136-142)

From the readings of Article 133,134 and 136-142, it can be conceived that a contract of sale of a business necessitates the liquidation of such business. Here the word liquidation is used to imply that the debt of a business owner in relation to the business he is selling has to be known and settled. To liquidate means to settle a debt by payment or other settlement. A person responsible to liquidate a business is a buyer of that business.¹⁴³ If a buyer fails to carry out this responsibility, he is liable to the creditors who have claim against the seller of the business in relation to the business.¹⁴⁴

o Liquidation Procedures (Article 133,134,136-142)

1. There shall be publication of the contract of sale of the business (Article 133 & 136). As indicated under Article 137 of the Commercial Code, the document to be published on a newspaper has to contain the following details.
 - the names and addresses of the seller and buyer;
 - the type and address of the business
 - the type and address of any branch or representative office which may have been sold with the business
 - the date and nature of the contract of sale
 - the price of the sale
 - the address chosen for service of court summon at the place where the head office of the business is situated

The publication has to be made on a newspaper that has wider circulation in the place where the sold head office and branch office of the business are situated.¹⁴⁵

The notice shall be published within thirty days of the sale of the business.¹⁴⁶The

¹⁴³ Ibid Articles 133 & 136(1).

¹⁴⁴ Ibid Article 134.

¹⁴⁵ Ibid Article 136.

¹⁴⁶ Ibid Article 138(1).

buyer is liable for any damage that the creditors of the seller would suffer due to the delay of the publication of the notice beyond thirty days.¹⁴⁷

2. Creditors may apply to court to set aside the sale (Article 139 and 140). A creditor who comes to know that a business from which he claims payment has been sold has two options. The first option is to talk to the seller and the buyer to get his claim paid or at least guaranteed by the buyer. If this step fails the creditor can apply to the court to get the contract of sale set aside.¹⁴⁸ If the buyer has published the sale as per Article 136, the creditor must file his application to the court within thirty days of the publication.¹⁴⁹ However; if the publication has not been made at all or does not give sufficient information, an application to set aside may be made at any time.¹⁵⁰
3. Distribution of the Proceeds of the Sale (Article 141). If the application of the creditor is accepted by the court since he has a claim against the seller of the business and he made his application within due time¹⁵¹ the court orders that the contract of sale of the business is set aside. The effect of setting aside is to order the distribution of the sale price among the creditors of the seller of the business.¹⁵² Any surplus, if any, after the claims of creditors are satisfied if any, shall be handed to the seller.¹⁵³ We have to notice here that a creditor may apply to set aside the sale even where his claim is not due¹⁵⁴ which implies that the seller of a business loses time benefit to pay his debt once the sale he made is set

¹⁴⁷ Ibid Article 138(2).

¹⁴⁸ Ibid Article 139.

¹⁴⁹ Ibid Article 139(1).

¹⁵⁰ Ibid Article 139(3).

¹⁵¹ It is a well settled civil procedure law principle that whosoever sued has the right to be heard. So, the creditor is duty bound to serve summon to the buyer and the seller and they have the right to submit statement of defense to the court that hears the pleading of the creditor. This principle makes Article 140 of the Commercial Code Proclamation No.1243/2021 redundant.

¹⁵² Commercial Code of Ethiopia, Article 141(1).

¹⁵³ Ibid Article 141(2).

¹⁵⁴ Ibid Article 139(1).

aside by the court.¹⁵⁵ In short the creditors receive the sale price and the buyer becomes owner of the business.

4. Sale of the business by auction (Article 142). There may be a possibility that the sale price of the business may not be enough to cover the claims of all creditors. In such situation creditors have two alternatives. The first alternative is to share the sell price among themselves and proceed against the seller for the remaining claims. This is possible when the seller has unlimited liability (sole trader or partnership) or has other business that has not been sold. However; if the creditors believe this first option will be less successful and further believe that the sale price is actually below the possible market price of the business by at least one-tenth, they can move the court to order the sale of the business by auction.¹⁵⁶ The buyer can participate in the auction and can offer higher price than he agreed with the seller. In case no one turns out to buy the business by increasing the sale price by at least ten per cent the court shall sell the business to a creditor who offers anything more than the sale price. If the buyer fails to participate in the auction or defeated in the auction bid, he loses his right as a buyer and obliged to deliver the business to the new buyer.

When does a Seller get the Price? (See Article 138-142)

As we have discussed the seller gets the sale price after the business is liquidated. This means the sale prices (debt) matures when either of the following scenarios happens:

- the buyer is late to get the sale contract published as indicated under Article 138 or
- no creditor appears to oppose the sale as indicated under Article 139 or
- the opposition is rejected as indicated under Article 140

¹⁵⁵ Ibid Article 141(1).

¹⁵⁶ Ibid Article 142(1&2).

Notice that since late publication produce legal effect as indicated under Article 138(2), the expiry of thirty days after the conclusion of the sale contract may be far from giving the seller the right to immediately claim the sale price. The reasonable thing the seller to do in such situation is to give time bound default notice to the buyer so that the buyer publishes the sale of the business within the time given. Once this default notice is given and the buyer publishes the sale of the business, then the seller has to wait the effect of Article 139 and 140. But if the buyer does not act according to the default notice the sale price has to mature.

5.2.2. Mortgage of a Business (Article 143-155)

Definition of Contract of Mortgaging a Business

A mortgage is a security interest. Mortgage of a business is a security interest on a business since it is a property.¹⁵⁷ A security interest gives a creditor priority right on the property on which he has security interest. A security interest becomes important especially when the properties of the debtor are insufficient to cover his debt. A mortgage is a property right given to a lender, which makes the mortgaged property liable and available to pay the loan in priority of any other persons claim.¹⁵⁸

A pledge is also a security interest. The distinction between mortgage and pledge is the issue related to the possession and administration of the property that is the subject of security interest. If the security interest on the property is pledge the owner gives up his possession and administrative in favour of a creditor or a third party. But if the security interest is mortgaging the owner remains the possessor and administrator. The pledgee proves his priority right by showing that he possesses such thing whereas the mortgagee proves his priority right by showing that he has got his security interest registered in priority of those who challenge his priority right.

¹⁵⁷ Ibid Article 143(1).

¹⁵⁸ Civil Code of Ethiopia, Article 3059(1).

This distinction relates to the proof ownership. If an ownership of a certain property can be proved by possession, then the security interest on such property is pledge where as if the ownership is to be proved not by possession but by title deed then the security interest on such property is mortgage. In principle the ownership of movables that can be proved by possession and the ownership of immovables are always proved by a title deed given by an administrative agency. Due to this legal fact pledge refers to movable property security interest and mortgage usually refers to immovable property security interests. But the ownership of some movables such as ship and businesses are proved by producing document indicating the owner from registering administrative agency.

Sources of Mortgage of Business (Article 143(2))

Although Article 143(2) mentions only law and contract as a source of mortgage, a mortgage may result from the law or a judgment or be created by a contract or other private agreement.¹⁵⁹ A testator may create a mortgage on his business in favour of a singular legatee and a court can create security interest on a business of a defendant/judgement debtor in favour a plaintiff/judgement creditor before or after judgement. Whatever the source of the mortgage of a business (a security interest on a business) the creation of the mortgage produces effect if such creation fulfils the requirements of Article 143-155 of the Commercial Code Proclamation No.1243/202.¹⁶⁰

Legal Mortgage of Business (Article 144-147)

- o Who is entitled to legal Mortgage? (Article 144)

¹⁵⁹ Ibid Article 3041.

¹⁶⁰ Commercial Code of Ethiopia, Article 143(3&4).

Only a seller of a business has legal mortgage on a business.¹⁶¹ His security interest is to the extent of the sale price.¹⁶² As we have seen under Article 134 the seller of a business is entitled to payment of the sale price after the buyer completes the liquidation of the business. The buyer takes possession of the business and possibly the business is registered in his name before the sale price is paid to the seller since payment has to wait for liquidation. To safeguard the seller against possible bankruptcy of the buyer, the law compensates the seller by allowing him to have legal mortgage on the business he sold. Note that Article 144(1b) is a very destructive provision since it has the potential to make us doubt the whole purpose of security interest. As we understand security interest is a priority right. If so, then against whom do the creditors of a bankrupt trader have priority right?

o Precondition to benefit from Legal Mortgage (Article 145(2))

The seller's priority right to collect the sale price of a business he sold is not automatic. There are at least three formality requirements to be fulfilled. These conditions are:

- the contract of sale of the business is made in writing
- the contract of sale is registered
- possibility of bringing an action for cancellation has been entered in the commercial register

o Measures the Seller May take to get the Sale Price? (Article 146 & 147)

What are the remedies available to the seller of business where the buyer is in default? This question relates to the consequences of non-performance of contract of sale. So, the general provisions of the Civil Code Article 2347-2367 apply. The Commercial Code Proclamation No.1243/2021 Article 146 and 147 also provides

¹⁶¹ Ibid Article 144(1a).

¹⁶² Ibid Article 145(1).

cancellation as a remedy provided that cancellation as a remedy for the seller was included in the registration of the sale of the business.

Contract Mortgage (Article 148-155)

Since business is a property, the owner may use it as a security for his own debt or the debt of another person. A mortgagor of a business need not be a trader since a business owner need not be a trader himself (either he might have inherited/bought the business or might have even got by donation or he might have not renewed his business license).¹⁶³ However; the contract of mortgage of a business is valid only if:

- it is made in writing and
- it is registered and
- the relocation of the business registered

Maturity of Security Interest (Article 149-151)

The security interest of a creditor matures in the following situation:

- a debtor is in default of paying his debt
- the contract provides that sale of the business as condition of maturity
- the value of the business declines
- the business is relocated without notice to the creditor

Rights of the Mortgagee of a Business (Article 152, 154,155)

The following are the rights of a person who has security interest on a business:

- right to follow the business
- right to priority

¹⁶³ Ibid Article 148(1).

Priority Right Limited (Article 153)

It is interesting to notice that the priority right of the mortgagee is limited to the elements of the business that existed at the time of the conclusion of the mortgage contract.¹⁶⁴ This is to remind us that business is the sum total of incorporeal property and the business owner can gradually add additional incorporeal properties even after the he has given the business as a mortgage to secure the payment of a debt. Article 153(2) expressly provides that the right of the mortgagee does not extend to these newly added incorporeal properties. However; if the incorporeal properties that existed at the time of the contract are sold away by the owner the mortgagee has the rights as provided under Article 150.

5.2.3. Hire of a Business (Article 156- 167)

Definition of Contract of Hiring Business

“A contract of letting or hiring is a contract whereby one party, the lessor, undertakes to transfer to the other party, the lessee, the possession of an object for a fixed term in return for a consideration called rent or hire.”¹⁶⁵ This definition is insufficient. So, to get the complete meaning of a contract of hiring we have to read Article 2698-2738. Such reading helps us to understand the following: “

- the subject of the contract is movable property
- the contract is for consideration
- the contract is entered into for a define/specified period
- Parties to the contract are called lessor and lessee
- the obligation of a lessor is to transfer the possession of an object
- the lessor remains an owner
- the obligation of a lessee is to pay rent or hire

¹⁶⁴ Ibid Article 153.

¹⁶⁵ Civil Code of Ethiopia, Article 2727.

- the thing will be returned to the lessee after sometime
- the lessee pays rent/hire for the use of the thing

Business is movable property. It can be let-out for hire.¹⁶⁶ Unless otherwise provided by special law, such letting contract is subject to the Civil Code provision which run from Article 2698 to 2738.¹⁶⁷ We have to notice that a lessor may not necessarily be an owner of the business he lets out since the letting contract may give the lessee the right to sub-let.¹⁶⁸ A person may be entitled to use a business without paying anything in return. In such case a contract of free loan governs the relationship between the business owner/the lessor and the business user/lessee.¹⁶⁹

Publication of the Contract of Letting out Business for Hire (Article 157-159)

The following paragraphs summarizes why the contract of letting out business needs to be published, a person that has to make the publication, where the publication has to be made, the contents of the publication and measures to be taken by the lessor and lessee after publication.

- o Purpose of the Publication (Article 157(1) & 159)
 - to produce a legal effect on third party's interest
 - to release the lessor from liability
- o Whose responsibility is it to Publish (Article 157(1))
 - both the lessor and the lessee
- o How to make publication? (Article 157(1))
 - in a newspaper having wide circulation at the place where the head office of the business is situated
- o What shall the publication contain (Article 157(2))

¹⁶⁶ Commercial Code of Ethiopia, Article 156(1).

⁹⁹ Ibid Article 156. The provision makes reference to the Civil Code although the reference made is wrong.

¹⁶⁸ Ibid Article 163.

¹⁶⁹ Civil Code of Ethiopia, Article 2729 cum Article 2767.

- the names and addresses of the lessor and lessee
 - the date and nature of the contract
 - the objects and address of the business
 - the period of time for which the contract is entered into
- o Obligation of the Lessor (Article 158 & 159, 166)
- get his name struck from the commercial register or amended accordingly.
 - get the name of the lessee registered in the commercial register
 - avoid competition with the lessee
- o Obligation of the Lessee (Article 160-163, 167)
- add the word “lessee” on all his business papers
 - operate the business with the care due
 - may be contractually required to produce securities to guarantee the fulfilment of his obligations towards the lessor or third parties
 - personally operate the business unless authorized in writing
 - may be prohibited by contract not to compete with the lessor for maximum of five years
- o Termination & Its Consequences (Article 164,165)
- termination of hiring contract of business shall be published within thirty days of such termination
 - such publication has to contain sufficient information
 - debts of the lessee become due upon termination

5.2.4. Contribution of a Business towards the Capital of a Business Organization (Article 168-171)

Since a business is a property it can be used as a capital contribution. However; the creditors of a trader normally presume that such business is the property of the trader and therefore; they can resort to such business when the trader become insolvent.

This implies that there is a possibility of conflict of interest between the right of a trader to use his business (his property) to as a contribution, and the rights of the creditors of the trader and even the creditors of the business organization to which the business is contributed. The following paragraphs describe the solution of the Commercial Code to such conflicts of interests.

Protection of the Creditors of the Business

The ultimate goal of the Commercial Code Proclamation No 1243 Article 168-171 is giving legal protection to the partners/shareholders of the business organization. Article 168 requires that the contribution of a business has to be published. This is to enable the creditors of the business to object the contribution of such business.¹⁷⁰ The effect of the objection is either to:¹⁷¹

- enable the objecting creditor to get paid or
- get contribution cancelled
- make the business organization responsible for the creditor's claim

The creditor has to make his objection within thirty days from the date of publication of the notice of contribution.¹⁷²

Notice that such objection of the creditor never entitles the creditor to stop the contribution as far as the shareholders/partners of the business organization agree that the creditor can claim against the business organization. So, the law is not interested with the objecting creditor but with the interest of the business organization. Another important thing that the law does not give any attention at all is the interest of the creditors of the business organization especially when the price of the business is inflated.

¹⁷⁰ Commercial Code of Ethiopia, Article 170.

¹⁷¹ Ibid Article 171(2).

¹⁷² Ibid Article 170.

5.3. Review Questions

1. Abebe sold his hotel business that was in Addis Ababa. He was operating this business on his own commercial building. The buyer claims that the sale contract includes the commercial building? Is the buyer correct?
2. Can a seller of a business be employed as a manager in a similar business?
3. Can a creditor of a business insist that he should be paid before the business is given as a capital contribution?
4. Can creditors of a business organization object to the contribution of a business as a capital?
5. Distinguish the right to lease business premise from the right to lease a business itself.
6. What does the law consider the right to lease a business premise as part of the elements of a business? Discuss.

PART II: LAW OF BUSINESS ORGANIZATIONS

Business may be conducted individually as in the case of traders (sole proprietorships) or by way of entities such as business organizations. Persons having the common goal of operating business may combine their capital, labor, and entrepreneurial skill and form the entities to operate business at larger scale. Revised Commercial Code, as the principal legislation governing entities undertaking commercial activities, defined its scope as being applicable to traders, business organizations, and to some extent to public enterprises.¹⁷³ But these three are not the only ones through which business may be operated. For instance, the Ethiopian investment law¹⁷⁴ stipulated that investments may be carried out in one of the following enterprises: a) Sole proprietorship; b) Enterprise established in Ethiopia or abroad; c) Public Enterprise established in accordance with the relevant law; d) Cooperative society formed in accordance with the relevant law. This legislation does not directly mention business organizations but it is implicit that the phrase “enterprise(s) established in Ethiopia or abroad” generally refers to business organizations.

Business organizations generally belong to the generic class of entities. But their formation, management/operation, and dissolution of are basically regulated by the commercial code. There are other entities such as bodies corporate under public law, religious institutions, civil society organizations, cooperative societies, etc. that are subject to different legal regimes. may also create ambiguities. And still others, such as public enterprises and cooperative societies, share some characteristics business organizations and to some extent their governing laws are complemented by the Commercial code. This might give rise to confusion in the course of application of legal rules. It is, therefore, essential to categorically distinguish business

¹⁷³ Commercial Code of Ethiopia, Articles 1, 3 &4.

¹⁷⁴ Investment Proclamation No1180/2020, Article 8(1).

organizations from other entities/juridical persons.

The text specifically explores the rules governing each of the partnerships and companies. Some of the literatures assert the long-standing existence of partnerships in human society. They existed from time immemorial across different time and societies. Indeed, they are said to be the manifestation of human beings' tendency to associate in conduct of common affairs. Thus, scholars claim that partnerships are not the creations of the law; rather the law recognizes such existing human institutions.¹⁷⁵ Legal systems adopted and developed these institutions and regulation of them constitutes a significant portion of their commercial laws. Yet, the law of partnerships across jurisdictions differs even in modern legal systems after centuries of evolution. The discussion of each type of partnerships addresses the features, formation requirements, relation among partners, relations of partners with third parties, management of partnerships, and dissolution and winding up of partnerships.

Then will come the law of companies. It addresses the concept, evolution, features and theories of companies, specially share companies, under national and international contexts. It explores the formation, operation and dissolution of Share Company, Private Limited Company, and One Member Private Limited Company under the company laws of Ethiopia. In particular, it deals with requirements of formation and the persons responsible for formation, governance structures and associated players, rights and duties of members and creditors of the company, maintenance of capital and the dissolution and winding up process. To this end, effective relevant laws, court cases and secondary information will be consulted. The law

¹⁷⁵ Bradley T. Borden, 'Aggregate-Plus Theory of Partnership Taxation' 43 *Ga. L. Rev.* 717 (2008-2009).

CHAPTER SIX: INTRODUCTION TO BUSINESS ORGANIZATIONS

In this chapter, we will first provide a framework to distinguish business organizations from other juridical persons. Then, we will specifically conceptualize business organizations, followed by dealing with their types and classification. A brief comparison between partnerships and companies is provided in a way that will enable students to grasp the distinction between the two generic categories of business organizations. Further classification of business organizations based on varying parameters is also provided.

At the end of this chapter, students are expected to:

- Describe the classifications of legal persons and the basis for such classifications.
- Explain the concept of business organizations.
- Explain the distinguishing features of business organizations as opposed to other juridical persons.
- Appreciate the nature and contents of the memorandum of association.
- Illustrate the formation process of business organizations
- Identify the types of business organizations recognized under Ethiopian law.
- Describe the classifications of business organizations and the basis for such classifications.
- Explain the distinguishing features of partnerships and companies
- Illustrate the advantages and disadvantages of each business organizations in operating business.

6.1 Legal Persons in General

Commercial Code attempted to demarcate the legal person to which it applies and those it does not apply to.¹⁷⁶ The Code applies to traders and business organizations as well as to public enterprise, subject to specific laws that governs public enterprises. On the contrary, the Code does not apply to bodies corporate under public law, religious institutions, civil society organizations, and cooperative societies. Clarity on the class of persons subject to commercial code requires presentation of clear-cut classification of persons.

The Ethiopian Civil Code recognized legal personality for different entities including the state, public administrative authorities, and associations.¹⁷⁷ Proclamation No.1113/2019- the law on “Organizations of Civil Societies” has also enumerated and classified different legal persons. This legislation has repealed and/or updated the provisions of the Civil Code regarding “Associations and Property with a specific destination”. Similarly, the Commercial Code, as noted above, stipulated persons to which it applies.

Legal persons can be classified in different ways. As a starting point, let us look at a domestic legislation, Proclamation No.1113/2019. It defined the term “Organizations of Civil Societies” as inclusive of all non-governmental, non-partisan, and not for profit entities formed by two or more persons.¹⁷⁸ From this, we can draw two classification parameters: Governmental Vs Non-Governmental/private, and “For profit Vs. Not-for Profit”. Combining the two parameters, we will have four classes of entities.i.e.

- ◆ governmental not-for-profit,
- ◆ governmental for-profit,

¹⁷⁶ See generally Commercial Code of Ethiopia, Articles. 1-4.

¹⁷⁷ Civil Code of Ethiopia, Art.394. After dealing with physical persons in Book I, Title I, the code provided rules on what it calls Bodies Corporate.

¹⁷⁸ Organizations of Civil Societies Proclamation No.1113/2019, Art.2 (1). More parameters could be drawn such as local Vs foreign, political Vs non-political.

- ◆ non-governmental not-for-profit, and
- ◆ non-governmental for-profit organizations.

Let's limit the discussion to "For profit Vs. Not-for Profit" entities classification, so that we can establish a framework to clearly understand business organizations.

6.1.1 Not-for Profit entities

This classification hinges on whether the purpose for which the legal person is established, be it a governmental or non-governmental entity, is profit making or not. Thus, the list of legal persons recognized in the Civil Code, Revised Commercial Code, and Proclamation No.1113/2019, would be in either category. The civil code recognized several Not-For Profit governmental entities¹⁷⁹; the state¹⁸⁰, the ministries of the state and other administrative authorities (generally known as bodies corporate under public law); and other establishments recognized by law as a person.

Associations and Property with a specific destination (Endowments, Trusts, Committee) are non-governmental not for profit entities the Civil code recognized. As stipulated in Art. 404, an "association is a grouping formed between two or more persons with a view to obtaining a result other than the securing or sharing of profits." The Civil Code used the term "property with a specific destination" to refer to Endowments,¹⁸¹ trusts,¹⁸² and committee. Of course, the provisions of the Civil

¹⁷⁹ After dealing with physical persons from Articles 1-393, the subsequent provisions the Civil Code presented different category of legal persons.

¹⁸⁰ Civil Code of Ethiopia, Article 394 (1). Article 394 (1) specifically provided that "The State is regarded by law as a person". The subsequent sections vested the attributes of personality to territorial sub-divisions of the state, the ministries. Other public administrative authorities, offices or other establishments may be given personality when the law expressly does so.

¹⁸¹ Ibid Article 483. - Definition. An act of endowment is an act whereby a person destines certain property irrevocably and perpetually to a specific object of general interest other than the securing of profits.

¹⁸² Ibid Article 516. -- Definition. A trust is an institution by virtue of which specific property is constituted in an autonomous entity to be administered by a person, the trustee, in accordance with the instructions given by the person constituting the trust.

Code regarding “Associations and Property with a specific destination” have been revised a couple of times, most recently by “Organizations of Civil Societies Proclamation No.1113/2019”. Thus, the nomenclature and definition of these entities in the Civil Code (Associations, Endowments, Trusts, and Committee) have been revised.¹⁸³ Accordingly, the class of “Non-Governmental Not-For-Profit”¹⁸⁴ legal persons include¹⁸⁵ associations; board-led organizations; charitable endowments; charitable trusts; and charitable Committee.

Time and space do not allow the definition, explanation and distinction of each entity recognized in this law; students are advised to refer to the proclamation. Overall, the governmental not-for-profit entities constitute the state and its administrative agencies whereas “non-governmental not-for-profit” organizations are “Organizations of Civil Societies”¹⁸⁶.

One major difference between governmental and non-governmental not-for-profit non- entities is how they are come to birth-formation. Governmental entities, be it for profit or not-for profit, are formed by establishment legislations, usually in the form of regulations. On the other hand, non-governmental entities are formed via submission and registration of establishment documents. Article 61 of Proclamation No.1113/2019 declares any organization which registered upon fulfillment of the registration requirements shall have legal personality. The registration requires submission of certain documents including the minutes of the formative meeting and the rules of the organization approved by the founders.¹⁸⁷

¹⁸³ Currently, the governing law for non-governmental not-for-profit organizations is “Organizations of Civil Society Proclamation No.1113/2019” though the Civil Code provisions may still play gap filling role, if any.

¹⁸⁴ Organizations of Civil Society Proclamation No.1113/2019, Art. 16(6). These organizations may not be established for the purpose of distributing profit to members;

¹⁸⁵ Ibid Article 18.

¹⁸⁶ “Organizations of Civil Societies are governed by Proclamation No.1113/2019 or parallel legislations of regional states, and by the provisions of the Civil Code dealing with “Associations and Property with a specific destination” in so far as they are not repealed.

¹⁸⁷ Ibid Article 58-documents required for registration.

6.1.2 For-profit Entities

The profit entities, be it governmental or non-governmental, have the ultimate objective of securing profit for their members. The typical forms of for-profit governmental entities are public enterprises. The principal governing law, unambiguously defined public enterprises as enterprises wholly owned by the state that carry on *for gain* economic activities including manufacturing, distribution, service rendering¹⁸⁸.

The for-profit non-governmental/private/ organizations category essentially comprises business organizations as depicted in the Commercial Code. Yet, there could also be some hybrid of for-profit and not-for profit entities with their own specific legislations. Cooperative societies fit into this characterization. They are not purely for profit nor are they typically not-for profit. They are rather “quasi-for profit non-governmental entities basically governed by “Cooperative Societies Proclamation No. 985/2016” or parallel legislations of regional states.

6.2 Conceptualizing Business Organizations

As noted above, the formation, management/operation, and dissolution of business organizations are basically regulated by the Commercial Code, as opposed to other legal persons subject to different legal regimes. The term business organization is in common use but rarely defined even in text books. There are closely related concepts but subject to different legal regimes. Consider, for instance, the following terms: business entities, enterprises, corporations, business associations, firms, public enterprises, etc. Some of these terms tend to be under the umbrella of the term business organizations while others appear to be synonymous. And still others fall out of the ambit of this umbrella term but share some characteristics. This might give rise to confusion in the course of application of legal rules. It is, therefore, essential to succinctly conceptualize business organizations so as to distinguish them from

¹⁸⁸ Public Enterprise Proclamation 25/1992, Article 2 (1). Note that there are a number of legislations that applies to Public Enterprises including Public Enterprises Privatization Proclamation No. 1206/2020.

other entities. In particular, the legal characterization of business organizations has special significance given an array of entities that does not lend themselves for outright distinction.

Article 172 of the Revised Commercial Code defines a business organization as “*an association established through a memorandum of association by persons who bring together contributions for the purpose of undertaking an economic activity in cooperation and of participating in the profit made*.” The elements of this definition are segmented and exposed herein under.

6.2.1 Business Organization as an association of persons

A business organization is an association of persons. An association could be described as a grouping formed between two or more persons.¹⁸⁹ Association presupposes that two or more persons are involved. Thus, business organizations are groupings of at least two persons. However, as we shall see it in due course, there are exceptions to this generalization. This minimum requirement of two persons does not hold true for One Member Private Limited Company (Art. 534), which has just a single member but recognized as a business organization. Similarly, formation of Share Company requires a minimum of five persons (Art. 252(2)).

6.2.2. Business organizations are “for profit associations”

Not all associations of two or more persons will result in a business organization. Persons may associate themselves for various reasons. The defining feature of business organizations rests less on existence of association of two or more persons than on the purpose of their association. As indicated in Article 172, in defining business organizations, the associates come together to undertake an economic activity in cooperation and to *participate in the profit made*.” Thus, business organizations are “For-Profit Entities”. Generating and sharing profit is the driving

¹⁸⁹Civil Code of Republic of Croatia, Law on Associations, Article 404.
https://base.socioeco.org/docs/law_on_associations_2014_eng.pdf

force. The profit motive of the association distinguishes business organizations from their counterparts- “Not-for-Profit Entities”.

The domain of the economic activities the business organizations may carry on is, in principle, unbounded; they may carry on any lawful economic activity the associates deemed profitable. On the contrary, “Not-for-Profit Entities” may carry on all lawful activities but must not be for profit making.¹⁹⁰ As such, the ***purpose of their undertaking.i.e., participating in the profit made*** distinguishes business organizations from other associations.

6.2.3. Formation of Business organizations requires “contribution towards capital”

Running a business requires capital. The definition of business organization, provided above, stated that the persons associating themselves “bring together contributions for the purpose of undertaking an economic activity...” Thus, each associate must contribute and each of them is entitled to participate in profits. Contribution may be made in the form of cash, property (“in kind” contributions) or services subject to certain exceptions (see Art.256).¹⁹¹ Article 186 (1), on nature and extent of contributions, provides that “[e]ach partner shall make a contribution in the form of money, movable or immovable property, skill, trademark, goodwill, patent, copyright, lease right, usufruct or other contributions.”

Each party should participate in profits but the share of the parties in profits need

¹⁹⁰ Ibid. The following excerpt provides a generic and comprehensive list of the activities along with the definition of not-for-profit associations. For the purpose of this law, an association is any form of free and voluntary association of natural or legal persons who, in order to protect their interests or to promote the protection of human rights and freedoms, environmental protection and sustainable development, humanitarian, social, cultural, educational, scientific, sports, health care, technical, information, professional or other beliefs and goals that are not contrary to the Constitution and law, without the intention of making profit or other economically estimable benefit...

¹⁹¹ Commercial Code of Ethiopia, Article 256. Contributions-With the exception of skill, cash and other contributions in kind provided for under Article 186 of this Code shall apply mutatis mutandis to a share company.

not be equal. However, the agreement may never award all profits to one or only some of the partners. Article 178 underscored the invalidity of provisions giving all the profits to only one or some of the members of a business organization.

6.2.4. Business organizations are formed via a constitutive Document known as Memorandum of Association (MOA)

A business organization is an association arising out of a memorandum of association. Article 177 also provides that the formation of a business organization, except a joint venture, shall be of no effect unless established through a memorandum of association.¹⁹² Thus, memorandum of association is a mandatory constitutive document.

The 1960 Commercial Code used to require both the memorandum of association and articles of association as the constitutional documents of some business organizations; share company and Private Limited Company.¹⁹³ The distinction between the two constitutive documents were not clear cut. But, in general, the Article of association was intended to govern the internal operation of the company¹⁹⁴ while the memorandum of association, its content being provided, was supposed to be the basic document setting the essence of the business organization.

The revised Commercial Code avoided the dual constitutional documents requirement, unified the formation documents in the form of memorandum of association.¹⁹⁵ A memorandum of association is defined as an instrument drawn up to establish a business organization (Art.173). This is a circular definition and provides little information. Indeed, other entities including “not-for profit associations”¹⁹⁶ also need an instrument drawn to establish them. But in general, a

¹⁹² The 1960 Commercial Code used to employ the term partnership agreement as alternative term to that of memorandum of association, both being constitutive documents. See Arts. 210 & 284.

¹⁹³ 1960 Commercial Code of Ethiopia, Articles 313, 314 & 518.

¹⁹⁴ Ibid Article 314(1) & (2).

¹⁹⁵ Ibid Article 255.

¹⁹⁶ Organizations of Civil Society Proclamation No.1113/2019, Article 60 deals with the Significance

memorandum of association could be described as establishment instrument documenting the undertakings of the persons associating to “bring together contributions for the purpose of undertaking an economic activity in cooperation and of participating in the profit made.”

A look at what the content of this establishment document shades lights as to its nature.¹⁹⁷ A memorandum of association comprises the legal requirements and willful commitments of the associates to establish a business organization. It needs to identify the type of business organization being established; the members associating to form the business organization; the business activities to be carried out; what contributions each party made and its value; each partner’s share in profits and losses; how the business organization shall be managed; the life span of the business organization; etc.

The memorandum of association has some element of a contract document¹⁹⁸ but it is a contract plus document. It defines the nature of the business organization and the contractual relationship among the persons associating. Thus, it is subject to

of an Organizational Rule and Its Contents

¹⁹⁷ See for instance, the contents of Memorandum of Association of a General Partnership, Article 185 of revised Commercial Code. It provides that the memorandum of association of the partnership shall contain the following:

- 1/ the firm-name;*
- 2/ the head office and branches, if any;*
- 3/ the name, address and nationality of each partner;*
- 4/ the business purpose of the firm;*
- 5/ the amount of cash contribution of each partner, in the case of in-kind contributions, their value and method of valuation;*
- 6/ where there is a partner contributing skill, the services required from him;*
- 7/ the share of each partner in the profits and losses, and mode of allocation of profits;*
- 8/ the manager and agent, if any, of the partnership, and powers and duties of the manager;*
- 9/ the period of time for which the partnership has been established; other particulars determined by the law or agreement of the partners.*

¹⁹⁸ Uniform Partnership Act (1997) (Last Amended 2013), Drafted by The National Conference of Commissioners on Uniform State Laws, (2014) (hereinafter UPA 2013), p. 17. It provides that “A partnership agreement is a contract, and therefore all statutory language pertaining to the partnership agreement must be understood in the context of the law of contracts”. “An agreement to form a partnership is not itself a partnership agreement. The term “partnership agreement” presupposes “partners,” and a person cannot be a partner in a partnership before the partnership exists.”

validity requirements of contract pursuant to Article 1678 of the Civil Code: that parties should be capable and give their consent sustainable at law; the object of the contract is sufficiently defined, possible and lawful; and the contract is made in the form prescribed by law, if any.

The notion of capacity and free consent does not require discussion here as apparently obvious concepts. In ordinary contractual documents, the object of a contract refers to the obligations each party undertakes to execute. The object of a memorandum of association is creating the entity it aims to. Yet, indirectly, it refers to the activity to be carried out by the business organization. Unquestionably, the object/business purpose of the business organization should be lawful, possible and morally defensible. As contract, the partners' respective obligations should conform to the general requirements of the law.

With respect to formality, Ethiopian law of contract in principle allows the freedom of parties to determine form of contract. It is only exceptionally the law requires special forms. As far as a memorandum of association is concerned, the relevant law¹⁹⁹ requires memorandum and articles of association to be signed by the founders or members of a business organization. And signing of these documents must be attested by or made at the document authentication and registration agency. Thus, from the perspective of contractual formality requirement, a memorandum of association is a written agreement signed by the associating parties; and it should be authenticated by the relevant authority.

¹⁹⁹ Commercial Registration and Licensing Proclamation 980/2016, Article 5 (6). *Founders or members of a business organization shall sign their memorandum and articles of association at the Document Authentication and Registration Agency, according to standardized samples of memorandum and articles of association sent to the same office by the registering office, before applying for commercial registration, except any amendments to these signed and registered memorandum and articles of association.*

6.2.5. Business Organizations are Legal Persons

From the perspective of contractual formality requirement, it suffice a memorandum of association is a written agreement signed by the associating parties followed by authentication by the relevant authority. But it does not end there as typical contractual documents do; a memorandum of association creates institutions.²⁰⁰ Its object as a contractual document is creating entities.

Business organizations come into existence through a memorandum of association that documents the associate's undertakings which shall be authenticated by the appropriate authority, then followed by registration in the commercial register. As pointed out in the forgoing discussion, business organizations are artificial persons to which personality is vested by law. Article 175 affirms that all business organizations recognized in the commercial code, except joint ventures, shall acquire legal personality *upon registration in the commercial register*. Thus, business organizations shall have their own name that identifies them as a person (Article 176); they operate their business, acquire rights, incur liabilities, and act in legal proceedings via their agents.

However, a critical legal question still lingers in relation to whether partnership are entities separate from their members or whether they are simply aggregate of members. The theoretical debate divides itself into *The Entity Theory vs. Aggregate Theory of Partnerships*²⁰¹. Whether the entity theory or the aggregate theory prevails in a given legal system significantly affects how to deal with basic questions pertaining to:

- ✚ the extent to which partners are liable for obligations of the partnership,

²⁰⁰ UPA 2013, p.17. It is stated that “the agreement . . . of all the partners,” the partnership itself is bound by and may enforce the agreement. “An agreement to form a partnership is not itself a partnership agreement. The term “partnership agreement” presupposes “partners,” and a person cannot be a partner in a partnership before the partnership exists.”

²⁰¹ Leonard Gross, *Agency and Partnership: The Professor Series* (Aspen Law & Business, 1998)161.

- ✚ the nature and extent of partners' ownership of property destined for the partnership's purpose,
- ✚ the extent to which partners would be allowed to take part in the management of the partnership,
- ✚ the life span of the partnership,
- ✚ the partnership's standing to sue and be sued,
- ✚ the transferability of interests in the partnership,
- ✚ the perpetuity of the partnership (does it transcend the life span of a partner or events affecting a partner, etc.?).

The entity theory characterizes partnerships as separate entities having their own rights and obligations different from members. Adoption of this theory entails recognition of a partnership as having:²⁰² its own name; its own identity; a continuous existence independent of what happens to the members; the right to enter into contracts; the right to sue and be sued; the right to acquire property and to manage and dispose of the same; sole liability for claims against it (partners are shielded from liability for partnership debts).

On the other hand, the aggregate theory holds the opposite position that a partnership: does not have an identity different from the members, and hence doesn't have its own name; lacks capacity to enter into juridical acts, standing to sue and be sued; does not have its own property but rather property is jointly owned by the partners; creates unlimited liability for partners for claims that arise against the partnership.

The reality regarding the treatment of contemporary partnerships differs from the extreme sides of these theories propound. There is more personification of

²⁰² Ibid.

partnerships than there used to be. In most legal systems including the Ethiopian, the status of partnerships gets closer to what the entity theory advocates; they have their own name and identity; they have the right to enter into contracts, they have the right to sue and be sued; they have the right to acquire property, they have the right to manage and dispose of the same. Yet, partnership missed one of the major attributes of personality; a partnership is not exclusively liable for claims against it. In many legal systems, partners are liable for partnership debt. This raises the question of why one person should be liable to the debts of another person in so far as partnerships are considered separate entities.

Further, partnerships have precarious existence, their life span being contingent on what happens to the partner. Incidents affecting the partner such as insolvency, death and incapacity to effectively engage in the affairs of the partnership continue to be factors that threaten the life of the partnership. The transfer of one's shares in partnership has also remained very restricted owing to the importance attached to each partner, which in effect shows the partnership remains dependent on the partners, as opposed to being a person with independent stance.

6.3 Types and Classification of Business Organizations

The laws of many nations including Ethiopian Commercial Code provide various alternative forms of business associations. Each form of business organization has its advantages and disadvantages. Which form is best adapted to a particular business purpose and to a particular group of associating members depends on several factors including the nature of the business, the number of associates, their relative ability and willingness to take part in management and in risks/liability, and the amount of capital dedicated for investment?

6.3.1 Types of Business Organizations

Legal regimes of different jurisdictions offer several types of business organizations from which the associating members could choose. UK law, for instance recognized

public companies,²⁰³ private companies²⁰⁴, general partnership,²⁰⁵ limited partnership,²⁰⁶ limited liability partnership.²⁰⁷ The 1960 Commercial Code of Ethiopia had recognized six types of business organizations while the Revised Commercial Code provides for seven types of them; introducing two new ones and removing ordinary partnership.

<i>Article 174. Types of Business Organizations (Revised Commercial Code).</i>	<i>Art. 212. - Different business organizations (1960 Commercial Code of Ethiopia).</i>
<i>The following are types of business organizations:</i>	<i>(1) There are six forms of business organizations under this Code:</i>
<i>1/ General partnership;</i>	<i>(a) ordinary partnership;</i>
<i>2/ Limited partnership;</i>	<i>(b) joint venture;</i>
<i>3/ Limited liability partnership;</i>	<i>(c) general partnership;</i>
<i>4/ Joint venture;</i>	<i>(d) limited partnership;</i>
<i>5/ Share company;</i>	<i>(e) share company;</i>
<i>6/ Private limited company;</i>	<i>(f) private limited company;</i>
<i>7/ One-person private limited company.</i>	

The specific attributes of each business organization shall be deal in the subsequent chapters.

6.3.2 Classifications of Business Organization

Business organizations may be classified based on different criteria. This section addresses three classifications of business organizations: Partnerships Vs. Companies; Civil Business organizations Vs. Commercial business organizations;

²⁰³ UK Companies Act 2006, Section 4(2).

²⁰⁴ Ibid Section 4(1).

²⁰⁵ See generally UK Partnership Act 1890.

²⁰⁶ See generally UK Limited Partnerships Act 1907.

²⁰⁷ See generally UK Limited Liability Partnership Act 2000.

and Companies Vs. Private Companies.

6.3.2.1 Partnerships Vs. Companies

Business organizations may be classified into either partnerships or companies. The category of partnerships under Ethiopian law comprises: General Partnership, Limited Partnership, Limited Liability Partnership, and Joint Venture. In fact, joint venture is unique in that it does not have separate legal personality.

German law recognizes five types of partnerships: Civil Law Partnership, Commercial Partnership, Professional Partnership, Limited Partnership, and Partnership Limited by Shares. In USA, the power to enact commercial law falls within the mandate of states and possible variations are expected across the states yet the Revised Uniform partnerships Act (RUPA 1997), which is a model law for the states, recognized three partnerships: General Partnership, Limited Partnerships, and Limited Liability Partnerships.²⁰⁸

The classification of business organizations into Partnerships vs. Companies is based on the typical characteristics that each category displays. Thus, business organizations included in the partnership category do have some common features as distinguished from those in the category of companies. This classification is mainly based on the entity theory vs. the aggregate theory dichotomy. Generally, companies meet the attributes espoused by the entity theory while partnerships fall short of that in some respects. We compare partnerships and companies on the following typical features.

i. Liability of Associates

All business organizations, except joint venture, are formed by drawing up a memorandum of association, authentication of the memorandum, and then followed

²⁰⁸Andreas Cahn and David C. Donald, *Comparative Company Law: Text and Cases on The Laws Governing Corporations in Germany, the UK and the USA* (Cambridge University Press, New York, USA, 2010) 27-47.

by registration. They acquire legal personality upon registration. The acquisition of legal personality vests members of the business organization the advantage of limited liability in addition to other advantages. The concept of limited liability connotes that the parties that established the business organization will be liable only to the extent of their contribution; paid or promised to be paid as provided under the memorandum of association. Creditors of the business organization do not have a claim against personal property of partners. But the personality of partnerships is not complete; partners are not immune from claims of creditors of the partnership.²⁰⁹ In most cases, partners in partnerships do not have the benefit of limited liability; in principle, partners are liable for the debt of the partnership. Creditors may recover their claim from the personal assets of the partners.

ii. Partnerships are more of collections of persons while companies are collection of capital

Partnerships are called associations of persons rather than capital. The personality of each partner is of much more importance than his contribution to the capital. Because of unlimited liability in which each partner may be held liable for acts of the other partner, the general attributes of each partner are much more important. To the creditors as well, who the partners are is of much value. This is so because in case the partnership fails to pay its debt, creditors resort to the personal assets of partners. Thus, the identity of partners is much more important.

But in companies the creditors' claims are limited to the contribution made that constitutes capital. So, whether the member is wealthy or poor has no importance. Also, whether a member is diligent or careless, active or passive is of little importance in companies since the management of companies is often beyond control of the members. But personality of a partner person as careless or diligent, active or passive, prudent or otherwise takes special significance since management

²⁰⁹ David Kershaw, *Company Law in Context: Text and Materials* (2nd edition, 2012)12-13.

of partnership is normally left to the partners. From this characteristic of partnerships and companies the following consequences follows:

1. Shares in partnerships are not freely transferable, i.e., substitution of a partner by a new one is not simple because of the importance of personality of the partner rather than his contribution /share. But in companies' shares are relatively freely transferable.
2. Partnerships have precarious existence (shorter life duration) than companies. Anything that affects a partner such as death, incapacity, or bankruptcy of a partner would, in principle, result in dissolution of the partnership while this is generally true for companies.
3. In the nascence of contrary stipulation in the memorandum of association, the default rule for decision making in partnerships is by a majority of individual partners rather than in proportion to partners' contributions. But in companies, decision making is in proportion to one's contribution of capital of a company.

iii. Management

With respect to partnerships, management is by and large left to be the concern of the partners themselves. As we will see, the Commercial Code has mandatory formalized rules on management of companies, particularly share companies. A share company, for instance, should be governed by a share holders' meeting at the apex of governance, followed by a board of directors, managers and auditors. But in case of partnerships the law is flexible. It allows relatively high degree of flexibility to partners in designing how to manage the partnership. In most cases, the law plays only a supplementary role where the partners do not agree.

iv. Capital

Companies are meant to carry out business activities that demand relatively large

amounts of capital. Thus, minimum capital requirement is provided for companies while no such minimum capital requirement exists for partnerships.

v. Tax

In some legal systems, particularly in common law legal systems, companies and partnerships are differentially treated for tax purposes. Companies, or as they call them commonly corporations, have separate legal personality different from the members in all respects, but not partnerships. Corporations are said to be incorporated entities while partnerships are said to be unincorporated entities owing to the fusion of personality in some respects.²¹⁰ According to the common law approach, partnerships do not have legal personality for taxation purposes, and it is only the members of the partnerships that have legal personality and subject to tax. A partnership does not itself pay taxes but reports prorate loses, deductions, income, and the likes that concerns each partner. All the expenses and the profits paid to a partner within a given tax year shall be reported as part of his personal income tax, along with his income from different sources. Any deductible expense expended in relation to the partnership shall also be reported. Then, the net taxable income shall be determined for each partner at an individual level. The partnership does not pay income tax as an entity. This form of taxation is generally described as pass through or partnership-type taxation.²¹¹

On the other hand, companies and their members are treated as distinct persons. Thus, the company as a legal person shall first pay its yearly income tax as a person and any distribution of dividend to the shareholders shall also be taxed as a tax on individual shareholders since they are treated as separate persons. The income tax payment by the corporation does not count for the shareholder but only for the corporation itself. In other words, from the perspective of taxation, companies are subject to income tax as separate legal persons and then they also must withhold tax

²¹⁰ Stephen Griffin, *Company Law: Fundamental Principles* (3rd edition, 2000)4.

²¹¹ Robert W. Hamilton, *The Law of Corporations in a Nut Shell*, (5th edition, 2000) 30.

on dividends to be distributed to members (dividend tax). This subject, as customarily described in literature, compares companies to a sort of dual taxation as compared to partnerships in which only individual partners must report their income from the dividend and pay accordingly.

The Ethiopian tax law classifies business income taxpayers as either individuals or bodies.²¹² Individuals are subject to progressive income tax rates while bodies shall pay tax equal to 30% of their annual taxable income.²¹³ Consequently, both partnerships and companies are treated for tax purposes as entities separate from their members. After the payment of income tax at entity level, the distribution of profits (dividends) to the members constitutes income to the members which shall be taxable as an income of the members, and the rate is 10%.²¹⁴

However, taxation of a joint venture in Ethiopia takes a different form. A joint venture is not a legal person and is not required to report a tax of its own. Rather, each partner undertakes the business in his own name, reports the expenses to and receipts from the joint venture as part of his own business i.e., another business for which he already has got a license. If only one of the partners of a joint venture has a business license, it will be run by that person as a sole proprietor business. Tax will be paid just like the taxation of any trader. Accordingly, the tax is reported and paid as part of taxable income of that other business. Hence, taxation of joint venture in Ethiopia is very much like taxation of a partnership in a common law legal system.

Yet, a slight difference between partnerships and companies in relation to taxation under Ethiopian law arises in relation to taxation of gains on disposal of certain “investment assets,” as per article 59 of the tax income proclamation. “Investment

²¹² “Body” means a company, partnership, public enterprise or public financial agency, or other body of persons whether formed in Ethiopia or elsewhere.” See “Federal Tax Administration Proclamation No. 983/2016”. Art.2(5); Federal Income Tax Proclamation No.979/2016, Articles 2(21) &19.

²¹³ Federal Income Tax Proclamation No.979/2016, Article 19.

²¹⁴ Ibid Articles 55 and 61.

assets” are narrowly defined to encompass immovable assets (class A taxable assets), and shares and bonds (class B taxable assets). The gains on disposal (the difference between the cost of acquisition and disposal price) is subject to tax at a rate of 30 % where the investment assets are shares and bonds, and at a rate of 15% where the assets are immovable assets. Gains on disposal of immovable assets that have been used for business purposes affects all taxpayers including individuals. Yet, the definition of class ‘B’ taxable assets applies only to share and bonds which concerns transferable securities of share companies only; it does not stretch to disposal of membership interest in partnerships and private companies. Hence, there is a slight difference in tax treatment of share companies as opposed to other business organizations.

These are the major common characteristic and distinctions of partnerships and companies. Appreciation of these features would enable one to rationally decide whether to opt for partnerships or companies. Then, after choosing partnerships or companies, one has to select which partnership or company. To do that, one needs to have deeper understanding of the unique attributes of each business organizations, which would come in the next parts of this textbook.

6.3.2.2 . Commercial Business Organizations vs. Non-Commercial/Civil/ Business Organizations

The concept and purpose of classification of business organizations into commercial business organizations vs. non-commercial organizations /also known as civil business organizations/ has long remained to be a bewildering one lending itself to diverse understanding in different legal systems. This classification of business organizations is unknown to common law legal systems but typical of civil law countries like France, Germany, Spain, etc.

The Ethiopian Commercial Code of 1960 had classified the of business organizations into commercial and non-commercial. The basis of classification was the form of organization and the economic activity carried out by the organization.

Article 10 of this Code had provided that “[b]usiness organizations shall be deemed to be of a commercial nature where their objects under the memorandum of association or in fact are to carry on any of the activities specified in Art. 5 of this Code.” This is a classification based on the economic activity. On the other hand, share companies and private limited companies were used to be treated a commercial business organization irrespective of the type of economic activity they carry out.²¹⁵

Thus, partnerships were used to be treated as either commercial or non-commercial (Art.10 (1)) depending on their economic activity. Where the object of a partnership under its memorandum of association or in fact is carrying out a commercial activity specified in the then Art.5 of the Code, it shall be a commercial business organization (commercial partnership). And a partnership shall be non-commercial partnership where its economic activities are not within the commercial activities specified in the then Art.5 of the Code. Accordingly, a general partnership, limited partnership, and joint venture may be commercial or non-commercial general partnership depending on whether the business it carries out is within the list in Art. 5 or out of the list.

However, ordinary partnership- which the revised Commercial Code discarded, were not allowed to engage in commercial activities listed in article 5. In case an entity established in the form of ordinary partnership is found to have been engaged in activities with the list of activities in art.5, its status as ordinary partnership would be disregarded and it shall be treated as a commercial general partnership for all legal purposes.²¹⁶

²¹⁵ 1960 Commercial Code of Ethiopia, Article 10(2).

²¹⁶ Ibid Article 213.

Art. 213. - Commercial business organizations

- (1) Any business organization other than an ordinary partnership may be a commercial business organization within the meaning of Art. 10(1) of this Code.
- (2) Where a commercial business organization is created in the form of an ordinary partnership or where the form of the organization is not specified, the commercial business organization shall be deemed to be a general partnership.

The distinction between civil and commercial business organizations draws its justification from Romano-Germanic legal families' recognition of dichotomy of private law into civil law (civil code) and commercial law (commercial Code).²¹⁷ Commercial law applies to merchants (broadly understood to embrace both sole proprietors and business organizations) that engage in certain activities deemed activities of commerce while civil law applies to others engaged in the class of economic activities that are traditionally regarded as non-commercial ones such as professional activities of accountants, lawyers and physicians.

The revised Commercial Code has broadened the list of commercial activities in Art .5 and the list is also changed from an exhaustive list into an illustrative list. The Ethiopian legislature is convinced that the dichotomy of civil business organizations and commercial business organizations does not have considerable importance anymore. As such the revised Commercial Code abolished the classification of business organizations into commercial and non-commercial.

6.3.2.3 Public Companies Vs. Private Companies

Companies are further classified into public companies and private companies. For instance, Section 4 of Companies Act 2006 of UK divides companies into private and public companies. The distinction is based on whether the securities of the company could be offered to the public or not. A private company is not allowed to offer to the public any securities of the company while public companies are allowed to do. An offer to the public is broadly defined as including an offer to any section of the public, however selected²¹⁸. Therefore, companies should specify, in the memorandum of association, whether they identify themselves as public or private.

In the Ethiopian law context, share company belongs to the category of public

²¹⁷ See generally Gizachew Silesh, 'The Civil-Commercial Dichotomy of Business Organizations and its Legal Significance under Ethiopian Law' *Bahir Dar University Journal of Law*, Vol.5, No.1., December 2014.

²¹⁸ Companies Act 2006 of UK, Section 756.

companies while private limited company and one-person private limited company fit into the class of private companies.

6.4 Dissolution and Liquidation of Business Organizations

One of the admirable inventions and contributions of creating artificial persons like business organizations was extending the purpose and activity of a person's engagement beyond the life span of the individual. It ensures continuity of mission and achievements. Yet, the operational span of a business organization may come to an end for several reasons. In particular, partnerships do have precarious existence that limits their life span.

The Code has anticipated the possibilities for death of business organizations.²¹⁹ The termination of business organizations passes through three successive steps: dissolution, liquidation (also known as winding up), and cancellation from the commercial register. Article 181 of the Code deals with the grounds for dissolution business organizations without any elucidation of the concept of dissolution. But in general dissolution refers to the decision of members or the court or the occurrence of events that that are legally recognized to bring the life of the business organization to an end.²²⁰ After the point in time giving rise to dissolution, say the death of a partner in partnerships, life the partnerships will not be life as it used to be but it does not bring an immediate cessation of its existence. We may analogize it to a death sentence to a criminal convict whose life would come to an end upon the execution of the death penalty. After death sentence, the convict can hardly plan for further hopes and life opportunities. After the time of dissolution decision, the partnership will go through a process known as liquidation/winding up.

Liquation and winding are used alternative terms that signify the process whereby the business organization will be administered to bring an end to its life, and assets of the business organization are administered for the benefit of its creditors and

²¹⁹ Commercial Code of Ethiopia, Articles 181&182.

²²⁰ Gross (n 29) 234-235.

members.²²¹ Throughout the liquidation process the business organization maintains its legal personality. Only at the end of liquidation will the organization lose its legal personality up-on cancellation from the commercial register as provided in Article 182. Thus, liquidation ranges from the moment the dissolution is affirmed up to cancellation from registration.

6.4.1 Grounds for Dissolution of business organizations.

There are several events that cause dissolution of business organizations. Some of the causes of dissolution are unique to specific business organizations and are provided in each section dealing with specific type of business organizations.²²² Herein below are grounds of dissolution that applies to all business organizations.

Article 181 provides that a business organization shall be dissolved where:

- *the purpose has been achieved or cannot be achieved;*
- *expiry of term fixed, unless the members agree to continue*
- *a court decides to dissolve the business organization for good cause*²²³
- *a court declares the business organization bankrupt;*
- *Members agree to dissolve the business organization, at any time;*

These grounds of dissolution could be grouped into three main categories: dissolution by operation of law, dissolution by court and dissolution by agreement of partners.

²²¹ Ibid 134.

²²² See for instance, Commercial Code of Ethiopia, *Article 205. Grounds for Dissolution of Partnership.*

²²³ Ibid Article 181(6) & (7). The provisions state that there shall be good cause for this purpose, in particular, if there is a serious disagreement between members and the disagreement obstructs the attainment of the purpose of the organisation; and that the business organisation cannot sustain and attain its business purpose even by expelling some members, upon payment.

i. Dissolution by operation of law

Dissolution by operation of law includes cases where the purpose is achieved or becomes impossible as well as the time limit for which a business organization was set up expired. There are additional grounds of dissolution that falls in this category but applies only to some business organizations, mainly partnerships. These additional grounds include death, incapacity (*infirmity or illness or any other reason*) or bankruptcy of a partner; and notice by a partner where *the right to dissolve on notice is provided in the memorandum of association*.

ii. Judicial Dissolution

The court may order dissolution of a business organization where an interested person applies for dissolution and good cause is established. The following are instances of good cause.

- *Serious disagreement exists between the partners. Practically this is the most frequent cause of dissolution. But in case court finds out that one of the partners is disturbing the partnership, and dissolution is not justified, the court may order expulsion of the partner. The court may order for expulsion where an act amounting to good cause arises and the cause was occasioned because of one of the partners and the remaining partners are willing to a payout the leaving partner.*
- *a court declares the business organization bankrupt;*
- *Where a partner, in partnerships only, becomes incapable to carry out his duties in consequence of infirmity or serious/permanent illness, etc.*

iii. Dissolution by Agreement of Partners

The third category of grounds of dissolution is by agreement of partners. The partners are always free to dissolve their partnership. Where there is unanimous

consent, nothing would impair the partners from effecting dissolution at any time.

6.4.2 Liquidation

As noted above, liquidation is the process of administration of the business until final payment to creditors and distribution of surplus to members, the completion of which would result in cancellation from the commercial register and at same time end of the legal personality of the business organization. The liquidation process cannot be managed by the normal time managers but by liquidators. The details of the liquidation process, the powers and duties of manager during dissolution,²²⁴ appointment of liquidators, as well as powers, and duties of liquidators²²⁵ are provided in the specific sections dealing with each business organization.

The first task of liquidators shall be to make inventory in cooperation with managers. After completion of this task, having all assets and documents of the business organization, the liquidators have to start the liquidation business. The main task of liquidators is to facilitate the process of closure of business organization. They cannot start new business but only complete those already at hand. They have to call creditors and make them prove debts, they have to pay debts proved, and they have to collect credits due. If all debt is paid, the remaining assets, if any, shall be distributed to the members.

The liquidators must discharge their responsibility with due care and diligence expected of managers and they shall face similar liability to that of managers in case of defaults (Article 208(2)). The last business of liquidators is having the partnership cancelled from the registration kept in the commercial registry (Article 182). The business organization shall cease to have legal personality starting from *the day following the date of the cancellation*. The cancellation from commercial register must be published in a newspaper of wider circulation in the area where the business

²²⁴Ibid Article 206.

²²⁵ See for instance, ibid Articles 207-2011.

organization had its head office

6.5 Summary

This chapter introduced the concept of business organization. Business organizations are legal persons undertaking business activity and governed by the Commercial Code. Thus, they distinguished from other legal persons. Legal persons could be generally classified into governmental or private/non-governmental. The governmental ones are established by legislations while non-governmental ones are formed by an establishment document, followed by registration by the relevant registering authority.

Governmental entities start with the recognition of the state itself, and its administrative entities established by law. The Civil Code recognized, in article 394(1), the Ethiopian state as a legal person, allows for recognition of personality to administrative authorities upon establishment by constitutive legislation. The state and its administrative authorities are generally referred to as bodies corporate under public law. Bodies corporate under public law are not-for profit governmental entities. Yet, it is possible to have for profit governmental entities and such entities are referred to as public enterprise or state-owned enterprises. These enterprises are established by enactment of law. The Ethiopian Airlines, Ethiopian Insurance Corporation, and Commercial bank of Ethiopia are some examples of public enterprises. Each public enterprise shall have a constitutive legislation, usually in the form of regulation.

On the other hand, there are non-governmental entities that the law vests personality upon fulfillment of stipulated criteria and going through certain procedures. As the name indicates, non-governmental entities are formed by association of private persons, not by legislations. The purpose of these entities may be profit or otherwise. The typical not for profit non-governmental organizations are “associations” as they were first recognized in the Civil Code and later revised/updated by “Organizations of Civil Societies Proclamation No.1113/2019”. On the other spectrum, we have for-

profit non-governmental entities referred to as business organizations, regulated by the Commercial Code. The discussion in this chapter outlined that business organizations are

- Association of two or more persons.
- The purpose of the associating members is to generate and share in profits, if any.
- The members need to contribute in cash or in kind (property and services) towards capital.
- Established by memorandum of association, as opposed to establishment of governmental entities by legislation.
- They are vested with legal personality upon submission of authenticated memorandum of association and registration.

The Ethiopian Commercial Code has provided seven alternatives having their own unique attributes (general partnership, limited partnership, limited liability partnership, joint venture, share company, private limited company, and one-member private limited company). These business organizations could be classified into partnerships and companies. Partnerships are, in principle, characterized by the fact that members are liable on their own personal assets beyond their contribution while companies provide the benefit of limited liability. In partnership the personality of partners is more important than their contributions so that shares in partnerships may not be freely transferable, and factors affecting the personality of a partner such as incapacity and death may result in dissolution of the partnership. In companies, the contribution of a member is more essential than his personality. For this reason, partnerships are called associations of persons while companies are called associations of capital.

6.6 Review questions:

1. What is the legal significance of classifying juridical persons?
2. What are the major classifications of juridical persons and the parameters?

3. Which of the juridical persons are governed by the Commercial Code?
4. What are bodies corporate under public law?
5. Explain the difference between governmental entities and non-governmental entities with respect to formation.
6. Where is the place of religious institutions within the dichotomy of juridical persons in to for-profit organizations vs. not-for profit organizations? How about cooperatives and public enterprises?
7. How would you describe a memorandum of association? How is it similar or different from contract?
8. List out the requirements for the formation of business organizations.
9. What consequences would follow where the formation process for formation of business organizations is defective or incomplete? What would be the consequence if any of the required contents of the memorandum is missed?
10. How do you evaluate partnerships from the perspective of entity theory? How about companies?
11. What is the legal significance of classification of companies into public Vs private companies?
12. What is the tax treatment of partnerships and companies in Ethiopia? Go through Federal Income Tax Proclamation No.979/2016 and try to identify the differential treatment of business organizations, if any?
13. Explain the basis of classification of business organizations into commercial or non-commercial under the 1960 commercial code? What was the legal significance of that that classification?

CHAPTER SEVEN: GENERAL PARTNERSHIP

The preceding discussion introduced to us four types of partnerships recognized under Ethiopian law and general attributes of partnerships in general. The distinguishing features of each partnership shall be presented in subsequent chapters. This chapter specifically deals with what the law dubs as general partnership. The nature of general partnership, its formation requirements, the relation among partners, the relation of partners with the partnership, and the relation of partners with third parties dealing with the general partnership shall be specifically dealt for concerning general partnership. In addition, how the partnership is designed to be managed, the power of the manager, the powers of the partners concerning partnership affairs, and the dissolution grounds shall be dealt.

At the end of this chapter, students are expected to:

- Describe the defining attributes of general partnership, as distinguished from the general characterization of partnerships
- Describe the requirements and procedures for the formation of a general partnership
- Explain the relationship between the partners
- Illustrate the rights and duties of partners
- Elaborate the relationship between the partners and the partnership as well as the relation of partners with third parties
- Describe the management structure of the general partnership
- Identify the powers that fall within the power of the general manager and the partners' collective decisions.
- Spell out majority and quorum requirements for decisions regarding the

various issues in partnership

- Provide as exhaustive list of the grounds for dissolution of general partnership, and explain the same.

7.1 Nature of General Partnership

The general partnership is the prototype of partnerships. Any simple reference to partnership presupposes this type of partnership. Even legislations, while dealing with general partnership, use the word partnership without the qualifying term “general”. For instance, the UK Partnership Act of 1890 simply refers to the Partnership Act, an act which deals with the partnership that corresponds to Ethiopian general partnership, or general partnership as commonly used in literature. It is the entity that comes to our mind whenever we think of partnerships; it is the default partnership. But a reference directed to other partnerships must use the qualifying terms such as limited partnership, limited liability partnership, or any other partnership as legal systems might have recognized.

Then what is the essence of this default partnership? The revised Commercial Code defines general partnership as *“a business organization consisting of partners who are each jointly and severally liable with the partnership itself for the obligations of the partnership. Any agreement to the contrary may not be invoked against third parties.”*²²⁶

According to this definition, a general partnership is a business organization. As such, it subscribes to the characterization of business organizations as discussed in the previous chapters. i.e., it is association of two or more persons; it is a for-profit entity; the associating members must contribute towards the capital; its formation requires a memorandum of association duly prepared, signed by the partners, and authenticated by the appropriate authority; and it must be registered and thereby acquire legal personality. Note also that the general attributes of partnerships as

²²⁶ Ethiopian Commercial Code, Article 183.

compared to companies (treatment of partnerships as collection of persons than as collection of capital; relatively flexible management design, relatively restricted freedom of transfer of interests, fragile existence/numerous grounds of dissolution, and the likes), discussed in the previous chapter, also applies to general partnership.

Yet, beyond the general attributes a general partnership shares as a business organization, the essence and unique attribute of general partnership indicated in this definition pertains to liability of partners. In brief terms, the definition tells us that a general partnership is a business organization where all the *partners are jointly and severally liable with the partnership itself for the obligations of the partnership*.

Joint and several liability of partners is the very essence and universally accepted attribute of general partnership. For instance, UK partnership law, after defining (general) partnership as “the relation which subsists between persons carrying on a business in common with a view of profit”,²²⁷ provides that “every partner in a firm is liable jointly with the other partners, ... for all debts and obligations of the firm incurred while he is a partner...”²²⁸ Similarly, the French *société en nom collectif* (SNC), which corresponds to general partnership, is defined in Article L221-1 of the Commercial Code “as a partnership the members of which are all merchants (*commerçants*) who are jointly and severally liable for the debts and obligations of the partnership”.²²⁹ Also, the German Commercial Code is not an exception to this.²³⁰ Liability of all partners for partnership debt is a typical feature of general partnership as a business organization.

7.2 Formation of General Partnership

The birth of legal entities requires meeting substantive and procedural requirements

²²⁷United Kingdom Partnership Act of 1890, Section 1.

²²⁸ Ibid Section 9.

²²⁹ Mads Andenas and Frank Wooldridge, *European Comparative Company Law* (2009)137-138.

²³⁰ German Commercial Code, Section 128. Section 128 of German Commercial Code states that “the partners are personally and jointly and severally liable to the creditors for the partnership’s obligations. Any agreement to the contrary is ineffective vis-à-vis third parties.”

for final recognition by the state. The formation of partnerships is relatively simple compared to companies. Indeed, in some jurisdictions, the formation of some partnerships does not require registration and recognition by authorities.²³¹ They may be informal associations between two or more persons even without written agreements. In other cases, they need to go through certain processes and should meet certain pre-requisite. In other words, they need to submit documents of incorporation and get incorporated.

7.2.1 Memorandum of Association

Article 172 provides that all business organizations are formed by document called a memorandum of association. The very provision, of the Commercial Code, dedicated to formation of general partnership does not say a lot about details of formation. It directly specifies the contents of a memorandum association. It is implicit that the contents specified in the memorandum needs to be met, among others, for the formation of general partnership. Art. 185 of the Code on formation of General partnership stipulates the contents of the memorandum of association.

Article 185. Memorandum of Association

The memorandum of association of the partnership shall contain the following:

- 1/ the firm-name;
- 2/ the head office and branches, if any;
- 3/ the name, address and nationality of each partner;
- 4/ the business purpose of the firm;
- 5/ the amount of cash contribution of each partner, in the case of in-kind contributions, their value and method of valuation;
- 6/ where there is a partner contributing skill, the services required from him;
- 7/ the share of each partner in the profits and losses, and mode of allocation of

²³¹ For instance, in UK, a general partnership is deemed to exist without registration where two or more persons agree to work together for profit, even without the awareness of the partners that they are getting into a relationship regally dubbed as general partnership. See Kershaw (n 37)13.

- profits;
- 8/ the manager and agent, if any, of the partnership, and powers and duties of the manager;
- 9/ the period of time for which the partnership has been established; other particulars determined by the law or agreement of the partners.

As noted above, a memorandum of association needs to be signed by the partners.²³² And signing of these documents must be attested by or made at the document authentication and registration agency. Thus, a memorandum of association is a written agreement signed by the associating parties; and it should be authenticated by the relevant authority.

7.2.2 Two or more partners

The formation of general partnership, as a business organization requires two or more associates. While laws of some jurisdictions²³³ set a cap on the number of partners,²³⁴ the Ethiopian law does not set a limit on the maximum number of partners; it is open to the discretion of the associating partners in so far as they believe that it is workable.

The memorandum is required to specify the name, address and nationality of each partner. It does not say more about eligibility requirements of partners. To start with the obvious, individuals can be partners as long as they are capable. Incapable persons are not allowed, save the exceptions, to carry on trade via their tutors.²³⁵ But whether tutors can be members of a business organization such as general partnerships or share companies depends how a given legal system decides the status

²³² Commercial Registration and Licensing Proclamation 980/2016, Article.5(6). *Founders or members of a business organization shall sign their memorandum and articles of association at the Document Authentication and Registration Agency, according to standardized samples of memorandum and articles of association sent to the same office by the registering office, before applying for commercial registration, except any amendments to these signed and registered memorandum and articles of association.*

²³³ The (Jordan) Companies Law No. 22 of 1997 and its amendments, Official Gazette No. 57 dated 1/11/2006, Article 9. This law requires not less than two and not more than twenty, subject to exceptions related to increase of members due to inheritance.

²³⁴ Ibid.

²³⁵ Commercial Code of Ethiopia, Article 11.

of members of each business organization. For instance, Jordan law states that “a partner in the General Partnership will acquire the capacity of a merchant and shall be considered as practicing commercial business in the name of the Partnership”.

The 1960 Commercial Code of Ethiopia had provided that “where the partnership is a commercial partnership, each partner shall have the status of a trader.”²³⁶ The implication of regarding partners as having the status of traders is immense. For instance, if one is restricted or prohibited of undertaking trading as a trader pursuant to Article 22 of the Code, he is not allowed to be a partner in partnerships. Yet, he can be a shareholder in business organizations whose members are not treated by law as being traders. The revised Commercial Code is mute on the treatment of the status of partners in general partnership.

Apart from the eligibility or otherwise of natural persons, one may wonder whether if legal persons such as share companies or other partnerships may be partners to a general partnership. For instance, Leonard Gross noted that, writing on American context, nothing in partnership law prevents corporations from being partners in so far as the business purpose of the partnership and the corporation aligns.²³⁷ On the other hand, Jordan law is explicit that partners in general partnership must be natural persons who are at least eighteen years of age.²³⁸ French law also defined the French *société en nom collectif* (SNC), which corresponds to general partnership, “as a partnership the members of which are all merchants (*commerçants*) who are jointly and severally liable”.²³⁹ The reference to merchants, which corresponds to traders in Ethiopian context, implicitly informs us that partners must be natural persons.

Ethiopian law is mute on the on eligibility or otherwise of legal persons. Yet, the provisions here and there suggest the legislature had in mind only natural persons as

²³⁶ 1960 Commercial Code of Ethiopia, Article 280(2)

²³⁷ Gross (n 29)159.

²³⁸ The (Jordan) Companies Law No. 22 of 1997 and its amendments, Official Gazette No. 57 dated 1/11/2006, Article 9.

²³⁹ French Commercial Code, Article L221.

the only eligible partners in general partnership. A case for this may be made from the rules regarding dissolution of the partnership. Article 205 talks about the death or incapacity of a partner as grounds of dissolution, and it nowhere mentions dissolution of a partner business organization as grounds of dissolution.

7.2.3 The Business Purpose of the Partnership

The memorandum of association must indicate the business sector in which the partnership will operate. The business purpose defines the scope of activities the partnership may carry on. Undertaking activities that fall out of the scope of business purpose as specified in the memorandum of association lacks legitimacy and are deemed *ultra vires*.²⁴⁰ The scope of business purpose also indirectly limits the power of the manager, and could be raised as a defense against third parties in that the manager does not have power to bind the partnership, a fact which the third parties should have known.

Under the Ethiopian law, it is not sufficient to state the business purpose of a business person to refer generically to any lawful economic activity. Accordingly, a general partnership must enumerate one or several of the commercial activities specified in Art. 5. In principle a business person may have as its business purpose any of the lawful economic activities subject to specific legislative restriction such as where the law requires banking business to be undertaken by share companies only or cases where professional services must be carried out by limited liability partnership only. The Commercial Registration and Licensing Proclamation- Proc. 986/2016 provided that a registered business organization must obtain a business license to carry on a specific business. It has set business license categories incorporating agricultural and industrial products and various service business sectors in which commercial activities are undertaken. A business person shall be issued a business license only within the limits of its business purpose as stated in the memorandum of association. It shall be subject to pre- and post-license

²⁴⁰ Gross (n 201)159.

monitoring and controlling to ensure that business persons carry out their business activities as appearing on the license issued.²⁴¹

7.2.4 Contributions from Partners: Nature and Amount

The Contributions of the partners is one of the basic elements to be dealt in the memorandum of association as stipulated in Art 185(5). Each partner must make a contribution. The nature of contribution could be anything of economic value. Art 186 further elaborates the nature and amount of contributions expected from partners. and may be in the form of cash, movable or immovable property, intellectual property (trademark, goodwill, patent, copyright), skill, lease right, usufruct or other contributions such as a business (Art.108 ff).

i. Nature of contribution

The contributions may be in the form of money/cash, movable or immovable property, skill, trademark, goodwill, patent, copyright, lease right, usufruct or other contributions²⁴² such as such as a business,²⁴³ and debts.²⁴⁴ The law has offered the opportunity for partners to make the best of their potential by using the synergy of different capabilities and resources at disposal. One who has a property, be it movable or immovable, may make the best out of it without the need to sell and convert it to cash. It is possible to contribute either the ownership of property or the use of that property, reserving ownership to the partner.²⁴⁵

Other partners who have skills essential to the carry out the business are not precluded from being a partner merely because they do not have other resources or are not willing to commit that for this business purpose. Their skill could constitute a valid contribution in so far as the other associating partners are willing to accept it. Still other who have incorporeal property rights such as trademark, goodwill,

²⁴¹ Commercial Registration and Licensing Proclamation, Proc. 980/2016, Articles 2(34) & 4(12).

²⁴² Commercial Code of Ethiopia, Article 182(1).

²⁴³ Ibid Article 168.

²⁴⁴ Ibid Article 187(3).

²⁴⁵ Ibid Article 182(2).

patent, copyright, lease right, usufruct is permitted to use these resources as valid contributions.

ii. Amount of contribution

The total monetary value of contributions from each partner constitutes the capital of the partnership. The law does not fix minimum contribution from each nor does it set the minimum capital for the partnership. But the amount of contributions should normally enable the partnership to carry out its business purpose. Contributions from each of partners shall be equal but it is possible to agree for differentiated amount of contributions²⁴⁶. Thus, the partners' contributions may be of unequal value.

It is up to the partners to agree on valuation of contribution in kind. Where the initial valuation of contributions in kind is found to be overvalued, either the contributor should make up the difference by paying cash to the partnership or else the value of his share in the partnership shall be adjusted to reflect its actual value.²⁴⁷

iii. Guarantees and risks

Given the array of contributions that ranges from total transfer of ownership to contribution of a mere use of the property, the contributors shall be treated differently. Where a partner who contributed ownership of property, the risks shall pass to the partnership. Yet the partner owes obligations similar to the duties of a seller.²⁴⁸ The provisions of the Civil Code relating to sale shall govern the transfer of risks in such cases and duties of the partner. Specifically, these provisions impose on the seller the duty take the necessary steps for transferring to the buyer unassailable rights over the thing. The seller shall guarantee the buyer against third party claims that might result in total or partial dispossession.²⁴⁹

²⁴⁶ Ibid Article 186(3).

²⁴⁷ Ibid Article 186(5).

²⁴⁸ Ibid Article 187.

²⁴⁹ Civil Code of Ethiopia 1960, Articles 2281&2282.

On the other hand, where the contribution in kind constitutes the use of property²⁵⁰, any risk affecting the property shall be considered as risk to the contributing partner, and the contributor shall carry out the obligations of a lessor as provided in the rules of the Civil Code. For instance, where a partner contributes use of immovable, he owes the obligations due to a lessor including:

- ✚ delivery of immovable and its accessories to the partnership (Art. 2900);
- ✚ that at the time of delivery, the thing must not have been affected by defects of such nature that appreciably diminishes its normal use (Art. 2904);
- ✚ that the lessor shall warrant to the lessee the peaceful enjoyment of the immovable during the currency of the lease (Art. 2911);
- ✚ the lessor may not, during the currency of the lease, make any alterations in the immovable without the consent of the lessee (Art. 2912);
- ✚ the lessor shall protect the lessee from claims of third parties on the immovable (Art. 2913);
- ✚ the lessor shall pay the burdens and taxes charging the immovable (Art. 2915);
- ✚ the lessor shall maintain the immovable in good condition and make necessary repairs which are not repairs incumbent upon the lessee (Art. 2915);
- ✚ where, during the currency of the lease, the immovable let is totally destroyed by fortuitous event, the lease shall terminate as of right (Art. 2929), which implies either the partner must make another contribution or he shall be out of the partnership.

One who contributes a debt²⁵¹ owes to the partnership the same obligation as a debtor under the contract of loan provisions of the Civil Code. Some of the stipulations regarding obligations of the debtor as provided in the Civil Code are:

- ✚ Art. 2477 - Risks-the borrower shall bear the risk of its loss.
- ✚ Art. 2478 -Interest- the borrower shall not owe interest to the lender unless the

²⁵⁰ Commercial Code of Ethiopia, Articles 187(2) &188(2).

²⁵¹ Ibid Articles 187(3).

payment of interest has been stipulated.

- ✚ Art. 2479 - the parties may not stipulate a rate of interest exceeding twelve percent per annum.
- ✚ Art. 2480 -eligibility- unless otherwise agreed, interest shall be paid at the end of each year reckoned from the making of the contract.
- ✚ Art. 2482. - time for restitution. - the borrower shall return the things lent at the time agreed.
- ✚ Art. 2483. - absence of agreed time- where no time has been fixed, the borrower shall return the things lent within one month from the day when the lender claims the restitution of them from him.
- ✚ Art. 2484. -special stipulation-where it has been agreed that the borrower will repay when he can or when he has the means to do so, the court shall fix a time for payment, according to the circumstances, which cannot exceed six months.
- ✚ Art. 2489. - damages- where the borrower is late in returning the thing lent or in paying the interest due by him, he shall pay legal interest-nine percent per annum (Art. 1751), any provision increasing the liability of the borrower shall be of no effect.

In general, contributions can be anything of value. At same time, the law strikes the balance that those who contributed in kind are subject to rules of guarantee, potential overvaluations should be adjusted when discovered, and risks must go with ownership.

7.2.5 Name of the Partnership

As a legal person, a general partnership shall have its own name, a name that identifies it as a person. The name shall consist of the names of all or at least two of the partners²⁵² followed by the words “General partnership”. Ancillary to naming and identification, the memorandum of association should also provide for the head

²⁵² Ibid Article 184.

office and branches, if any.

Having a name implies that general partnership is designed in line with the entity theory. Yet, further details on the naming shows features of the aggregate theory because its name is indispensably attached to the partners instead of standing in its own as a distinct legal person. For instance, it is strictly prohibited for a name of the partnership to contain names of persons who are not partners. Even where a pre-existing partner leaves the partnership, his name should be erased and the name of the partnership should be adjusted accordingly.²⁵³ This should be done even where the partnership might have earned good business reputations under the name that contains the leaving partner's name.

A non-partner should not allow the use of his name in the partnership name. where a person knowingly fails to object to the use of his name, he shall be liable for the obligations of the partnership as if he is a partner.²⁵⁴ This resembles the rules of the Civil Code pertaining to apparent authority of an agent²⁵⁵ or what some literatures call "partnership by estoppel."²⁵⁶ The justification for such a status and liability rests on the assumption that persons transacting with the partnership are deceived to believe that he is a partner. Perhaps they would not have entered into the transaction had it not been for that misleading name.

7.2.6 Registration and Acquisition of Legal personality

The formation of general partnership requires not only preparation of a memorandum of association but also its filing for registration. Indeed, all business organizations in Ethiopia, except joint venture, should submit a memorandum of association and get registered with the appropriate authority.²⁵⁷ It sometimes can happen that an alleged memorandum of association fails to identify the type of

²⁵³ Ibid Article 184(2).

²⁵⁴ Ibid Article 184(3).

²⁵⁵ Civil Code of Ethiopia Article 2195

²⁵⁶ Gross (n 201)169.

²⁵⁷ Commercial Code of Ethiopia, Article.82.

business organization established; it may not even be registered but a mere agreement between the alleged partners. Thus, characterization of the entity and identification of applicable law may be difficult. The 1960 Commercial Code had Art 213 (2) that reads “[w]here ...*the form of the organization is not specified, the commercial business organization shall be deemed to be a general partnership.*” This makes a general partnership as a default partnership whose rules shall govern entities posing difficulty as regards their type, and such provision had been used to deal with difficulties where the form of business organization is unspecified in the memorandum of association. We do not have similar provision in the revised Commercial Code.

At any rate, under normal course of things, all business organizations in Ethiopia, except joint venture, should get registered with the appropriate authority. Then, they acquire legal personality.²⁵⁸ As a legal person, a general partnership shall have its own name; shall acquire rights and incur liabilities by its agents in accordance with the provisions relating to agency; it shall act in legal proceedings by its agents.²⁵⁹

As highlighted in the preceding chapter, under Ethiopian law, the status of partnerships gets closer to what the entity theory advocates; they have own name and identity; they have the right to enter into contract; the right to sue and be sued; as well they have the right to acquire property, to manage and dispose of same. Yet, partnership missed some of the attributes of personality as dictated in the entity theory. Joint and several liability of the partners for partnership debt, and the susceptibility to dissolution of a partnership due to factors affecting the partners are manifestation of the aggregate theory instead of the entity theory

7.3 Management of General Partnership

Once the partnership comes into existence, it's the management that determines the

²⁵⁸ Ibid Article 175.

²⁵⁹ Ibid Article 179.

success or failure of the business.

7.3.1 Designated Manager

According to Article 198, a general partnership shall be managed *by one or more managers who may or may not be partners*. The memorandum of association is supposed to designate the manager(s) of the partnership along with the powers and duties of the manager. The partners may not do so always. The conventional complementary rules in partnerships provide that each partner shall be deemed a manager. However, the revised Commercial Code, as stipulated in Article 198, does not comply with such traditions. It presupposes that there shall be or that there has to be a designated manager for the management of a partnership. It implies that where the memorandum of association does not designate a manager, a later decision by the partners must specify who the manager(s) are.²⁶⁰

This compulsory requirement for designation of managers in general partnership is at odds with the long-standing tradition where the default rule allows each partner, in the absence of appointed manager, to act as manager and bind the partnership. For instance, the 1960 Commercial Code of Ethiopia had provided that “where no manager is appointed, each partner shall be a manager.”²⁶¹ Also, in Germany, the general commercial partnership (*offene Handelsgesellschaft* or OHG) that corresponds to general partnership in Ethiopian context, the default rule is that all partners can make management decisions for the partnership and represent it.²⁶² This holds true for UK where “each partner is deemed to be an agent for his co-partners in respect of transactions carried out in the ordinary course of the partnership business.”²⁶³ Same is true in France too.²⁶⁴

²⁶⁰ Ibid Article 203(2).

²⁶¹ Ibid 287(2).

²⁶² Cahn and Donald (n 208) 29-30.

²⁶³ Andenas and Wooldridge (n 229)136.

²⁶⁴ Ibid 38.

7.3.2 Powers of the Manager

The memorandum of association may regulate the powers and duties of the manager at any level of detail as the partners deem appropriate. Where that did not occur, some default provisions are provided by law. In principle, the manager shall have the power to carry out all lawful acts in order to achieve the business purpose of the partnership.²⁶⁵ The test for the scope of the power is whether the activities and transactions of the manager fall within the objects of the partnership. All transactions by the manager with third parties bind the partnership in so far as they fall within its object. Article 32 also defined a manager as a person authorized, expressly or tacitly, to carry out acts of management. Where a manager acts outside the scope of his powers the partnership shall not be liable but only the manager.

The partners may restrict the power of the manager; to narrow down the authority that the default rules of the law confer on him. They may specify restrictions in the memorandum of association and they may file such restriction with the commercial register. Failing entry into the commercial register, objection based on the restriction on power of the manager may be invoked only against third parties who transacted with the manager knowing the restriction set in place.²⁶⁶

7.3.3 Duties of the Manager

The manager shall discharge the responsibilities with the good faith and loyalty that the agent owes to a principal. Where the manager uses the partnership's name but diverts opportunities to himself, the partnership shall be bound and liable to third parties who dealt with him in good faith. But where it is proved that the third parties were aware of the improper use of the partnership name by the manager, it is only against the manager that such third parties may resort (*Article 200.*)

The manager must avoid conflict of interest and shall act exclusively in the interest of the partnership. The manager may not compete with the partnership. Absent the

²⁶⁵ Commercial Code of Ethiopia, Article 199 (1).

²⁶⁶ Ibid Article 199 (2)

unanimous consent of the other partners, he may not engage in transactions that are similar to those carried out by the partnership either on behalf of a third party or his own interest (*Article 201*). Nor may he be a partner with joint and several liabilities in another firm that engages in a similar business (*Article 202*).

7.4 Rights and Duties of Partners

Partners have committed their contributions to the partnership and they have committed themselves to work in cooperation and share in profits. A general partnership, like other business organizations, arises out of a memorandum of association, which is a contractual document in effect. The relationship creates several consequences that derive from the agreements of the parties as well as from the law that governs the relationship. It creates rights and duties among the partners, the partners with the partnership, and the partners with third parties.

7.4.1 Rights of Partners

Art. 190 summarized the rights of partners that comprise:

- ✚ the right to share the profits of the partnership;
- ✚ the right to share the assets of the partnership when the partnership is dissolved;
- ✚ the right to participate and vote in meetings of the partnership;
- ✚ the right to inquire about the state of the partnership's business, consult the books and papers of the partnership, and take notes therefrom;
- ✚ the right to require a report on the management to be prepared at the end of each year;
- ✚ the right to enjoy others rights and benefits which emanate from firm membership or the memorandum of association of the partnership.

It is not uncommon to classify the rights of partners into pecuniary interest and rights related to control.

7.4.1.1 Pecuniary Interests of Partners

The pecuniary interests of the partners refer to rights that can be monetized, and

these include the first two rights in the list above.

i. The Rights of Partners in Profits

The very purpose of forming partnership is driving profits. Each of the partners must share in profits. Provisions that allocate profits and/or losses to one or some of the partners shall not be sustainable at law.²⁶⁷ The share of profits and loss among the partners should be as determined by the memorandum of association.²⁶⁸ However, if the memorandum of association overlooked the issue of profit and loss allocation, the default rule shall be equal share for all the partners. This holds true even if the contribution of partners is unequal. There is no presumption of allocation of profits and losses based on proportion of amount of contributions from partners.

Accordingly, every partner shall have an equal share in the profits and losses.²⁶⁹ The nature and amount of contribution a partner made shall not be considered in determining the share. The law, in setting the default rule, has disregarded the amount of contribution. This is in line with the old aged understanding of partnerships that they are collection of persons. Capital/contributions are given less weight. In practice, however, partners are cautious of their investments, and sharing of profits is proportionate to the contributions. Yet, the default provisions of the law are fatal to a partner who contributed disproportionately high capital but failed to craft, in the memorandum of association, rules on profit sharing.

Some jurisdictions are heading to reversing the default position of the law. Reform on the German law of partnerships, which is scheduled to come into force on 1 January 2024, abolishes the current practice of weighting votes and distributing profits and losses based on headcount. Instead, it introduces the rule that weighs

²⁶⁷ Ibid Article 174.

²⁶⁸ Ibid Article 185(7).

²⁶⁹ Ibid Article 192. But if the agreement specifies only either the share in the profits or losses, such agreement shall apply equally to the share of profits and losses

voting powers and the distribution of profits according to shareholding ratios.²⁷⁰

ii. The right to share the assets of the partnership when the partnership is dissolved;

Where the partnership is dissolved, its assets shall be distributed to creditors and then to the partners where there is a surplus after all claims have been settled.²⁷¹ The rules of distribution begin with restitution of contributions.²⁷² The partners who contributed the use of property shall take it back upon dissolution. On the other hand, a partner who contributed the ownership of property does not have the right to claim it back upon dissolution. Rather such a partner will be compensated the monetary value of the property as at the time of contribution, not its value at dissolution. Furthermore, a partner who contributed skill shall receive the estimated monetary value of the skill at the time the contribution was made.

The law is mute regarding the restitution of contributors of cash, trademark, goodwill, and patent, copyright, lease right, usufruct or other contributions such as business. The silence does not in any way amount to denial; since there is no rationale for such interpretation. Rather, these contributors shall take back the monetary estimate of their contributions, the value at the time when the contribution was made.

Once restitution is done, there will be distribution of the surplus, if any, to the partners. The distribution formula for the surplus assts follows the default rules for profit sharing. The distribution of surplus shall be made in equal shares among the partners in the absence of specified proportion in the memorandum of association.²⁷³

²⁷⁰ NOERR, Reform of the German law on partnerships (MoPeG), <https://www.noerr.com/en/insights/reform-of-the-german-law-on-partnerships-mopeg>, accessed April 7, 2023.

²⁷¹ Commercial Code of Ethiopia, Article 211(1).

²⁷² Ibid Article 210.

²⁷³ Ibid Article 211.

7.4.1.2 Control rights of partners

The partners have the right to participate in the management of the partnership; the partners shall vote in meetings of the partnership; they may require a report on the management of the partnership at the end of each year; they possess unconstrained access to the books and accounts of the partnership to ascertain how the partnership is managed.

i. Appointment and dismissal of a manager

The general partnership must have one or more designated managers. The manager may be a partner or a non-member. The mandate of the partners in the appointment and dismissal of a manager is guaranteed by the law. They have control over the manager. The appointment of a manager may be made in the memorandum of association or by a later decision of the partners.

A manager may also be dismissed by decision of the partners but the dismissal procedure depends on the method of appointment and also whether the manager is a partner or an outsider. A manager who is not a partner but appointed in the memorandum of association or its amendments or by a later decision of the partners could be dismissed by a majority vote of the partners.²⁷⁴

On the contrary, dismissal of “a partner appointed as a manager in the memorandum of association or in an amendment thereto may be dismissed only in accordance with the rules that apply to the approval or amendment of the memorandum.”²⁷⁵ The approval or amendment of the memorandum of association normally requires “the consent of all the partners. But it is possible for the memorandum to set rules that allow its amendment by a majority vote of the partners.”²⁷⁶ Absent provision otherwise in the memorandum, removal of a partner manager cannot be affected without the amendment of the memorandum of association, which requires the

²⁷⁴ Ibid Article 203(2).

²⁷⁵ Ibid Article 203(1).

²⁷⁶ Ibid Article 204.

unanimous consent of partners including the manager to be dismissed where that manager is also a partner. In such case, the partners may be in deadlock. The possible solution to such a stalemate is to resort to a court for dismissal of the manager. Hence, a manager appointed in the memorandum may be dismissed by the court upon application of a partner but must show good cause that convinces the court to dismiss to repudiate a contractual clause in the memorandum.²⁷⁷

ii. The right to inquire about the state of the partnership's business

The partners have the right to follow up the ongoing status of the partnership.²⁷⁸ They can inquire about the state of the partnership's business, consult the books and papers of the partnership. They have the right to require annual report on the management to be prepared by the manager.

iii. The participation of partners in the partners' meeting

Apart from the appointment and dismissal of the manager, each partner has the right to participate and vote in meetings of the partners' assembly. In particular, matters beyond the ordinary acts of management are reserved for partners.

The domain of reserved powers comprises matters that require amendment of the memorandum of association, appointment of an attorney or carrying out any act which goes beyond normal partnership practice.²⁷⁹ These acts are supposedly beyond the powers of the manager though it looks a little bit strange that the manager does not have the power regarding appointment of attorney. What amounts to acts of managements and acts beyond normal partnership practice varies depending on the nature of the business undertaken by the partnership. In any case, no matter how subjective and elastic the scope of the power may be, acts of management does not include disposal or mortgage of an immovable property of the business or sale, hire

²⁷⁷ Ibid Article 203(3).

²⁷⁸ Ibid Article 190 (3) & (4).

²⁷⁹ Ibid Article 204.

or pledge of the partnership business itself. These are special acts that require express authorization (Article 34).

The decision-making procedures are articulated in Article 204. On these matters reserved to the partners, the default rule requires decisions to be taken by unanimous consent of the partners; all the partners must be present in decision taking (the quorum requirement is 100%), and of those present the vote required to pass a binding decision is the consent of all partners (100%). The memorandum may provide for a decision to be taken by the majority vote of partners as stipulated in their memorandum of association.

Each partner shall have equal vote regardless of the amount of contribution. Yet it is possible to incorporate an agreement otherwise in the memorandum of association so that the weight of each partner's vote shall be proportional to the amount of contributions made.

7.4.2 Obligations of Partners

Corollary to the rights, partners owe certain obligations among themselves and towards the partnership. Art. 191 summarized the obligations of the partners.

i. Duty to pay contribution

The duty to contribute constitutes one of the defining elements of partnership. The nature and amount of contributions expected of each partnership is dealt above. The partners may postpone the payment of contributions to dates after the formation of the partnership. They may fix appropriate time as deemed appropriate. Yet each partner should pay his contribution to the partnership in due time.²⁸⁰ A delay to deliver on the date fixed shall result in a penalty in the form interest or any other alternative provided for by agreement or in the memorandum of association.²⁸¹

²⁸⁰ Ibid Article 191(1)(a).

²⁸¹ Ibid Article 189.

ii. Duty work diligently and with due care

The partners pledge to cooperate for the success of the partnership and they are supposed to act diligently and with due care to achieve the purpose of the partnership.²⁸² This duty particularly concerns those partners who contributed skill and partners appointed managers. The duty of diligence and due care are standards drawn from the law of agency. As such, the compliance or otherwise of partners regarding this duty shall be evaluated taking into account the parameters in law of agency.

iii. Duty to avoid conflict of interest

Partner must refrain from handling any business which would be prejudicial to the partnership, be it on for his own benefit or for a third person.²⁸³ The 1960 commercial code was more explicit in this regard.²⁸⁴ Except on the approval of partners, a partner should refrain from carrying on competing business, or managing a competing business on behalf of others. It is also prohibited to be a partner with joint and several liabilities in a competing firm. Where there is approval of partners, it must be renewed each year. In addition to the above listed obligations, the partners should discharge other obligations arising out of the memorandum of association and the law.

7.5 Relation among partners and with third parties

Beyond the above-mentioned rights and obligation, there are certain relationships among the partners that arise from being partners in a partnership. Notable in this regard are case regarding transfer of interest in partnership; expulsion of a partner; and admission of new partners.

²⁸² Ibid Article 191(1)(b).

²⁸³ Ibid Article 191(1)(c).

²⁸⁴ 1960 Commercial Code of Ethiopia, Article 292.

7.5.1 Transferability of Shares in Partnership.

Partnership requires the personal due diligence and care of partners for the success of the business. The introduction of a new member might result in undesired consequences. Thus, the transferability of shares in partnerships needs to be carefully regulated. The partners may regulate the issue of transferability in the memorandum of association. However, where the partners fail to do so, the law sets default rules governing transferability or otherwise of shares.

i. Transfer of Beneficial Interests and Rights in a Share to Third Party

Article 197 deals with transfer of beneficial interests and rights in a share to third party. This concerns cases where the partner assigns only his monetary rights in the partnership, reserving control rights. A partner does not need the consent of other partners to transfer beneficial interests and rights in his share to a third party.²⁸⁵ What amounts to beneficial interests lacks clarity. The term *beneficial interests* do not seem to have rich jurisprudential foundation in the Ethiopian legal system. Yet, article 197(2) offers some clue as regards what sort of rights the drafts had in mind, as it reads that “... *transfer of beneficial interests and rights to a third party by a partner does not bind the partnership. The third party does not become a member and acquire full rights of a partner.*” The transferee does acquire limited rights as opposed to the rights of the transferor. What rights are transferred to the transferee and what rights remains with the transferor require further elucidation of the matter.

An apparently a counterpart of this provision in the UK Partnership Act of 1890, which deals with Rights of assignee of share in partnership,²⁸⁶ states that “[a]n assignment by any partner of his share in the partnership, either absolute or by way of mortgage or redeemable charge, does not ... entitle the assignee... to interfere in the management or administration of the partnership business or affairs, or to require any accounts of the partnership transactions, or to inspect the partnership

²⁸⁵ Commercial Code of Ethiopia, Article 197 (1).

²⁸⁶ UK Partnership Act 1890, Section 31.

books, but entitles the assignee only to receive the share of profits,,,”

Thus, in general, transfer of beneficial interest to the transferee shall not vest the transferee the status of a partner. In particular, he shall not have control rights that his assignor could have but to pecuniary interests. Thus, the partners have unconstrained right to transfer beneficial interest in their share.

ii. Transfer of Shares to Another Partner

Art. 194 regulates transfer of shares among the partners. Unlike transfer of beneficial interests, transfer of shares embodies the transfer of both pecuniary rights and control rights of a partnership. a partner is entitled to transfer his share to *another partner* save a contrary provision in the memorandum of association. Intra-partners transfer of shares is unconstrained in principle but contrary agreement that restricts such transfer may be included in the memorandum of association.

iii. Transfer of Shares to non-partners

Transfer of shares to non-partners is subject to strict regulation. In principle, the unanimous consent of the partners is required to transfer one’s share and admit an outsider into the partnership but a contrary provision in the memorandum of association may mitigate the effect of such a default provision.²⁸⁷ For instance, the memorandum of association may provide that approval shall be given by a majority of the partners.²⁸⁸ Otherwise, objection by any partner can block the transaction.

But it is just a matter of common sense that a partner who has lost interest in the partnership should not be a prisoner of his investment indefinitely. Hence, there would come time to request dissolution of the partnership and distribution of assets. On the other hand, the remaining partners deserve protection if they want to continue the business. In case a partner did not succeed to transfer his share to another partner

²⁸⁷ Commercial Code of Ethiopia, Article 193

²⁸⁸ 1960 Commercial Code of Ethiopia, Article.282. *Rules concerning shares.*

(1) A share may be assigned or transferred where all the partners agree.

(2) The memorandum of association may provide that approval shall be given by a majority of the partners.

or to an outside but desires to leave the partnership, he should be paid and leave partnership. The amount of pay outs shall be fixed by the agreement of the partners.²⁸⁹ Disagreements leading to judicial litigation are likely to occur on the amount of pay outs to the leaving partners. In such cases a court may employ the service of an accountant or other valuation experts.²⁹⁰

The departing partner shall remain liable jointly and severally with the partners for the debts and liabilities incurred by the partnership before his departure. The liability may be transferred to a substitute partner, where the withdrawal is effected via transfer to a new partner, provided the creditors of the partnership gave their consent to that effect.²⁹¹

7.5.2 Relation of partners with the partnership and third parties

The partnership is accountable to acts of its agents particularly the manager (s) in so far as the acts fall within the ambit of normal partnership practice. The manager is expected to act in the name and in the interest of the general partnership. Yet, there might be instances in which managers would advance their own personal interest, and yet the partnership could be held liable for the manager's act. As stated in Article 200, the partnership shall be liable to third parties who dealt with the manager in good faith even where the manager acts in the name of the partnership but for his own benefit, save exceptions where third parties were aware of the improper use of the partnership name by the manager.

We already noted that partners of general partnership are jointly and severally liable for the debts of the partnership.²⁹² Not even a contrary agreement can avoid such status regarding liability.²⁹³ Thus, partners are indirectly liable to third parties dealing with the partnership. This manifests Ethiopian law adopted, regarding

²⁸⁹ Commercial Code of Ethiopia, Article 195(1).

²⁹⁰ Ibid Article 195 (2)

²⁹¹ Ibid Article 196.

²⁹² Ibid Article 191(1)(d).

²⁹³ Ibid Article 183.

general partnership, aggregate theory instead of entity theory in so far as partners are liable for obligations of the partnership.

Liability of all partners for partnership debt is a typical feature of general partnership across jurisdictions. Yet, some level of variation is noticeable across jurisdictions regarding whether or not the partners are subject to direct and immediate action by creditors of the partnership. For instance, Delaware Revised Uniform Partnership Act,²⁹⁴ protected the partners from direct and immediate actions of third parties for debts of the partnership. In principle, according to Delaware Law,²⁹⁵ a partner shall be liable to third parties only after a judgment against the partnership has been obtained and a writ of execution on the judgment has been returned unsatisfied. But there are exceptional circumstances that exempt third parties from the rigors of exhaustion of partnership assets. These are cases where the partnership is a debtor in bankruptcy; where the partner has agreed that the creditor need not exhaust partnership assets; or instances where a court grants permission on certain considerations. A court may grant permission where partnership assets subject to execution are clearly insufficient; or exhaustion of partnership assets is excessively burdensome.

²⁹⁴ Delaware Revised Uniform Partnership Act, <https://delcode.delaware.gov/title6/c015/sc03/index.html>, accessed March 9, 2023.

²⁹⁵ Ibid Section 15-307, provides that:

...

- (c) *A judgment against a partnership is not by itself a judgment against a partner. A judgment against a partnership may not be satisfied from the assets of a partner ... for a partnership obligation unless there is also a judgment against the partner for such obligation.*
- (d) *A judgment creditor of a partner may not levy execution against the assets of the partner to satisfy a judgment based on a claim against the partnership unless:*
 - (i) *A judgment based on the same claim has been obtained against the partnership and a writ of execution on the judgment has been returned unsatisfied in whole or in part;*
 - (ii) *The partnership is a debtor in bankruptcy;*
 - (iii) *The partner has agreed that the creditor need not exhaust partnership assets; or*
 - (iv) *A court grants permission to the judgment creditor to levy execution against the assets of a partner based on a finding that partnership assets subject to execution are clearly insufficient to satisfy the judgment, that exhaustion of partnership assets is excessively burdensome, or that the grant of permission is an appropriate exercise of the court's equitable powers;*

Thus, Delaware law allows only secondary recourse against the assets of individual partners. It requires a judgment creditor to exhaust the partnership's assets before proceeding against the personal assets of a partner. In French law as well, "the creditors of a *société en nom collectif* (SNC), can sue an individual partner for a partnership debt only if previous action has been undertaken against the partnership's assets and these did not entirely satisfy the creditor."²⁹⁶

Art.191 (2) of the revised Commercial Code of Ethiopian states that "creditors of the partnership may not take an action against individual partners for debts due by the partnership until after the partnership has been served a default notice." This provision simply requires a default notice without legal action to exhaust the assets of the partnership.²⁹⁷ Indeed, this stance of Ethiopian law is apparent from the language used in the definition of general partnership as it reads partners are jointly and severally liable with the *partnership itself*.

7.6 Dissolution and Liquidation of General Partnership

There are several reasons that would bring an end to the life of business organizations. In particular, partnerships do have precarious existence that substantially depends on the situation of individual partners.

Articles 205 ff. of the Commercial Code deals with dissolution and winding-up of partnerships. Once dissolution is set in motion it has to go through the process of liquidation. The liquidation process ranges from the moment the ground for dissolution is affirmed up to cancellation from registration.

7.6.1 Grounds for Dissolution

The following are causes that lead to dissolution of general partnerships.

Article 205 (1) provides that "... without prejudice to the general provisions of this Book, a partnership may be dissolved on one of the following grounds...." The

²⁹⁶ Ibid.

²⁹⁷ 1960 Commercial Code of Ethiopia, Article 294.

reference to without prejudice to the general provisions of this Book takes us back to Article 181 which provides that a business organization, including general partnership, shall be dissolved where:

- *the purpose has been achieved or cannot be achieved;*
- *expiry of term fixed, unless the members agree to continue*
- *members, at any time, agree to dissolve the business organization;*
- *a court declares the business organization bankrupt;*
- *a court decides to dissolve the business organization for good cause*

Article 205 (1) has also provided for additional grounds of dissolution that applies to general partnership but not necessarily to other business organizations. Thus, a general partnership may be dissolved on one of the following grounds:

- where a partnership is established for an undefined period or for the life of one of the partners, or the right to dissolve on notice is provided in the memorandum of association, every partner may bring about its dissolution by giving in good faith six months advance notice;
- a partner is incapable of carrying out his duties in the partnership due to infirmity or illness or any other reason;
- a disagreement occurs among the partners precluding them from acting together;²⁹⁸
- a partner dies or is declared bankrupt by the court or loses legal capacity to be a partner;

²⁹⁸ On the request of a member, court decides to dissolve for good cause (serious disagreement obstructing the attainment of the purpose, and even expelling members by paying them their share could be of no help; See Commercial Code of Ethiopia, Articles 5&181 (4).

- where the personal creditors of a partner cause his entire share to be disposed of or the remaining partners do not agree to his continuation as a partner with the remainder of his share.

The possibility for sustaining the partnership, despite the occurrence of some of the grounds for dissolution, is depicted in Article 205 (2). It stipulates that the partnership may continue to exist, notwithstanding the provisions of Sub-Article (1), where:

- ✚ a partner gives notice to dissolve and the remaining partners pay out his share to such partner and agree to continue the partnership as between them; or
- ✚ the remaining partners agree to continue the partnership by paying out the share of the deceased partner to his heirs or tutor of the incapable partner or trustee of the bankrupt partner.

Where a partner dies, unless the existing partners agree to continue, a partnership shall be dissolved by operation of law and the partners should start the liquidation process. Yet the partners may agree to admit heirs of a deceased partner. This agreement may also be stated in the memorandum of association. A partnership may also be dissolved where any of the partners are declared incapable or bankrupt. In such cases, partnership interest of the bankrupt partner shall be offered for sale. If the partners do not agree to pay the share of the bankrupt, the partnership may be dissolved. These instances show that anything that critically affects a partner affects the partnership as well, which is a manifestation of the importance of individual partners in partnership.

The court may order dissolution of a partnership where an interested person applies for dissolution and good cause is established. As stipulated in Article 181(6), there shall be good cause in instances such as where there is serious disagreement between members and the disagreement obstructs the attainment of the purpose of the organization. At most care needs to be taken to sustain the business organization.

Article 181(7) asserts that disagreement between members shall not constitute a good enough cause to dissolve a business organization where the business organization can attain its business purpose by expelling some members.

7.6.2 Liquidation

As noted above, liquidation is the process of administration of the business until final payment to creditors and distribution of surplus to partners. The liquidation process cannot be managed by the normal time managers but by liquidators. The liquidators may be named in the memorandum of association, by the partners who have decided for dissolution, or by court.²⁹⁹

Article 208 provides for the details of the task specification for liquidators. In general, the liquidators shall take all steps necessary to complete the winding-up of the partnership. The particulars of their powers and duties shall include a) completion of business already started; b) drawing up an inventory of the assets and liabilities of the partnership; c) collection of the assets of the partnership, selling its property, paying the creditors of the partnership from the assets of the partnership or, where necessary, calling upon the partners for contributions; d) representing the partnership in judicial, administrative, or arbitral proceedings; e) distribution of the assets of the partnership to the partners; and f) carrying out other acts necessary for the winding up of the partnership.

The first task of liquidators shall be to make inventory in cooperation with managers. After completion of this task, having all assets and documents of the partnerships, the liquidators have to start the liquidation business. The main task of liquidators is to facilitate the process of liquidation. They cannot start new business but only complete those already at hand. They have to call creditors and make them prove debts, they have to pay debts proved, and they have to collect credits due.

If assets of the partnership are not sufficient to pay debts, the liquidators shall call

²⁹⁹ Ibid Article 207.

upon partners for contribution (Art. 208(1)(c)). If all debt is paid, the remaining assets shall be distributed to the partners. In the course of distribution to partners, liquidators shall follow the rules on *restitution of contributions*.³⁰⁰ Thus, the liquidators need to return the contributions the partners made to the partnership, and any surplus shall be distributed equally absent contrary agreement in the memorandum

The liquidators must discharge their responsibility with due care and diligence expected of managers and they shall face similar liability to that of managers in case of defaults.³⁰¹ Of course, where there is malfeasance, the appointment of liquidators may be revoked by the agreement of all the partners, or by the court at the request of one partner.³⁰²

The last business of liquidators is having the partnership cancelled from the registration kept in the commercial registry.³⁰³ The business organization shall cease to have legal personality starting from *the day following the date of the cancellation*. The cancellation from commercial register must be published in a newspaper of wider circulation in the area where the business organization had its head office

7.7 Summary

A general partnership is the typical form of partnerships. Its essence is the joint and several liabilities of all partners for partnership's debt. Creditors may proceed against one or several of the partners to recover their claims. Partners may request a prior notice to the partnership and consequent default of the partnership to meet the claims of the creditor. Ethiopian law does not require exhaustion of partnership asset to bring an action against partners.

The formation of general partnership requires filing an authenticated memorandum

³⁰⁰ Ibid Articles 210 and 211.

³⁰¹ Ibid Article 208(2).

³⁰² Ibid Article 209.

³⁰³ Ibid Article 182.

of association to the registering authority. The registering authority certifies the formation by granting certificate of registration. The legal personality of the partnership commences at registration. The partners should contribute towards the capital which may be cash, ownership of use of property, or services.

A general partnership shall have its own name as a legal person. The name of the partnership should consist of names of at least two partners. A partner shall be managed by one or more managers who may be partners or non-partners. The manager shall have the power to carry out all lawful acts in order to achieve the business purpose of the partnership. The partners have the right to share in profits, take part in decision affecting the partnership, and the right share in distribution of surplus assets upon dissolution and liquidation of the partnership.

7.8 Review questions

1. Evaluate the nature of general partnership in light of the entity vs. aggregate theory divide.
2. What are the formation requirements for general partnership?
3. Suppose two individuals, planning to establish a general partnership to operate a woodwork workshop business, drafted a memorandum of association and signed same. Yet they did not authenticate their agreement and consequently did not register the partnership. Later on, the two “partners” get into a dispute and one of them filed a court case alleging the existence of a partnership. How the case will be entertained by the court?
4. Suppose Mr. X was a partner in “X, Y, Z General Partnership”. He left the partnership after a while with the consent of the other two but he failed to get his name erased from the partnerships name. Is X liable for debts of the partnership incurred after he left? Why or why not?
5. How a general partnership is supposed to be managed under Ethiopian law?

Suppose a partnership is duly formed. But the partners did not appoint a manager even after they have taken business license. Who shall act on behalf of the partnership? Is the partnership bound by the acts of any of the partners who acted on behalf of the partnership without explicit appointment as manager?

6. What is the distinction between “Transfer of Beneficial Interests” and “Assignee of Share”? Explain the difference between the rules that apply in these two cases.
7. What are the grounds for dissolution of a general partnership?

CHAPTER EIGHT: LIMITED PARTNERSHIP

This chapter specifically explores limited partnership. Limited partnership is a variant of partnership developed to offer alternatives for those desiring a different arrangement than general partnership but still sharing basic features of general partnership.

At the end of this chapter, students are expected to:

- Describe the defining attributes of limited partnership, as distinguished from general partnerships
- Describe the requirements and procedures for the formation of limited partnership
- Explain the relationship between the partners
- Illustrate the rights and duties of general partners and limited partners
- Elaborate the relationship between the partners and the partnership as well as the relation of partners with third parties
- Describe the management structure of the limited partnership
- Identify the powers that fall within the power of the managers and the collective decision of all partners.
- Spell out majority and quorum requirements for decision regarding the various issues in partnership
- Provide exhaustive list of the grounds for dissolution of limited partnership, and explain same.

8.1. Nature of Limited Partnership

Ethiopian law defined limited partnership as a partnership that comprises “partners

with different types of liability: general partners who are in full liable jointly and severally with the partnership itself for the obligations of the partnership and limited partners who are liable for the obligations of the partnership only to the extent of their pledged contributions”.³⁰⁴

This definition also capitalized the nature of liability of partners but introduced a dual class of partners where some have unlimited liability while others benefit from limited liability. The French *société en commandite simple* (SCS) (limited partnership) also comprises the *commandités* or general partners who are jointly and severally liable for the whole of the debts and obligations of the partnership, and the *commanditaires* or limited partners who are liable up to the amount of their contributions.³⁰⁵ The general partners should qualify to be merchants/traders while the limited partners do not need to meet that qualification.³⁰⁶ This sort of arrangement with respect to liability shall have its own consequence particularly on limited partners’ rights to control. German law described general partners (*Komplementare*) as partners with management functions and unlimited liability, and limited partners (*Kommanditisten*) as partners who are excluded from management and are liable for the debts only up to the amount of their contributions.³⁰⁷ Art. 218(3) of the Commercial Code also states that “limited partners may not act as managers even under a power of attorney.” They shall not also let their name to be included in the partnership’s name (Art. 213(3)).

Historical accounts of the development of limited partnership shows that limited partners are supposed to be passive investors. Andreas Cahn and David C. Donald wrote that roots of limited partnership traces “back to the medieval transactional structure known as the *commenda*, in which a silent partner would contribute funds

³⁰⁴ Ibid Article 212.

³⁰⁵ Andenas and Wooldridge (n 229) 153-154.

³⁰⁶ Ibid.

³⁰⁷ Cahn and Donald (n 208) 31-32.

to an active partner (usually a ship's captain) to undertake a trading voyage.”³⁰⁸ Hamilton also noted that limited partnership developed in Europe during the middle ages as a mechanism that served the nobility and churches to participate anonymously in ordinary commerce.

However, this historical purpose of anonymity can hardly be served in today's limited partnership due to the fact that limited partnerships are also required to register with the appropriate authority, unlike early days of unregistered partnerships in common law. And yet the visibility of limited partnership and reliance of third parties on limited partners is somehow reduced by excluding them from management and the partnership's name. Limited partners shall lose the shield of limited liability if they are involved in management or let their name to be included in the firm name.

8.2. Formation of Limited Partnership

Like a general partnership, a limited partnership shall be established through a memorandum of association that shall contain similar details as that of the general partnership plus a specification of who are general partners and limited partners (Article 214). The memorandum shall be filed with the Ministry of Trade or regional organs administering commercial registration, and shall acquire legal personality upon issuance of certificate of registration.³⁰⁹ It shall have a firm-name that consists of the names of at least two general partners (if there are more than one) followed by the words “Limited Partnership” (Article 213).

8.3. Contributions of partners

Each partner must contribute. Article 215 cross refers to article 186 asserting that rules regarding contributions in general partnership (type and amount of contribution, valuation, guarantees due, risk transfer, and the likes) shall apply as

³⁰⁸ Ibid 31.

³⁰⁹ Business Registration and Licensing Proclamation No. 980/2016, Article 7(1); Commercial Code of Ethiopia, Article 175.

regards contributions in limited partnership as well. An exception required by the very unique feature of limited partnership is that “limited partners may not make contribution in the form of skill” while the general partners can (Article 215(2)). The underlying rationale for this goes to the fact that limited partners remain liable to creditors of a limited partnership to the extent of their unpaid contributions (218(1)). As such, where the partnership defaults, it is not feasible to collect services expected of limited partners. And we are cognizant of the Civil Codes provision that obligations affecting the personal liberty of the debtor cannot be enforced.³¹⁰

8.4. Management of Limited Partnership

A limited partnership shall be managed by one or more managers who may or may not be partners (Article 198 cum 220). In the repealed Commercial Code, any general partner used to be deemed agent and/or manager of partnership and could bind the same, should the partners elect it to be so or failed to appoint a manager inadvertently. These flexibilities are gone. Limited partnership shall be managed by a manager. The memorandum or a later decision of the partners should appoint a manager who may be a non-partner or a general partner (Article 216(2)). Limited partners may not be managers.

Absent provision otherwise for amendment of the memorandum, a general partner appointed as a manager in the memorandum of association or in an amendment thereto may be dismissed only upon unanimous consent of both limited and general partners. Of course, a manager may be dismissed by the court at any time but only for good cause that includes dishonesty or incompetence. Appointment or dismissal of a manager appointed other than in the memorandum may be effected by a majority vote of the partners (Article 203 cum 220)

As hinted above, limited partners are not permitted to be managers. Art. 218(3) of the commercial Code also states that limited partners may not act as managers even

³¹⁰ Commercial Code of Ethiopia, Article 176.

under a power of attorney. Contravening this prohibition by a limited partner entails joint and several liabilities akin to general partners for any obligations arising out of his activities. However, where deemed appropriate, taking into account the frequency and gravity of violations of the prohibition, a limited partner may be declared jointly and severally liable in respect of some or all the firm's undertakings.

Not only that a limited partner should refrain from meddling the management of the partnership but also that he should not allow his name to be included in the firm-name. where he allows it, he shall be liable jointly and severally with the partnership itself for obligations emanating from the undertakings of the partnership with third parties in good faith as though he were a general partner.³¹¹ This provision cautioned the extent of liability for lending a name. The limited partner's joint and several liability for lending a name in partnership is limited to undertakings of the partnership with third parties who in good faith believed that he is general partners. Third parties that suffered loss during the currency of his name in the partnership but who knew he is not a general partner are not entitled to recourse against the limited partner.

With respect to involvement in management, his liability is confined to "obligations arising out of his activities; he is not automatically equated to general partners for all liabilities of the partnership. That would happen only where violations of the restriction are so frequent and grave that he is no less involved than the general partners. Moreover, the limited partners' exclusion from management does not deprive of them from ensuring transparency and accountability of the general partners. As per Article 218 (4)-(6), limited partners may take part in the following activities without being deemed to have acted as manager:

-  inquire regarding the affairs of the firm, inspect the books and accounts of the firm and take notes;

³¹¹ Ibid Article 213(3)

- ✚ take part in consultations in the firm;
- ✚ deal with the firm;
- ✚ investigate managerial acts;
- ✚ give advice and counsel to the firm;
- ✚ give permission to do acts outside the manager`s powers.
- ✚ being employed by the firm in non- managerial positions.

These activities do not amount to involvement in management and may not result in deprivation of the limited liability protection accorded.

8.5. Participation of partners in matters beyond the powers of the manager

This topic concerns itself with the issue of what role the law or the memorandum of association reserved for the partners' collective decisions as opposed to those matters vested to managers. Partners, including limited partners, have the right to participate and vote in meetings of the partnership though they are not allowed to get involved in day-to-day management of the partnership (Article 220 cum 190). Matters that go beyond the powers of the managers, particularly matters affecting memorandum of association, require unanimous consent of both limited and general partners absent otherwise provision in the memorandum. Each partner, whether general or limited shall have equal vote unless the memorandum of association stipulates for voting weight proportionate to partners' contribution. The collective decision-making procedure for partners in limited partnership are regulated by law.³¹² Amendment of memorandum of association, appoint an attorney or carry out any act which goes beyond normal partnership practice require the consent of all the partners.³¹³ But partners may agree to take decisions by a majority vote of all the

³¹² Ibid Article 204 cum Article 220.

³¹³ Ibid Article 204 (1).

partners. Each partner shall have equal vote in the absence of contrary agreement.

8.6. Rights and Obligations of General Partners and Limited Partners

The dual class partner in limited partnership gives rise to differential treatment of the two classes of partners in some respect but similarly treated other cases. In principle, the general partners are situated in similar position to partners in general partnership (Article 216(1)) with respect to their rights and duties. Accordingly, each general partner shall have the right to participate and vote in meetings of the partnership; eligible to be a manager; follow up and inquire into the management of the partnership; share the profits of the partnership and the assets of the partnership when the firm is dissolved; and enjoy others rights and benefits that emanate from firm membership in the partnership (Articles 220 & 190). Corollary to this, each general partner shall pay his contribution to the partnership in due time; work honestly, diligently and with due care to achieve the purpose of the partnership; and refrain from competing with the partnership either on his own behalf or on behalf of third party.³¹⁴

The limited partners have limited liability and relatively limited rights and limited obligations as compared to general partners. Each limited partner shall have the right to participate and vote in meetings of the partnership; follow up and inquire into the management of the partnership but are not eligible to be a manager. Like general partners, they are entitled to share the profits of the partnership and the assets of the partnership when the firm is dissolved; and they shall enjoy others rights and benefits that emanate from firm membership to the partnership (Articles 220 & 190). With respect to obligations, limited partners, just like general partners, shall pay their contribution to the partnership in due time. Unlike general partners who must refrain from acts that might potentially create conflict of interest, the limited partners are exempted from such restriction. Article 217, regarding conflict of interest, singled

³¹⁴ Ibid Articles 220 & 191.

out general partners and provided that:

Unless approved by the other partners, no general partner may carry out transactions, on behalf of a third party or on his own behalf, which are related to business carried on by his firm, nor may he be a partner with joint and several liability in another firm carrying on similar business.

8.7. Transfer of Shares

The transfer of shares in limited partnership is somehow similar to the case in general partnership but some minor differences that emanate from the dual status of partners in limited partnership are included. The transfer of shares to third parties requires the consent of all general partners but only majority of the limited partners (Article 219(1)). A less stringent requirement may also be agreed in the memorandum of association (Article 219(2)). The transfer of shares to partners, transfer of beneficial interests, and liability of general partners who transferred their share, for debts due prior to the transfer, are similarly regulated as in the case of general partnership (Articles 220 cum 194-197 & 219(3)).

8.8. Dissolution and Winding up of Limited partnership

Article 220 provides that the provisions of Article 187-211 of this Code shall apply to a limited partnership as appropriate, Article 205 deals with grounds for dissolution of general partnership which itself makes a cross reference to Article 181. Accordingly, a limited partnership shall be dissolved where:

- *the purpose has been achieved or cannot be achieved;*
- *expiry of term fixed, unless the members agree to continue;*
- *members, at any time, agree to dissolve the business organization;*
- *a court declares the business organization bankrupt;*
- *Death, incapacity (infirmity or illness or any other reason) or bankruptcy of*

a general partner;

- up on notice by a partner, where life span is for undefined period, *for the life of one of the partners, or the right to dissolve on notice is provided in the memorandum of association*;
- the court orders, up on application, dissolution of a partnership for good cause; and
- *Serious disagreement exists between the partners.*

The liquidation proceeding shall follow the process as in case of general partnership (*Article 206*). The liquidators may be named in the memorandum of association, by the partners who have decided for dissolution, or by court (*Article 207*). The first task of liquidators shall be to make inventory in cooperation with managers.³¹⁵ After completion of this task, having all assets and documents of the partnerships, the liquidators have to start the liquidation business. The main task of liquidators is to facilitate the process of liquidation. They cannot start new business but only complete those already at hand. They have to call creditors and make them prove debts, they have to pay debts proved, and they have to collect credits due.

If assets of the partnership are not sufficient to pay debts, the liquidators shall call up on partners for contribution (*Art. 208(1)(c)*). If all debt is paid, the remaining assets shall be distributed to the partners.

8.9. Summary

The distinguishing attributes of limited partnership lies in the composition of partners of deferent level of liability. At least one partner shall have unlimited liability while others may enjoy limited liability benefit. However, the limited partners are excluded from management of the partnership. Nor should they lend their name as part of the partnership's name. A limited partnership shall be formed

³¹⁵ Ibid Article 208.

via a memorandum of association which shall be authenticated, filled to the registering authority, and then a certificate of registration shall be issued. Registration vests legal personality.

A limited partnership shall be managed by a designated manager, to be appointed either in the memorandum of association or a later decision of the partners. The partners have the exclusive mandate to decide on matters that are beyond the powers of the manager. Some decisions such appointment of an attorney and matters affecting memorandum of association require unanimous consent of both limited and general partners. This default requirement could be modified by the memorandum of association. Each partner, whether general or limited, shall have equal vote unless the memorandum of association stipulates for voting weight proportionate to partners' contribution. The collective decision-making procedure for partners in limited partnership are regulated as follows (Article 204 cum 220).

8.10. Review questions

1. Evaluate the nature of limited partnership in light of the entity vs. aggregate theory divide.
2. What are the formation requirements for limited partnership?
3. Limited partners have general partners and limited partners: Elaborate these two categories of partners from the perspective of:
 - a. Liability for debts of the partnership
 - b. Role/participation in management
 - c. The extent they may impact dissolution of the partnership
 - d. Share in profits, losses, and allocation of surplus at liquidation.
 - e. "Transfer of Beneficial Interests" and "Assignment of Share"
4. There shall be instances where limited partners will be liable beyond their contribution to the capital. Explain the instances.

5. How a limited partnership is supposed to be managed under Ethiopian law?
Suppose a partnership is duly formed. But the partners did not appoint a manager even after they have taken business license. Who shall act on behalf of the partnership? Is the partnership bound by the acts of any of the partners who acted on behalf of the partnership without explicit appointment as a manager?
6. What are the grounds for dissolution of a limited partnership?

CHAPTER NINE: LIMITED LIABILITY PARTNERSHIP

This chapter is dedicated to limited liability partnership. Limited liability partnership was unknown to the Ethiopian law of business organizations until the revision of the Commercial Code in 2021.

At the end of this chapter, students are expected to:

- Briefly explain the development of limited liability partnership
- Describe the defining attributes of limited liability partnership as distinguished from other partnerships, specially how different it is from limited partnership
- Describe the requirements for the formation of limited partnership
- Illustrate the rights and duties of partners among themselves and in relation to the partnership
- Describe the management structure of the limited liability partnership
- Identify the powers the fall within the power of the manager/s and the collective decision of all partners
- Discuss the liability of partners in relation to third parties dealing with the partnership.
- Spell out majority and quorum requirements for decision regarding the various issues in partnership
- Provide exhaustive list of the grounds for dissolution of limited liability partnership, and explain same.

9.1. Introduction: Genesis of Limited liability partnership

Limited liability partnership is a new introduction to the Ethiopian law of business

organizations. It has a relatively short history in other legal systems as well. Hamilton traces the historical genesis of limited liability partnership to the real estate and energy prices crisis in the late 1980s which in turn brought the collapse of banks and other financial institutions.³¹⁶ Creditors with unsatisfied claims against these failed institutions, their directors and their officers turned their eyes to accountants and lawyers who had represented the failed financial institutions. There was a surge in claims for professional malpractice against lawyers and accountant. Individual partners of profession-based firms were threatened with claims of hundreds of millions irrespective of how innocent or unaware such partners were about the transactions in question.

There was a long-standing conception of public policy that professionals providing individualized service should not be allowed to limit their liability for malpractice or negligence. In USA, these professionals were not allowed to use the corporate form with limits liability of members.³¹⁷ The financial crisis incident in the late 1980s marked a turning point in which Texas, as a state where more than one-third of the bank failures in America occurred, responded by amending its partnership statute and introducing the “Limited Liability Partnership” as a new business organization.³¹⁸ It soon spread to other states in USA and other legal systems.

Germany introduced the 1994 legislation that allowed for professional partnership (*Partnerschaftsgesellschaft*), an equivalent of limited liability partnership.³¹⁹ In Germany, those engaged in professional services were not allowed to use commercial partnership or limited partnership owing to the perception that these professions are not commercial. They were allowed to use the civil partnership which had suffered from several limitations including lack of legal personality until a later reversal of this conception via judicial decision. Limited liability partnership

³¹⁶ Hamilton (n 211)20-21.

³¹⁷ Ibid 19.

³¹⁸ Ibid 21-22.

³¹⁹ Andenas and Wooldridge (n 229)144.

becomes part of English legal system through the Limited Liability Partnerships Act 2000³²⁰ as opposed to the more than century old legislations of the 1890 (general) partnership act and the 1907 limited partnership act.

9.2. The Nature of Limited Liability Partnership (LLP)

The Commercial Code defined limited liability partnership as “*a business organization formed by two or more persons to render professional service and services complementary thereto in which the liability of partners is limited to the amount of their contributions (Article 221(1))*”. Accordingly, LLP is a partnership that offers the benefit of limited liability for all partners. The business purpose of the partnership is confined to professional service and services complementary thereto.

9.2.1. Professional Service

The term professional service, defined in (*Article 221(2)*), refers to a service provided based on a professional license granted by an appropriate authority. “Complementary service” is also defined as a related service which is necessary to provide the professional services (*Article 221(3)*). The domain of these professional services does not appear to be clear cut. Which services require professional licensing depends on the law regulating different professions. Hamilton claimed that states in USA follow different listings regarding which services should come within this category of professional services but lawyers, accountants, and medical professionals are certainly within this category.

Similarly, the German professional partnership (*Partnerschaftsgesellschaften*) is described as an association of self-employers who associate for the exercise of their professions.³²¹ Instead of defining the term 'self-employer', German law preferred to use an illustrative listing approach. The list of self-employers for the exercise of their

³²⁰ UK Limited Liability Partnerships Act 2000.

³²¹ H Christian A W Schulze, ‘*Partnerschaftsgesellschaft: The New German Form of Company and Business Association*’, *the Comparative and International Law Journal of Southern Africa*, Vol. 29, No. 2 (1996)143.

professions includes;

*medical doctors, dentists, veterinaries, non-medical practitioners, physiotherapists, midwives, masseurs, certified psychologists, members of the law societies, patent attorneys, chartered accountants, tax consultants, consulting economists and business economists, sworn accountants, tax representatives, engineers, architects, analytical chemists, pilots, professional experts, journalists, press photographers, interpreters, translators and members of similar professions, as well as scientists, artists, writers, teachers and educators.*³²²

The exact constituent of the class of professional services lacks precise delimitation in German law as well but provided a better hint for analogies from the list. As opposed to the German and Ethiopian approach, the business purpose of LLP in common law is not confined to professional services though its genesis was instigated by the desire to shield professional service providers from unlimited liability. The LLP Act of UK provided that a “limited liability partnership is a body corporate (with legal personality separate from that of its members) in which two or more persons associate for carrying on “a lawful business with a view to profit” and formed by being incorporated³²³. Also, in USA, LLP is open to all business, but it is often used by large firms of lawyers and accountants.³²⁴

9.2.2. Professionals/Partners

Given the fact that LLP in Ethiopia is reserved for professional services, one may assume that only natural persons can be members of an LLP. There is, however, a possibility that an LLP engaged in similar professional services could be a partner of another LLP. Art. 224 of the Commercial Code confirmed that “[o]nly professionals licensed by an appropriate organ to provide professional service or

³²² Ibid.

³²³ (UK)Limited Liability Partnerships Act 2000, Sections 1(2) &2(1). Also, as per Section 18(1), “business” includes every trade, profession and occupation.

³²⁴ Hamilton (n 211)23.

limited liability partnerships which render a service that is similar or related to the one rendered by the partnership may become partners.”

9.3. The Formation of Limited Liability Partnership (LLP)

An LLP shall be established through a memorandum of association that shall contain similar details as that of the general partnership under Article 185 plus each partner’s license number and the type of his profession (Article 225). The provisions of the Code governing contributions of the partners in the case of general partnership shall apply *mutatis mutandis* to a limited liability partnership (Article 226 cum 186). Partners may contribute anything of economic value, subject to the *mutatis mutandis* adjustment, including skill. Recognition of skill as a valid contribution is not the case in other business organizations where a partner enjoys the benefit of limited liability but it is allowed for LLP. Indeed, a person without the required skill proven by a license of competence, no matter how significant investment he is willing to contribute, cannot be a member of an LLP.

The memorandum of association shall be filed with the Ministry of Trade and Regional Integration or regional organs administering commercial registration. The partnership acquires legal personality upon issuance of certificate of registration.³²⁵ Article 222 underscored the distinct legal personality of the LLP separate from that of the partners, a legal personality unaffected by the death, bankruptcy, departure from the partnership or any other fact affecting the partners. As a distinct legal person, it shall have a firm-name, to be agreed by the partners which must indicate the business purpose of the partnership, followed by the words “Limited Liability Partnership” (Article 223).

9.4. Liability of Partners

The foregoing discussion briefly touched on the liability of partners in LLP, in which Article 221(1) generally prescribed that the liability of partners is limited to the

³²⁵ Business registration and Licensing Proclamation No.980/2016, Article 7(1); and Commercial Code of Ethiopia, Article 175.

amount of their contributions. But the relationships among the partners, partners with third parties, and partners with the partnership require more details.

Hamilton noted the successive development of limited liability shield in LLP from partial shield to full shield. At the initial stage, the limited liability shield was limited to liabilities arising from malpractice and negligence claims, in which third parties may claim only from the partnership assets and the partner at fault but not against other LLP partners. The partial shield limited liability did not protect partners from claims arising from contract where claims exceed the partnership asset. A later development provided LLP partners protection for all types of claims be it tort or contractual (lease, employment, etc.) claims. Third party claimants are restricted to the assets of the partnership.

Article 228 of the Code further deals with extent of liability of the partnership. According to this provision of the Code, in some instances, only the partnership shall be liable and no partner shall be required to pay from his personal property. In other instances, the partnership and partners particularly responsible for the occurrence of a particular act that gave rise to liability shall be liable, saving the rest of the partners against claims on their personal assets. The third scenario depicts cases where third parties may not resort even to the partnership assets but only against the specific partners responsible for the act giving rise to liability.

The principle is that, endorsed in Art. 228(3), *the partnership alone shall be liable for any obligation... whether arising out of contract or other grounds save exceptions in Art. 228(1) & (2)*. The first exception is where only the partnership and the partner or an employee of the partnership shall be jointly and severally liable where such partner or employee commits fault or causes damage intentionally, fraudulently or negligently in the course of carrying out the activities of the partnership. The other partners are immune from liabilities that arise in such instances but the partner or employee at fault shall be liable together with the

partnership, and the liability is without limit.³²⁶

The other scenario, depicted in Art. 228(2), is the case where the third parties dealing with a partner knew that he exceeds the scope of authority and are therefore deprived of a remedy even against the partnership assets. They have recourse right against that partner alone where the injured parties were aware of the fact that the partner or employee who caused damage was not authorized to carry out the activity that caused damage to them, the partnership shall be relieved from liability and only the partner or employee shall be liable.³²⁷

These exceptions are not unique to Ethiopia. It is commonly held that the limited liability shield in LLP is not available to partners who committed the acts of malpractice or negligence.³²⁸ As such Article 228 (1) provided that the partner or employee who commits the fault intentionally or negligently and the partnership shall be jointly and severally liable. Hamilton observed that in many states (USA), the deprivation of shield of limited liability is not limited to the person who committed the act but also other who have oversight power and partners aware of the malpractice by that other partner and failed to take steps to avert same.³²⁹

The scope of deprivation of limited liability protection provided in the above provision of Ethiopian law does not seem to be so broad. Yet it can be difficult to characterize an act as purely contractual or purely tort/fault based. In particular, in Ethiopian case, one may wonder whether the malpractices for professional services are not contractual claims.

The evolution of LLP that offers partners benefit from limited liability puts creditors at disadvantage. LLPs as professional partnerships may not have more assets than their partners' skills. Thus, the law must strike a balance, for which the requirement

³²⁶ Commercial Code of Ethiopia, Article 228(1).

³²⁷ Ibid Article 228(2).

³²⁸ Hamilton (n 211)22.

³²⁹ Ibid.

of liability insurance is indispensably attached to LLPs as depicted in Art. 228(4).

9.5. The Impact of Departure of a Partner on the Partnership

Article 229 governs, at length, the grounds and consequences of departure of a partner on the partnership. According this provision, a partner shall leave the partnership at his own will subject to a three months advance notice, unless a provision is otherwise included in the memorandum of association. Of course, the provision otherwise may not compel a partner to stay there but only prolong the notice period. That can be deduced from article 229(2) which simply imposes duty to pay compensation for the damage caused where a partner leaves at will without observing the notice period requirement. This happens to be so due to the very nature of the partnership as it requires provision of service which affects personal liberty of a partner if he is to be compelled.

A partner leaving the partnership may wish to transfer his share to a third party, leading admission of a new partner qualified to be a partner as per the requirement of the law. That is quite possible but only with unanimous consent of the partners save a contrary provision in the memorandum of association (Article 233 cum Articles 230&193). A leaving partner is relieved of restrictions in case of transfer of shares to another partner, subject to a contrary provision in the memorandum of association (Article 233 cum Articles 230&194). Transfer of share to another partner is less likely to work in LLP owing to the logical extension that the partners' principal contribution is their time and skill which is probably wholly invested already. Yet, all the remaining partners may pay out his share and increase their shares proportionally.

Article 229(1) enumerated more grounds leading to ending of membership to the partnership that includes cases where: the partner dies, is declared bankrupt, or is dissolved in the case of a legal person; the entire share of the partner is foreclosed by his personal creditors; the partner's professional license is revoked, or suspended for a long period of time subject to otherwise agreement; the partner becomes

permanently incapable of carrying out his duties (illness, infirmity or for any other reason); a court rules to expel the partner for good cause.

The consequence of withdrawal of a partner at will or due to compelling circumstances results in paying out the cash value of his share to himself or the person entitled to receive the share. Third parties so entitled shall not become a partner in lieu of the partner who died or left the partnership (Article 230). A leaving partner or his estate shall remain liable for debts and liabilities incurred prior to his leaving (Article 229(3)). This arrangement concerning withdrawal of a partner is a restatement of Art. 222 on the nature of LLP. It stipulates that the partnership has legal personality distinct from that of the partners, and as such the death, bankruptcy, departure from the partnership or any other fact affecting the partners shall have no impact on the existence, rights or obligations of the partnership.

9.6. Duty to Avoid Conflict of Interest

As in the case of general partnership and general partners in limited partnership, all partners in an LLP are required to act solely for the interest of the LLP. They must avoid any possibility of conflict of interest with the LLP for their own sake or on behalf of third parties. The relevant provision states that a partner must secure the consent of all the partners³³⁰ to engage, on his own behalf or on behalf of a third party, in an undertaking which is similar to the one carried out by the partnership, or to be a partner in another firm pursuing similar business purpose.

9.7. Decision Making in an LLP

An LLP shall be managed by one or more managers who should act within the scope of their power. Matters beyond acts of management require collective decision of the partners. The default rules on majority requirements are as follows (Article 231):

 a decision regarding change in the nationality of the partnership or the

³³⁰ Commercial Code of Ethiopia, Article 227.

business purpose of the partnership requires approval of three-quarters (3/4) of the partners, the vote weight being per head count irrespective of the share proportions.

- ✚ Other matters that necessitate an amendment to the memorandum of association shall pass if approved by a two-thirds majority vote of the partners.
- ✚ Any other decision may be made by a majority vote of the partners.
- ✚ Contrary provisions to modify these default rules may be provided in the memorandum of association of the partnership.

9.8. Applicability of the Rules Governing General Partnership

To avoid unnecessary duplication, Article 233 makes a cross reference to the applicability of Articles 187-211 of the commercial Code subject to the *mutatis mutandis* clause. Articles 187-211 regulates multitude of issues including guarantees due by contributors of different assets (article 187); transfer of risk regarding contributions (Article 188); rights and duties of partners including the right to participate and vote in meetings, the right to share in profits and surplus assets at dissolution, the duty to pay promised contributions (articles 190-192); transfer of shares and beneficial interests that regulates when and who should have control on that and the liability of the incoming and outgoing partners (articles 193-197); management of the partnership: the appointment and dismissal of managers, powers of manager (198-203); collective decision taking by the partners (unanimity or majority requirements for different decisions) (article 204); and dissolution and liquidation of a partnership (articles 205-211). Hence, students should keep in mind *mutatis mutandis* clause and resort to this cross reference where matters stated becomes of interest with respect to LLP.

Some aspects of LLP are governed by the rules governing general partnership, by cross reference, due to similarities shared between the two partnerships. Yet, few provisions are dedicated owing to the unique aspect of LLP.

9.9. Dissolution of LLP

A limited liability partnership is primarily association of professional service providers. Whether its life span transcends the life one or more its partners or what other grounds may result in end of the LLP is regulated by the law. Any rate, its life span will come to an end at certain point in time for various reasons. The dissolution of LLP is subject to the general provisions governing the grounds for dissolution of business organizations (Article 232). Without prejudice to that general rule, an LLP shall be dissolved for any of the following grounds:³³¹

-  the purpose for which the LLP was formed has been achieved or cannot be achieved;
-  the term for which the LLP was formed expires, unless the members agree to continue the LLP;
-  members agree to dissolve the LLP;
-  a court decides to dissolve the LLP for good cause on the request of a member;
-  a court declares the LLP bankrupt;
-  the number of its partners is reduced to one and a partner has not been introduced within six months or the period of extension granted as the case may be (Articles 181&232).

Though an LLP is subject to the general grounds of dissolution specified in Article 182, the unique attributes of LLP as opposed to other partnerships is implicitly manifested. That is to the death, bankruptcy or incapacity of partners are not grounds for dissolution LLP. This is in line with the entity theory; LLP is a self-standing business organization as regards dissolution grounds.

9.10. Summary

Limited liability partnership is meant to provide an alternative form of business organization for those whose livelihood is depending on delivery professional

³³¹ Ibid Article 242.

services such as accountants, lawyers and medical practitioners. In principle, all the partners are vested with the benefit of limited liability save certain exceptions. The conventional view was that those engaged in professional services should not be allowed to limit their liability by establishing limited liability business organizations such as companies.

The emergence of this form of partnership was instigated by need to protect professionals from unlimited liability claims. A turning point from this conventional view was the financial crisis incident in the late 1980s that led to bank failures. Third parties claim besieged professional service providers who were suspected of faulty professional services that contributed to the failures of the banks. Such unprecedented actions against professional service providers were beyond tolerance and legislature felt that there must be a limit to professional liability. The state of Texas, as a state where more than one-third of the banks failed, pioneered the introduction of Limited Liability Partnership for professional service providers.

Limited liability partnership is a recent introduction to the Ethiopian law of business organizations. It is recognized as an entity exclusively reserved to those licensed professionals desiring to undertake their business in the form of business organizations. All the partners are, in principle, protected by the shield of limited liability. It offers the advantage of flexible management just as in most partnerships and at the same time offers the advantage of limited liability as in the case of companies.

9.11. Review Questions

1. Evaluate the nature of limited liability partnership in light of the entity vs. aggregate theory divide.
2. What are the formation requirements for limited liability partnership?
3. Elaborate the status of partners of limited liability partnership from the perspective of:

- a. Liability for debts of the partnership
 - b. Role/participation in management
 - c. The extent they may impact dissolution of the partnership
 - d. Share in profits, losses, and allocation of surplus at liquidation.
 - e. “Transfer of Beneficial Interests” and “Assignment of Share”
4. Are there instances where partners of limited liability partnership will be liable beyond their contribution to the capital? Explain the instances.
 5. How a limited liability partnership is supposed to be managed under Ethiopian law? Is the partnership bound by the acts of any of the partners who acted on behalf of the partnership without explicit appointment as a manager?
 6. What are the grounds for dissolution of limited liability partnership?

CHAPTER TEN: JOINT VENTURE

The preceding discussion introduced to us four types of partnerships recognized under Ethiopian law and general attributes of partnerships in general. The distinguishing features of three types of partnerships are already presented. This chapter explores joint venture. It addresses unique features at length and other common characteristics with brevity in subsequent chapters. The nature of joint venture, its formation requirements, the relation among partners, the relation of partners with the partnership, and the relation of partners with third parties dealing with the joint venture shall be dealt. In addition, how the joint venture is designed to be managed, the powers of the partners concerning partnership affairs, and the dissolution grounds will be discussed.

At the end of this chapter, students are expected to:

- Describe the defining attributes of a joint venture as distinguished from other partnerships, specially how different it is from limited partnership.
- Describe the requirements for the formation of the joint venture
- Explain the relationship between the partners
- Illustrate the rights and duties of general partners and the silent partners
- Elaborate the relationship between the partners and the joint venture as well as the relation of partners with third parties, with respect to their dealings with the joint venture
- Describe how the management of a joint venture is to carried out
- Identify the powers that fall within the power of the manager/s and the collective decision all partners
- Spell out majority and quorum requirements for decision regarding the

various issues in the venture

- Provide exhaustive list of the grounds for dissolution of joint venture, and explain same

10.1 Nature of Joint Venture in General

The term ‘joint venture’ (often referred to as a JV) is used frequently in connection with business arrangements but lacks precise conceptualization. Perhaps, it is the least understood concept in the Ethiopian law of business organizations.

Let’s first draw some insight from literature and other legal systems. In the ordinary use of the term, a joint venture’s essence is generally understood to be a collective term used to describe a range of different types of business arrangements between two or more persons.³³² Byron Egan³³³ noted that a joint venture may be structured as a corporation, partnership, limited liability company, trust, contractual arrangement, or any combination of such entities and arrangements.³³⁴ Based on the forms of business arrangements, a joint venture could be classified as Entity Joint Venture and Contractual Joint Ventures.³³⁵

10.1.1 Contractual Joint Ventures

Contractual Joint Ventures arise where parties involved collaborate to create a venture without establishing a new legal entity.³³⁶ Collaboration arrangements for research and technologies, construction, mining, joint tenders for bidding are widely used.³³⁷ Contractual joint ventures are expected to set out the respective rights and

³³² Orrilitchfield, Solicitors and Business Lawyers, Joint Ventures & Joint Venture Agreements, https://www.orrilitchfield.com/Corporate_Law/Joint_ventures_&_joint_venture_agreements.

³³³ Byron F. Egan, *Challenges in Joint Venture Formation* (2010)1.

³³⁴ Ibid; See also Law of the People's Republic of China on Joint, (July 1, 1979). Article 4 of Chinese joint venture law, that provides for collaborative form of business between Chinese and foreign participants, provided that “a joint venture shall take the form of a limited liability company.”

³³⁵ Orrilitchfield (n 332)

³³⁶ Legal Service India, Joint Venture: Creation and Legal Liabilities, <https://www.legalserviceindia.com/legal/article-7598-joint-venture-creation-and-legal-liabilities.html>, accessed April 6, 2023.

³³⁷ Ibid.

obligations of the parties in writing in order to provide clarity and to reduce the risk of disputes and litigation. The purpose of the joint venture, the roles of the parties; the assets, ownership, management and funding of the joint venture; the sharing of joint venture profits; the transferring of ownership; intellectual property; confidentiality; restrictive covenants; and the resolution of disputes between parties are matters that a joint venture agreement will normally address. In such cases, the contract shall govern the relation between the joint venturers, and as such little or no legal difficulties might be encountered.

In Ethiopia, there are no specific contract provisions regulating contractual joint ventures but it is obvious that the rules of contract law must apply in such cases. In practice as well, contractual joint ventures are prevalent and dully recognized. For instance, the Standard Bidding Document (SBD), prepared by the Federal Public Procurement Agency, stipulates that eligible bidders include “...a natural person, private, public or government-owned legal entity, ... or any combination of them with a formal intent to enter into an agreement or under an existing agreement in the form of a *Joint Venture (JV)*, consortium, or association.”³³⁸ This document nowhere defines and distinguishes the terms *Joint Venture (JV)*, consortium, or association; the context shows they are used as alternative terms where two or more persons commit themselves to compete in a bid as a single person by pooling their resources.³³⁹

In the case of a bid submitted by a joint venture (JV), the agreement governing the formation of joint venture, or letter of intent to form JV, including a draft agreement needs to be submitted.³⁴⁰ The joint venture agreement should indicate, among others, the name the associates and the proposed proportion of responsibilities between

³³⁸ See for instance, Federal Public Procurement Agency, Standard Bidding Document (SBD) For Procurement of Textbooks and Related Services for National Competitive Biddings (NCB), 2011, P.3.

³³⁹ Ibid Section 19.1 provides that if bidder is a joint venture or consortium of two or more entities, the bid must be single with the object of securing a single contract.

³⁴⁰ Ibid Section 23.2(h).

members (in %) with specification of the type of the works to be performed by each. JV must nominate a leader who shall have the authority to conduct all businesses for and on behalf of any and all the parties of the Joint Venture: he shall act as the representative of the joint venture; sign on behalf of and bind the joint venture members. He must be expressly authorized in writing by the members of the joint venture, which in effect requires notarized power of agency.³⁴¹ All joint venture members shall be jointly and severally liable.³⁴²

Despite some developments that recognize contractual joint ventures in Ethiopia, there appears to be a narrow conception of joint venture that it should feel the way it is described in the commercial code. This conception has permeated into the legal minds and officer. References to “joint venture” in contractual documents such as bidding documents are being challenged. People are preoccupied with the notion of the joint venture in the Commercial Code as the only form deserving that label. Hence there is a need to endorse the broader understanding to which the term joint venture could be used without the need to stick to the particular form recognized in the Commercial Code.

10.1.2 The Entity Joint Ventures

Within the broader conception of joint venture, as a business undertaking by two or more persons in the form of a particular legal entity or simply contractual arrangements, we may straightforwardly say that all forms of business organizations (limited liability partnership, limited partnership or general partnership) are entity joint ventures. But that is not where jurists are facing difficulty since such legal entities do have their own well developed legal regimes governing them. Legal systems are grappling to fill a void in cases where certain arrangements are neither purely the typical partnerships, we know nor they are complete contracts. There would arise instances where the courts would be ceased of a relationship in there

³⁴¹ Ibid Section 19.2.

³⁴² Ibid Section 19.

was no formal agreement, or an express undertaking in relation to the joint venture. The borderline between "joint venture" proper and a partnership on the one hand, and a joint venture and what should more properly be seen as no more than a simple contractual relationship may sometimes be confusing. It is claimed that a (general) partnership meets the test of joint venture but the reverse is not true.

The development of joint venture is attached to early commercial relationships, in the 18th and 19th centuries, in England where the parties were associated for a particular transaction. In the Scottish legal context, a joint venture is described as “*a species of association in trade analogous to, or perhaps more correctly a variety of partnership in which the partners use no firm or social name although they are associated in joint adventure or trade which is confined to a particular adventure, speculation, course of trade or voyage.*”³⁴³

In its genesis and essence, a joint venture is usually *confined to a particular adventure*; its objective is limited to a single undertaking or ad hoc enterprise. Yet, the possibility of undertaking continuous business via a joint venture cannot be ruled out. Moreover, there are different models in different jurisdictions which adds to the confusion.³⁴⁴

The Ethiopian Commercial Code defined a joint venture as “a business organization established by an agreement among two or more persons. It has no legal personality and its existence is unknown to third parties. Registration formalities required of other business organizations do not apply to a joint venture”.³⁴⁵ From the previous discussions, a business organizations displays the following characteristics; it is association of two or more persons; it is a for-profit entity; the associating members must contribute towards the capital; its formation requires a memorandum of

³⁴³ *Encyclopaedia of the Laws of Scotland* (1931), Vol. II, s 67, 32 and Bell’s Principles, s 392 cited by Samuels J in *Brian Pty Ltd v United Dominion Corporation Ltd* [1983] 1 NSWLR 490, 505

³⁴⁴ See generally, Maree Chetwin, ‘The Broad Concept of Joint Venture: Should It Have A Fixed Legal Meaning?’, *EABR (Business) & ETLC (Teaching) Conference Proceedings* (2007)1.

³⁴⁵ Commercial Code of Ethiopia, Article 234.

association duly prepared, signed by the partners, and authenticated by the appropriate authority; and it must be registered and thereby acquire legal personality.

A joint venture meets some of the characteristics of a business organization, i.e., it is association of two or more persons; it is a for-profit entity; the associating members must contribute towards the capital. But it lacks some of the essential attributes of business organizations including legal personality: it does not have a name, lacks the right to act via agents on its behalf, cannot acquire rights or incur liabilities in its own name, may not own property in its name, etc. As it lacks legal personality, it has no identity and it is difficult to characterize anything that lacks identity. Then who owns the property, how the business is to be managed, what relationship subsists between the associates, who represents the business and in whose name are questions that pose unique changes in joint venture.

Moreover, Article 234 of the Commercial Code holds that existence a joint venture is undeclared business organization. That exemption relieves the partners from going through potentially time consuming and cumbersome filing and for registration process. In this regard, there is some similarity between the Ethiopian joint venture and the French undeclared partnership (*de la société en participation*), which is governed by the French Civil Code. Articles 1871 provided that “*partners may agree that the partnership will not be registered. The partnership is then called "undeclared partnership" [joint venture]. It is not a legal entity and is not subject to publication requirements. Proof of its existence may be made by any means.*”

In Germany as well, the *Stille Gesellschaft* (which is translated as silent partnership) is not required to be registered. Section 230 of the German Commercial Code provides that *[w]hoever participates as a silent partner by means of a contribution of assets in a commercial business carried on by another person is to make the contribution such that it is transferred to the assets of the owner of the commercial business. Solely the owner has rights and obligations arising from transactions concluded in the operation of the business.*

The *Stille Gesellschaft*/silent partnership/ is not registered in the commercial register and the relationship is not apparent to third parties.³⁴⁶ The undisclosed nature of the joint venture agreement constitutes its very essence; else, it would lose its status and treatment as a joint venture. Andenas and Wooldridge remarked that, writing on German *Stille Gesellschaft*, the partnership is correctly called silent because the partnership is neither registered in the Commercial Register and nor is the relationship apparent to third parties. Also, pursuant to Article 235 of the Commercial Code, where a joint venture is made known to third parties, it shall, as of such date, be regarded, insofar as such parties are concerned, as a general partnership. The consequence would be treating a joint venture as a general partnership with regard to liabilities toward third parties. Similarly, Article 1872-1 of the French Civil Code states that *each partner contracts in his own name and is alone bound towards third parties. However, if the participants act as partners quite openly with third parties, each participant is then bound with regard to the third parties for the obligations arising from acts performed in that capacity by one of them, solidarity, if the partnership is a commercial partnership, without solidarity in the other cases.*

Thus, according to French law, the undeclared partnership shall be considered as commercial partnership and liability of partners shall be *solidarity* (joint and several liability) if it engages in commercial activities, or it shall be treated as civil partnership and liability of partners shall be without solidarity (individual liability) where the joint venture carries out non-commercial activities. Note that Ethiopian law also used to have distinct level of liability for partners in commercial and non-commercial partnerships in the 1960 Commercial Code but the new Commercial Code has abolished that dichotomy of civil vs. commercial business organizations.

Yes, a joint venture is undeclared partnership. But it does mean that the moment Mr. C knows A&B are working in joint venture would automatically render the

³⁴⁶ Andenas and Wooldridge (n 229)133.

relationship a non-venture. A joint venture is not known to third parties does mean it is a secret that so single individual other than the partners should know about the existence of a venture. It is only when a joint venture is made known to third parties in such a way that *the participants act as partners quite openly with third parties*, and such third parties transact believing that they are partners. In such cases, the joint venturers may be treated, as regards liability, similar to partners of general partnership.

Although the joint venture in Ethiopia, *de la société en participation* in France, and the *Stille Gesellschaft* in Germany share the common attribute that the relationship need not be registered, some basic differences are visible regarding the managerial participation and liability of the partners.

10.2 Formation of Joint Venture

A joint venture is an association of persons who bring together contributions for the purpose of undertaking an economic activity in cooperation and of participating in the profit made. It is categorized and treated as a business organization. We have already discussed some peculiarities of a joint venture compared to other business organizations. With respect to formation, business organizations are established through a memorandum of association/an establishment document but a joint venture is established by joint venture agreement- a partnership agreement. The law does not require the agreement of the partners to be in any particular form; it could be written or oral or implied.³⁴⁷ Even where it is a written one, it is not required to go through authentication and registration process. Consequently, a joint venture does not have legal personality.

Both memorandum of association and joint venture agreements are contractual

³⁴⁷ UPA 2014, p.12. This Act defines “Partnership agreement” as “the agreement, whether or not referred to as a partnership agreement and whether oral, implied, in a record, or in any combination thereof, of all the partners of a partnership....” The logical conclusion from the design of Ethiopian law on partnership agreement of joint venture could interpreted in similar way.

document of the partners. But there are some differences. In the first place, the contents of a memorandum of association are to some extent legally prescribed while agreement of the partners in the joint venture is left to their own design. Yet, given the shared attributes of a joint venture and other business organizations, joint venture agreements are likely to be designed in line with memorandum of association.

Most of all, a memorandum of association is a public document while a joint venture agreement is a private document. A memorandum of association shall be signed by the partners/members, authenticated by the relevant authority, and deposited at the commercial registry which shall be open to the public at large; third parties are also entitled to look into the register.³⁴⁸ On the other hand, joint venture agreement remains a private contractual document among the partners; its existence is undeclared. No formality is required even for the agreement. Due to the absence of registration formalities, it might be difficult the particular point in time that joint venture is deemed established. The relationship between the venturers may be a series of informal discussions, exchanges, and collaboration.

10.3 Contributions

In principle, the provisions concerning contributions in general partnership (Article 186) shall apply to a joint venture. Yet, unlike general partnership, joint venture lacks legal personality and hence cannot own property its own name. Thus, unless otherwise agreed, every partner owns his contribution (Article 236(2)). This also implies guarantees due by contributors, and transfer of risk regarding contributions are governed by the rules pertaining to contribution of use of property (article 187(2), Article 188(2)) as discussed in the section on general partnership.

10.4 Management of Joint Venture

The joint venture belongs to the general category of partnerships and as such the management design follows that pattern. As per Article 238 a *joint venture shall be*

³⁴⁸ Business Registration and Licensing Proclamation No. 980/2016, Articles 5(6), 6(1) &7(3)

managed by one or more managers who need not be partners, and where no manager is appointed, all the partners shall have the powers of managers. In line with the flexibility in the formation of joint venture, in which a mere agreement among partners suffices to establish the partnership, the management of joint venture is the most flexible of management designs of partnerships. In all other partnerships, there has to be a designated manager (who may be partner or non-partner). But that is not required in joint venture; all the partners shall have the powers of managers where a manager is not appointed. This used to be so for all partnerships in the Commercial Code of 1966.

The joint venture agreement among the partners is supposed to specify the powers and duties of the manager of a joint venture (Article 239). Where it fails to do so, the scope of powers and duties of the managers should be guided by the general rule that the manager shall have the power to carry out all lawful acts in order to achieve the business purpose of the firm (Article 199). The joint venture agreement among the partners may restrict this general scope of the powers of the manager. But, unlike the case in general partnership, such agreements may not be invoked against third parties in any case (Article 239), the rationale being that joint venture agreements may not be entered in the commercial register.

10.5 Participation in Management and scope of Liability of Partners in Joint Venture

A comparative exploration of the management role and extent of liability of partners shows that the French *de la société en participation* law assumes parity of roles of the partners regarding their participation in the venture. The German law of *Stille Gesellschaft* (joint venture) provides for active and passive partners with differing role in management and liability. And Ethiopian joint venture law appears to be different, and in fact confusing.

According to Section 230 of the German Commercial Code, a silent partner contributes assets to a commercial business carried on by another person such that

it is transferred to the assets of the owner of the commercial business, and only the owner has rights and obligations arising from transactions. The silent partner is excluded from management of the business; he may only demand a copy of the annual financial statement and inspect the books and documents to examine its accuracy (Section 233). The silent partner participates in losses only up to the amount of their paid or promised but still outstanding contribution (Section 232). The partnership agreement may even provide that the silent partner shall not participate in losses but entitled to share in the profits (Section 231). These characterizations of joint venture led to the conclusions that the German *Stille Gesellschaft* (joint venture) is more like a limited partnership short of registration.

On the contrary, the French and Ethiopian commercial codes maintained that each partner remains owner of the assets which he has placed at the disposal of the partnership (Article 1872 & Article 236 respectively). Further, each partner contracts in his own name and is alone bound towards third parties and shall keep the relationship undisclosed (Article 1872-1, Article 241(4)). In addition, Article 238 of Ethiopian Commercial Code holds that all the partners shall have the powers of managers where no manager is appointed, and so does Article 1872-1 of French Commercial Code. Thus, the French *de la société en participation* (undeclared partnership) is akin to Ethiopian general partnership short of registration.

Ethiopian joint venture law has brought some confusing characterization of joint venture both as a limited partnership short of registration on the one hand, and a kind of general partnership short of registration on the other hand.³⁴⁹ Article 241, on relation of partners with third Parties states, that:

- 1/ *Only the manager of a joint venture is known to third parties. He shall alone be liable for the debts and liabilities of the joint venture.*
- 2/ *A partner who is not a manager of a joint venture shall meet liabilities towards*

³⁴⁹ Commercial Code of Ethiopia, Article 241.

the manager of such joint venture only to the extent fixed in the agreement between the partners.

3/ Where a partner who is not a manager takes part in the management of a joint venture, he shall be jointly and severally liable with the manager to third parties.

4/ Every partner of a joint venture shall deal with third parties in his own name only.

Article 241 (1)-(3) depicts a joint venture akin to the German *Stille Gesellschaft* (joint venture). The joint venture comprises active and silent partners, and where the silent partners (limited partners) are excluded from management and but enjoy the benefit of limited liability, liabilities limited only to the extent of contribution fixed in the agreement between the partners. The clause “only the manager of a joint venture is known to third parties. He shall alone be liable for the debts and liabilities of the joint venture” is the replica of Section 230 of the German Commercial Code on the *Stille Gesellschaft*, that provides a silent partner makes “*the contribution such that it is transferred to the assets of the owner of the commercial business. Solely the owner has rights and obligations arising from transactions concluded in the operation of the business.*”

On the other hand, Article 241 (4) and several other provisions including 238(2) empower all the partners to act as managers. These provisions depict unregistered general partnership without designated manager. The provision that “*every partner of a joint venture shall deal with third parties in his own name only*”³⁵⁰ is at paradox with the first provision. Where every partner of a joint venture is entitled to deal with third parties in his own name, it is hardly conceivable to imagine a single manager as representative of a joint venture, as the only person known to third parties and who shall solely liable for the debts and liabilities of the joint venture. In other words, while every partner actively engages in their own respective sphere, the depiction of a single active manager and other passive members is illusive.

³⁵⁰ Ibid Article 241(4).

In conclusion, there shall be Ethiopian joint venture where there is unregistered partnership relationship without appointed manager, in which case every partner actively engages in their own respective sphere and in their own name. In such cases, the rules governing general partnership should be applicable where the joint venture law fails short of completeness.

Also, there shall be Ethiopian joint venture where there is unregistered partnership agreement that provides for registration of the business in the name of one of partners who manages same but other partners shall remain excluded from management and protected by the shield of limited liability. These supposedly passive partners may not take part in the management of a joint venture. In such cases, the rules governing limited partnership should be applicable where the joint venture partnership law fails short of completeness. But where the supposedly passive joint venturers take part in management (Article 241 (2)), they shall be jointly and severally liable with the manager to third parties, and in such cases the rules governing general partnership should be applicable to the extent necessary.

10.6 Dissolution of joint venture

Given the less formalized and perhaps loosely defined relationship, the joint venture is often perceived suitable to exploit opportunities of temporal nature that necessitates cooperation and contribution of complementary capabilities. Thus, it is expected to have a definite and probably short life span. In any rate, its life span will come to an end at certain point in time for various reasons. The dissolution of a joint venture is subject to the general provisions governing the grounds for dissolution of business organizations (Article 242). Without prejudice to that general rule, a joint venture shall be dissolved for any of the following grounds:³⁵¹

- a) by unanimous decision of the partners;*
- b) a request for dissolution by one partner, where no fixed term*

³⁵¹ Ibid Article 242.

has been specified;

- c) the acquisition by one partner of all the shares;*
- d) death, bankruptcy or incapacity of a partner, in the absence of an agreement to continue the partnership;*
- e) a decision of the manager, if such power is conferred upon him in the agreement between the partners*

The grounds of dissolution of a joint venture are more or less similar to other partnerships. The unique attributes of a joint venture are not manifested in provisions dealing with joint venture. On the one hand, it is provided that the power to dissolve the joint venture may be conferred, in the agreement between the partners, upon the manager. This is typical of the cases where there is one active managing partner and other silent partners. On the other hand, it is a bit strange that the death, bankruptcy or incapacity of silent partners are also grounds for dissolution of a joint venture. The silent partners should have been treated as limited partners in Limited Partnership or partners of limited liability partnerships. The drafters have failed, intentionally or inadvertently, to maintain consistent characterization of a joint venture throughout the rules on joint venture. They have fused general partnership characteristics with limited partnership features into the joint venture stream.

10.7 Applicability of the Rules Governing General Partnership

To avoid unnecessary duplication, Article 244 makes a cross reference to the applicability of provisions governing general partnership as appropriate to a joint venture. The *mutatis mutandis* (as appropriate) application of rules governs multiple issues including contributions from partners (Article 186) and guarantees due by contributors of different assets (Article 187); transfer of risk regarding contributions (Article 188); rights and duties of partners including the right to participate and vote in meetings, the right to share in profits and surplus assets at dissolution, the duty to pay promised contributions (Articles 190-192); transfer of shares and beneficial interests that regulates when and who should have control on that, and the liability of the incoming and outgoing partners (Articles 193-197); management of the

partnership: the appointment and dismissal of managers, powers of manager (Articles 198-203); collective decision taking by the partners (unanimity or majority requirements for different decisions) (Article 204); and dissolution and liquidation of a partnership (Articles 205-211). Hence, students should keep in mind *mutatis mutandis* clause and resort to this cross reference where matters stated becomes of interest with respect to joint venture.

Despite this cross referring and dedication of some provisions unique to joint venture, there is a potential confusion between a joint venture and a general partnership whose formation is not properly completed. Suppose, for instance, there is a partnership agreement allegedly establishing a business organization but its type is not specified. Then, the question is how to treat the entity.

Here is a case on the issue. In a case between Mrs. Birhan Tsegaye (applicant) vs. Mr. Michael Fisha (1st respondent) and Nasew Construction (2nd respondent), Federal Supreme Court Cassation Division, File No.46358, dated Yekatit 25/2002 E.C., the applicant requested dissolution of a partnership and the liquation of the assets. She adduced a partnership agreement- “የሽርክ ውል ስምምነት”, dated March 4/1994 E.C; which she argued is a joint venture agreement and legally adequate to constitute same as there is no need for registration. The 1st respondent denied the existence of partnership formed between them but couldn’t refute the partnership agreement presented by the applicant. The second respondent intervened as owner of an excavator machine which the applicant made part of the partnership asset for division. The first instance court stated that the agreement simply declares to be a partnership agreement- “የሽርክ ውል ስምምነት”, dated March 4/1994 E.C; it does not specify which type of partnership the parties intended to form. The court concluded that the partnership agreement does not show the formation of joint venture nor does it qualify as a general partnership as it is not registered. Consequently, it rejected the claim of the applicant. The decision is confirmed by the appellate court and the case was taken for cassation review.

Federal Supreme Court Cassation Division frame the issue what would be the effect of the agreement that simply read as partnership agreement- “የሽርክና ውል ስምምነት” without specifying the type of partnership to be formed? In other words, is there a partnership formed between the parties; if so, is it a joint venture (as it does not need registration) or another partnership that should have been registered but short of that legal requirement?

The Supreme Court started its analysis citing article 213(2) of the 1960 Commercial Code that reads “...where the form of the organization is not specified, the ... business organization shall be deemed to be a general partnership.” Finally, it concluded that the partnership agreement evidences the formation of a partnership and the applicant’s argument that this unregistered partnership constitutes a joint venture is not refuted by the respondent. The cassation division ruled that the lower courts’ conclusion that no partnership is formed wrong to lack of registration of partnership agreement is erroneous. Instead, the cassation division held, unregistered partnership agreement shows the formation of a joint venture between the parties, and it remanded the case for adjudication based on this conclusion.

What do you think of this judgment? What is the distinction between a joint venture and unregistered general partnership?

10.8 Summary

A joint venture is an association of persons who bring together contributions for the purpose of undertaking an economic activity in cooperation and of participating in the profit made. It is not required to go through authentication of the partnership agreement (if at all in written form) and registration process. Consequently, it does not have legal personality. The law generously recognized the existence of an entity like business undertaking where two or more persons associate themselves to carry on a business for profit.

A joint venture comprises general partners and silent partners. The silent partners

are entitled to the benefit of limited liability provided they did not get involved in management. The management shall be carried out by a general partner whose liability is unlimited or another designated manager. In the absence of designated manager, every partner shall have powers of manager. A joint venture shall dissolve due to several reasons including unanimous decision of the partners for dissolution; a request for dissolution by one partner, where no fixed term has been specified; all the shares are acquired by one partner; death, bankruptcy or incapacity of a partner if there is no an agreement to continue the partnership despite these incidents. It may also be dissolved up on the decision of the manager, if such power is conferred upon him in the agreement between the partners.

10.9 Review Question

1. Describe the requirements for the formation of the joint venture.
2. Illustrate the rights and duties of general partners and the silent partners.
3. Elaborate the relationship between the partners and the joint venture as well as the relation of partners with third parties.
4. How the management of a joint venture is carried out?
5. A joint venture lacks legal personality, so in whose name the management is to be carried out?
6. Spell out majority and quorum requirements for decision regarding the various issues on the joint venture.
7. Provide exhaustive list of the grounds for dissolution of joint venture, and explain same.
8. Do you think the incapacity, bankruptcy, or death of a silent partnership would result in dissolution of the joint venture according to Ethiopian law?

CHAPTER ELEVEN: INTRODUCTION TO SHARE COMPANY

Share company is one of the business organizations recognized in the Ethiopian commercial law. The law has provided detail rules compared with the other business organizations. Before dealing with the rules in detail, it is vital to discuss the general issues concerning the company. This chapter will deal with:

- ✚ the meaning of share company;
- ✚ the historical development of share company;
- ✚ the theoretical understandings of share company; and
- ✚ the features of share company.

11.1. Meaning of Share Company

The word company shares the common definition of all business organizations, and that it could be described as an association of two or more persons for undertaking an economic activity for gain.³⁵² However, this doesn't distinguish company from the other vehicles of doing business, partnerships. Since for all purpose, the latter are also associations for conducting business in the form of entity. In addition, the word company is not always evolving out of associations of persons as now it is a matter of law and fact that there is a company with a sole member or shareholder. It is also defined as an “artificial being, invisible, intangible, existing only in contemplation of the law... possessing only the properties which the charter of its creation confers upon it, either expressly or as incidental to its very existence.”³⁵³ From this it is evident that a company is an artificial entity with separate personality from its associates. However, this definition is also defective since it fails to show the specific nature of company that distinguishes it from other business

³⁵² Paul L. Davies *et al* (eds.), *Gower's Principles of Modern Company Law*, (11th ed., Sweet & Maxwell, London, 2021) para 1-001.

³⁵³ G.K. Kapoor and Sanjay Dhamija, *Company Law and Practice: A Comprehensive Text Book on Companies Act 2013 as Amended Companies (Amdt.) Act 2019*, (24th ed., Taxmann Publications (P) Ltd., New Delhi, India, August 2019) 9.

organizations.

The concept of share company can be gleaned in terms of the following five features: “legal personality; limited liability; transferable shares; delegated management under a board structure; and investor ownership.”³⁵⁴ The features should be taken cumulatively. However, some of them are not peculiar to share company. Share company has a legal personality separate from its members. Accordingly, it acquires different abilities based on its establishment document and the governing laws. This confers it a perpetual existence in the context of large and fluctuating membership. Based on the second feature the liability of the members is limited to their contribution. Limited liability is a doctrine that exonerates members from personal liability to the debts of their company beyond the amount of their contribution. Their liability to the company or its creditors is limited to their contribution. If the company goes bankrupt, the liability of its shareholders is limited to the amount of unpaid contribution they owe to the company, if any. The third fundamental factor in understanding share company is issuance of transferable shares. It permits the company to continue conducting its business though the identity of its owners’ changes. The shareholders can collect payment from selling their investment in the shares without affecting the perpetual existence of the firm and with relatively some restrictions. This distinguishes share company from other business entities such as, partnerships and private limited liability companies. The quality of delegated management entitles the board of directors’ principal authority over corporate affairs. Fundamental business management decisions of the company are bestowed to this important governance structure which in general terms results in the separation of control from ownership of the company. Lastly, we get the feature of investor ownership. The investors of the company are shareholders who contributed the shared capital. As owners of the capital, they are entitled to general control over

³⁵⁴ John Armour, Luca Enriques et al., *The Anatomy of Corporate Law: A Comparative and Functional Approach*, (3rd ed., Oxford University Press, 2017) 5.

and the net profit of the company.³⁵⁵

According to Ethiopian Commercial Code, a share company is defined as “company whose capital is fixed in advance and divided into shares and whose liabilities are met only by the assets of the company.”³⁵⁶ The provision tries to define it in the absence of a definition supplied by the Code for the word company. Three important points are critical in the definition: fixed capital; shares and liability. The capital shall be fixed in advance. The subsequent rules governing share company in the Code prescribe conditions regarding fixing capital in advance. The capital must be divided in fractions which the law calls shares. The last important point is that the liability of the company is met by its own assets rather than the assets of its members. The creditors of the company can’t claim from the personal property of the members of the company.³⁵⁷ The personal creditors of the members can’t attach the assets of the company. Unless one reads the definitional provisions with other rules of the Code that define business organizations and deal with share company, it is difficult to capture the features of share companies, also known as public companies.

11.2. History of Share Company

Though the origin of business entities with distinct legal personality different from the personality of its members can be traced back to the Roman law and Medieval England, the share company form of business organization came to existence in the 16th and 17th centuries England’s joint-stock company. They were mercantilist entities which were involved in foreign trade with different parts of the world. The companies were linked with the need of England foreign traders and political elite to mobilize the huge capital necessary to conduct the trade with China, India, New World (America), Russia and Africa.³⁵⁸ The East India Company brought to birth

³⁵⁵ Ibid 5-15.

³⁵⁶ Commercial Code of Ethiopia, Article 245(1).

³⁵⁷ Ibid, Article 245(2).

³⁵⁸ C. E. Walker, ‘The History of the Joint Stock Company’ (Vol. 6, No. 2, The Accounting Review, Jun.,1931,) 99 <<https://www.jstor.org/stable/238866> >

the concept of capital with divided stocks kept and maintained undivided for some years even after completion of the adventure as a feature of the modern joint-stock company form of business organization. It was a company formed with the subscription of the capital to undertake trade with China and India since the expense incident to fitting out ships for voyages that often took several years for their completion was too huge to be borne easily by individual merchants.³⁵⁹ During these periods corporations were considered to play the public policy of duly regulating foreign trade with distant countries and the private interest of making profit for the adventurers of the sea trade.³⁶⁰ In general, the development of companies and the governing law in England up to 1900 was all about the struggle to enable them to have the five features discussed above while after 1900 the chief concern was solving agency problems among different interest groups, allocating power between shareholders and managers.³⁶¹

The emergence of corporations in Germany was associated with mobilizing the heavy capital needed for railway infrastructure in the 19th century. Though the partnerships existed long before the corporate form, they were found unfit to cover the expenses of the infrastructures because they are not designed and allowed to mobilize huge capital from the public. Accordingly, the 1938 Railway Corporation Act of Germany was enacted to govern the concession of railway constructing corporations. This was extended to other businesses by virtue of 1943 Corporations Act.³⁶² The legislations vested separate legal personality to the companies and limited liability to the shareholders.³⁶³

³⁵⁹Samuel Williston, 'History of the Law of Business Corporations before 1800 (Vol. 2, No. 3, Harvard Law Review, Oct. 15, 1888) 107 <<https://www.jstor.org/stable/1322201>>, last accessed 10/24/2022.

³⁶⁰ Ibid 111.

³⁶¹ John D. Turner, 'The Development of English Company Law Before 1900' in Harwell Wells(ed.), *Research Handbook on the History of Corporate and Company Law* (Edward Elgar Publishing, UK, 2018) 122.

³⁶² Timothy W. Guinnane, German company law 1794–1897 in *ibid* 180

³⁶³ *ibid*.

The genesis of companies in Ethiopia had started during the reign of Emperor Menelik II. However, the then existing few business firms were owned by foreigners. The Emperor had given many concessions for foreign based individual traders and companies to invest in capital intensive sectors that included railway infrastructure, bank, gold mining in Wolaga and Beninshangul, agriculture in Gambella and Afar.³⁶⁴ The 1894 Ethio-Djibouti Railway Company and the 1905 Bank of Abyssinia can be mentioned as instance in this regard. The Railway Company was incorporated in France based on the concession given by the Emperor to his Swiss advisor, Alfred Ilg, to build railway from Djibouti to the White Nile, Via Harar and Entoto. On the other hand, the Bank of Abyssinia was established in Addis Ababa in 1905 as a branch of the National Bank of Egypt, an English company.³⁶⁵ The Agricultural and Commercial Development Company of Ethiopia was the first share company of the country established in 1909 through the proclamation of Emperor Menelik. The company had seven shareholders including the Emperor and the Empress. It was established with a capital of 3,200,000 Maria Theresa Dollars divided in to 40,000 shares with the par value of 80 Maria Theresa Dollars.³⁶⁶

As it can be noted from above the Agricultural and Commercial Development Company had acquired its legal personality by virtue of its establishment proclamation. In addition to this, it was governed by its memorandum of Association. The provisions in the Memorandum found their way into and included in the 1933 company law of Ethiopia. With the exception of this Company and its establishment law, there is no recorded evidence that show any further development in share company form of business organizations and the associated laws for governance in the country from the reign of Menelik to the Company Law of

³⁶⁴ Pankhurst Richard, 'Economic change in late nineteenth and early twentieth Century Ethiopia: a period of accelerated innovation' (Volume 20, *Annales d'Ethiopie.*, année, 2004) 215.

³⁶⁵ Nigusie Tadesse, 'Major Problems Associated with Private Limited Companies in Ethiopia: The Law and The Practice' (LLM Master's Thesis, Addis Ababa University, 2009) 61.

³⁶⁶ Ibid 62.

1933.³⁶⁷

This general underdevelopment of the Ethiopian market economy in the form of business organizations in general and share company in particular might be the reason that the inclusion of provisions governing share company under the 1960 Commercial Code was justified with prospective expectations than the reality on the ground as the remark goes to read “to encourage one day the investments of Ethiopian savings in large, broad based enterprises.”³⁶⁸ The drafter of the Commercial Code had in mind the share company business organization provided and regulated by the time for future utilization than that of the exigent need of regulating the then business reality. Putting it differently, the provisions regulating share company were not supported by the actual market practice by the time the Code was enacted.

The 1960 Ethiopian Commercial Code came up with extensive provisions that regulated share company. The Code addressed the important features of such company, among others, separate legal personality of the company, limited liability of the shareholders, transferability of shares, and delegated management. Through time several share companies were established on the bases of the Code in different business sectors and some of its provisions have gone obsolete. This resulted in the enactment of the 2021 Ethiopian Commercial Code. The provisions of Code regarding share company have addressed critical issues which were not covered by or clearly dealt by its predecessor. For instance, the issues can be traced regarding the status of promoters, protection of minority shareholders, duties of directors as well as the involvement of the government in investigation of the accounts of the companies. These will be examined in the next parts.

³⁶⁷ Ibid.

³⁶⁸ Peter Winship (trans.), ‘Background Documents of the Ethiopian Commercial Code of 1960’ (Faculty of Law, HSIU, Addis Ababa, 1974) 61.

11.3. Theories of Company

Several theories have been developed by scholars across different disciplines to shed more light on the nature and purpose of corporations. They raise and answer questions such as on the essence of the company, role of the state in the formation and governance of the company, interest served by the firm and the function of the company. They provide the theoretical lens that help to understand companies and their governing law. Accordingly, the following discussion provides an overview of the three commonly accepted theories of firm: contract theory, concession theory and real entity theory.

11.3.1. Contract theory

Based on this theory a company is taken as nexus of contracts. It a single nexus in which rights and duties held together as a result of the contract.³⁶⁹ The company is an instrument of conducting an economic activity by the investors together by determining their relations through agreement. The theorists endorse the concept of the firm as a fictitious entity. The firm is the contemplation of the contracting parties. In its earliest version the contractors are the shareholders of the company.³⁷⁰ The company is nothing but the aggregates of the rights and duties of the shareholders. Directors and other stakeholders like creditors and employees were not considered as parties to the nexus. From this it is not challenging to deduce the roles of the state and the law. It has to play minimal roles in enforcing the contract concluded by the shareholders in case breach of its terms is alleged and proved. It is based on laissez faire economic thinking. However, modern adherents of the theory accept directors and other stakeholders of the corporation as part and parcel of the nexus since a company is a forum formed out of agreements of different rational actors whereby each take decisions to maximize their interest in monetary terms.³⁷¹ The theory is criticized for its inability to deal with the allocation of power between or among the

³⁶⁹ Eva Micheler, *Company Law: A Real Entity Theory* (Oxford University Press, UK, 2021) 2.

³⁷⁰ Ibid 3.

³⁷¹ Ibid.

participants.³⁷²

11.3.2. Concession theory

According to the concession theorists' companies are understood as the fiction of the law. They exist because the state grants them bundle of rights or features including separate personality, limited liability and free transferability of shares.³⁷³ The state gives companies their life in its laws. The theory was associated with the origin of business entities in their early days. During these period companies used to acquire their personality through the concessions of the government that took either the form of charter or private act of parliament. That was the phenomena in England before the 1844. After this, acquiring separate legal personality has been possible with registration.³⁷⁴ This equally works to the Ethiopian experience before the enactment of the 1960 Commercial Code. As discussed above, the first Ethiopian share company, Agricultural and Commercial Development Company of Ethiopia, was established with separate imperial proclamation. Under current company laws of different jurisdictions, incorporation is possible through registration. This is a relatively simple and accessible mode of incorporation compared with the concession mechanism. Following this, new versions of concession theories claimed that the company is what the provisions of the law provides and we call something an act of the company or not solely by referring the relevant provisions of the company law rather than by referring to efficiency or morality.³⁷⁵

11.3.3. Real Entity Theory

The proponents of the real entity theory claim that companies are existing facts. They are neither mere aggregate of the contributions of the members as claimed by the contract theory nor the fiction of the legislature as provided by the concession

³⁷² Ibid 5.

³⁷³ Stefan Padfield, 'Rehabilitating Concession Theory' (66 OKLA. L. REV. 327 2013) 332 <<https://digitalcommons.law.ou.edu/olr/vol66/iss2/4>>, accessed on 11/1/2022.

³⁷⁴ Micheler (n 18) 13.

³⁷⁵ Ibid.

theory. Rather they are "living organisms" as expressed by the German jurist Otto von Gierke, a leading real entity theorist.³⁷⁶ The foundation of the theory is rooted in the taxonomy of facts into social facts and brute facts. For Emile Durkheim social facts are modes of behaviour that arise out of social interaction. They exist because there is collective intention of human beings. Brute facts consist of physical objects that exist independently of human intention. Like that of any other social facts, companies are the result of collective human interaction. They do have their own social existence that can be located with their characteristics. The characteristics are recognizable from the working rules of the company which result from or are the basis of its habits, routines, processes and organizational culture. These are facts though not tangible like physical objects that affect human behaviour and real in their consequences.³⁷⁷ Thus, the company is beyond the contributions of its members. It is the living social reality existing separately and independently from them. In this sense they are natural facts and the roles of the law maker should be recognizing their existence than creating them.³⁷⁸ Accordingly, company law plays roles that facilitate organizational decision making which leads to organizational action. It provides rules that allocate the responsibility and interests of the participants of the company.

11.4. Basic Features of Share Company

11.4.1. Distinct legal personality

Separate legal personality has been one of the earliest attributes of companies. It is an attribute that entitles companies rights and obligations distinct from its members. Though the level and perspective vary, it is accepted by the common theories of the firm discussed previously. In the context of Ethiopian business organizations law, legal personality is not peculiar to share company. With the exceptions of joint

³⁷⁶ Ibid 18.

³⁷⁷ Ibid 20 & 21.

³⁷⁸ Ibid 19.

venture, all partnerships and private limited companies acquire legal personality through registration.³⁷⁹ However, the personality of partnerships is dependent on the personality of its members and in this sense we cannot in general say they have solid and distinct personality that survives irrespective of personality of its members.³⁸⁰

Following the acquisition of legal personality, a share company is entitled to rights and duties under the law. One of such entitlements is ownership and administration of property. It is an instrument for the separate organization, utilization and preservation of business assets distinct from each shareholder's personal assets. Share company owns and administers its assets. In this context, assets include contributions made by the shareholders and subsequent pecuniary interests acquired by the company such as reserves.³⁸¹ Once they made the contribution, shareholders cease to be owners of the contributed cash or property. Rather they are given an intangible proprietary interest, called share, in the company. Thus, legal personality is a vital veil or wall that protects the assets of the company from the claim of its shareholders as well as their creditors.

11.4.2. Limited liability

Limited liability is a vital invention of company law that protects shareholders from the liabilities of the company. Metaphorically, limited liability is a veil or a shell that shields the shareholders from the debts of their company. It is the company that has to bear and discharge its obligation that may arise out of the contractual, tortious or criminal activities of its directors and other officers carried out on the bases of authority conferred to them in accordance with the law and memorandum of association. Should the shareholders be liable for the debt of the company, it is for payment of any unpaid share contribution, if any. This implies that if the all the shares of the company are fully paid up, no liability ensues to the shareholders from

³⁷⁹ Commercial Code of Ethiopia, Article 175.

³⁸⁰ Ibid Article 205(1(a)&(d)).

³⁸¹ Endalew Lijalem, 'The Doctrine of Piercing the Corporate Veil: Its Legal and Judicial Recognition in Ethiopia' (Mizan Law Review, Vol. 6 No.1, June 2012) 97.

the company or its creditors.³⁸² This is a great contrast with General Partnership in which the partners owe a joint and several liabilities to the debts of the partnership.³⁸³

The doctrine of limited liability is not absolute. It can be disregarded in some limited circumstances. These instances are known as the doctrine of piercing the corporate veil. It affects the right of the members of the company to benefit from limited liability. The company continues its corporate existence even if limited liability protection is disregarded from one or more shareholders on the bases of the exceptional grounds. The following discussion provides grounds that lead to piercing the veil or removing limited liability.

i. Bankruptcy

One of the basic objectives of disregarding the privilege of limited liability via the doctrine of piercing the corporate veil is to protect the interest of the creditors of the company.³⁸⁴ It is a matter of general principle that the assets of the debtor are the security of its creditors. The Commercial Code in its provisions governing bankruptcy prescribed rules that militate against the limited liability of shareholders. Article 803 of the Commercial Code imposes civil liability on managers who committed fault that results in insufficiency of the assets of the company to meet its liabilities. Gross negligence to file bankruptcy with in forty-five days from cessation of payment, in continuing money losing activities and using the company as a mask for their own personal gain are the three instances of fault presented by the Code.³⁸⁵ If such and similar insolvent trading gave rise to inadequacy of the assets of the company, the managers at fraud may be held responsible by the court to bear the debts of the share company. In worst scenarios, the managers who committed fault

³⁸² Davis (n 1) para 2-009.

³⁸³ Commercial Code of Ethiopia, Articles 183 and 245.

³⁸⁴ Endalew Lijalem, 'The Doctrine of Piercing the Corporate Veil: Its Legal Significance and Practical Application in Ethiopia' (LLM Thesis, Addis Ababa University, 2011) 34-41.

³⁸⁵ Commercial Code of Ethiopia, Article 803(1).

or fraud that results in the bankruptcy of the share company may be declared bankrupt personally and bear all its debts if the acts listed in Article 815(1) exist. In these cases, the managers cannot escape from liability by invoking their membership and by extension the privilege of limited liability. The legislator proscribed them to benefit from their fault at the expense of the creditors of the company.

Similarly, Article 805 of the Commercial Code regulates the conditions of piercing the corporate veil during bankruptcy proceeding in the case of non-manager shareholders. They are liable for the creditors of the company if they committed fraud or acted in their own interest that gave rise to cessation of payments by the company.

ii. Reduction of members below the legal minimum

Subject to other special laws, at least five shareholders are required for the formation and operation of business in the form share company.³⁸⁶ If the number of shareholders falls below five, the remaining members are required to take measures to address the reduction within six months. If the problem is not solved within this period or additional permitted time, the company registering organ may order its dissolution upon the application of an interested party.³⁸⁷ An interested party is any person that losses or gains as a result of the reduction of the minimum numbers, such as the remaining shareholders themselves and creditors. In such cases if the remaining shareholders knowingly continue operation of the company without the approval of the registering organ, they bear joint and several liabilities for debts assumed by the company thereafter.³⁸⁸ In this sense the reduction of members below five could result in removal of limited liability from the shareholders. The legislator assumes that danger of abuse of the features of separate personality and limited liability tends to increase where the share company is controlled by less than five

³⁸⁶ Ibid Articles 248(3), 252(2) and 473(1(a)).

³⁸⁷ Ibid Article 473(2).

³⁸⁸ Ibid Article 473(5).

shareholders.³⁸⁹

iii. Lack of Administrative Organs

If the company doesn't have the administrative organs required by the law for its formation and operation, the company registering authority may decide its dissolution unless the authority deems it necessary to re-establish the organs and continue the company.³⁹⁰ It is mandatory for a share company to have board of directors, meeting of shareholders and external auditor/s for its formation and continued existence.³⁹¹ If the company have no either of these important administrative organs, it lacks its very nature and can be decided to cease to exist unless the organs are re-established. In such cases if the shareholders knowingly continue operation of the company without the approval of the registering authority, they bear joint and several liabilities for debts assumed by the company. It is not specifically addressed by the Commercial Code if lack of each of these organs of administration equally leads the end of the personality of the company and/or disregard of limited liability. The rationale for piercing the corporate veil in the context of trading in the share company form without its important administrative organs may be, inter alia, to protect manipulation of creditors and minority shareholders.

iv. Group companies

Group companies are a set of companies consisting of parent company and all its subsidiaries. A parent company is the one that exercise control over the subsidiary company either directly or indirectly.³⁹² The control is expressed in terms of the power to formulate the financial and operating policies which generally arises out of ownership of majority of voting shares. However, even if the company owns less

³⁸⁹ Endalew Lijalem (n 381)103.

³⁹⁰ Commercial Code of Ethiopia, Articles 473(1(b)) and 473(2).

³⁹¹ Ibid Articles 255(10) and (12), 296ff, 343ff and 362ff.

³⁹² Ibid Article 550.

than half of the ownership of voting shares control still exists if such company is given the right to exercise more than half of the voting rights by agreement, memorandum of association, and right to appoint or remove majority of the governing body of the company.³⁹³

In such cases there could be a possibility where by the parent company may form and use its subsidiary for abusive purposes to the detriment of various interests under the cover of the principle of separate personality and limited liability.³⁹⁴ As remedy for this the Commercial Code provides rules that disregard the limited liability privilege and make liable the parent company for the debts of its subsidiary to protect the interests of the creditors or minority shareholders.³⁹⁵

v. Breach of duties

Board of directors is an important organ that executes different functions of the company assigned to it by the law, memorandum of association and resolutions of shareholders. In exercising their powers, each director owes the statutory duties to promote the purpose of the company. They need to be independent, loyal, diligent and careful in discharging duties that arise out of the law, memorandum of association or resolutions.³⁹⁶

If the directors breach the duties and caused damage to the company, its creditors or shareholders, they cannot plead the principle of limited liability and escape from the responsibility to make the damage good. They are jointly and severally liable for the company or its creditors though they are shareholders of the company³⁹⁷ unless they can successfully defend themselves by invoking one or more defences provided by

³⁹³ Ibid Article 552.

³⁹⁴ Endalew Lijalem (n 381) 104.

³⁹⁵ Commercial Code of Ethiopia, Article 564.

³⁹⁶ Ibid Articles 316-322.

³⁹⁷ Ibid Articles 332 and 329.

the law.³⁹⁸

Similarly, limited liability can be also avoided regarding non-manager shareholders who breached their duties in the law under some circumstances. For instance, according to Article 295 of the Commercial Code a shareholder with decisive vote is jointly and severally liable with the company for other shareholders or creditors if he abuses his decisive vote.

11.4.3. Issuance and Transferability of securities

It is among the basic features of share company that it issues transferable securities.³⁹⁹ The transferable securities are shares and debentures. Shares constitute an intangible property owned by the shareholder in exchange for its contribution to the capital of the company. They are freely transferable, in the absence of express provision to the contrary in the law, the memorandum of association or extraordinary general meeting resolution that may provide restrictions or confer discretion to directors to consent on the share transfer.⁴⁰⁰ On the other hand, debenture is a transferable document that evidences intangible proprietary interest to the creditor of the company, debenture holder.⁴⁰¹ The details about these equity and debt securities will be dealt with in the subsequent chapters.

11.4.4. Delegated management

Share Company has a separate legal structure for its management which is the board of directors.⁴⁰² It can pursue larger and riskier business activities by allowing many investors to participate by purchasing shares, whilst separating that investment function from the task of managing the company, which is delegated to a smaller

³⁹⁸ Ibid Articles 327, 328 and 335.

³⁹⁹ Ibid Article 180.

⁴⁰⁰ Ibid Article 276.

⁴⁰¹ Ibid Articles 407 and 414.

⁴⁰² Ibid Articles 296ff.

group of expert managers named as board of directors.⁴⁰³ None of the partnerships are legally required to have this delegated body of management. Even in the case of private limited company, separate board of directors is not compulsory.⁴⁰⁴

11.5. Summary

The evolution and emergence of share company form of business organization was associated with the need for raising funds necessary to undertake large scale businesses like railway infrastructure construction. The concept of company has been subject to different theories. There is no agreed upon definition for share company. According to the Commercial Code it is a business organization with capital fixed in advance and divided into shares and whose liabilities are met only by the assets of the company. Legal personality, limited liability, issuance of transferable securities and separate structure for management constitute the features of share company. Separate legal personality is an attribute of share company that entitles it rights and obligations distinct from its members. In general, unlike partnerships the personality of company doesn't depend on its members. Limited liability is the second feature which protects the shareholders from the debts of their company. It is the company that has to bear and discharge its obligation that may arise out of the contractual, tortious or criminal activities of its directors and other officers carried out on the bases of authority conferred to them in accordance with the law and memorandum of association. Limited liability protection can be disregarded under some exceptional grounds provided by the law which are described as the doctrine of piercing the corporate veil. The ability to issue transferable securities distinguishes share company from the other business organizations. Only the share company can issue transferable securities. Separate legal structure for its management is the other feature of Share Company.

⁴⁰³ Davis (n 1) Para 1-25.

⁴⁰⁴ Commercial Code of Ethiopia, Article 513.

11.6. Review Questions

1. Examine the rules of the Commercial Code governing share company and evaluate if the five defining features of share company adequately recognized.
2. Discuss if the development of share company in Ethiopian draws some similarity with the development of similar business entities in England and Germany.
3. Which theories of the firm best influenced the origin and development of share company in Ethiopia?
4. Read the Commercial Code of Ethiopia and identify the roles of the contract, concession and real entity theories in the three basic stages of share company: Formation, operation, and dissolution and winding up.
5. What is the fundamental rational for incorporating the principle of limited liability under the Ethiopian company law?
6. Discuss the concept of piercing the corporate veil. What is its effect on limited liability and separate legal personality of share company?

CHAPTER TWELVE: FORMATION OF SHARE COMPANY

Introduction

The formation of share company requires the completion of different activities and the involvement of different actors. The actors, which the law calls promoters or founders depending on the mode of formation, should undertake three important steps for the formation of the company: discover the business idea, investigate the idea in a business proposal and assemble the resources necessary to realize the business. Assembly is not just concerned with the organization of resources for the establishment and operation of the business based on the project proposal, normally called feasibility study, but also deals with undertaking the necessary formalities that the law posits to establish the company.⁴⁰⁵

The Commercial Code and other special laws have provided rules that regulate conditions of formations as well as the roles and responsibilities of persons taking part in the formation of the company. The rational of providing such controlling rules on formation process is basically to shield the interests of the company under formation, its shareholders and creditors from the dangers of fraudulent and careless practices of the incorporators.⁴⁰⁶ It is the purpose of this chapter to discuss these rules.

12.1. Common formation Conditions

A share company can be formed as between founders or through public subscription of shares.⁴⁰⁷ In the first mode, the founders undertake the choice of the business idea, feasibility studies and organize the formation and operation of the company. They are the initiators, incorporators and shareholders of the company. The whole share capital of the company is subscribed by themselves. This mode of formation

⁴⁰⁵ Seyoum Yohannes, 'On the Formation of Share Company in Ethiopia (Journal of Ethiopian Law, Vol. XXII No. 1, 2008) 102.

⁴⁰⁶ Ibid.

⁴⁰⁷ Commercial Code of Ethiopia, Articles 248 and 252.

basically fits for persons, often friends, who want to undertake business in the form of share company without diluting their control. The second mode of formation involves the invitation of the general public to subscribe for shares. In this case the formation is undertaken by promoters. They conduct the necessary stages of formation. At the end of the day, the company will have subscribers which consist of persons apart or different from the promoters. Formation through public subscription of shares is important for mobilizing massive capital for large business-like bank and insurance. It involves cumbersome and expensive activities compared with formation as between founders.

The Commercial Code has provided some common formation requirements irrespective of the modes of formation and then provides additional specific conditions on formation through public subscription. The following discussion addresses the common formation conditions.

12.1.1. Minimum Number of Members

Subject to other special laws, such as banking business proclamation, the formation of share company needs at least five members.⁴⁰⁸ This makes it different from other business organizations whereby two members are enough with the exception of one-person private limited company. The reason behind this minimum number requirement seems justified based on the unique governance structure of share company. Board of directors and meetings of shareholders are its organizational governance structures. The board should be composed of at least three and at most thirteen directors out of which minimum of two third of the total directors must be appointed from members.⁴⁰⁹ This implies that if the numbers of the members are below five it is difficult to form and sustain the board of directors as well as to install meaningful meeting of shareholders.

⁴⁰⁸ Ibid Articles 248(3) & 252(2).

⁴⁰⁹ Ibid Article 296(1) & (2).

The other point that can be mentioned here is whether the extent of members' shareholding is subjected to scrutiny for the formation of the company. For example, A, B, C, D and E wanted to form a company as between themselves. They agreed the total capital of the company to be 100,000 birr and divided it into 1000 shares with 100-birr par value of share. A subscribed 996 shares whereas B, C, D and E subscribed each one share. Can we say that the company can be validly formed? The 1960 Commercial Code was silent regarding the amount of minimum contribution required from each member. Two lines of argument were made against this silence.⁴¹⁰ First, it was claimed that the lawmaker envisaged sufficient extent of contribution from each shareholder. The reason advanced to support for this was based on the nature of company as an association of capital and the requirement of directors to deposit qualification shares. It was contended that the Code requires minimum of three directors elected from shareholders and each director required to deposit some numbers of his shares as a security for discharging his duties.⁴¹¹ Hence, if B, C, D or E elected as director, this very requirement would easily be defeated since their shareholding in the company too nominal to be a sufficient security.

Conversely, the second line of argument provided that the silence shall be understood to imply that the company can be validly formed though B, C, D and E are nominal shareholders.⁴¹² What the law maker wanted to see was a minimum capital of 50,000 birr and a share with minimum par value of ten birr.⁴¹³ In the above example neither the capital nor the shareholding of the nominal shareholders falls below this legal stipulation. Thus, the registering organ cannot conduct inquiry on the sufficiency or otherwise of the extent of contribution by each member.

The view in the second line of argument seems to be clearly reflected in the revised Commercial Code. Based on the Code, it is possible for a single shareholder to hold

⁴¹⁰ Seyoum Yohannes (note 405) 103.

⁴¹¹ 1960 Commercial Code of Ethiopia Article 349.

⁴¹² Seyoum Yohannes (n 405) 103.

⁴¹³ Ibid.

90 percent or more of the shares representing the capital of the company.⁴¹⁴ In the above example A's shareholding in the capital is 99.6 percent and the remaining 0.4 percent is owned by B, C, D, and E which makes them straw or nominal members. But, this doesn't in itself proscribe the formation of the company since the Code prescribed this merely as an issue of minority-majority shareholders governance than requirement for formation.⁴¹⁵ This can be further supported with the position of the Code on deposit of shares of directors. Unlike that of the 1960 Commercial Code, the revised Code is more flexible concerning the security to be produced by the directors to ensure performance of their duties. It left the issue to be dealt by the memorandum of association. Accordingly, if the memorandum of association is silent, it means that they are not required to submit any security. If the memorandum of association requires them to produce security, it has to specify the amount and nature of the same.⁴¹⁶ This implies that if a shareholder with nominal holding in the capital is elected as a member of the board, he can still meet the security precondition by bringing sureties or collaterals in lieu of or apart from depositing of his share based on the terms of the Memorandum. In fact, deposit of shares as a sole type of security is disregard in the revised Code since it authorizes the appointment of non-shareholder directors as member of board of directors.⁴¹⁷

12.1.2. Capital

Conditions regarding capital are not just formation requirements but also defining elements. The capital of share company must be fixed in advance and divided into shares.⁴¹⁸ The Code is mute on meaning of capital. From the reading of its different provisions capital can be described as the monetary value of all contributions of the members of the company.⁴¹⁹ Basically, the law requires members to contribute some

⁴¹⁴ Commercial Code of Ethiopia, Articles 292(1) & 294(1).

⁴¹⁵ Ibid.

⁴¹⁶ Ibid Article 302.

⁴¹⁷ Ibid Article 296(2).

⁴¹⁸ Ibid Article 245(1).

⁴¹⁹ Ibid, Articles 247, 254 and 256.

amount of assets measured in terms of money, technically called capital towards the assets of the company. At the time of formation this amount equals to the book value of the assets of the company, however, once the company begins operation of its business the capital has no relation with the assets of the company.⁴²⁰ The law has provided strict rules on the protection of capital throughout the life of the company. They are justified in the interest of protecting the shareholders and creditors of the company. As it is noted earlier, the liability of shareholders is limited by their contribution. If the company owes debts, it has to pay from its own assets. The creditors can't resort to the personal assets of the members save rare cases of disregard of the limited liability privilege. What this means is that the asset of company constitutes as an important security for creditors. Hence, the law has provided the following formation requirements as regards capital.

i. Minimum Initial capital

The minimum capital for the formation of share company cannot be less than 50, 000 Ethiopian Birr.⁴²¹ This was the case in the 1960 Commercial Code as well.⁴²² However, some special laws provide a higher amount of minimum initial capital. The notable ones are the banking and insurance business legislations. For example, the minimum capital required to constitute a bank is five billion Ethiopian Birr.⁴²³ This compulsory requirement of minimum capital can be considered as dues that are paid by shareholders for receiving the privilege of limited liability.⁴²⁴

The stipulated minimum capital has been the subject of criticism for being too little to be adequate to establish and operate business in the form of share company

⁴²⁰ 1960 Commercial Code of Ethiopia, Article 80 & Andreas Cahn and David C. Donald, *Comparative Company Law: Text and Cases on The Laws Governing Corporations in Germany, the UK and the USA* (Cambridge University Press, New York, USA, 2010) 166.

⁴²¹ Commercial Code of Ethiopia, Article 247(1).

⁴²² 1960 Commercial Code of Ethiopia, Article 306(1).

⁴²³ National Bank of Ethiopia, Minimum Capital Requirement for Banks (Amended) Directive No. SBB/78/2021, Article 4.

⁴²⁴ Andreas Cahn and David C. Donald (n 208) 168.

owning to inflation, devaluation and other factors.⁴²⁵ It has been described as an amount too tiny even to cover the expenses associated with the very formation of the company, let alone to be used for assemblage of necessary resources for the operation of the business purpose of the company.⁴²⁶ This compels to ponder on the very reason of having minimum initial capital in the first place. It is provided that the minimum stipulate capital in the law is meant to safeguard the creditors of the company against thin capitalization and to block investors from choosing the company when it is too cumbersome and expensive for their intended operation.⁴²⁷ However, the argument based on protection of creditors has been challenged since company law provides for the maintenance of capital rather than its use. What this means is that the paid-up capital is used by the directors and agents of the company for the operation of its business. Hence, the capital stated in the establishment document of the company can't show its true creditworthiness status just after business operation begins. In this sense the very purpose of stipulating minimum capital loses its sense more than misleading the creditors of the company. This might be the reason that there is no compulsory minimum capital requirement in the corporate laws of some common law countries, like in the revised US Model Corporation Act⁴²⁸ with the exception of some regulated businesses like bank and insurance⁴²⁹ and the legislator found no reason to change the minimum initial capital in the revised Commercial Code of Ethiopia.

ii. Full subscription of capital

Subscription of the stated capital under the memorandum of association is the other formation requirements of share company pertaining to capital. The capital of the

⁴²⁵ Seyoum Yohannes (n 405) 110.

⁴²⁶ ፈቃዱ ዴጥሮስ ገ/መስቀል፣ *የኢትዮጵያ የኩባንያ ህግ (ሦስተኛ የተሻሻለ እተም (ፋር ኢስት ትሬዲንግ ኃሊ.የተ.የግ. ማህበር፣ 2014) 61.*

⁴²⁷ Andreas Cahn and David C. Donald (n 208) 168.

⁴²⁸ Seyoum Yohannes (n 405) 109.

⁴²⁹ Andreas Cahn and David C. Donald (n 208) 168.

company, sometimes named as authorized capital, must be fully subscribed.⁴³⁰ Subscription is not defined in the Code. For Black's law dictionary, it is "a written contract by which one engages to take and pay for capital stock of a corporation."⁴³¹ A similar understanding can be gleaned from the reading of Article 260 of the Commercial Code. It is a contract for the sale of shares.⁴³² All the shares of the company must be contractually agreed to be bought by the subscribers in lieu of payment for the par value of the shares. The requirement of full subscription is meant to foreclose the chance of formation of a company without there being adequate interest to invest on the part of the members.⁴³³

iii. Payment of at least a quarter (¼) of the par value of cash shares

Paid up capital refers the amount of subscribed capital of the company that must be paid as a precondition for formation. The law decided the minimum amount of paid-up capital taking in to account the natures of contribution. For the purpose of simplicity, the ensuing discussion addresses issues about paid up capital from the vantage point of cash and in-kind contributions.

Cash shares are shares for which the purchase price is required to be made in currency rather than in exchange for some other object of property. The Code prescribed that at least 1/4th of cash shares be paid and deposited in a blocked bank account opened in the name of the company under formation.⁴³⁴ It is pretty clear that the memorandum of association may even provide full payment of cash shares for the formation of company. This is the minimum paid up capital on cash shares regarding all share companies in general. Special laws may provide a higher or lower mandatory minimum paid up capital in relation with special categories of share

⁴³⁰ Commercial code of Ethiopia, Article 254(1(a)).

⁴³¹ Henry C. Black, *Black's Law Dictionary* (4th ed., West Publishing Company, 1957) 1596.

⁴³² National Bank of Ethiopia, Minimum Capital Requirement for Banks (Amended) Directive No. SBB/78/2021, Article 2(2.4). (here in after Minimum Capital Requirement for Banks (Amended) Directive)

⁴³³ Seyoum Yohannes (n 405) 111.

⁴³⁴ Commercial Code of Ethiopia, Article 254(1(b))

companies. For example, formation of banking share company requires at least five hundred million birrs paid up capital.⁴³⁵ This means if the authorized capital of the bank under formation is the legal minimum, five billion birrs, at least one tenth shall be paid before its formation.⁴³⁶ This is quite lower than the minimum paid up capital provided in the Code for formation of share company in general.

If the memorandum of association doesn't require full payment of cash shares, the remaining part, which is called unpaid/uncalled capital, should be paid after the formation of the company. It must be paid within the period provided in the memorandum of association. The period can't be in any way extended beyond five years.⁴³⁷ However, in the case of banking share companies the maximum period for calling payment of the unpaid cash shares is seven years.⁴³⁸

The other point worthy of discussion on payment of cash shares is the currency of payment. Whether the par value of the shares can be expressed in other countries currency than birr is not addressed. Would the registering organ of companies accept the memorandum of association and register the company if the capital constituted and par value written in, for example, US Dollar or Kenyan shelling may be subject to argument?

The Code requires deposit of the paid capital in blocked bank account opened in the name of the company to ensure the safety of capital from exploitation. The deposited sum can't be withdrawn before the formation of the company unless the company failed to be formed within the period specified in the prospectus in case of formation through public subscription⁴³⁹ or agreed period in case of formation as between founders. If the company has not been established with this period, the subscribers can request refund of their payment together with bank interest. On the bases of the

⁴³⁵ Minimum Capital Requirement for Banks (Amended) Directive, Article 5.3.

⁴³⁶ Ibid Articles 4 & 5(3).

⁴³⁷ Commercial Code of Ethiopia, Article 281(2).

⁴³⁸ Minimum Capital Requirement for Banks (Amended) Directive, Article 5(4).

⁴³⁹ Commercial Code of Ethiopia, Article 254(2) & (3)

request, the promoters and founders are bound to notify the company registering organ to communicate the bank to release the refund with interest. In case of failure to notify, promoters are jointly and severally liable for the subscribers who requested for withdrawal. The remaining subscribers or founders may continue the formation of company amongst themselves.⁴⁴⁰

iv. In kind Contribution: extent of payment, Validity, Usefulness and submission of valuation report

Shares can also be paid in the form of in-kind contribution and we may call them in kind shares. In kind contribution refers to payment in the form of objects of property other than money such as movable or immovable property, skill, trademark, goodwill, patent, copyright, lease right and usufruct.⁴⁴¹ The Commercial Code is silent when it comes to the minimum amount of payment of in-kind shares before the formation of the company. Conversely, in the 1960 Commercial Code full payment of in-kind shares were compulsory.⁴⁴² One may argue that the silence on the extent of payment of in-kind shares on formation is a mere omission. This can be inferred from the combined reading of Articles 281 and 282(1) Article 281(2) provided a maximum of five years duration for the payment of unpaid capital in the case of cash shares. Though the caption of Article 282 partly says “Paying up of Shares by way of Contributions In-kind”, its Sub-article 1 does not deal with duration of payment of unpaid in-kind shares. Rather the latter provision prescribed six months duration for transfer of ownership to and obtaining title by the company if the in-kind contribution is such a nature that requires these formalities. Had the legislator intended part payment of in-kind shares, the content of the provision should have been consistent with the caption. This implies that in kind shares are intended to be fully paid before the formation of the company.

⁴⁴⁰ Ibid Article 254(3) & (4).

⁴⁴¹ Ibid Article 186(1).

⁴⁴² 1960 Commercial Code of Ethiopia, Article 339(1).

Validity of in-kind contributions is another issue that begs analysis here. By validity here we mean the acceptability of the specific types of in-kind contributions given its nature and the nature of share company. Under the Commercial Code there was no prohibition of skill contribution for the formation share company. In fact, it used to be argued that, by drawing reference to the fact that it requires full payment of in-kind shares, the intent of the Code was prohibition.⁴⁴³ The revised Commercial Code is fully cognizant of the problem. It has, in black and white, prohibited the contribution of services for the formation of Share Company.⁴⁴⁴ Hence, now skill is not a valid contribution. In the case of banking and insurance share companies, all in kind contributions are not acceptable let alone skill since it is only cash that is valid form of contribution.⁴⁴⁵ In relation with validity of contribution in kind, further references must be made from other laws for the additional lists of prohibitions. For instance, one can't contribute his body organs because that is a crime and beyond the reach of commerce.⁴⁴⁶ In a similar fashion the Constitution prohibits private ownership of land so that it can't constitute valid contribution as well.⁴⁴⁷

Should in kind contribution be useful for the operation of the business purpose of the company under formation and be subject to scrutiny as condition for formation is another basic issue that need some treatment here. If the property brought by a subscriber for contribution can't help the attainment of company purpose, it is non-useful contribution. Based on the 1960 Commercial Code, it was argued that if the rules governing partnership required usefulness of in-kind contribution, it should have been a requirement for companies as well for stronger reason because the interest of creditors is more at risk in the case of companies owing to the limited

⁴⁴³ Yohannes Debebe, 'Problems Associated with Contribution In-Kind in the Formations of Companies in Ethiopia' (LLM thesis, Addis Ababa University, 2017) 14.

⁴⁴⁴ Commercial Code of Ethiopia, Article 256.

⁴⁴⁵ Minimum Capital Requirement for Banks Amended) Directive, Article 4. & National Bank of Ethiopia, Minimum Paid Up capital for an Insurance Company Directives No. SIB/57/2022, Article 4.

⁴⁴⁶ Civil Code of Ethiopia, Article 9.

⁴⁴⁷ FDRE Constitution, Article 40(3).

liability principle.⁴⁴⁸ The revised Commercial Code doesn't clearly prohibit non-useful in-kind contributions. However, it cross referred the provision of general partnership regulating contributions.⁴⁴⁹ One may contend that irrelevant in-kind contributions are prohibited for the formation of share company based on this cross reference which in particular provides "contributions shall be...the nature and extent required for carrying out the business of the partnership."⁴⁵⁰

Valuation report is another important point regarding contribution in kind. The contributed property should be consistent with the value of shares assigned for the contributor. Compared with cash contribution, in-kind contribution is exposed to the danger of over valuation owing to incompetency, corruption or for another reason.⁴⁵¹ Over valuation adversely affects the legitimacy of the capital of the company. This by far endangers the company and its creditors whose function is dependent on capital. In the interest of protecting these interests, the commercial Code obliged the subscriber that makes in kind contribution to submit expert valuation report containing detailed description of the contributed property, value given to each item of the property and the method of valuation.⁴⁵² The subscriber is entitled to select an expert by himself. The law is mute when it comes to the minimum competency related criteria used in selecting the valuator.

The valuation report is subject to verification as to its correctness at different stages given the modes of formation of the company. Before the formation of the company, the valuation report must be verified by the promoters and formation auditors in the case of company formed through public subscription of shares.⁴⁵³ The founders are obliged to undertake verification if the company is to be formed as between

⁴⁴⁸ Seyoum Yohannes (n 405) 114.

⁴⁴⁹ Commercial Code of Ethiopia, Article 256.

⁴⁵⁰ Ibid Article 186(3).

⁴⁵¹ Seyoum Yohannes (n 405) 112.

⁴⁵² Commercial Code of Ethiopia, Article 257(1) & (2).

⁴⁵³ Ibid Article 257(3).

founders.⁴⁵⁴ In addition to these pre-formation inspection and verification of the valuation report, the law has also provided mandatory post formation verification. The report is required to be verified by the meeting of subscribers if it is formed through public subscription of shares.⁴⁵⁵ Irrespective of the modes of formation post formation verification of the truth or otherwise of the valuation report should be made by the directors and auditors of the company within six months from the formation of the company.⁴⁵⁶ These layers of verification of the valuation report of in-kind contribution are all mandatory and exclusive each other.

The Commercial Code provided some clear measures that could be taken against the finding of verification. In the case of post formation verification by auditors and board of directors, the contributor is duty bound to make good the difference if the verification shows that the value of contribution is lower than the value accepted by one tenth or more.⁴⁵⁷ This implies that if the difference between value of the property under the submitted valuation report of contributor subscriber and the value in the auditors and director's verification is less than one tenth, it is tolerable. The question that can be invoked here is that this amount too minor to affect the interest of the company and its creditors? No doubt it adversely affects their interest and it is difficult to support it with any good reason. Apart from this, tolerating this much difference could also affect the mandatory rule of law that proscribe sale of shares at a discount.⁴⁵⁸ It could also amount to discrimination against those subscribers who contributed cash for the purchase of shares. Equally important to deal with here is the effect of under valuation between the value of the property and the verification. If the value in the report is lower than the value in the verification by one tenth or more, the victim turns to be the subscriber. The law is mute if he can claim it from the company or not. The law is also silent regarding the extent of tolerable

⁴⁵⁴ Ibid Article 257(4).

⁴⁵⁵ Ibid Article 263(4).

⁴⁵⁶ Ibid Article 257(5).

⁴⁵⁷ Ibid Article 257(6).

⁴⁵⁸ Ibid Article 268(1).

differences between the value of the contributed property in the submitted report and pre-formation verifications.

The valuation report must be disclosed to different interested person both before and after formation for the purpose of furnishing information. First, the in-kind contribution and value assigned to it, number of shares purchased with it and other particulars are required to be divulged in the memorandum of association.⁴⁵⁹ The valuation report must also be attached with the prospects and put for persons who want to subscribe for shares in the case of formation through public subscription of shares.⁴⁶⁰ It has to be submitted and deposited in commercial register together with the memorandum of association.⁴⁶¹

12.1.3. Firm Name

It is mandatory for share company to have a name for its establishment. Based on the Commercial Code, three conditions need to be fulfilled for the legality of name of share company.⁴⁶² First it has to be based on the agreement of the members of the company. This is a requirement for which the legislator supplies no default rule. It is mandatory for the initial shareholders to determine the firm name by agreement. In the absence of this agreement, it means that the company cannot be formed at all. Second, the agreed name must not adversely affect the rights of third parties. The determination of whether the agreed name negatively affects the rights of other persons has to be decided on the bases of different laws. If the name is identical or similar with the name of other business organizations or traders, their registered trade name or trademark, we can say that it adversely affects their right and may give rise to civil actions under the relevant competition, trademark or commercial law as the case may be. Likewise, if the name is identical or similar with the name of non-business men, such persons may object it based on the law of persons and

⁴⁵⁹ Ibid Article 255(7).

⁴⁶⁰ Ibid Article 259(2).

⁴⁶¹ Ibid Article 265(3).

⁴⁶² Ibid Article 246.

tort on the bases of rules governing usurpation of names. Third, the name shall be followed by the term "Share Company". The term is required to be tagged at the end of the agreed name for the purpose of giving warning to third parties regarding the nature of the business organization. However, it is criticized for its lack of clarity since it doesn't illuminate the true nature of the company from the vantage point of the common classification of companies into private and public. Public companies are characterized by relatively free transferability of shares, the discretion of public offering of shares and with absence of legal prohibition on the maximum numbers of shareholders. None of these qualities apply to private companies. Though from the reading of the relevant provisions of the Commercial Code these are features of share company, the words "Share Company" in the name clause is described as too vague to portray them.⁴⁶³ The Commercial Code doesn't provide morality and legality as an additional test for the acceptability of the name of the share company. But if we see the case of United Kingdom company law, the name must not be offensive or constitute a crime for it to be accepted by the company registering body.⁴⁶⁴ It is not addressed if the relevant government organ that registers companies in Ethiopia accepts a memorandum of association if the company name is immoral or constitutes a crime.

12.1.4. Memorandum of Association

Based on the 1960 Commercial Code the constitutional documents of the share company used to be the memorandum of association and articles of association.⁴⁶⁵ The Article of association was intended to govern the operation of the company and required to be annexed with the memorandum of association.⁴⁶⁶ The 1960 Commercial Code didn't provide clearly the contents of the articles while it did for

⁴⁶³ ፈቃዱ ዴጉረስ ገ/መስቀል (n 426) 63.

⁴⁶⁴ Nicholas Bourne, *Principles of Company Law* (3rd ed., Cavendish Publishing Limited, London, 1998) 48.

⁴⁶⁵ 1960 Commercial Code of Ethiopia, Articles 313 & 314.

⁴⁶⁶ Ibid Article 314(1) & (2).

the memorandum. The revised Commercial Code repealed the need for articles of association and there by disregarded the dual constitutional documents requirement for the formation of share company. Now the formation document is unified in the form of memorandum of association.⁴⁶⁷ Accordingly, the company can't be validly established without a signed memorandum of association. It is an important document that sets out certain key features of the company's status.

The memorandum of association is a contract concluded by founders in the case of company formed as between members or subscribers for a company formed through public subscription of shares.⁴⁶⁸ It determines the powers and limits of the company. It has the following compulsory contents: name of the company, address of the company, name, nationality, and address of shareholders and number of shares they purchased and the paid up sums, business object of the company, subscribed capital and amount of paid up capital, number, par value, form and class of shares, details about contribution in kind, manner of distribution of profit, details about promoters benefit, composition and powers of directors and managers, composition and power of supervisory board if any, auditors, duration of the company, time and manners of company disclosures, relations among and between company management organs and other matters as agreed by the shareholders.⁴⁶⁹ The contents are not exhaustive. The Code compels them to be included in the memorandum of association. An issue may be raised on the implication of a memorandum of association of the formation of the company if it misses one or more of these compulsory contents. For example, would a memorandum that omitted the capital clause be valid? Based on the commercial code and significance of capital to third parties, we may conclude that the memorandum of association is not valid. Logically speaking this affects the formation of the company since one of its key formation requirements is infected with a defect. However, we may not hold the same take if what is missed is form and

⁴⁶⁷ Ibid Article 255.

⁴⁶⁸ Commercial Code of Ethiopia, Article 173.

⁴⁶⁹ Ibid Article 255.

classes of shares. The law has provided its own default rules on class of shares if the memorandum association is silent.⁴⁷⁰ Their omission could not create any validity issue for the formation of the company. From this it follows that all contents of the memorandum are not equally material to affect the validity of formation albeit the law doesn't deal with this in a clear manner.

We said that memorandum of association is a contract concluded or adopted by the initial members to conduct business in the form of share company. However, the question of who it binds has been subject to contentious perspectives.⁴⁷¹ Three perspectives have been addressed in the case laws of the common law legal system. The first perspective provides that the memorandum and articles of associations are contracts concluded among members and have binding nature on the members only. The company is an outsider and by the operation of privity effect principle it can't be bound by the terms and conditions of the documents.⁴⁷² This is a view influenced by the contract theory which claims company as the contractual aggregates of the rights and duties of the shareholders of the company. But this doesn't take us much since company laws provided that the company has rights and bears duties on the bases of the documents though not a signatory to them. The second perspective rectifies this since it claims the documents are binding between the members on the one hand and the company on the other. It further contends that they can't govern the relationship between members *per se*. To alleviate the fundamental issue of how a company which doesn't exist during the conclusion of the documents can be taken as party to them, the proponents insisted that the documents are not mere contracts rather they are statutory contracts. Accordingly, the principles of contract law ill fit to govern the matter. Company law addressed this by deeming the company as party

⁴⁷⁰ Ibid Article 278(1).

⁴⁷¹ G.A. Egert, 'The Legal Effect of The Memorandum and Articles of Association of a Company After the Introduction of The Companies and Securities Legislation (Miscellaneous Amendments) Act 1985` (Qld. Institute of Technology Law Journal)___45<<https://lr.law.qut.edu.au/article/download/275/267/275-1-536-1-10-20120713.pdf>> , accessed on 11/19/2022.

⁴⁷² Ibid 46.

to conclusion of the documents and hence being bound by them. In this regard, there exists a clear provision under the UK Company Act that says “provisions of a company's constitution bind the company and its members to the same extent as if there were covenants on the part of the company and of each member to observe those provisions.”⁴⁷³ The third perspective argues that the documents are contracts that bind not just as between the company and members but also among the members themselves. It combines the views in the first and second perspectives. Indeed, this one seems acceptable if we make some consultation with the traditional elements of company law. The company claims from the members if there is unpaid capital based on the memorandum and articles of association. The members equally can claim different rights from the company such as distribution of dividends on the bases of these documents. Members can also claim from another member the right of preemption on the transfers of shares if the documents provide so.⁴⁷⁴

Unlike that of the company laws of some countries like UK and South Africa⁴⁷⁵, the Ethiopian Commercial Code doesn't provide a specific provision that governs the binding effect of the memorandum of association on the relation between the company and members as well as between the members. However, from the reading of different provisions we may claim that it endorsed the third perspective.⁴⁷⁶ Accordingly, the company, though absent during the making of the memorandum of the association, is considered as party to and bound by it. It also binds the relationship of members as between themselves.

12.1.5. Authentication

Authentication of the memorandum association is the other precondition for the

⁴⁷³ United Kingdom Company Act 2006, Section 33(1).

⁴⁷⁴ G.A. Egert (n 471) 47.

⁴⁷⁵ TCR Morajane, 'The Binding Effect of the Constitutive Documents of the 1973 and 2008 Companies Acts of South Africa' (PER /PELJ Vol.13, No. 1, 2010) 180 <<file:///C:/Users/PC3050/Downloads/55358-Article%20Text-91971-1-10-20100608.pdf>> accessed on 11/11/2012.

⁴⁷⁶ Commercial Code of Ethiopia, Articles 276(1), 281 & 289.

formation of share company in Ethiopia.⁴⁷⁷ The relevant federal or regional organ obliged to ascertain whether the memorandum of association is prepared by the persons who claimed they prepare it and witness the signing of the same by the founders or members of the company as the case may be.⁴⁷⁸ Authentication and registration is a pre-condition for the registration of the company in the commercial register.⁴⁷⁹ The persons can be founders for a company formed as between themselves or promoters for a company formed through public subscription of shares or their duly authorized agent. The responsible authenticating and registering organ, is required to register the authenticated document and deposit a copy of it.⁴⁸⁰ One of the key objectives of authentication and registration here is to ensure the rights of individuals and institutions from fraudulent activities. To this end, the notary, person responsible for authentication and registration, has the power to evaluate the legality and morality of the document, the capacity and power of the persons who sign the document as well as ascertain conditions of ownership and owners of a property.⁴⁸¹ An authenticated memorandum of association constitutes, as matter of principle, conclusive evidence of its contents. One thing to mind here is that Commercial Registration and Business Licensing Amendment proclamation 1150/2019 make it mandatory for the relevant documents authentication and registration organ to assign a professional to work at the commercial registration office with a view to provide one stop shop service to the investing community.⁴⁸²

12.1.6. Registration

The last formation requirement irrespective of the manner of formation is registration in the commercial register. The company acquires its legal personality

⁴⁷⁷ Ibid Article 266(3).

⁴⁷⁸ Authentication and Registration of Documents' Proclamation No. 922/2015, Articles 2(2) & 9(1(c)), Federal Negarit Gazette, 22nd Year, No. 39.

⁴⁷⁹ Commercial Registration and Business Licensing Proclamation No. 980/2016, Article 5(6).

⁴⁸⁰ Authentication and Registration of Documents' Proclamation, Article 7.

⁴⁸¹ Ibid Articles 13-15.

⁴⁸² Commercial Registration and Business Licensing (amendment) Proclamation No. 1150/2019, Article 2(6), Federal Negarit Gazette, 25th Year, No. 77.

upon registration in the commercial register.⁴⁸³ As it can be noted from previous parts, both the federal and regional states have the power to organize their own commercial register. Apart from this the federal government is given the power to organize central register. The purpose of registration in the commercial register is for the purpose of informing the public on the establishment of company with its particulars as well as exercise control over it. This differentiates it with registration of memorandum of association at the document's authentication and registration organ whereby its purpose is one of ascertaining the truth of documents. With different objectives, the two registrations shall not be confused and one can't substitute the other.

An application for registration of share company can be made by the promoters or founders of the company depending on the manner of formation. They can also under take registration through an agent who has power of attorney from them.⁴⁸⁴ The application shall be made at the place where the company is going to have its head quarter.⁴⁸⁵ With the application form, documents required by the law to be attached include authenticated memorandum of association, the statement about the address of the company, a bank statement about the payment and deposit of at least ¼ of the capital of the company in its name and a copy of the identification card or passport of its manager.⁴⁸⁶ The Ministry of Trade and Regional Integration is obliged to establish and implement information technology system for the registration and licensing of businesses with a view to avoid the necessity of physical appearance.⁴⁸⁷ This would save the time of businessmen.

With registration and issuance of the certificate of registration the company acquires

⁴⁸³ Commercial Code of Ethiopia, Article 265(1).

⁴⁸⁴ Ibid Article 265(2).

⁴⁸⁵ Ibid Article 85(1).

⁴⁸⁶ Commercial Registration and Licensing Council of Ministers Regulation No. 392/2016, Article 11, Federal Negarit Gazette, 23rd Year, No. 3.

⁴⁸⁷ Commercial Registration and Business Licensing (amendment) Proclamation No. 1150/2019, Article 2(5).

its legal personality. It enjoys and exercises rights for the attainment of its business purpose as stipulated in the memorandum of association. The payments out of cash shares deposited in blocked bank account would be allowed to be used by the company. Transfer of ownership of in-kind contribution that needs formalities like registration and issuance of title deed must be carried out to the company. In general, the company begins to be the subject of the law as juristic person.

Non-compliance with the formation requirements may be found after the registration of the company in the commercial register and acquisition of its legal personality. Non-compliances are defects in the formation conditions of the company. For example, the company may be formed without complying with the minimum number of members' requirement or the members might have been compelled to join the company. In these cases, the usual concern one may raise concerns the effects of the defects. The defects can be defects as to form or others. Defects as to form can be described as serious defects that concern the very agreement to form the company. They in particular concern the vices of consent, object or capacity.⁴⁸⁸ Whether defects as to form and agreement bring the same effect is not clearly addressed in the Commercial Code. The Code in Article 266 governs the effects of defective formation on the legal personality of the company. In principle, defective formation doesn't result in dissolution of the company.⁴⁸⁹ Exceptionally, the court may decide dissolution of the company or take corrective measures if the non-compliance is such a nature that endangers the interest of the creditors or shareholders.⁴⁹⁰ Dissolution is the worst effect of defective formation of the company. This implies that defects in formation can't affect the legal personality of the company from its inception. The company is considered as a legal person until the court decides its dissolution on the application of either creditors or shareholders as a result of violations of formation requirements.⁴⁹¹ Non-compliance with

⁴⁸⁸ Seyoum Yohannes (n 405)123.

⁴⁸⁹ Commercial Code of Ethiopia, Article 266(1).

⁴⁹⁰ Ibid Article 266(2).

⁴⁹¹ Seyoum Yohannes (n 405)124.

formation requirements doesn't retroactively affect concluded contracts between the company and third parties.⁴⁹² This is at odd with general contract law principles pertaining to defective formation of contracts in which the effect of acts performed on the bases of the contract becomes void as a matter of principle upon invalidation.

The application for dissolution or corrective measures can be made by the creditors or shareholder and must be lodged within one year from the registration of the company in the commercial register.⁴⁹³ However, this period of limitation is inapplicable under some cases of non-compliance. For example, a given share company is registered in the commercial register believing that all the formation requirements are fulfilled. Later on, the numbers of the members named in the memorandum association is found to be three. The formation is affected by non-observance of the minimum numbers of members for the formation of share company. If the creditors apply for the dissolution of the company after two years from its registration, based on this provision the application can be bared merely because of laps of the one-year period. The same holds true regarding capital related restrictions. However, this seems unacceptable because some formation requirements such as these concern the basic features of share company whereby their non-fulfillment can't be cured simply because of expiry of the one-year period. Indeed, the company can be dissolved by the operation of Article 473(1(a)) of the Code if the non-compliance or defect in formation concerns minimum number of members though the application is filed after one year from the formation of the company.

12.2. Specific Conditions for Formation through Public Subscription

Additional compulsory requirements are provided in case the company is to be formed though public subscription of shares. In this mode of formation of share company, the public at large is invited to purchase shares. The law maker provided

⁴⁹² Ibid.

⁴⁹³ Commercial Code of Ethiopia, Article 266(2).

rules pertaining to protection of the investing public in the process of promotion and formation of the company. The following discussion deals with these rules in the Code.

12.2.1. Prospectus

The promoters shall issue and distribute prospectus. The Code is silent when it comes to defining prospects except for indicating its written form and purpose of inviting the general public to subscribe shares of the company under formation. According to the Ethiopian Capital Market proclamation, it is a “document or publication by, or on behalf of, a share company containing information on the character, nature and purpose of an issue of shares, debentures, or other corporate securities that extends an invitation to the public to purchase the securities.”⁴⁹⁴ This definition is shared by Black’s Law Dictionary which defines prospectus as “document ...setting forth the nature and objects of an issue of shares, debentures, or other securities...and inviting the public to subscribe to the issue.”⁴⁹⁵ From this it is clear that for anything to qualify as a prospectus it must be incorporated in a document and its contents must be of inviting the public to subscribe the issued shares, debentures or other securities. Oral invitations through mass media like television and radio can’t be considered as a prospectus. This differentiates the Ethiopian company law regime from the USA and Hong Kong in which prospects is given broader meaning in terms of form since as long as the information is an invitation of the public to buy securities the manner disclosure is irrelevant.⁴⁹⁶

Prospectus shall contain the following pieces of information: draft memorandum of association; summary of expert valuation report if there is in kind contribution; price at which shares are issued and date of their payment; the amount of paid up price of

⁴⁹⁴ Capital Market Proclamation No. 1248/2021, Article 2(52), Federal Negarit Gazette, 27th Year, No. 33.

⁴⁹⁵ Henry C. Black (n 431) 1386.

⁴⁹⁶ Tikikil Kumlachew, ‘Regulation of Initial Public Offering of Shares in Ethiopia: Critical Issues and Challenges’ (LL.M Thesis, Addis Ababa University, 2011) 73.

shares if full payment is not required; details of the blocked bank account opened in the name of the company under formation for depositing cash payment; place and time of submission of an application for subscription; and anticipated time within which formation of the company is to be completed provided that it can't exceed five years in any case.⁴⁹⁷ Recognizing its significance as a marketing tool for selling shares of the company under formation and sources of information to the potential subscribers, the law made it clear that prospectus shall state accurate facts.⁴⁹⁸ This means that a prospectus is not an advertisement and it shall not contain opinions exaggerating the profitability of the company under formation. That would deceive potential investors. However, the accuracy requirement seems very difficult to meet since it is not mandatory to undertake and include feasibility study results as part of the prospectus. In the interest of protecting the public from subscribing shares of the company without sufficient information the Code should have made it mandatory to include potential legal, financial and business risks about its business purpose.⁴⁹⁹ One may say that the promoters shall include such important information since they have to support feasibility of the business of the company as stated in the memorandum of association. To that end the contents of prospects under the law don't seem exhaustive.

The other issue concerning prospectus concerns its legal status. The Code literally categorized it as an 'offer' for subscription of shares. If we consider it as an offer, we can say that the subscribers' application for subscription is an acceptance. However, this is contended by some authors because it lacks the qualities of an offer under contract law, which requires an offer to be addressed to specific individuals.⁵⁰⁰ A prospectus is addressed to the general public. Accordingly, it seems that it is an invitation to offer rather than offer. It is the subscribers' application that constitutes an offer. This would have paramount implication whether and when the promoters

⁴⁹⁷ Commercial Code of Ethiopia, Article 259(1(a)-(g)).

⁴⁹⁸ Ibid Article 250(1(a)).

⁴⁹⁹ Tikil Kumlachew (n 496) 72.

⁵⁰⁰ Ibid 79.

can amend it; however, the law is quiet on the matter. If we say that prospectus is an invitation, the promoters can amend some information until and unless they have accepted the application for subscription of shares. However, if the word ‘offer’ in the Code is taken strictly, the promoters are obliged by it and they can’t withdraw it once the subscribers submitted the application.⁵⁰¹

Promoters must also prepare an application form for the purchase of shares and the subscribers shall fill out it. The applicant must state his name and address, numbers of shares he wants to purchase, the date of application.⁵⁰² The promoters are compelled to display the prospectus, draft memorandum of association and expert valuation of in-kind contribution, if any together with the application form.⁵⁰³ Subscribers shall declare in the form the fact that they have read these documents.⁵⁰⁴

12.2.2. Formation Audit report

Auditing the fulfillment of formation requirements and submission of the audit report to meeting of subscribers is the other additional requirement for formation of Share Company through public subscription of shares. Once the formation requirements are finalized, it is mandatory for the promoters to get verified by external auditors whether the requirements are properly complied with or not.⁵⁰⁵ In particular, the audit report shall cover if the promoters fulfill the requirements provided by law, full subscription of the capital of the company, deliver and valuation of contribution in kind, deposit of cash share payments in the blocked bank account opened for such purpose in the name of the company and other similar requirements.⁵⁰⁶ This requirement was not prescribed under the 1960 Commercial Code. The objective of this compliance audit is to protect subscribers against the

⁵⁰¹ Ibid.

⁵⁰² Commercial Code of Ethiopia, Article 260.

⁵⁰³ Ibid Article 259(2).

⁵⁰⁴ Ibid Article 260(2).

⁵⁰⁵ Ibid Article 261(1).

⁵⁰⁶ Ibid Article 261(2).

danger of mischief that may be done by the promoters in the formation of the company. If the report discloses the non-fulfillment of formation requirements, the law prohibits the registration of the company.⁵⁰⁷

It clear is that the law requires convening meeting of subscribers to adopt the memorandum of association and approve different pre-incorporation contracts entered by the promoters on behalf of the company. However, it is felt necessary to furnish information to the participants with expert auditor report about the compliance or otherwise of formation conditions. This is particularly so apt when there are many subscribers with small shareholding who may not have the courage and time to investigate all pre-formation activities of promoters in light of formation requirements. That is why the Code requires auditors to present their audit report in the meeting of subscribers. Here it has to be noted that the Code doesn't provide any eligibility criteria and procedure for the selection of auditors. There is no cross reference with the provisions of the Code governing the appointment of auditors of company as part of its governing organs.

12.2.3. Meeting of Subscribers

The last formation condition specific to formation through public subscription of shares is the need to convene meeting of subscribers. Upon the completion of the audit report, the promoters are bound to call meeting of subscribers. The agendas of the meeting are verifying fulfillment of formation requirements, adopting the memorandum of association, approving reports by promoters and auditors, approval of valuation report of in-kind contribution, deciding the benefit allocated to promoters and appointment of the administering organs of the company.⁵⁰⁸

In principle, the procedures of calling and passing decisions at the meeting shall be in accordance with the provisions of the Code governing extraordinary meeting of

⁵⁰⁷ Ibid Article 261(4).

⁵⁰⁸ Ibid Article 263.

shareholders. However, the exceptions under Article 264 of the Code must be taken into account. For example, while the amendment of the substance of the draft memorandum of association needs unanimous vote of all subscribers, amending the specific provision dealing with contribution in kind and benefit allocated in the net profit for promoters can be decided with majority vote.⁵⁰⁹ All subscribers have the right to take part and vote in the meeting with the exception of the proscription of in kind contributor and promoter subscribers from voting on the adoption of valuation of contribution in kind and benefits allocated in the net profit for promoters, respectively.⁵¹⁰

The resolution of the meeting should be drawn and signed by the promoters and members of the board of directors elected in the meeting.⁵¹¹ Every document needs to be submitted and discussed in the meeting is required to be annexed with the resolution.⁵¹² The documents include the reports of promoters about the formation processes, formation audit report, and report on valuation of in-kind contribution.

12.3. Promoters

12.3.1. Definition of promoters

Promoters are persons responsible for the birth of the company. They are the actors behind the formation of the company and undertake different activities. They initiate the business idea, develop it in the form of projects, and organize the company form to run the business. In particular, they perform acts like inducing the interest of others in promoting the company under formation, finding directors, shareholders and other investors, acquiring business assets for use by the new company, and negotiating business contracts on behalf of the new company.⁵¹³ The responsibilities of promoters are cumbersome in countries like Ethiopia where there are no

⁵⁰⁹ Ibid Article 264(4).

⁵¹⁰ Ibid Article 264(2) & (3).

⁵¹¹ Ibid Article 264(1).

⁵¹² Ibid.

⁵¹³ Susan McLaughlin, *Unlocking Company Law* (2nd ed., Routledge, New York, 2013) 97.

institutional promoters, like investment banks. Mindful of their vital function, the Commercial Code provided some rules that are meant to govern the status, liability as well as remuneration of promoters.

Unlike that of its predecessor, the Code made it clear that there shall be promoters only for formation of share company through public subscription of shares. In case of the company formed as between members, the responsible persons for its formation are rather founders. The Code doesn't provide equal level of regulation on promoters and founders owing to the evident reason of difference in the magnitude of their functions. The rules distinguished promoters from founders whom were governed in a very confused manner in article 307 of the 1960 Commercial Code.

The Code described a promoter as natural or artificial person who initiates, prepares prospectus, invites the public to join the company or undertakes other acts with a view to realize the formation of the company.⁵¹⁴ The level of involvement is not a necessary condition to get the status of promoter. It can be argued that a person who invests his time, skill or money for the formation of the company is promoter irrespective of size of his involvement.⁵¹⁵ However, experts who rendered professional service in the formation process of the company in exchange for consideration are not considered as promoters.⁵¹⁶ If an economist undertakes feasibility study for the formation of the company in accordance with contract of service concluded with the promoters, he can't be counted as a promoter. This clarified the vagueness of the 1960 Commercial Code which categorized everyone involved in the formation of the company as founders irrespective of the modality of his participation. Promoters need not be shareholders of the company under formation.⁵¹⁷

⁵¹⁴ Commercial Code of Ethiopia, Article 248(1).

⁵¹⁵ Janet Dine, *Company Law* (4th ed., PALGRAVE, New York, 2001)87.

⁵¹⁶ Commercial Code of Ethiopia, Article 248(1).

⁵¹⁷ Ibid Article 248(2).

12.3.2. Criteria to become promoter

The Code goes beyond describing the status of promoters and provided eligibility criteria. Any person who is convicted of breach of trust, theft, robbery, and other similar crimes while working in the capacity of director, promoter, manager, auditor, inspector or other similar positions is prohibited from acting as a promoter.⁵¹⁸ The justification of the prohibition seems to protect the investing public from fraud. Impliedly, the provision expects the promoters to be loyal for the unborn company. The law maker hesitated the proper discharge of this duty if anyone convicted of the offences in the listed capacity becomes a promoter. Formation audit report is provided as a mechanism to verify whether the promoters satisfy the requirement.⁵¹⁹ The company cannot be registered if the audit finding shows the existence of conviction for the mentioned crime in relation with one or more promoters.⁵²⁰ This control mechanism seems too late to be an adequate guard to the investors as well as the company against the potential fraud of the promoters resulting from the tendency of committing similar offenses. Formation audit comes after the issuance of prospectus and subscription of capital of the company. That means many activities regarding formation are already carried out though promoters have criminal record for commission of the offences. If the law maker had the intention to protect the interest of subscribers, it did little since the audit report comes after such formation activities. Equally important is the situation when the audit report shows non-fulfillment of the eligibility criteria of promoters as the only problem in the formation conditions of the company. It doesn't seem to advance the interest of the subscribers and public to prohibit the registration of the company simply because the report finds out one of the promoters is convicted of crime of theft or breach of trust while working in the capacities mentioned by the law if all other requirements are properly met. However, it may be used to exclude the person from the list of

⁵¹⁸ Ibid Article 249.

⁵¹⁹ Ibid Article 261(2(a)).

⁵²⁰ Ibid Article 261(4).

promoters and consequent benefits.

12.3.3. Duties of promoters

Promoters can't be counted as agents or trustees of the company under formation because the latter doesn't have legal personality before the registration in the commercial register. They undertake activities of formation in the interest of yet to be formed company. As a result, in common law legal systems case laws impose on promoter fiduciary duties to advance the interest of the company. They are required to act with at most loyalty for the company. They have to fully disclose any personal benefit which is related with the promotion process of the company. The disclosure must be made to the company or its directors.⁵²¹ If promoters sold property for exaggerated price and fail to make disclosure of the overvaluation to an independent person, the company can invalidate the contract.⁵²²

The Commercial Code doesn't specifically deal with the duties of promoters. One can infer the fiduciary duties from the reading of Articles 250 and 251 of the Code which deal with their liabilities. They are obliged not to cause damage to the interest of the company, shareholders and third parties in connection with their formation activities. They are also obliged to report the formation activities of the company to meeting of subscribers.⁵²³ They are prohibited from making any benefit out of the formation process of the company other than the payment from the net profit up to twenty percent for three years based on the memorandum of association.⁵²⁴ Impliedly, these indicate promoters can't make any hidden profit from the promotional activities. In general, the fiduciary duties of promoters developed in the case laws of the common law legal system can be inferred from these provisions of the Code.

⁵²¹ Stephen Griffith, *Company Law: Fundamental Principles* (4th ed., Pearson Education Limited, England) 36.

⁵²² Janet Dine, (n 515) 87.

⁵²³ Commercial Code of Ethiopia, Article 263(3).

⁵²⁴ Ibid Article 253((1) & (2)).

12.3.4. Liabilities of promoters

Contractual and tortuous claims may arise out of the formation process of the company. The law provides that promoters are jointly and severally liable for the claimants who can be the shareholders, contract creditors or other third parties.⁵²⁵ They may enter into different contracts for the hiring of professional services and purchase of goods for the formation and operation of the company. Tortuous claims may also ensue in relation with violation of rules in the Code regarding subscription, payment and deposit of capital, valuation of in-kind contribution, accuracy of disclosures they made, formation audit report, refund of paid-up capital in case of failure of company formation, and other formation requirements.⁵²⁶ These conditions are provided for the protection of the investing public and the company so that the promoters are duty bound to work for such interests.

An action for the payment of compensation against the promoters for contracts as well as tortuous acts shall be brought within five years from the date when the claimant knew of the damage and the responsible promoters. However, it can't be lodged ten years after the occurrence of the act complained of.⁵²⁷

12.3.5. Remuneration of promoters

It can be noted from the above discussion that the fact of promoting the formation of a company needs skill, time and money. It may also cause liability against the promoters. With the view to reward them against such intricacies the Code has provided rules on the benefit to be allocated for promoters. The benefit is provided in the form of rights as the relevant provision says the “promoters may...receive a share in the profit...” that it can't be denied by the organs of the company after formation. Promoters' right to get benefit from the net profit is not unlimited. First, they can't reap for more than three years. Second, it can't exceed twenty percent of

⁵²⁵ Ibid Article 250(1).

⁵²⁶ Ibid.

⁵²⁷ Ibid Article 250(2).

the net profit in the balance sheet. Third, it is the only advantage to promoters with their status which has to be paid in cash and can't be paid in the form of issuance of shares.⁵²⁸ This implies that promoters can be shareholders through purchase of shares from the company and may collect dividends.⁵²⁹ The years for payment of the benefit shall begin the date when the company starts making profit. Whether the benefit should be paid in consecutive years or not is not addressed. The memorandum of association is authorized by the Code to fix the details about the benefit which basically concerns fixing the exact number of years as well as the percentage of the benefit within the maximum cap.

12.4. Founders

As mentioned above the Code used the word founder in connection with formation of share company by individuals as between themselves, without offering shares for public subscription of shares.⁵³⁰ Unlike that of the Indian Company Law, the Code doesn't provide maximum number limit for the formation of the company to be as between the individuals. In the case of India, if more than 200 persons notified and subscribed the memorandum of the company, the formation is automatically considered formation through public subscription of shares.⁵³¹ A similar question may challenge the position of the Ethiopian Code if an individual create telegram or other social media channels and mobilize 1000 individuals to join his proposed business project in the form of share company without going through the tiresome work of preparing prospectus and other activities. It doesn't sound to call the company formed as "between individuals" because significant number of the public is part of the subscription. Be this as it may, when the company is formed as between individuals, they are responsible for undertaking the formation requirements. The individuals are named as founders and their number can't be below five.⁵³² They are

⁵²⁸ Ibid Article 253.

⁵²⁹ Ibid Article 253(3).

⁵³⁰ Ibid Article 252(1)

⁵³¹ G.K. Kapoor and Sanjay Dhamija (n 353) 187.

⁵³² Commercial Code of Ethiopia, Article 252(2).

necessarily shareholders of the company. Under normal course of things, they are persons who have close relations which can be friendship or family relation who want to undertake business in the form of share company.

They are duty bound to undertake the formation of the company based on the requirements provided by the law as discussed above. They are liable for claims based on pre-formation contract concluded for the formation of the company. Tortuous claims may also ensue them from third parties or the company in relation with violation of rules in the Code regarding subscription, payment and deposit of capital, valuation of in-kind contribution, audit report, refund of paid-up capital in case of failure of company formation, and other formation requirements.⁵³³

The Code is silent about rewarding founders as opposed to promoters. This is may be the founders don't deserve it since formation as between themselves is not cumbersome in terms of time, money and skill. However, in the absence of prohibition in the Code about the benefits of founders, one may contend that they can allocate it in the memorandum of association, especially, if they have a plan to sale their shares to many persons in the near future following formation of the company.

12.5. Pre-formation Contracts

Promoters generally contract with third parties for such things as equipment and utilities so that the company can begin trading without delay following its formation. They may also incur expenses for hiring services as well as registration of the company. The issue which arises in relation to such pre-formation contracts is whether the promoter can avoid being held personally liable despite the company did not exist at the time such contracts were concluded on its behalf. The Code has provided two principles governing transferring liability of promoters for pre-formation contracts and expenses to the company.

⁵³³ Ibid Article 252(3).

First is the principle of necessary contracts and expenses.⁵³⁴ According to this if the pre-formation contracts concluded by the promoters were necessary for the formation of the company; the company must take over them from the promoters. Similarly, necessary expenses for the formation of the company incurred by the promoters shall be transferred to the company. It can be described as the principle of compulsory ratification. As long as the contracts and expenses were necessary for the formation of the company, the law automatically makes the company liable for contracts and requires it to reimburse the promoters for the expenses. The question here is how we determine necessity of the contract or expense for formation? This has to be seen in light of the formation requirements of share company since each of them necessarily entails the need to conclude contracts with third parties or/and incur expenses.

Based on the Commercial Code, the meeting of subscribers is entitled to decide the necessity or otherwise of the pre-formation contracts and expenses. The scope of transfer of liability from the promoter to the company for pre-formation contracts and expenses seems limited under the Code based on the operation of this principle. The contracts and expenses shall be “necessary for formation of the company”⁵³⁵ which implies contracts concluded for the purpose of avoiding delays in starting the business may not be counted as necessary for the formation of the company. For instance, if promoters concluded a pre-formation contract for the lease of premises or utilities before the formation of the contract, the contracts can’t be considered as necessary for the formation of the company since none of the formation requirements are related with this. These contracts are not necessary for the formation of the company if not for the operation of its business after formation. The burden of proof to show whether the contracts and expenses were necessary for the formation of the company lies on the promoters. They are required to disclose as well as prove this to the satisfaction of the meeting of subscribers. If the meeting

⁵³⁴Ibid Article 251(1).

⁵³⁵Ibid.

rejects factually necessary contracts and expenses, it seems clear that promoters can lodge a court action against the company for ratification.

If the contracts and expenses decided unnecessary for the formation of the company, the second principle of attribution follows is the principle of ratification by the approval of the meeting of subscribers. Even if the pre-formation contracts and expenses concluded or incurred by the promoters were not necessary for the formation of the company, the company can still take over the contracts or reimburse the expenses if the meeting of subscribers approves.⁵³⁶ The meeting may accept them if it believes that the promoters concluded the contract or incurred the expense with the view of advancing the interest of the company under formation. If the contracts and expenses were not necessary for the formation of the company and not approved by the meeting of subscribers, the promoters bear the risk. They remain jointly and severally liable for third parties on the bases of the contracts and will not get any reimbursement against their expenses. This is equally true if the company is not established for any reason.

There is no time limit under the Code for the disclosure and ratification or rejection of pre-formation contracts and expenses. This may create difficulties for the promoters to transfer liability and claim reimbursement from the company timely. There is also no special form required for the conclusion of the pre-formation contracts. The other important issue which is not addressed by the Code is the fate of pre-formation contracts and expenses by founders in the case of companies formed as between members. It is obvious that they may conclude contracts for the purchase of some skills for undertaking feasibility study or drafting memorandum of association. The Code is mute whether the company can take over these contracts if not performed or reimburse expenses if already performed since Article 251 deal with the contracts and expenses in the context of formation through public subscription. One may argue that the silence is well thought by the law maker

⁵³⁶Ibid.

owning to the nature of the company under formation the members can easily transfer the contracts and expenses to the company since they are the ones who create, organize and govern the company.

12.6. Summary

The formation of share company requires the completion of different activities by the promoters or founders depending on the manner of formation. These activities and the actors are governed by the Commercial Code and other special laws, like banking business laws. The laws meant to protect the interests of the company under formation, its shareholders and creditors from the dangers of fraudulent and careless practices of the actors. A share company can be formed either as between members or through public subscription of shares.

Minimum number of members, capital, firm name, authentication and registration are formation conditions irrespective of manners of formation. Subject to other special laws, the formation of share company needs at least five members. The capital of company must be fixed in advance and divided into shares. The law has provided strict rules on the protection of capital throughout the life of the company. The minimum capital for the formation of share company cannot be less than 50, 000 Ethiopian Birr. However, some special laws provide a higher amount of minimum initial capital. The capital of the company, sometimes named as authorized capital, must be fully subscribed. This means all shares of the company must be contractually agreed to be bought by the subscribers in lieu of payment for the par value of the shares. In case of cash shares, the Code prescribed that at least 1/4th of cash shares be paid and deposited in a blocked bank account opened in the name of the company under formation. Special laws may provide a higher or lower mandatory minimum paid up capital in relation with special categories of share companies. Though the Commercial Code provided rules on the valuation of contribution in kind, it is silent when it comes to the minimum amount of payment of in-kind shares before the formation of the company. It is mandatory for company

to have a name for its establishment. Authentication of the memorandum association is the other precondition for the formation of share company in Ethiopia. The relevant federal or regional organ obliged to ascertain whether the memorandum of association is prepared by the persons who claimed they prepare it and witness the signing of the same by the founders or members of the company as the case may be. The last formation requirement irrespective of the manner of formation is registration in the commercial register. The company acquires its legal personality upon registration in the commercial register

Issuance and distribution of prospectus is a formation condition of share company specific to formation with public subscription of shares. It is a written document with the purpose of inviting the general public to subscribe shares of the company under formation. Auditing the fulfillment of formation requirements and submission of the audit report to meeting of subscribers is the other additional requirement for formation of company through public subscription of shares. The last formation condition specific to formation through public subscription of shares is the need to convene meeting of subscribers. The agendas of the meeting are verifying fulfillment of formation requirements, adopting the memorandum of association, approving reports by promoters and auditors, approval of valuation report of in-kind contribution, deciding the benefit allocated to promoters and appointment of the administering organs of the company.

12.7. Review questions

1. Discuss the formation requirements of share company under the Ethiopian company laws.
2. What do you think are the reasons to fix the minimum number of shareholders for the formation of a share company?
3. Explain the concept of authorized, subscribed, and paid-up capital.
4. Do you think that the law has in place sufficient regulation for the maintenance

of capital during the formation process of share company? After all, why the law cares about maintenance of capital?

5. What are the possible types of contribution to constitute the capital of share company? Can service be contributed for the formation in anyway?
6. What are the specific formations of conditions through public subscription of shares?
7. Discuss roles and responsibilities of promoters and founders.
8. Examine the rules governing the attribution of pre-incorporation contracts with the company.
9. A, B and C promoted the formation of Company Y in 2021. The formation took them the full year. They began the formation in January 1 of 2021 and finally registered it on the last date of December of the year. To speed up the fast entry of the Company in the market in its business purpose, agro-industry, they carried out different activities. With the assistance of the well-known broker in the area, Z, A rented land from a farmer F in the nearby rural village with a fee of 200,000 birr per year for 30 years in June 2021.
 - a. If the lessor wants to claim the fee in September 2021, whom should be responsible for it? Would you change your answer if the claim is made in January 2022?
 - b. Is the Company obliged to release the commitments of promoters arising out of the contract of rent?
 - c. Would any liability follow Z in connection with the contract of rent in any case?

CHAPTER THIRTEEN: FINANCING SHARE COMPANY

Introduction

Mobilizing the necessary finance is important to turn the business objectives of the company into operation. The officers of the company organize different inputs of production of goods or rendering of services with the arm of finance. The amount of finance depends on the size and nature of the company. For example, if the company aims to engage in manufacturing sector, it may be required to have higher amount of finance compared to, say, retail sector. The key players of the company, who can be promoters, founders or directors, need to decide the amount of the necessary finance to assemble and operate the business of their company. It is also required from them to find the feasible sources of the finance.

However, the act of raising and expending finance of share company are not left to the whim of the actors. The laws provide detail rules which aim to guide and regulate raising, altering and expending finance. The objective of the laws can be creating favorable legal environment for adequately financing the company and at the same time protecting the investing public from fraudulent practices. This part of the textbook will address the sources of corporate financing, alteration of capital, and maintenance of capital under the Ethiopian company law.

13.1. Types of Financing

The sources of company financing can be broadly typified into two. These are equity and debt financing. A company may raise its finance either from equity or it may also get it from debt. However, according to the Ethiopian company law it is mandatory for a company to mobilize some of its finance from equity while it is allowed to disregard debt financing altogether. No share company can be established nor operate business without equity financing.⁵³⁷ The features of these types of

⁵³⁷ Commercial Code of Ethiopia, Article 247(1).

financing can be discussed as follows.

13.1.1. Equity financing

Equity financing is financing of a share company through issuing and selling shares to individuals or the public. As mentioned above, a company can't abrogate equity financing totally. The laws provided different amount of minimum capital requirement for the formation of companies depending on their natures. Above this minimum required capital, it is up to the higher officers of the company to decide how to further finance their company. The general minimum capital required to establish and operate share company is 50,000 Ethiopia birrs. This is mandatory and must be raised from contribution collected from selling of shares to at least five persons. If operating the business purposes of the company requires beyond this amount of fund, the promoters or founders have the flexibility to look for debt financing rather than fully relying on equity financing.

Equity financiers, shareholders, get membership rights in exchange for their share price payment. The rights take financial as well as non-financial characteristics. In general, they get the right to participate and vote in the meetings of the company, to take part in dividend distribution and distribution of surplus assets of the company on the event of dissolution, and the preferential right to subscription on the event of issuance of new shares by the company. The shareholders financial interests in the company are not fixed. It hinged on the profitability of the company. If it gains good net profit, they may get higher amount of dividend. Conversely, if the company runs into loss, they may not get any dividend. Shareholders are residual claimants. They come at the end of the line after all creditors got paid their outstanding claim. The other hallmark of equity financing is that once financiers invest in the company via purchase of shares, they can't in general oblige the company to payback. Their payment will be locked in the company and can't withdraw it.⁵³⁸ However, they are

⁵³⁸ Susan McLaughlin (n 513) 146&147.

generally free to transfer their shareholding to other persons in lieu of payment. The rights are the costs of equity financing.

13.1.2. Debt financing

Debt financing involves raising money from lenders with the instrument of contract of loan. The company may want to mobilize part of the finance necessary for running its business from them. The lenders can be financial institutions or individuals. They become creditors of the company and are not its members. Debt financing may take the form of simple loan contracts or debentures.⁵³⁹ The company may conclude contract of loan from financial institutions and borrow the money. Such loans can be secured or unsecured. If it satisfies the requirements of the law it may issue debt securities, debentures, and sell them to the public to mobilize directly the necessary finance for its business.

Debt financiers are creditors of the company. Based on the terms of contract of loan they are entitled to repayment of the principal and interest on the principal money they advanced to the company. Their claims are fixed in nature which implies they can in general claim the amount of money they lend with agreed interest irrespective of the profitability of the borrower company. However, limited exceptions to this can be found from different provisions of our company and bankruptcy laws where by the creditors may get membership in to the company in case of convertible debentures or may get nothing at all if the company incurs loss and goes to insolvency and has no assets to meet its debts. Repayment of the principal and interest are the cost of debt financing.

13.1.3. Hybrid financing

Companies with limited capital necessarily need to raise additional finance through various means that may include borrowing money from lenders and leasing

⁵³⁹ Ibid 141 &142.

equipment.⁵⁴⁰ This can be described as hybrid financing. It is an approach of raising the finance of the company through the combination of equity, debt and other sources. In deciding the equity and debt financial structure, different factors can be taken into consideration. The relative cost of the respective financial source, the rate of development of the business of the company, risk exposure of the business of the company, as well as the feasibility of managing the raising of the capital are some of these factors. The cost of equity finance is granting different bundle of rights for the shareholders that enables them to control the company and receive different financial benefits. If the members of company or founders don't want to lose their control in the company, they may prefer debt financing provided that it is available with relatively favorable terms. However, the cost of loan finance will be high if the business sector of the company is risky and if the interest rate is so high it may even adversely affect the very survival of the company. The financial structure of the company changes over time in response to the business needs of the company and the relative costs of different types of financing.⁵⁴¹

13.2. Share

As mentioned above, shareholders make contributions in exchange for shares. The contribution is described as equity finance of the company. On the bases of the amount of their shareholding in the capital they exercise different statutory rights in the company. The Commercial Code has provided significant numbers of provisions that regulate the issuance, classes and transfer of shares. It also deals with the rights and duties that arise out of shares. The ensuing discussion will address these matters beginning with revealing the nature of share.

13.2.1. Nature of share

The nature of share has been one of the contentious issues of company law. In earlier times it has been understood as the shareholder is entitled an equitable interest in the

⁵⁴⁰ Brenda Hannigan, *Company Law* (3rd ed., Oxford University Press, UK, 2012) 532.

⁵⁴¹ Susan McLaughlin (n 513) 138.

assets of the company. This understanding was influenced by partnership law in the UK since the partners were considered as part owners of the partnership property. This was not accepted without challenge. The interest of the partners where not clear since they can't prohibit the management and utilization of the assets by the partnership. This used to influence the company law and shareholders were considered as co-owners of the assets of the company.⁵⁴² However, this unclear concept of shares gave way to the understanding that describes a share as an intangible property which entitles its owner some rights in the company but not in its assets. This can be collected from the statements made by UK judge named Lord Justice Farewell in *Borland's Trustee v Steel Bros & Co Ltd* as:

*A share is the interest of a shareholder in the company measured by a sum of money, for the purpose of liability in the first place, and of interest in the second, but also consisting of a series of mutual covenants entered into by all the shareholders.... A share is not a sum of money...but is an interest measured by a sum of money and made up of various rights contained in the contract, including the right to a sum of money of a more or less amount.*⁵⁴³

From the decision it can be underlined that share represents an interest of the shareholder in the company. The interest is measured by sum of money that carries both rights and duties. The interest is not merely money but an intangible proprietary thing owned by its shareholder.⁵⁴⁴ A share is a chose-in-action which implies the existence of some person entitled to the rights, which are rights in action as distinct from rights in possession, and until the share is issued no such person exists.⁵⁴⁵

Our Commercial Code has not supplied any clear meaning about share. However, the recent Capital Market Proclamation of Ethiopia defines it as “a portion of ownership interest in a share company, or an interest or stake in any collective

⁵⁴² Davis (n 352) para 6-001

⁵⁴³ Ibid para 6-002

⁵⁴⁴ Ibid.

⁵⁴⁵ G.K. Kapoor and Sanjay Dhamija (n 353) 220.

investment scheme.”⁵⁴⁶ Accordingly, share is not just defined relative to share company but also to other pool investment schemes. In relation with share company the meaning it carries seems misleadingly associated shareholders as part owners of the company. This could be legally unacceptable since the company is separate legal person which can’t be subject to the ownership of another person, the shareholder. Shareholders are not owners of the company or its assets. Rather they have an interest expressed in terms of rights and duties. The interest constitutes proprietary as well as contractual elements measured in momentary terms. Because a share is a property it is subject to ownership as well as the subject of transactions. This can be gleaned from connected reading of different provisions of the Commercial Code.⁵⁴⁷

13.2.2. Allotment of share

The promoters or founders owe the responsibility of deciding the authorized capital of the company. They are also required to divide the capital into shares. Series of conditions revolve around the division process of capital into shares.

The first is deciding the price of the shares for allotment. The price of share shall not be less than the par value of share. The basic reason behind the prohibition of allotting shares with a price lower than par value is to maintain the capital of the company. Par value is the monetary value assigned for a share and it can’t be less than 100 Ethiopian Birr.⁵⁴⁸ However, it is possible to fix the price of shares greater than par value. In such cases, the difference between the par value and price is known as premium. The Code is not clear if the premium can be considered as part of the capital of the company and should be subject to its stringent capital maintenance provision. In the United Kingdom Company law premium is treated in most respects as capital and its use is restricted to writing off any expenses incurred or commission paid on the issue of the shares in respect of which the premium has arisen and to

⁵⁴⁶ Capital Market Proclamation, Article 2(72).

⁵⁴⁷ Commercial Code of Ethiopia, Articles 268, 271, 275, 276 and 289.

⁵⁴⁸ Ibid Articles 268 & 247(2).

paying up new shares to be allotted to members as fully paid bonus shares.⁵⁴⁹ The other vital point that can be mentioned here is that practically it seems customary that when a company is formed through public subscription of shares, the subscribers pay services charge which is calculated as a certain percentage of the share values they buy. The Code is mute about the payment of services charge in the formation of company unless one broadly categorizes it with in meaning of premium.

The shares can be offered to subscribers either through private or public placement. Either methods of offering can be used based on the manner of formation of the company. Private placement applies when a company formed as between founders. It involves the allocation of the whole shares of the company to some individuals. The offer is made to some groups of persons. On the other hand, shares can be offered to the public either with the modality of offer for sale or public subscription. In the first case the promoters or directors of the company issues and assigns the shares to intermediaries which are normally investment banks. The bank or syndicate of banks then invites the general public to subscribe for the shares. In the second instance, the promoters or directors themselves invite the general public with prospectus to purchase shares.⁵⁵⁰ The Commercial Code doesn't prescribe offer for sale unlike that of private placement and offer for public subscription which can be recalled from our discussion on the formation of share company in the previous chapter.

13.2.3. Classes of shares

According to the principle of presumptive equality of shares all shares of a company carries same rights and duties to shareholders. This is a default rule that applies for members of other business organizations as well. Accordingly, shareholders have proportionate right to take part in the dividends declared, capital returned as well as in the surplus assets on winding up to the extent of their shareholding in the capital

⁵⁴⁹ Hannigan (n 490) 458.

⁵⁵⁰ ፈቃዱ ዴብረክ (n 426) 87. See also, G.K. Kapoor and Sanjay Dhamija (n 353)228-232.

of the company. Similarly, each share entitles a like proportionate right to attend meetings and vote thereat.⁵⁵¹

However, the presumptive equality of shares can be excluded by the operation of contrary agreements among shareholders. The persons responsible for the formation or management of the company may provide provisions in the statutes of the company for the sake of advancing different interests. Enhancing the marketability of shares with a view to mobilize the necessary adequate capital can be one of the rationales to install provisions that militate against the principle. In such cases, some groups of shares may enjoy some preference like on the dividend, future issuance of shares, or/and in the surplus of assets of the company on the event of winding up.⁵⁵² Classes of shares occur when the constituting documents of the company provide groups of shareholders with varied rights.

The presumptive equality of shares is clearly incorporated under the Ethiopian Commercial Code. According to Article 278(1) of the Code shares entitle like rights and duties unless the memorandum of association clearly stipulates classes of shares with varied rights. Based on this, the memorandum of association can come up with different classes of shares. However, in relation with banking and insurance share companies, the special governing laws prohibit stipulation of classes of shares.⁵⁵³ The principle of presumptive equality suffers no exception regarding these companies. These companies can be considered as exceptions to the exception. Shares of same class have the same rights and duties. They must have also the same par value.⁵⁵⁴ The coming discussion tries to address the different possible classes of shares as implicated in the Commercial Code.

⁵⁵¹ Davis (352 1) para 6-005.

⁵⁵² ፈቃዱ ዴብረኤ (n 426) 88.

⁵⁵³ Banking Business Proclamation No. 592/2008, Article 10(1), Federal Negarit Gazeta, No. 14th, Year 57.

⁵⁵⁴ Commercial Code of Ethiopia, Article 279

i. Ordinary shares

If the shares of the company are grouped in to different classes, it is compulsory to have at least one ordinary share. Ordinary shares refer to the residuary class that carries rights to dividends and capital payments can only be asserted once the rights of preference shareholders have been satisfied.⁵⁵⁵ Ordinary shares entitle their owners all the rights that arise out of shares based on Article 291 of the Commercial Code which includes: participation in annual dividend, surplus asset on the event of dissolution, participation and voting in company meetings, subscription in the event of future share issuance, as well as the right to get information concerning the company. If the preferential shareholders are given priority right in the profit, surplus or subscription of future issues, the ordinary shareholders exercise their respective rights on the remaining parts, if any. If some shares have preferences in the dividend of the company based on the memorandum of association and if all the profit is used to pay them, ordinary shareholders end up with no payment. In this sense ordinary shareholders bear the lion's share of the business risk, since they may take the bulk of the company's profits in good years, but receive nothing in bad ones.⁵⁵⁶

ii. Preferential shares

Shares having priority over the ordinary shares concerning right of subscription in the event of future issues, over net profits, repayment of contributions or surplus of assets in the event of winding up constitute preference shares.⁵⁵⁷ Concerning right of subscription, there appears to be contradiction between Articles 279(1) and Article 453 of the Code. The later makes invalid any document conferring a special preferred right of subscription in contradiction with the clear terms of Article 279(1). However, reading between the lines, we can reconcile the apparent contradictions.

⁵⁵⁵ Davis (n 352) para 6-009.

⁵⁵⁶ Ibid.

⁵⁵⁷ Commercial Code of Ethiopia, Article 279(1).

Preference shares vesting preferential right of subscription are allowed as per Article 279. Thus, what is prohibited by Article 453 is issuance of preference shares in later stages such as where there is issuance of shares to increase capital. At such later issuances, no preference shares giving rise to preferred right of subscription in future issuances of share is allowed.

Preferential shares are a creation of the memorandum of association and their exact nature should be clearly determined by it. The type and the amount of preference conferred for certain category of shares must be clearly stipulated. The memorandum may create many classes of preferences shares in the interest of successful raising of capital for the company, avoiding dilution of control on the company or other reasons. Having this in mind, let's discuss different types of preferences shares found in company law literatures.

a. Non-participating v. Participating preferential classes of shares

Non-Participating preference shares entitle only the specified preference as determined in the memorandum of association. The shareholders don't have the right to take part in the residuary after taking their preferred rights. They are entitled to a fixed rate of dividend, new issues of shares or surplus. If the shares are non-participating preference dividend shares, the fixed rate of dividend is paid before any dividend payments are made to the company's ordinary shareholders.⁵⁵⁸ For example, Company X issues 1000 shares with a par value of 1000 Ethiopian birr. Accordingly, the capital of the company becomes 1000,000 Ethiopian Birr. The memorandum of association entitled ten shareholders, who each purchased 50 shares and owned 500 total shares which constitute half of the capital of the Company, preferential right to take only 50% of their shareholding in the capital from declared dividend. If the Company declares 2,000,000 Ethiopian Birr dividend, they can only get and divided 50% of their shareholding in the capital from this dividend. The

⁵⁵⁸ Stephen Griffith (n 521) 142.

amount becomes 250,000 ($50/100 \times 500,000$) Ethiopian Birr. Since the memorandum entitled them only this payment, they can't participate on the remaining 1,750,000-birr dividend. This will be divided to the ordinary shareholders. If the Company's total declared dividend is less than 250,000 birrs, the whole distribution would be distributed only for the ten non-participating preferential shareholders. However, if the company has the likelihood of making a good deal of profit like in the above example in the case of Company X, non-participating shares will not be attractive investments. This leads the development of participating preferential shares.

Participating preference shares came to birth in the bid to guarantee risk averse shareholders by entitling them to a fixed rate of priority right over say dividend as well as attract them by allowing the right to participation in the residuary dividend like that of ordinary shareholders.⁵⁵⁹ In the above example, if the ten shareholders entitled priority up to 50% of their shareholding as well as to participate on the remaining dividend with the ordinary shareholders, they are taken as participating preference dividend shareholders. Accordingly, they take and divide first 250,000 Ethiopian Birr as part of their preferential right and participate from the remaining 1,750,000 based on the shareholding with the ordinary shareholders. If the declared dividend of Company X is only 250,000 Birr, the whole profit will only be taken by the ten preferential shareholders. In this case the ordinary shareholders will be in a disadvantaged position.

b. Cumulative v. non-cumulative preferential shares

Cumulative preferential shares enable their holders the right to carry forward the uncollected preferential claims in the dividend in times of unprofitable years into the profitable years of the company. In case the company is unable to pay a fixed payment in any one year, it must make up the difference at some future date, namely when it is able to declare a dividend.⁵⁶⁰ In the Above-mentioned example, if

⁵⁵⁹ Ibid. See also, ፈቃዱ ዴግረክ (n 426) 89.

⁵⁶⁰ Griffith (n 521) 142.

Company X declares a dividend of 100,000 Ethiopian Birr, the ten shareholders will have 150,000 uncollected payments. If their shares are cumulative preferential shares, they can collect this payment from the subsequent years declared dividend of the company in addition to claiming their preferential fixed rate payment of the concerning year.

Conversely, non-cumulative classes of preferential shares don't entitle the right to collect unpaid arrears of priority payments from subsequent declared dividends. Whether a preferential share over dividend is cumulative or non-cumulative is expected to be addressed by the memorandum of association. A question may arise if the memorandum of association is mute on the matter. The commercial Code relevant provision of preference shares, Article 279, doesn't provide any default rule concerning this. However, in the UK common law rules corporate law if the statutes of the company are silent, the preference shares are presumed to be cumulative.⁵⁶¹

c. Convertible v. non-convertible preferential shares

The memorandum association may provide preferential dividend shares to be changed into ordinary shares on the event of the profitability of the latter.⁵⁶² As can be recalled from above, if the profitability of the company is high, preferential dividend shares would not be an attractive investment. In such situation the memorandum may give the option of changing their shares into ordinary shares as a mechanism of appeasement for allotment of shares. Hence, convertible preference shares constitute classes of shares that can be converted into ordinary shares with option respective shareholders. On the other hand, if conversion is not specified in the memorandum of association, the preference shares are non-convertible.

d. Voting v. non-voting preferences shares

One of the reasons of granting preferential rights is to avoid losing control over the

⁵⁶¹ Ibid.

⁵⁶² ፈቃዱ አጥሮስ (n 426) 90.

company. Usually, if a shareholder has a preferential right over the profit of the company, he will not have voting right in its affairs. The priority right is cab be taken as an exchange for losing control over the company. The Commercial Code prohibits the number of non-voting shares not to exceed half of the capital of the company. This may be considered that it doesn't support the creation of divorce between ownership and control in a share company on the guise of preference. The Code also prohibits the creation of preference class of shares over voting right.⁵⁶³ Non-voting preferences shares are preference shares that carry no voting right at ordinary general meetings. On the contrary, voting preferences shares are preferences shares that have same voting right as ordinary shares.

iii. Dividend Shares

Dividend shares are a class of shares the company agreed to purchase back within definite period of time. The redemption can be carried out with the option of the company or the shareholder. The issuance and allotment of the shares need to properly consider two opposing interests. The first is the interest of the company or its founders to mobilize capital in exchange of redeeming the shares from the shareholders. This could also advance the interest of the shareholders since it enhances the marketability of their shares. On the opposite side, we find the interest of creditors of the company who are keen for the maintenance of capital. Company laws allow redemption and shares repurchase by the issuing company by balancing these divergent interests. The equilibrium is achieved by allowing redemption with conditions.⁵⁶⁴

The single condition provided in Article 280(1) of the Commercial Code is that the redemption price should be paid from net profit or reserve funds. It is prohibited to repay the price from the capital of the company.⁵⁶⁵ If the company want to induce

⁵⁶³ Commercial Code of Ethiopia, Article 280(2).

⁵⁶⁴ Hannigan (n 540) 488-491.

⁵⁶⁵ Commercial Code of Ethiopia, Article 280(1).

the investing community to purchase its shares with promising repurchase of the shares, it must plan to make the repurchase price from net profit or reserve funds but not from its capital. Unlike that of the company law of UK, the Commercial Code does not clearly restrict the redemption to fully paid-up shares. However, it can be argued that the prohibition of redemption price from capital can indirectly prohibit the redemption of partially paid-up shares since to do so results in reduction of capital. Similarly, it is not evidently addressed if the redemption should be clearly specified in the memorandum of association.⁵⁶⁶

Once the redemption occurs, the company purchases back the shares, the shareholder will be given dividend shares as a substitute and evidence of the transaction. Based on the terms of the Code the effect of getting dividend shares in exchange for redeemable shares is prohibition of the shareholder from getting repayment of contributions upon dissolution of the company. This is justifiable since he got back his contribution with the redemption of the shares. The Code does mention the entitlements that arise out of dividend shares. These are the right to vote and take part in the net proceeds on a winding-up.⁵⁶⁷ These are the rights that continue and discontinue with dividend shares. But these are not the only lists of rights arising out of shares. Whether redemption affects other rights, like the right to take part in the net profit, is not clearly addressed by the Code.

13.2.4. Forms of share

Form refers the manner of issuance of shares. Based on the 1960 Commercial Code shares can be issued either registered in the name of the shareholder or as bearer shares based on the option of the shareholder. However, the revised Commercial Code came up with a unitary form of shares. It requires all shares to be registered in the name of the shareholder in the register of shareholders. It prohibits the issuance of bearer shares. The Code also provides a restrictive period of three years from its

⁵⁶⁶ Hannigan (n 540) 490.

⁵⁶⁷ Commercial Code of Ethiopia, Article 280(2).

effective date for conversion of bearer shares issued on the bases of the 1960 Commercial Code into registered shares. If the shareholder fails to convert his bearer shares within this period, he loses his membership rights in the company. The expenses associated with conversion should be borne by the shareholder.⁵⁶⁸

One may ask the reasons behind this policy change from dual to unitary forms of shares. As its name indicates bearer shares belongs to the holder of the warrant or certificate. The name of the shareholder doesn't appear in the register of shares. What is written on the register of shares is statement of the fact and date of issuance of the certificate and the number of shares to which it relates.⁵⁶⁹ This obscures the identity of the owners. On the ground of its adverse implication on the principle of enhanced corporate disclosure, bearer shares have been prohibited in UK since 2015.⁵⁷⁰ The same concern for enhanced disclosure of ownership of shares might have motivated the policy shift to single form of register shares in Ethiopia as well.

13.2.5. Share Registration

It is mandatory for every share company to organize and keep register of shares either in paper or electronic formats at its head office. The register needs to contain an information about the names and address of shareholders, number and numeration of their shares, amount of share price paid, the date of entry of the shareholder in the register. The register is open to the shareholders and concerned government officials without payment of fee while any other person can inspect the same with payment of fee.⁵⁷¹ The Commercial Code doesn't provide specified time for the entry of the particulars in the share register. If we see the case of UK, it is mandatory to carry out the entry as soon as practicable and not more than two months from the date of allotment (purchase). This is premised on the need to ensure the rights of the subscribers of shares immediate membership into the company. On the bases of UK

⁵⁶⁸ Ibid Article 267.

⁵⁶⁹ Davis (n 352) para 24-020.

⁵⁷⁰ Ibid.

⁵⁷¹ Commercial Code of Ethiopia, Article 274(1), (4) & (3).

company Act, for a person to be member of a company he must purchase a share as well as registered in the register of shares. Allotment merely is inadequate to guaranty membership and rights of membership in the company.⁵⁷² Though the rules of the Commercial Code governing register of shares under Article 274 don't mention entry in the sharer register as condition for membership, the nature of information that need to be filled in the register seems imply it as a condition. However, the Federal Supreme Court Cassation Bench in relation with transfer of shares with contract of sale has made it clear that the purchaser can't be a member of the Lion International Bank Share Company simply because he concludes the contract and the bank authenticated the transfer. The court make it clear that the transferee become a shareholder if and only if the transfer is registered in register of shares and approved by the ordinary general meeting of shareholders.⁵⁷³ Hence, registration of shares and shareholders in the share register is a precondition for membership in a share company.

13.2.6. Issuance of share

As mentioned above a share is an intangible in nature that carries with it bundle of rights and some duties for or against the shareholder. However, it is not impossible to incorporate the rights into tangible materials so that it could be easy not just to proof once shareholding but also to easily undertake transactions over it. In this part, an attempt is going to be made to discuss the rules of the commercial code governing issuance of the share evidences as well as the transfer of the shares issued in the respective manner.

i. Time of issuance

The Commercial Code prohibits the issuance of share certificates before the registration of the company in the commercial register. If share certificates issued

⁵⁷² Davis (n 352) para 24-019.

⁵⁷³ Mewale Tiku Mersha v. Lion International Bank Share Company, Federal Supreme Court Cassation Bench of Ethiopia, C/F/No. 139385, Vol. 22, P. 269.

before registration, they become null and void. However, the people who take part in the issuance of shares will be liable for any claim that arises out of the void shares.⁵⁷⁴ The basic reason behind this proscription is to maintain the capital of the company from fraud. For shares to be issued in any manner specified under the commercial code, the subscriber or transferee as the case may be must be a member of the company. For membership to happen, apart from the agreement to purchase the share, there must be registration in share register and approval by the relevant meeting of shareholders. These activities come after the formation of the company and once the directors and auditors undertake an assessment on the allotment process and transaction of shares. This is to ensure the safety of capital of the company.

Though the Code prohibits issuance of shares *ex ante* of formation of the company, it doesn't provide any duration for the mandatory issuance of shares following formation. If the shareholder needs the certificate either in paper or electronic format for the transfer of his shares, the silence of the code regarding the date of issuance would create a challenge for the enjoyment of the rights. This is the reason that the UK Company Act compels companies to issue shares within two months from purchase of the shares.⁵⁷⁵

ii. Manner of issuance and conveyance

Based on Article 272(1) of the Commercial Code, shares can be issued either in paper form or incorporeal form based on the terms of the memorandum of association. The particulars regarding the shareholders, price, nature, and other things provided by law concerning shares should be incorporated on the issued shares.

An incorporeal share is electronically created by an institution authorized by law to create and keep the shares in the form of electronic share account.⁵⁷⁶ The Code

⁵⁷⁴ Commercial Code of Ethiopia, Article 269.

⁵⁷⁵ Davis (n 352) para 24-019.

⁵⁷⁶ Commercial Code of Ethiopia, Article 272(1)

allows companies who issued paper shares before the creation of electronic share account into electronic shares. However, in case the shares are pledged, it is mandatory for the pledges to agree for the conversion.⁵⁷⁷ The conveyance of electronic share is carried out through indicating the name of the transferee in the electronic share account and crediting the amount of purchased shares in accordance with the rules of the institution that created and managed the share in accordance with the contract of assignment and the relevant law. The institution is responsible for any damage which arises from undertake the transfer without an agreement between the transferor and transferee or by violating the requirement of the law regarding authentication and registration.⁵⁷⁸ Electronic issuance of shares is a new addition by the revised Commercial Code. Compared with paper share, an electronically stored share is simple to create record as well as manage ownership over shares.

A share issued in paper is created and managed by the respective company. The certificate must indicate signature of a member of board; name, head office and duration of the company; amount of capital of the company and par value of shares; date of signature of memorandum of association and date and place of registration of the company; serial number and specific class of share; statement on the payment of share price; and statement whether the share can be transferred to foreigner. The name of the shareholder is not required by the provision, Article 273 of the Code, to be indicated on the share certificate. It has to be noted that while the law provides the particulars of paper certificate shares it failed to do so for electronic shares.

According to Article 283 of the Code, an instrument share is share issued in paper certificates and that is not possible to transfer the rights from shares separately from the document. If the share is issued in bearer form on the bases of the 1960 Commercial Code, the person who possessed the bearer share certificate is presumed

⁵⁷⁷ Ibid Article 272(3)

⁵⁷⁸ Ibid.

as shareholder or owner of the shares. He can transfer the shares with simple delivery.⁵⁷⁹ On the other hand, registered share certificates presumed to be owned by the person in whose name the shares are registered in share register. They can only be transferred by the delivery of the certificate and registration of the transferee and particulars of the transaction on the share register.⁵⁸⁰ If the certificate transferred in accordance with the law, it can't be claimed from the person who comes to possess it in good faith. The company can't invoke against the possessor defenses based on personal relations with the transferor.⁵⁸¹ The Commercial Code doesn't provide an indication of personal defenses but one can refer the relevant provisions of law of contracts in general under the Civil Code.

13.2.7. Rights and Duties arising out of share

A share is a juridical act that results in rights and duties for its owner. The Commercial Code has clearly mentioned the rights and duties. These will be addressed as follows.

i. Rights

Shares carry certain inherent rights. However, it must be remembered that the memorandum of association could come up with classes of shares that would contradict this unless prohibited by law. Each of the key rights of shares is discussed below:

a. Participation in net profits and surplus

The right to participate in the net profit in the event of declared dividend by the board of directors and in the surplus assets in the event of winding up constitutes parts of the economic rights of shareholders in proportion with their shares. This is enshrined under Article 291(1) of the Commercial Code. It is contended that these rights don't

⁵⁷⁹ Ibid Article 284

⁵⁸⁰ Ibid Article 285.

⁵⁸¹ Ibid Articles 286 and 287.

constitute as fundamental rights of shareholders since they materialize subject to series of conditions.⁵⁸² Indeed, for the right to participate in the dividend to be effective there shall be net profit after the deduction of general costs and other charges. These are not the only conditions since it is a prerequisite for the net profit for distribution to be approved by ordinary meeting of shareholders.⁵⁸³ Similarly, participation in the net proceed on the event of winding up is a right that occurs rarely, following dissolution of the company and if there is any residual asset after the payment of creditors and return of contributions.⁵⁸⁴

b. Transfer

One of the basic natures of share company is the free transferability of its shares. A share constitutes personal property of a shareholder that can be the subject of different types of transactions. It can be pledged, donated, soled or subject to usufruct.⁵⁸⁵ Selling shares is taken as one of the fundamental economic rights of shareholders to make some gain at his will. Increment of profitability and growth of the company causes the rise of the prices of shares that in a way enable the shareholder to garner increased sell profit.⁵⁸⁶

The memorandum of association or resolution of extraordinary general meeting of shareholders may impose restrictions on the free transferability of shares. One instance of such restrictions can be subjecting the share transfer to the consent of the board of directors.⁵⁸⁷ However, the restriction of board approval can't be exercised freely. The board can constrain the transfer of shares on the bases of the following limits. The transfer can be restricted by it if the pre-emption right is reserved in the memorandum of association, resolution or the law to company or shareholders. In

⁵⁸² Julian Velasco, 'The Fundamental Rights of the Shareholder' (University of California, Davis , Vol. 40, 2006) 414.

⁵⁸³ Commercial Code of Ethiopia, Articles 432 & 438.

⁵⁸⁴ Ibid Article 486.

⁵⁸⁵ Ibid Articles 271, 275, 276, 292-294.

⁵⁸⁶ Velasco (n 582) 415.

⁵⁸⁷ Commercial Code of Ethiopia, Article 276(1) & (2)/

this case the price and conditions of exercising pre-emption must be specified. In case the pre-emption given to the company to buy back its shares, the purchase price must be paid from the net profit or reserve funds. In any way, the law has made it clear that board of directors cannot cause serious damage to shareholder wanting to transfer his share nor prevent assignment of the share in the name of exercising pre-emption rights.⁵⁸⁸

In relation with the right to sell a share, the revised Commercial Code came up with mandatory sell out right to minority shareholders and squeeze out right to majority shareholder. These were not dealt by the 1960 Commercial Code. Article 292 entitles minority shareholders the right to sell out their shares when 90 percent or more of the shares are controlled by one shareholder. They can exit from the company by making a request to sell for the majority shareholder. If they cannot agree on the price of sell out, the court appoints an expert to determine it. Sell out right is a protection mechanism to minority shareholders against the abuse of the majority shareholder.⁵⁸⁹ On the other hand, Article 294 of the Code entitled a shareholder who holds 90 percent or more of the shares of the company to mandatorily squeeze out the minority shareholders. The provision provided that the majority shareholder who want to purchase the shares of the minority shareholders in the bid for takeover of the company, should notify them in accordance with the manner of calling general meetings, and specify the price in the request. If no agreement is reach on the requested price for squeeze out, the competent court appoints an expert upon application by the shareholder who demand the request. If the number of shareholders reduced below five due to purchase of the shares following squeeze out request, the shareholder is bound to invite other persons into membership of the company or convert the company into other business

⁵⁸⁸ Ibid Article 276(2)-(4)

⁵⁸⁹ Marco Carone, 'The Exit Right Granted to Minority Shareholders in English, Italian and Chinese Law: Path-Dependence Resistance to Global-Convergence' (Corporate Ownership & Control, Vol. 4, Issue 4, 2007) 327.

organizations.

One may ask about the wisdom of limiting mandatory sell out and squeeze out only to minority-majority relation whereby a single shareholder owns ninety percent or more of the shares of the company. In order to justify the restriction, one must assess rules of the Commercial Code regarding the protection of minority shareholders collectively owning more than ten percent of the shares of the company as well as the privilege of the counterpart majority shareholder.

c. Preferred subscription

Shareholders have the right of pre-emption on the event of issuance of new shares by the operation of the law⁵⁹⁰ or on the transfer of existing shares by the operation of the memorandum of association or extraordinary meeting of shareholders resolution.⁵⁹¹ It is a right of first refusal founded on the underlying principle of enabling a shareholder to protect his or her proportion of the total capital by having the opportunity to subscribe, in proportion to the existing holding, for any new issue of shares.⁵⁹²

Shareholders have the right to preferred subscription on the event of issuance of new shares. The outsiders will be invited if some shares remain from the shareholders. The principle of this pre-emptive right can be limited in the case of conversion of debentures in to shares on the basis on the resolution that set renunciation of the right upon issuance of convertible debentures. The pre-emptive right also suffers an exception if the board justifies the same to the extraordinary meeting of shareholders and the latter accepts the avoidance of the right.⁵⁹³ Exercise of pre-emptive right time taking and if the board believes that this adversely affects the purpose of increasing capital, the meeting may disregard the preferred right to subscription.

⁵⁹⁰ Commercial Code of Ethiopia, Articles 448-450.

⁵⁹¹ Ibid Article 276(2).

⁵⁹² Davis (n 352) para 24-006.

⁵⁹³ Commercial Code of Ethiopia, Articles 451& 452.

d. Information

Access to information is critical for the enjoyment of the ownership and control rights arising out of shares. Compared with its forerunner, the Commercial Code prescribed many provisions with a view to ensure corporate transparency and information not just for the shareholders but also for the government and other stakeholders. Shareholders have unfettered right to inspect the balance sheet, profit and loss account, inventories of assets, reports of directors and auditors of the past three preceding years, minutes, attendance sheets, resolutions to be submitted to meeting, register of affiliated persons with the company, register of shares, and name highest paid employee and amount of payment in the year. If the directors deny access to these documents, shareholders can apply to the Ministry of Trade and Regional Integration or other concerned organs of government for the enforcement of their right. Shareholders, joint shareholders, pledgees as well as usufructuaries are conferred with the power to inspect these documents.⁵⁹⁴

If shareholders need additional information other than listed above, they can request explaining the information is helpful to that a position regarding on the agenda submitted for the general meeting. The board is obliged to allow access to the additional information unless it has a reason to believe that the disclosure causes significant damage to the interest of the company. The shareholders have the right to challenge the refusal before the competent court of law. One should be very careful that the preconditions of necessity of the information to take a position over an agenda and non-secrete information could be applied only with respect to additional information request made by a shareholder on the bases of Article 382 but not on concerning the right to inspect documents listed in Article 281 of the Code.

Lastly, every company is required to have its own website. It is mandatory to disclose the memorandum of association and its amendments, approved audit report,

⁵⁹⁴ Ibid Article 381.

notices regarding general meetings, transactions involving conflict of interest, and any other necessary information for shareholders, creditors and stakeholders unless disclosure perils the interest of the company.⁵⁹⁵ The website must be freely accessible and the information shall remain as specified under Article 494.

e. Control

It is an important right that enables shareholders to exercise some governance power over their company. The right includes participating and voting on different affairs of the company. Shareholders have the right to elect and dismiss directors and auditors as well approve the financial and non-financial reports of the company. It is forwarded that the practicality of the right to control depends on the nature of ownership structure of the company. In a company with dispersed ownership of shares, an individual shareholder lacks the motivation to exercise his voting right in an organized way with his fellow shareholders.⁵⁹⁶ This makes the management powerful.

In principle every share carries one vote. This differentiates share company from other business organizations whereby voting is not calculated based on once holding in the capital but solely or in combination with the individual bases.⁵⁹⁷ The principle is not absolute. First, as we have seen above voting rights may be restricted in relation with certain preference shares.⁵⁹⁸ Second in case a share is pledged or given in usufruct, it is the pledgee or usufructuary who can exercise the voting right unless there is otherwise agreement.⁵⁹⁹ Third the memorandum of association may limit highest numbers of votes per shareholder; nonetheless, this shall apply on equally on all shareholders.⁶⁰⁰ The last scenario that renders restriction of voting rights

⁵⁹⁵ Ibid Article 494.

⁵⁹⁶ Velasco (n 582) 417.

⁵⁹⁷ Commercial Code of Ethiopia, Article 383.

⁵⁹⁸ Ibid Article 279(3) & (4).

⁵⁹⁹ Ibid Article 271(1).

⁶⁰⁰ Ibid Article 384.

concerns conflict of interest. If matter for which voting is sought concerns a shareholder, she cannot exercise here voting right. In particular, shareholder directors are prohibited from voting on matters concerning their duties, liabilities or benefits.⁶⁰¹ However, it must be noted that any other restriction of voting rights over shares that emanate from any agreement are null and void.⁶⁰²

f. Litigation

Shares entitle the shareholders the right to seek judicial enforcement of their rights and the rights of the company. If they sustain personal damage, they can bring direct action against the company or and its directors. They have also the right to seek enforcement of, and redress for breach of, management's fiduciary duties and other damage inflicted on the interest of the company with the instrument of derivative actions.⁶⁰³ A detail discussion on the litigation rights of shareholders will be provided in subsequent parts.

ii. Duties

Shareholders bear some duties that emanate from their shares. The duties are dependent on certain conditions prescribed by the law. This part of the discussion addresses some of the silent duties of shareholders.

a. Payment of unpaid share price

According to Article 289(1) of the Commercial Code shareholders, previous transferors and subscribers are jointly and severally liable to the company for the payment of the unpaid share price, if any, on the due date. Unpaid cash shares should be within five years from the registration of the company unless the memorandum of association stipulates a shorter period while non-cash contributions must be paid before the registration of the company in the commercial register. Transferors ceased

⁶⁰¹ Ibid Article 385

⁶⁰² Ibid Article 286.

⁶⁰³ Ibid Articles 328-330.

to be liable two years from the date of transfer of the shares. The shares can sale through auction or forfeited if the unpaid price is not paid with in fifteen days from the receipt of written notice demanding payment.⁶⁰⁴ The capital should be reduced with the amount of unpaid forfeited shares. Failure to effect payment on the due date results in loss of voting right.⁶⁰⁵

b. Avoid abusive activities by decisive shareholders

According to Article 295 of the Commercial Code this obligation pertains to decisive shareholders. The Code is mute on defining decisive shareholders. However, a shareholder can be considered decisive if the amount of his shareholding in the capital of the company enables him to approve or reject a resolution over a certain agenda. This basically depends on the types of the meeting of shareholders since the vote needed to pass a resolution differs based on the meeting. Here if the shareholder owns more than 3/4 of the capital of voting share, she can be a controlling shareholder on important corporate issues save for some like change of corporate nationality and its business purpose. What it means is that she can be the make and breaker of the management of the company. The law proscribes abusing her decisive shareholding status. Whether Article 295 of the Commercial Code prohibits decisive status germinated from group of some shareholders is not clear. Be this as it may, decisive shareholders bound to avoid intentional committing unlawful acts which jeopardizes the company, its shareholder or creditors; blurring his asset or identity with the identity or asset of the company; intentionally releasing misleading information regarding he financial status of the company, use or benefit third parties the assets of the company without making arm's length payment or disclosure to concerned organs of management; and cause payment beyond permitted by law. Whether these abusive activities are indicative or exhaustive is not clearly determined by the commercial code. Decisive shareholders who committed these

⁶⁰⁴ Ibid Article 289.

⁶⁰⁵ Ibid Article 282 and 282.

acts are jointly and severally liable with the company.

c. Other duties

Apart from the above obligations, shares follow other duties for different shareholders. As we discussed above in the case of mandatory sale out request, a majority shareholder who owns ninety percent or more of the capital of the company is bound to purchase the shares of the minority shareholders. Conversely, the minority shareholders are obliged to sell their share if the majority shareholder makes a request for squeeze out. As mentioned above, remaining shareholders are bound to report for the relevant organ of government if the number of shareholders reduced below the legal minimum, five.

13.2.8. Altering of share capital

The amount of capital authorized in the memorandum of association is not necessarily static. It can be changed as a result of change in business circumstance of a company. The altering of capital is subject to strict regulation by the Commercial Code. Increasing capital may affect the earnings of shareholders from the company in the form divided. It may also make their obligation to the company cumbersome. It may also be proposed by directors or influential shareholders with the object of diluting the voting rights of the other shareholders. Conversely, reduction of capital may be ordered to protect the interest of potential creditors of the company since if it is lost as result of loss or manipulation it may send wrong signal for them. Reduction may also adversely affect existing creditors because if the company can merely reduce its capital, it jeopardies their interest since it is their security against non-performance of their claims by the company. Cognizant of these justifications the commercial code provided provisions governing the ground and procedures of increasing or decreasing of the capital of companies from Articles 442 to 472.

According to Article 442 of the Code it is only with extraordinary general meeting

resolution that capital can be increased. The methods of increasing can be either increasing the par value of shares or issuance of new shares and this must be also decided in the resolution. In the case of capital increase by issuance of new shares the contribution can be paid in kind, by paying off current debts owed by the company, by capitalization of reserve funds or by conversion of debentures in to shares. The power to increase capital may be delegated to board of directors by resolution of extraordinary general meeting of shareholders but it cannot be made in advance in the memorandum of association as per Article 433. The resolution to increase capital becomes void if not enforced within five years. If a company whose capital not fully paid increases capital through issuance of new shares, the issued shares become void. A company can place for sale issued shares for capital increase by following placement of shares for subscription. Increase of capital through issuance new shares shall in principle respect the right of shareholders to preferred subscription. For a full understanding of the grounds, restrictions and procedures governing capital increase it is advisable to read Articles 442 to 461 of the Commercial Code.

As mentioned above the capital of the company may also be amended owing to reduction. The reduction of capital is governed by the Commercial Code in Articles 462 to 472. Reduction of capital can only be made in accordance with extraordinary general meeting resolution. The reduction can be made as a result of loss sustained by the company that affected it or for other reasons. The directors are required to send the decision to reduce capital to external auditors prior to fifteen days from the date of the meeting. A resolution on reduction of capital must be entered in the commercial register and published in newspaper having nationwide circulation. This is important to protect the interest of creditors and shareholders of the company. The reduction can be made through reducing the par value of shares or exchanging of existing shares with lesser number of new shares. The protection of creditors and shareholders can be read from these governing provisions.

13.3. Debentures

As mentioned above conducting business normally is carried out by mobilizing the working finance with the contribution of the trader or its members in the case of organizations and borrowing loan from lenders. Debt financing usually emanate from banks. However, this source of loan could be burdensome given its cost, interest as well as it may not be sufficient for a business person that wants to undertake large scale trade. It must be noted that banks lend business the money they collect from depositors and they need sufficient collateral for the enforcement of the loan in the interest of protecting depositors. Hence, collecting loan from the public directly with issuing debentures can be one option of mobilizing working finance of business.

Indeed, in a country where there exists an acute need for working capital and in the existence of inadequate numbers of banks to satisfy the same, raising finance with issuance and allotment of debentures can be vital alternative. But it is submitted that the under-developed financial market of the country has not yet practiced the issuance of debentures unlike that of shares. In this regard, it is mentioned that there was an attempt to issue debentures by a certain company in Mekelle, However, it did not materialize due to the confusion owning to identifying the organ of government that authorizes and procedure of issuance.⁶⁰⁶ This part of the discussion will try to provide an overview on the meaning and nature, issuance and redemption of debenture. The coordination of debenture holders for governance of their interest against the issuing share company, whether debenture holders secured creditors or not and the role of government in the process of governance of debenture are going to be addressed as well.

13.3.1. Meaning and Nature

According to Article 407 of the Commercial Code "[a] denture is a negotiable debt

⁶⁰⁶Anebo, Lantera, 'Debenture as Alternate Scheme of Raising Investment Fund and Its Prospects under Ethiopian Company Law', (Mizan Law Review, Vol. 13, No. 3, 2019) 339.

instrument whereby the issuing company undertakes to pay the debenture holder a fixed interest for a specified period of time and to repay him the principal loan upon the maturity date." From the legal definition the following important points can be noted. *First*, the Code defined it as a negotiable debt instrument. By negotiability it refers the transferability of the document by the holder like that of any of his personal property. If a certain debt evidencing document is a debenture so that counted as incorporating rights in rem cannot be illuminated from this document-based definition of the Commercial Code. How different is then this document with other debt evidencing documents like bond. In the case of Ethiopia, bond represents government issued transferable debt document such as the Great Ethiopian Renaissance Dam bond but debenture is issued by share company. The definition seems to have confused debenture and debenture certificate since it focused on the document than the intangible interest it carries, but the difference between debenture and debenture certificate is as good as a share differs from share certificate.⁶⁰⁷ *Second*, it entitles its holder a certain economic benefit against the issuing company. The benefits are periodic payments of interest and repayment of principal loan at the maturity date. This means that the holder is creditor of the company. If supported by the governing rules of the Commercial Code following the defining provision, this makes the Ethiopian Company law different from the laws of some countries, like UK whereby debenture can be irredeemable, can be issued for indefinite duration of time.⁶⁰⁸ The benefits are not merely limited to these; the debenture holder can undertake different transactions including sale, pledgee and usufruct it as any personal property. Indeed, this is the hall make that differentiates debenture holders from other lenders of the issuing company.

A debenture is an intangible and indivisible property evidenced by debenture certificate. It can be sold or pledged by its owner. It can be converted into share based on the terms and conditions of its terms of issuance. A debenture can only be

⁶⁰⁷ Ibid 346.

⁶⁰⁸ Davis (352 1) para 31-024.

issued by share company. Other business organizations are prohibited from issuing debenture.⁶⁰⁹ This implies that it has an important feature of assisting collecting money from the general public.

13.3.2. Issuance and allotment

As mentioned above it is only a share company which is allowed by the Code to raise finance by issuing and allotting transferable securities, share and debenture. However, all share companies are not authorized to issue debenture while they are compelled to issue and allot shares. Article 408 provides twin preconditions for the issuance of debenture.

First, the capital of the company should be fully paid. This implies that the company is expected to exhaust collection of its share purchase receivables from the members before mobilizing money from non-members. This sounds good given the doctrine of limited liability of shareholders, capital is an important security for the creditors of the company. Debenture holders being creditors of the company want to see their debt is supported by properly and full paid capital. This could be sometimes misleading to the public investing in debentures because the capital of the company will not be locked in. Though the capital of the company is fully paid it might have been fully invested and sometimes part of it might have been depleted as a result of loss. Merely because capital is fully paid doesn't mean that the debenture holders get absolute protection for the repayment of periodic interest and the principal loan.

Second, the company must be in business for at least one year and has a balance sheet approved by the general meeting of shareholders. This requirement is very important so as to give some material information to persons who want to invest in debentures in relation with the financial status of the company. By having a look at the approved balance sheet, they can evaluate the creditworthiness of the company. If they feel the company would not be financially stable in the coming years, they

⁶⁰⁹ Commercial Code of Ethiopia, Articles 180 & 407ff.

can avoid subscription to debentures or they may seek an enhanced protection against the borrowing company.

The amount of total debenture value and the par value of each debenture are the other points that need some discussion. In principle the maximum amount of issue of debentures must not exceed the amount of capital of the company. However, a company can issue debentures beyond its capital if it attaches collaterals mentioned under Article 409 of the Commercial Code. The company can issue debentures in excess of its capital, first, if its immovable property is mortgaged and if the excess in the issued debentures don't exceed two third of the mortgage. If the company has no immovable property or if the property is inadequate, it can issue debentures in excess of the capital of the company through producing registered securities (mortgage), government securities (treasury bills and bond already bought by the company) or government or public annuities as a guaranty. The due date of the securities should not be before the due date of the debentures and they should be deposited in a bank or part of annuities shall be blocked in a bank until the repayment of the debenture holders. However, real estate loan and agricultural mortgaged companies are not obliged by the maximum limit issue of debentures. They are exceptions to the principle and it is claimed that the justification is to enable companies that finance vital projects to freely raise fund beyond the confines of restrictive rules.⁶¹⁰

Debentures of the same issue with equal par value confer equal rights to their holders. Debentures may be issued and sold less than their par value. The form, transfer and defences regarding shares apply to debentures and it is apt to make references to the discussions made about shares above. However, Article 414 of the revised Commercial Code made the cross reference only to selected aspects of shares. These are regarding indivisibility, form, transfer and defence. No cross reference made regarding the placement of debentures for subscription. Based on

⁶¹⁰ Commercial Code of Ethiopia, Article 409((2) & (3)) & Anebo Lantera (n 606) 353.

Article 434 of the 1960 Commercial Code, in case the company plans to invite the public for subscription of debentures it was required to issue prospectus and follow other conditions regarding public subscription of shares. Whether the revised Code omitted this intentionally or not can be arguable.

The question that needs some assessment here is whether debentures are secured credits or not. As it can be noted from contract law creditors can be secured or unsecured. The repayment of the principal, interest and cost of secured creditors is ensured with contract of mortgage or pledge against a specified property. These are termed as fixed charges (securities) for the performance of contract of loan. If the borrower defaults the mortgagee or pledgee can apply for attachment and sale of the property to satisfy his claim. He has a priority of getting payment from proceed of sale unless there are competing mortgagees whose charge against the property registered first.⁶¹¹ In other jurisdictions there is also concept and practice of floating charges. For example, in UK, debentures can be secured by either fixed charges, or floating charges. Floating charge is collateral guaranty where by the claims of the debenture holders are secured by all the assets of the company. It hovers over all the present and future assets of the company without affecting the use or transactions involving a property encumbered with the charge.⁶¹² Part of Commercial Code that deals with issuance of debenture don't provide rules if debenture holders' claim for repayment is guaranteed by all the property of the company. There are no rules that regulate the floating charges. In such cases, Article 1 of the Commercial Code orders recourse to the relevant provisions of the Civil Code. However, the relevant parts of the Civil Code provide only the creation of security for the enforcement of a contract against specified property in the form of pledge, mortgage or antichresis. Hence, it seems that debentures cannot be deemed guaranteed with floating charge with all the assets of the company. Unless the debenture holders specifically agreed

⁶¹¹ Civil Code of Ethiopia, Articles 3076 and 3081.

⁶¹² Anebo Lantera (606 255) 359.

foundation contract, indenture, to guaranty their claim with a specified property, they may be considered as unsecured creditors.

The company is bound to issue a debenture certificate following its allotment to the lenders. The certificate is an evidence of the rights from contract of loan between the issuing company and the lender. The rights are incorporated in the certificate and it is impossible to transfer them separately from it. If a debenture certificate can be issued in electronic form apart from paper form based on the option of the lender is not cross referred to the relevant provision of the Code about shares. However, it is unlikely that a debenture certificate could be issued in electronic form since the definitional provision in Article 407(1) described it as a negotiable debt document. The contents of the certificate are listed out in Article 413 of the Commercial Code. The following information should be written on it: name, object, head office of the issuing company; time and duration of formation of the company; amount of paid up capital of the company on the date of issue of debentures; date of resolution of general meeting to issue debentures and its entry in the commercial register; serial number, par value,, rate and date of interest payments, and terms of redemption; total amount of issued debentures and special guarantees attached with them; amount of unpaid previously issued debentures or loan, if any, and attached guarantees therewith; and terms on whether the debentures are convertible into shares.

13.3.3. Governance of the interest of debenture holders

The governance of the debenture holders with the issuing company is basically governed by the contract concluded between them. Unlike that of the issuance and governance of shares whereby the law and the government provided relatively stronger regulation, in the case of debentures the law provides only some preconditions and don't provide any regulatory check concerning their fulfillment by a certain relevant government organ. For instance, the ministry of Trade or regional trade office do not have any legislative mandate under the Code to evaluate whether a share company fulfillment the preconditions to issue debentures and the

payment of the purchase price of the debentures. There is no indication in the code regarding the preparation of model contract, indenture, between the borrowing company and debenture holders contrary to the preparation of model memorandum of association. The conclusion of loan contracts and enforcement of the claims of debenture holders is left for the private actions of the contracting parties like that of any contract. The only exception in this regard is that the Commercial Code has prescribed rules regarding the coordinated management of the interests of debenture holders through the organization of group of debenture holders as a legal person and general meeting of debenture holders. This is justified in the interest of simplifying the negotiations and communications of the borrowing company and debenture holders concerning different matters.

Article 415(1) of the Code to entitle debenture holders to combine themselves as a legal person and protect their common interest. They should hold debentures of the same issue. Whether their grouping acquires the personality by operation of this provision or need to follow the formation of an association under the relevant law is not clear. Even if they are organized, debenture holders can convene general meeting of debenture holders. The meeting can be called by the issuing company, the representative of the debenture holders or debenture holders representing 20% of the issued and unredeemed debentures in accordance with the procedure of holding and calling general meeting of shareholders. Directors, auditors or employees of the debenture issuing company and companies that guaranteed the issuance of debentures cannot represent the debenture holders. Redeemed debenture holders and the company that redeemed debentures can't take part in the meeting. The expense concerning call and holding the meeting is borne by the borrowing company.⁶¹³

The business of the meeting is provided in Article 417 Of the Code. In general terms it can adopt resolutions to protect the interest of debenture holders, enforce the loan agreement and to provide for all the necessary expenses in connection therewith. In

⁶¹³ Commercial Code of Ethiopia, Article 416.

particular, the meeting has the power to consider and decide over proposals of the company concerning conversion of the company; change of its business object, merger with other companies, division of the company; and issue of debenture having priority over existing debentures. The company may enforce these proposals though rejection of the meeting provided that it must redeem within three months from the effective date of the proposal upon the request of debenture holders. The meeting can also consider and decide variation of the terms of the contract of loan.⁶¹⁴ These are important debenture holders' issues that needs the presence of three-quarter of the debenture holds in the first call, one-half in the second call, and need third call if the quorum in the second call not meet.⁶¹⁵ The resolutions over these matters must be confirmed by the court based on Article 421 of the Commercial Code with in fifteen days from the date of the meeting. The quorum and voting requirement of the meeting of debenture holders concerning other matters like appointment, remuneration, removal of debenture holders' agent; and the powers of the agents can be understood from the reading of Articles 419-424 of the Commercial Code.

13.4. Summary

Mobilizing the necessary finance is important to turn the business objectives of the company into operation. The laws provide detail rules which aim to guide and regulate raising, altering and expending finance. A company may raise its finance either from equity or it may also get it from debt.

Equity financing is financing of a share company through issuing and selling shares to individuals or the public. Share represents an interest of the shareholder in the company measured by sum of money that carries both rights and duties. The price of a share shall not be less than the par value of share. According to the principle of presumptive equality of shares, all shares of a company render same rights and duties

⁶¹⁴ Ibid Article 418.

⁶¹⁵ Ibid Article 419.

to shareholders. However, the principle can be disregarded if the memorandum of association stipulates classes of shares. Shares of same class have the same rights and duties. They must have also the same par value. The Commercial Code came up with a unitary form of shares. It requires all shares to be registered in the name of the shareholder in the register of shareholders. It is mandatory for every share company to organize and keep register of shares either in paper or electronic formats at its head office. The Commercial Code prohibits the issuance of share certificates before the registration of the company in the commercial register. Shares can be issued either in paper form or incorporeal form based on the terms of the memorandum of association. A share renders rights and duties for its owner. Participation in net profits and surplus, transferring shares, preferred subscription, access to information, exercising control and lodging court action constitute as the inherent rights of shareholders. They owe the duty to pay unpaid share price. A decisive shareholder is also bound to avoid abusive activities.

In a country where there exists an acute need for working capital and in the existence of inadequate numbers of banks to satisfy the same, raising finance with issuance and allotment of debentures can be vital alternative. The Code provided rules governing denture. Debenture is a negotiable debt instrument whereby the issuing share company undertakes to pay the debenture holder a fixed interest for a specified period of time and to repay him the principal loan upon the maturity date.

13.5. Review Questions

1. What are the types of financing share company? What are the factors that influence in deciding the type of financing?
2. What is a share? In what essence is it recognized in the Commercial Code as a property?
3. Discuss allotment of shares. Is it different from subscription of and paying for shares?

4. Why the Commercial Code voids shares issued before the formation of the company?
5. Examine the manner of issuance of shares. How you evaluate the responsiveness of the law to advance in information technology in this regard?
6. What effect follows if a person subscribes to shares but not entered in the register of shares?
7. Explain the principle of presumptive equality of shares and its exceptions.
8. Examine the fundamental rights of shareholders in the law. Can the rights be subject to limitations?
9. What are the duties of shareholders?
10. Discuss the meaning, issuance and governance of debentures under the Commercial Code.
11. The capital of Dashn Share Company is 2,000,000 birrs, consisting of ordinary share capital of 1,500,000-birr redeemable share capital of 500,000 birr. The preference share capital is to be redeemed before 26th July, 2023. The company is running in losses and its accumulated losses aggregated to birr 1,000,000. The company wants to borrow 1,500,000 birrs from financial institutions to improve its working and also to redeem the preference share capital. Advise the company.
12. Hiwot Share Company wants to provide financial assistance to its employees, to enable them to subscribe for certain number of fully paid shares. Considering the provisions of the revised Commercial Code, what advice you would give to the company in this regard.
13. Gemechu is a shareholder of a company holding 100 shares. He dies leaving Alemu as his legal representative. Alemu is not a member of the company. He transfers all 100 shares of the deceased member to Tsegay. Is the transfer valid?

State reasons for your answer.

14. A, B, C, D, and E each held one fifth of the issued share capital of a company, whose memorandum of association provide: “The Board of directors may, at any time, in their absolute and uncontrolled discretion, refuse to register any transfer of shares.” A died and his only heir applied to have A’s shares registered in his name. The Board of directors refused to register the transfer of shares under the above-mentioned provision of the memorandum of association. State with reasons whether the court can come to the rescue of A’s heir.
15. Share Company M owed to Hamid birr 1,000,000. On becoming this debt payable, the company offered Hamid 1000 shares of birr 1000 each in full settlement of the debt. The said shares were fully paid and were allotted to Hamid. Examine the validity of this allotment in the light of the provisions of the Commercial Code.

CHAPTER FOURTEEN: GENERAL OVERVIEW ON CORPORATE GOVERNANCE

Introduction

Corporate governance is an important theme of company law that has received attention from governments, practitioners, academics and investors. As a concept it doesn't have agreed upon meaning. Different persons and sources provide their own definition. Apart from attempting to define corporate governance, some international institutions and national jurisdictions enacted standards which are meant to set out good corporate principles or indicators. These entire standards are not enacted as compulsory prescriptive rules and to be applied on all companies uniformly. For example, at the international stage we have the Organization for Economic Cooperation and Development (herein after OECD) Corporate Governance Principles adopted by the OECD member states in 2015. The principles provide sets of specific rules for the governance of different participants of the corporation. Though they are soft laws, the principles have received acceptance in the corporate laws and codes of different countries. They are also being used by international institutions as benchmarks to review the laws of different countries.⁶¹⁶

This chapter deals with the concept of corporate governance based on definitions forwarded by some sources. It will also try to address some principles of corporate governance basically as set forth by the OECD, as well as the approaches of corporate governance adopted across some countries. This discussion will be an important bed rock to understand, inter alia, our commercial code dealing with board of directors, auditors and meeting of shareholders.

14.1. Meaning of corporate governance

There is no uniformly accepted definition for corporate governance. OECD

⁶¹⁶ OECD, 'G20/OECD Principles of Corporate Governance, OECD Publishing, Paris' (2015) 10. <http://dx.doi.org/10.1787/9789264236882-en> >

described it as "a set of relationships between a company's management, its board, its shareholders, and its stakeholders. It provides the structure through which the objectives of the company are set, and the means of attaining those objectives and monitoring performance determined."⁶¹⁷ On the bases of this, corporate governance is concerned with both the internal relations of the company among shareholders, management and auditors. It also includes dealing with the interests of the company in its relations with the stakeholders which includes employees, creditors, suppliers, and community. The purpose of corporate governance is to produce the structure for setting, attaining and evaluating corporate objectives with both the internal and external sets of relations. Here the structure could refer the laws, institutions, codes, and contracts for the management of different interest groups or their relations. It is the "system by which businesses are controlled and directed."⁶¹⁸

The Commercial Code doesn't provide a definition for corporate governance. However, a similar message with the OECD can be taken from the definition provided for it under the Ethiopian Code of Corporate Governance for Public Enterprises Directive. The Directive defines corporate governance albeit in relation with public enterprises as:

*The framework of rules, structural relationships, systems and processes within an enterprise by which powers and duties are exercised and controlled through building an environment of trust, transparency and corporate accountability necessary to enhance business prosperity, foster long-term investment, financial stability and business integrity.*⁶¹⁹

Accordingly, it is composed of rules and institutions for exercising and controlling powers and duties of the primary participants of the company with the aim of

⁶¹⁷ Ibid 9.

⁶¹⁸ Hussein Ahmed Tura (2012), 'Overview of Corporate Governance in Ethiopia: The Role, Composition and Remuneration of Boards of Directors in Share Companies' (MIZAN LAW REVIEW, Vol. 6 No.1, 2012) 47.

⁶¹⁹ Code of Corporate Governance for Public Enterprise No 501/2020, Article 2(1).

building trust, transparency and accountability on a company. This in turn serves to ensure stable and prosperous business. In the context of share company corporate governance can be described as the management of the relations among shareholders, directors, and auditors as well as the relation of the company with the stakeholders for the ultimate objective of promoting the success of the company with the instrument of laws, bylaws and contracts.

14.2. Overview on Principles of Corporate Governance

In this part a discussion would be made about some principles of corporate governance from 2015 OECD corporate governance principles. Different company law jurisdictions widely used them as a standard for the design of their own specific corporate governance frameworks. They are also accepted and being used by international institutions for assessment of corporate governance country reports. In this regard, the principles provide the basis for assessment of the corporate governance component of the Reports on the Observance of Standards and Codes of the World Bank.⁶²⁰ Thus, presenting an overview about the principles can be an important lens for the study of the Ethiopian company law. Of course, the revised Commercial Code seems to have benefited from the principles in relation to among others responsibilities of board of directors, roles of shareholders as well as stakeholders.

According to the OECD corporate governance principles, there are six fundamental principles that constitute as a bench mark for good system of corporate governance depending on the size and nature of the company. Some of the principles presupposes companies with relatively big seize that can shoulder the compliance requirements. As the principles are not mandatory, individual jurisdictions have the flexibility to take lessons from them taking into account their national contexts.

⁶²⁰ OECD (n 616) 9.

14.2.1. Ensuring the basis for effective corporate governance

Principle I is concerned with the design of the system for corporate governance in general. They are concerned with ensuring the basis for an effective corporate governance framework. Accordingly, corporate governance framework should promote transparent and fair markets, and the efficient allocation of resources. It should be consistent with the rule of law and support effective supervision and enforcement. The laws, institutions, procedures and practices that govern companies constitute the corporate governance framework. The formulation of these sets of governing public and private norms should ensure effective corporate governance. They must be developed with a view to their impact on overall economic performance, market integrity and the incentives it creates for market participants and the promotion of transparent and well-functioning markets. The framework should equitably serve all market participants, not be contradictory, overlapping as well as must be comprehensive. The regulatory institutions should have clear mandate in regulating companies and the resources necessary to discharge their responsibilities.⁶²¹

14.2.2. Rights and equitable treatment of shareholders and key ownership functions

The rights of shareholders and their role in the governance of companies are addressed by Principle II. The corporate governance framework should protect and facilitate the exercise of shareholders' rights and ensure the equitable treatment of all shareholders, including minority and foreign shareholders. All shareholders should have the opportunity to obtain effective redress for violation of their rights. They shall have the right to secure methods of ownership registration, transfer their shares, access to timely and regular material information, participate and vote in general meetings, elect and remove members of board of directors and share in the

⁶²¹ Ibid 13-17.

net profit of the company. In particular, they should be consulted and approve decisions concerning fundamental corporate changes such as amendments of the memorandum of association, issuance of new shares, and extraordinary transactions, including the transfer of all or substantially all assets, that in effect result in the sale of the company. They should have the opportunity to vote in person or absentia with proxies. The same class of shareholders shall have same rights. Shareholders' treatment should be proportionate with their holding in the capital of the company. Minority shareholders should be protected from abusive actions by, or in the interest of, controlling shareholders acting either directly or indirectly, and should have effective means of redress. Abusive self-dealing should be prohibited. The protection should aim at shielding them from being expropriated by the controlling shareholders. They shall have pre-emptive rights, right to sell-out, their vote considered in some fundamental corporate issues like amendment of constituting document with the adoption of qualified majority voting.⁶²²

14.2.3. Institutional investors, stock markets, and other intermediaries

According to Principle III the corporate governance framework should provide sound incentives throughout the investment chain and provide for stock markets to function in a way that contributes to good corporate governance. The wide variety of engagement policies in corporate affairs on the part of institutional shareholders and their intermediary managers such as pension funds caused the adoption of these principles. Some exercise shareholder rights including voting while others do consider active involvement as costly. Institutional shareholders acting in a fiduciary capacity should disclose their corporate governance and voting policies with respect to their investments, including the procedures that they have in place for deciding on the use of their voting rights.⁶²³

⁶²² Ibid 18-28

⁶²³ Ibid 29-33.

14.2.4. Roles of stakeholders in corporate governance

Based on Principle IV, the corporate governance framework should recognize the rights of stakeholders established by law or through mutual agreements and encourage active co-operation between corporations and stakeholders in creating wealth, jobs, and the sustainability of financially sound enterprises. This is essential since competitiveness and ultimate success of a corporation is the result of teamwork that embodies contributions from a range of different resource providers including investors, employees, creditors, customers and suppliers, and other stakeholders. Their rights under different laws should be respected by the company. They should have the opportunity for effective redress if these rights are violated by the company. Mechanisms for the participation of employees should be allowed to develop though the level of involvement may vary across jurisdictions. It can be at board or at management level. If stakeholders are allowed participating in corporate governance, they should have timely and regular access to information for meaningful contribution. They should be allowed to freely communicate their concerns about illegal or unethical practices to the board and to the competent public authorities and their rights should not be compromised for doing this.⁶²⁴

14.2.5. Corporate disclosure and transparency

This is dealt with by Principle V of the corporate governance principles. It provides that corporate governance framework should ensure that timely and accurate disclosure is made on all material matters regarding the corporation, including the financial situation, performance, ownership, and governance of the company. The information should be available to all shareholders equitably as well as for stakeholders. The disclosure requirements shall not cause unreasonable burden and adversely affect secret business information. Save for these cases companies shall disclose material information regularly and on the occasion of occurrence of new

⁶²⁴ Ibid 34-36

developments. Disclosure is important for the enforcement of the rights of shareholders and better protects the interest of the company and investors.

The disclosure should include audited financial and operating results of the company including the balance sheet, the profit and loss statement, the cash flow statement and notes to the financial statements. The company objectives and non-financial information should be also part of the disclosure. This includes human resource, human rights, environmental and other standards. Major shareholder ownership and associated voting rights. The disclosure should include beneficial interests in relation with share ownership. This helps to enforce corporate rules prescribed to discipline related party transactions. Remuneration of the board and top management should be disclosed with a view to evaluate the link between remuneration and long-term company performance. Information about board members, including their qualifications, the selection process, other company directorships and whether they are regarded as independent by the board should be also disclosed.

The information should be prepared in accordance with accepted accounting standards. An annual audit should be conducted by an independent, competent and qualified, auditor in accordance with high-quality auditing standards in order to provide an external and objective assurance to the board and shareholders that the financial statements fairly represent the financial position and performance of the company in all material respects.⁶²⁵

14.2.6. Responsibilities of the board

Principle VI provides that corporate governance framework should ensure the strategic guidance of the company, the effective monitoring of management by the board, and the board's accountability to the company and the shareholders. Together with guiding corporate strategy, the board is chiefly responsible for monitoring managerial performance and achieving an adequate return for shareholders, while

⁶²⁵ Ibid 37-44.

preventing conflicts of interest and balancing competing demands on the corporation. In order for boards to effectively fulfill their responsibilities they must be able to exercise objective and independent judgment. This necessitates the existence of non-executive directors whether country has a one tier or two-tier board systems. While the executive board or board members concerned with directing the top management and they themselves undertake some managerial functions, the non-exceptive (supervisory) board or members should undertake oversight over the management board. Board members should act with due care and loyalty for the shareholders and company. They should also take into account the interest of other stakeholders.

It shall carry out key corporate functions that include reviewing and guiding corporate strategy, major plans of action, risk management policies and procedures, annual budgets and business plans; setting performance objectives; monitoring implementation and corporate performance; and monitoring and controlling of conflicts of interests; ensuring proper board members nomination and voting process; aligning of senior managements and boards remuneration with the long term interest of shareholders and the company; monitoring companies' transparency and disclosure; oversee major capital expenditures, acquisitions and divestitures. It shall avoid engaging itself in day-to-day corporate affairs.⁶²⁶

14.3. Organs of corporate governance: brief overview

As it can be noted from the above discussions, companies have different decision-making organs. The composition, powers and associated duties of the organs varies from country to country. For instance, in jurisdictions that accept maximizing the wealth of shareholders as the primary goal of the company, the board members may only be appointed from the shareholders. Conversely, of the goal is broader which aims to enhance not just the interest of shareholders but also other shareholders, the members of the board may not only draw from the shareholders. Having this in mind,

⁶²⁶ Ibid 45-54.

the following can be considered as the organs of corporate governance.

14.3.1. Board and Top management

The board is an important organ of corporate governance responsible for the overall direction and management of a company. It sets the strategic objectives, annual plans, and implementation mechanisms of the Company. It is also responsible to oversight the general managers and top management officers of the company. The top management is responsible for the day-to-day affairs of the company. It is an organ that undertakes corporate activities in accordance of the general strategic and annual plan. Here it has to be noted that the roles and responsibilities of the board and the top managers differs depending on the capital structures of companies. In a company characterized by the concentrated shareholders ownership, the identity of the board overlaps with the shareholders. In this case the mechanisms for controlling the management to further the interest of the company and shareholders and the associated agency cost can be minimal. If the company has dispersed shareholders, the ownership and control will be separated. In this case the management, board and chief executive officers, would have strong power and may pursue their private interest at the expense of the company and fragmented shareholders. This makes the agency problem sever coupled with the existence of shareholders who lack the appetite and capacity to enforce their rights given the tiny shareholding in the capital of the company. The roles of the corporate framework are critical in such cases.

14.3.2. Meetings of shareholders

The other important corporate decision-making organ across jurisdictions is meeting of shareholders. As owners of shares, corporate laws entitled them different vital corporate decision-making powers. They have the power to elect the board, amend memorandum of association, approve corporate plans and reposts, and approve issuance of shares and debentures. However, in general the meeting of shareholders can't not involve in day-to-day management of the company since they can't lead

business through referendum in every time the need arises. The management must be left for the professional corporate governance groups, board of directors and general manger.

14.3.3. Auditors

As mentioned under OECD corporate governance principles, corporate disclosure and transparency is an important corporate virtue that builds the confidences of corporate stakeholders, support the exercising of rights and ensuring corporate accountability. The quality of the information is ensured by the professional external auditors. They are important organs of corporate governance that helps to enshrine the interest of the company and its stakeholders from the abusive conducts of the managers. For this to be effective, they need to have the necessary competency and shall be independent from the management as well as the shareholders of the company.

14.3.4. Stakeholders (Creditors employees, consumers)

A company can't operate in the vacuum with merely its board, meeting of shareholders, and the auditors. It must create relationships and work with stakeholders that include employees, trade creditors, finance creditors, and local communities. Whether stakeholders participate in corporate decisions making activities is an issue determined based on the approach adopted by the specific corporate laws of companies. In some countries stakeholders have a voice in the governance of the company through their mandatory membership requirement under the law. In others they do not allowed to take part in corporate decision making. Irrespective of their involvement, the respect and protection of the rights of stakeholders as found different laws like labor, contract, environment, and consumer protection is considered as one important benchmark of corporate governance.

14.3.5. Government

Government plays significant role in corporate governance. Its role begins with the design of an effective system of corporate law. The laws should aim at facilitating the formation and operation of companies through providing flexible and gap filling rules. It must also have compulsory rules in relation with the protection of shareholders against the abuse of board and managers, minority shareholders against the controlling shareholders and managers, creditors, employees, etc. Apart from rule setting mandate, government is an important regulatory organ of corporate governance. It could undertake investigations about the affairs of companies and take corrective measures in the interest of the public.

14.4. Corporate social responsibility

Corporate social responsibility (CSR) is a concept that deals with the interaction of companies (business) with different stakeholders. It is described as the commitment and fulfillment of responsibilities or obligations beyond the minimums provided in the relevant laws by companies towards the society on voluntary bases. This encompasses the development of good relationships with employees, customers, local communities, and engagement in environmental conservatory measures.

Whether CSR should be considered as voluntary based responsibility of business to the society or be part of compulsory law is subject to argument. Some authors promote a voluntary based CSR by the business. If companies believe CSR important for the success of their business, enhances profitability, they can voluntarily and unilaterally obliged themselves to supply certain goods or provide services. Here CSR is beyond mere corporate charity since it has a tacit profit motive regarding corporate image building. Others contend that, it should be part of the law. They argue that companies could not address the stakeholders' interest if they left free to their whims. Beyond the debates, some countries are enacting CSR legislations that

require companies to be responsible for the impact they create on the society.⁶²⁷

14.5. Summary

Corporate governance is an important theme of company law that has received attention from governments, practitioners, academics and investors. According to OECD, it is described as "a set of relationships between a company's management, its board, its shareholders, and its stakeholders. It provides the structure through which the objectives of the company are set, and the means of attaining those objectives and monitoring performance determined."

According to the OECD, there are six fundamental principles that constitute as a bench mark for good system of corporate governance depending on the size and nature of the company. Some of the principles presuppose companies with relatively big size that would carry the compliance requirements. Principles I are concerned with ensuring the bases for an effective corporate governance framework. On the bases of Principles II, the corporate governance framework should protect and facilitate the exercise of shareholders' rights and ensure the equitable treatment of all shareholders, including minority and foreign shareholders. According to Principles III, the corporate governance framework should provide sound incentives throughout the investment chain and provide for stock markets to function in a way that contributes to good corporate governance. Based on Principles IV, the corporate governance framework should recognize the rights of stakeholders established by law or through mutual agreements and encourage active co-operation between corporations and stakeholders in creating wealth, jobs, and the sustainability of financially sound enterprises. Principles V of the corporate governance principles provide that corporate governance framework should ensure that timely and accurate disclosure is made on all material matters regarding the corporation, including the financial situation, performance, ownership, and governance of the company.

⁶²⁷ Alemayehu Yismaw Demamu (2020), 'Towards Effective Models and Enforcement of Corporate Social Responsibility in Ethiopia' 14 *Mizan Law Review* 2: 276-309.

Principles VI provide that corporate governance framework should ensure the strategic guidance of the company, the effective monitoring of management by the board, and the board's accountability to the company and the shareholders.

Companies have different decision-making organs. The composition, powers and associated duties of the organs varies from country to country. Having this in mind, board of directors, meetings of shareholders, auditors, stakeholders (creditors, employees, consumers) and government are considered as decision making actors of companies.

14.6. Review Questions

1. What is corporate governance?
2. Discuss corporate OECD's governance principles.
3. Are the rules of the Commercial Code responsive to OECD's corporate governance principles?
4. What special focuses are given to the participation of institutional investors in corporate governance in the case of Ethiopian relevant laws?
5. What is corporate social responsibility? Is that reflected in the provisions of the Commercial Code?
6. Identify the different actors of corporate governance? Does the Commercial Code assign roles for each of the organs?

CHAPTER FIFTEEN: MANAGEMENT OF SHARE COMPANY

Introduction

The board is an organ of share company primarily responsible for leading and controlling its management. The overall management and control of the company is at the mercy of the board. This is in particular prominent in the case of companies with dispersed ownership model where by shareholders could not make important corporate decisions because organized decisions in the form of meeting of shareholders can be costly for individual shareholders owing to little interest as a result of minor shareholding. The board is responsible to work for the success and profitability of the company.

The board should be composed with due regard to some important qualities. The appointment, monitoring and removal of the board members should be made in accordance with these qualities. The qualities could refer commitment, independence as well as knowledge necessary for directing and controlling the company. If the board lacks the relevant structural and personal inputs, it may end up with some cost for the company and its stakeholders. Board members should be also given a proper benefit package that encourages them to work for the success of the company.

Appointment of the members of a board in accordance with good benchmarks and proper composition can't be a guaranty to do away with the problem of agency cost. Agency cost refers the risk of the managers of the company pursues their private interests than the interest of the company, its shareholders and other stakeholders. It also includes the cost of monitoring the managers to work for the success of the company. "The directors of companies, however, being the managers rather of other people's money than of their own, it cannot well be expected, that they should watch

over it with the same anxious vigilance”.⁶²⁸ Thus, the corporate governance framework should provide important ex-ante and ex-post restriction and measures to reduce, if not totally eliminate, agency cost. These concerns restrictions against the powers of the board, check and balance among corporate governance bodies, statutory duties of directors, and access to justice and remedies against directors that violated its duties.

The administrative and managerial functions of the board are basically undertaken by the company secretary and general manager of the company, respectively. The structure and composition of the board; appointment, dismissal and remuneration of board members; powers of the board; duties of the board and individual members; and their liability for breach of the law, memorandum of association and rules under resolutions as well as general manager and secretary of the company are addressed in this chapter.

15.1. Board Structure

Based on the experiences of different countries, there are two models for board structure. These are one-tier board and two-tier board models. One-tier board model is adopted by countries following the Anglo-Saxon legal system such as UK, USA and Canada. These countries’ corporate laws and codes do not provide distinction concerning executive and non-executive directors in the board. The separate assignment is left for the board to deal with it in accordance with codes of corporate governance. The executive and non-executive directors in the one-tier board model have the same responsibilities and liabilities. The chairperson of the board and the chief executive officer (CEO) may also be held by the same person. This may lead excessive concentration of corporate power in the hand of the same person.⁶²⁹

⁶²⁸ Michael C. Jensen & William H. Meckling, ‘Theory of the Firm: Managerial Behaviour, Agency Costs and Ownership Structure’ (Journal of Financial Economics, October, 1976, V. 3, No. 4) 305-360. <<https://www.sfu.ca/~wainwrig/Econ400/jensen-meckling.pdf>>, accessed 12/24/2022.

⁶²⁹ Gillmore Doppia, ‘Corporate Governance structure: A comparison between the one-tier and the two-tier board structure’ (Masters Thesis, Erasmus University Rotterdam) 9&11.

Some continental European countries like German, Netherlands and Finland adopted the two-tier board model. Accordingly, there are management and supervisory boards. The management board is responsible for passing some management decisions, organizing and monitoring the top management of the company. The supervisory board is responsible for controlling the management board. It undertakes supervision measures on the management board and takes or caused to be taken corrective measures if it finds wrongful acts. The members of supervisory board are required to be independent from the management board. A single person can't be member of the two boards at the same time. In Germany, the appointment, removal and remuneration of the members of the management board are the responsibilities of the supervisory board while its own members are appointed, removed and remunerated by the meeting of shareholders. The two-tier board system provides better separation of management and control functions in a corporation.⁶³⁰

Coming to the Ethiopian context, the Commercial Code came up with rules that deal with the composition of either one-tier or two-tier board models.⁶³¹ The choice is left for companies. They can adopt either of the models of board structures under their memorandum of association. If the memorandum of association of a certain company adopts the two-tier board structure, the boards will be organized under the name of board of directors and supervisory board. Unlike the German experience, the Code doesn't use the term management board rather it simply employs the term board of directors. The board of directors is responsible for making management decisions which includes developing the strategic goals, annual plans, and implementation reports of the company.⁶³² The organization and composition of board of directors is not left for the option of memorandum of association. It is a

<<https://thesis.eur.nl/pub/37797/MA1030-Doppia-G.G.S.-313294gd-.pdf>>, accessed 12/25/2022.

⁶³⁰ Ibid 10.

⁶³¹ Commercial Code of Ethiopia, Articles 296-330 governs board of directors & Articles 331-336 governs supervisory board.

⁶³² Ibid Article 315.

statutory organ of management of the company.⁶³³ Conversely, the supervisory board exists if the memorandum of association provides so.⁶³⁴ Thus, at this stage we can say that the Ethiopian legislature doesn't fully endorse either of the board models. It stands somewhere in the middle. This can be considered as one of the new developments in the revised Code compared with its predecessor 1960 Commercial Code which had adopted entirely one-tier board model. A more detail analysis of the rules governing both board of directors and supervisory board will be made separately in the following subsequent parts.

15.2. Board of Directors

15.2.1. Composition

Composition of board of directors concerns the number, background, and types of directors appointed to collectively constitute the board.⁶³⁵ Board of directors' composition of share companies in general is governed by Articles 296-303 of the Commercial Code. Special laws provide specific rules on the composition of special share companies. The case in point here is banking share companies.

The power to appoint directors is given to ordinary general meeting of shareholders. The first directors of companies can be appointed in the memorandum of association. However, this appointment must be approved by the meeting of subscribers. If the meeting of subscribers rejects the appointment or if no directors are appointed in the memorandum, the meeting appoints directors of the board. Subject to reelection unless otherwise provided in the memorandum, directors are elected for a term of three years services.⁶³⁶ The Code doesn't address the procedure for appointment of directors. This can be made in accordance with the memorandum of association or resolution of the company. Shareholders can exercise control over the directors

⁶³³ Ibid Article 296(1).

⁶³⁴ Ibid Article 331(1).

⁶³⁵ Hussein Ahmed Tura (n 618) 63.

⁶³⁶ Commercial Code of Ethiopia, Article 298(1), (2) & (3).

through their power to appoint directors. If the meeting of shareholders found a director incompetent or unethical, it can mitigate the consequential damage that may arise there from by removing him and appointing a substitute. In the case of banking, insurance and micro financial share companies, the appointment of directors, CEO and other senior executive officer would be valid only if it is approved by the National Bank of Ethiopia. The election by general meeting of shareholders is not enough.⁶³⁷

The numbers of directors can't be less than three and more than thirteen. The exact number should be fixed by the memorandum of association of a company. If the memorandum failed to carry out the job, it must be fixed by meeting of subscribers.⁶³⁸ Whether it is small or large board size which would be preferable for effective governance of a company is subject to arguments. It is claimed that small board size is better since it requires less cost for communication, coordination and procession of decisions. On the other hand, large board size is preferable for corporate performance by letting enhanced opportunity for expertise that helps decision making. It cannot also be easily dominated by the chairperson or CEO as the case may be.⁶³⁹ In this way it can give a room for constructive challenge in board decision making.

Inclusion of stakeholders in the board of directors is another issue of corporate governance. It is subject to clashing approaches. If the company law of a country adopted shareholder approach, the directors are appointed from the shareholders. The board of directors is responsible to maximize the wealth of the shareholders. The directors are considered as the agent of the shareholders. To followers of this approach, inclusion of the stakeholders including employees, creditors, government, and customers is not mandatory. The approach is followed by UK company law.⁶⁴⁰

⁶³⁷ See For example Banking Business Proclamation, Article 14(2).

⁶³⁸ Ibid Article 298(1) & (3).

⁶³⁹ Gillmore Doppia (n 629) 12.

⁶⁴⁰ Davis (n 352) para 9-015.

On the contrary, if the company law of countries adopts the stakeholder approach, the board is responsible to promote the company as well as its different stakeholders. The director can't be taken as agent of the narrower group, shareholders. Employees of the company, creditors, government and other stakeholders are included in the board of directors. In German, typical country that adopted stakeholders' approach, supervisory board members are appointed from the shareholders and stakeholders.⁶⁴¹ Stakeholders take part in corporate governance that their interest is not merely relegated to be governed by other laws. Regarding inclusion of stakeholders, the Commercial Code has adopted a position in between the shareholders and stakeholders approach. Based on Article 296(2), it allows the appointment of non-shareholders, which probably means stakeholders, as members of board of directors. From this provision inclusion of stakeholders in the board of directors is not mandatory. It can be disregarded by the general meeting of shareholders on appointment of directors. The same provision prohibits appointing more than one third of the directors from non-shareholders. This means that the legislature still favors board decision making to be influenced by shareholders. A stark contrast with the experience of Germany, stakeholders can be appointed as member of board of directors but not supervisory board.⁶⁴² The legislative wisdom behind this could be subject to criticism on the ground of having more independent supervisory board rather than board of directors.

Apart from the stakeholders membership issue in board of directors, the inclusion of women, persons with disability and ethnic minority have been an issue of corporate governance. These groups of persons lack proper representation in the board and top managerial positions of the companies. In the UK, the issue of gender diversity has been an issue of the parliament and assessment reports have been made by constituting committee. On the basis of the assessment, yearly targets of filling some portion of the board members with women have been made. Progress has been

⁶⁴¹ Ibid.

⁶⁴² Commercial Code of Ethiopia, Article 296(2) & 331(4).

recoded in this regard both at the UK and EU level.⁶⁴³ Gender, ethnic and persons with disability inclusion in the board of directors of share companies in Ethiopia are not studied. The matter has not been the subject of parliamentary report. Neither has the Commercial Code provide ruling that requires these diversity representations in the appointment of board members. Exceptionally, Bank Corporate Governance Directive of the National Bank of Ethiopia compels the inclusion of female bank directors from eligible shareholders of the company.⁶⁴⁴

The appointment of members of board of directors should also take in to account class diversity in the company. If the company has issued different classes of shares, the Code provides for each class to appoint one nominee director in the board of directors.⁶⁴⁵ The intention here is to enable equitable representation of various groups of shareholders. However, the one class at least one director approach could be challenging to apply if the company has several numbers of classes of shares that even surpass the maximum number of board members. It could also make the board a battle ground for class struggle which in effect affects efficient corporate decision making. When we discuss classes of shares, we made it clear that the memorandum of association may limit the voting rights of preference classes of shares. Whether these shareholders can appoint their own directors in the board can be argued. If the voting restriction includes prohibition of electing their own representative director in ordinary general meeting, the classes struggle in board meetings can be easily mitigated.

The inclusion of institutional and minority shareholder is the other issue regarding shareholders representation in the board of directors. According to the OECD Corporate Governance Principles discussed in the previous chapter, the active participation of institutional shareholders in the governance of the company is taken

⁶⁴³ Davis (n 352) para 9-014.

⁶⁴⁴ National Bank of Ethiopia, Bank Corporate Governance Directives No. SBB/71/2019(1st Replacement), Article 5.2. (hereinafter Bank Corporate Governance Directive)

⁶⁴⁵ Commercial Code of Ethiopia, Article 299.

as one best practice. This is intended to do away with their lesser engagement in the governance of the company evidenced empirically. The Commercial Code allows the appointment of institutions as a member of board of directors. If appointed, they must elect a representative to discharge their directorship responsibilities. Though the agent is not personally elected, the Code clearly assimilated the status of directors irrespective of whether the director is a natural person or a legal entity. It is liable as other directors though this doesn't militate against the liability of the institution represented.⁶⁴⁶ The Code is quiet on the representation of minority shareholders in the board of directors. In relation with banking share companies, the Bank Corporate Governance Directive expressly requires the non-influential shareholders who hold less than thirty percent of the capital of the company to cumulatively elect and be represented by one fourth of the total directors in the board. This could allow the reflection of the voice of minority shareholders in the governance of the company.⁶⁴⁷

Age can be a criterion for the appointment of directors if the memorandum of association or special laws provides so.⁶⁴⁸ The Code is reserved from specifying a minimum and maximum age as a qualification for directorship. This is contrary to the position of the UK Company Act 2006 whereby the minimum age for directorship is 16 years. The rationale for stipulating minimum mandatory age in the UK is justified on proscribing companies from electing children since they were electing them with the intention of exploiting their criminal immunity.⁶⁴⁹ When it comes to Ethiopia one may claim that individuals below civil majority are ineligible to be director of company since directorship is a juridical act with serious legal consequence. If children are appointed as director, the appointment can be considered as defective owing to their civil minority.

⁶⁴⁶ Ibid Article 296(4) & (5).

⁶⁴⁷ Bank Corporate Governance Directive, Article 5.4.

⁶⁴⁸ Commercial Code of Ethiopia, Article 297(1(c)),

⁶⁴⁹ Davis (n 352) para 9-009.

Good moral character is the other precondition for directorship under Article 297(1(b)) of the Commercial Code. Whether a candidate has good moral character or not is difficult to decide since it is question of subjective judgment. It is very challenging how the general meeting of shareholders can assess the fulfillment of the requirement. The assessment standards on good moral character can be dealt by the memorandum of association or resolutions. The criteria can be developed having in mind the important statutory duties of directors. An important prelude can be collected from the appointment criteria of banking and insurance share companies. For instance, based on Article 14(1) of the Banking Business Proclamation no. 592/2008 the nominee should be a person with honesty, integrity, diligence and good reputation to be appointed as director. In relation with character, the Commercial Code provides additional specific negative criteria against appointment. Any person cannot validly qualify for board membership if he has a criminal conviction record for the crimes of breach of trust, theft, robbery or other similar criminal offences in the capacity of promoter, director, manager, member of supervisory board, auditor or any other managerial position or under any other circumstance.⁶⁵⁰ The Code doesn't provide any time duration for the expiry of the prohibition on the basis of criminal conviction. Though there is no criminal record if the candidate was dismissed from his directorship as a result of committing conflict of interest with the company and obtaining undue direct or indirect benefit therefrom, he is not eligible to be appointed as director for two years form the date of establishment of the fault.⁶⁵¹

The Commercial Code is mute regarding competency as a criterion for appointment of directors. Competency refers the knowledge, skill and expertise needed for an effective governance of the company. This can be dealt by the memorandum of association. In relation with banking share companies, the Bank Corporate Governance Directive indicates the board to comprise directors having mixture of

⁶⁵⁰ Commercial Code of Ethiopia, Article 297(1(c)).

⁶⁵¹ Ibid Article 297(2) & (3).

core competencies which are banking, finance, accounting, management, economics, law, business administration, auditing, information technology and investment management. Nonetheless, this competency diversity in the board is not a mandatory prescription.⁶⁵²

Ability to produce security to guaranty proper performance can be another criterion. Furnishing security for appointment and its details concerning the type and amount of the security must be stipulated in the memorandum of association. If the memorandum is silent about security at all in relation with the appointment of directors, it implies that it is not required to qualify as a member of the board.⁶⁵³ The Code is more flexible compared with the 1960 Commercial Code in at least two matters. *First*, it assigned the issue of security to be decided by the memorandum of association. In the 1960 Code it was legally compulsory for directors to furnish a security of discharge of their duties. *Second*, the flexibility extends to the selection of the type and amount of security. This was not the case since it was only shares required to be deposited as a security.⁶⁵⁴ The Commercial Code disregarded deposit of shares as sole type of security since it allowed the inclusion of non-shareholder directors in the board unlike that of its predecessor.

Board composition goes beyond the criteria and procedures of appointment of directors. It concerns the internal organization and division of labor in the board. In this regard the first issue concerns the need for independent directors in the board. To ensure apt oversight within the board, non-executive directors (NED), part time directors, should be included in the board of directors. Based on the OECD Principles, adequate numbers of board members should be NEDs who don't have close relation with the company and the executive directors of the board through economic, business and family ties.⁶⁵⁵ This is vital to promote independent

⁶⁵² Bank Corporate Governance Directive, Article 5.2.

⁶⁵³ Commercial Code of Ethiopia, Article 302.

⁶⁵⁴ *cf* Article 302 of the commercial Code with Article 349 of the 1960 repealed Commercial Code.

⁶⁵⁵ Hussein Ahmed Tura (n 618) 66.

judgment, especially, if the company adopted one-tier board model. The Commercial Code in Article 296(1) prescribed two-third of the board members to be NEDs. They are proscribed from involving in the day-to-day managerial activities of the company. This may be to maintain the independence of NEDs from the influence of the executive directors. However, the Code doesn't stipulate the roles of NEDs. The Commercial Code also failed to deal with the business and family relation of NEDs with the company and executive directors that could adversely affect their independent judgment. Be this as it may, one may vilify on the need for NEDs in the board of directors if a company organizes two-tier board system since their roles can be effectively carried out by the supervisory board.

Second, concerns the appointment of the chairperson of the board of directors. The chairperson is an important position whereby the elected director to the position should be a person of relatively higher competency and charisma compared with fellow directors. The Code obliged the chairperson to be elected only from shareholder NEDs by the general meeting of shareholders or meeting of subscribes. If no chairperson and deputy appointed by the meetings, the board of directors can themselves elect them.⁶⁵⁶ It can be also underlined here that the Code is curious about maintaining intra board check and balance since it further clearly prohibits the chairperson from assuming the chief executive officer position.⁶⁵⁷

Third, the Code encourages the board to carry out its activities by establishing different committees above the general categorization into executive and non-executive directors. The board can exercise its powers through these committees. But it is binding for the board to organize an audit committee. Apparently, the members of the audit committee should be elected from NEDs.⁶⁵⁸

The effect of carrying out an act of directors in the governance of the company with

⁶⁵⁶ Commercial Code of Ethiopia, Article 300.

⁶⁵⁷ Ibid Article 337(3).

⁶⁵⁸ Ibid Article 301.

defective appointment and even non-appointment needs to be mentioned here. This is neither addressed by the Commercial Code nor court cases. If we take the UK company law, the acts done by the director is valid even if his appointment was defective, disqualified from his position, ceased to hold office or was not entitled to vote on the issue under question. This is prescribed with the objective of protecting third parties in good faith.⁶⁵⁹ Absent equivalent clear regulation in the Commercial Code, it may be challenging to argue for the protection of third parties under like circumstances in case of Ethiopia.

15.2.2. Removal, Resignation and Replacement

Removal of directors from their position is the other power of general meeting of shareholders. It entitles them to exercise control over the governance of the company. The shareholders can remove directors at any time irrespective of any contrary provision in the memorandum of association.⁶⁶⁰ This is an irreplaceable power of the general meeting of shareholders. The meeting can exercise the removal power though it is not included in the agendas of the meeting.⁶⁶¹ Removal of a director is possible by resolution of the general meeting even if he is appointed for life or some specified duration based on the memorandum of association. However, Article 305(2) of the Commercial Code provided that if the removal is effected without good cause, the director can claim for payment of compensation. The director cannot claim for reinstatement to his directorship despite his removal is without good cause. The law doesn't specify the contents of good cause. It can be considered from the angle of the duties of directors prescribed in the Commercial Code, memorandum of association and resolutions. For example, if the director breached his duties while exercising his responsibilities, he cannot claim payment of compensation.

⁶⁵⁹ Davis (352 1) para 9-010.

⁶⁶⁰ Commercial Code of Ethiopia, Article 305(1)

⁶⁶¹ Ibid Article 372(3).

Directors could also vacate from their position through resignation. It is the unilateral act of the director to terminate his position as a result of his personal circumstances. If one or more positions in the board of directors become vacant as a result of resignation, death, judicial interdiction, serious illness, etc., the remaining directors are required to choose replacements. The appointment of these directors should be confirmed by the next general meeting of shareholders. If the numbers of remaining directors are less than half, the surviving directors must call for general meeting of shareholders for appointment of directors. If all of the directorship positions become vacant, the supervisory board, and in its absence the auditors must call the meeting. The management of the company should be carried out by the supervisory board or auditors in its absence until directors are appointed and took the position. In both cases, the meeting shall be called with in thirty days from the seats became vacant.⁶⁶²

15.2.3. Remuneration

Remuneration of directors is considered as an instrument for ensuring effective corporate governance in a company. The determination of the remuneration packages and the organ that determines the same are important issues that should be dealt with care. The nature of remuneration should be aligned with the performance of the company as well as promote sustainable and long-term investment in the company.⁶⁶³ The organ that determines directors' payment should be independent from them. It is also claimed that the shareholders should have a say on pay if the payment is determined by another organ.

The Commercial Code provided two types of payments for directors. The first is

⁶⁶² Commercial Code of Ethiopia, Article 303.

⁶⁶³ Hussein Ahmed Tura, 'Directors' Remuneration in Ethiopia' in Alexander Kostyuk *et al*(eds.), *The Theory and Practice of Directors' Remuneration New Challenges and Opportunities* (Emerald Group Publishing Limited, 2016)198. https://www.researchgate.net/publication/312183282_Directors'_Remuneration_in_Ethiopia_New_Challenges_and_Opportunities >, accessed on 1/8/2023

fixed remuneration which is charged against the general expense of the company.⁶⁶⁴ The payment is independent from whether the company gain profit in the fiscal year or not. It plays vital role to encourage the board members to avoid engaging in excessive risk bearing business activities and short-termism. If payment made dependent of existence of profit in the year, all the management target of the board could be making profit that push them to undertake highly risky activities. This may lead the company even into bankruptcy. Fixed payment avoids this problem provided that it is of proper amount. The amount of the payment required shall be determined by the general meeting of directors.⁶⁶⁵ Fixed annual remuneration for directors is mandatory whereby the role of the meeting is solely restricted to deciding the amount. The general meeting of shareholders has no power to disregard the payment altogether.

The second prong of directors' remuneration concerns payment from annual net profit of the company.⁶⁶⁶ The payment is effective if the company makes profit and if the general meeting of shareholders grants so. Its amount depends on the amount of the net profit of the company. If the company makes no profit at all, directors cannot get any payment. It is not also a statutory payment to directors. It is payable if and only if there is resolution of general meeting of shareholders that entitles the same. It cannot materialize in the absence of the resolution neither can the directors claim it as of a right to be decided by the meeting unlike that of the fixed payment under Article 304(1). Subjecting part of the remuneration of the directors on the amount of net profit of the company could help to align the payment of directors with the performance of the company. If they work hard and collected high amount of net profit, their payment would also be high. If they performed poorly and the company ends up with getting minor or no net profit, they get nothing. In this way this flexible remuneration package can be an important incentive to reduce agency

⁶⁶⁴ Commercial Code of Ethiopia, Article 304(1).

⁶⁶⁵ Ibid.

⁶⁶⁶ Ibid Article 304(2)

cost. The amount of payment from the net profit cannot exceed ten percent of the amount that can be distributed as dividend in the respective fiscal year. The payment is performed if the company distributed dividend to the shareholders in the year.⁶⁶⁷ The Commercial Code seems unclear and unfair regarding payment from profit. It is not clear whether the payment to be made from the net profit or profit for distribution. The two amounts are different based on Article 432(1) & (2) of the Code. Net profit refers the net income after deduction of the general expenses, other charges, amortization and allowances from the gross generated revenue of the company. On the other hand, the profit for distribution refers the net profit plus additional revenue and distributions from reserves especially approved by general meeting of shareholders minus previous losses. The profit for distribution can be higher or lower than the net profit depending of rolling losses and additional sources for distribution. If the company makes no net profit, total sale is equal to total expenses. However, there can still be profit for distribution if there is additional revenue for the purposes or/and distributions from reserves as per the general meeting of shareholders. The issue is whether the general meeting of shareholders entitles payment to directors from the profit for distribution even if there is no net profit in the fiscal year. One may argue against payment by mentioning Article 304(2) and (3) of the Code which specifically require to it be paid from the net profit of the year. This implies that if there is no net profit, the meeting has no power to allocate payment to the directors from dividends made from other sources. This can be contended based on the Article 304(3) third line which reads the amount of net profit directors may receive “may not exceed ten percent of the *amount that may be distributed* (Emphasis added) as dividend in the fiscal year.” Based on this, the amount of payment for directors seems paid not from the net profit but profit for distribution. However, payment from profit for distribution which has not aroused from the net profit is criticized as unfair and not in line with the principle of aligning directors’ remuneration with company performance. The corresponding provision

⁶⁶⁷Ibid Article 304(4).

of the 1960 Commercial Code is praised as fair and clear⁶⁶⁸ since it has made it blatant directors' share from the net profit has to be calculated after the deduction of reserves, statutory interest and amounts (other revenue and reserve sources) carried forward.⁶⁶⁹ If there is no net profit in the fiscal year, directors would not be entitled payment from profit for distribution taken from other sources. It is fair enough that they shall be entitled payment if they have made the company to get profit in the year.

Shareholders say on pay to directors is not enough under certain circumstances. The government is entitled to intrude either by enacting specific directives or reducing the payment by way of specific decision. The intervention of government in setting board payment by enacting laws concerns banking share companies. The National Bank of Ethiopia enacted a directive that fixed payment to a director not more than 10,000 Ethiopian birr per month and not more than 150,000 birr per year.⁶⁷⁰ These are the only payments for a director of banks.⁶⁷¹ Inconvincibly, the remuneration is justified on the need to have fair payments to directors that ensure safe and sound banking business. This may allow avoiding the struggle for election but short off appointing the best mind for bank board directors since the payment is too insignificant given the work load of directors in general and in relation with banking business in particular. Similarly, the Commercial Code authorizes the Ministry of Trade and Regional Integration to reduce payment to directors from the net profit on the request of shareholders representing at least ten percent of the capital if it believes the payment is excessive having regard to financial position of the company, salaries and benefits of employees and the need to create healthy business environment.⁶⁷²

⁶⁶⁸ ፈቃዱ ደብረስ (n 426) 130&131.

⁶⁶⁹ Commercial Code of Ethiopia, 1960, Articles 353(4).

⁶⁷⁰ National Bank of Ethiopia, Limits on Board Remuneration and Numbers of Employees who Sit on Board (as amended), Directive No. SBB/67/2018, Article 4.1 & 4.2.

⁶⁷¹ Ibid Article 4.3

⁶⁷² Commercial Code of Ethiopia, Article 304 (6).

Article 304 of the Code is silent if the fixed annual payment and payment from the net profit are the only benefit packages of directors. As mentioned above in relation with banking share companies, the benefits are provided in an exhaustive manner. A member of board of directors of a certain bank cannot get payments other than up to 10,000 per month and up to 150,000 per year. There is no equivalent prohibition as regards the types of remuneration in the Code except that it regulates fixed payment and payment from the net profit. One may argue that it would not be a violation of the law if the memorandum of association provides other categories of benefit packages to directors like annual bonuses, retirement payments, residential housing allowance, and transportation allowances. This sounds if the directors have the position of executive (managing) directorship position. Their payment may even be subject to contract of hiring service whereby it arises out of negotiation between the individual director and the board or meeting of shareholders. This is supported by the reading of Article 314 of the Code which requires the disclosure of benefits to directors and general manager not just in the sense of remuneration as prescribed in Article 304 but also *in-kind benefits given to them and loan or security extended to them* (emphasis added). Otherwise, it is inappropriate to equally entitle the fixed payment and payment from the net profit both for executive and non-executive board of directors.

The other point in relation with board remuneration concerns the procedure of its determination. We understand from Article 304 that it is the general meeting of shareholders that has the power to decide over the remuneration. However, the meeting decides over agendas tabled to it generally by the board of directors. This indicates it is the board that comes up with proposal on remuneration for approval by the general meeting of shareholders. This proposal can be prepared by a specific board committee which in other country experiences named as remuneration committee. It is one of the principles of good corporate governance that the

committee members shall be selected from non-executive directors.⁶⁷³ This is intended to ensure arguably impartiality. Indeed, in Germany, the remuneration of the management board members is determined by the supervisory board which is separate and independent from it.⁶⁷⁴ When it comes to the Ethiopian experience in general, there is no additional compulsory ruling for the composition of remuneration committee neither the power to decide is given for the supervisory board, if any. However, the board is entitled to compose remuneration committee from NEDs based on its internal division of labor.⁶⁷⁵ It is highly arguable if this system ensures reducing conflict of interest on the part of the board while it prepares its own remuneration formula.

15.2.4. Powers of board of directors

As can be noted above board of directors constitutes an important corporate governance body responsible for the management of a company. The board is also described as the will and mind of the company which otherwise can't function owing to its artificial personality. However, this doesn't mean that the board is or should be the overriding governance body of the company. Depending on different factors some decision-making powers can be even irreplaceably conferred to the meeting of shareholders. The cost of exercising the power in question is one of the critical factors to be considered in dealing with the division of power between the board of directors and meeting of shareholders. This in turn depends on size of share ownership in the company. If the company's shares are owned by dispersed shareholders, allocation of overwhelming functions to the board is unavoidable given the inability of managing them by the meeting of shareholders as a result of collective action problem. The nature of the business being carried out by the company could be also another factor. If the business is too technical, it can be compulsory to get the expertise managerial benefit of board of directors on a range

⁶⁷³OECD (n 616) 48.

⁶⁷⁴Hussein Ahmed Tura (n 663) 206.

⁶⁷⁵ Commercial Code of Ethiopia, Article 301.

of activities. Due to these and other reasons corporate laws confer limited powers to the meeting of shareholders which commonly concern altering the company's memorandum of association, activities which are as close to investment decisions as they are to management decisions, and decisions on activities where the directors apparently have conflict of interest.⁶⁷⁶

The Commercial Code doesn't deal with the division of powers of directors and meeting of shareholders in systematic and clear manner. To begin with the Code confuses power, responsibility and duty of directors. For example, one of the relevant provisions on the discussion of powers of directors, Article 315, is captioned as "powers and responsibilities of the board" while its content used the term "duties". However, power and duty are different legal concepts. The powers of the board of directors refer functional rights exercisable for the benefit of the company. Power is a right given to some person for benefit of another person. When we say powers of directors, we are concerned with their rights to decide over some corporate activities for the benefit of the company.⁶⁷⁷ In this context duty refers to the restrictions against the powers of the board of directors. They are prescribed as preventive and corrective measures against the abuse and non-use of powers given to directors. Accordingly, unlike personal rights, failure to exercise functional right (power) is sanctioned with responsibility in favor of the beneficiary whom can be the company, creditor or shareholders. Thus, in this understanding we employ the term power of directors to refer their decision-making rights given to them for the benefit of the company and may be its stakeholders while duty to refer limits against their powers.

Apart from clarity issues, the Code doesn't prescribe exclusive, concurrent and

⁶⁷⁶ Paul L Davies, 'The Board of Directors: Composition, Structure, Duties and Powers'5 < <https://www.oecd.org/daf/ca/corporategovernanceprinciples/1857291.pdf> >, accessed 12/31/2022.

⁶⁷⁷ George Krzeczunowicz, *The Ethiopian Law of Extra-contractual Liability* (1970) 89. < https://issuu.com/jahrastafari89/docs/the_ethiopian_law_of_extra-contract>, accessed on 1/1/2023.

residual powers of the board and the meeting of shareholders in an orderly manner. These powers are found scattered here and there under different parts of the Commercial Code. The powers assigned to the meeting of shareholders in different provisions of the Commercial Code includes the power to amend the memorandum of association; appoint and remove board members and auditors; decide remuneration of board members and auditors; approve annual company plans and reports; approve conflicting transactions concluded by directors with the company; decide over the voluntary liquidation of the company; decide over change of business object and nationality of the company; and decide over merger and splitting of the company.⁶⁷⁸ The lists are in line with the criteria of allocating power to the meeting regarding changing company constitution, deciding matters as close to investment as management and deciding issues that inherently pose conflict of interest on the side of board of directors as well as individual directors. For example, appointment, removal and remuneration of directors cannot be assigned to the board without any say to the meeting of shareholders since they inherently carry with them conflict of interest. Directors cannot appoint, remove and remunerate themselves with the sole interest of the company. They can easily be captured by their own interest. These lists of statutory powers seem designed by the lawmaker having in mind companies with dispersed public ownership of their shares. If a company has some shareholders with concentrated holding, say six shareholders, in effect they will be running the company both in the capacity of board membership and meeting of shareholders. The memorandum of association of their companies may logically assign broader ranges of powers to the meeting since collective decision-making problem would not surface. The meeting may even decide corporate issues which are closer to management in nature like approving appointment of employees. This takes as an important caveat that the statutory powers of meeting of shareholders listed above could be in general narrowed or enlarged by the operation of the memorandum of association and meeting resolutions. However, the Commercial

⁶⁷⁸ See for example, Commercial Code of Ethiopia, Articles 394, 400, 298, 331(2), 306, 304 and 305.

Code assigned some of the powers, like removal of directors in an irreplaceable, absolute, manner that cannot be avoided by contrary terms in the memorandum and resolutions.

According to Articles 315 introductory paragraph and 324(1) of the Commercial Code, board of directors shall exercise powers assigned to them by the law, memorandum of association and meeting resolutions. Some of the powers assigned to the board by the operation of the law include managing the finance of the company; maintaining and ensuring proper financial monitoring systems; making in place risk management and internal control mechanisms; furnishing relevant information for supervisory board, if any; keeping record of different information of the company; ensuring disclosure of information to auditors and other stakeholders; submitting annual reports to meeting of shareholders; convening meetings as per the law and memorandum of association; setting up reserve funds; applying for preventive restructuring, reorganization or bankruptcy when the need arises; appointing the general manager (alternatively named chief executive officer) of the company; approving the appointment of company secretary; organizing different board committees; and redeeming shares by the company.⁶⁷⁹

These actual express statutory powers of the board carry with them implied actual powers. If we take the power to manage company finance in Article 315(1) as an example, the board has all the express and implied powers related with it that among other consists of preparing company vouchers, working in accordance with them, formulating financial internal rules, recruiting necessary finance and audit officers, and ensuring expenditures on company business objectives. This implies that the board has the power to carry out all activities to enhance the financial management of the company unless specifically given to the meeting of shareholders. This works well in relation with the other statutory powers listed above. It is also understandable that the board has the power to appoint general manager for the purpose of carrying

⁶⁷⁹Ibid Article 315.

out day to day managerial activities through delegation. The general manager can be considered as delegates of the board for undertaking the routine managerial powers on behalf of the company. As such it is accountable for the board of directors.

The Commercial Code doesn't clearly assign residual powers either to the board of directors or the general meeting of shareholders. However, from the close reading of the lists of powers given to board of directors and the effect of bypassing restrictions of its power in Article 324(3) of the Code, we can claim that unspecified corporate powers are reserved to board of directors. It has to be noted as well that both the board and meeting of shareholders exercise concurrent powers on some matters such as appointment of replacement directors.⁶⁸⁰

15.2.5. Board Decision Making

The manner of exercising power assigned to board of directors is another issue usually generally addressed by company law. The details about meeting procedures can be addressed by memorandum of association or general meeting resolutions. With this general remark in mind, the Commercial Code has provided some rules regarding board decision making to execute its powers under the law, memorandum of association and resolutions. As mentioned above the powers of the board has strategic, seasonal as well as routine (day-to-day) natures.

At least two third of the board members are prohibited from involving in day-to-day managerial functions as per Article 296(1) of the Code. These activities can be assigned by the board to some of its members who the Code calls them as managing directors.⁶⁸¹ The board may appoint a general manager either from the managing directors or from the third parties who are responsible for the general management of the day to day affairs of the company.⁶⁸² Here it is very difficult to justify the permissible position of Article 324(2) of the Code concerning ability of assigning

⁶⁸⁰Ibid Article 303(2)

⁶⁸¹ Ibid Article 324(2).

⁶⁸² Ibid Article 337(3).

all board members as managing directors and agents of the company by the operation of memorandum of association in the existence of stark prohibition of two third of the directors from engaging in the day to day managerial affairs of the company by the same Code in Article 296(1). Be this as it may, the chairperson of the board cannot in any way assume the position of managing directorship in general and general managership in particular.⁶⁸³

Save for the day-to-day managerial affairs of the company, all the powers of the board of directors shall be exercised with a board meeting. Unless a higher majority is provided by the memorandum of association, at least majority of the board members shall be present to hold the convened meeting. Decisions are passed if supported by majority of the directors present in the meeting.⁶⁸⁴ The board is a collective decision-making organ headed by its chairperson. Members cannot individually carryout board powers unless assigned by the board as managing or general manager of the company. All directors have equal voting rights in the meeting save for the casting vote of the chairperson in case of deadlock unless the memorandum of association provides otherwise.⁶⁸⁵ The voting right of a director is disqualified in a board meeting if the decision concerns the approval of the director`s direct or indirect conflict of interest over a certain transaction with the company.⁶⁸⁶

The directors can take part in the meeting personally, with proxy and electronically. Unless the memorandum of association provides otherwise the board can convene its meeting electronically. The platform must be able to identify the identity of the participant as well as enable continuous and simultaneous transmission of the proceedings.⁶⁸⁷ Subject to otherwise provisions in the memorandum of association a director can participate in the meeting through appointing another director as a

⁶⁸³ Ibid Articles 300(1) & 337(3).

⁶⁸⁴ Ibid Article 308(1).

⁶⁸⁵ Ibid.

⁶⁸⁶ Ibid Article 323.

⁶⁸⁷ Ibid Article 309.

proxy given by letter, fax or electronic email. Each director can only have one proxy in same meeting.⁶⁸⁸

15.2.6. Restrictions on powers of directors

The powers of board of directors are not vested to them in an absolute manner. They cannot exercise it as they please. They are individually and collectively bound to act within limits provided by the law, memorandum of association and shareholders meeting resolutions.

The law restricts the powers of directors with its division of power provisions. Board of directors is limited from exercising the powers of general meeting of shareholders under the law. For instance, as mentioned above removal of directors on the ground of unfitness or inappropriate conduct is the power of meeting of shareholders. The board of directors is restricted from dismissing individual directors. Apart from the division of power provisions, the Commercial Code came up with statutory duties regarding the exercise of powers of directors. They are duty of loyalty, duty of care and diligence, duty to exercise independent judgment, duty to refrain from conflict of interest on similar trading and using company opportunity, and duty to disclose conflict of interest on specific transactions. The duties constitute restrictions of the powers of directors.

The limit on power of directors may also arise out of the terms of the memorandum of association. For example, they may be required to get the approval of the general meeting of shareholders in relation with concluding a contract above a certain monetary amount in the memorandum. In addition to the law and memorandum of association, resolutions of duly held meetings could impose duties on directors.

The following discussion deals with statutory duties as restrictions on the powers of directors. With the exception of the duty of care and diligence which was slightly

⁶⁸⁸ Ibid Article 310.

addressed, the duties were not part of the 1960 Commercial Code. They are incorporated in the current Commercial Code for the first time. Accordingly, it is challenging to get court cases dealing with the duties concerning the liability of directors. The discussion doesn't benefit from analysis of cases by our courts.

i. Duty to Act within power

A company is an artificial entity which can't perform different actions unless with the instrument of its organs and agents. The actions can be contracts, crimes or torts. These actions consumed by the company by allocating and delegating powers to the meeting of shareholders, board of directors, managing directors, general manager, senior managers and lower-level managers. The general framework of division of power to the organs of the company: meeting of shareholders, board of directors and auditors is regulated by the operation of the law, memorandum of association and meeting resolutions. Further cascading of managerial power by the board of directors to the general manager, senior managers and lower-level agents involves series of delegating contracts with specific mandates. These contractual mandates determine what the agents can and can't do.

When can we take the actions carried out by the shareholders, directors or agents as the actions of the company?

This question leads us the principle of attribution. Depending on the nature of the action in question, the principle can be drawn from company law, law of agency, tort law or criminal law. The discussion here focuses on rule of attribution specific to company law since the others can be addressed by separate textbooks in the areas. The attribution of the actions to the company has been the subject of conflicting company law doctrines. They provided general frameworks to assess the effect of actions done by the board of directors, meeting of shareholders and other agents in contravention with their power limits to the company and the third party involved in the transactions. These doctrines and the relevant rules under the Commercial Code

are addressed as follows.

a. Doctrine of Ultra-virus

The doctrine of ultra-virus is a doctrine that hinges on the object clause of the company. The capacity of the company is determined by its object clause under the memorandum of association. Accordingly, any act of meeting of shareholders, board of directors and other agents that goes beyond the object clause is an ultra-virus act. The company can't be responsible for any claims of third parties that arise out of the ultra-virus contract concluded by its organs and agents. If the board of directors conclude a contract with third parties that goes beyond or unrelated with the object clause of the company, the contract is void and even the company can't validate it through ex-post ratification. The doctrine of ultra-virus was developed in the 19th century and had been causing anxieties to third parties who had dealings with companies. It has been criticized as a setback against the security of transactions concluded by the company with third parties. Based on the current UK Company Act 2006, companies are no more required to state their business purpose under their articles of association. They are presumed as having unlimited capacity. Third parties are no more worried about the security of their transactions with companies in the UK on the ground of want of capacity. More specifically, the Act has clearly disabled the effectiveness of the doctrine in section 39 which reads as the "validity of an act done of a company shall not be called in to question on the ground of lack of capacity by reason of anything in the company's constitution".⁶⁸⁹

Stating object clause in the memorandum of association is compulsory in Ethiopia as per Article 255(4) of the Commercial Code unlike the position of UK Company law. Further, Article 25 of the Code prohibits business organizations from carrying out trade which they are not permitted to carry out. Consequently, companies have no unrestricted capacity to carry out business in the Ethiopian legal regime. The

⁶⁸⁹ Davis (n 352) para 8-029.

business license is issued for companies based on the business object stated in their constitution. The provision does not address the consequence of acts done by board of directors or agents beyond the capacity of the company. If we say that the acts shall not bind the company by invoking the essence of the doctrine of ultra-virus, it will create negative repercussions on the security of corporate contracts. Third parties would be compelled to investigate the memorandum of association and business license of companies to determine the contracting capacity of the company. This affects the interest of third parties. It also affects the interest of companies in the long run since third parties would not dare to conclude contract with them on fear of nullification of the transaction for lack of corporate capacity. This is not an appropriate regulation in these days of busy and complex market transactions. That is why the doctrine crushed from its core in the UK Company Act. The fact that our lawmaker preferred security of commerce in case an act is carried out by transgressing a prohibition under the law can be understood from, albeit in relation with traders, Article 23(2) of the Commercial Code. This can be affirmed by Article 324(3) of the Code which protects third parties who contracted in good faith with the managing directors and agents of the company though the contract concluded in violation of restrictions in the memorandum of association provided that lack of company capacity is considered as a restriction.

If we accept the argument that lack of company capacity should not be raised as a justification by the company to escape from the contractual claims of third parties in good faith, the question that remains is that why the Commercial Code required stating the company object in its memorandum of association? The inclusion of the business purpose could still be relevant as internal control mechanism on the organs and agents of the company. The fact that third parties in good faith are enshrined even if their contract with company organs or agents is ultra-virus doesn't entail the organ or agent that concluded the contract necessarily escapes from liability.⁶⁹⁰

⁶⁹⁰ Commercial Code of Ethiopia, Article 325 (1).

b. Doctrine of Constructive Notice

Constructive notice is the other doctrine developed by common law rules of UK in the nineteenth century. Based on the doctrine third parties are presumed to have read and understood the contents of the public documents of the companies. If the memorandum of association of company registered in the commercial register, third parties who choose to conclude a contract with the company through the board of directors is deemed to have known the powers and restrictions of the powers of board of directors. Consequently, if the board of directors exceeds its power under the constitution of the company in concluding the contract, the third party cannot claim performance of the contract. The company may opt to ratify the contract but not bound by it. Based on the doctrine, contracts concluded by directors can be attributed to the company if the board acted within the limits of its power provided that the constitutional document that consist the limit is registered and deposited in public registry. This rule of attribution is against security of transactions, increases transaction cost and discourages contracting with the company. In general, it is not favorable to modern commercial activities as a result it gave way to the doctrine of indoor management.⁶⁹¹

The doctrine of constructive notice is not in general recognised in the Commercial Code of Ethiopia. A share company cannot avoid performance of a contract concluded by the board of directors that goes beyond their powers merely on the ground of presuming the contracting third party has read and known the restrictions of power from the public documents of the company. It seems that the doctrine already become obsolete in its country of origin, UK, before it got its way even into the 1960 Commercial Code let alone the revised Code. However, it must be noted that the company and under some situation the shareholders and creditors have the right to bring an action against the board of directors or individual directors that

⁶⁹¹ Davis (n 352) para 8-005.

caused damage for concluding contracts exceeding their powers.⁶⁹²

c. Doctrine of Indoor management

Based on the doctrine of indoor management, third parties who made a contract with the board of directors of the company is required to read the constituting document of the company but not investigate the same. It was developed as a reaction to the doctrine of constructive notice which was taken as a danger to security of commerce. The third parties dealing with the board of directors cannot be adversely affected owing to internal irregularities with the management of the company if they understand no restriction of power from external fact, public documents of the company, unless they actually knew or put in to enquiry to know the restrictions. This established the earlier foundation of the current position of Section 40 of the 2006 UK Company Act which doesn't totally require third parties to know the restrictions of the powers of directors. Third parties in good faith can conclude contracts with the board of directors entirely believing that its powers are free from any restriction. Good faith of third parties is presumed and knowledge of the restrictions is not by itself sufficient to constitute bad faith.⁶⁹³ This is somehow similar with the relevant provision of our Commercial Code as can be construed from the ensuing discussion.

Article 324 (3) of the Commercial Code incorporated the modern version of the principle of attribution of the contractual acts of board of directors to the company developed after the doctrine of constructive notice and indoor management. Whether our company law has gone through similar trajectory from assuming knowledge to disregarding duty to know the restrictions of power on the board of directors on the part of contracting third party is highly questionable. Surprisingly, the development of the rule of attribution seems regressive if we compare the revised Commercial Code with its predecessor. As it can be seen from below the security of transactions

⁶⁹²Commercial Code of Ethiopia, Article 325 (1), 329 & 330.

⁶⁹³ Davis (n 352) para 8-007-8-015.

could have been better protected by the rules of attribution of the earlier Code. For purpose of a detail analysis Article 324(3) of the Code and its equivalent under the 1960 Commercial Code are reproduced here.

Article 324(3) of the revised Commercial Code provides:

Directors authorized to act as agents for the company may exercise in its name their powers as agents. Any restriction on their powers shall not affect third parties acting in good faith.

Article 363(3) of the 1960 Commercial Code provides:

Persons authorized to act as agents for the company may exercise in its name their powers as agents. Any restriction on their powers shall not affect third parties acting in good faith.

As it can be read from the two provisions, Article 324(3) of the revised Code is prescribed to regulate the effect of restrictions on managing directors in their dealing with third parties unlike that of 365(3) of 1960 Commercial Code which is used to apply for any person authorized to act as agents. This implies that third parties in good faith may not be protected if they deal with agents of the company other than managing directors. If these agents conclude a contract with third parties going beyond the power of authorization, determining the attribution of the contract to the company is now left for the general law of agency under the Civil Code with the exception of the general manager.

Contracts concluded by the general manager in contravention with the limits of his power are governed by Article 339 of the Code. Based on (1) of this Article if the restrictions on power of the manager in the contract of employment of the general manager or if the decisions of the board of directors are not entered in the commercial register, they don't affect the interest of third parties. The violation of the restriction will have effect only as between the company and the general

manager. What effect follows if the manager concluded a contract with third parties breaching restrictions entered in the commercial register? Article 339 doesn't provide a rule to sanction effect of contracts of the general manager for the company that violates his limits of power. Sub-Article (2) of Article 339 might have been envisioned to regulate this but as it appears now it is blurred with vagueness. It says "the company shall be bound by the actions of general manager based on sub-Article (1) of this Article only for the benefit of third parties in good faith." Sub-Article (1) governs the effect of violating restrictions on power of the general manager on the event of non-entry of the restrictions in the commercial register. If we must give meaning to sub-Article (2) of Article 339, we have to claim that third parties who conclude contract with the general manager of the company in violation of a restriction not-entered in the register could only be protected if they concluded the contract in good faith. On the basis of this understanding and the contrary reading of Sub-Article (1) of Article 339, if the contract concluded in violation of registered restrictions, the third party cannot be protected even if he is in good faith. In other words, it seems that the doctrine of constructive notice is still effective in relation with attributing the actions of the general manager. It can be argued that Article 324(3) is not applicable on the regulation of an action of a managing director who is appointed as the general manager of the company since this is clearly prescribed in Article 339 of the Code.

Third parties in good faith are entitled to security of transaction in Article 324(3) if they undertake the contract with a managing director. If they conclude the contract with non-executive directors, they may not claim the protection on the basis of the provision. The attribution of the contract can be decided on the basis of agency law. It is clear that third parties can assume no power limitation and freely transact with the executive directors. If the company wants to avoid the contract concluded by these directors, it is duty bound to prove the bad faith of the third party. Whether proving actual knowledge about the power limit of the managing director on the side of third parties suffice to establish bad faith is not addressed under our Commercial

Code.

The other issue regarding the provision concerns disregard of restrictions provided by the law. Can the third party depend on Article 324(3) if the director concluded a contract on behalf of the company with him infringing the limits of power provided in the Commercial Code? The provision is not clear on this matter. But, protecting the third parties from a contract concluded in violation of restrictions provided by the law amounts to encouraging them to ignore the law. Accordingly, it is against the well settled principle that proscribes subjects from invoking ignorance of a law as a defense.

The third party in the provision shall not also include directors or persons affiliated with directors in the meaning of Article 306 of the Commercial Code. The contractual relation of a directors and persons affiliated with the directors are governed by the separate body of rules in the Code that regulate conflict of interest. Allowing directors to benefit from a contract they concluded with the company in violation of restrictions of power on the ground of good faith amounts to enabling them to profit from their wrongs.

ii. Duty of Loyalty

According to Article 316(1) directors are bound to promote the success of the company. They shall conduct for the benefit of the shareholders of the company as whole. This seems influenced by the contract theory which claims directors as agents of meeting of shareholders. In fact, sub-Article (2) of the provision requires directors to take into account the interest of the employees of the company, creditors of the company, the community and the environment to promote the long-term of success of the company. The interest of stakeholders is considered as an instrument rather than an end by itself. Working for the success of the company is basically equated with working for the success of the shareholders as a group. Stakeholders' interest reflected in the concession and real entity theories are endorsed as a tool rather than

an end.

Directors have the freedom to choose the course of actions that promote the success of the company and shareholders. They are required to act in good faith in a way they consider promotes the success of the company. This is the subjective element of the duty of loyalty as stipulated in Article 316(1) of the Commercial Code. If directors carried out an act honestly believing it is in the interest of the company, they are taken as to have acted in good faith.⁶⁹⁴ The determination of good faith should be based on whether an intelligent and honest director could in the whole circumstances reasonably believe the transaction to be for the benefit of the company.⁶⁹⁵ The obvious examples of transactions that go against the good faith requirement concerns self-dealings carried out in violation of conflict of interest provisions of the law. If a director concludes a contract in the name of the company with his wife without the approval of the board of directors or shareholders depending on the magnitude of the transaction, the act does violate not just the rules that require the prior disclosure and approval of the transaction but also the rules that deal with the duty of loyalty as well.

iii. Duty to exercise Independent Judgment

The duty to exercise independent judgment is prescribed in Article 317 of the Commercial Code as a replica of Section 173 of the 2006 UK Company Act. The purpose of the duty is to ensure directors exercise their powers free from the control of another person. It is to guarantee the discretion of the directors in exercising their powers at individual or collective level. However, if the directors' discretion in carrying out their responsibilities restrained by a prior validly concluded agreement of the company, power allocation provisions of the memorandum of association or the terms of the resolution, it cannot be counted as a violation of duty to exercise

⁶⁹⁴ Hannigan (n 540) 184.

⁶⁹⁵ Ibid 186.

independent judgment.⁶⁹⁶

Apart from these legally stipulated cases on non-violation, the duty has been assessed from the points of taking advice and delegating authority, limiting exercise of future discretion, duty of strenuous dissenting directors, and nominee directors under the common law of UK.⁶⁹⁷ Bearing in mind that the duty to exercise independent judgment is one of the new developments of the revised Commercial Code and transplanted from the UK Company Act, it would be insightful to provide some discussion regarding the points as expounded in the common laws. The duty doesn't prohibit directors from garnering an advice they believe would help them to take an appropriate decision to promote the success of the company. However, they shall be free to either accept or reject the advice; not obliged to be bound by the advice as an instruction. The same works good when it comes to delegation. It can't be considered breached of the duty if a director delegates his responsibility to another person in accordance with the law. As addressed above, the Commercial Code allows directors to discharge their responsibility of taking part in board decision making through appointing a proxy if and only if the proxy is selected from the board members.

The second point analyzed in light of its implication to the duty to exercise independent judgment relates whether the directors can conclude a contract with one another or third parties that restrict their future discretion in the discharge of their powers. This should be addressed cases by cases bases depending on the nature of restraint in the agreement. It is stated that it is a breach of the duty if directors waive or restrict their discretion in their future participation and voting in the meeting of board of directors. On the other hand, if the restriction of discretion related with the performance of a certain contract concluded by the board of directors on behalf of the company with the objective of promoting the success of the company, the

⁶⁹⁶ Commercial Code of Ethiopia, Article 317(2).

⁶⁹⁷ Davis (n 352) para 10-040 to 10-044.

restriction could not be considered as breach of the duty. This seems close to the take of the Commercial Code in Article 317(2(b)).

Thirdly, it is illuminated that a director cannot destabilize the healthy functioning of the board on the guise of discharging exercising independent judgment. A director has the discretion to support or reject a proposal for decision at the board meeting. She can challenge any issue presented for decision at the meeting. But, using the duty to exercise independent judgment as cover cannot be a justification to strenuously dissent once decided in the meeting of board of directors outside the meeting by contacting shareholders individually or to other inappropriate persons.

The last point concerns the case of nominee directors. If the company has various classes of shareholders, each class is entitled to have their own nominee director in the board of directors as per Article 299 of the Commercial Code. This works as well in the case of banking share companies where by shareholders holding 30% of the capital of the company can cumulatively nominate and appoint proportional numbers of directors. The question is would it be a violation of the duty to exercise independent judgment if a director restrains his discretion in favor of the nominator? The Code doesn't provide any ruling unlike that of the case of UK Company law that clearly unbound the nominee from being bound by the class interest.⁶⁹⁸ This means fettering discretion with the purpose of advancing the interest of the nominator can be counted as a violation of the duty to exercise independent judgment.

iv. Duty of Care, Skill and Diligence

Article 318(2) of the Commercial Code compels directors to discharge their powers with care, skill and diligence. They are responsible to make good any damage they caused to the company and shareholders owing to lack of care or diligence. Whether a director exercised care, skill and diligence over a certain issue is measured

⁶⁹⁸ Ibid 10-044.

by the general care, skill and diligence expected from a reasonable director of a company assigned to run the same functions.⁶⁹⁹ This is clearly an objective measurement of duty of care, skill and diligence. It doesn't take in to consideration the general personal situations of the individual directors whose action comes under assessment which includes his level of knowledge, skill and experiences. It seems that the Code is considering directorship as a profession as it provides an objective measurement, reasonable director. Practically, meeting of shareholders appoints directors with different levels of experience, expertise, competency, and age. This reality makes it challenging to provide a measurement that ignores these personal peculiarities. It may expose directors to unnecessary actions in the absence of minimum criteria about the knowledge, experience and skill of directors in the Commercial Code.

This may be the reason that the equivalent provision in the UK Company Act provided both objective and subjective tests to assess violation or otherwise of the duty of care, skill and diligence where by the specific personal qualities of the director and his functions in the board of directors can be taken in consideration which includes the nature of director's position, seize and type of company, his experience, and knowledge⁷⁰⁰

v. Refraining from or disclosure of conflict of interest

The Commercial Code has regulated different circumstances that lead conflict of interest between the company and directors. These no-conflict rules adopted different measures based on the nature of the situation. The measures span from disclosure of the transactions to the board of directors to total prohibition. In between, the Code requires ex-ante approval either by the board of directors or general meeting of shareholders concerning certain transactions which manifest

⁶⁹⁹ Commercial Code of Ethiopia, Article 318(2).

⁷⁰⁰ Davis (n 352) para 10-046.

conflict of interest. These no-conflicts rules are provided under Articles 306, 307, 314, 319, 320, 321, and 322 of the Commercial Code. The conflict-of-interest situations with the respective provisions are discussed herein after.

a. Self-dealing (dealing between a director and company)

Directors may have interest in a given proposed company transaction. This is not unnatural. Director's entering into the transaction either directly or indirectly with the company without disclosure and approval by the relevant organ of the company is generally condemned by the law.

Article 321 of the Commercial Code imposes the duty to disclose any situation that potentially involves conflict of his interest with the company on a director to the board of directors. The situation may concern an interest in a proposed company contract or it can be an existing transaction. The concerned director is required to disclose the nature and extent of his interest in the transaction. The disclosure should be made immediately after the conflicting situation comes to the knowledge of the interested director. A director may have an interest in an existing transaction if he has established a business relation with the company already before his appointment. In accordance with Article 321(2) and (3), he must inform the other directors or board of directors the details of the transaction as soon as he knows it. The provision doesn't provide an exception to the disclosure requirement of conflicting situations if the other directors had already the information. The methods of disclosure are not regulated in this provision. The question that must be asked concerns the measures of the board following the disclosure of the conflicting transaction. It can be logical to claim that the directors will either approve or reject the involvement of the director in the transaction. Equally important is the effect of failure of the board to either approve or reject the proposed transaction. It may constitute a violation of their statutory duties.

Prior board approval

Mere disclosure to the board is not enough for any dealing between a director and the company in accordance with proposed or existing transaction to be acceptable. The Commercial Code requires either approval by board of directors or bi-level approval by the board and general meeting of shareholders based on the amount or type of the transaction in question.

The board of directors is obliged to approve any transaction between the company and affiliated persons if the value of the transaction is less than 10% of the assets of the company.⁷⁰¹ As it can be recalled from previous chapters asset is different from capital of the company. It can be higher or lower than the capital depending on the profitability of the company following its formation. It is realistic to calculate the approval power of board of directors relative to asset rather than capital. Based on the provision, prior approval is not limited to transactions concluded by a company with the director since the Code clearly includes auditors, general manager, members of supervisory board and company secretary and other persons affiliated with them by consanguinity, affinity or business relations in the meaning of Article 306(6). The provision tries to protect the taking of company property by these persons in the name of contracts. The transaction becomes void if made without prior board approval. The auditors are required to prepare a special report concerning the transaction and present it to the general meeting of shareholders. The meeting renders a decision it may consider appropriate concerning the transaction on the bases of the report. If the dealing approved by the meeting, minority shareholders may still challenge it on the ground of serious damage to the company or fraud. If the dealing is rejected by the meeting on the ground of serious damage or fraud, the members of board of directors are jointly and severally liable to the company. In such cases, the dealing loses its validity and force on the company.⁷⁰²

⁷⁰¹ Commercial Code of Ethiopia, Article 306(1).

⁷⁰² Ibid Article 306(2)-(4).

It must also be underlined that board of directors' failure to either reject or approve proposed direct or indirect self-dealings by the director constitutes a violation of the legal restrictions on the exercise of their power. The director or persons connected with him who is party to the transaction cannot in any case invoke his good faith and claim the enforcement of the transaction by the company as per Article 324(3) of the Code. The contract may however, be ratified by the general meeting of shareholders even though not approved in advance by the board of directors.

Prior shareholders' approval

Prior approval power is specifically assigned to general meeting of shareholders on selected self-dealings. It is submitted that requiring in advance general meeting approval of these transactions tantamount as prohibition of conclusion of the transaction since the meeting may not be generally called frequently, particularly regarding companies with many shareholders. Nonetheless, the Commercial Code requires shareholders advance approval in the following transactions.

The first concerns substantial monetary amount transactions. If the momentary value of the proposed dealing between the affiliated person and the company is 10% or more of the assets of the company, the dealing can be validly concluded if the general meeting of shareholders approves it. Before it is made an agenda of the meeting, the transaction should be disclosed to the board of directors based on Article 321 of the Code. If the meeting believes the terms of the proposed transaction promote the interest of the company, it submits it for the general meeting of shareholders. The meeting can either approve or reject the transaction. The external auditors of the company are required to submit detail information about the transactions and recommend whether the meeting shall approve it or not. If the meeting approves it, a report about the transaction should be compiled and submitted to the Ministry within 72 hours from meeting approval and should be posted in the website of the company. If the transaction is not approved by the meeting and reported to the relevant organ of government, it may be invalidated by the court on the application

of the company, shareholders or creditors of the company. The contract would be voidable on the choice of these persons. Following invalidation, the company may be entitled both compensation and account of profit arising out of the transaction. The director who has direct or indirect interest in the transaction is prohibited from voting in the general meeting considering the approval or rejection of the transaction.⁷⁰³

Granting of loan and providing security for the loan of a director by his company is the other transactions that require the prior approval of general meeting of shareholders. Unlike that of conflicting transactions, prior approval by the meeting is a precondition irrespective of the amount of loan or security advanced by the company to the director. The external auditors must submit a report concerning the loan or security to the meeting before it passes a resolution.⁷⁰⁴ The loans and securities advanced by the company to directors can constitute a dilution of remuneration control provisions of the law unless permitted exceptionally by the general meeting of shareholders. If prior approval is left for the board, the other directors may not seriously assess the loan or security transaction with the expectation of similar treatment in their turn. This is otherwise termed as the problem of “mutual back scratching” among directors.⁷⁰⁵

The remuneration of the directors and the general manager must also be submitted in the form of a report to the annual general meeting of shareholders. The report shall indicate the details of payments made to them in the year with clearly including whether the director or manager granted loan or security by the company or not. Approval of remuneration of directors is reserved for the general meeting of shareholders owing to manifest presence of conflict of interest.⁷⁰⁶

⁷⁰³ Ibid Articles 306(1) & 395.

⁷⁰⁴ Ibid Article 307.

⁷⁰⁵ Davis (n 352) para 10-075.

⁷⁰⁶ Commercial Code of Ethiopia, Articles 304 & 314.

Exceptions to board and general meeting prior approval

Disclosure and prior approval of dealings between affiliated persons and the company is not required if the dealings constitute part of the routine dealings of the company. If a contract concluded by the director and the company is in the same manner as normal dealings between the company and its clients, they are understood as routine transactions. The director or other affiliated person enters into the dealings under the same commercial terms as other clients of the company.⁷⁰⁷ For example, in the case of bank share company, its directors can deposit and with draw money as good as the other clients of the bank without the need for prior approval. Can the director borrow money from the bank without the prior approval of the general meeting of shareholders?

b. Trade competition with the company

Conducting trade by a director for himself or on behalf of another person similar with his company presents a clear case of potential conflict of interest. If a director carries out similar business or holds multiple directorship or managerial positions in other rival business, it may even result in expropriation or erosion of the goodwill of the company. In this regard, the position of the Code in Article 319 is generally prohibition. But exceptionally a director may carry out similar business for himself or on behalf of third parties based on prior approval of the general meeting of shareholders.

How do you assess the application of this prohibition of conducting similar business like the company if directors become a member of joint venture business organization that carryon similar business with the company? Is the director after all required by the law to disclose the existence of the venture in the first place?

⁷⁰⁷ Ibid Article 306(5).

c. Exploitation of property and business opportunity

Exploitation of the property, information or business opportunity of the company by the directors is the other subject matter of no conflict rules of company law. In accordance with the duty of loyalty directors are bound to promote the interest of the company and shareholders as group taking into account the interest of other stakeholders of the company but not their own direct or indirect interest. According to Article 320 of the commercial code, it is prohibited for a director to exploit the property and proprietary information of the company for his own benefit. Exploitation of corporate business opportunity may happen in the context of unrelated party transactions. The prohibition is serious since it works whether the company avoids using the opportunity and even the directors ceased her functions of directorship. The difficulty courts may face here in real disputes on the basis of this provision concerns the identification of corporate opportunity. It is described as to include any business opportunity which normally came in the business lines of the company but not taken up by the latter owing to financial factors, concealing of the opportunity by the director or any other reason.⁷⁰⁸ The directors are prohibited from diverting a business opportunity of their company in favor of themselves or to their affiliate third parties. The only exception to exploit corporate opportunity is based on the disclosure and approval of either the board of directors or general meeting of shareholders.⁷⁰⁹

d. Accepting benefits from third parties

A director is prohibited from receiving benefit from third parties in exchange for his directorship position in the company. This creates potential conflict of interest between himself and the company. However, he can take donation or other benefits from third parties if it is totally unrelated with his position. It is still possible to accept the benefit with the approval of the non-beneficiary directors or meeting of

⁷⁰⁸ Davis (n 352) para 10-084.

⁷⁰⁹ Commercial Code of Ethiopia, Article 320(5).

shareholders. The principle of prohibition of benefits from third parties applies even after the expiry of the position of the directorship in the company.⁷¹⁰

e. Granting benefits to third parties

While the directors are prohibited in general from receiving benefits connected with their position from third parties, the Code doesn't clearly provide a rule regarding making donation by directors to third parties. Conflict of interest may arise if the directors make the donation for the purpose of promoting their personal interest rather than the interest of the company. This specially concerns political donations. Under the UK Company law directors can legally donate for political parties on the bases of general authorization in the articles of association or resolution of meeting of shareholders.⁷¹¹

The Commercial Code imposes duty of loyalty on directors. Based on this, directors are allowed to take any action which they consider in good faith promotes the interest of the company. They can make donations to the community and associations if they honestly believe promote the interest of the company. The room for donations seems not closed by directors as part of discharging corporate social responsibility of their company towards its external stakeholders in accordance with Article 316(2) of the Commercial Code.

vi. Duty to ensure corporate transparency

Disclosure of material, quality and timely company information is one of the six principles of corporate governance under the OECD Corporate Governance Principles as discussed in the previous chapter. The materiality of the information is determined based on the interest of the person who requested it. Availability and accessibility of company information entitles the company, shareholders, creditors, government, and the general public to evaluate the status of the company with a view

⁷¹⁰ Ibid Article 322.

⁷¹¹ Davis (n 352) para 10-100.

to safeguard their respective interest. The disclosure of information helps creditors to assess the ability of the company in meeting their claims and take measures in case an event that affects their right happens. It is an important means of monitoring their rights against the company. It also vital to the shareholders since it is an instrument for the enjoyment of their right to transfer shares, exercise preferential right to subscription, control the directors and auditors of the company, and in general application of their rights through including initiating litigation. Disclosure means a lot for the government among other for taxation, prevention and prosecution of money laundering, corruption, and financing terrorism. It assists the investing public which wants to purchases securities from the capital market.⁷¹²

The primary responsibility to make sure the establishment of system, organizing the resources, preparing and timely disclosure of material information to different stakeholders of the company lies on the shoulder of the board of directors. This is reflected in various provisions of the Commercial Code that deal with disclosure in different manners for different stakeholders. The following discussion addresses some of these provisions.

The directors are responsible for the preparation and submission of periodic financial and operating reports of the company. It is mandatory for them to prepare these reports and submit to the government, external auditors, shareholders and general meeting of shareholders. The reports includes balance sheet, inventory of assets, profit and loss account, statements about remuneration of directors and general manager, approved transactions with affiliated persons, affiliated party transactions for approval by general meeting approval of shareholders, concentration of share ownership with 5% or more of the capital to an individual or with his affiliates, and other transactions that need.⁷¹³ The report and other information should be also

⁷¹² ፈቃዱ አጥሮስ (n 426) 223 &224.

⁷¹³ Commercial Code of Ethiopia, Articles 426, 427, 381, 382, 311(3), 312,213(1-3), 314, and 315.

provided to supervisory board when it requests.⁷¹⁴ For this purpose the board must ensure the availability of the necessary personals, institutions and procedures.

The board is also under obligation to ensure the organization of different registers in the Commercial Code. These are shareholders register⁷¹⁵, register of affiliated persons⁷¹⁶, and register of shares and debentures held by directors in the company, its subsidiary and holding companies.⁷¹⁷ The registers are open to the inspections of shareholders, supervisory board, auditors and the government. Third parties have also access to these registers up on following the procedure and payment of fees.

15.2.7. Liability of directors

Directors commit acts that result in infringement of duties they owe to the company, individual shareholders or creditors. For the duties to be meaningful and the whole system of company law to be effective, the law should provide the conditions and procedures for holding them liable in case of infringement. However, it is equally worrisome to expose directors for actions on every breach of duties from individual shareholders and creditors for the company's cause of action. Making the gate freely open for bringing an action against the directors for every alleged breach of duties may be harmful to the company and shareholders in a number of cases. For instance, it may potentially divert the focus of the board from the main business to litigation, adversely affect the reputation of the company or may be used for promoting personal interest rather than the company. The Commercial Code devised the provisions governing action for liability of directors by taking these diverging thoughts into consideration. It out lined the conditions and procedures for initiating proceeding by or on behalf of the company, by the shareholders and creditors of the company. The following discussion addresses these provisions.

⁷¹⁴ Ibid Articles 315(4) & 332(1).

⁷¹⁵ Ibid Article 274.

⁷¹⁶ Ibid Article 311

⁷¹⁷ Ibid Article 313.

i. Company Action

Directors are jointly and severally liable to the company for any damage they caused to it as a result of failure to discharge their duties prescribed in the law, memorandum of association and resolutions passed at general meeting of shareholders.⁷¹⁸ As can be understood from Article 325(2), they are not strictly liable for the damage they inflicted to the company. The provision adopted rather due care and diligence as a standard of liability. If the directors exercised due diligence in the process of managerial and monitoring decision making, they are not liable even if the company sustains loss. The burden of showing due care and diligence lies on the defendant director or directors.

Agreements or provisions in the memorandum of association or in other contracts that immune directors in advance from liability in connection with negligence, breach of duty or breach of trust to the company are null and void. This extends agreements that directly or indirectly undertake to indemnify directors for liability to the company in connection with breach of their duties.⁷¹⁹ The law seems doubted the reality of the consent given by the shareholders as a whole in advance in the memorandum or contracts. Two exceptions provided in Article 326(4) and (5) against this principle of nullity. *First*, the company can purchase indemnity insurance in advance pursuant to breach of their duties. Here the exception appears to be justified that insurance companies don't extend cover for liability arising out of willful disregard of duties. The amount of cover is also limited to the amount specified in the insurance policy. *Second*, the company may agree to extend funds to cover the cost of the legal defense of directors for actions brought against them by the government, creditors and shareholders' subject to refund if they lose the case. This appears to be allowed as an exception to encourage directors to assume the position by taking over the cost of possible court actions against them.

⁷¹⁸ Ibid Article 324(1) & 325(1).

⁷¹⁹ Ibid Article 326(1), (2) & (3)

As a matter of principle actions for enforcing the liability of directors for breach of their duties by or on behalf of the company can't be lodged before the court of law without a resolution of the general meeting to do so.⁷²⁰ The resolution can be considered and passed despite it is not part of the agenda. The need for general meeting resolution may be to protect the harassment of directors one another or by the general manager through court suits as a result of presenting a challenge in board decision making. It may also enable the meeting to evaluate whether the breach of duties require litigation and cost-benefit implication of the litigation to the company. The company can't initiate the proceeding in the absence of permission from the general meeting of shareholders.

If the company lodges an action against directors on the bases of general meeting of shareholders resolution, the director can defend himself in accordance with the following grounds:

Business judgment rule

The rule is provided as a defense to directors against a court action for causing damage to the company. The business judgment rule is described as one of the least understood concept of company law.⁷²¹ It is a rule that is intended to balance the accountability and autonomy of directors in corporate decision making.⁷²² As can be remembered, directors are responsible for the management of company's finance which among others compels them carry out different business decisions after making risk assessment. The business judgment rule immune directors from personal liability for alleged breach of duties if the company sustains loss as a result of these decisions if the following elements of the rule in Article 327(1) of the Commercial Code proved to the satisfaction of the court by them. *First*, the decisions that caused damage to the company should be made in good faith. The director's

⁷²⁰ Ibid Article 328(1) & (3).

⁷²¹ Lori McMillan, 'The Business Judgment Rule as an Immunity Doctrine' (4 Wm. & Mary Bus. L. Rev. 521 2013) 526. < <https://scholarship.law.wm.edu/wmblr/vol4/iss2/5>>, accessed 1/6/2023.

⁷²² Ibid 528.

state of mind while making the decision should be honestly advancing the interest of the company. *Second*, the decision must be made taking into account all the relevant information and circumstances of the time. Mere honesty is not enough. Rather the decision should be benefited from analysis of all the situations to the best of the understanding of the defendant director. *Third*, the decision must not involve conflict of interest between the company and the defendant director. If these elements are fulfilled, the court is not allowed to second guess the decision of the defendant directors through retrospective inspection of their acts which may appear erroneous.

Dissenting voting

A director can also defend himself against an action for liability if he dissented during the passing of board decision that caused damage to the company. The director should notify to the external auditor about the decision that he dissented from. Dissenting and notification are cumulative conditions for the dissenting voting to be successfully invoked as a defense against the action for liability by or on behalf of the company.⁷²³ This magnifies the significance of exercising independent judgment on the side of the directors. Apart from its role for constrictive board decision making, it can be used as a safeguard against personal liability.

Legality of the act

The legality of directors' decisions that caused damage to the company is the other obvious defense for directors against an action for liability. If they made the decision on the basis of a resolution of the general meeting of the shareholders, provisions of the memorandum of association or the law, then it is consistent with the law. For example, a director is obliged to disclose and get approval from the general meeting of shareholders to use corporate opportunity for himself as per Article 320(5). The director may have amassed money from exploiting the opportunity on the bases of

⁷²³ Commercial Code of Ethiopia, Article 327(2).

the approval. Following this if the company brings an action against him to account the profit, the director can successfully defend himself by pleading the legality of his action.

Period of limitation

Actions against directors and members of supervisory board by the company, shareholders or creditors are barred after two years from the date the claimant knew of the damage and the wrongful act. The action is absolutely barred ten years from the occurrence of the wrongful act. This doesn't apply for the criminal prosecution of the directors and members of supervisory board.⁷²⁴

ii. Creditors Action

Directors are primarily responsible to work for the success of the company. They owe duties towards the company. This doesn't mean that they bear no obligation for the internal and external stakeholders of the company. In the discussion about duty of loyalty it is pointed out that directors are required to take in to account the interest of the stakeholders including creditors. However, the primary right holder against directors, changes from the company to creditors when the company runs into insolvency.⁷²⁵ They are responsible to maintain the assets of the company for the benefit of the creditors if there is no reasonable prospect that the company would pay its debts. If directors continue undertaking the business of the company knowing or while expected to know that the company heading to insolvency, they are liable for any damage the creditors suffer. They are required to cease trading and apply for the opening of proceeding for reorganization or bankruptcy. If directors fail to cease trading and preserve the assets of the company while the company is within the vicinity of insolvency, they are responsible to make good the reduction when the assets are not sufficient to meet the claims of its creditors. The actions of creditors

⁷²⁴Ibid Article 335.

⁷²⁵ Keay, 'The Shifting of Directors' Duties in the Vicinity of Insolvency' (International Insolvency Review, 24 (2). 140-164, 2015) < <https://doi.org/10.1002/iir.1236>>, accessed 1/6/2023.

against directors cannot be affected by company's decision not institute proceeding on the directors.⁷²⁶ The Commercial Code doesn't entitle creditors to bring proceeding against directors if the company is not within the vicinity of insolvency. If the company is solvent, they can bring the action against it if there is non-performance of their claims in contracts.

iii. Shareholders Action

Shareholders may bring an action for the liability of directors. The actions can be derivative or personal. Derivative actions can be lodged for the enforcement of breach of duties of directors owed to the company. Whereas the personal actions entitle a shareholder or group of shareholders for the enforcement of duties owed to them by directors or other shareholders. The ensuing analysis covers the provisions of the Commercial Code on these actions.

a. Derivative actions

Derivative actions are brought by shareholders in the name and on behalf of the company against directors. As discussed above directors are primarily duty bound to the company. If they breach their duties, it is the company that decides and brings actions against them. However, sometimes the company may not be in a position to do so for various reasons. It may be the directors that breached their duties and caused damage to the company are still directly or indirectly in control of the management of the company. In these cases, a proceeding may not be generally instituted by the company even if the general meeting of shareholders passed resolution for that purpose. Derivative actions are destined to solve this problem.

Article 328(2)-(6) of the Commercial Code allows and regulates derivate actions as an exception. The following conditions are should exist for instituting and continuing the action. *First*, as a rule there shall be a resolution by the general

⁷²⁶ Commercial Code of Ethiopia, Article 329.

meeting of shareholders to institute a proceeding against the directors for the damage they caused to the company in breach of their duties. In the absence of supportive resolution for action or in the existence of resolution that ratified the wrongful acts of directors, shareholders cannot lodge derivative action. *Second*, failure on the side of the company to institute the action by itself should be established. The company is a legal person that can sue or be sued. If its interests are injured by directors or other individuals, it can claim for remedies. This upholds the real entity theory of the corporation. However, sometimes when the very organ of the company, board of directors, is the subject of the wrong, the company may not be able to bring the action owing to apparent conflict of interest. After passing resolution to sue directors if the company fails to institute the action within three months, the shareholders can bring derivative action on its behalf. However, the shareholders are entitled to bring the action without following the two procedures if the wrongful act of directors that caused damage to the company arises out of breach of their duties to the company to avoid and control conflict of interest. The shareholders can directly lodge the action in the absence of resolution since the Code impliedly seems presumed that if the directors would not avoid their interest while concluding the conflicting transaction, they would not avoid it for instituting the action. *Third*, shareholders shall form a group that constitutes at least ten percent of the capital of the company. Minority shareholders holding less than ten percent of the capital of the company cannot bring derivative action. Neither can individual shareholders bring the action. From the reading of Article 328(2) and (3), it looks that both amount of shareholding and number of individual shareholders relevant for forming the group where by an individual shareholder who controls ten percent or more of the capital of the company seems prohibited from bringing the action. The law maker seems worried about the possibility of lodging excessive cases against directors in barring individual shareholders from initiating derivative actions. *Forth*, derivative actions are only reserved to shareholders. Other persons like successors of shareholders, creditors of the company, and employees are not allowed to take the

actions.

The company on whose behalf derivative action brought against the directors is bound to cooperate in allowing access to documents. It is also required to bear the expense of the litigation lodged bona fide regardless of the outcome.

b. Personal actions

Shareholders may sustain loss as a result of the fault or fraud of the directors separate and independent from loss to the company. Article 330 of the Code entitles the shareholders or third parties to bring legal action against directors if they suffer loss personally and directly owing to the act of directors. What is implicit from this personal litigation right of shareholders is that under some cases directors owe duties to individual shareholders though primarily owe to their company. Based on the terms of Article 330 of the Code, personal action against directors by shareholders is allowed if the following cumulative conditions are satisfied. *First*, a shareholder should sustain loss as a result of the fault or fraud of directors. In the absence of loss, it seems they are proscribed to sue directors merely for violation of rights. The mention of fault and fraud avoids strict liability on directors for shareholders. *Second*, the shareholders shall suffer the loss personally. They should sustain damage as a result of violation of their personal rights in the company. Shareholders have rights that arise out of shares that can be exercisable individually. For example, they have an individual right to claim their shares from the declared dividends and voting right in company meetings. If directors refuse to distribute dividend after approval by the general meeting of shareholders or arbitrarily prohibit their voting right, the act of the directors injures the personal rights of shareholders in the company. *Third*, the loss to shareholders should be direct. It is not complicated to understand damage to the interest of a company may consequentially damage the value of the shares of the shareholders. However, this is an indirect loss rather than directly inflicted to their individual rights. In this case it is the company that can bring the action against the directors either by itself or through derivative action.

Practically, distinguishing damage to the company and damage to shareholders personally and the application of the respective derivative and class actions may not be easy. This can be observed in the case entertained by the Federal Supreme Court Cassation Bench in *Amanuel Tsega Trading Shops Share Company v. Bahiru Abrham et. al.*⁷²⁷ The facts of the case concerned with the actions of directors, respondents, who took front shops of the building constructed by the company for themselves without any clear and justified board decision. This is a clear instance of violation of no conflict rules under the Commercial Code. Both the Federal First Instance and High Courts made sure in their decisions that the acts of directors breach the rights of shareholders. However, they overruled the case on the ground that it is the company that can bring the action than shareholders. The finding and decision of the Courts are inconsistent. If they consider the acts injured the interest of the shareholders personally, the company has no right to bring the action personally. Well-understood of this the Cassation Bench remanded the case to Federal First Instance Court to evaluate and decide it in light of the provision of the Commercial Code governing shareholder's personal action. Apart from the lower Courts' confusion on understanding the substantive natures of derivate and personal actions, the case manifests a procedural misunderstanding as well. The names of the claimant shareholders are not mentioned and named as an applicant. It is the name of the Company, Amanuel Tsega Trading Shops Share Company, named as a plaintiff and applicant in the case. This is wrong since in the case of personal actions shareholders must be named as party to the proceeding.

15.3. Supervisory Board

The Commercial Code came up with two tier board system into the Ethiopian company law for the first time. However, it is not prescribed in mandatory terms. The decision to adopt one tier or two tier board model is left for the determination

⁷²⁷ *Amanuel Tsega Trading Shops Share Company v. Bahiru Abrham et al* (1999 Ethiopian calendar) Federal Supreme Court Cassation Bench of Ethiopia, C/F/No. 23389, Vol. 7, PP. 314-318.

of the memorandum of association.⁷²⁸ The international trend is towards entitling shareholders to choose either the one-tier or two-tier board model in the company constitution document.⁷²⁹ If the memorandum opts for the two tier board system, the composition, dismissal, remuneration, power, duties and liability of supervisory board and its members shall follow the rules of the Code as stipulated from Articles 331 to 336. Supervisory board is responsible for monitoring board of directors. As matter of principle, it doesn't involve in executive activities of the company.

15.3.1. Composition, Removal and Remuneration

Members of supervisory board shall not be less than three and more than five. They must be appointed by the general meeting of directors. They can only be appointed from shareholders. Other stakeholders can't be appointed as members of the supervisory board. This differentiates the Commercial Code from the German Stock Corporation Act whereby the members of the supervisory board mandatorily elected from both shareholders and stakeholders.⁷³⁰ The appointment criteria and term service of members of supervisory board are the same with directors of board of directors. The same person can't be appointed as member of the supervisory board and board of directors. The supervisory board is accountable to the general meeting of shareholders. The members of supervisory board are entitled to elect a chairperson from themselves. The board has the power to dismiss its chairperson at any time.⁷³¹

The removal of members of the supervisory board is regulated by Articles 331(3) and 333. The general meeting of shareholders has the power to revoke the appointment of members of supervisory board. A dismissed member is not entitled to reinstatement though the dismissal is without good faith. Unlike the dismissal of

⁷²⁸ Commercial Code of Ethiopia, Article 331(1).

⁷²⁹ Klaus J. Hopt, 'The German Law of and Experience with the Supervisory Board' (Working Paper N°. 305/2016, 2016) 5 <<http://ssrn.com/abstract=2722702>>, accessed 1/8/2023.

⁷³⁰ Ibid 13.

⁷³¹ Commercial Code of Ethiopia, Articles 331(2), (4)-(7) & 336.

members of board of directors⁷³², the Code is silent if the dismissed member of supervisory board can claim for payment of compensation for wrongful dismissal. The members of supervisory board may also leave their position as a result of resignation, death, sickness, etc. If the seats become vacant due to these grounds, the surviving members are entitled to appoint a replacement to continue their function until the next general meeting of shareholders. The meeting may affirm the replacement or reject and appoint another shareholder. If no member of the board survives, the function of the supervisory board is required to be exercised by the auditors until the general meeting appoints substitute members of the supervisory board.

The type and amount of remuneration and benefits for members of the supervisory board is required to be determined by the general meeting of shareholders.⁷³³ The Code doesn't provide cap on remuneration of members of supervisory board from the net profit of the company, if any, unlike the case of board of directors. It seems that the law maker underestimated the influence of the supervisory board regarding the determination of remuneration.

15.3.2. Power, Duties and Liability

The powers of supervisory board are enumerated in Article 332 of the Commercial Code. These powers may be categorized in to three: monitoring board of directors, advising board of directors and taking corrective measures. The basic function of supervisory board is undertaking control over board of directors. It has the power to collect and investigate necessary information in the interest of undertaking the supervision. It can cause the annual plan and period reports of the company submitted to it by the board of directors for evaluating and auditing the overall operation of the company. In its advising function, the supervisory board can participate and give opinion to the board of directors. However, it can't vote on board

⁷³² Ibid Article 305(2).

⁷³³ Ibid Article 331(10).

decision making. In this way the Code totally reserves the power to make managerial decision making to board of directors. Exceptionally, the supervisory board engages in managing the company on the bases of Article 303(5) of the Commercial Code until replacement directors of board directors appointed. Lastly, it can also take or cause to be taken measures against the board of directors and other senior managers when it believes that they have committed acts that affect the interest of the company. The measure can go to the extent of instituting legal action. Contrary to the case of Germany, the Ethiopian version of supervisory board is not entitled to appoint and dismiss the members of the board of directors. Similarly, it has no power to determine their remuneration. From the functions it is clear that if is company adopt two-tier board system in their memorandum of association, it can benefit from the monitoring service of a separate organ of corporate governance regarding the management activities of the board of directors and other members of the management. This implies that members of supervisory board shall have better knowledge, diligence and skill than members of the board of directors. If the supervisor is not better than the supervised, the objective of adopting two-tier board system becomes futile. However, the Commercial Code doesn't provide appointment criteria for members of the supervisory board different from directors.

Coming to the duties of the members of supervisory board, the Code doesn't properly address them with the exception of the duty to avoid self-dealing.⁷³⁴ The duty to carry out the powers of the supervisory board can be also inferred from Article 334 of the Code. If the members of the supervisory board owe duty of loyalty; care, skill and diligence, exercise independent judgment, and to disclose and avoid conflict of interest save for self-dealing is not determined nor the duties of directors' cross referred by the Commercial Code. Overall, the Commercial Code doesn't provide due attention on regulating the issues of supervisory board.

According to Article 334 of the Code members of supervisory board are jointly and

⁷³⁴ Ibid Article 336.

severally liable to the company, shareholders or third parties if they cause damage to them as a result of failure to carry out their responsibilities under the law, memorandum of association or resolution of general meeting. This can't be excluded by in advance agreement in the memorandum of association or other contracts. The Commercial Code is mute about the defenses, standard of liability, and procedures of the action against the members of supervisory board. There is cross reference to the provisions of the Code that govern directors as well.

15.3.3. General Manager and Secretary of the Company

The general manager or the chief executive officer is an agent of the company responsible to carry out the day-to-day management of the company. The Commercial Code has some provisions on the appointment, power and actions of the general manager of the company.

Article 337 of the Code regulates the power of appointment and removal of general manager. A company shall have general manager that should be appointed by the board of directors. She is accountable to the board. She is employee of the company and can be appointed from the members of the directors. However, the general manager and chairperson of the board can't be held by the same person. The board of directors has the power to fire the general manager. Dismissed general manager is not entitled to be reinstated though the dismissal is without good cause.

The general manager is a key person responsible to undertake the day-to-day managerial activities of the company. Though the Code requires the board of directors to be composed as executive and non-executive directors, it is not still possible for all executive directors to engage in the day-to-day activities of the company. That is why it is mandatory to have general manager. As it can be gleaned from Articles 338(1) and 324(2) of the Commercial Code, in the absence of contrary provision in the memorandum of association the general manager is responsible for representing the company in its dealing with third parties. Accordingly, the function

of organizing the factors of production for achieving the business purpose of the company lies on him. He exercises the responsibility of the entrepreneurial power of the company.⁷³⁵ This involves undertaking conclusion of different contracts; hiring, managing and firing employees; and preparing, submitting for approval of board of directors and implementing annual plans and budget of the company.

Restrictions on the powers of the general manager by the decisions of the board or agreements with the board, doesn't affect the interest of third parties if not entered in the commercial register. If the general manager concludes contracts on behalf of the company in violation of these non-entered limits of power, the company is bound to enforce the contract only for the benefit of third parties in good faith.⁷³⁶ This is discussed above on the part of the book dealing with the duties of board of directors.

Company secretary is the employee of the company responsible for organizing, maintaining and disseminating corporate information. The office services as an information center of the company. It is mandatory for a company to have a secretary appointed by the general manager with the approval of the board of directors. The secretary is accountable to the general manager. He is liable to the company, shareholders and third parties if they sustained damage as a result of breach of his duties regarding maintaining and dissemination of corporate information. The liability cannot be excluded by contrary agreements.⁷³⁷

15.4. Summary

The overall management and control of the company is at the mercy of the board. Based on the experiences of different countries, there are two models for board structure. These are one-tier board and two-tier board models. Based on the Commercial Code, the choice is left for companies. They can adopt either of the models of board structures under their memorandum of association. If the

⁷³⁵ ፈ.ቁ.ዱ.ዲ.ፕሮን (n 426) 156.

⁷³⁶ Commercial Code of Ethiopia, Article 339(1) & (2).

⁷³⁷ Ibid Articles 314 & 342.

memorandum stipulates two tier board structures, the company should constitute board of directors and supervisory board.

Composition of board of directors concerns the number, background, and types of directors pointed to collectively constitute the board. The power to appoint directors is given to ordinary general meeting of shareholders. The numbers of directors can't be less than three and more than thirteen. Two-third of the board members should be non-executive directors. They are proscribed from involving in the day-to-day managerial activities of the company. Gender, ethnicity and persons with disability inclusion in the board of directors of share companies in Ethiopia are not studied. The Commercial Code doesn't provide ruling that requires these diversity representations in the appointment of board members. The appointment of members of board of directors should also take in to account class diversity in the company. Age can be a criterion for the appointment of directors if the memorandum of association or special laws provides so. The Commercial Code is mute regarding competency as a criterion for appointment of directors. Furnishing security for appointment and its details concerning the type and amount of the security must be stipulated in the memorandum of association.

The general meeting of shareholders can remove directors at any time irrespective of any contrary provision in the memorandum of association. If one or more positions in the board of directors become vacant as a result of resignation, death, judicial interdiction, serious illness, etc., the remaining directors are required to choose replacements. The appointment of these directors should be confirmed by the next general meeting of shareholders.

The Commercial Code provided two types of payments for directors. The first is fixed remuneration which is charged against the general expense of the company. The payment is independent from whether the company gain profit in the fiscal year or not. The general meeting of shareholders has no power to disregard the payment altogether except for determining its amount. The second prong of directors'

remuneration concerns payment from annual net profit of the company. The payment is effective if the company makes profit and if the general meeting of shareholders grants so.

The board is described as the will and mind of the company which otherwise can't function owing to its artificial personality. However, this doesn't mean that the board is or should be the overriding governance body of the company. Depending on different factors some decision-making powers can be even irreplaceably conferred to the meeting of shareholders. The board of directors shall exercise powers assigned to them by the law, memorandum of association and meeting resolutions. Some of the powers assigned to the board by the operation of the law include managing the finance of the company; maintaining and ensuring proper financial monitoring systems; and making in place risk management and internal control mechanisms. Save for the day-to-day managerial affairs of the company, all the powers of the board of directors shall be exercised with a board meeting. The Commercial Code restricts the powers of directors with its division of power provisions. Apart from this, the Code came up with statutory duties regarding the exercise of powers of directors. They are duty of loyalty, duty of care and diligence, duty to exercise independent judgment, duty to refrain from conflict of interest on similar trading and using company opportunity, and duty to disclose conflict of interest on specific transactions. The duties constitute restrictions of the powers of directors. Directors may commit acts that result in infringement of duties they owe to the company, individual shareholders or creditors. They are jointly and severally liable to the company for any damage they caused to them. However, they are not strictly liable for the damage they inflicted. Rather due care and diligence is provided as a standard of liability.

Supervisory board must be organized if provided by the memorandum of association. As matter of principle, it doesn't involve in executive activities of the company. Members of supervisory board shall not be less than three and more than

five. They must be appointed by the general meeting of directors only from shareholders. The meeting has the power to revoke the appointment of members of supervisory board. The type and amount of remuneration and benefits for members of the supervisory board is required to be determined by the meeting. The powers of supervisory board may be categorized in to three: monitoring board of directors, advising board of directors and taking corrective measures. The Commercial Code doesn't properly address duties of supervisory board members with the exception of the duty to avoid self-dealing. Members of supervisory board are jointly and severally liable to the company, shareholders or third parties if they cause damage to them as a result of failure to carry out their responsibilities under the law, memorandum of association or resolution of general meeting.

The general manager is an agent of the company responsible to carry out the day-to-day management of the company. He is employee of the company and can be appointed from the members of the directors. However, the general manager and chairperson of the board can't be held by the same person.

Company secretary is an employee of the company responsible for organizing, maintaining and disseminating corporate information. The office services as an information center of the company.

15.5. Review Questions

1. Discuss the common board models across company laws of different countries. Evaluate the take of the Commercial Code in this regard.
2. What do you mean by composition of board of directors? Does the Commercial Code give due regard for inclusion of diversity of interests in the board of directors? What about the relevant banking business laws of Ethiopia?
3. Discuss the eligibility criteria for appointment of directors in the Commercial Code and banking business laws.

4. What are the grounds of cessation of the position of directorship? How does the Commercial Code discipline different issues involving or assigning out there of?
5. What are the types of directors' remuneration? Do you think that the amount of remuneration in the case of banking share companies able to control agency cost?
6. Discuss the difference or otherwise of powers, duties and liabilities of directors.
7. What are the powers of directors? Can the powers be exercised by individual directors or collectively as a board?
8. Is unspecified corporate power reserved for the board of directors or meeting of shareholders as per the provisions of the Commercial Code?
9. Discuss the statutory duties as restrictions against the powers of board of directors.
10. What remedies are available to the company, shareholders or creditors if the directors breach their duties under the law, memorandum of association or resolutions?
11. Discuss the defenses of directors against the action of the company, shareholders or creditors.
12. Compare and contrast derivate and personal shareholders' action against directors.
13. Can creditors bring action against directors if the company has no threat of insolvency?
14. Discuss the roles, appointment, removal, remuneration, powers and liabilities of members of supervisory board.
15. Discuss the legal position in the following cases:

- a. A director fails to disclose his interest in a contract in which he is interested which was approved at the Board meeting.
 - b. ABC Share Company proposes to appoint X, a relative of one of the directors of the company, as general manager on a monthly remuneration of birr 80,000.
16. The Board of Directors of Gugie Share Company made the following appointments at its meeting held on 1st January, 2023:
- (i) Mr. X, a Director of its subsidiary company, namely, Abaya Fishery Share Company, was appointed as Purchase Manager on a consolidated salary of birr 100,000 per month with effect from 1st January, 2023.
 - (ii) Mr. Y was appointed as the Sales Manager on a consolidated salary of birr 90,000 per month with effect from 1st January, 2023. Answer the following explaining the relevant provisions of the Commercial Code:
 - (a) Does the appointment of Mr. X require the approval of the members in a general meeting of any company?
 - (b) Mr. P, a relative of Mr. Y, was appointed as a Director of Gugie Share Company on 1st March, 2023. Does it affect the continuation of Mr. Y as the Sales Manager?
17. Selam Share Company, with a paid-up capital of birr 500,000, has six Directors on its Board. A meeting of the Board was called to consider a contract relating to purchase of raw materials from another company ABC Plc., in which A & B, the Directors of Selam Share Company are also major shareholders. In the Board meeting of Selam Share Company 3 Directors including 'A' and 'B' attended. The matter was discussed and the three Directors voted for the contract. ABC Plc. wants to enforce the contract. Will it succeed? Discuss.

CHAPTER SIXTEEN: ACCOUNTS, AUDIT AND INVESTIGATION OF SHARE COMPANY

Introduction

One of the fundamental principles of company law concerns corporate disclosure and transparency. If company management organs disclose information about the financial and operational situations of the company, it constitutes an important instrument for ensuring the interest of different stakeholders. Disclosure can also be taken as an end by itself since it would restrain the management from engaging in abusive activities on fear of publicity. Annual accounts constitute the basic disclosure modalities. It is mandatory for the directors to prepare, produce, and submit annual accounts about the company. The directors are obliged to produce both the financial and narrative statements of the company. These show the status of the company in the accounting year and indicate some direction about its futures. The reports should formally be presented in annual general meeting of shareholders. The obligation to produce the reports, the contents, and approval of the reports of company are governed by Articles 425 to 441 of the Commercial Code. These provisions will be briefly discussed in this chapter.

The other important issues associated with accounts of company are audit and auditors. Audit involves the act of evaluating the reliability and consistency of disclosures of the company. Disclosure of annual company reports is one thing, assuring the quality of these reports is another thing. Mere disclosure is not enough. The shareholders, creditors, employees and other interest groups of the company may not have the knowledge to find out if what is recorded in the financial and narrative reports of the company really true, complies with legal requirements, consistent with the strategic and annual plans of the company, and taking the company to the right path. These determine the quality of the disclosed information that could be used for an input for different planning by different stakeholders of the

company. The worth of disclosure depends on the quality of persons who did the auditing. It rests on competence and independence of these persons whom the law calls auditors. The auditors should have the necessary knowledge and skill to the level the accounting profession reaches. They shall be free from influences that inhibit the application of their professional knowledge and rules in the auditing process and report. They should be external from the persons whose accounts for the company being audited. Sometimes government may involve in the investigation of the reports and operations of the company through its inspectors. Audit and investigation are also going to be addressed in this chapter.

16.1. Accounts

Account can be described as detail statements about the financial and operational activities of companies. All companies are bound to keep and preserve accounts for ten years.⁷³⁸ Accounts play an important role for proving a disputed issue for and against the company.⁷³⁹ It is also vital to make investment decisions by the company, shareholders, and creditors. It is also useful for taxation purpose.

Unlike the experiences of some countries, the Commercial Code compels share companies to produce same level annual accounts irrespective of size. For example, UK Company Act doesn't subject all joint stock companies to the same level of disclosure requirements.⁷⁴⁰ According to the Code whether the companies are large or small in terms of their business operation and numbers of shareholders, they are required to make annual public disclosures in the form of accounts. Making annual disclosure is expensive for the companies in terms of cost of preparation and may expose their confidential information. This can be considered as the down sides of investing in share company form of business organization.

⁷³⁸ Ibid Articles 66 and 425(2).

⁷³⁹ Ibid Articles 425(2), 68 and 69.

⁷⁴⁰ McLaughlin (n 513) 398.

16.1.1. Content and Scope of Accounts

Annual accounts of a company shall show detailed inventory of assets, balance sheet, profit and loss account and narrative reports. While the balance sheet and profit and loss account concern the financial matters of the company in the last financial year, the report narrates the operation of the company in light of plans, happened risks, and future opportunity. The financial statements are backward looking. But director's report is both backward and forward looking. It shall be prepared with detail information about the profit and loss account; exact amount about the remuneration of directors, members of supervisory board, auditors; proposals for distribution of dividends, if any.⁷⁴¹ The accounts and reports of holding company required to incorporate its subsidiaries as well generally in the form of consolidated balance sheet and profit and loss account.⁷⁴²

The responsibility to prepare accounts and reports is imposed on board of directors. According to Article 427 of the Commercial Code the board is bound to prepare and submit them to the auditors, Ministry of Trade or other relevant government organs at least before forty days from dispatching of notice for calling general meeting of shareholders. This is mean to give sufficient time for auditors and government inspectors to evaluate the account of the company. In preparing the balance sheet and profit and loss account, the directors must employ same method of valuation with the method used in the preceding years.⁷⁴³

16.1.2. Amortization

The Commercial Code doesn't define amortization. Based on Article 82(1) of the 1960 Commercial Code amortization is described as the accounting measurement of loss sustained by the fixed assets that necessarily depreciates over time. Depreciable assets cannot retain the same book value in the balance sheet across years. They

⁷⁴¹ Commercial Code of Ethiopia, Article 426.

⁷⁴² Ibid Article 431.

⁷⁴³ Ibid Article 428.

necessarily decay owing to rendering service in the production of the goods and services of the company. Companies should deduct payments for this depreciation of fixed assets from their annual profit. The asset will be written off from the balance sheet at the end of its period of use and after being fully amortized. It is mandatory to amortize the depreciation of assets at the end of the fiscal year even if the company makes no profit. The depreciated value of the asset in the year should be entered in the account of the company.⁷⁴⁴

16.1.3. Profit

The Commercial Code provided some rules regarding the net profit and profit for distribution. This is to warn the directors in declaring dividends to the shareholders. Accordingly, the net profit of a company comprises net receipts of the year after deduction of general costs, other charges, and allowances for amortization.⁷⁴⁵ It is net income of the company from its gross sales after deduction of operating costs, general costs, charges like taxes and reserves, and amortization costs of assets.

On the other hand, the profit for distribution can be higher or lower than the net profit. It refers the net profit for the fiscal year less previous losses of the company plus additional revenue and any distribution from the reserve funds specifically approved by the general meeting. If the company has rolling losses in the previous years, it diminishes the amount of profit for distribution. However, if it doesn't have rolling costs and rather have adequate reserves, its amount is higher than even the net profit of the company.⁷⁴⁶

16.1.4. Reserve

Share company is required to maintain reserve funds in accordance with the law and its memorandum of association. The reserves are in general required by the

⁷⁴⁴ Ibid Article 430.

⁷⁴⁵ Ibid Article 432(1).

⁷⁴⁶ Ibid Article 432(2) & (3).

Commercial Code to be paid from the net profit as per Articles 433 and 434 or from the share premium of the company in accordance with Article 435.

Reserve profit funds can include the following types: legal reserve, supplementary reserve, optional reserve and free reserve. Legal reserve is the creation of the law maker. Based on Article 434 of the Commercial Code companies are required to transfer five percent of the annual net profit to the legal reserve fund till it reaches five percent of the capital of the company. The transfer resumes if the fund declines from five percent. Supplementary and optional reserve funds are created by general meeting resolutions in accordance with the memorandum of association. Free reserve is totally the creation of general meeting resolutions without any provision to do so in the law and memorandum of association. It is mandatory for the directors to prepare the accounts of the company by duly transferring from the net profit to the reserve funds created in accordance with the law, memorandum of association and general meeting resolutions.

The money transferred to the reserve funds will not stay locked in the reserve accounts. It can be used among other to cover unexpected losses to the company in the coming years⁷⁴⁷; redeem its shares⁷⁴⁸; buy back shares⁷⁴⁹; and for distribution of dividends⁷⁵⁰. As it can be inferred from these provisions the directors can spend from the reserve funds in accordance with general meeting resolutions.

16.1.5. Dividend

Dividend constitutes the financial rights of shareholders against the company. It is not a right without conditions. The first condition concerns its sources. The rule is that dividends shall only be made from the net profit of the company after deduction of reserve funds and remuneration of the directors.⁷⁵¹ Exceptionally, it can be made

⁷⁴⁷ Ibid Article 434(2).

⁷⁴⁸ Ibid Article 280.

⁷⁴⁹ Ibid Article 276(4).

⁷⁵⁰ Ibid Article 432(2) & (3).

⁷⁵¹ Ibid Articles 436 & 438(1) & (2).

from reserve funds though the company doesn't make net profit in accordance with Article 432(2) & (3) provided that there is a general meeting resolution to that end or from bank deposit interests of the company before it begins normal business during preparatory works and construction stages in accordance with the memorandum of association as per Article 437 of the Code. In the second exception the purpose seems to appease the shareholders to buy shares from companies that aim to engage in long term manufacturing sectors. These companies may take years before starting operating their businesses. Unless such kinds of options are used in the memorandum of association, the investing community may lack interest to buy their shares. Save for these exceptions, it is illegal to distribute dividends in the absence of net profit in the fiscal year. Specifically, dividends cannot be declared from the capital of the company. The distribution of dividend other than from the net profit of the company shown in the approved balance sheet of the general meeting constitutes fictitious dividend. It results in criminal and civil liability against persons making the distribution. On the basis of Article 440 such persons include directors, members of the supervisory board, auditors, managers (including the general managers) and company secretary. Fictitious dividends may not be claimed back from shareholders save for the case of shareholders of family companies, dividends made without balance sheet or in contravention with properly approved balance sheet.⁷⁵² The Commercial Code doesn't provide a clarification on what constitutes a family company.

If the directors declare dividend for the fiscal year, the general meeting of shareholders determines the method and date of its distribution. The meeting may propose the dividend to be paid for shareholders in cash or in the form of issuance of new shares. The date for payment may in no case exceed four months from the date of passing of the resolution of the general meeting of shareholders that approved the distribution. Until the expiry of the period, the meeting has the power to vary or

⁷⁵² Ibid Articles 438(2) & 439.

cancel the dividend for good cause. The shareholder turns in to creditor of the company from the due date for payment of the dividend.⁷⁵³ The copy of approved balance sheet should be sent to the Ministry of Trade and other relevant organs of government and posted on the company's website within a month from the date of approval.

16.2. Audit and Auditors

16.2.1. Meaning and Types of audit

Audit involves the acts of obtaining and evaluating evidence about the accounts and operations of a company in accordance with state laws, company bylaws and accounting rules. The purpose of auditing depends on the type of audit. Some of the types of audits are the following:⁷⁵⁴

- a. Financial audit: Covers the evaluation of financial statements of the company in light of the country's accepted accounting principles. The aim of the audit is to ensure whether the statements, balance sheet and profit and loss accounts, are prepared in accordance with the standards. The audited financial statements can be used by the company, shareholders, creditors, government and investors in general.
- b. Compliance audit: This is an audit to determine the company being audited complying with criteria or standards found in the laws or regulations set by a higher competent authority or the organization's policy and procedures.
- c. Operational audit: This is the study of a specific unit of an organization for the purpose of measuring its performance. It involves the evaluation of efficiency and effectiveness of the company or part of its units with a view to improve it.

⁷⁵³ Ibid Article 438(3)-(5).

⁷⁵⁴ Dureti Abate, 'Ensuring Good Corporate Governance through Auditors: Appraisal of the Ethiopian Legal Regime Governing their Roles and Responsibilities' (Master's Thesis, Addis Ababa University, 2016) 16 & ፈቃዱ ጴጥሮስ (n 426) 159 & 157.

Auditing is carried out by the professionals named as auditors. They are required to adhere to the rules of their profession. Auditors constitute an important wing of ensuring the effectiveness of corporate governance of a company. They are gatekeepers of the reliability and quality of the financial and non-financial reports of companies. They owe a duty to examine whether its disclosures and operations by the board of directors, supervisory board and managers represent its fair and true view. This part of the text book deals with the appointment, removal, remuneration, roles, duties and liabilities of auditors.

16.2.2. Appointment, Removal and Resignation of Auditors

The appointment and removal of auditors shall be carried out among others in accordance with the principles of independency and competency. Auditors shall have family, economic and functional independence from the organ and persons of the company whose activities constitute the subject matters of their audit. This enables them to be free from the control and influence of the auditors from these persons. If the auditors have relation with the directors, members of supervisory board, managers and employees of the company, they may not carry out the audit in accordance with the law and the rules of their profession. The relations may make them to biased or complicit in favor of the directors and officers of the company. They shall be free from the control of these directors and officers of the company. They are self-employed professionals. This differentiates external auditors from internal auditors. Internal auditors are employees of the company and undertake their auditing services to the company under the direction of the board of directors or audit committee of the board of directors. They may not be free like the external auditors since directors are their bosses. But it doesn't mean that all internal auditors don't respect the rules of their profession and contribute for ensuring good corporate governance. It was internal auditors who disclosed the exploitation of 3.8 billion dollar by the directors of the World com. Inc. Conversely, the fact that external auditors cannot be free from the issue of control or influence all the time can be

effectively learnt from the concerted fraud of the directors, managers and external auditors on the infamous Enron Company.⁷⁵⁵

The second important principle that should be applied on the appointment and the overall activities of auditors is competence. Auditors shall have the necessary knowledge and skill required by their profession. Their competency should be certified by license issued to them by the relevant body.

When we see the provisions of the Commercial Code on the power and criteria of appointment, it appears that these principles are incorporated. According to the Code every share company is bound to have independent and impartial external auditors and assistant auditors appointed by the general meeting of shareholders. Shareholders holding not less than 20% of the capital of the company are entitled to cumulatively appoint an auditor. This enables minority shareholders to enshrine the interest of the company and their rights. An audit firm can be also appointed as an auditor of the company. The first auditors can be elected by the meeting of subscribers.⁷⁵⁶ From this it is clear that the board of directors and managers are not entitled to meddle in the process of appointment of auditors. However, given that the general meeting of shareholders convened for few days in a year and may have no the time and even the profession for the negotiation and conclusion of the contract of auditing service with the auditors, directors and managers of companies undertake the selection process and submit the selected auditors to the meeting of shareholder for approval in practice.⁷⁵⁷ This is contrary to the law and may adversely affect the independency and impartiality of auditors.

The principles of competence and independence are reaffirmed in the appoint criteria of auditors under Article 345 of the Commercial Code. To be eligible for the position of an auditor, a person must have professional auditing license; be of a good moral

⁷⁵⁵ ፈ.ቃ.ዱ. ዴጊረስ (n 426) 160.

⁷⁵⁶ Commercial Code of Ethiopia, Article 343.

⁷⁵⁷ ፈ.ቃ.ዱ. ዴጊረስ (n 426) 162.

character; not an employee or shareholder of the company; not affiliated with the company based on Article 306(6) of the Code; satisfy other requirements provided by law or memorandum of association. Unlike that of the appointment criteria of directors⁷⁵⁸ and eligibility criteria of promoters, the Commercial Code doesn't provide conviction of breach of trust, theft, robbery, and other similar crimes while working in the capacity of including auditors and directors as ineligibility criteria. Of course, the criterion of good moral character can be interpreted to include avoiding persons convicted of these offenses. However, in the interest of uniform application and having in mind the nature of auditing function, the Code should have prescribed it in a clear manner.

In general, the term of appointment of auditors is three financial years. But auditors elected by the meeting of subscribers work until the first general meeting of shareholders.⁷⁵⁹ The Code is quiet when it comes to the reelection of auditors unlike that of the case of directors. In the case of other countries, there are restrictions on the reappointment of auditors for the purpose of avoiding the danger of creating networks with the directors and managers of the company for the manipulation of the company.⁷⁶⁰ In the 1960 Commercial Code auditors of a company were prohibited to be appointed as directors of the same company within three years from the cessation of their term office.⁷⁶¹ In repealing this provision, the revised Commercial Code criticized as wrong owing⁷⁶² to posing potential peril for harvesting conflict of interest.

Article 345(2) regulates the effect of defective appointment of auditors. The non-fulfillment of appointment criteria cannot themselves invalidate audit reports carried out by the auditors. The reports should be invalidated if affected by fraud.

⁷⁵⁸ Commercial Code of Ethiopia, Article 297

⁷⁵⁹ Ibid Article 344.

⁷⁶⁰ Dureti Abaten (n 754) 46.

⁷⁶¹ Commercial Code of Ethiopia, 1960, Article 370(2).

⁷⁶² ፈ.ቃ.ዱ.ጴጥረስ (n 426) 165.

The general meeting of shareholders is given the power to remove auditors at any time. If their dismissal is without good cause, they can claim for compensation from the company.⁷⁶³ They can't be removed by any other organ of the company other than the meeting of the shareholders. The Code doesn't provide a clear provision regarding the resignation of the auditors from their position. However, auditors shouldn't resign as they wish since this affects the interest of the company and shareholders as a whole. This is why the consequence of cessation of duties by an auditor in violation of the conditions provided by the law or agreement sanctioned with payment of compensation to the company, shareholders or third parties who sustained damage there from as per Article 354(3) of the Commercial Code. If they resign for good cause and in accordance with their agreement with the company, they are not bound to pay damages.

16.2.3. Remuneration of Auditors

The remuneration of auditors should be determined by the general meeting of shareholders.⁷⁶⁴ This is important to maintain the independent and impartiality of auditors from the directors, managers and employees of the company. It reduces the potential for mutual back scratching. Practicality of this provision is as difficult as the case of appointment of auditors. It looks apparently impossible for the meeting of shareholders, especially for companies having many shareholders, to negotiate and determine the remuneration of auditors. It can be contended that the remuneration could be adopted in advance with meeting resolution and included the vacancy announced for hiring.

16.2.4. Roles and powers of auditors

Based on the Commercial Code, the roles and responsibilities of auditor include:

- a. Verifying annual accounts and reports: they are responsible for verifying the

⁷⁶³ Commercial Code of Ethiopia, Article 346.

⁷⁶⁴ Ibid Article 347.

accuracy and reliability of the inventories of assets, balance sheet, profit and loss account, narrative reports of the company, its holding and subsidiaries companies submitted for the general meeting of shareholders.⁷⁶⁵ This basically covers financial audit of the company. The power to conduct compliance and operation audits is specifically assigned to auditors unless we can say that these can be assigned by virtue of Article 348(7).⁷⁶⁶

- b. Submitting reports and comments: they are responsible for preparing their audit report on the accounts and reports of the directors. They should submit the report with comments to the general meeting of shareholders. The comments may concern a proposal of either approval or rejection of the accounts and reports submitted by the directors. In particular, they are required to show their comment about the profit distribution proposal of the directors. The general meeting is prohibited from approving the balance sheet of the company without the submission of the audit report.⁷⁶⁷ This is vital to do away with fictitious dividends. The audit report should also show the manner of its preparation.
- c. Calling meeting: they have the power to call general meeting of shareholders if the board of directors and supervisory board are unable to call owing to vacation from seats or ignorance of their duties. They are also responsible to call the meeting if shareholders representing ten percent or more of the capital of the company requests.⁷⁶⁸
- d. Undertaking and submitting special audits: Apart from conducting annual audit on the annual accounts and reports of the director, auditors are responsible to undertake and submit special audit concerning formation of companies with public subscription of shares; approved dealing of the

⁷⁶⁵ Ibid Articles 348(5) & (6) and 353.

⁷⁶⁶ ፈ.ቁ.ዱ.ዲ.ጥረት (n 426) 166.

⁷⁶⁷ Commercial Code of Ethiopia, Article 349.

⁷⁶⁸ Ibid Articles 303(4), 350 and 366.

company with affiliated persons; and the relation between the company and shareholder of specified activities.⁷⁶⁹

- e. Making sudden audits: The auditors may at any time make on the spot such audits and checks as they think necessary and may call for any information, agreements, books, accounts, minute books and such other documents as may be required for the proper execution of their duties. This extends to holding and subsidiary companies.⁷⁷⁰
- f. Conduct interim management of the company: they are responsible to manage and control the company when the directors and members of the supervisory board seats vacate.⁷⁷¹

16.2.5. Duties and Liabilities of Auditors

Auditors are bound to carry out their auditing roles and responsibilities in accordance with the law and generally accepted principles. They duty bound to provide accurate information. They must inform irregularities or breaches of the law and memorandum of association forth with to the supervisory board, if any or directors or to the general meeting of shareholder in case of sever breaches. If they find out matters which appear to be commission of offences, they are obliged to inform the relevant government organ.⁷⁷² Auditors are also duty bound to keep confidential information and treat shareholders equally.⁷⁷³

Auditors may face tortious, contractual and criminal liability in relation with damage they cause to the company, shareholders or creditors in violation of their duties. Auditors are tortuously liable for damage they cause to the company, shareholders

⁷⁶⁹ Ibid Articles 261, 306(2), 352, 395, and 396.

⁷⁷⁰ Ibid Articles 352 and 353.

⁷⁷¹ Ibid Articles 303(5) and 333(3).

⁷⁷² Ibid Articles 348(2) and 350

⁷⁷³ Ibid Article 348(3) & (4).

or third parties as a result of committing fault in the exercise of their duties.⁷⁷⁴ They are also liable for damage caused to the company, shareholders and third parties owing to cessation of their duties in breach of conditions provided under the law or agreement.⁷⁷⁵ They are criminally liable if they intentionally give or confirm untrue report concerning the position of a company or fail to inform the relevant authority of a criminal offence which they know to have been committed or divulge professional secrecy in accordance with the relevant criminal law.⁷⁷⁶

16.3. Investigation and Inspectors

Government investigation on the affairs of companies is another mechanism to ensure the protection of minority shareholders, the company, creditors or the general public from the fraudulent activities of the directors, managers or/and the auditors of the company. The company is not merely nexus of contracts and it is not the sole issue of shareholders. Government has its public policy rationale for enacting laws that govern the formation, operation, and dissolution of companies. If the actual situation of the companies disregards the policy, it has the mandate to appoint inspectors and undertake investigation in to the affairs of the company. If finding confirms disregard, government can take or cause to be taken measures against the company, directors, members of the supervisory board, managers or auditors. This is a clear case of the incorporation of the concession theory.

The appointment and power of inspectors as well as the purpose, scope and consequence of investigation by the Ministry of Trade and Regional Integration or other relevant organ of government is regulated by the Commercial Code from Articles 355 to 361.

According to these provisions of the Code, appointment of inspectors by the Ministry or other relevant organ of government for investigation can be made on the

⁷⁷⁴ Ibid Article 354(1).

⁷⁷⁵ Ibid Article 354(3).

⁷⁷⁶ Ibid Article 354(2).

application of shareholders representing ten percent or more of the capital of the company, the company (general meeting of shareholders), court, or with the motion of the government itself.⁷⁷⁷ The eligibility criteria for appointment and professional diversity of inspectors are not specified by the Commercial Code. In the case of UK, inspectors normally composed out of senior lawyer and senior accountant.⁷⁷⁸ The Code is also silent if the inspectors are government employees. Who cover the cost of their investigation activities is not adequately dealt by the Code with the exception of shareholders in case they apply for the services? In this exceptional case the cost should be shifted to the company if the investigation confirms the allegation of the shareholders application.

Based on Article 357 of the Code, government appoints inspectors by its own initiation if it has good reason to believe that fraud is committed or likely to be committed against the interest of creditors; there are acts prejudicial to the interest of certain members; there is commission of illegal or fraudulent acts; and commission of criminal offences in the operation of the company. According to Article 361, the Ministry may also undertake investigation in its own motion about the true owners of shares if it has the reason to believe the registered shareholders are only nominees. This can be made with the request of shareholders representing ten percent or more of the capital of the company. Identifying the real owners with control over and benefit from shares is necessary in the interest of enforcement of the Commercial Code concerning no conflict rules, criminal law regarding crimes of corruption, terrorism, and money launder or competition law.

Inspectors have the power to access and investigate the books and documents of the company. The company, its directors, supervisory board, and other officers are bound to cooperate in furnishing the requested information. The scope of investigation and the power to investigate may extend to holding and subsidiary of

⁷⁷⁷ Ibid Articles 355-357.

⁷⁷⁸ Goulding Simon, *Principles of Company Law* (London, (Cavendish Pub. Ltd, 1996) 261.

the company. Obstructing the investigation process may result in criminal liability.⁷⁷⁹

The consequence of investigation is regulated in Article 360 of the Commercial Code. A copy of the investigation report should be sent to the person that requested or ordered the investigation. The shareholders, the company or creditors may institute proceeding against the directors or members of the supervisory board or and the company. The Ministry or organ of government that undertakes the investigation can also take corrective measures if the investigation confirms the allegation or the reasonable suspicion. The Code is not specific if the measure includes bringing legal action in the name of the company against the wrong doers on the bases of the investigation.

16.4. Summary

Account can be described as detail statements about the financial and operational activities of companies. All share companies are bound to keep and preserve accounts for ten years. Annual accounts of a company shall show detailed inventory of assets, balance sheet, profit and loss account and narrative reports. The responsibility to prepare accounts and reports is imposed on board of directors. It is required to submit the report to the auditors, Ministry of Trade or other relevant government organs at least before forty days from dispatching notice for calling general meeting of shareholders.

Audit involves the acts of obtaining and evaluating evidence about the accounts and operations of a company. It is carried out by external auditors. The appointment and removal of auditors shall be carried out among others in accordance with the principles of independency and competency. Auditors shall have family, economic and functional independence from the organ and persons of the company whose activities constitute the subject matters of their audit. They shall have the necessary

⁷⁷⁹ Commercial Code of Ethiopia, Articles 358 and 359.

certified knowledge and skill required by their profession. Auditors are appointed by general meeting of directors and in general their term of appointment is three financial years. The general meeting is also given the power to remove auditors at any time. The Code doesn't provide a clear provision regarding the resignation of the auditors from their position. The remuneration of auditors should be determined by the general meeting of shareholders. The roles and responsibilities of auditor include: verifying annual accounts and reports, submitting reports and comments, calling meeting, undertaking and submitting special audits, making sudden audits, and conduct interim management of the company. Auditors may face tortious, contractual and criminal liability in relation with damage they cause to the company, shareholders or creditors in violation of their responsibilities.

Government investigation on the affairs of companies is a mechanism to ensure the protection of minority shareholders, the company, creditors or the general public from the fraudulent activities of the directors, managers or/and the auditors of the company. It undertakes this with inspectors. Appointment of inspectors for investigation can be made on the application of shareholders representing ten percent or more of the capital of the company, the company (general meeting of shareholders), court, or with the motion of the government itself. Inspectors have the power to access and investigate the books and documents of the company. A copy of the investigation report should be sent to the person that requested or ordered the investigation. The shareholders, the company or creditors may institute proceeding against the directors or members of the supervisory board or and the company on the bases of the report.

16.5. Review Questions

1. Explain accounts and reports of companies.
2. Discuss net profit and profit for distribution.
3. Why do you think the law prohibited fictitious dividend? What civil and

criminal measures are provided as safeguard against it?

4. Explain the two fundamental principles governing the appointment, removal and operation of auditors.
5. What are the basic functions of auditors in the Commercial Code?
6. Why the government involves in the investigation of companies?
7. Are there provisions that require the independence and competence of inspectors?
8. Who bears the cost of investigation? What about auditing?
9. The Federal Government appointed inspectors to investigate the affairs of a certain company on the following grounds: delay and faulty planning; continuous losses wiping out one-third of the share capital; shares quoted at half the face value; and some eminent directors severed their connections with the company. The company challenges the order of the Government. Discuss whether the appointment is proper and what are the grounds on which the Federal Government may appoint inspectors?

CHAPTER SEVENTEEN: MEETINGS OF SHAREHOLDERS OF SHARE COMPANY

Introduction

Meetings of shareholders are the third administration organ of share companies. The meetings are responsible to take different company decisions. The decisions differ based on the type of shareholders meeting. In general terms, meetings can be considered as company structures whereby the policies of the company beneath the law passed; top level leaders and controllers are elected; and general strategy, plan and implementation evaluated. Meetings of shareholders are not merely limited to the gathering of shareholders to transact over certain issues of the company. They are about the body of shareholders convened, deliberated and passed a resolution in accordance with the rules of the Commercial Code, other special relevant laws and memorandum of association of companies. The validity of the meeting determines the validity of its resolutions. A meeting is valid if it follows the rules of its operation.

The Commercial Code provided detail rules about the power to call meetings, the notice for call for meetings, execution of meetings, participation and voting at meetings, quorum and vote for passing decisions of different meetings, the business of different meetings and the validity and setting aside of meeting resolutions. Memorandum of association of company may also provide terms and provisions in addition to or disregarding the rules in the Code with the exception of mandatory provisions. Accordingly, the governance of shareholders meetings is carefully designed to the identification and ruling of pre-meeting, meeting and post-meeting issues. Pre-meeting regulation is concerned with the proper prescription of preparatory works both on the part of the company and shareholders. These include determining the proper organ with the power to call meeting, proper communication of the call to shareholders, and shareholders` access to information for meaningful

participation. During conducting meeting the issues determined by the law encompasses quorum requirement to convene meeting, majority vote requirement to pass resolution, and meeting executors and their responsibilities. The post meeting phase covers proper record and maintenance of meeting minutes and resolutions as well as legal actions against meeting resolutions. These are going to be the focus of our discussion in this chapter.

17.1. Meetings in General

Shareholders meetings are classified in to general and special meetings.⁷⁸⁰ General meeting comprises shareholders of all classes. All shareholders of the company are entitled to participate and vote in general meetings with the exception of some limited restrictions. General shareholders meeting further divided in to two: ordinary and extraordinary. The nature of businesses, quorum and majority vote requirement differentiates the two general meetings. Extraordinary general meeting determines fundamental and very occasional corporate issues, like amendment of memorandum of association. Ordinary general meeting decides over normal corporate issues such as appointment of directors and auditors. On the other hand, special meeting encompasses shareholders of a class. The business of the special meeting is limited to transact issues of concern to the class of shares.

General meeting of shareholders is the highest decision-making organ of the company open to the participation of all members of the company. It has powers that extend to deciding the dissolution of the company. It is the organ that determines among others the powers of the directors and amends the memorandum of association. However, the general meeting of shareholders is not entitled all company decision making powers without any restrictions. For example, while the general meeting can change the powers of board of directors in the memorandum of association or its amendments, it cannot remove the board of directors' altogether.

⁷⁸⁰ Ibid Article 365.

It cannot also unilaterally change class rights, pass resolutions that unduly favor some shareholders at the expense of minority shareholders, and deprive inherent membership rights of a shareholder unless she consents or authorized by law.⁷⁸¹ A right is an inherent right of membership if its existence and enforcement doesn't depend on the decisions of the general meeting and board of directors. They are rights of shareholders that emanate from the very condition of being a shareholder of the company in accordance with the Commercial Code, other relevant laws or memorandum of association.⁷⁸² These include the economic, control and litigation rights of shareholders. For instance, a decision of general meeting or board of directors cannot deny the voting right, right to preferred subscription in the event of issuance of new shares, and right to take part in the declared dividends unless in accordance with the law, memorandum of association or consent of shareholder.

The decisions of meetings of shareholders can be taken with formal, informal, or even without calling a meeting. Formal shareholders meeting is called and convened in accordance with the rules of the Commercial Code and provisions of the memorandum of association. It requires the physical or electronic appearance of shareholders or their proxies in the meeting.⁷⁸³ An informal meeting involves a meeting that is convened with disregarding the mode of calling of shareholders meeting. This requires the agreement of all shareholders or proxies representing voting shares of a company.⁷⁸⁴ Shareholders may also pass decisions without calling and convening meetings. This also requires the mutual assent or unanimous consent of all voting shareholders of the company. In this case decision is made by requiring shareholders to vote on the text of the resolution through writing or electronically such as email.⁷⁸⁵ The law entitled such flexibilities to shareholders to choose the manner of undertaking their meetings based on the particular realities of their

⁷⁸¹ Ibid Articles 363 and 364.

⁷⁸² Ibid Article 363(3).

⁷⁸³ Ibid Article 362(2).

⁷⁸⁴ Ibid Article 390(1).

⁷⁸⁵ Ibid Article 362(2).

company. For instance, if the company has seven members, it may be unnecessary to undertake formal meeting since they can even manage and decide over issues with circulation of resolution. The manner of undertaking shareholders' meeting in the case of share company as a rule requires convening formal meeting. The other modes of undertaking meeting of shareholders are exceptions since they can be used only where there is mutual assent from all voting shareholders.

In the ensuing discussion, rules of the Commercial Code common to all meetings are going to be examined. These are basically regulated from Articles 262 to 291 of the Commercial Code. After addressing these rules, a discussion on specific regulations about the types of meetings follows.

17.2. Call for Meeting

This concerns the pre-meeting phase of meetings of shareholders. The Code has regulated various issues of the phase in detail with the aim of ensuring the meaningful participation of shareholders and efficiency of conducting meetings to the company as well as to the shareholders. The issues concern the allocation of power to call meetings, mode of calling meeting, the notice for meeting and its contents, duration of the call and access to prior information.

17.2.1. Power to Call Meeting

According to Article 366 of the Commercial Code the power to call general meetings of shareholders is given to board of directors, supervisory board (if any), auditors, liquidators, Ministry of Trade and regional Integration or other relevant organ of government or Court of law. Unlike in the case of private limited company⁷⁸⁶, the order of these organs may not necessarily have importance. It cannot be generally said that directors should first be unable for supervisory board or auditors to call the

⁷⁸⁶ Ibid Article 521(3)-(4).

meeting. The same generally works in the case of the Ministry and court.⁷⁸⁷

The board of directors is, under normal course of things, responsible to call meetings of shareholders. This is compulsory for them to get the approval of the meeting of shareholders on numbers of issues. On the bases of different provisions of the Commercial Code, they are required to get the approval of meeting of shareholders on annual accounts and reports of the company, replacement of directors ceased their position, remuneration of directors, substantial transaction between the company and affiliated persons, and initiating proceedings against a director. If the directors decide these matters without approval of the relevant meeting of shareholders, that constitutes disregard of their duty to act within the limits of their power. If they fail to call a meeting at all, this also should be understood as disregard of their duties to act within the limits of their power and loyalty. The law provided these approval requirements in the interest of promoting the success of the company.

The supervisory board, if any, is responsible to call meeting of shareholders when the board of directors fails to do so owing to lack of ability or refusal⁷⁸⁸. In principle the supervisory board appears to call meeting of shareholders if the board of directors fails. Exceptionally, the supervisory board seems has the power to call meetings of shareholders without waiting the first refusal of board of directors if it finds that the directors and managers involved in acts that damaged the interest of the company for the removal and suing of them.⁷⁸⁹ It doesn't appear convincing for the supervisory board first to request the board of directors to call meeting of shareholders particularly when all directors are engaged in acts that jeopardized the interest of the company.

Auditors have the power to call meeting of shareholders when the board of directors or supervisory board fails to exercise their calling power.⁷⁹⁰ This seems the principle.

⁷⁸⁷ ፈ.ቁ.ዱ. &ፕሮስ (n 426) 166.

⁷⁸⁸ Ibid Articles 366(1) and 332(2).

⁷⁸⁹ Ibid Articles 366(1) & 232(4) & (5).

⁷⁹⁰ Ibid Articles 366(1) and 351(1).

In the existence of well-functioning and ready board of directors or supervisory board, if any, to call a meeting, auditors have no power to call meeting of shareholders. In two special circumstances, auditors can call meetings without observing this restriction. *First*, when they are requested by shareholders representing at least ten percent of the capital of the company.⁷⁹¹ *Second*, up on their own very motion when they find out sever breaches and irregularities in their audit⁷⁹² since it cannot be expected the board of directors and supervisor board would call the meeting if the acts are committed with the participation of all directors and members of the supervisory board.

As we can see from the previous chapter, the executive branch of government, Ministry of Trade and Regional Integration, Ethiopian National Bank in the case of financial share companies or other relevant government organs, is entitled regulatory and investigative powers over companies. They can even initiate an investigation with their own motion or the request of shareholders representing at least ten percent of the capital of the company. They are required to investigate if the request is from general meeting of company or court. On this basis of the investigation or with request from any interested person, the ministry or the relevant government organ, can call meetings of shareholders whether the directors, supervisory board or auditors failed to call or not.⁷⁹³ The Code doesn't specify who the interested person refers here. If the term refers anyone who gets adversely affected as a result of the manner of management of affairs of the company, it includes its shareholders and creditors. Unlike call of meetings by court which needs request from shareholders representing at least five of the capital, an individual shareholder holding less than five percent seems entitled to make the request for call to the Ministry. However, if the Ministry can directly proceed calling the meeting without undertaking investigation appears contentious.

⁷⁹¹ Ibid Article 351(2).

⁷⁹² Ibid Articles 350(1), 351(2) and 366(1).

⁷⁹³ Ibid Article 366(2).

When it thinks appropriate and up on the request of shareholder representing at least five percent of the capital of the company, the court of the place where the head office of the company situate may call a meeting of shareholders.⁷⁹⁴

Shareholders themselves have no power to call meetings of shareholders. The meetings are called with the motion of board of directors, supervisory board, auditors, Ministry of Trade and Regional Integration or other relevant organ of government or liquidators or with the request of shareholders to these organs and the court. This differentiates the call for meeting of shareholders of share company from private limited company. Base on Article 521(3) shareholders representing one-half of the capital of private limited company are entitled to call ordinary general meeting if the board of directors, if any, manager or auditors, if any fails to call the meeting. However, it must be noted here that exceptionally they can even decide issues without meeting based on the agreement of all shareholders.

17.2.2. Mode of Calling

The manner of calling meetings is assigned to be determined by the memorandum of association of each company. The reliability and effectiveness of the methods should be considered in determining them. If the memorandum is mute on the method of calling, the Code requires it to be made with publishing in a newspaper having nation-wide circulation. However, if all shareholders are registered in register of shareholders, it is possible to ignore a method in the memorandum of association, if any or the newspaper. The shareholders can be called with registered lettered at the expense of the company or an email address given by shareholders for this purpose, or any other reliable electronic method of dissemination. In case when all shareholders are not registered, the registered shareholders have the right to choose registered letter, email or other electronic mode of communication with their own cost.⁷⁹⁵ The method/s of calling meeting used in the first call can't be changed

⁷⁹⁴ Ibid Article 366(3).

⁷⁹⁵ Ibid Article 368.

in the second call for ordinary general meeting or second and third calls of special or extraordinary meetings called because of lack of quorum.⁷⁹⁶ This is to maintain consistency and avoid confusion among the participants of the meeting.

17.2.3. Contents of the Notice

The notice of call for meeting is expected to consist of general information about the company; the meeting; and the agendas of the meeting. In the first category the notice shall indicate the name, nature, capital, registration number, and place of head office of the company. Concerning general information about the meeting, the notice must indicate the place and time of deposit of bearer shares (if any), time and place of the meeting as well as the proxy form, place and time for deposit of the form. The proxy authority is an authorization letter given by a shareholder to another person to take part in the meeting on behalf of the shareholder. The time for deposit shall not expire three days before the beginning of the meeting. The agenda of the meeting and information about the date of call for meetings aborted due to lack of quorum, if any must be specified in the last part of the notice for call. The type of the meeting is not included within these lists of contents under Article 371. Whether the meeting is ordinary, extraordinary, special or even annual ordinary has an important implication on the type of decisions to be passed so that it should have been proper to include the exact type of the meeting in the content of the notice.

Unlike that of the 1960 Commercial Code, the revised Code has prescribed agenda of meetings with due consideration. Drawing agenda for the meeting is the responsibility of the persons who called the meeting with the exception of call by court and Ministry whereby it can be prepared by any person authorized to so.⁷⁹⁷ The rule is only agendas indicated in the call for notice can be deliberated and decided by the meeting of shareholders. Including other new agendas during the meeting is prohibited. This is acceptable since it can be presumed that shareholders

⁷⁹⁶ Ibid Articles 368 & 369.

⁷⁹⁷ Ibid Articles 372(1) and 366(3).

prepare and expect to decide over the agendas indicated in the notice. However, the Code admits three exceptions. *First*, shareholders representing at least five percent of the capital of the company have the right to include additional items in the agenda for the meeting. However, they must submit at last within three days from issuance of the notice. This entitles shareholders to prepare and submit agendas for the meeting irrespective of who called the meeting.⁷⁹⁸ *Second*, ordinary general meeting has the power to appoint and remove directors and auditors even if this is not included in the agenda of the notice for call for meeting. This is intended to avoid conflict of interest in agenda setting.⁷⁹⁹ *Last*, if shareholders or proxies representing all shares present in general meeting, the meeting can decide and pass a resolution on any matter whether part of agenda or not if it falls with the scope of power of the specific meeting as per Article 390(2) of the Commercial Code.⁸⁰⁰ Though this provision is silent from the caption of the Article, this seems possible if all the shareholders give their mutual assent.

17.2.4. Duration of the Notice

The notice for the first general or special meeting must be given twenty-four days before the date set for meeting.⁸⁰¹ The same duration for notice shall be given if second ordinary general meeting call is required as a result of lack of quorum in the first call. The duration of the interval between the aborted first ordinary general meeting and second meeting is not prescribed by the Code. In the case of extraordinary and special meetings, if the first and second call aborted owing to lack of quorum, the second and third meetings shall be called within one week interval. The duration of notice in the second and third calls (if any) are not regulated in the case of these meetings.⁸⁰²

⁷⁹⁸ Ibid Article 372(2).

⁷⁹⁹ Ibid Article 372(3).

⁸⁰⁰ Ibid Article 390(2).

⁸⁰¹ Ibid Article 370.

⁸⁰² Ibid Articles 368 and 369.

These are irreplaceable standards whereby the memorandum of association can provide better protections. This implies the duration can be over twenty-four days but it cannot in any way shortened below this.⁸⁰³

17.3. Conducting the Meeting

The Code has governed issues of importance during the date of meeting. They are related with organizing meeting facilitators, participation and voting activities of the shareholders come to the meeting. These issues are prescribed by the Code as detail as the call for meeting. They are examined in the coming discussion.

17.3.1. Organizing Meeting Executors

Every meeting requires persons that organize different relevant matters for its effective running. These activities include presiding the meeting, minute taking and organizing, vote counting, and attendance taking. These are the activities the Code identified and assigned its own implementing persons. An issue that may be raised here is who will be responsible for other unregulated activities like cross-checking the identity of the shareholders or the proxies. This can be carried out by the persons may be assigned by the organ that called the meeting unless the memorandum of association provides otherwise.

The chairperson of the board of directors is responsible to chair all meetings called by the board. In his absence, the deputy chairperson; or in the absence of the deputy, the senior director; or in the absence of senior director, he who elected by the general meeting is responsible to preside the meeting.⁸⁰⁴ The Code doesn't determine if the responsibility to preside can be assigned by these persons to another person. For instance, it is not addressed if the chairperson who comes to attend the meeting assign the presiding role to his depute due to lack of interest or health concern. The other issue concerns the relation of the presiding person with the agenda for decision.

⁸⁰³ Ibid 374(3).

⁸⁰⁴ Ibid Article 379(1).

It seems untenable to insist the chairperson has to preside the meeting if the agenda concerns for example approval of his contractual dealing with the company as it may create unnecessary influence on the voters. If the meetings are called by persons other than the board, the responsibility to preside is imposed on the person that called the meeting.⁸⁰⁵

Tellers are responsible for counting votes casted by shareholders in relation with proposed resolutions. They are required to be elected in the beginning of the meeting. On the bases of Article 380(1) of the Code the tellers need to be selected from the members of the meeting based on their consent with the agreement of those shareholders who hold or represent the greater number of shares. The number of tellers is not specified. The Code also doesn't regulate who select the tellers if the selectors are absent from the meeting or failed to arrive at an agreement. This deadlock may be solved in line with selection of tellers under Article 380(2). Based on this provision, the meeting is entitled to select another person if the selected tellers are unwilling to serve or the shareholders seek to elect another person. Votes can be counted with the use of reliable technology by disregarding appointment of tellers.⁸⁰⁶

Article 378 obliges the company secretary to take and keep an attendance sheet for each meeting that indicates the name, address, number of shares and votes held by each shareholder who attend the meeting in person or with proxy. The secretary is responsible to certify the correctness of the attendance.

The other important activity that needs concern is minutes. The responsibility to prepare, organize and keep minutes lies on the company secretary.⁸⁰⁷ All directors present in the meeting and the secretary are required to sign on the minute and enter it in the minute book kept at the head office of the company. The chairperson or two

⁸⁰⁵ Ibid Article 379(2).

⁸⁰⁶ Ibid Article 380(3).

⁸⁰⁷ Ibid Article 341(4).

directors present in the meeting should certify the entry as correct. Three shareholders may be elected by the meeting to sign and certify even if the directors and secretary are present in the meeting.⁸⁰⁸ It looks apparent that the Code had in mind meetings called by board of directors. If it is called by persons other than the board, the meeting shall appoint shareholders, who should take attendance, prepare, organize, sign and certify minutes though the Code is silent on the matters. Selection of minute signers and certifiers from the shareholders need not be part of the agendas of the meeting.⁸⁰⁹ The meeting shall contain including: manner of calling of the meeting; place and date of meeting; agenda; directors present at the meeting; number of shares represented and the quorum; documents laid before the meeting; summery of discussions; result of votes taken; and text of resolutions adopted. If the meeting aborted for lack of quorum, the shareholder is obliged to reduce this in a minute.⁸¹⁰ Copies or extracts of minutes become valid where certified as correct by the chairperson or two other directors present in the meeting.⁸¹¹ What if the meeting is called by organs other than board of directors?

17.3.2. Participation

Participation in meetings is an inherent right of membership for shareholders unless restricted by law or memorandum of association. The Code has regulated various issues with the aim of ensuring meaningful participation of shareholders in meetings. The manner of calling meeting, time for notices as well as content of notice partly serves this objective. The Code has also taken measures basically towards warranting meaning full participation. These are addressed as follows.

Guaranty for access to documents and other information is one of the basic inputs for meaningful participation at meetings. Every shareholder, joint shareholder, usufructure and pledgee is entitled to inspect and take copies of balance sheet, profit

⁸⁰⁸ Ibid Article 387(1) & (2).

⁸⁰⁹ Ibid.

⁸¹⁰ Ibid Article 387(3) and (4).

⁸¹¹ Ibid Article 388/

and loss account and inventories; directors and auditors report to the general meeting submitted in the three preceding years; minutes and attendance sheets of meetings; resolution to be submitted to the upcoming meeting; register of affiliated persons; name of highest paid employee of the company and his yearly paid amount; and register of shareholders of the company. They can inspect and take the documents by applying to the Ministry if the company refuses.⁸¹² If a shareholder requests access to additional information which is necessary to take a position concerning the agendas of the meeting, the board is compelled to provide it to him unless disclosure is prohibited by law or in its opinion cause significant damage to the company. This applies information concerning affiliate companies as well. If the board refuses without sufficient cause, the shareholder can bring action against the company.⁸¹³ This is one example of personal action of shareholders.

A meeting may be adjourned on want of sufficient information. Shareholders representing at least one third of the capital present or represented at the meeting may require adjournment if they decide that they have insufficient information on the matter in the agendas. The Code allows only one adjournment for an agenda.⁸¹⁴ This shows the concern of the lawmaker for effective and efficient participation in corporate shareholders meetings.

Taking part in meetings through representation is the other important avenue guaranteed by the Commercial Code for the participation of shareholders. A shareholder can appoint an agent to represent him in meetings for indefinite time based on the law of agency. He can also appoint a proxy in accordance with the Code to represent him for one meeting by filling out and depositing the proxy form prepared by persons who called the meeting. The proxy authority does not require any authentication and registration. A shareholder who appointed a proxy neither

⁸¹² Ibid Article 381.

⁸¹³ Ibid Article 382.

⁸¹⁴ Ibid Article 389.

participates nor votes in person.⁸¹⁵

17.3.3. Voting

Voting is one of the fundamental rights of shareholders that enable them to exercise control over their company. It serves them to exercise important powers, such as appointment, supervision and removal of directors. It is a right inherent to their membership in a company.⁸¹⁶ After all meeting without voting on the proposed resolution lacks meaning in the context of control. The right cannot be limited by agreement. It can only be restricted in accordance with the law and memorandum of association.

The Code has specified selected number of restrictions on voting. The first concerns the prohibition of the company to vote using redeemed shares in the meetings of shareholders. The directors or any other organ of company cannot use these shares and vote in meetings. *Second*, concerns restriction of preferential shares on profit and distribution of capital by the memorandum of association from voting in ordinary but extraordinary and special meetings. Even in case of ordinary general meeting the restricted shares cannot go beyond half or more of the capital of the company. *Third*, no conflict rules are the other grounds where voting right of the shareholder can be restricted. A shareholder is prohibited from voting if he has an interest on the matter in the resolution. In particular, shareholder directors are prohibited from voting on matters concerning their duties, liabilities or other matters of the company they have direct or indirect interest. *Fourth*, failure to meet payment on shares by the due date results in loss of voting right. Last, related with restriction on the maximum number of votes of shareholder. The memorandum may limit the highest number of votes to be casted by shareholders. However, this shall be applied proportionally for all voting shares without discrimination.⁸¹⁷

⁸¹⁵ Ibid Articles 373 and 377.

⁸¹⁶ Ibid Articles 291(3), and 363.

⁸¹⁷ For vote restriction, see ibid Articles 289(7), 279(2)-(3), 37, 383(2), 384,385, and 386.

The weight accorded to shareholders voting with shares is calculated in proportion to the amount of capital represented by their shares. One share carries one vote. This is the rule unless the memorandum of association put caps as regards all shareholders equally. But this cannot make null the voting rights of minority shareholders.⁸¹⁸ Unlike partnerships, the rights in companies are determined by the extent of contribution. Equality of shareholders depends on the treatment in proportion to contribution but not as an individual member.

The Commercial Code doesn't regulate the manner of voting. It simply governed the selection of tellers. Voting by rising hand method has been applied in shareholders meeting. This is simple but vilified on the ground of paralyzing the proportional voting rule. Poll casting is another manner of voting on resolutions. Practically, clapping is used as method of voting in meetings of shareholders in Ethiopia. This can also adversely affect the fair voting rights of shareholders since it is challenging to distinguish and assign value for them. It also relegates the roles of tellers.⁸¹⁹

17.4. Resolution

A resolution is the decision of a meeting with respect to items tabled as an agenda. A resolution becomes valid if adopted in a meeting in accordance with the memorandum of association and the law.⁸²⁰ The meeting must be called and conducted in accordance with the law and memorandum of association. The issue that can be raised here is would missing of every requirement for calling and conducting meetings deny the resolution validity? The answer seems in the negative since the Code has provided some cases of violation that cannot in principle affect the validity of the resolution. This can be gleaned from the effect of breaching vote restriction by shareholders in matters involving conflict of interest with the company in Article 385 of the Code. For example, if a director votes on matters concerning approval of a transaction between himself and the company at the general meeting,

⁸¹⁸ Ibid Article 383

⁸¹⁹ ፈ.ቃዱ ጴጥሮስ ፈ.ቃዱ ጴጥሮስ (n 426) 192.

⁸²⁰ Commercial Code of Ethiopia, Article 391(1).

the resolution cannot be set aside unless it is prejudicial to the interest of the company as a result of the breach. On the other hand, a resolution passed contrary to quorum and majority rules of the Code is automatically invalid based on Article 374.

A validly adopted resolution binds all shareholders, including those who were not present or abstained or dissented or incapable or their right to vote is deprived.⁸²¹ This general expression should be seen in the context of the specific types of resolution. Depending on the types of meetings, resolutions can be general or special. General resolutions can either be ordinary or extraordinary. A general resolution cannot modify the special rights of and bind shareholders of preferential classes. The group can come up with its own special resolution against the general resolution. The force of a resolution seems limited to its participant shareholders.

An invalid (illegal) resolution can be set aside with the application of any person to the court if it jeopardizes her interest. She shall lodge her action within three months from the date she knew of the adoption of the resolution. If the resolution is entered in the commercial register, she must lodge the action within two months from the date of entry regardless of the date of her knowledge about the adoption. The action should be filed to the court that situate at the head office of the company. The court may order the stay of execution of the resolution by weighing the interest of the claimant and the company. If the court decides setting aside of the resolution, it binds all shareholders of a meeting. However, the rights of third parties acquired in good faith on the bases of the overruled resolution shall not be affected.⁸²²

17.5. Ordinary General Meeting

All shareholders have the right to participate in ordinary general meeting of shareholders. This cannot be avoided by otherwise provisions. Apart from the common rules on all meetings of shareholders discussed above, the Code has

⁸²¹ Ibid.

⁸²² Ibid Article 391(2)-(7).

provided some additional rules specific to ordinary general meeting of shareholders. These concerns the period for convening the meeting, time for submitting request for information, business of the meeting, quorum required to convene the meeting and majority vote for passing resolution. According to Article 393 of the Code it is compulsory to hold annual ordinary general meeting within four months from the end of the financial year of the company. But the period can be extended to six months in accordance with the memorandum of association. It appears that the annual meeting cannot be extended beyond six months. Sometimes it seems compulsory to extend the meeting beyond this period if the first meeting is aborted as a result of lack of quorum. Apart from annual meeting, additional ordinary general meetings can be called if it is necessary to do so.

For an ordinary general meeting to be valid, shareholders representing at least one quarter of the capital of the company must be present. In the first meeting, quorum is calculated based on the amount of capital represented than number of shareholders. If the meeting cannot be held owing to lack of quorum in the first call, a second call for meeting shall be made and the meeting is required to be held without regard to the numbers of voting shares present. Here amount of capital is not important for quorum calculation.⁸²³ This may pose challenges if only few shareholders present in the second meeting. Would it be possible to hold the meeting if one, two or three shareholders only present for the second meeting? It can be said it is possible to undertake if the issue is seen from the perspective of legal formalism. The law is pretty clear that there is no need of appearance of a certain minimum extent of shareholders representing the capital of the company with voting rights in the second meeting. This implies if at least a shareholder appears on the date fixed for meeting, it is possible to carry out it by himself. This understanding faces a stiff resistance from the angle of the minimum number of meeting organizers in the Code. It is awkward for a single shareholder to be chairperson, teller, secretary and

⁸²³ Ibid Article 398(1)-(3).

participant of a meeting at a time. At least some numbers of shareholders seem impliedly required to appear for the second meeting.⁸²⁴

Decisions at ordinary general meetings are taken with simple majority of voting shares of the capital represented at the meeting. Absentees and blank ballots cannot be counted.⁸²⁵

Ordinary general meeting of shareholders is entitled to decide over the following matters:

- ❖ Deciding over annual accounts and reports of directors; reports of supervisory board and auditors;
- ❖ Appoint or remove directors, members of supervisory board, auditors; and decide over their remuneration;
- ❖ Approve issue of debentures and guarantees attached thereto, if any;
- ❖ Approve the transfer of fifty one percent or more of the assets of the company at once or with a year at different intervals;
- ❖ Approve transactions between the company and affiliated persons with the amount of at least ten percent of the asset of the company;
- ❖ Appointing special investigator to undertake investigation and submit report on the activities of the company and selected shareholders; and
- ❖ Decide on all matters assigned to general meeting of shareholders unless specifically left to extraordinary general meeting by the law.

17.6. Extraordinary general meeting

Like the case of ordinary general meeting all shareholders have the right to

⁸²⁴ ፌ.ቋ.ዲ.ዲ. (n 426) 204.

⁸²⁵ Commercial Code of Ethiopia, Article 398(4).

participate in extraordinary general meeting irrespective of the extent of their shares. This cannot be excluded by otherwise agreements. They have the right to inspect and access information. The meeting is an organ of administration of company responsible to decide over matters special significance to the shareholders as a whole and the company. As a reflection of this, the meeting is subject to stricter quorum and majority rules compared to ordinary general meeting.

At least one third of the holders of all shares with voting rights must be represented at the meeting by shareholders or their proxies for a meeting to proceed with the first call. If such quorum is not present, the meeting must be called for the second time and the quorum is reduced to one fourth. If the quorum is not fulfilled in the second call, the third call follows within one week interval and the third meeting proceeds if shareholders having voting rights present or represented irrespective of the extent of their share in the capital of the company. There two exceptional cases that require very stringent quorum requirement. Change of nationality of the company requires the presence of all voting shares of the company. Second, increasing of capital by increasing par value of shares other than from reserve funds and profit requires the presence and agreement of all shareholders in the meeting. Contrasting with change of corporate nationality, this needs the presence and agreement of both voting and non-voting shares.⁸²⁶

Two third majority of capital represented by voting shares present at the meeting is required to adopt a resolution at extraordinary general meeting. Abstentions and blank ballots cannot be counted in calculating this majority. If the meeting adopts a resolution on change of business purpose or conversion with majority vote, the dissenting shareholders have the right to leave the company via forced redemption of their shares in accordance with the Article 403 of the Commercial Code. However, unanimous vote is required to pass a resolution on change of nationality of the company and increase of capital via increasing the par value of shares other

⁸²⁶ Ibid Article 402(2)-(4).

than money from reserve funds and profit.⁸²⁷

According to Article 400 of the Commercial Code, extraordinary general meeting has the following powers:

- ❖ Amendment of memorandum of association. However, changes in the identity (names) of shareholders, their address, nationality, number of shares held or amount paid shall not be regarded as amendments to the memorandum of association. The law preferred to assure flexibility in this regard.
- ❖ Increase or reduction of capital;
- ❖ Changing company nationality;
- ❖ Deciding dissolution, conversion, division or merger of the company; and
- ❖ Other powers specifically given to extraordinary general meeting by law or memorandum of association. This is because residual general meeting of shareholders powers is given to ordinary general meeting.

17.7. Special meeting

This is a meeting of shareholders having the same class. Special meeting of shareholders cannot exist in the absence of classes of shares in a company. The sole objective of the meeting is enshrining class interests against the exploitation of ordinary shareholders. If the general meeting adopts a resolution that modifies the rights of class of shareholders; they can have a special meeting within sixty days to decide over the modification. This implies that the general meeting cannot change the rights of class of shareholders if the class rejects the same with special meeting resolution. Special meetings may be attended by only the holders of a particular class of shares.⁸²⁸

⁸²⁷ Ibid Article 402(1).

⁸²⁸ Ibid Article 404.

At least one half of the holders of shares having voting rights of the class must be represented at the meeting in the first meeting. If such quorum is not present, the meeting must be called for the second time within one week interval and the quorum is reduced to one third. If the quorum is not fulfilled in the second call, a third call follows within one week interval and the third meeting proceeds if one fourth of the class of shares having voting rights present or represented. The majority vote required to pass a decision is similar with extraordinary general meeting.⁸²⁹

17.8. Summary

Shareholders meetings are classified in to general and special meetings. General meeting comprises shareholders of all classes. All shareholders of the company are entitled to participate and vote in general meetings with the exception of some limited restrictions. General shareholders meeting further divided in to two: ordinary and extraordinary. General meeting of shareholders is the highest decision-making organ of the company open to the participation of all members of the company. Special meeting encompasses shareholders of a class. The business of the special meeting is limited to transact issues of concern to the class of shares. The decisions of meetings of shareholders can be taken with formal, informal, or even without calling a meeting.

The power to call general meetings of shareholders is given to board of directors, supervisory board (if any), auditors, liquidators, Ministry of Trade and Regional Integration or other relevant organ of government or court of law. The manner of calling meetings is assigned to be determined by the memorandum of association of each company. If the memorandum is mute on the method of calling, the Code requires it to be made with publishing in a newspaper having nation-wide circulation. The notice of call for meeting is expected to consist of general information about the company, the meeting and the agendas of the meeting. Conducting meeting needs organizing meeting facilitators, participation and voting

⁸²⁹ Ibid Article 406.

activities of the shareholders come to the meeting.

Participation in meetings is an inherent right of membership for shareholders unless restricted by law or memorandum of association. Guaranty for access to documents and other information is one of the basic inputs for meaningful participation. Voting is the other right of shareholders that enable them to exercise control over their company. It can only be restricted in accordance with the law and memorandum of association.

A resolution is the decision of a meeting with respect to items tabled as an agenda. A resolution becomes valid if adopted in a meeting called and conducted in accordance with the memorandum of association and the law. A validly adopted resolution binds all shareholders, including those who were not present or abstained or dissented or incapable or their right to vote is deprived. An invalid (illegal) resolution can be set aside with the application of any person to the court if it jeopardizes her interest.

It is compulsory to hold annual ordinary general meeting within four months from the end of the financial year of the company. For an ordinary general meeting to be valid, shareholders representing at least one quarter of the capital of the company must be present. If the meeting cannot be held owing to lack of quorum in the first call, a second call for meeting shall be made and the meeting is required to be held without regard to the numbers of voting shares present. Decisions at ordinary general meetings are taken with simple majority of voting shares of the capital represented at the meeting. Ordinary general meeting of shareholders is entitled to decide on different matters including approving annual accounts and reports.

Extraordinary general meeting is responsible to decide over matters special significance to the shareholders as a whole and the company like dissolution of the company. At least one third of the holders of all shares with voting rights must be represented at the meeting by shareholders or their proxies for a meeting to proceed

with the first call. If such quorum is not present, the meeting must be called for the second time and the quorum is reduced to one fourth. If the quorum is not fulfilled in the second call, the third call follows within one week interval and the third meeting proceeds if shareholders having voting rights present or represented irrespective of the extent of their share in the capital of the company. Change of nationality of the company and increasing of capital by increasing par value of shares other than from reserve funds and profit require the presence of all voting shares of the company.

Special meeting of shareholders cannot exist in the absence of classes of shares in a company. The sole objective of the meeting is enshrining class interests against the exploitation of ordinary shareholders. At least one half of the holders of shares having voting rights of the class must be represented at the meeting in the first meeting. If such quorum is not present, the meeting must be called for the second time within one week interval and the quorum is reduced to one third. If the quorum is not fulfilled in the second call, a third call follows within one week interval and the third meeting proceeds if one fourth of the class of shares having voting rights present or represented. The majority vote required to pass a decision is similar with extraordinary general meeting.

17.9. Review Questions

1. Discuss the roles of different types of meetings of shareholders in the governance of a company.
2. What are procedures for calling meetings? What policy reasons are behind these procedures?
3. Can an individual shareholder call or cause to be called a meeting as per the Commercial Code?
4. Who has the power to call meetings?

5. Discuss the powers of different types of meetings.
6. What are the inherent rights of shareholders in relation with meetings? Can they be restricted in any ways?
7. Compare and contrast the quorum and majority vote in case of different types of meetings.
8. Compare contrast the effects of general and special resolutions.
9. What are the grounds to set-aside resolutions? Can an individual shareholder apply for setting aside a resolution passed against the interest of the company or shareholders in general?
10. XYZ Share Company was required to hold its annual general ordinary shareholders meeting on or before the 30th of December, 2022. Two of its directors, A and B, were due for retirement on the said date but were eligible for re-appointment. The company could not hold the meeting by the 30th of December 2022 due to the delay in the finalization of accounts for the year ended on 1st April 2023. Some of the shareholders of the company question the validity of the continuance of these persons as directors. Examine the validity of the contention of the shareholders.
11. The annual general meeting for the years 2013 E.C. and 2014 E.C. of Company XY were convened on 10th of December 2015 E.C. belatedly and with great difficulty. Notices of the meetings were dated 10th of November 2015 E.C. and these were published on *Adiss Zemen* newspaper after three days. D, a shareholder of the Company holding 10 shares and a resident of Addis Ababa, sought an injunction that the resolutions passed at the meetings be not given effect to, on the ground that the notices were received by him only on 8th on December 2015 E.C. Discuss whether D would succeed in getting the injunction.

CHAPTER EIGHTEEN: DISSOLUTION & WINDING UP OF SHARE COMPANY

Introduction

A share company may not last forever. The end of separate legal existence of a company normally affects different interests. The magnitude and coverage of this may be even greater than the interest at stake during the formation of the company. With this in to consideration, the Commercial Code has provided rules governing grounds of dissolution, winding up process and cancellation of the company. Here it is very clear that the shareholders may by extraordinary resolution dissolve a company. However, they cannot exclude the winding up process by resolution. The process is compulsory to identify the credits and debts of the company under liquidation so as to enshrine the interests of creditors and even shareholders. This implies that the contract theory of the corporation is short of explaining the winding up process if it explains the dissolution of a company by the agreement of members. Rather it appears convincing that the concession or real entity theory better functions at explaining the process.

Articles 181 and 182 of the Commercial Code govern the grounds of dissolution and winding process of business organizations in general. In addition to these provisions, it has also prescribed rules specific to the dissolution and winding up of each of the business organizations. This chapter briefly addresses some of these rules with regard to the dissolution and winding up of share company.

18.1. Grounds of Dissolution

As can be noted from previous chapters about the dissolution and winding up of business organizations in general and specific organizations as well, dissolution can be described as an act of termination of working together and cooperation by the shareholders of a company as a result of different grounds. The grounds of termination can be categorized in to two: voluntary and involuntary

Voluntary dissolution involves the cessation of working together and cooperation towards achieving the business purpose of the company through a term under the memorandum of association or an extra ordinary general meeting resolution. As the term indicates the dissolution of the company is resulted from the consent of the shareholders as per the provisions of the law.⁸³⁰

Unlike the case of partnerships, factors adversely affecting a member cannot in general cause dissolution of a company. If a shareholder dies, it cannot in itself cause dissolution. Some grounds of involuntary dissolution which applies for dissolution of company similar with other business organizations are provided under Article 181 of the Code. These include: achievement or impossibility to achieve the purpose for which a company was formed, court decision for good cause on the request of a shareholder and declaration of bankruptcy by the court. The winding up of involuntary dissolution as a result of bankruptcy is governed by Book III of the Commercial Code.⁸³¹

Article 473 provided three specific grounds of involuntary dissolution of share company. The first is reduction of number of shareholders below five. This can be a ground for dissolution if any interested person requests to the organ registering companies. The organ may decide to dissolve it if the remaining shareholders fail to take remedial measures within six months from the date of knowledge of the reduction. The organ may decide to extend the time limit for taking measures for the continuation of the company.

The second specific ground for involuntary dissolution of share company concerns decision of the registering organ for dissolution up on the request of any interested person as a result of lack of the required administrative organs of the company. These organs basically concern board of directors, supervisory board if required by the memorandum of association, auditors and meetings of shareholders. If lack of

⁸³⁰ Ibid Article 181(1) & (3).

⁸³¹ Ibid Article 480.

only one organ suffices to be a ground for dissolution can be subject to argument. If the absent organ is the board of directors, the entity cannot be even termed as a share company. Equally works for auditors and general meetings. However, one should be careful that temporary cessation of the organs should not be equated with lack. If for instance, all the directors of the board die at the same time, the company will necessarily lack board of directors until an appointment is made by the general meeting of shareholders. But this should not be interpreted as lack of board of directors. It should also be noted that the registering organ can extend the period for the organization or reestablishment of the organs of administration of a company rather than rushing for deciding dissolution.

Third, the court may dissolve a company upon the application of any interested person if it loses three fourth of its capital. However, the board of directors, supervisory board or auditors may call extraordinary general meeting to pass either a resolution for voluntary dissolution or continuation of the company. If they fail to do so, judicial dissolution of the company follows.

18.2. Winding Up

Winding up is the process of making ready the cancellation of the company from the commercial register. In the process the company doesn't loss its legal personality. It continues with its name added "in liquidation". The activities in liquidation includes but not limited to appointment of liquidators, publication of notice for dissolution, preparation of inventory of assets and balance sheet, identification and collection of credits including unpaid contributions from shareholders, identification and calling of creditors, settling payments of creditors, and effecting distribution of surplus to shareholders, if any. These are governed by Articles 474 to 491 of the Commercial Code.

Most of the provisions are about the appointment, removal, resignation, remuneration, powers, duties, and liabilities of liquidators. These are similar with and cross referred to rules about directors. They can be easily understood with a

backdrop understanding about directors. The basic difference between the two lies on the goal of their managerial decisions. Liquidators take decisions with the objective of extinction of the company. Their primary purpose is not working for the company but to its creditors. The objective of directors is towards promoting the success of the company and its whole shareholders. Directors begin new business strategies and plans while liquidators are restricted to completing the existing ones. They cannot begin new business.

Disclosure about the dissolution of a company is regulated with due emphasis in the process of winding up. A decision to dissolve a company with the name of the company followed by "in liquidation", its capital, liquidators, their power, and ground of dissolution are required to be published in a newspaper having nationwide circulation and the website of the company as per Article 474 of the Code. It is also required to make three successive calls to creditors of the company named in its books or otherwise known to liquidators with this method in accordance with Article 484 of the Code.

18.3. Summary

A share company may not last forever. It may be dissolved either voluntarily or involuntarily. Voluntary dissolution involves the cessation of working together and cooperation towards achieving the business purpose of the company by the shareholders through the application of a term under the memorandum of association or with an extra ordinary general meeting resolution. Involuntary dissolution may follow if the number of shareholders goes below five upon the application of any interested person to the organ registering companies. It may also result from the decision of the registering organ for dissolution up on the request of any interested person as a result of lack of the required administrative organs of the company. The court may dissolve a company upon the application of any interested person if it loses three fourth of its capital.

Winding up is the process of making ready the cancellation of the company from the

commercial register. The activities in liquidation includes but not limited to appointment of liquidators, publication of notice for dissolution, preparation of inventory of assets and balance sheet, identification and collection of credits including unpaid contributions from shareholders, identification and calling of creditors, settling payments of creditors, and effecting distribution of surplus to shareholders, if any.

18.4. Review Questions

1. Discuss the grounds of dissolutions of share company.
2. Explain grounds of dissolution specific to share company, if any.
3. Outline the winding up procedure of a dissolved share company.
4. Evaluate if the law provided adequate protection for creditors in the process of liquidation.
5. When does the personality of a company come to an end?

CHAPTER NINETEEN: PRIVATE LIMITED COMPANY

So far, we have dealt with partnerships and share company as business organizations. This chapter we will explore, among others, the salient features, formation, management and dissolution of private limited company under Ethiopian law.

At the end of this chapter, students are expected to be able to:

- List and explain the unique characteristics of private limited company.
- Describe private limited company as distinguished from other business organizations, specially how different it is from limited liability partnership.
- Describe the requirements and procedures for the formation of private limited company.
- Illustrate the rights and duties of members
- Describe the management structure of the private limited company
- Identify and demarcate the powers of the manager and the collective decision of members.
- Spell out majority and quorum requirements for decision regarding the various issues reserved for the collective decision members.
- Analyze and opine on the adequacy of the rules for protection of creditors and shareholders.
- Provide exhaustive list of the grounds for dissolution of private limited company.

19.1 Nature

The 1960 Commercial Code had recognized private limited company and the new

commercial code has sustained it. Other jurisdictions as well recognized companies though the specific details and the varieties might differ. French and Italian laws employed the same common terminology to refer to both partnerships and companies- *sociétés* in France and *società* in Italy, and yet the laws recognized the difference between the two.⁸³² Partnerships generally have unlimited liability, whilst companies usually have limited liability. The other distinction corresponds to the characterization of the two entities as personal companies and capital companies, where the personal companies are characterized by the role of their members and the capital companies characterized by the importance of the capital than personality of the contributor.

We have already dealt with the distinguishing features of each partnership. It is time to explore companies as business organizations. As noted earlier, Ethiopian law recognized three types of companies; share company, private limited company, and single member private company. In line with the general categorization of companies, we may classify share company as public company while the latter two may be classed into the private companies.

For instance, the 2006 Company Act of UK generally classified companies as “private company”-any company that is not a public company, and “public company”-a company limited by shares or limited by guarantee.⁸³³ The French *société anonyme* (SA) matches the public companies spectrum while *société à responsabilité limitée* (SARL) corresponds to the class of private companies.⁸³⁴ The SARL may have a single member in which case it will take the name *entreprise*

⁸³² Andenas and Wooldridge (n 229) 61. Note also that the division between commercial and civil law is an important feature of both the Italian and French legal systems. The civil partnership, *société civile*, belongs to civil law³³ whereas partnership created as a matter of fact can be created in both civil and commercial law.

⁸³³ Private company is further typified into Private Company Limited by Shares, Private Company Limited by Shares, Private Company Limited by Guarantee, and Unlimited Private Company. See Section 4 of the 2006 Company Act of UK.

⁸³⁴ Andenas and Wooldridge (n 229)63-64.

unipersonnelle à responsabilité limitée (EURL).⁸³⁵

Private limited company (PLC) is today one of the most popular form of company employed in practice. A large number of groups of companies we get in Ethiopia consist of PLC's as their members. Businessmen prefer PLC for small and medium sized operations due to its flexibility in structure and functioning with the advantage of limited liability for its members. There are characteristics it shares with a share company and some of the partnerships. PLC can be taken to be a hybrid of a share company and partnerships; its members enjoy benefit of limited liability like share company while on the other hand management is somehow flexible, close to the cases of partnerships. Art. 495 provides comprehensive characterization of PLC as follows:

- 1/ A private limited company is a business organization whose capital is fully paid in advance, divided into shares and whose members are not liable for the debts of the company provided that they have paid up their contributions.*
- 2/ Shares of the company shall not be open for subscription by the public.*
- 3/ Notwithstanding Sub-Article (1) of this Article, the provisions of Article 295 of this Code shall apply to the liability of a member with a decisive vote.*
- 4/ A private limited company may not have less than two or more than fifty members.*
- 5/ The company may not issue transferable securities.*

Thus, a private limited company is a business organization formed by two or more members but not more than fifty; the contribution of members that constitute the capital is divided into shares; contributions must be fully paid in advance; members are not liable beyond their contribution save cases necessitating piercing the corporate veil (*Article 295*);

A private limited company is called a private company exactly because it is not open

⁸³⁵ Ibid 62.

for subscription by the public. It is a company of members within a small circle or close acquaintances. That is why Article 495(2) affirmed *shares of the company shall not be open for subscription by the public* in a sense that it is not allowed to raise capital by inviting the public to buy shares. Nor is it permitted to issue any other transferable securities, be it debt securities or equity securities. Even though the capital is divided into shares, the shares are not transferable securities.

19.2 Formation

The formation of PLC is subject to the general rules governing formation of business organizations. A PLC must have memorandum of association. The content is more or less similar to the memorandum of other business organizations.⁸³⁶ The memorandum of association establishing the company must be signed by all members and shall be authenticated by the relevant authority. Finally, the company shall be registered in the registry of commerce in which the memorandum of association shall be deposited and certificate of incorporation is awarded, up on which the company shall acquire legal personality.

⁸³⁶ Commercial Code of Ethiopia, Article 500. Contents of the Memorandum of Association The memorandum of association of the company shall show:

- 1/ the names, nationality and addresses of the members;
- 2/ the company name, head office, and branches, if any;
- 3/ the business purposes of the company;
- 4/ the amount of the capital and a statement that the capital is fully paid;
- 5/ the sum of money paid-up by each member;
- 6/ the value of contributions in kind, if any;
- 7/ the number of shares held by each member;
- 8/ the procedure for distribution of profits;
- 9/ if there are directors, their number and powers;
- 10/ the number of managers and their powers;
- 11/ the number of Auditors, if any;
- 12/ the period of time for which the company is established;
- 13/ the manner in which and the period within which the company will publish its performance report;
- 14/ relationship among the company's management, company and its members and amongst the shareholders; and
- 15/ other particulars that should be included pursuant to the law or agreement of members.

19.2.1. Members

The members of a PLC must not be less than two and must not exceed fifty. The minimum of two persons is in fact common to all business organizations but the maximum number limitation is peculiar to PLC. Such requirement does not exist even in partnerships that are more informally structured and managed than PLC. The possible justification for this seems that the law wants to maintain the close relationship among members and to make it manageable. Because of limited liability, members are unlikely to be concerned about the fate of the company if their share is too small. As we shall see, management is also not subject to strict rules unlike the case of share companies. In the absence of limitation on the number of shareholders, there might be a number of dispersed shareholders having tiny pecuniary interest whose protection would become at stake given the flexible management style permitted for PLC.

The restriction on number of members is not unique to Ethiopian law. Members of the French SARL must not exceed 100, and where it does so, the company must be converted into an SA within a year unless within that period of time the membership is reduced to one hundred or less. Else, the company is automatically dissolved.⁸³⁷

On the contrary, where the number of members of a private limited company falls below two for whatever reason, the surviving member has two options; either to bring a new member or convert the PLC into a one-person private limited company. Either of these adjustments must be made within six months from the company's membership falling below two. Failing that, the PLC shall be dissolved (Article 498).

19.2.2. Contributions/Capital

Like any other business organization, the members of PLC must contribute. The total

⁸³⁷ Andenas and Wooldridge (n 229)62.

sum of the contributions constitutes the capital of the PLC. The capital of a PLC must be at least 15,000 birrs. Capital of PLC is divided in shares. Each share shall have equal value known as *par value*. The *par* value of each share may not be less than birr 100 (one hundred birr) (Article 496). The shares are the units of measurement in the sense that the number of shares multiplied by their par value gives the total capital. A single member shall contribute at least 100 birr which is the minimum par value (article. 496).

Contribution may be in cash or in kind with the exception of service (Article 501). The contributions must be fully paid before the formation. The par value of shares so paid in cash shall be deposited in a blocked bank account opened, before the registration of the company, in the name of the company under formation (article 499 (1)). Where there are contributions in kind, they must be valued and delivered to the PLC, where appropriate, registered in the name of the company followed by issuance of title deed.

The usual problem of contribution in kind is valuation. The valuation of contributions in kind is left to the members themselves. The law exempted members of PLC from the rigorous evaluation process depicted in share companies. In cases of over valuation and damage to third parties, members are jointly and severally liable for the excess valuation of the contribution regardless of the fact that members were not aware of overvaluation (Article 502).

What would be the consequence if contributions, be it in cash or in kind, are not paid in advance? Can we say the PLC is properly formed? If so, who shall have a vested interest to enforce payment of the promised contributions towards the accounts of the PLC? Here is a case from the decisions of the Federal Supreme Court Cassation Division, Mr. Tekle Wakijira, Mr. Tilahun Bobas, and Habib Mohammed (three members of PLC as applicant) vs Mr. Shonta Gubu (respondent), File No. 19258,

dated Hamle 19/1999 E.C.⁸³⁸

In this case, the parties to the dispute affirmed that they have formed a PLC with a total capital of 800,000.00 birr by contributing 200, 000.00 birr each towards the formation of a PLC. Applicants sued the respondent at Gedeo High Court Claiming that the respondent failed to pay a part of his promised contribution whose amount being 74,838.80 birr. They requested the court to enforce the payment of this remaining contribution. The respondent in his part in his statement of defense addressed the court he shall pay the remaining balance from future profits due to him from the PLC, and stated there is no law to compel him to pay at one time. The high court ruled in favour of the respondent reasoning that there is no specific date for payment in the agreement and there is not even proof of default notice.

The supreme court of SNNP entertained the case on appeal. The respondent must pay, this court ruled, as per his contractual undertaking during the formation of the PLC in so far as the validity of the agreement is not contested. Then, the respondent took the case to the cassation division of the same court. The cassation division relied on the provisions dealing Share Company (Art 342 of the Commercial Code of 1960) regarding call on shares and consequences thereof. Accordingly, this cassation division ruled that where a shareholder defaults, the company may not compel payment of the remaining balance; rather the company should rely on sale of the shares in auction and claim damages uncompensated.

The applicants took the case to the Federal Supreme Court for cassation review. This court reversed the decision of cassation division of Supreme Court of SNNP. The Federal Supreme Court cited Articles 516 and 517 which it interpreted as requiring full payment of the contribution before the formation of the PLC, and held that it is misapplication to rely on provisions applicable share company while the that specific provisions on PLC provided otherwise. Accordingly, the court affirmed the

⁸³⁸ የፌዴራል ጠቅላይ ፍርድ ቤት ሰበር ችሎት ውሣኔዎች, ቅጽ - 6 (Miazia 2001 E.C) 37.

decisions of the supreme court of SNNP that compels respondent to pay the remaining balance. The new commercial code dispelled the doubts and clearly provided that contributions must be paid fully in advance of formation of the PLC.

The court didn't entertain who has standing to demand payment of unpaid contributions; the PLC or the members of PLC jointly? But after the formation of the PLC, it should have been the PLC represented by the manager who should have standing.

19.2.3. Firm Name of the PLC

A PLC acquires legal personality upon registration in the commercial register. Thus, it shall have its own Firm-Name that must indicate the nature of business it carries out and followed by the words "Private Limited Company". Unlike partnerships, the name of members does not need to appear in the Firm-Name. In principle, PLC may be formed to pursue any lawful economic activity, save exceptional restrictions by specific laws such as exclusion from banking, and insurance business. Practically, the custom is to designate a broad and generic purpose such as ... manufacturing PLC, Consultancy PLC, Trading PLC. The name should be followed by the words "Private Limited Company" to inform third parties that its liability is limited.

19.3. Shares in PLC

The contributions in cash or in kind for a PLC constitute its capital, and the capital, as in the case of Share Company, is divided into shares with equal par value. Share certificates⁸³⁹ with a par value shall be issued. The *par* value may not be less than

⁸³⁹ Commercial Code of Ethiopia, Article 506. Contents of a Share Certificate

Each share shall contain:

- 1/ the serial number of the share and sequence;
- 2/ the signature of the chairperson of the board of directors, or of the manager, if the company has no board;
- 3/ the name of the company, its head office and period for which it is established;
- 4/ the amount of the capital of the company and the par value of the share;
- 5/ the date of signature of the memorandum of association and the date and place of registration of the company in the commercial register;
- 6/ other necessary information.

100 birrs.

19.3.1. Form of shares

The shares in PLC shall be represented by share certificates. The form the certificates should take is determined by law. The form determines the modality of transfer and degree of protection given to transferee of the instrument. It is advisable to take insight from the law of negotiable instruments regarding forms of instruments. Art. 719 of the 1960 commercial code provided that “according to the forms provided for their transfer, negotiable instruments may be to bearer, in a specified name or to order.”

Regarding the modality of transfer, the transfer of rights in a “bearer” instrument shall be effected by mere delivery the instrument⁸⁴⁰ while rights in a “to order” instrument pass up on endorsement plus delivery of the instrument.⁸⁴¹ The instruments in “to bearer” or “to order” form have got a legal recognition that elevate them to the status of corporeal chattels.⁸⁴² Instruments “in specified name”-registered in the name of the right holder- “may be transferred by the entry of the name of the transferee in the instrument and in the register held by the person issuing the said instrument.”⁸⁴³

Of these three alternative forms, a PLC may issue shares in a specified name. Article

⁸⁴⁰ 1960 commercial Code of Ethiopia, Article 721 (1)- An instrument to bearer shall be transferred by delivery of the instrument.

⁸⁴¹ Ibid Article 724(1) -Instruments to order may be transferred by endorsement, followed by delivery of the instrument to the beneficiary under the transfer.

⁸⁴² A cross reference to the law of property, as embodied in the Civil Code, would of help to understanding this legal fiction. Dealing with the classification of things/goods/, the Civil Code holds that unless otherwise provided by law, claims and other incorporeal rights embodied in securities to bearer shall be deemed to be corporeal chattels (Art. 1128 of civil code). Article 1144 of the same law explained the effect of treating securities as corporeal chattel; it states that possession may be transferred to a new possessor by delivering to the new possessor the document representing the thing and enabling him to dispose (Article 1144). Thus, not only the document evidences a right/thing but also that there is a legal recognition in which its disposal enables disposal of the right therein. Possessing the document is tantamount to possession of the thing it represents; transfer of the document amounts to transfer of the thing represented by the document.

⁸⁴³ 1960 Commercial Code of Ethiopia, Article 723(1).

503 stipulated that the “company may issue only shares registered in the name of the members.” Indeed, even a Share Company can issue only shares/debenture registered in the name of the shareholder/debenture holder, because the revised commercial code abolished share/debentures in the form of “to bearer”⁸⁴⁴.

19.3.2. Nature of Shares in PLC

Shares in PLC have a different nature than in a Share Company. Several provisions are dedicated to explicate the nature of shares in Share Company⁸⁴⁵, the law is mute when it comes to nature of shares in PLC.

The nature of shares in PLC, however, could be inferred from some provisions. Article 495 (5) makes it clear that a PLC “may not issue transferable securities”. The legal conception of transferable security implies that transfer of the document transfers the right embodied in it. Transferable securities are sub-class of “negotiable instrument.” Negotiable instrument is defined, per Art. 715 of the 1966 Comm. Code), as “*any document incorporating a right to an entitlement in such manner that it be not possible to enforce or transfer the right separately from the instrument. The law recognizes in particular as negotiable instruments commercial instruments, transferable securities, documents of title to goods*”.

Thus, the law has denied share certificates in PLC the status of transferable security within the meaning of Art. 715 of the 1966 Commercial Code. Transfer of a negotiable instruments results in transfer of the right embodied in the instrument, and the mode of transfer of instrument depends on the form the instrument takes. We already pointed out that shares in PLC shall be “in specified name”- registered

⁸⁴⁴Commercial Code of Ethiopia, Article 267.) The Commercial Code of 1960 had recognized shares and debentures in the form of “to bearer” and “registered in the name of the shareholder/debenture holder.” See Articles 325 & 434 of this Code.

⁸⁴⁵ Commercial Code of Ethiopia, Article 283. Nature of Instrument Share Without prejudice to a contrary stipulation by other laws, an instrument share is a document incorporating a right of a shareholder in such a manner that it be not possible to enforce or transfer the right separately from the document.

in the name of the shareholder, and such instruments “may be transferred by the entry of the name of the transferee in the instrument and in the register held by the person issuing the said instrument.”⁸⁴⁶

The essence of denial of status of transferable security to PLC shares rests on the other attributes of negotiable instruments than the form it takes. The typical feature of instruments with a status of negotiable instrument/transferable securities is that they offer the transferee of instrument a right free from defenses attributable to the transferor. As articulated in law of negotiable instruments, Article 718, “no claim for recovery may be made against a person who has acquired a negotiable instrument in due course, in accordance with the rules applying to negotiation.”⁸⁴⁷ Art.717 (3) added that “the debtor may not set up against the holder of the instrument defenses based on his personal relations with preceding holders, unless the holder, in acquiring the instrument, has knowingly acted to the detriment of the debtor.”

Transferee of share certificates in PLC does not have such protections. This is the basic departure point between shares in place and shares in share company.⁸⁴⁸ The share certificates in share company are elevated closer to the status of corporeal chattels.⁸⁴⁹

⁸⁴⁶ 1960 Commercial Code of Ethiopia, Article 723(1).

⁸⁴⁷ 1960 Commercial Code of Ethiopia, Article 718.

⁸⁴⁸ Commercial Code of Ethiopia, Article 286. Defense Regarding an Instrument Share The company may not set up against a holder of an instrument share defences based on its personal relations with preceding owners of the share, unless the holder, at the time of transfer of the share, has knowingly and intentionally acted to the detriment of the company. Article 287. - Effect of Possession in Good Faith- A share may in no case be claimed from a person who acquired it in good faith in accordance with the provisions of this Code relating to assignment of instrument share.

⁸⁴⁹ A cross reference to the law of property, as embodied in the civil code, would of help to understanding this legal fiction. Dealing with the classification of things/goods/, the Civil Code holds that unless otherwise provided by law, claims and other incorporeal rights embodied in securities to bearer shall be deemed to be corporeal chattels (Art. 1128 of civil code). Article 1144 of the same law explained the effect of treating securities as corporeal chattel; it states that possession may be transferred to a new possessor by delivering to the new possessor the document representing the thing and enabling him to dispose (Article 1144). Thus, not only the document evidences a right/thing but also that there is a legal recognition in which its disposal enables

19.3.3. Transfer of Shares

This section inquiries into the degree of freedom to transfer one's share in PLC and the formality required to effect the transfer.

19.3.3.1. Formality Required to Transfer Shares In PLC

As regards formality, we underscored that, in PLC, share certificates shall be registered in the name of the shareholder. The general principle is that instruments registered in the name of the shareholder shall be transferred by the entry of the name of the transferee in the instrument and in the register held by the person issuing the said instrument (the company in this case).⁸⁵⁰ This is clearly provided in relation to transfer of shares in share company as the relevant provision reads “share issued in a specified name shall be effected by delivery and registration of the share in the name of the transferee in the register of shareholders.”⁸⁵¹

Nonetheless, Article 508 (1) states that “any transfer of shares shall be made in writing; transfer of shares shall be of no effect in relation to third parties unless it has been entered in the share register.” It appears to require a written agreement in addition to delivery and registration of the share in the name of the transferee in the company registers. Yet, the form of the written agreement is not specified in this law. In such cases, we are forced to resort to the relevant provision of the Civil Code which reads “[a]ny contract required to be in writing shall be supported by a special document signed by all the parties bound by the contract. It shall be of no effect unless it is attested by two witnesses.”⁸⁵² The requirement that transfer of shares in PLC should be in writing implies adherence to such formality is required. Thus, the transfer of shares in PLC is a little bit rigorous than the case in share company.

Article 505 deals with pledging or establishing usufruct right on shares in PLC. At

disposal of the right therein. Possessing the document is tantamount to possession of the thing it represents; transfer of the document amounts to transfer of the thing represented by the document.

⁸⁵⁰ 1960 Commercial Code of Ethiopia, Article 723(1).

⁸⁵¹ Commercial Code of Ethiopia, Article 285(2).

⁸⁵² Civil Code of Ethiopia, Article 1727.

first glance, it gives the impression that pledging one's interest in a PLC could be effected by the transfer of the share certificate as in the case of pledge of corporeal chattel. Given the foregoing analysis, pledging or transfer of usufructuary interest in shares of a PLC must go through this same formality requirement as transfer of the shares, else it shall not have effect on third parties. The other point worth noting here is the consequence of transfer of beneficial interests regarding the right to vote at meetings. The law confirmed that control rights shall remain with the shareholder even if some beneficial interests on such shares are transferred to third parties. But agreement otherwise may also vest the control rights to transferee of the beneficial interest.

19.3.3.2. The degree of freedom to transfer one's share in PLC

Apart from the formality required for transfer of shares, there would arise the question of decides on the transferability of interest one's share/interest in PLC. Does the shareholder have unconstrained right to transfer his own share or do the other members of the PLC have control on transfer of shares? The need for transfer of shares may arise either due to the shareholders decision or extraneous factors such as death or insolvency of the shareholder. The degree of freedom somehow depends on to whom the transfer is to be made and on the events giving rise to the need for transfer.

In the first place, shares are freely transferable among members unless the memorandum of association provides for restrictive condition on free transfer among member.⁸⁵³ On the other hand, where transfer is to outsiders, the member disposing his share must secure the approval of members representing at least three-quarters of the capital. The memorandum of association may set more stringent requirement subjecting transfer of shares to outsiders to the approval of larger majority or unanimity (Art 509(1). Furthermore, where the proposed transfer to outsiders secured the required majority, the remaining members have right to pre-

⁸⁵³ Commercial Code of Ethiopia, Article 508(2).

emption. Art 508 (3) provides that “a member shall, prior to disposing of his share to a person outside the company, reveal the price offered to him and give the right of first refusal to the other members to purchase the share at the price offered to him and under the same conditions.” It appears a bit odd; a member shall remain compelled to continue as a member or look for dissolution grounds absent the consensus of members representing at least 75% of the capital. This requirement is even stricter than what was provided in the 1960 commercial code where the quorum requirement was members representing 75 % of the capital and the majority requirement was a simple majority approval of those that constituted the quorum.⁸⁵⁴ The flexibility with respect to transfer of shares takes the middle ground between the stringency in general partnership, where the default rule requires unanimous consent of all partners (Article 193), and the leniency in share companies.

In addition, cases of compulsory transfer of shares in PLC may arise due to execution of judgment against a member (Article 510). The judgment creditor or purchaser upon execution would not become a member automatically. Thus, where execution is levied on a member`s share, the person who bought the shares in the course of execution does not have absolute right to be a member; it depends on whether members representing at least three-quarters of the capital consent to admit that new member. Any of the members interested in purchasing the share may payout the price he paid and keep away that potential entrant or the members may decide that the company purchases the shares using its reserves or capital.

Where purchase is made using the capital, the capital shall be reduced by that amount. Any loss to third parties owing to such reduction of capital shall be compensated by holding the shareholders jointly and severally liable, to the extent they have reduced the capital and thereby reduced the security the third parties had relied on. The application of this clause should be limited to third parties who

⁸⁵⁴ Transfer to outsiders was subject to prior approval of members with a quorum requirement of 3/4 capital representing members and upon approval by simple majority. See 1960 Commercial Code of Ethiopia, Article 523(2).

transacted with the PLC before the reduction of the capital.

The other instance of compulsory transfer of shares in PLC arises upon the death of a member, and the effect is regulated by Art. 511. In principle, upon the death of a shareholder, his share shall devolve upon his heirs but a provision otherwise may be provided in the memorandum of association.⁸⁵⁵ But where the heirs are not interested to continue as shareholders, they shall be paid and leave the PLC⁸⁵⁶. The determination of the value of the deceased's shares in the assets of the company shall be based on the final balance sheet and the payment shall be made from reserve funds. The law restricted this outright payment entitlement in case the company does not have sufficient reserve that is distributable to shareholders.⁸⁵⁷ In such cases, the heirs should be subject to the rules regarding transfer of shares in Plc in general.⁸⁵⁸

Hence, unlike the case in the course of execution of judgment legal heirs are automatically entitled to be a member or else they may opt to be paid out the value of their shares. Yet, the memorandum of association may exclude such automatic entitlement of heirs to be a member. Once more, the law used the term heirs without any distinction between heirs at law and heirs at will.

19.4. Management of the PLC

The management structure required by law varies I degree of formality across different types of entities. While formally structured management ensures transparency and affords protection to third partners and non-participating partners, it entails significant cost of management fee as well. On the other hand, a management totally left to the design and discretion of the partners minimizes cost but likely to be riskier to third parties. We have discussed that by and large partnerships are manager managed. There must be an assigned manager, and this arrangement is a shift from the long-established tradition the legal setting in the

⁸⁵⁵ Commercial Code of Ethiopia, Article 511(1).

⁸⁵⁶ Ibid Article 511(2).

⁸⁵⁷ Ibid Article 511(3).

⁸⁵⁸ Ibid Article 508.

previous commercial code. Yet, manager managed business organizations benefit from flexibilities that some others such as share companies are not allowed. How the management of PLC should be structured or whether there should be shareholders meeting, board of directors, managers, auditors (external) are decided partly by the shareholders and principally by the law.

Synopsis of relevant provision on management of PLC shows that the management structure of PLC mandatorily requires designated manager;⁸⁵⁹ shareholders meeting;⁸⁶⁰ and external auditors⁸⁶¹ but only where *members are more than nine or its total assets exceed Ten Million Ethiopian Birr*; it is up to the shareholders whether there should be a board of directors or not.⁸⁶²

19.4.1. Shareholders Meeting/Company Meeting (Ordinary and Extraordinary)

The shareholders meeting is the highest decision-making organ of a PLC. Unlike its predecessor that used to exempt shareholders meeting for PLC with twenty or fewer members (Article 525(3)), the new commercial code mandatorily requires shareholders meeting for PLCs of any size (Article 519 ff.). The essential role of the members of PLC is to take major decisions, which are beyond the powers of the managers.

Meetings of the shareholders may be either ordinary or extraordinary (Article 519). The two classes of meetings differ from each other in a number of respects including the matters/agendas to be tabled and decided, the quorum required to hold the meeting and the majority needed to pass a binding decision, the frequency/regularity of meetings, etc. In PLC, each member shall be entitled to a number of votes equal

⁸⁵⁹ Ibid Article 514.

⁸⁶⁰ Ibid Articles 519, 521 & 526.

⁸⁶¹ Ibid Article 518.

⁸⁶² Ibid Article 513. *Board of Directors*

1/ *the memorandum of association may provide for the management of a private limited company by a board of directors.*

2/ *the board of directors, if any, shall consist of three to seven members.*

to the number of shares held by him (Article 524(2)).

19.4.1.1.Extraordinary General Meeting (EGM).

As stipulated in Article 526, issues of extraordinary importance shall be decided only in Extraordinary General Meeting (EGM). These matters of special importance include changes in the nationality of the company, proposal for increase of capital, and other matters that requires amendment of the memorandum of association.

In principle, any amendment to the memorandum of association requires the consent of members representing three quarters of the capital but a larger quorum and majority requirement may be provided by the memorandum of association. One instance that would result in amendment of the memorandum is increase of capital. Where capital increase is proposed for decision, the majority required depends on how the capital increment is to be made. In cases where the proposal aims to increase the capital from profits or reserve funds, the default rule holds that members representing three quarters or more of the capital should attend the meeting. The support of members representing three quarters of those present and constituted the quorum is required to pass a binding decision. Yet the memorandum of association may provide for a larger quorum and majority.

On the other hand, where the proposal for capital increment requires members to make additional investment by raising the par value of existing shares, the unanimous decision of all members is a required. Similarly, any motion for changing the nationality of the company requires the presence of all shareholders and they all must consent.

19.4.1.2.Ordinary General Meeting (OGM)

With respect to what matters are to be decided in OGM, all other than those reserved for EGM, as presented above, or not specifically provided in the memorandum to be decided by extraordinary general meeting shall be decided by ordinary general meeting.

In terms of time frame, an Ordinary General Meeting (OGM) shall be conducted at the end of each financial year. It must be held within four months but subject to possible extension up to within six months by the decision of relevant government authority or where the memorandum of association provides so.⁸⁶³

Quorum and majority requirement for taking decisions in PLC are calculated based on the amount of capital represented, and not by the number of shareholders.⁸⁶⁴ Ordinary general meeting shall be held only if members or a member representing more than one-half of the capital of the company are present in the meeting.⁸⁶⁵ If the quorum is met and the meeting is held, a valid and binding decision requires a simple majority vote of shares represented at the meeting. The first meeting may fail for want of the required quorum in which case the members shall be called. The second meeting shall be held without regard to the amount of capital represented and decisions shall be taken by a simple majority of shares represented.⁸⁶⁶

The responsibility to call meetings be it OGM or EGM, rest on the board of directors, if any, and in its absence, upon manager. In case of failure by the preceding by organs, the auditor, if any, or alternatively Members representing more than one-half of the capital of the company shall call a meeting. Members representing at least ten percent of the capital may initiate a call for meeting by requesting board of directors, if any, and in its absence, the manager or the auditor. Where there is good cause, any member may the request the court to appoint a person to call a meeting and to draw up the agenda for consideration (Article 521). The meeting shall be minuted, which should have contents as specified in Article 522.⁸⁶⁷

⁸⁶³ Ibid Article 521.

⁸⁶⁴ Ibid Article 525(2).

⁸⁶⁵ Ibid Article 525(1).

⁸⁶⁶ Ibid Article 525 (3).

⁸⁶⁷ Ibid. Article 522. Minutes

1/ Minuets of meetings shall be reduced into writing and signed by members who were physically present at such meetings.

2/ Minutes of meetings shall in particular include the following:

a) the manner in which the meeting was called;

Yet practically, most of the affairs of the company shall be delegated to the board of directors, if any, or the manager. It is only feasible that the shareholders will reserve matters of special importance that they are not willing to delegate. Cognizant of the less practicality of collective decision by the shareholders, the law designed several mechanisms that would enable shareholders meeting to be feasible.

- In the first place, subject to otherwise restriction by the memorandum, the default rule is that members may participate and vote in a meeting of the company, without being physically present, by using appropriate electronic or other means of communication. However, the memorandum of association may not be amended by a meeting conducted through electronic means (Article 520).
- Alternatively, in the absence of a provision to the contrary in the memorandum of association, each member may be represented by a proxy and vote in a meeting of the company (Article 524).
- Furthermore, for PLCs having less than ten members decisions may be taken without a meeting by sending to each member requesting their written or electronic vote thereon (Article 523).

19.4.2. Manager of PLC

A PLC of any size must have a designated manager (Article 514), who may be appointed among the shareholders or an outsider. Where the PLC has board of directors, the appointment of the manager shall be the mandate of board. But in its absence, the shareholders shall appoint the manager. The appointment of the first

b) the place and date of the meeting;

c) the agenda;

d) members of the board of directors, if any, present at the meeting;

e) the number of members present at the meeting and the quorum;

f) the documents laid before the meeting;

g) a summary of the discussions;

h) the results of votes taken; and

i) the texts of resolutions adopted.

3/ where a meeting lacks a quorum, the chairperson shall cause this fact to be reduced into minutes.

managers may be made by memorandum of association, and all other appointments are made by resolutions passed by the members in ordinary general meeting (Article 517(2)).

All matters other than those reserved to decision of shareholders meeting shall devolve to the manager or to the manager and the board of director where it exists (Art. 515). The manager shall be under the supervision of the board of directors, where it exists. He may be member of the board of director but the manager shall not be the chairperson of the board of directors.

Where the company does not have a board of directors, the manager shall have full powers to act in the name of the company for the realization of the business purposes of such company, and provisions of the memorandum of association restricting the powers of the manager shall be of no effect against third parties but as between the company and members on the one hand and the manager on the other.

The manager should discharge its responsibility with due care and diligence. Failing that the manager shall be liable to the company, shareholders and third parties for any damage caused by breach of his duties under the law or the memorandum of association (Art. 516).

The removal of managers is subject to the same manner as the manner of appointment- a manager may be dismissed by the organ appointing him (Article 517 (1)). The dismissal of a manager by the shareholders or the board could be effected without the need to show good cause. Again, minorities are also protected in that even a single member may cause dismissal of a manager up on application to court and proof of good cause. Any shareholder may request the court for dismissal of a manager where it is of the opinion that there is good cause. Furthermore, even a manager appointed in the memorandum of association may be dismissed by an ordinary general meeting, save contrary provision in the memorandum (Article 517 (2)).

Thus, the rules on dismissal of a manager are more relaxed than it used to be in old commercial code that used to require going through the rigors of amendment of memorandum to dismiss a manager appointed in the memorandum (Art 527 (1) of the Old commercial code). Despite the silence of the law on the consequence of dismissal without good cause, the removal would entitle the manager to claim compensation. The predecessor Code was clear on this point. (Art 527(4)).

19.4.3. Auditors

Whether a PLC must have external auditor or not depends on its size, measured by its capital or number of members. Where a private limited company consists of ten and more members or its total assets exceed Ten Million Ethiopian Birr; it shall have an independent and impartial external Auditor (Article 518). To ensure independence and impartiality, the Auditor shall be appointed and removed by a general meeting, its remuneration shall be determined by the general meeting of shareholders. Auditors must be free from any influence by the board or manager.

To be eligible for the position of an auditor, a person shall fulfill the following:

- issued with a professional license from a relevant authority;
- be of a good moral character;
- not be a shareholder or an employee of the company;
- is not a person affiliated with the company⁸⁶⁸

⁸⁶⁸ Ibid Article 306 (6), Persons affiliated with the company shall include the following:

- a) members of the board of directors, manager, Auditor, members of the supervisory board and secretaries of the company;
- b) persons related by affinity or by consanguinity with those persons listed under Sub-Article (6) (a) of this Article pursuant to the Revised Federal Family Code;
- c) a business organization or concern in which persons listed under (a) and (b) of Sub Article (6) of this Article are shareholders or beneficiaries or play managerial role;
- d) a company that is holding or subsidiary to the company;
- e) unless a lesser amount of shareholding is provided by the memorandum of association or law, persons who have purchased at least ten percent of the shares of the company or companies

- fulfill other requirements set by the law or the memorandum of association (Articles 518 cum 345)

The powers and duties of auditors are prescribed by reference to the provisions governing share companies (art. 518). Accordingly, auditors must be notified of general meetings in the same way as members and may attend all such meetings. Copies of accounts and documents which must be submitted to the members meeting for approval i.e., manager's reports, inventories of assets, trading accounts, profit and loss accounts and balance sheets must be put at the disposal of the auditors.

The Auditors shall submit report to the general meeting and shall comment to the general meeting either to approve or reject the accounts submitted by manager or board of directors as the case may be; they shall inform shareholders of irregularities; they may at any time make periodic audits or checks on the spot as they think necessary (Articles 518 cum 349).

The Auditors shall be civilly liable to the company, shareholders and third parties for any fault in the exercise of their duties which occasioned damage, and they shall be criminally liable where they intentionally give or confirm false reports concerning the position of a company or fail to inform the relevant authority of a criminal offence which he knows to have been committed or divulges professional secret (Articles 518 cum 354).

They may be appointed in the memorandum/articles of association or by a latter resolution (Art 538(1) and (2)). The removal of auditors may be carried out by simple majority vote of members representing half of the capital.

19.5. Accounts of PLC

Simplicity of formation and management coupled with limitation of liability in PLC

in which the company is a shareholder or companies which have reciprocally purchased each other's shares;

- f) other persons indicated in the memorandum of association or by another law as having affiliation with the company.

is perceived as harmful to creditors. The small amount of capital required and limited liability may be abused to trap creditors. The law attempts to cushion this problem by requiring legal reserve. Each year not less than five percent of the profits shall be transferred to the legal reserve until such fund amounts to ten percent of the capital.⁸⁶⁹

Moreover, though shareholders enjoy limited liability and entitled to retain lawfully paid dividends, they shall be required to repay dividends which are fictitious.⁸⁷⁰ Dividends shall be deemed fictitious where they are pay outs not from actual profits. But a five-year period of limitation, to be counted from the date the dividends were paid, is set against claims for repayment of fictitious dividends.⁸⁷¹ Besides, the doctrine of piercing the corporate veil-which allows proceedings against shareholder who were wrongfully involved and contributed for the bankruptcy of the company-may be availed by third parties. Shareholders shall also be jointly and severally liable for over-valued contributions. Moreover, managers are liable to creditors for mismanagement that occasioned the loss.

19.6. Dissolution and Winding-Up of PLC

The life span of a PLC may come to an end at a certain point in time. As such Article 531 provides that a PLC is subject to general provisions of Article 181 regarding the Grounds of Dissolution of business organizations. The request for dissolution may be brought by the management organ or where a private limited company does not have a required management organ, it shall be dissolved by an appropriate court on the application of a member or a creditor.

The general grounds of dissolution, like any other business organization as provided in Article 181, and supplemented by Article 532, are applicable to dissolution of a

⁸⁶⁹ Ibid Article 528.

⁸⁷⁰ Ibid Article 529.

⁸⁷¹ Ibid Article 529(2).

PLC. It shall be dissolved where:

- *the purpose for which the PLC was formed has been achieved or cannot be achieved;*
- *the term for which the PLC was formed expires, unless the members agree to continue;*
- *members agree to dissolve the PLC;*
- *where a court decides, on the request of a member, to dissolve the PLC for good cause (such as serious disagreement between members that obstructs the attainment of the purpose of the PLC and expelling some members by paying their share is not likely to help);*
- *a court declares the business organization bankrupt;*
- *where Three-Quarters of the Capital is lost and members failed to make additional contributions to restore the capital within ninety consecutive days from the date on which the loss.*

The dissolution and winding-up process of a private limited company shall be subject to the provisions of Article 473-491 that applies to share companies, subject to necessary changes. These provisions address various matters including the appointment and removal of liquidators (article 475), requirements to qualify as a liquidator (article 477), duties and liabilities of liquidators (article 481), powers and duties of liquidators (article 482), remuneration of liquidators (article 478), resignation of liquidators (article 476), survival of the company during winding (article 479), calling on creditors for payment (article 484), protection of creditors (article 483-490), preservation of the books for ten years (article 491). In particular, Art 474 deals with the necessity of publication of dissolution, by publishing in a newspaper having wide circulation and posting on the company's website within twenty-one days from the date of the decision to dissolve. Details to be included in

the notice comprise the name of the company with words “in liquidation”, amount of the capital, ground for dissolution, name, address, and the scope of power of the liquidator.

19.7. Summary

Private limited company (PLC) is currently the most employed form of business organization. As company the member enjoy the benefit liability while at the same time, they have got the flexibility in administration and simplicity of formation, as compared to Share Company. A PLC is formed with a relatively small capital than Share Company and hence no need to appeal to the public for fund. This avoids the complex process of formation and the risks involved in the formation process particularly when seen from the perspective of founders in Share Company.

Capital of PLC is divided into shares. Unlike in share company, shares in PLC may not be represented by a document in the form of negotiable securities nor can a PLC issue debenture.

Transfer of share is subject to ordinary rules of assignment. More than that, unlike in share companies, transfer is subject to approval of members which makes a member a prisoner of his co-members, somewhat similar to partnerships.

The management of PLC is basically carried out by one or more managers who may or may not be members. Managers do have full power for the exercise of any matter related to the trade carried out. In PLC having fewer than ten members or total assets not exceeding Ten Million Ethiopian Birr, having auditors is not mandatory. In PLC of any size, there shall be annual general meeting and other extraordinary or ordinary meetings as necessary.

In PLCs the managers do have full power within the object of the company, and even restricting such power by articles of association and publication could not help members. The PLC is bound to third parties. Removal of a manager is simple unless otherwise provided in the memorandum of association. Managers may be dismissed

by simple majority decision of members representing at least half of the capital, irrespective of the form of appointment and without the need to show good cause. Yet, dismissal may entail claim by a manager if good cause is not proved by members.

19.8. Review question

1. List and explain the unique characteristics of private limited company.
2. Describe distinction between private limited company and other business organizations, specially how different it is from limited liability partnership.
3. What are the requirements and procedures for the formation of private limited company?
4. Describe the rights and duties of shareholder.
5. Describe the management structure of the private limited company.
6. Identify and demarcate the powers of the manager and powers that reside within the exclusive mandate of the collective decision shareholders.
7. Do you think that the rules for protection of creditors and shareholders in private limited company are adequate?
8. What majority and quorum requirements are set for decision regarding the various issues reserved for the collective decision members?
9. Provide exhaustive list of the grounds for dissolution of private limited company.
10. A PLC is often formed between spouses and the fate of the PLC upon dissolution of marriage triggers curiosity. Is it just a common property subject to division in kind or sale by auction? Or should the spouses continue as members of the PLC after the dissolution of marriage and partition of common property?
11. In a case between Mrs. Mestawot Belachew (applicant) vs Mr. Legesse Sahelu

(respondent), file no. 24945, dated Hidar 2/2001 E.C.,⁸⁷² Federal Supreme Court Cassation Division entertained a case involving the fate of a PLC upon dissolution of marriage. The parties to the dispute were spouses and after the dissolution of marriage, the family council decided that the PLC should be partitioned in kind among the spouses, along with other common properties. Dissatisfied by the decision of lower courts, the applicant brought the case to the federal cassation. The cassation division held that the PLC has its own legal personality, specified grounds for dissolution and liquidation, and as such the decision of the family council and lower courts confirmation of same is not legally sustainable. Apart from quashing the decision of lower courts and providing a general guidance that the PLC can only be dissolved according to the law (Article 542 of 1960 the Commercial Code), the court did not delve into the specificities of how the spouses should proceed regarding the PLC. So, how should the spouses deal with the PLC? Which of the grounds of dissolution specifically applies in this case?

⁸⁷² የፌዴራል ጠቅላይ ፍርድ ቤት ሰበር ችሎት ውሣኔዎች, ቅጽ - 9 (Hidar 2003 E.C) 138-139.

CHAPTER TWENTY: ONE MEMBER PRIVATE LIMITED COMPANY

The new Commercial Code of Ethiopia has introduced, for the first time, the One Member Private Limited Company, alternatively known as Single-Member Private Limited Company in other jurisdictions (hereafter referred to as SMPLC). This form of company has been prevalent in other legal system for quite a long time. For instance, SMPLC was recognized in Germany since the 1892's Limited Liability Companies Act, it was introduced in France the Law of 1985, Belgium in 1987, and in Denmark in 1973.⁸⁷³

In this chapter we will explore the basic features of One Member Private Limited Company under Ethiopian law.

At the end of this chapter, students are expected to be able to:

- List and explain the unique characteristics of SMPLC.
- Describe how SMPLC is distinguished from other business organizations
- Provide a compare and contrast list of SMPLC vis a vis private limited company
- Analyze and opine on the adequacy of the rules for protection of creditors and shareholders.
- Describe the requirements and procedures for the formation of SMPLC.
- Illustrate the Rights and Duties of the member of SMPLC

⁸⁷³ Dragana Radenkovic Jocić, 'A Single Member Company- Convenient or not for the Founders, Series: Economics and Organization', Vol. 2, No 3, 2005, 211<
<http://facta.junis.ni.ac.rs/eao/eao2005/eao2005-03.pdf>.>

- Describe the management structure of SMPLC.
- Describe the rationale and role of a nominee in SMPLC
- Identify grounds that may lead to piercing of the veil of limited liability of the founder/member.
- Describe the rules governing group companies in relation to SMPLC
- Provide exhaustive list of the grounds for dissolution of SMPLC.

20.1 Nature SMPLC

A SMPLC is introduced in the 2021 commercial Code for the first time to the Ethiopian legal system. Article 534 summarized the basic features of SMPLC as:

-  *A company incorporated by the unilateral declaration of a single person.*
-  *A company having its own legal personality separate and distinct from that of the member.*
-  *That single member shall not be personally liable for debts due by the company in so far as he has fully made his contribution.*

As the name indicates, SMPLC has just one person as a member of the company. This is a major departure from previous Ethiopian legal system that was accustomed to business organizations having at least two members. That single member can be either natural or juridical person.

The other attribute of SMPLC is that it has its own legal personality separate and distinct from that of the member. This personality is complete; the company and the member/founder are two separate entities for all purposes including liability. The member shall not be liable beyond his contribution for debts due by the company in

so far as he has fully paid the promised contribution.⁸⁷⁴

20.2 Formation of SMPLC

Under Ethiopian law A SMPLC is established through a constitutive document known as unilateral declaration. The contents and form of the unilateral declaration is provided in Article 536. With respect to formality, the unilateral declaration incorporating a SMPLC should be signed by the member and authenticated by an authority entrusted with authentication of documents. The authenticated declaration shall be entered into the commercial register.⁸⁷⁵ The registration in the commercial registry shall vests the company legal personality.

The unilateral declaration is equivalent of the memorandum of association in other business organizations but given the contractual characterization of the memorandum that documents mutual undertakings, it does properly fit cases where there is a single member. Thus, the constitutive document is referred to as unilateral declaration.

The content of the declaration is more or less similar to contents of a memorandum of association. It should provide for:

- a) that the company has only one member;*
- b) the name, nationality and address of the member;*
- c) The name of the nominee of the company who will act on behalf of the member or his heirs in the event of death or absence or judicial interdiction of the member;*
- d) the acceptance by the nominee to shoulder responsibility;*
- e) the company name, head office, and branches, if any;*
- f) the business purpose of the company;*

⁸⁷⁴ Commercial Code of Ethiopia, Article 534(3).

⁸⁷⁵ Ibid Article 536 (1).

- g) the amount of the capital of the company and a statement that the capital has been fully paid;*
- h) the valuation of contributions in kind, if any;*
- i) the name and powers of the manager;*
- j) the name of the auditor, if any;*
- k) the period of time for which the company is established;*
- l) the method and time within which performance report of the company is released;*
- m) other particulars required to be included by the law or the member.*

One notable difference is the requirement for appointment of nominee of the company whose function will be to act on behalf of the member or his heirs in the event of death or absence or judicial interdiction of the member. The decoration should confirm the acceptance by the nominee to shoulder responsibility. The absence of partners in this company triggers the need for a nominee who steps in if the single member is unable to carry out his function such as death, absence, or juridical interdiction of the Member.

Article 537 underscored the indispensability of the nominee. A SMPLC shall not be formed unless the nominee has declared his acceptance of the nomination. The acceptance of the assignment should be attested by the authority vested with power to authenticate documents.⁸⁷⁶ It is prohibited to be a nominee for more than one SMPLC at a time.⁸⁷⁷

The formation of a SMPLC may not always be a start from the scratch. It could be formed by conversion of existing businesses. SMPLC is a version of sole proprietor with limited liability. Sole proprietors are allowed to transform their business to the SMPLC by way of conversion and enjoy the benefit of limited liability, provided that they shall remain liable jointly and severally for creditors and debts incurred

⁸⁷⁶ Ibid Article 537 (1).

⁸⁷⁷ Ibid Article 537 (2).

prior to the conversion to SMPLC.⁸⁷⁸ The SMPLC may also serve as a destination point where other businesses falter. In particular, a PLC whose members reduced below two may rely on SMPLC as a suitable alternative.⁸⁷⁹ A PLC whose members fall below two and unable to secure a person willing to join the company choose to convert itself to SMPLC by amending its memorandum of association. The conversion should be completed within six months from the company's membership fall below two. Otherwise, the PLC shall be dissolved.

20.3 The Rule Regarding Group Companies of Single Member Companies

Though the SMPLC has won recognition in different jurisdictions, suspicions persist about the risks to creditors where all the shares of a company are held by a single member. One of the controversial issues is whether a single member should be allowed to be the sole member of several companies, and if so, what would be the position of that person regarding groups of companies.

Different states have varying approaches to this problem. In Germany, Denmark and the Netherlands one or more persons may form companies with limited liability for any lawful purpose, and the founder may be a natural or legal person. Their laws allow groups of single-member companies in which a single-member company may own several other companies including other single-member companies.⁸⁸⁰

Under the French law on Commercial Companies, it used to be the case that a natural person might be the sole member of only one limited liability company but this provision was amended, and nowadays a natural person may be the sole member of several limited liability companies. On the contrary, limited liability company formed by one person may not establish a limited liability company having itself as a sole member. Thus, France⁸⁸¹ is one of the states that does not allow groups of

⁸⁷⁸ Ibid Article 538

⁸⁷⁹ Ibid Article 498.

⁸⁸⁰ Jocić (n 873) 212.

⁸⁸¹ Ibid 213.

single-member companies.

The case in Italy and Belgium is a bit different from the above scenarios.⁸⁸² In these countries, a natural person cannot be a single member of more than one single-member Company.

Ethiopian law a natural person or a legal person may establish several SMPLCs. Also, a SMPLC could have a controlling share in another Company and thus become a parent company of subsidiaries other than SMPLC. However, a SMPLC is prohibited from forming another SMPLC.⁸⁸³ It is only the establishment of a SMPLC by another SMPLC which is prohibited. Any person whose interest may be affected by the formation a company in violation of this restriction may apply for the dissolution the company by applying to the court found at the place of formation of the company.⁸⁸⁴ The affected parties entitled to hold, in addition to the dissolution to avert future damages, the member and the company jointly and severally liable for any damage incurred owing to the violation of the prohibition.⁸⁸⁵

20.4 Contributions and Capital of SMPLC

A SMPLC is required by law to have a minimum capital of not less than 15,000 (fifteen thousand) Ethiopian (Article 535), and the capital of the company and must be fully paid at the time of formation.⁸⁸⁶ The contributions that compose the capital may be in the form of cash or in kind. Yet contributions in the form of service shall not be allowed.⁸⁸⁷ When in kind contributions are made, the nature and the value of the contribution (or its estimate) shall be indicated expressly in the declaration submitted.⁸⁸⁸ Unlike the case in PLC where valuation of contributions in kind are

⁸⁸² Ibid 213-214.

⁸⁸³ Commercial Code of Ethiopia, Article 539 (1), *The clause reads “a one-member private limited company may not establish another one-person private limited company”*,

⁸⁸⁴ Ibid Article 539 (2).

⁸⁸⁵ Ibid Article 539 (3).

⁸⁸⁶ Ibid Article 536(2)(g).

⁸⁸⁷ Ibid Articles 545 cum 501.

⁸⁸⁸ Ibid Article 540(1).

left to the judgment of members, the valuation of contributions in kind in SMPLC shall pass through rigorous evaluation process by an auditor.⁸⁸⁹ The auditor shall be jointly and severally with the member of the company for damage caused to third parties owing to overvaluation of the contribution in kind, until the lapse of five years from the date the contribution was duly made to the company.

20.5 Liability in SMPLC

As per Article 534(3) of the revised Commercial Code of Ethiopia member of SMPLC shall be liable to the extent of his contributions. The assets of founder and company must be kept separate in a way that ensures protection of creditors. Vesting separate legal personality to SMPLC allows the genuine individual entrepreneur to limit his liability.

The doctrine of limited liability is, however, subject to the ***doctrine of piercing the corporate veil*** exception. The limited liability protection “must not be used as a weapon of fraud: it should be a shield and not a sword”⁸⁹⁰.

By way of exceptions to limited liability rule, ***the member a SMPLC or any other person who has control over the company directly or indirectly shall be jointly and severally liable with the company. The instances leading to unlimited liability are***⁸⁹¹ where he:

-  *intentionally commits an unlawful act that jeopardizes the interests of the company or creditors of the company;*
-  *intermingles the assets of the company with his property;*
-  *fails to keep separate his own personality and that of the company;*

⁸⁸⁹ Ibid Article 540 (2)-(5).

⁸⁹⁰ Jocić (n)212.

⁸⁹¹ Commercial Code of Ethiopia, Article 543.

- ✚ *deliberately releases regarding the financial status of the company information that can mislead the creditors of the company;*
- ✚ *make use of the assets of the company for himself or to benefit third parties without adequate payment being made the company;*
- ✚ *receives dividend in excess of the maximum that can be paid under the law or commits other similar acts.*

As such, pursuant to the Ethiopian law, not just the member of SMPLC who shall be accountable but also any other person who has control over the company directly or indirectly (the manager if he is a different person that the owner and the members of board of director, if any). The grounds of accountability are listed as a non-exhaustive list. Committing listed acts or similar other unlawful acts shall make the member and others jointly and severally liable with the SMPLC.

20.6 Management of SMPLC

The minimum management organs of SMPLC required by law, according to the Code, comprise the General Manager and Shareholder Meeting. Other organs of management such as board of directors and auditors may be included by the decision of the SMPLC.

20.6.1 General Manager

The general manager can be the member himself/herself or a third party who shall have full power to act in the name of the company for the realization of the business purposes of such company. Any limitation on the powers of manager provided in the unilateral declaration shall be of no effect as regards third parties. In general, powers of the manager in SMPLC shall be analogous to the power of a General Manager in a Private Limited Company.⁸⁹²

⁸⁹² Ibid Article 515&541.

20.6.2 Shareholder Meeting/Company Meeting

Company meeting/shareholder meeting is the supreme organ of the any company. All matters that go beyond the powers of the general manager shall be decided by the shareholder meeting. It is the member of the company who shall exercise the powers of the general meeting of shareholders. His decisions shall be deemed equivalent of meetings in a private limited company.⁸⁹³ Despite the fact that it is a decision of a single shareholder, that decision shall be reduced into minutes.⁸⁹⁴ Decisions resulting in variation of terms of the unilateral declaration must be entered in the commercial register no later than one month from the date on which the decision is taken.⁸⁹⁵

In SMPLC, the assets of the member and the company must be kept separate, the decision of the founder regarding the company and his own other affairs must be distinguished. Recording decisions in writing is the solution offered in many jurisdictions. For instance, in Germany the shareholder of a single-member company is obligated to record in writing and to sign resolutions without delay once they have been passed. Failure to do so may lead to nullity of the decision. Also, according to Article 60-1 of the French Law on commercial Companies, all decisions made by only one member should be recorded in a special register that is kept at the registered office. Any action taken by the single-member in violation of the aforementioned rules may be declared void upon the petition of any interested party.

Ethiopian law opted to maintain validity of decisions with irregularity but rendered the shareholder liable for damages arising out of such default in the sense that the sole-member cannot benefit from decisions that he has not recorded in minutes or drawn up in writing.⁸⁹⁶ Moreover, the possibilities for contracts between the sole member and his company are numerous. Ethiopian law is silent about this matter but

⁸⁹³ Ibid Article 542(1).

⁸⁹⁴ Ibid Article 542(2).

⁸⁹⁵ Ibid Article 542 (3).

⁸⁹⁶ Ibid Article 542 (4).

its logical that such transactions should be recorded in writing. Further, should that be entered in the commercial register? Pursuant to Ethiopian law, even minutes of decisions of the company are not required to be entered in the commercial register unless they amend entries in the unilateral declaration. But in some other jurisdictions an agreement between the company and only one shareholder has to be acknowledged in the commercial register.

20.7 Dissolution and Winding up of SMPLC

A SMPLC, just like other company, may be dissolved and wound up for various reasons. As such the general grounds of dissolution as provided in Article 181 could be invoked subject to necessary adaptations to the unique features of SMPLC. Thus, a SMPLC shall be dissolved where:

- *the purpose for which the SMPLC was formed has been achieved or cannot be achieved;*
- *the term for which the SMPLC was formed expires, unless the member decides to continue;*
- *at any time where the sole member decides to dissolve the SMPLC;*
- *a court declares the SMPLC bankrupt;*
- *where Three-Quarters of the Capital is lost and the member failed to make additional contributions to restore the capital within ninety consecutive days from the date on which the loss occurred, any interested person may apply to the court for dissolution (Article 545 cum 532).*

The dissolution and winding-up process of a SMPLC shall also be subject to the provisions of Article 473-491 that applies to share companies, with necessary adaptations.⁸⁹⁷ One among others is the rule on publication of notice of dissolution in which the name of the company, amount of the capital, ground for dissolution, name, address, and the scope of power of the liquidator shall be published in a newspaper having wide circulation and posted on the company's website within

⁸⁹⁷ Ibid Articles 545 cum 533.

twenty one days from the date of the decision to dissolve. The notice shall add to the name of the company the words “in liquidation” (Article 474). Other applicable provisions include the Appointment and Removal of liquidators (article 475), requirements to qualify as a liquidator (article 477), duties and liabilities of liquidators (article 481), powers and duties of liquidators (article 482), remuneration of liquidators (article 478), resignation of liquidators (article 476), survival of the company during winding (article 479), calling on creditors for payment (article 484), protection of creditors (article 483-490), preservation of the books for ten years (article 491).

In line with the very nature of SMPLC as one fitted for small entrepreneurs, the legislature provided for a simplified dissolution procedure in which matters of liquidation could be exempted for SMPLC where all its debts and obligations are settled. In such cases, the surplus assets of the company shall be assigned to the member without liquidation of assets taking place.⁸⁹⁸ Yet this does not exempt the member from claims of creditors appear after the dissolution; the member shall be personally liable for all the debts and obligations of the company until the lapse of five years from the date on which the aggrieved party knew of the dissolution, and in any case, no legal action can be taken after ten years from the date when the transfer of the assets of the company to the member took place.⁸⁹⁹

The rationale behind the simplified procedure lies in that where all the debts are settled, the remaining assets, if any, shall automatically devolve to the sole shareholder and as such there is no need for liquidation process.

20.8 Summary

SMPLC is a business organization with a single shareholder that may be a legal or natural person. That single shareholder benefits from limited liability. Such a company is a new introduction to the Ethiopian legal system; it is just in the revised

⁸⁹⁸ Ibid Article 544(1).

⁸⁹⁹ Ibid Article 544(2) & (3).

commercial code 2021 that we have such business organization.

SMPLC is established through a constitutive document known as unilateral declaration. It is a counterpart of the memorandum of association in other business organizations. The constitutive document is referred to as unilateral declaration since there is only a single member. The declaration shall be authenticated by the appropriate authority, then registered in the commercial registry up on which the company shall be vested with legal personality. A SMPLC is required to have a minimum capital of not less than 15,000 (fifteen thousand) Ethiopian Birr, and it must be fully paid at the time of formation. Moreover, the requires appointment of nominee for SMPLC whose function will be to step in where the single member is unable to carry out his function for events such as death, absence, juridical interdiction.

A natural person or a legal person other than SMPLC may establish one or more SMPLCs. But SMPLC may not establish another SMPLC. But a SMPLC could have a controlling share and thus become a Parent Company of subsidiaries other than SMPLC.

The minimum management organ of SMPLC required by law the General Manager and Shareholder Meeting/Company Meeting. Other organs of management such as board of directors and auditors may be included only if the founder prefers that. The General Manager can be the member himself/herself or a third party. Company meeting/shareholder meeting is the supreme organ of the any company. All matters that go beyond the powers of the general manager shall be decided by the shareholder meeting. Where the general manager is not a third party, it will be the same person-the founder- who shall be the manager and the one who decides on company meeting/shareholder meeting. The decision of that single shareholder, shall be reduced into minutes. Decisions resulting in variation of terms of the unilateral declaration must be entered in the commercial register no later than one month from the date on which the decision is taken.

In SMPLC, the assets of founder and company must be kept separate. The decision of the founder regarding the company and his own other affairs must be distinguished. Recording decisions is the solution offered in many jurisdictions.

Like other business organizations, a SMPLC could be dissolved for various reasons. It shall be dissolved where its purpose has been achieved or cannot be achieved; the term fixed, if any, expires, unless the member decides to continue; at any time where the sole member decides; a court declares the SMPLC bankrupt; or where Three-Quarters of the Capital is lost and no remedial action is taken to restore the capital within ninety consecutive days.

20.9 Review Question

1. List and explain the unique characteristics of SMPLC.
2. Provide a compare and contrast list of SMPLC vis a vis private limited company
3. Describe the requirements and procedures for the formation of SMPLC.
4. What are the required management organs of SMPLC?
5. What is the rationale for having a nominee in SMPLC as mandatory requirement, which is not the case in other business organizations? What would be the role of a nominee? Who can be a nominee? Do you think natural persons can be nominees?
6. What are the grounds that may lead to piercing of the veil (deprivation of limited liability shield) of the member?
7. Describe the rules governing group companies in relation to SMPLC.
8. List and describe the grounds for dissolution of SMPLC.

CHAPTER TWENTY-ONE: CONVERSION, MERGER, DIVISION, AND GROUP BUSINESS ORGANIZATIONS

21.1. Conversion

This part specifically deals with conversion as regulated under the revised Commercial Code of Ethiopia. After completing this with due reference to the relevant provisions of the Code, students will be able to:

-  Explain the concept of conversion.
-  Identify the possible factors for conversion
-  Appreciate which of the business organizations can convert into which one
-  Identify who will be affected or benefited from the conversion.
-  Appreciate who makes decides on the conversion.
-  Explain the effect of conversion on creditors, and dissenting members of the business organization.
-  Explain the effect of conversion on continuity of business entity as a legal person.
-  Explain and distinguish the concepts of Merger and Division
-  Explain the reason why do some business organizations merge while others prefer to split.
-  Identify which of the business organizations can merge with what type of business organizations
-  Identify those who will be affected or benefited by merger of the business organization.

- ✚ Identify those who will be affected or benefited by division of the business organization.
- ✚ Identify the decision makers regarding merger and division.
- ✚ Explain the effect of merger and division on continuity of business organization

21.1.1. The Concept of Conversion

The Commercial Code begins to deal with the effect of conversion and only incidentally it offered a general description of the concept as the change of the form of a business organization from one type into another.⁹⁰⁰ We are already aware of the seven types of business organizations recognized under Ethiopian law; four types of partnerships and three types of companies. Which of the business organizations can convert into which one? The relevant provision on conversion does not set any limitation on the conversion of one type to the other.

Yet, the very nature of distinct business organizations may obstruct the freedom of conversion. If at all the conversion is at most flexible, some of the conversions would in effect be similar to a new formation. For instance, a single member private limited company needs to meet the minimum number of five members to convert itself into a share company. Again, a joint venture does not have a legal personality and to convert it into any business organization such as limited partnership requires the whole process of drafting a memorandum of association, authentication and registration. In some cases, conversion is not feasible at all. Suppose a customer has approached you seeking advice for conversion to a limited liability partnership (LLP). The LLP is specifically designated for professional practitioners desiring to associate as a business entity. As such a partnership or a company that has been in businesses activities other than professional practice may not avail itself of LLP.

⁹⁰⁰ Commercial Code of Ethiopia 2021, Article 546.

21.1.2. The Effect of Conversion on Continuity of the Legal Entity

The conversion of a business type from one type to the other may impact a number of stakeholders beyond the members. Recall that the various business organizations have different attributes vesting varying benefits and imposing different obligations to the partners as well as the creditors. For instance, companies offer the benefit of limited liability to members, which is somehow a disadvantage creditor. Some partnerships offer such as limited partnership and limited liability partnership also provide a shield from unlimited liability.

The partnerships are vested with flexible management. A conversion to companies implies relatively rigid management structure and high compliance cost. This relatively formalized management ensures better accountability and transparency to the creditors and even to the members themselves. Yet the creditors would lose the pursuit of personal property of the partners due to the shield of limited liability.

One may wonder about the effect of conversion on the continued existence of a business organization in case of conversion. Article 546(1) offered us a precise answer for that question. The conversion of a business organization from one type into another does not cause the creation of a new legal person but only amendment of the memorandum of association.

Obviously, some adjustments are inevitable. The memorandum of association must be amended and reflect the nature of the new business organization. Such amendment may occur even in the absence of conversion. Further, authentication and filing of the amended memorandum, and other essential procedures as in the case of formation new business organization shall be complied with.

The new type business organization is the successor of the older type. The business track records, its reputations, and credits would be legally recognized to be transposed to the new form. A new entity is not created but an old one continued in a different dressing. All the liabilities and benefits shall be transferred to the new

type. To make more practical, consider the following two instances. Suppose the old business entity had tax incentive benefit from the government for engaging in tax incentive sectors, would the conversion deny the tax exemption for the new type? Or should it present itself as a new entity eligible for tax exemption? The answer is that no new entity is created but an old one continued in a different form. Also, assume that certain years of experience in a certain sector (success stories) is a requirement for participating in some government procurement supplies. The question would be can the converted new type business organization present successful project accomplishments of old one as its own, and the answer would be definitely affirmative.

21.1.3. The Power to Decide on Conversion

As pointed out from the outset, there are a number of stakeholders who might be impacted by the conversion. Decisions affecting the business organizations may be undertaken by different organs including the manager, the board, or the members as the case may be. Conversion is an issue of high importance to the members and as such no their person other than the members may decide on conversion, be it a partnership or a company.

In principle, a decision on conversion requires the unanimous consent of the members.⁹⁰¹ Yet the members may vary the unanimity requirement to a certain majority requirement by providing it in the memorandum of association. The members are the decision makers and as such the result is supposedly to their own advantage. However, at times, the interest members may not converge and still conversion might be the optimal situation. Thus, conversion by majority decision would help to avoid potential deadlock against the general interest of the business organization and the majority of the members.

⁹⁰¹ Ibid Article 546 (2).

21.1.4. Conversion and Protection of Dissenting members

The law attempted to strike the balance of interests among members, those who have voted for conversion with supposedly positive impact and those who dissented and likely to be impacted negatively. The majority decision may not override certain interests of the dissenting members. Here is the law says:

*The decision shall not deprive a member, in whole or in part, of the right of membership or increase his liabilities without his consent.*⁹⁰²

Thus, a decision on conversion must not in any case result in deprivation the right of membership. For instance, a decision to convert a PLC to one member PLC will obviously exclude all others but retains one member. The memorandum might have provided for conversion by majority and it might be the case that single member has the majority of capital the PLC. In such instance, had it not been for the protection by law the member having the required majority vote may decide to exclude all others by converting it his own one-man PLC.

The conversion also should not result increment of member's liabilities, according to the letters of the law. What it implies needs further clarification and qualification. For instance, the conversion from companies to partnerships will inevitably entail increased liability to the members. One who accords to this conclusion must accept that companies cannot be converted into partnerships, and the minorities who lost the voting by the majority decision may block the conversion. This sort of minority authoritarian is absolutely against the very tenet of unrestricted conversion the law provided at the beginning.

Thus, increment of liability by the very nature of the new entity can be avoided not by blocking the conversion rather by defection from the new entity. As per Article 547, the dissenting shareholders share company or a private limited company may

⁹⁰² Ibid Article 546 (3).

withdraw by selling their shares to the organization, they may not obstruct the conversion on alleged increment of liability. The company is legally obliged to redeem their shares at the average price of the shares as quoted on the market, if quoted, or at a price proportionate to what they represent in the assets of the company.⁹⁰³

21.1.5. Conversion and Protection Creditors

Business organizations, particularly large ones are not totally matters of private interest of members. Several other stakeholders are attached to them, and incidents there to must be publicized. Thus, conversion decision must be published in a newspaper having wide circulation as well as on the website of the business organization, if any.

The primary potential beneficiaries of the notice will be creditors. A single publication does not suffice to effectively reach creditors. They shall be given triple notice, once in a month in three successive monthly issues of a newspaper with nationwide circulation and posted on the website of the company.⁹⁰⁴

They will be given the opportunity to make informed decision. It is the responsibility of the general manager, or the secretary of the organization, or other organs of management as the case may be, to ensure notice to creditors are dully addressed. Else they shall be jointly and severally liable for losses sustained by the creditor owing to failure or defective notice to the creditors.⁹⁰⁵

The rights and duties of the former organization shall pass automatically to the new business organization, starting from the moment the amended memorandum of association is entered in the commercial register.⁹⁰⁶ Creditors must prove their claim forthwith. Creditors shall be informed that, unless they object thereto, they shall be

⁹⁰³ Ibid Articles 548 cum. 403.

⁹⁰⁴ Ibid Articles 548 cum. 484.

⁹⁰⁵ Ibid Article 548 (5) & (6).

⁹⁰⁶ Ibid Art548(1).

deemed to have approved the conversion and deemed to be creditors of the new business organization. Approval shall be presumed where creditors have been informed but have not expressly objected within thirty days from the date of the dispatch of notification.⁹⁰⁷ Objections to the conversion must be in writing.⁹⁰⁸

After due notice, creditors may stand in support of conversion and continue as creditors of the new type of business organization or they might be of the opinion that the new situation would frustrate their claim. Objection by creditors shall not hinder the conversion. At most, it may result in either in payment of their claims though yet not due or it may elect to provide adequate guarantee as the business organizations sees fit.⁹⁰⁹ Yet, business organization is restricted from distributing any profit until all the debt due the objecting creditors are paid, which may involuntarily induce the payment of debts prematurely.⁹¹⁰

21.1.6. The Effect of Conversion on Liability Members

Some conversions may result change of status of members regarding limited liability protection. Conversion should not in any way be used to escape liability nor shall it vest to pursue members that used to enjoy limited liability for debts owed prior to conversion. The *status quo* shall be preserved. Herein produced are the relevant sections of Art. 549.

Article 549. Liability of Partners

1/ The conversion of the business organization shall not discharge partners with unlimited liability of their liability for undertakings entered into by the firm prior to the registration of the decision of conversion in the commercial register, unless it is proven that the creditors have approved the conversion.

2/ where a share company, private limited company or one person private limited

⁹⁰⁷ Ibid Article 549 (3).

⁹⁰⁸ Ibid.

⁹⁰⁹ Ibid Article 548(4).

⁹¹⁰ Ibid.

company is converted into a partnership, the partners shall not be personally liable for debts incurred by the organization before the conversion.

21.2. Merger of Business Organizations

This part is devoted to issues of merger and division of business organizations. Merger and division are opposite moves indeed. One may wonder why do some business organizations merge while others prefer to split.

21.2.1. Definition of Merger

The notion of merger in ordinary usage refers to fusion of two into one legal entity. However, it is not uncommon to observe, in literature, instances where the terms *Takeover*, *merger*, and *acquisition* are used synonymously.⁹¹¹ Some others attempt to distinguish merger from the other. To make sense of the differences, merger is defined as instances where at least two firms are combined with to form a “new” legal entity whereas takeover and acquisition are activities by which acquiring firms can control more than 50% of the equity of target firms. According this description, acquisition and takeover may not necessarily extinguish the legal personality even at least one entity. The Ethiopian Trade Completion and Consumer Protection legislation also provided a definition of merger similar to this one.

Distinction between acquisition and takeover is made based on the motive behind the move for acquisition. Piesse *et al* wrote that:⁹¹²

The negotiating process of mergers and acquisitions is usually ‘friendly’ where all firms involved are expected to benefit, whereas takeovers are usually hostile and proceed in an aggressive and combative atmosphere. In this view, the term ‘acquisition’ is interchangeable with ‘merger’...

In view of apparently confusing use of these terminologies, a careful definition is

⁹¹¹ Jenifer Piesse, *Merger and Acquisition: Definitions, Motives, and Market Responses*; *Encyclopaedia of Finance*, 542.

⁹¹² *Ibid.*

due. The legislature preferred to provide a specific purposive legal definition.

Article 565 defined merger of business organizations as:

...an operation whereby two or more organizations merge into one either by one of them acquiring the rest or two or more organizations forming a new organization and merging into the new one.

The definition encompasses two different ways of effecting merger. The first scenario depicts cases where the merging entities, two or more, melt themselves create a new alloy. This is merger proper in the literature. The second type of merger is what the literature calls acquisition. The difference between the two types of merger can be algebraically expressed as follows:⁹¹³

Merger implies $A+B=C$ while acquisition may be denoted as $A+B=A$ or B .

21.2.2. Merger how effected

The law briefly articulated how the two types of mergers are to be effected. In a merger by the formation of a new organization, two or more business organizations are wound up.

A merger by acquisition occurs where one or more business organizations are wound up without liquidation by transferring all their assets and liabilities to a preexisting organization. The legal definition of acquisition presupposes at least one entity shall be wound up and the acquiring entity continues.

In merger, be it merger by acquisition or merger resulting formation of new organization there, is no liquidation but winding up. Winding up generally denotes the final stage of liquidation-the selling of assets, payment of debts, and distribution

⁹¹³ Commercial Code of Ethiopia, Article 543.

of surplus, if any, to members. Where all that is done and no affairs of the business left uncompleted, the business is wound up. It is completion of the liquidation process. In merger, be it merger by acquisition or merger resulting formation of new organization there, is no liquidation; there is no sell of assets and payment of debts of creditors, there is no distribution of surplus, if any. The winding up takes place through transfer of all their assets and liabilities to an organization the merging entities themselves form. The shareholders or partners of the wound-up business organizations shall be issued with shares in the new organization or in the acquiring organization, as the case may be.⁹¹⁴

21.2.3. Division of Business Organizations

Division of a business organization is the operation whereby all its assets and liabilities of a business organization are transferred to more than one business organizations. The transferee business organizations may be either preexisting organizations or organizations newly formed by it.

Therefore, division of business organization, like merger, takes two approaches: division by acquisition or a division resulting in formation of new business organization.⁹¹⁵

The business organization that is divided shall be wound up but without liquidation.⁹¹⁶ There is no payment of debts; nor is there distribution to shareholders. Assets and liabilities are transferred without liquidation. The shareholders or partners of the business organization that is divided shall be issued with exchange shares in the organizations to which the assets are divided, with possible additional payment equalization cash.

The law has envisaged a third type of division of business organization winding up

⁹¹⁴ Ibid Article 565(2) & (3).

⁹¹⁵ Ibid Article 566(2) & (3).

⁹¹⁶ Ibid Article 566 (1).

the business organizations to be divided. Article 566(4) described it as cases of “separating a business unit that can subsist separately or part of assets of an organization and transferring the same to a business organization that is under formation or to an existing organization by way of contribution.” In other words, a portion of assets or a business unit shall be transferred without winding up and ceasing legal personality of the transferring business organization.⁹¹⁷

Thus, while the first two variant of division presupposes the end result of extinction of the organization to divided, this third type does not. Yet, it must be distinguished from sale of a branch or a substantial part of assets of the business organization because in such the members shall receive exchange shares instead of cash distribution. The division without the winding up the business organizations shall give the members of transferring business organization the right to receive exchange shares in the newly formed business organization or the pre-existing organization to which the assets are transferred.⁹¹⁸

21.2.4. Eligibility for merger or Division

The law is clear cut; merger may take place between any forms of business organizations.⁹¹⁹ Even a business organization under liquidation may change its course of action to merge with another organization provided that distribution of assets did not take place yet. Similarly, division may result into any type of business organization.⁹²⁰

Unlike conversion that simply changes the form of business organization, merger and division are subject to a bit rigorous procedure.

⁹¹⁷ Ibid Article 566 (4).

⁹¹⁸ Ibid Article 5746 (1) (d).

⁹¹⁹ Ibid Article 565 (4) & (5).

⁹²⁰ Ibid Article 566 (5).

i. Merger or Division Plan by chairperson of the board or the manager

Each business organizations taking part in merger or division must prepare merger or division plan to be signed by the chairperson of the board of directors, or by the general manager where the organization has no board. The contents of the merger or division plan must include:⁹²¹

- The type, name and address of the head office of each of the business organizations involved in the merger or division;
- Where the merger or division, as the case may be, results in the creation of a new business organization, the type, name and the address of its head office;
- The economic rationale and condition of the merger or division;
- The approved, annual, consolidated financial report of each of the organizations involved;
- A description of the assets or business unit that can subsist separately and liabilities that are transferred to the acquiring or newly formed business organization, estimate of their value and how the valuation was done;
- The ratio applicable to the exchange of shares to be allotted owing to the merger or division and the determination of the amount of payment in cash, if any; the date from which the holding of such shares entitles the holder to participate in profits and any special conditions affecting that entitlement.
- The amount of money to be paid to members that leave owing to their opposition to the merger or division;
- The date from which the transactions of the business organization being acquired or divided shall be treated as being those of the acquiring or newly formed business organization;
- The names of partners with unlimited liability, if any;
- The rights and benefit to be accorded to preferred shareholders;

⁹²¹ Ibid Article 567.

- The duties and liabilities that the merger or division causes and its impact on creditors;
- Comprehensive information regarding any payments or benefits paid or given or intended to be paid or given to independent experts or auditors for the evaluation of the merger or division plan; and
- A draft memorandum of association and other pertinent information if a new business organization is to be formed as a result of the merger or division.

ii. Merger or Division Report to members of the organization

The merger or division prepared and signed by chairperson of the board of directors, or by the general manager as the case may be shall pass through examination and assessment of different stakeholders. It is the members of the business organization who shall be primarily affected. The board of directors or the general manager of each of the merging or dividing business organizations shall draw up a detailed written report of merger or division plan.

The merger or division report shall be presented the general meeting of the shareholders or members of the organization. The report is meant to examine and explain the plan. Thus, the report shall include the following:⁹²²

- Economic goals of the merger or division, and legal grounds if any;
- Merger or division agreement;
- The number of shares to be given to shareholders or partners in exchange, the manner in which the allotment is determined and the amount of payment in cash, if any;
- The payment in cash that is to be made to shareholders or partners that leave the business organization owing to their disapproval of the merger or division;

⁹²² Ibid Article 568.

- Where the merger requires prior approval indication that approval has been secured from the pertinent body;
- The possible impact of the merger or division on the employees of the business organizations that engage in the merger or division and any other relevant information.

iii. Examination of Merger or Division by an independent and impartial expert

It does not suffice to the merger or division plan to be examined and approved by the members of the organization. A neutral expert evaluation is mandatory. The merger or division plan, report and other necessary conditions for the merger or division shall be examined by an independent and impartial expert.⁹²³

Each of the business organizations taking part in the merger or division must get its own independent and impartial expert evaluation. But it is also possible to appoint joint expert where all the business organizations involved in the merger or division have agreed that effect.

The independence and impartiality of the expert must be assured. The appointment shall be made pursuant to the rules set out for the appointment of the auditor of a share company. The experts must be provided with to all the documents and other information necessary for the conduct of the examination.

The expert shall submit a written report his own opinion to the members of the business organization. In particular, the expert must provide his opinion regarding:

- Whether, in the expert's opinion, the number and type of shares to be issued in exchange to the members of the business organizations involved in the merger or division is fair and reasonable;

⁹²³ Ibid Article 569 (1)-(4).

- The method used to arrive at the share exchange ratio and type of shares proposed, and his opinion as regards whether such method is appropriate in the case in question, and describe any special valuation difficulties which have arisen, if any;
- Whether the payment proposed to be made to shareholders or partners that may leave the business organizations owing to their disapproval of the merger or division is appropriate;
- A declaration as to whether the creditors of each of the business organizations involved in the merger or division, whose claims have not fallen due at the time can be considered to be sufficiently protected after the merger or division;

The report submitted by the expert and other relevant information shall be open for inspection of shareholders and creditors of each of the business organizations. The report shall be made available at the head office and branches of the business organization *one month ahead* of the meeting called to approve the merger or division.⁹²⁴

The appointment of the expert has the purpose of ensuring the transparency and accountability of the business organizations going through merger or division. Yet, this process may be cumbersome and costly for small business organizations. In consideration of that, the law authorized the body that registers business organizations to specify a certain threshold of annual turnover or balance sheet, and to exempt those below the threshold from the duty to conduct evaluation of merger or division.⁹²⁵

⁹²⁴ Ibid Article 570.

⁹²⁵ Ibid Article 569(5).

iv. Members' decision on Merger or Division

Merger or division requires amendment of the memorandum of association. Only the members of the business organizations may amend the memorandum. A decision regarding merger or division must be approved by the general meeting of each of the business organizations taking part thereto.⁹²⁶ The unanimity of majority requirement should be as stipulated for the amendment of the memorandum. In certain cases, in share companies, there might be special class of shareholders. Where the merger or division affects such class, it must also be approved by the special meeting of shareholders having preferred shares.

v. Publicity of decision on merger or division

However, the merger or division is not exclusive affairs of the members of the business organizations. The merger or division mention in relation to the plans and reports of merger or division, the possible implication on different stakeholder and the economic rationale should be properly assessed, reported, and examined. The stakeholders must be notified.

Where the proposed merger or division plan is approved by the members meeting, the plan must be publicized via a newspaper having a nationwide circulation.⁹²⁷ The publicity shall be twice; once a month for two months starting from the date of members approval. It should also be posted at the head office, and on the website of the business organization, if any.

Content wise, the notice shall indicate where and how interested parties can get:

- the merger or division plan
- the report drawn up by an impartial expert

⁹²⁶ Ibid Article 571.

⁹²⁷ Ibid Article 572.

- the report prepared by the board of directors or, the general manager

It shall also indicate the deadline within which creditors may raise their objections.

vi. Approval and effective date of merger or division

After due notice, some of the stakeholders such as creditors and debenture holders may intervene during the merger or division process to secure their interest. Yet the potential adverse impact on the economy and other stakeholders such as employees shall be primarily matters of public interest to be protected via appropriate authority.

In particular, merger is always suspected of having adverse impact on trade competition. Whosoever plans a merger, the merger plan must be submitted Trade Competition and Consumer Protection Authority for evaluation of its impact on trade competition. Merger shall not be effected without its approval.⁹²⁸ Among the conditions in the course of evaluation for fulfillment of conditions to give effect for merger or division, the body vested with the power of registration must ensure that the business organizations going through merger have got the approval of this authority. It is only then the registering body shall undertake registration for the acquiring or the new business organization formed by merger or division.

The effective date of the merger or division starts on the date of entry into the commercial register of the new business organization created as the result of the merger or the division.⁹²⁹ The merger or division may also be effected, as discussed above, by winding up one or more business organizations and transferring their assets and liabilities to an acquiring business organization. In such cases of merger or division by acquisition by pre-existing business organization, its effective will be the date of entry of the amendments to the memorandum of association of that pre-existing business organization into the commercial register.⁹³⁰

⁹²⁸ Trade Competition and Consumer Protection Proclamation No.813/2016, Article 9-13.

⁹²⁹ Commercial Code of Ethiopia 2021, Article 573(1).

⁹³⁰ Ibid Article 573 (2).

vii. Issuance of exchange shares to Members during Merger or Division

The decision on merger or division is primarily the discretion of the members of the business organizations involved. A merger or division is supposed to improve the position of members. In any case, best effort must be exerted to ensure merger or division shall not worsen the position members had before. Thus, during merger or division,⁹³¹ the members (shareholders or partners of the business organization) shall be issued with exchange shares in the acquiring or newly formed business organization. Here in below are the specific rules on issuance of shares:

- i. Members of the wound up business organizations shall be issued with exchange shares in the acquiring or newly formed business organization. The share to be issued shall be equal or equivalent to values before the merger or division.
- ii. Shareholders with non-voting shares or dividend shares shall be issued shares that confer similar or equivalent rights in the acquiring or newly formed business organization.
- iii. Shareholders who held preferred shares in the acquired or divided business organization shall be issued shares that confer equivalent rights.
- iv. In the case of division without the winding up any business organizations-cases where a division is simply transfer of a portion of assets or a business unit without winding up and ceasing legal personality of the transferring business organization,⁹³² the members of transferring business organization shall be issued with exchange shares in the newly formed business organization or the organization to which the assets are transferred.

However, there are instances where issuance of exchange shares could not be

⁹³¹Ibid Article 575.

⁹³² Ibid Article 566 (4).

effected for justifiable reason.⁹³³ To be specific, no shares shall be issued in exchange in the following two circumstances:

- a) The merging or dividing business organization having its own shares in itself
(A has shares in A)

It sometimes occurs that some shares of a share company may be held by the shares company itself. The company might have redeemed some of its shares. If such a business organization is undergoing through merger or division, the shares held by itself in itself (directly or indirectly through a person acting in his own name but on its behalf) shall not be issued with exchange shares. It shall not be treated like shares held by its shareholders.

- b) In the case of merger or division by acquisition

In the case of merger or division by acquisition, where the acquiring business organization itself (directly or indirectly through a person acting in his own name but on its behalf) has had shares held in the business organization undergoing merger or division, the acquiring business organization shall not be issues.

In these two instances where exchanges shares shall not be issued, they shall be paid in cash an appropriate value of the shares which does not exceed 10% (ten percent) of the value of the shares issued to them.⁹³⁴

21.2.5. Protection of Creditors during Merger or Division

Creditors position before and after merger or division would be different owing to the changes. The merger or division may improve or worsen the creditworthiness of the debtor business organization. Creditors do not have the authority to block the merger or division process. Yet attempts to accommodate their interest may procrastinate completion of merger or division. Creditors need to be properly

⁹³³ Ibid Articles 574 (2) & 575(2).

⁹³⁴ Ibid Article 573(2).

informed by consecutive notices so that they can secure their interest. They might be at different status. Some creditors may be ordinary creditors via loan contract while others may be classes of debenture holder where a share company is financed via issuance of debt security. The claims of some creditor might be already due while other debts may be yet not mature. At any rate, the interest of all these variants must be duly protected. The expert report we discussed above is supposed to clearly show the situation of creditors after merger or division. Herein below are some mechanisms designed to ensure protection of creditors.⁹³⁵

i. Creditors who provided loan but whose claims have not fallen due

Creditors whose claims have not fallen due at the time of the publication of the merger or division plan may petition the court to grant them adequate securities if one of the following conditions is fulfilled:

- a. where the assessment conducted by an impartial expert pursuant to Article 569 concludes that the creditors are not sufficiently protected after the merger or division;
- b. If the impartial expert concludes the financial standing of the business organizations involved in the merger or division poses a particular risk to the rights of creditors and gives opinion regarding safeguards to be implemented.

In such cases, the creditors must file their claim for adequate security within **sixty consecutive days** from the first publication of the merger or division plan. The remedy from the court may be an order to each business organization involved in the merger or division to pay the creditors or provide adequate security for the payment of the debt.

⁹³⁵ Ibid Article 576.

ii. Where the creditors are Debenture Holders

Where creditors constitute debenture holders, there are ways of settling the prospective status such creditors.

- a. The debtor business organization itself may announces it shall redeem the debentures from all those who prefer that, the par value and interest to debenture holders.⁹³⁶ In this case, there is the need for convening the meeting of debenture holders.
- b. Where debtor business organization did not propose redeeming of debentures, the debenture holders shall first hold a meeting to approve or disapprove the merger or division of the business organizations concerned. Where the merger or division is disapproved, the debtor organization shall redeem the debentures by paying the par value and interest due on the debentures.

To be paid, both in the case of the business organizations initiative or debentures holders meeting disapproval of merger or division, the debenture holders must submit their application ***within sixty consecutive days*** from the first publication of the merger or division plan in a newspaper. The debenture holder that fails to submit his application within this time shall be a creditor of the acquiring or newly formed business organization, as the case may be.⁹³⁷

21.2.6. Effects of Merger and Division

Merger or division constitutes a significant event in the life span operation of businesses. As such requires going through the rigorous process of amendment of the memorandum. Article 574 has the following lists as effects of merger and division some of which are of course addressed in the various provisions we already

⁹³⁶ Ibid Article 577.

⁹³⁷ Ibid Article 577(1) & (4).

discussed:

- i. The business organizations to be merged or divided shall cease to exist via winding up without the need for liquidation.
- ii. all the assets and liabilities of the business organization that ceases to exist owing to the merger or division shall be transferred to the acquiring or newly formed business organization;
- iii. Starting on the effective date, the merger or division may only be annulled by order of the court.
- iv. The court may annul a merger or division only if, the requirements of this law for drawing up a merger or division plan or approval of the plan by the meeting of shareholders or partners have not been observed.

Yet, the implication of the merger or division is not limited to these lists. Others such as its implication on tax treatment of the new or the acquiring organization, the continuity or otherwise of legal personality of the newly created business organizations in particular the fate of credentials and reputations of the earlier entities, may come to the scene for inquiry. Proper response to such inquiries requires consulting other appropriate laws as well.

21.3. Regulating Grouping of Companies

The purpose of regulating company grouping may be protecting creditors, shareholder or the consumers. This part describes the law that regulates grouping of companies for the purpose of protecting creditors and shareholders of a company that is going to form a grouping with other companies. The description begins by defining the concept of grouping of companies and other related terms and then proceeds to show the rights of creditors and shareholders may have in the process of group formation, in the management of the grouping and after the dissolution of the grouping.

21.3.1. Definition of a “Group” (Article 550-553)

A group of companies is an economic entity formed of a set of companies which are either companies controlled by the same company, or the controlling company itself. Controlling a company means having the power to appoint the majority of its directors. The control of company A by company B may be direct (company B directly holds the majority of voting rights on the management board of company A) or indirect (B controls intermediate companies C, D or E, which it can ask to vote the same way on the management board of A, thereby obtaining a majority of rights).

The French statistical definition currently in force uses the absolute majority of voting rights as its control criterion to define the group contours. There are two contours. These are:

- ◆ the restricted contour, or "core", of the group as all the companies more than 50% owned, directly or indirectly, by a parent company heading the group; the parent company is not more than 50% owned either directly or indirectly by another company. In this definition, groups form pairwise disjoint sets;
- ◆ the enlarged contour of a group as all the companies in which the group holds shares, irrespective of the holding percentage; thus, the enlarged contours of the groups do not form a division and a company can belong.

Article 550(1) of the Commercial Code Proclamation No, 1243/2021 defines group companies as follows:

A grouping of Companies “...is a set of companies comprising of the parent company and all its domestic and foreign subsidiaries, unless otherwise provided by law.”

This definition contains the following important elements that require further definition.

- company

- set of companies comprising parent & subsidiary
- parent company
- subsidiary company

For the purpose of this definition company indicates Share Company or Private Limited Company or One Person Company recognized under the Commercial Code. The second element indicates that grouping is the coming together of parent and subsidiary companies to form a set. A set is the mathematical model for a collection of different things; a set contains elements or members, which can be mathematical objects of any kind.

The next important element of the definition is parent company. Article 550(3) defines a parent company as “...a company that has subjected another company to control either directly or indirectly through the instrumentality of another company.”

The important elements of this definition are:

- direct or indirect control
- another company

The term another company is defined as a subsidiary company. And a subsidiary company is described as, under Article 550(2), “... a company subjected to the control of another company, the “parent “company, either directly or indirectly through another company.”

The term control refers to, as defined under Article 552, 1 “... the power to formulate and govern, alone or with other shareholders, the financial and operating policies of a subsidiary.”

Also, control is said to exist when a company is wholly owned. A company is said to be have been wholly owned where the shareholders of such company are the parent company and its subsidiaries.⁹³⁸ Nevertheless, the legal effects of “control”

⁹³⁸ Ibid Article 551.

shall not follow if, under exceptional circumstances, it can be clearly demonstrated that such ownership does not constitute control.⁹³⁹ Another form of control also exists where a company owns, directly or indirectly, shares with voting rights representing more than half of the capital in that subsidiary.⁹⁴⁰

In summary, control of a company by another company exists where a company:⁹⁴¹

- has the right to exercise more than half of the voting rights by virtue of an agreement with other shareholders
- has the right to control the financial and operating policies of the company under the memorandum of association or any agreement
- has the right to appoint or remove the majority of the members of the governing body, which has the power to run the business
- has acquired the right to exercise the majority of votes at general meetings or an equivalent body and thus has actual control of the business

21.3.2. Rights of Shareholders, Creditors, and Group Members (Article 554-564)

The following are the rights of group members, creditors and shareholders

- the right to be informed of the group formation as indicated under Article 554
- parent company has the right to give subsidiary company as provided under Article 556
- Management of Parent company has the right to get information from the subsidiary company as stipulated under Article 557
- parent company has the right to squeeze out the shares in the subsidiary company as entitled under Article 558

⁹³⁹ Ibid.

⁹⁴⁰ Ibid Article 552(2).

⁹⁴¹ Ibid Article 552(3).

- shareholders have the right to information and special investigation as specified under Article 559
- Minority shareholders of a subsidiary company are protected against the parent company as specified under Article 560
- Minority shareholders of a subsidiary company may require the investigation of parent company as specified under Article 561
- The minority shareholders of a subsidiary company have the right to sale out their shares to the parent company provided under Article 562
- Shareholders of a subsidiary company may make the board of the subsidiary company for acting according to the instruction of the parent company as provided under Article 563
- Shareholders of a subsidiary can make the parent company accountable for loss of the assets of the subsidiary as provided under Article 564

21.4. Regulating Foreign Business Organizations

Strategies of doing business globally are multifaceted. Importing and exporting is one of such strategies. In this case a trader does not need a subsidiary or branch abroad. But doing business as exporter or importer does have its own challenges. The main challenges are economic and legal issues, transportation costs, financing problems, risk of international transaction and market inaccessibility. The other alternatives of doing business globally are Intellectual property licensing, franchising, business agent, branch and subsidiary.

The last three strategies, business agent, opening branch and establishing a subsidiary company requires detail regulation both by host country and home country. Regulation becomes important to fight unfair competition, to guarantee residents and consumers against tort and product liability, to ensure competitive trade practice, to protect employees, and to make sure that trades make appropriate tax.

So, regulating foreign business organization refers to a business organization having:

- foreign nationality and whose shareholders are citizens of one country only but operating in Ethiopia only
- foreign nationality and whose shareholders are citizens of one country only and operating business in Ethiopia and other countries These companies are called transnational companies
- foreign nationality but whose shareholders are from more than one country and operating business in more than one jurisdiction

There are three alternative laws to regulate transnational and multinational companies. The first is the business ethics of transnational and multinational companies. This is a type of self-regulation. The second is regulation under Public International Law. Regulation under Public International Law is either a voluntary type (corporate social responsibility) or a mandatory type such as the OECD Convention on rules of corruption and bribery. The third alternative regulatory framework is the domestic law of host and home state. Articles 578 to 587 of the Commercial Code provide both home state regulation for Ethiopian Companies operating business abroad and host state regulation for foreign companies that want to operate business in Ethiopia. The details of the regulation as provided as follows:

21.5. Review Questions

1. Describe the possible factors that necessitate conversion.
2. Which of the business organizations can convert into which one? Can partnerships convert themselves into companies or vis versa?
3. Can a general partnership convert itself into any of the rest of six business organization? Can a joint venture convert itself into a share company or any of the other two companies?

4. Can a limited liability partnership convert itself into any of the rest of six business organization? Can a private limited company convert itself into any of the rest of six business organization?
5. Can a one-member private limited company convert itself into a share company or any of the rest five business organizations? Can the rest of business organizations change themselves to a joint venture?
6. Who will be affected or benefited from the conversion? Only the members? Employees? Creditors? Any other stakeholder?
7. Who decides on the conversion? Only members or other stakeholder?
8. What would be the effect of conversion on creditors, and dissenting members of the business organization? What effect on continuity of the business organization?
9. What does it mean by Merger? What is the concept of Division?
10. Why do some business organizations merge while others prefer to split?
11. Which of the business organizations can merge with what type of business organizations?
 - a. Can a partnership merge with a company or vice versa?
 - b. Can all business organizations split themselves into two or more entities?
12. If a business organization is to split, should it divide itself into its own types or can they create new type entities? In other words, should a general partnership split into a general partnership or can it also give rise to other business organization types?

13. Can a one-member private limited company split itself into two or more business organization?
14. Who will be affected or benefited by merger of the business organization?
Only the members? Employees? Creditors? Any other stakeholder?
15. Who will be affected or benefited by division of a business organization?
Only the members? Employees? Creditors? Any other stakeholder?
16. What is the effect of merger and division on continuity of the business organization?
17. Discuss the distinction between multinational and transnational companies by giving at least four examples for each types of company.
18. Why do you think are multinational and transnational companies are dominating the contemporary global market? Please give examples.
19. Ato Alemu was an employee of a multinational company X operating business in Ethiopia through a subsidiary company but recently the subsidiary company is closed and when liquidated, it was discovered that many assets of the subsidiary have been transferred to the multinational company through management fraud and now Ato Alemu has not been able to get employment injury compensation. What would be the rights of Ato Alemu against the multinational company X?
20. Mention and discuss at least three advantages that Ethiopia might get by allowing multinational companies to operate in her territory.

PART III: INSOLVENCY LAW

The Commercial Code provisions from Articles 588 to 825 deal with three main proceedings: namely; Preventive Restructuring, Reorganization and Liquidation. The title of Book III is “Preventive Restructuring, Reorganization and Bankruptcy Law.” Unlike the old Commercial Code which used Bankruptcy laws as an umbrella name for the different procedures covered in the book, the new Code doesn’t give a unifying name. This is in a marked departure to the experiences of a number of countries. For instance, French Commercial Code uses the term “Businesses in difficulty.” Likewise, the UK a law containing procedures on resolution of business difficulty is known as Insolvency Law. Though Ethiopian law doesn’t adopt such a concise nomenclature, the word insolvency is invariably used to denote the circumstances of the debtor in each of the three proceedings. Therefore, we will call these three proceedings under one general term: “insolvency proceedings”; and Book III as Insolvency Law in this part.

Our intention in including a part on insolvency law in a book dealing with Law of Traders and Business organization is to give a basic understanding of insolvency processes to students. Under Ethiopian Law insolvency procedure applies only to traders and business organizations. Therefore, a textbook on the subject cannot be complete without a compendium on insolvency law. Readers should, however, note that this part is not to be taken as a full-fledged text book on Insolvency Law in its own. This has made the textbook to cover the new Commercial Code in its entirety. Nevertheless, some parts are dealt in more depth than others.

This part is divided into five chapters. The first chapter deals with introductory issues; and chapter two, three and four respectively deal with preventive restructuring, reorganization and liquidation, respectively. The last chapter deals with miscellaneous topics, namely, simplified insolvency and reorganization proceedings, discharge of the debtor, and disqualifications arising from crimes of bankruptcy.

Up on completing this part, students will be able to:

- Explain the nature of insolvency law
- Understand the nature, objectives and workings of preventive restructuring proceedings
- Understand the nature, objectives and workings of reorganization proceedings
- Understand the nature, objectives and workings of liquidation/bankruptcy proceedings
- Distinguish the type of procedure appropriate for different types of insolvency problems
- Explain the purpose and availability of discharge of the bankrupt debtor
- Explain the civil and criminal liabilities arising out of bankruptcy

CHAPTER TWENTY-TWO: INTRODUCTION TO ETHIOPIAN INSOLVENCY LAW

After completing this chapter, students are expected to:

- Explain the purpose of insolvency law
- Remedies for creditors outside insolvency laws
- Explain the difference between insolvency law remedies and business dissolution
- Explain the main goals of insolvency law

22.1. Business failures and creditor remedies

22.1.1. Business life-cycles

The occurrence of business failure is a normal market phenomenon. It is generally accepted that business entry into and exit from the market are fundamental manifestations of the competitive process. The process of entry and exit ensures that an adequate number of businesses remain in the market and produce efficiently in order to satisfy demand at a competitive price.⁹⁴² Business entry and exit occur not only through start-ups and closures. It “may well be in the form of an increase or a reduction in the volume of activities and the volume of resources engaged in the production process or a change in the type of activity. The competitive process results in the flow of resources into efficient units and out of inefficient ones—a process that may also be interpreted as ‘entry’ and ‘exit.’”⁹⁴³ In other words the “contraction of demand for some products, for example, should lead either to the

⁹⁴²See generally, Timothy Dunne et al, ‘Entry, exit, and the determinants of market structure’ *The RAND Journal of Economics* Vol. 44, No. 3 (Fall 2013)462- 487, <https://www.jstor.org/stable/4-3186428>

⁹⁴³ Ibid

exit of resources from some of the production units or to the closure of some plants in an industry.”⁹⁴⁴

The process of withdrawing from inefficient businesses and flowing into efficient ones is continuous in the market, and constitutes the natural business cycle. This business cycle may involve a number of processes and procedures such as capital reductions, increases, takeovers, acquisitions, mergers, divisions, and in extreme cases dissolutions and insolvency processes.

22.1.2. Dissolution and liquidation of business organizations under company law

Dissolution is a concept related to business organizations. It is bringing to an end the legal personality of a business organization, and is often followed by liquidation and winding up. Once the decision to dissolve is made whether voluntary or involuntarily, the procedure under the law of business organizations doesn’t give the opportunity for preventive restructuring or reorganization as opposed to insolvency law proceedings. However, the liquidation proceeding in bankruptcy is similar to liquidation following dissolution of business organizations.

Dissolution can be voluntary or involuntary depending on whether or not the shareholders or partners are forced to dissolve their business organization against their will. In case of voluntary dissolution, the members or shareholders decide to dissolve the business organization for various reasons. One reason can be the changes in the market that make the business less profitable than initially projected. The act of dissolution can be involuntary where the court decides upon the request of any interested person to dissolve the business organization against the will of the all or majority of the members. Such an interested person can be one of the members

⁹⁴⁴ Ibid

disgruntled by the majority's decision making, the public prosecutor when the company is allegedly involved in criminal activities, or one or more creditors.

There are many differences between liquidation under company law, and liquidation under insolvency law. Two basic differences are that liquidation under company law is subject to the ordinary civil procedure, whereas liquidation under insolvency law is subject to the insolvency procedure managed by supervisory judge and the trustee. The public prosecutor and creditors committee involvement in liquidation under insolvency law makes the procedure highly regulated. The other main difference is liquidation under insolvency law can lead to discharge of the debtor for any outstanding unpaid claims after closure of proceedings. Liquidation under company law doesn't give such entitlements of the debtor.

22.1.3. Insolvency Procedures

Insolvency refers to the condition of a business where the business becomes unable to pay the claims of its creditors whether momentarily or indefinitely. The inability of the debtor to pay his debts on time as they mature can cause ramifications in the market. Employees may not get paid, suppliers may be unable to finance their activities and may default on their obligations towards others, lenders may remain unpaid, etc. Depending on the size of the debtor, insolvency can cause complex problems. In many countries the resolution of insolvency entails the application of alternative proceedings. Under Ethiopian law these proceedings are: Preventive restructuring, reorganization and bankruptcy dealt in the Commercial Code of Ethiopia.

Under the Commercial Code the concept of insolvency is indirectly defined as the cessation of payments by a trader. According to Article 590(1) cessation of payments occurs "when the debtor is unable to pay its debts which are due and payable with its liquid assets." This begs at least two questions" what is meant by "debts due and payable? And, "what are liquid assets?" Debts due and payable are debts regarding

which the creditor has given a default notice as required by law excluding debts which are granted grace periods, moratoria or which are the subject of standstill arrangements (Article 590(3&4)). On the other hand, the Code defines as liquid assets as “credit reserves, overdraft and similar facilities available to the debtor.”² Credit reserves are further loans made available to a borrower, and overdrafts are likewise funds borrowers of banks are allowed to take above their deposits. Does this mean that the debtor is allowed to borrow and pay debts? Credit reserves and overdrafts are not like other bank loans. These financial instruments are dependent on the credit history of a borrower and are available only for borrowers with strong credit history. It thus appears that the law maker didn’t intend to allow the debtor to borrow in an ordinary loan transaction and pay his debts.³

22.1.4. Creditor remedies by individual enforcement

Under the normal course of business life, a creditor faced with a debtor’s failure or refusal to pay would initiate enforcement action in court or in arbitration. If the cause of the failure is debtor’s unwillingness than inability to pay, individual enforcement action can be preferable. Individual enforcement action is guided by the law of civil procedure that regulates the conduct of civil proceedings. It is often a two-party litigation between the creditor (plaintiff), and the debtor (defendant). Even if the creditor prevails, the debtor can still appeal and have a second chance to litigate. If the debtor loses the appeal, he/she can still submit the case to Cassation Tribunal, if he/she can establish basic error of law in the decision appealed against.

There is also another dynamic where the debtor prevails in the first instance, in which case the creditor may go to appeal. If the creditor succeeds in getting the decision reversed, the debtor may appeal. This may go until the Cassation Division of the Federal Supreme Court. Though theoretically, a case can go as complicated

² Commercial Code of Ethiopia, Article 590(2).

³ Such an approach can only postpone the problem; it will not resolve the underlying financial problems of the debtor. Thus, it is a behavior that the law intends to discourage.

us the above, not all cases are appealed. Some judgement debtors can comply without enforcement actions.

However, if the judgment debtor refuses to voluntarily comply, there remains a separate execution proceeding. Judgements awarding monetary payments are not self-executing. Execution proceedings require separate service of summons, and hearings. But the most difficult part is locating the assets of the debtor where the debtor is not willing to execute the award voluntarily. It is thus clear that getting remedy through civil proceeding is a lengthy process.

22.2. The nature of insolvency law and insolvency proceedings

Various writers have explained the nature of insolvency law. While it is partly a procedural law meant to regulate the efficient and timely resolution of financial distress of debtors, it aims at helping creditors to recover their claims, and the debtor to save his business or clear his obligations for fresh start in the future. In this respect, what makes the essence of an insolvency law? There are a number of definitions provided in many literatures. One of these definitions goes:

“The purpose of a bankruptcy act has been defined as providing for the orderly distribution of the property of a bankrupt among his creditors on a *pari-pasu* basis subject to the privileged claims and to permit a bankrupt to receive eventually a complete discharge of his debts in order that he may be able to integrate himself into the business life of the country as a useful citizen free from the crushing burden of debt.”⁹⁴⁵

⁹⁴⁵ Markis v. Soccio & Corso Restaurants Inc., [1954] Que. S.C. 457; (1954), 35 C.B.R. 1 at 5 (Que.) per Collins J. Cited in Honsberger, John. ‘The Nature of Bankruptcy and Insolvency in a Constitutional Perspective.’ *Osgoode Hall Law Journal* 10.1 (1972): 205. <http://digitalcommons.osgoode.yorku.ca/ohlj/vol10/iss1/9>.

The above definition focuses on the debtor's discharge and opportunity for fresh start. Another definition that emphasizes on the punitive aspect of insolvency proceeding reads as follows:

“Bankruptcy is a well understood procedure by which an insolvent debtor's property is coercively brought under a judicial administration in the interests primarily of the creditors. To this proceeding not only a personal stigma may attach but restrictions on freedom in future business activity may result. The relief to the debtor consists in the cancellation of debts which, otherwise, might effectually prevent him from rehabilitating himself economically and socially.”⁹⁴⁶

According to another distinguished author bankruptcy law has the objective of balancing the interests of creditors among themselves, as well as with that of the debtor:

“All bankruptcy law. . . no matter when or where devised and enacted has at least two general objects in view. It aims first to secure an equitable division of the insolvent debtor's property among all his creditors and, in the second place, to prevent on the part of the insolvent debtor conduct detrimental to the interests of his creditors. In other words, bankruptcy law seeks to protect the creditors, first from one another and, secondly, from debtor. A third object, the protection of the honest debtor from his creditors, by means of the discharge is sought to be attained in some of the systems of bankruptcy but this is by no means a fundamental feature of the law.”⁹⁴⁷

⁹⁴⁶Canadian Bankers Association et al. v. A.-G. of Saskatchewan [1956] S.C.R. 31; [1954]4 D.L.R. 599; (1955), 35 C.B.R. 135 per Rand J. Cited in Honsberger, John, *The Nature of Bankruptcy and Insolvency in a Constitutional Perspective*, 10.1 OHLJ (1972) 199, 205 <<http://digitalcommons.osgoode.yorku.ca/ohlj/vol10/iss1/9>> note 40.

⁹⁴⁷Louis E. Levintha, *The Early History of Bankruptcy Law* 66 U. of Pa. L. Rev. 223, 225 (1918), , Cited in Honsberger, John, *The Nature of Bankruptcy and Insolvency in a Constitutional Perspective*, 10.1 OHLJ 199, 205 (1972) 199, 205 <<http://digitalcommons.osgoode.yorku.ca/ohlj/vol10/iss1/9>> note 41,

From these definitions, one can understand that insolvency is a highly procedural branch of the law and very closely related to the law of civil procedure, contracts, administrative law, and criminal law and so on. It has elements that are private and public, national and international in as much as cross boarder insolvency is concerned. It has its collective dimensions as well as an individual or personal aspect. It is both preventative as well as remedial. It can penalize and it can re-establish.

Explaining American Bankruptcy Law Max Radin defines the essence of insolvency ('bankruptcy' in American parlance) as its compulsiveness towards the creditors of the insolvent debtor:

“Whatever purposes bankruptcy attempts to carry out, it does by working on the creditors primarily by compelling them to re-organize their relations to the debtor's property. No extension of the bankruptcy power has, in fact, attempted anything else, whatever the words used may have been.... Everything else is clearly incidental. The bankrupt might be stripped of all his property and thrown into prison. He might be allowed certain exemptions. He might be relieved of his debts or have them scaled down or postponed. All these are stages of increasing humanity toward an unsuccessful member of the commercial community. He might even be helped to reconstruct and carry on his business and this, with a view to maintaining an economic unit that involved a great many persons who are not properly creditors. But whatever happens to the debtor; in every case the creditors have been assembled in some formal way, their claims examined and classified, and assigned for satisfaction in definite proportions to an existing or prospective fund. The extent of the participation of the creditors in the final disposition is also irrelevant. Whoever initiates the process and however it is done, the important thing is that the bankruptcy

court or commission rounds up the creditors and compels them to adjust or discharge their claims in a particular way.”⁹⁴⁸

Indeed, the compulsion on creditors to accept some kind of arrangement with regard to their claims with the debtor constitutes the essence of insolvency law. If we adopt this test, a law regulating voluntary arrangements by a debtor subject to the voluntary participation of the creditors in the arrangement could not be regarded as an insolvency law.

In general insolvency proceedings are collective in nature. This means once insolvency proceedings are initiated all individual enforcement actions must stop in favour of the collective action. The procedure is by and large guided by the insolvency law as opposed to the civil procedure law. However, the civil procedure law may still apply to fill gaps in the insolvency law. One notable feature of insolvency law procedures is the markedly shorter timelines are stipulated in contrast to the relatively longer timelines of civil procedure laws for performance of activities. The reason for this is insolvency law’s emphasis on timely resolution of issues.

An important assumption for the practical application of insolvency law is the plurality of debtors. Modern businesses are characterized by a web of varying contracts that integrate and articulate the interests of diverse parties with claims on a firm's assets. In a given insolvency case, the interested parties may include; the employees, managers and shareholders creditors with different degrees of seniority, tax authorities, lender with secured collateral, ordinary (unsecured) creditors, customers, suppliers and so on. Therefore, when a business gets into insolvency, all the creditors of the insolvent debtor will come together in one grouping- universality

⁹⁴⁸ Max Radin, *The Nature OF Bankruptcy* 89 U of Pa. L.Rev.1 (1940), cited in Honsberger, John, *The Nature of Bankruptcy and Insolvency in a Constitutional Perspective*, 10.1 OHLJ 199, 206-207 (1972) <http://digitalcommons.osgoode.yorku.ca/ohlj/vol10/iss1/9>.

of creditors. And the assets of the insolvent debtor-insolvent estate- will be protected from individual enforcement action for the collective benefit of all creditors.

In this context, the importance of insolvency laws and procedures lies in the fact that they complement and help the enforcement of property rights. It regulates the way each group of creditors is repaid without undermining the claims of other groups. Without insolvency laws, any sign of debtor's financial distress may result in a "creditors' rush, like the run on a bank, as each creditor will try to seize a part of the firm's assets and realize her/his claim."⁹⁴⁹

The collective nature of insolvency proceedings has its exceptions, however. For instance, in Ethiopian law, preventive restructuring (PR) proceedings are not collective, even if it is generally regarded as an early stage of insolvency process. In many countries preventive restructuring proceedings are not even part of insolvency law. In this regard, UNCITRAL Legislative Guide on Insolvency Law defines voluntary restructurings as "negotiations that are not regulated by the insolvency law and generally will involve negotiations between the debtor and some or all of its creditors aiming at a consensual modification of the claims of participating creditors."⁹⁵⁰ Nevertheless, under Ethiopian law PR proceedings are part of the insolvency law; even though the collective proceedings do not apply. Therefore, during PR proceedings individual enforcement actions continue alongside the restructuring proceedings.

As the main purpose of collective action is preserving the debtor's estate by preventing individual enforcement proceedings, questions arise with respect to creditors holding security rights on specific assets of the debtor. Secured creditors are not part of the collective proceeding, even if the stay of individual enforcement action can affect them as well. It is generally believed that "including encumbered

⁹⁴⁹ Iraj Hashi, Exit, Bankruptcy, and Banks in Transition Economies, 33.4 *Rus. E. E. Fin. & Trd* (1997)8.

⁹⁵⁰ UNCITRAL, *Legislative Guide on Insolvency Law* (United Nations, 2005) 7.

assets in the estate and thus limiting the exercise of rights by secured creditors on commencement of proceedings may assist not only in ensuring equal treatment of creditors, but may be crucial to the proceedings where the encumbered asset is essential to the business.”⁹⁵¹

22.3. Insolvency Procedures under the New Commercial Code

22.3.1. The Three Alternative Procedures

Under Ethiopian law insolvency proceedings are promulgated in Book III of the new Commercial Code. Book III of the Code comprises three types of procedures. These are preventive restructuring, reorganization and liquidation procedures. A brief examination of each is as follows:

a. Preventive restructuring proceeding

The Commercial Code doesn't define any of these three terminologies. Preventive restructuring can however be defined as a negotiation process “between the debtor and some or all of its creditors aiming at a consensual modification of the claims of participating creditors,”⁹⁵² or the time of payment. An important aspect of the PR proceeding is its voluntary nature throughout the proceedings. It is specifically, “aimed at enabling a debtor in financial difficulty to restructure its operations (and particularly its debt) itself in order to continue its activities and pay back its creditors.” The voluntary nature is manifested under Ethiopian law in the provisions that allows only the debtor to initiate PR proceedings. This means PR proceedings cannot be opened against the consent of the debtor.

b. Reorganization proceeding

Reorganization is very similar in approach to PR, often "aimed at finding a method of rescuing the firm from financial distress and salvaging all or parts of it for the

⁹⁵¹ Ibid 77.

⁹⁵² Ibid 7.

benefit of all claimants.”⁹⁵³ In most cases a typical reorganization proceeding involves a process of negotiation between a debtor and creditors with objective of creating a new arrangement for the settlement of creditors’ claims. It may involve such solutions as the postponement of payment, writing off some of the claims, increase of capital, swapping new part of the debt for equity, exchanging various debt instruments with differing maturities, and so forth.

Most modern insolvency laws incorporate reorganization of the debtor or the debtor’s business as an alternative to liquidation, “where creditors would not involuntarily receive less than in liquidation and the value of the debtor to society and to creditors may be maximized by allowing it to continue.”⁹⁵⁴ The advantage of reorganization lies on the presumption that it leads to maximizing the value the estate by “keeping the essential components of a business together, rather than breaking them up and disposing of them in fragments.”⁹⁵⁵

c. Liquidation proceedings

Liquidation proceedings are “proceedings to sell and dispose of assets for distribution to creditors in accordance with the insolvency law.”⁹⁵⁶ Liquidation results in an absolute exit from the market since the business will not exist anymore after completion of the proceedings. The only objective of liquidation is satisfaction of the claims of creditors in a fair and orderly manner. To this end, Article 588(4) stresses that “the objective of bankruptcy proceedings is to timely, efficiently and effectively organize the liquidation of the debtor’s business, whether by piecemeal liquidation or by a sale of business as a going-concern, in order to maximize the value of the assets available for recovery by creditors.” While the business can be said to continue if transferred as a going concern, exit by the operator of the business is always the ultimate consequence of liquidation. This is also evident from the

⁹⁵³ Iraj Hashi (n 949) 10.

⁹⁵⁴ UNCITRAL (n 950) 11

⁹⁵⁵ Ibid.

⁹⁵⁶ Ibid.

provision of the law that attaches discharge and fresh-start to liquidation proceedings, but not to PR and reorganization proceedings.

22.3.2. Initiation of insolvency proceedings

Book III of the new Commercial Code will be called into application on the incidence of a trader's insolvency. Therefore, it is crucial to start with an in-depth analysis of the test for starting insolvency proceedings- also known as commencement standards. There are two types of commencement standards.

The most popular one is the suspension of payments which is defined as “state or condition of being unable to pay one's debts as they mature.”⁹⁵⁷ In some countries this conception is also variously known as inability insolvency, ordinary insolvency, common law insolvency, commercial insolvency or equity insolvency.⁹⁵⁸ The alternative definition of insolvency test is the inadequacy of the assets of the debtor to meet liabilities, also known as the balance sheet insolvency. The balance sheet insolvency concept applies “where the aggregate of a person's property is not at a fair valuation sufficient, or, if disposed of at a fairly conducted sale under legal process, would not be sufficient to enable payment of all his obligations due and accruing due.”⁹⁵⁹ The Ethiopian Commercial Code adopts the “inability to pay” concept in Article 590. The rationale for the choice is the simplicity to comprehend and easy applicability.

In contrast balance sheet test is often said to be difficult to apply. This is because applying the assets-and-liabilities test requires of making a valuation of the property involved. In practice, “this may be a difficult task because value is not a natural or fixed quality, but will vary according to the purposes and policies which dictate the determinative judgments and the processes by which it is ascertained.”⁹⁶⁰ The

⁹⁵⁷ John Honsberger (n 948) 200.

⁹⁵⁸ Ibid

⁹⁵⁹ Ibid 201.

⁹⁶⁰ Robert J. Stearn, *Proving Solvency: Defending Preference and Fraudulent Transfer Litigation*, 62, TBL 363 (2007)

balance sheet test is, thus, less popular as it is open to debtor abuse. Since it “relies on information under the control of the debtor, ... it is rarely possible for other parties to ascertain the true state of the debtor’s financial affairs until after its difficulties have become a settled and often irreversible fact and thus it may not easily form the basis for a creditor application.”⁹⁶¹ Therefore, under Ethiopian law to initiate insolvency proceedings one needs to show the debtor’s actual or imminent inability to pay debts; not to prove the debtor’s assets are less than his liabilities.

22.3.3. Objectives of Ethiopia’s Insolvency Law

Interestingly, Book III of the Commercial Code starts with the statement of objectives of insolvency proceedings. It declares that “the objective of preventive restructuring proceedings, reorganization proceedings and bankruptcy proceedings is to promote economic stability, maximize the value of the estate and ensure legal certainty and transparency through efficient, effective and timely procedures” for the resolution of insolvency of traders. Experience has taught societies the ugly realities of insolvency to both debtors and creditors. In the absence of an insolvency regime, “creditors of an insolvent firm, left to their own devices, would expend resources first preparing for, then entering, a race to collect limited assets. In the process, they would dismantle the firm, destroying any going-concern surplus over the firm's liquidation value.”⁹⁶²

From the debtor’s perspective insolvency procedures provide opportunities for restructuring and reorganizing a failing business while generally keeping the creditors away momentarily. In the meantime, the debtor can work out a plan for rehabilitation of his/her business or if the business be doomed to at least maximize

⁹⁶¹ UNCITRAL (n 950)46.

⁹⁶² Barry E. Adler, *Financial and Political Theories of American Corporate Bankruptcy* 45 Stan L Rev 313 (1993)

the value to be distributed to the creditors with the benefit of discharge from unpaid claims and the possibility of starting afresh.

From the broader societal perspective insolvency law has the goal of enhancing economic growth by facilitating exit for failing businesses, and reallocating resources to more efficiently managed ones. The procedure in insolvency law is formulated to achieve orderly and cost-effective liquidation. We can sum up the objectives of insolvency laws as the promotion of efficiency, and fairness in the market.

a. The efficiency goal of insolvency law

Insolvency law's goal of efficient resolution of business failure is evident from the law as well as from practice. It is said that "market imperfections, such as coordination problems, incomplete contracts and information asymmetries, call for insolvency procedures that facilitate the exit of failing firms in an orderly fashion. For instance, when a debtor is suspected of being insolvent, creditors have an incentive to engage in a scramble for debtor's property, hastily enforcing their individual claims, even if it results in a reduction in the total value of recoverable assets. Therefore, insolvency laws bring into play rules on the orderly resolution of financial distress maximizing value for creditors as well as protecting the debtor from the harshness of creditors. Hence, while in the context of reorganization insolvency law results in more value to the assets of the insolvent debtor, in liquidation also the result is likewise. By preventing individual enforcement proceedings in favour of the collective proceeding, it lowers the wastage of resources through separate enforcement actions.

Insolvency law also embodies efficiency from the insolvent debtor's perspective. As financial distress can occur in the normal business cycle, efficiency requires that businesses should not be forced to exit for temporary cash-flow problems which can be resolved quickly if some sort of temporary relief is available. This should be the course of action only to the extent that survival of the distressed firm entails more

value to the debtor and the creditors as well as to society. The laws pertaining to preventive restructuring are built on these premises.

b. Fairness as the goal of insolvency law

Insolvency laws also embody fairness in respect to both debtor and creditors. Fairness is sanctioned by the rules of distribution of the debtor's property to creditors. As explained above, in the absence of an insolvency law creditors will rush to dismember the insolvent's assets with first-come-first served basis. Hence,

“the bankruptcy laws in all countries establish a system of priority to settle the claims of different claimants or stakeholders. Known as the "absolute priority rule" (APR), the system generally starts with the government's tax and social security claims, followed by unpaid wages of employees, the claims of secured (senior) creditors with a lien on physical assets, unsecured (junior) creditors or bondholders, trade creditors, and finally the firm's shareholders (themselves divided into the holders of preference shares and of ordinary shares)”⁹⁶³

Ethiopian law also adopts rules on priority in the distribution of the bankrupt estate among creditors under Article 786. Thus, “each category of claim, in the established order of priority, must be settled in full before the claims of the next class of creditors are attended to. The shareholders, at the bottom of the priority pyramid, will thus receive something only if all other creditors' claims are met in full.”⁹⁶⁴

Insolvency laws represent fairness by giving the privilege of discharge and the opportunity for fresh start to honest traders after conclusion of liquidation proceedings. Accordingly, “following distribution in the liquidation of the insolvency estate, it is likely that a number of creditors will not have been paid in full. An insolvency law will need to consider whether those creditors will still have

⁹⁶³ Iraj Hashi (n 949) 8.

⁹⁶⁴ Ibid.

an outstanding claim against the debtor or, alternatively, whether the debtor will be released or “discharged” from those residual claims.”⁹⁶⁵ The policy of discharge is based on the recognition that business failure is a natural phenomenon in the market; so much so that both weak and good businesses can fail. Hence, business failure does not always presuppose reckless or dishonest behaviour on the part of the management of the business. On the other hand, failure in one business can give rise to a learning curve, and lead to success in other businesses in the future. Hence, fairness requires that honest debtors that didn’t behave in an irresponsible manner, those that honestly cooperate with their insolvency administrators and creditors throughout the liquidation proceedings be discharged for any residual creditor claims after conclusion of proceedings.

22.3.4. The sources of Insolvency law in Ethiopia

By sources of law is meant the material sources of insolvency law. In this context the most important source of insolvency law in Ethiopia is the Commercial Code of 2021. Book III of the Code contains an elaborate set of provisions comprising 237 sections. These sections deal with four seven titles (major divisions). Title 1 sets out the general provisions such as scope, objective, concept of cessation of payments, ongoing contracts, rights of creditors, jurisdiction of courts, and persons/bodies responsible for insolvency proceedings. The second, third and fourth titles respectively deal with preventive restructuring, reorganization and liquidation proceedings.

The last three titles deal with marginal issues. Title 5 thus deals with discharge of the debtor following the conclusion of liquidation proceeding. Although the availability of discharge is limited to liquidation proceedings and thus should have been made part of the title on liquidation, it is dealt under a separate title by its own. Title six regulates “Civil Liabilities, Disqualifications Offences and Personal

⁹⁶⁵ UNCITRAL (n 950) 281.

Bankruptcy” and Title seven deals with “Simplified Bankruptcy Proceedings for Small and Medium Enterprises (SMEs). The last three titles thus have more connection with liquidation than the other two procedures.

The other material sources of insolvency law in Ethiopia are banking business proclamation and insurance business proclamations. The Banking business proclamation No. 592/2008 incorporates rules as to insolvency of banks from sections 32 to 48. These provisions deal with the placement of banks to receivership and liquidation. Likewise, Sections 37 and 38 of the Insurance Business Proclamation makes cross reference to the above provisions in the banking business proclamation to apply for receivership and liquidation of insurance companies. The new Commercial Code of Ethiopia was enacted in 2021 long after the adoption of the banking and insurance business proclamations. The Code doesn’t make exceptions with respect to banks or insurance companies.

In many other countries court decisions can be the source of insolvency law. In Ethiopia as well by virtue of Federal Courts amendment Proclamation No. 454/2005 (repealed and replaced by proclamation 1234/2021), “interpretation of a law by the Federal Supreme Court rendered by the cassation division with not less than five judges shall be binding on federal as well as regional council at all levels.” Based on this proclamation many cassation court decisions have been handed down by the Federal Supreme Court in many fields of law. Proclamation 454 has been repealed by Federal Courts Proclamation No. 1234/2021. However, the place of cassation decisions is maintained under the new law as well.

Coming to the sources of insolvency law in Ethiopia, decisions of the cassation court are not of much help. Since the enactment of the above proclamation (almost two decades) there is only one known insolvency law case that reached the Cassation division of the Federal Supreme Court. Even then, it was based on the insolvency law in the old Commercial Code. The dearth of practical cases on insolvency law is has characterized Ethiopian insolvency law for many decades. One author has

commented in this regard: In his Commentary on Ethiopian Bankruptcy Law Tadesse Lencho sums this up in the following lines:

*Since the coming into force of the Commercial Code in 1960, cases having to do with bankruptcy have been few and far between. Why might this be? Is the defect in the law or in the economic environment? Is the Ethiopian business environment immune from the natural law of bankruptcy or has it always gone bankrupt without ever being noticed by the public or mediated by the law?*⁹⁶⁶

22.3.5. Historical overview of the development of bankruptcy in Ethiopia

The history of insolvency laws dates as far back the history of debtor creditor relations. The evolution of insolvency law has thus gone through various changes. Though mechanisms of dealing with debtors' inability to pay their creditors existed since ancient times, a formal legislation on the subject is often said to trace back the 1542 AD. Before that however, various laws and established practices existed such as the customs of Italian merchants in medieval times is notable. Even in England, there is some evidence that the non-common law courts (e.g., admiralty) knew of the principle of rateable division of an 'insolvent's estate among creditors.

Even though many societies have their own traditions, in relation to insolvency law English law is one of the earliest in development. Hence, the first formal act in England was titled as “An Act Against such Persons as Do Make Bankrupt.” In the modern eyes that act can hardly be spoken of as true insolvency law, “for it is in fact little more than a criminal statute directed against men who indulged in very prodigal expenditures and then made off.”⁹⁶⁷ Like most early statutes this statute was punitive against debtors. One of its foot prints in the notion of “acts of bankruptcy” remained to this date in many countries as an approach to describing the test for commencing insolvency proceedings. Since that milestone legislation, insolvency laws both in

⁹⁶⁶ Tadesse Lencho, *Ethiopian Bankruptcy Law: A Commentary (Part I)*, 22.2JEL,57 (2001).

⁹⁶⁷ Louis E. Levintha (n 945).

England and elsewhere have departed from the punitive objective and are more or less balanced in their treatment of debtors and creditors.

In Ethiopia insolvency law has a very recent history. The formal insolvency legislation starts with the Bankruptcy Act of 1933 and spans up to the 2021's new Commercial Code. The following excerpt from Tadesse Lencho's *Commentary* on the old Commercial Code provisions on Bankruptcy Law sums up the history insolvency law in Ethiopia.

The history of bankruptcy law in Ethiopia (at least in the modern sense) dates back to 1933. That was the year when Emperor Haile Sellassie I passed a bankruptcy law containing 93 articles. It is not clear as to how much of a resource material this law was for the drafter of Book V of the Commercial Code, but there was no doubt the drafter was aware of its existence, as the background documents show. Along with the Business Organization Law of 1933 and Registration Decree of 1928, the Bankruptcy Law of 1933 represents the Emperor's attempt to modernize Ethiopian law relating to business or commerce. Under the 1933 law, 'every person registered in the commercial register' and who suspends payment might be declared bankrupt. Suspension of payment triggers a proceeding of bankruptcy only when the obligation of payment arises out of what the law calls an 'executory document' An executory document is narrowly defined in the 1933 law. It refers to three documents only:

- a) a judgement against the debtor in a court of last appeal;*
- b) a minute of conciliation proceeding in which the debt is recognized without reservations;*
- c) a commercial instrument signed or accepted by the debtor accompanied by a protest for non-payment regularly drawn up*

The 1933 Bankruptcy law allowed initiation of bankruptcy only against debtors who suspended a payment which was a sum certain, liquid and in all respects evidenced by a written document. Incidentally, with the exception of a court judgement, these documents would have permitted creditors to seek order through the special route

*of proceedings, and the notion of ‘titre exécutoire’ is more often used today in connection with or accelerated proceedings. Apart from the commencement standard (which was very stringent), two other features distinguished the 1933 bankruptcy from the Commercial Code of 1960. The other is that the 1933 law contained penal provisions. It is not certain if the 1933 Bankruptcy law was ever applied in practice.”*⁹⁶⁸

The 1960 Commercial Code was enacted within this backdrop. It contained detailed provisions on bankruptcy and scheme of arrangement. Contrary to its predecessor, it comprised both liquidation and composition with creditors as alternative venues for resolving insolvency problems. The punitive elements remained largely unchanged, and the availability of discharge and fresh start was not clearly spelt out. The 2021 revised Code has substantially overhauled and modernized insolvency law, among other things, along the recommendations of the UNCITRAL Legislative Guide on Insolvency Law.

22.3.6. Scope of Ethiopian Insolvency law

In terms of scope of application, Book III of the Commercial law regulating insolvency applies on traders only whether sole proprietorships or business organizations. It also applies to public enterprises as well as financial institutions subject to the special laws applicable on them. Hence, Article 589 states that:

- 1) The proceedings referred to in this Book shall apply to traders and business organizations, other than joint ventures having no legal personality, as well as craftsmen and natural persons exercising independent professional activities.
- 2) Without prejudice to the special laws regulating preventive restructuring proceedings, reorganization proceedings and bankruptcy proceedings of

⁹⁶⁸ Taddese Lencho (n 966) 60-61.

banks and other financial institutions, the proceedings referred to in this Book shall be applicable to banks and other financial institutions.

- 3) Without prejudice to the special laws regulating preventive restructuring proceedings, reorganization proceedings and bankruptcy proceedings of state-owned enterprises (SOEs), the proceedings referred to in this Book shall apply to SOEs.
- 4) Special laws may be issued for preventive restructuring proceedings, reorganization proceedings and bankruptcy proceedings of specialized business activities.

Most importantly, the Ethiopian insolvency law does not apply to individuals who are not traders. Therefore, unlike many countries that have laws on consumer bankruptcy, the law in Ethiopia is limited to sole proprietorships and business organizations. However, the question whether bankruptcy law should be limited only to traders is an old question. In terms of definition, insolvency was in fact traditionally “limited to merchants-to persons engaged in trade. Indeed, the conceptual justification for having a bankruptcy law at all followed from the inescapable risks attendant from carrying on trade through credit.”⁹⁶⁹ However, in some countries it was latter on extended to individuals who do not carry-on trade. Countries with advanced market economy do have strong credit system whereby individuals can maintain consumer credits from financial institutions. In such economies the inability to pay loans by consumers may justify consumer bankruptcy law. In countries with widespread use of personal credit, bad credit history can have wider ranging consequences such as higher interest rates, fewer loan options, and more difficulty in finding housing, and other services and even lesser access to jobs and so on. Therefore, the carrot and stick aspect of insolvency law can work better in such economies. In countries like Ethiopia the absence of deep consumer credit

⁹⁶⁹ Charles J. Tabb, *The Top Twenty Issues in the History of Consumer Bankruptcy*, 2007 U. ILL. L. REV. 9 (2007) 11.

market implies that there cannot be the need for consumer insolvency law. Thus, Ethiopian insolvency law is limited to traders and business organizations only.

22.4. Summary

The Ethiopian law of insolvency as embodied in Book III of the new Commercial Code incorporates three alternative procedures. These procedures are meant to apply in a gradient from simpler financial problems to deep financial crisis. Compared to the old law the new law is relatively modern based on the recognition that insolvency is a natural part of the market phenomena working as part of the mechanics of business entry and exit.

Therefore, while a debtor that has minor financial challenges should use the preventive restructuring and save his business, debtors with relatively deeper financial problems should use the reorganization alternative or the liquidation path. Insolvency law thus serves the needs of the unfortunate debtors as well as the innocent creditors by introducing quick resolution of business difficulties through mechanisms that balance the interests of debtors and creditors.

The goals of insolvency are primarily efficiency, i.e., business failures should be avoided if in an early stage of crisis so as to save both the business, the jobs it creates and the services it provides. If the stage of the crisis is severe business failure should be managed quickly and with minimum possible cost so as to save the debtor and creditors resources with the view to maximizing the values of assets.

In all these alternatives, there are considerations of fairness towards the debtor and creditors. Fairness is exhibited in insolvency law not only between debtors on the one side and Thus, creditors on the other. It is also demonstrated among creditors such as between secured and unsecured creditors, between ordinary creditors, and so on.

22.5. Review questions

1. What is the rationale for providing multiple alternatives for resolution of insolvency problems?
2. Why is the balance sheet insolvency not a good test to trigger insolvency proceedings? Is the alternative cessation of payments test fool proof?
3. Discuss problem of individual enforcement of claims by creditors against an insolvent debtor. What is the rationale for imposing such a restriction?
4. What is the difference between liquidation under insolvency law and liquidation under company law?
5. Why is the scope of application of Ethiopian insolvency law limited to traders and business organizations?

CHAPTER TWENTY-THREE: PREVENTIVE RESTRUCTURING

After completing this chapter, students are expected to:

- Explain the nature and objectives of preventive restructuring
- Explain the debtors eligible to apply preventive restructuring proceedings
- Understand the effects of preventive restructuring proceedings on debtor and creditors
- Explain the nature of preventive restructuring plan and procedure of its adoption
- Explain the circumstances where a preventive restructuring plan is converted into other procedures

23.1. *Definition of preventive restructuring*

Preventive restructuring (PR) is an early-stage intervention made with the primary goal of saving a distressed business while at the same time protecting the interest of creditors. According to Article 588 (2) “the objective of preventive restructuring proceedings is to ensure that, with the unanimous consent of affected creditors, viable debtors in financial difficulties are able to contractually, at early stage, efficiently and effectively restructure their debts and continue operating, or to prepare for the sale of the business as a going-concern.” PR proceedings are meant for traders that have the prospect of being rescued without significant cost on the creditors.

The most important factor that distinguishes PR proceeding from other procedures is its voluntary nature. This is expressed in the Commercial Code provision that prohibits creditors, and any third party from initiation PR proceedings. Article 617(1) partially reads: “preventive restructuring proceedings shall be available upon the sole application of a debtor....” The law unequivocally states nobody other than

the debtor himself can initiate PR proceedings-hence it is voluntary. However, the PR proceeding under the Ethiopian law is different from voluntary restructuring in the UNCITRAL Guide which defines it as an out of court voluntary debt resolution not forming part of an insolvency law. Though highly influenced by UNCITRAL Guide, Ethiopia's insolvency law makes PR proceedings as part of the insolvency proceedings.

PR proceeding is voluntary in the sense that it cannot be forced upon the debtor. However, it is regulated by the law-hence matters as regards the requirement for commencement, duration, the participation of creditors, the involvement of experts, the nature of the restructuring plan, the status of new financing, the role of the debtor during the proceeding, etc, are regulated by the law. Even then PR proceeding is much less regulated compared to reorganization and liquidation proceedings. Less than 20 articles specifically deal with PR as compared to 70 articles on reorganization, and 93 articles on liquidation.

The requirement to open PR proceeding is expressed in Article 617(1). Accordingly, PR is available for a trader "which is not yet in cessation of payments or has been in cessation of payments for less than forty-five days and faces actual or foreseeable economic or financial difficulties." The crucial idea in the requirement for commencement of PR is the notion of cessation of payments. Interestingly, Article 590 defines cessation of payments: "Cessation of payments shall occur when the debtor is unable to pay its debts which are due and payable with its liquid assets.... Liquid assets shall include credit reserves, overdraft and similar facilities available to the debtor."

Since PR proceeding is court supervised, the debtor has to convince the court in its application that such a rescue intervention is warranted. Under Article 617(2), the debtor shall provide the bankruptcy Court with its latest financial statements, a memorandum outlining the circumstances of its financial difficulties and means to resolve them, as well as cash-flow projections. In addition to these, the Court may

order the debtor to provide any further documentation and information it deems necessary and may order third parties such as banks or tax authorities to provide them. The purpose of such documentary submissions is to show whether a PR proceeding is the appropriate one.

23.2. Effect of opening of PR on the debtor and creditors

The opening of PR proceedings results in serious consequences both for the insolvent debtor and his creditors. For the debtor, even though the emphasis is usually on giving some breathing space, it comes at some cost. Thus, the debtor stays under the supervision of the expert in the field of restructuring (restructuring expert or RE) for as long as the PR proceedings last. While the debtor continues to manage his business in the ordinary course of things, PR proceedings entail denial of his right to make decisions beyond those required for ordinary business operations. Hence, Article 624 states that any decision outside the ordinary course of business, such as the sale of significant portion of assets and the creation of a security interest, shall require the prior approval of the RE. The debtor will also be excused of his obligation to file for liquidation proceeding for the duration of the PR proceedings.

For the creditors, the consequence of opening of PR proceedings is the possible prohibition of individual enforcement action. While PR proceedings don't lead to a general moratorium against all creditors to cease their respective enforcement actions, disallowance of specific creditor claims also called "single stay" may be issued by the court up on the request of the debtor. Single stay of actions means a temporary suspension on the enforcement of a claim by a single creditor against a debtor or a third-party security provider; the stay of actions shall cover all types of claims, including secured and preferential claims. Single stay of proceedings can be ordered against any creditor at debtor's request in so far as the Court is convinced that enforcement of such a claim will frustrate success of the PR negotiation. The

notion of single stay by no means implies only one creditor can be stayed. In so far as the debtor can persuade the court, any given number of creditor enforcement actions can be stopped, separately.

The other most important consequence of PR on creditors is the possible reduction in claims and/or postponement of time of payment. This is because “restructuring may include changing the composition, conditions or structure of a debtor's assets and liabilities or any other part of the debtor's capital structure.” For example, Article 627(3) indicates that the PR plan can include proposals for the rescheduling of the claims of the affected creditors or the waiver of claims of the affected creditors. It is important to read this together with Article 626 which requires the debtor to continue paying his debts as they mature during the PR proceedings. The application of this obligation is for the duration until the restructuring plan is approved. Once the plan is approved, this provision cannot be a bar on reduction of amounts or rescheduling of claims of creditors. However, until the plan is approved, the debtor should keep paying maturing debts. Non-compliance with this requirement entails opening of bankruptcy/liquidation proceedings.

However, the short duration of PR proceedings implies even for those creditors subject to single stay, the adverse consequence is limited at least in time. The duration of PR proceedings, i.e., until the restructuring plan is adopted is four months, which can be extended to eight by the Court under compelling circumstances.

23.3. The status and role of the debtor during PR Proceedings

During the preventive restructuring proceedings, the debtor is entitled to remain in full control of his/her business and shall have the power to take all decisions falling within the ordinary course of business. As explained above, the only exception to this is in respect to extra-ordinary decisions under Article 624 which require the prior approval of the RE. While RE is serves as the insolvency representatives as in

reorganization proceedings and liquidation proceedings, his/her role is very limited in PR proceedings.

Since the debtor is in possession of the business, and there is no universal stay of enforcement action, the debtor is required to continue to pay his obligations as they mature. To this end, Article 626(1) states, “the debtor shall pay all debts arising in the ordinary course of business, except for the claims already subjected to a single stay.” This implies that business should continue as “normal”. The emphasis is minimizing business disruption as much as possible. Continuity of business operations during the PR process increases the chances of a successful restructuring. If the debtor discontinues paying maturing debts the PR can be converted into reorganization or liquidation proceedings.

As per Article 623, PR proceedings are required to be kept strictly confidential so that the outside world doesn’t know what is happening except the participating creditors. It is thus stated: “the opening of preventive restructuring proceedings including information exchanged during the proceedings and the restructuring plan shall remain strictly confidential; and the Court proceedings shall be held in camera; any violation of this provision shall result in civil and criminal liabilities in accordance with relevant laws.” Indeed, the spread of news about debtor’s financial difficulty can impede the effort for restructuring and rescuing. This is the rationale for strict confidentiality requirement in PR.

Despite the debtor in possession status, the law clearly lists the debtor’s obligations in PR. Debtor’s main responsibility during the PR proceeding is to prepare the restructuring plan. In this the debtor may be assisted by the RE. The debtor has the duty to cooperate with the RE and the creditors in revising or amending (where necessary) and finalizing the restructuring plan. Once approved by the court, the debtor has to implement the plan as agreed. Other duties of the debtor include

nominating the RE for appointment by the court, negotiating and paying the remunerations of the RE up on approval of the court, and so on.

23.4. The role of the RE

In PR court supervision of the proceedings is made through the RE. This is said to be valuable in guaranteeing the rights of different parties involved and can increase *ex-post* efficiency by acting as a coordination tool. As per the UNCITRAL Legislative Guide, “few, if any, attempts are made at voluntary restructuring without the involvement of independent experts and advisors from various disciplines (e.g. legal, accounting, finance and business regulation or marketing).”⁹⁷⁰ The involvement of such experts “is generally necessary to ensure the provision of information, independently verified, as well as professionally developed plans for refinancing, restructuring, management and operation that are essential to the success of these negotiations.”⁹⁷¹

Under Article 621 of the Commercial Code, the duties of the RE are expressed as follows:

1. Acting independently, the expert in the field of restructuring shall, among others, carry out the following tasks:
 - a) determine the creditors participating in the preventive restructuring proceedings;
 - b) assist the debtor and the creditors in drafting and negotiating a restructuring plan;
 - c) convene and preside over the creditors’ meetings;
 - d) supervise the activities of the debtor during the negotiations on a restructuring plan and report periodically to the Court on the progress of the negotiations;

⁹⁷⁰ UNCITRAL (n 950) 24.

⁹⁷¹ Ibid.

- e) present the restructuring plan to the Court for confirmation; and
- f) prepare the sale of the business as a going-concern, as the case may be.

The RE can exercise important powers in discharging his duties. He/she can order the debtor or any third party to provide necessary additional financial or accounting information; and can also appoint independent experts including to audit the financial situation and business plan of the debtor. These powers indicate that the expert's position has some has some element judicial representation.

23.5. The role of creditors in preventive restructuring

The law tacitly admits the possible coexistence of two categories of creditors in PR: affected creditors by the PR and new finance providers under the restructuring plan. It is thus provided that new financing providers shall have priority over unsecured creditors in case of the subsequent opening of bankruptcy proceedings (Article 628(3)). There is no mention about secured creditors except where a secured creditor is subject to single stay. Even then, the secured creditor cannot participate in the restructuring negotiation as the outcome cannot have any effect on the amount claimed by the secured claimant.

For the participating creditors a PR proceeding gives limited powers. Most importantly, as PR is a wholly voluntary process, creditors cannot start a PR proceeding against the will of the debtor. However, creditors have significant influences. The most important among these is approval of the restructuring plan. As the restructuring plan is required to be accepted by all affected creditors participating in the PR proceedings, i.e., a unanimous vote is required, each creditor can veto the plan. See Article 588(2) cum 627(2). This means any creditor's existing claims and payment timelines cannot be changed without his/her consent. In other words, a single creditor with the smallest of the claims can hold out against the plan. Such holdouts coupled with ongoing enforcement actions can make the success of the restructuring negotiation precarious. Since timing is essential in business

restructuring, delays caused by hold outs can frequently be costly or even fatal to achieving an effective solution. If the hold outs are creditors with small claims, one solution would be to pay them in full.

Creditors can also amend the restructuring plan. Even if the plan is prepared by the debtor with the assistance of the restructuring expert, creditors have the power to amend and make counter-proposals for further amendment. Creditors can also appeal for setting aside of the restructuring plan, if the debtor is not implementing it as proposed. The law gives further inconsequential rights to creditors such as participation rights, the right to give opinion and the right to information (Article 598, 599).

23.6. The restructuring plan and its implementation

Preparation and implementation of a restructuring plan is the most important activity in the PR proceedings. The efforts of all the parties involved coalesce into a restructuring plan which will be the basis for rescuing the distressed firm and paying its creditors. The plan is prepared by the debtor with the support of the RE, amended and/or revised if necessary, by the creditors. Once approved by creditors the plan has to be confirmed by the court before implementation.

The restructuring plan can contain different proposals for resolving the debtor's financial difficulties. In practice restructuring proposals most frequently include reduction of the claims and/or rescheduling of their payments. However, it can also include other propositions aimed at saving the business without substantial cost on the creditors. Article 627(3) provides the possible proposals in a restructuring plan:

- 1) The restructuring plan may provide for:
 - a) The rescheduling of the claims of the affected creditors;
 - b) The waiver of claims of the affected creditors;
 - c) The settlement of claims through the issuing of financial debt instruments subject to laws regulating the issuance of financial debt instruments;

- d) The conversion of claims of the affected creditors into equity;
- e) Without prejudice to the mandatory provisions of this Code, the reduction or increase of capital of the debtor to be subscribed to by creditors or third-party investors;
- f) The sale of existing or issuance of new shares in favour of creditors or third-party investors.

It should be clear that waiver of claims under sub-paragraph (b) means reduction of claims, and not a full write-off. Inclusion of the qualifier ‘partial’ before the word ‘waiver’ would have made this clear. Options provided in c, d, e, and f call for corporate transactions-hence the assumption here is a corporate debtor. Proposal (d) and (f) will work well in the context of strong capital markets, where the creditors can sell their new securities on the market. The reference to other laws implies that such transactions are regulated by other laws. For instance, the proposition in paragraph (c) implies a share company type of debtor since only a share company can issue debt instruments (debentures) under Article 408. The agreement reached during the restructuring negotiation in and of itself cannot be sufficient to execute some of these agreements. For instance, increase or reduction of capital can only be effected with the approval of shareholders’ meeting. At this juncture one may ask why the procurement of new financing is not mentioned as an alternative proposition. However, it is mentioned just one provision below with some emphasis on its protection and the need for special court approval. The success of the restructuring plan may sometimes depend on the supply of new financing. In a way this shows that the list in Article 627 is not exhaustive as it appears on first look.

Another question that may be asked is “why is the reduction of capital of the debtor” proposed as a solution. Capital being the last sanctuary for creditor claims, the inclusion of its reduction as a possible solution for creditors of a distressed firm is apparently illogical. However, one instance where reduction of capital can be part of the solution is if licenses cannot be renewed immediately due to drastic loss of capital. Under the Ethiopian commercial registration and business licensing

(amendment) proclamation no. 1150/2019, if a company loses more than three-fourth (3/4th) of its capital it cannot renew its business license. Though the straightforward solution would be to increase the capital by the required margin to bring the shortfall below three-fourth loss, reduction of the existing capital can also be just as effective. In the context of a distressed debtor in PR proceeding, such capital reduction can be considered since license renewal and business continuation can be of paramount importance. On the other hand, if the loss of the capital is required to be restored by new injection, the probability of success may be limited. The debtor might find it hard to obtain financing in the middle of the crisis. However, it should be noted that reduction of capital is absolutely discouraged by the authorities and may be met with resistance in practice. Reduction of capital has direct impact on the value of the shares that shareholders hold and the security that third parties have on the company.

It is also interesting to note that sale of business as a going concern and merger or takeover of the debtor with another entity is not in the menu of solutions. The reason for this may be that these solutions entail extinction of the debtor. Since, saving the debtor is of paramount importance in PR; such solutions cannot be considered. However, where an offer is made by a third party for purchase of the business as a going concern, the Court may convert PR proceedings to reorganization proceedings at the request of the debtor. But, that in and of itself entails conversion of the PR into reorganization proceeding (Article 634(3)). It is interesting to note that in such cases the request for conversion should come from the debtor.

On the one hand, the list of propositions in Article 627 is exhaustive. The debtor is allowed to be more innovative in crafting solutions. However, on the other hand, the restructuring plan cannot contain proposals that contradict with the essence of restructuring. This can be evident in a moment if one compares the list of possible proposals in reorganization plan in Article 678. In that provision, “a sale of assets or business units” is mentioned as one of the possibilities. Is this difference immaterial?

It seems no. Sale of assets or business units is deliberately excluded from the list of propositions in PR because it may contradict with the essential objectives of a PR proceedings which is saving the business. On the other hand, if the financial crisis the business is faced with requires sale of assets or business units, then probably the proceeding should be reorganization, not PR.

What is more interesting about PR is, however, the requirement of unanimous vote of all the participating creditors for adoption of the plan. This requirement makes PR a difficult process since creditors with smaller claims can veto the plan. Obviously, “requiring a unanimous vote by all creditors on a restructuring plan can delay proceedings. Thus, allowing the approval of such a plan by only a requisite majority of creditors (the so-called “cram-down”) can strengthen market selection by promoting the timely restructuring of viable firms that encounter temporary financial difficulties, and deliver higher future within-firm productivity gains”⁹⁷² However, the Ethiopian legislator has chosen the path of unanimous vote for adoption of the restructuring plan. It seems that creditors are left to their own devices to sort out among themselves such as by allowing bigger claimants to buy out smaller claims with the view to reaching at unanimous approval of the plan.

Still unanimous approval is not enough for implementing the plan. Judicial approval is needed. The court is required to consider the interests of third parties in relation to protection for new financing, and the granting of security interest, the prospects for success of the plan, and compliance with corporate law procedures where shareholder meeting resolutions are needed. If the court is not satisfied it can reject a restructuring plan despite its approval by unanimous vote of the participating creditors. Such will be the case, however, if the interest of third parties is jeopardized. Under such instances the debtor can appeal against the decision of the court. Article 630 stipulates that the debtor can appeal against the judgment of the

⁹⁷² Müge A. McGowan and Dan Andrews, ‘Design of Insolvency Regimes Across Countries’, *Economics Department Working Papers No. 1504*, 14

Court rejecting the restructuring plan within 10 consecutive days from rejection of the plan by the Court.

Approval of the plan doesn't however entail end of the PR proceedings. PR is required to be implemented with strict follow-up. Hence, if the debtor fails to fulfil the conditions and obligations under the plan, the plan can be set aside. Two of the likely reasons are provided for setting aside of the plan under Article 632.1 and 2: Article 632(1) where the debtor fails to carry out the terms of the restructuring plan, a creditor may file an application to the Court to set aside the restructuring plan and to open reorganization or bankruptcy proceedings. Article 632(2) -the opening of reorganization or bankruptcy proceedings shall result in the automatic setting aside of the restructuring plan. The second ground is noteworthy. While the plan is being implemented, the debtor may find it more and more difficult to live by its commitments leading to the opening of more stringent proceedings, i.e., reorganization or liquidation. In such cases, the plan will be set aside and the other proceedings will take over. However, creditors in the framework of new financing will retain their priority over ordinary creditors. Likewise, ordinary creditors that received payments under the plan will not be required to repay.

23.7. Summary

The essence of PR is its voluntariness. This feature of the process is manifested through debtor control of the process from start to finish and creditor unanimous approval of the plan. In other words, no is compelled to do anything in PR. Unlike the other insolvency proceedings, the debtor is not forced into a PR proceeding by the initiation of third parties. Only the debtor can initiate proceedings. However, once initiated, the PR plan for resolving the debtor's business difficulties cannot be forced upon the creditors. Each one of the creditors can reject the proposed plan which can kill the proceeding.

Because PR under Ethiopian law is not much regulated, it gives the parties freedom to negotiate on many issues. The provisions of the Commercial Code are rather sketchy providing a general framework for the debtor and creditors to find solutions than prescriptive in contrast to the provisions on reorganization and liquidation. However, there are still rules about judicial supervision and assignment of the restructuring expert. These rules on minimal court supervision and role of the restructuring expert indicate that as a part of the insolvency proceeding PR is not completely left to the parties.

23.8. Review questions

1. Why do we say that PR is a voluntary procedure?
2. Discuss the effect of PR proceedings on creditors
3. The law requires the unanimous consent of creditors for the adoption of a restructuring plan. What are the implications of this requirement for the debtor and for the PR proceeding as a whole?
4. Do you think the list of solutions proposed in the restructuring plan is illustrative? What will be the limit to the solutions that can be proposed in such a plan?

CHAPTER TWENTY-FOUR: REORGANIZATION PROCEEDINGS

After completing this chapter, students are expected to:

- Explain the nature and objectives of reorganization proceeding
- Explain the effect of opening of reorganization proceedings upon the debtor and creditors
- Explain the difference between preventive restructuring and reorganization
- Explain the difference between insolvency law remedies and business dissolution
- Explain the dynamics of reorganization plan adoption, its approval and implementation

24.1. Definition: The Nature and objectives of reorganization proceeding

To understand the meaning of reorganization under Ethiopian law, one needs to start from the Commercial Code description of its objectives. Hence, Article 588 declares: “the objective of reorganization proceeding is, with the consent of a qualified majority of affected creditors, to timely, efficiently and effectively restructure the debts as well as operations of the debtor in a reorganization plan or realize the sale of its business as a going-concern to the benefit of its creditors.” At this stage, one may wonder what the real difference is between PR and reorganization. In both cases there is the desire to save a failing business, and the effort to pay creditor claims.

In reality, the difference between the two procedures seems to be more of the timing, degree of procedural flexibility and of consequences. In some countries the distinction between the two procedures lies in the fact that PR proceedings are

voluntary and outside the insolvency law, whereas reorganization is a formal insolvency proceeding. As we have observed earlier, the Ethiopian legislator has chosen to make PR part of the formal insolvency proceeding to be followed by reorganization or liquidation proceeding, as the case may be if unsuccessful. Thus, reorganization, while akin to PR in appearance, is different in terms of its timing, requirements, procedural complexity, and its consequences, among other things. In terms of timing, reorganization is a procedure applicable if the debtor's financial situation is severe which has lasted for a while so much so that it can't be reversed without a general moratorium on creditor enforcement actions. PR, on the other hand is suitable, if the debtor's financial problems are at an early stage and can be reversed without such postponement of enforcement of claims by the creditors in general. In PR the debtor should continue paying creditor claims until the restructuring plan is adopted and approved, lest the proceeding will be converted into reorganization or liquidation.

Secondly, reorganization proceedings can be involuntary in the sense that the debtor can be forced into reorganization proceedings against his/her will. In contrast, PR proceedings are always voluntarily initiated by the debtor. Because of the involuntary nature, reorganization is comparably more complex than PR. In reorganization, proceedings can be initiated by creditors or the public prosecutor in addition to the debtor; there is a creditors' committee with broad oversight powers, creditor voting over reorganization plan is often in separate classes, there is regular monitoring by the court including by the supervisory judge (SJ), and the supervisor in reorganization (SIR), there is claim submission & verification process, and so on. All these processes make reorganization a rather complex process. In terms of consequences, reorganization results in moratorium on individual enforcement of claims, as opposed to PR that doesn't grant such a relief to debtors. This doesn't however mean that PR is less advantageous to debtors than reorganization. The voluntary nature of a PR together strict confidentiality requirement means debtors have more advantage in PR.

The presumed advantage of relief from general discontinuance of enforcement action is not unconditional in reorganization. Thus, the procedure of reorganization is generally available to honest debtors that want to resolve genuine financial problems. As “the purpose of reorganization is to maximize the possible eventual return to creditors-providing a better result than if the debtor were to be liquidated, and to preserve viable businesses as a means of preserving jobs for employees and trade for suppliers” it is allowed for an honest debtor.⁹⁷³

Hence, in as much as reorganization gives relief for debtors from creditor enforcement of claims, it also attaches penalties against those fraudulently scheming to make use of such a relief without genuine problems. Because “in the absence of credible threats, debtors can strategically default, i.e., declare insolvency to obtain debt relief. Fraudulent entrepreneurs can strategically “tunnel” assets (i.e., transfer assets prior to insolvency) so it is important that the system can differentiate between honest and fraudulent entrepreneurs.”⁹⁷⁴ Fraudulent insolvency is an offence subject to civil and criminal sanctions under the Commercial Code (see chapter five below)

24.2. Persons/organs/ that can initiate reorganization proceeding

Many persons can initiate reorganization proceeding. The law allows the debtor, the creditors and even the public prosecutor to start such a proceeding. Apart from the identification of the persons that can initiate proceedings, the law also lays the condition to be met for commencement of reorganization. The condition to be fulfilled is actual or impending cessation of payments but not lasting more than 45 days which is beyond the debtor’s ability to reverse. In such instances either debtor, a creditor or the public prosecutor can request for opening of reorganization proceedings. Reorganization proceedings can also be opened when creditors or the public prosecutor request for commencement of liquidation proceedings. This can occur under Article 635(1.c) “in case of the application by a creditor or the public

⁹⁷³ UNCITRAL (note 950) 209.

⁹⁷⁴ Müge A. McGowan and Dan Andrews (n 972) 8.

prosecutor to open bankruptcy proceedings, at the request of the debtor where he can prove that he has been in state of cessation of payments for less than forty-five days.”

The role of the public prosecutor in insolvency laws is not just as a possible creditor (since the state can also be one of the creditors), but also a representative of society. Since insolvency creates a social problem the presence of a public prosecutor can be justified from that perspective. The need for expedience and the collective nature of the proceedings requires the participation of the public prosecutor to make sure that participants comply with the law throughout the proceedings. Hence, the presence of the public prosecutor can also caution the parties, especially the debtor to be careful since fraudulent bankruptcy is a criminal offence.

The initiation of reorganization proceedings by other persons against the will of the debtor looks questionable. If the debtor is not convinced of the potential for rescuing its business, it is difficult to imagine others to get the conviction, and implement such a rescue plan. Whatever potential the business can have for rescue and revival, ideally it would be more successful if it comes from the debtor itself than outsiders. However, some creditors such as lenders can have information about the debtor’s business, and can show that reorganization is not only possible, but also will save the business and serve creditor interests better than liquidation. However, two situations can be distinguished. One is where the debtor is resisting the opening of reorganization proceedings, and the other is where the debtor has given up on the business. Where creditors apply for opening of reorganization and the debtor is opposed to the application because it believes its business is healthy and doesn’t need intervention creditor-initiated reorganization can have success. However, where the debtor has lost hope in the business or is in favour of liquidation, creditor-initiated reorganization will have less likelihood of success.

Where creditors are allowed to initiate proceedings against the will of the debtor, the laws must balance the interest of the creditors against that of the debtor. For instance, UNCITRAL Legislative guide recommends that creditors must ensure the availability of cash to administer the business, that the value of assets in the debtor's estate will be sufficient and the eventual distribution to creditors will exceed possible distribution from liquidation,

Understandably, this is difficult for creditors because they must examine the debtor's business before making an application. On the other hand, to make such a thorough examination of the debtor's business creditors must be able to obtain information from the debtor that is relevant to that assessment and reliable enough to facilitate the assessment.

It is based on such an understanding that the Commercial Code requires the assignment of an independent expert to investigate debtor's financial situation and report to the Court under Article 591(2). Though such a procedure may help to ensure that proceedings are only commenced in appropriate cases, it may also have a negative effect by discouraging creditors from initiating actions. Therefore, such requirements should be applied with caution so that they do not serve to complicate the application procedure, de-motivating creditors from proposing reorganization and promoting liquidation as an easier alternative or delaying initiation of proceedings and denying the opportunity for maximization of value of the assets and the likelihood of successful reorganization.

Another need for care in such situations is the threat of giving competitors the access to debtor's business secrets. Therefore, "care should also be taken to ensure that the insolvency context is not used by a competitor of the debtor to obtain commercially

sensitive or confidential information or to disrupt the debtor's business by imposing unjustifiable requirements with regard to assessment of its financial position.”⁹⁷⁵

Ethiopian law also adopts this approach of appointing an independent expert in Article 591 of the Code. Up on receiving the application for opening of proceedings, “the court may, at its discretion, appoint an investigator for the purpose of investigating into the affairs and activities of the debtor; ...Unless an extension is given by the court, all information collected by the investigator shall be reported to the court within thirty days” Article 591(2&3). Obviously, there is concern that such an investigation by an independent expert can cause delay.

This may lead one to argue that the requirements be lowered so as to make it easy for creditors. However, “a relaxation of the commencement standard could invite abuse of insolvency proceedings. For example, a debtor that is not in financial difficulty might apply to commence proceedings and submit a reorganization plan that is designed to allow it to shed onerous obligations, such as labour contracts, to allow it to renegotiate its debt or to prevaricate and deprive creditors of prompt payment of debts in full.”⁹⁷⁶ However, circumstances that can give rise to such abuses can be distinguished from those situations in which debtors should be encouraged to apply because, for example, the payment of mature debts leads to financial hardship that could eventually, if not immediately lead to insolvency, even if the debtor has not stopped payment at the time the application was made. In other words, whenever there is a financial basis for the application, the law should allow filing. The question of whether reorganization proceeding is open for abuse is a question of how the elements of the reorganization procedure are designed, including the commencement standard, requirements for preparation of the reorganization plan, debtor control of the business after commencement and sanctions for improper use of the proceedings. Therefore, it is necessary for the law

⁹⁷⁵ UNCITRAL (n 950) 55.

⁹⁷⁶ Ibid 53-54.

to focus on discouraging abuse of the procedure instead of “making commencement more difficult to the potential detriment of all eligible applicants. Improper use by the debtor could be addressed by providing, for example, that the relevant court has the power to deny the application and, in that event, that the debtor should be liable to creditors for their costs associated with resisting the application and for any harm caused by the application.”⁹⁷⁷

However, the requirements for initiating reorganization in the circumstances where the debtor initiates should be more stringent than when creditors initiate because of the relative information imbalance between the two. Therefore, Article 637 provides distinct documentary requirements. In the case of debtor application, Article 637(1) requires the following documents to be supplied to the court:

- a) the last three balance sheets or financial statements of the business organization
- b) a profit and loss account;
- c) a cash flow statement in order to demonstrate that the debtor is able to finance the observation period;
- d) a list of commercial credits and debts to be collected, with the names and address of the creditors and debtors

In addition to these, the Court may ask the debtor to submit any further relevant documents and may ask any third party to provide such documents, in particular banks and public administrations.

When creditors apply for the opening of reorganization, however, the list of required documents is less rigorous. Under sub-article 4, the documents/statements are listed. The petition submitted by creditors shall comprise an affidavit and the following documents:

⁹⁷⁷ Ibid.

- a) an evidence that creditors have a due and payable claim that has not been paid;
- b) evidence showing why the debtor was unable to effect payments;
- c) evidence showing the reasons why the creditor, using ordinary civil procedures could not or was no longer in a position to enforce his claims against the debtor; and
- d) evidence showing that the debtor is in a situation of cessation of payments.

24.3. Organs/Persons/responsible for administering reorganization proceedings

Insolvency proceedings require close follow up by courts than standard civil proceedings. This necessitates the appointment of special officers. Unlike in a PR that requires one restructuring expert to assist the debtor, reorganization brings on board multiple actors. From the court's side, there will be supervisor in reorganization (SIR) and supervisory judge (SJ)-both appointees of the court. The SJ oversees the administration of the proceeding on behalf of the court. Since the emphasis on timeliness and the need for expedience in insolvency law necessitates urgent decision making, insolvency law gives much shorter timelines than standard civil procedure code. This therefore calls for the appointment of the SJ that will decide matters urgently as and when they arise pre-empting the need for court adjournments. More serious issues can still be submitted to the court. On the other hand, the SIR provides more expert support to the debtor and the creditors. The SIR makes day to day follow up of the proceeding, convenes and presides over creditor meeting, prepares the reorganization plan, etc.

Another appointed body in the conduct of reorganization proceedings is controllers- a representative body of the creditors- appointed by the supervisory judge. In addition to these, the debtor, creditors and the public prosecutor also take active role in reorganization proceedings- making the process so complex compared to a PR proceeding. While the debtor, creditors and the public prosecutor can be involved in

reorganization as these can initiate proceedings, the SJ, the SIR and the controllers are appointed following opening of the proceeding. In the following sections we shall see the SJ, the SIR, and the controllers each in brief discussions.

24.3.1. Supervisory judge

The SJ is, as the Commercial Code defines, a member of the court (Article 605). This expression is not clear enough to distinguish whether such a person has to be a judge. Can it include any court employee such as an assistant judge, a registrar? The wording ‘member of the court’ implies a judge. But the strict application of the provision may prove to be impractical given the vagueness of the provision and the shortage of judicial staff. It will also depend of the volume of insolvency cases at a given time which may force courts to appoint officials other than judges. Whatever the designation means, the supervisory judge is appointed by the court.

Powers of the supervisory judge include taking or causing to be taken by the appropriate authorities all steps and measures necessary to preserve the assets; authorizing transactions or agreements which are outside the ordinary course of business; deciding on the continuation or termination of ongoing contracts; authorizing the payment of pre-insolvency claims; deciding on the disputes arising in connection with the constitution of the classes of creditors and so on (Article 606). The supervisory judge also has the power to decide on opposition of creditors regarding the decision of the SIR as regards the termination or continuation of ongoing contracts.⁹⁷⁸

The supervisory judge’s powers are of great significance as its decisions are enforceable immediately. While this doesn’t mean there is no appeal, it shows the importance placed on observance of time. What is more, the decisions of the court

⁹⁷⁸ Commercial Code of Ethiopia, Article 594(2)

appointing the supervisory judge are not appealable. However, the court can replace the supervisory judge at any time whether on its own motion or on the application of creditors.

24.3.2. The supervisor in reorganization

Unlike the SJ, the SIR is an expert chosen from outside the court (Article 610). To this end, Article 612 of the stresses that “the court shall appoint supervisors in reorganization and trustees in bankruptcy from among qualified members of legal, accounting, auditing, finance, management and similar such professions having relevant experience; In appropriate cases, the court may appoint supervisors in reorganization ...from members of other professions where it deems that a particular person has the requisite qualifications to carry out his duties with competence.” This would be the case if the debtor’s business is in specialized sectors such as IT, biomedical, aviation, etc which may require engineers and natural scientists. As a result of its professional nature, a supervisor in reorganization is entitled to a remuneration which is fixed by the Court (Article 616).

Unlike the SJs who are regulated by the judicial code of conduct, supervisors in reorganization are purportedly subject to their special rules of professional ethics. The Commercial Code calls for the enactment of special professionals’ regulation for experts in restructuring, supervisors in reorganization and trustees (Articles 611 and 612). However, there is no mention of the public organ responsible for enacting the regulations. Article 5 of the Commercial Code of Ethiopia Proclamation No. 1243/2021 empowers the Ministry of Trade and Industry to issue directives necessary for implementation of the code. In light of this, it may be this Ministry that is expected to come up with the professional regulations. However, the Commercial Code itself provides some minimum ethical standards for appointment as supervisor in reorganization.

Article 615 (1):

The following persons shall not be appointed as supervisors in reorganization and trustees in bankruptcy:

- a) any person who has been convicted of any offence involving a breach of trust or fraud, whether in Ethiopia or in other country;
- b) any person who has been sentenced to deprive his civil rights;
- c) any shareholder, manager or director of the debtor;
- d) any person related by consanguinity or affinity inclusive of and up to a fourth degree to a shareholder, manager or director of the debtor;
- e) any creditor of the debtor;
- f) any person having or likely to have conflict of interests

As an ongoing ethical requirement, the sub-Article 2 states that “the supervisor in reorganization and the trustee in bankruptcy shall not acquire any asset or property of the debtor through purchase or other means; any acquisition in violation of this provision shall be of no effect; Supervisors in reorganization and trustees in bankruptcy who violate this rule shall be removed.” Therefore, the reference to additional professional regulations is a prospect for the future.

In any case, even though the SIR is a professional appointed from outside the court, the position is that of a public office. To this end, Article 614(1) states that “the powers and responsibilities of supervisors in reorganization and trustees in bankruptcy shall: a) be deemed to be public officials in the exercise of their functions; b) carry out their duties with all necessary care; c) be liable for gross negligence or wilful misconduct, open-mindedly special causes of liabilities set out in this Book or in other regulations.”

Finally, with respect to the powers and responsibilities of the SIR, Article 644 provides an expansive list of prerogatives:

During reorganization proceedings, the supervisor in reorganization shall have the following powers and responsibilities:

- 1) supervise the debtor with respect to the conduct of the ordinary course of business;
- 2) receive information enabling him to know the exact position of the debtor's estate from public authorities, social security institutions, credit institutions and other institutions;
- 3) supervise the debtor in the preparation of the inventory of the estate;
- 4) assist the debtor in the preparation of the reorganization plan;
- 5) constitute classes of creditors, where applicable;
- 6) organize the sale of the business as a going-concern;
- 7) deposit in the name of the estate funds received outside debtor's ordinary course of business;
- 8) recommend to the SJ the admission or rejection of pre-insolvency claims;
- 9) prepare and submit a detailed report on the affairs and conduct of the debtor
- 10) prepare and submit a detailed report on the various reorganization plans;
- 11) preside over the classes of creditors' meetings and the general creditors' meetings;
- 12) request the supervisory judge for the appointment of suitable independent experts;
- 13) file a report with the court within thirty days of the termination of his services, or, at the latest, within thirty days of the termination of the proceedings.

24.3.3. Controllers

The other persons in charge of administering reorganization proceedings are the controllers to be appointed by the SJ. Controllers are representatives of the creditors who cannot exceed five members drawn from all creditor classes, but necessarily from the secured and unsecured creditors. The responsibility of Controllers is

defending the general interest of all creditors and assisting the SIR in the preparation of the reorganization plan.

24.4. The consequence of judgment opening reorganization proceedings

Many consequences flow from reorganization proceedings. We can categorize them into consequences on the debtor and consequences on the creditors. While many consequences follow the opening of reorganization, including the appointment of the above-mentioned experts, the most substantial consequence is the stay of claim enforcement (for the creditors) and declaration opening of reorganization proceeding (publicity of insolvency) on the debtor. The stay of enforcement of claims gives the debtor a breathing space for reorganizing its business with the view to either rehabilitation and/or better satisfaction of creditors' claims by the sale of the business as a going concern. On the other hand, the publicity of the opening of proceedings assures creditors that the assets of the debtor will be protected from proliferation of individual enforcement action for the collective benefit of all creditors.

24.4.1. General stay of enforcement actions

Insolvency proceedings are characterized by some sort of stay. In PR, there is a selective stay. However, the stay in reorganization proceeding is a general stay. Indeed, stay is one of the most defining features of any insolvency law system. Article 654 (1) states that following the opening of reorganization proceedings, all individual enforcement actions by all creditors, including secured *in-rem* by pledges, mortgages or otherwise, preferred and creditors benefiting from a sale contract with ownership reserved, shall, as a matter of law, be automatically stayed, without any need for the debtor or the SIR to request a stay of individual enforcement actions. The function of stay to the success of reorganization is central. Generally, a stay on assets stops creditor actions to collect debts from a debtor. The availability of a stay on assets of the debtor's estate gives opportunity for parties to bargain without the

disruption of enforcement actions, while the nonexistence of a stay can lead to premature liquidations, even when the value of maintaining the firm operational is higher than its liquidation value. Such a state of affairs could “not only result in a higher probability of viable firms being liquidated, but also discourage entrepreneurs from starting a new business and affect the innovation strategy adopted by entrants. On the other hand, if creditors have limited ability to recuperate their loan, this can increase the cost of credit, which can adversely affect entrepreneurship. Hence, safeguards are necessary to ensure that the stay is time-limited and be used strictly to facilitate a restructuring plan.”⁹⁷⁹

In reorganization, even though the stay is said to be general, it is not universal. Thus, in reorganization certain claims may be exempted from the stay. As a matter of law, salary claims of employees of the debtor cannot be stayed. Moreover, the SJ may exclude other claims from the scope of general stays of individual enforcement actions, where: a) the debtor is not in possession of encumbered assets; or b) individual enforcement actions are less likely to jeopardize the restructuring of the business; or c) one or more creditors would be unfairly prejudiced by a general stay of individual enforcement actions (Article 654.4&5). The stay prevents both new actions and collection of claims. Moreover, the obligation to file for the opening of bankruptcy proceedings is suspended; and the due date of pre-insolvency claims may not be accelerated. However, interest accruing on pre-insolvency claims shall continue to accrue at the applicable rate during reorganization proceedings.

Stay is inapplicable in respect to non-monetary proceedings. In particular, criminal proceedings, declaratory actions and proceedings to enforce governmental regulatory powers against the debtor are not to be stayed. Likewise, while the action for collection of tax liabilities is stayed, tax audits and investigations are not. With respect to monetary claims against the debtor, once the claims are submitted to the reorganization proceeding, the court proceedings can resume with the SIR acting as

⁹⁷⁹Müge Adalet McGowan and Dan Andrew (n 972)14.

a defendant, and the proceeding shall be limited to establishing the amount of the pre-insolvency claim.

24.4.2. Publicity of opening of proceedings

For the debtor the most drastic consequence of reorganization proceedings is publicity of the proceeding and the resultant stigma. Unlike PR which is required to be strictly confidential, reorganization is strictly required to be publicised. Article 648 requires that the judgement opening reorganization proceedings be made public through multiple channels. Thus, the judgments rendered for opening and closing of reorganization proceedings shall be publicized by the registrar of the court by means of notices posted at the entrance of the Court and by an extract publication in a newspaper of wide circulation in Ethiopia, and by an entry of the extract in the commercial register (the federal and all regional entries).

Direct information is also to be sent to each of the known creditors. Hence, as per Article 649, the SIR shall “send to all known creditors of the debtor, by registered letter or any other electronic means with a receipt of acknowledgment, a notice containing: 1/ the date of the judgment opening reorganization proceedings; 2/ the names of the supervisory judge and the supervisor in reorganization; 3/ the conditions for submission of pre-insolvency claims.” Furthermore, documentary evidences showing that the mandatory publications have been made and that notice has been given to the creditors shall be inserted by the courts' registrar in the file of the reorganization proceedings (Article 650). The law seems intent on making sure that the opening of reorganization proceeding against the debtor does not escape the public's attention. If this is not the main difference between PR and reorganization, there is none. Because, in both cases the debtor remains in possession of his property, the most defining difference is the publicity vs. secrecy in the two proceedings.

24.5. The status of debtor during reorganization proceedings

If we take reorganization as a middle way between PR and liquidation, the status of the debtor during reorganization is apparently close to that of the debtor in PR. In both cases, the debtor remains in charge of his business- a status known as debtor-in-possession (DIP). This concept of DIP is defined in the UNCITRAL Guide as “a debtor in reorganization proceedings, which retains full control over the business, with the consequence that the court does not appoint an insolvency representative.”⁹⁸⁰

However, in Ethiopian law the debtor maintains DIP status in both PR and reorganization proceedings. Indeed, if we compare DIP in article 624 and DIP in Article 653, their difference is obvious. The DIP in article 653 has much more limited decision-making freedom than the one in Article 623. Most importantly, the rationale behind DIP in PR is that since the debtor initiated the proceedings voluntarily, it cannot lead to dispossession. In other words, if the process is to lead to dispossession, it will be unlikely to be initiated in the first place. On the contrary, the rationale behind DIP in reorganization seems to be the desire to “enhance the chances of a successful reorganization by recognizing the debtor’s familiarity with the business provided it can be relied upon to carry on the business in an honest manner and obtain the trust, confidence and cooperation of creditors.”⁹⁸¹

The restrictions against the DIP in reorganization are many and stricter. Thus, “all agreements or transactions, including, but not limited to, all gratuitous acts and the constitution of guarantees or *in-rem* security interests, which are outside the ordinary course of business of the debtor, shall require the prior authorization of the supervisor in reorganization.” Any breach of these restrictions can result in administrative and penal sanctions. This is evident from sub-article 5 of Article 653 which reads “the supervisor in reorganization shall report to the appropriate law

⁹⁸⁰ UNCITRAL (n 950) 5.

⁹⁸¹ Ibid 165.

enforcement and prosecution authorities any violation of Sub-Article (3) of this Article, as well as any fraudulent act, including intentional omission of creditors.”

The period after opening of reorganization proceedings until the approval of plan is said to be the observation period. During the observation period, apart from carrying on the day-to-day management (as a result of DIP status) the debtor performs many activities; and the SIR and the creditors as well perform various tasks. Thus, during this period, the debtor prepares the reorganization plan, the SIR assists the debtor, or prepares an alternative plan in collaboration with the creditors, or prepares the business for sale a going concern to third parties. Apart from recommending amendments to the plan prepared by the debtor, or propose an alternative plan, the most important role of creditors is approving the plan during this period. While participation in the preparation of the plan is ensured through the controllers, direct creditor participation is limited to voting on the plan.

24.6. Treatment of pre-insolvency contracts, payments and transfers

During reorganization and liquidation proceedings three categories of contracts can be identified: Pre-insolvency contracts, on-going contracts, and post-insolvency contracts. Let us examine each separately.

24.6.1. On-going contracts

Article 593(2) defines ongoing contracts as “contracts, including, but not limited to, essential service contracts and immovable business property leases where the debtor carries on his business, including premises forming part thereof and occupied by himself or his family. Such contracts are made between the debtor and one or more creditors under which, at the moment of the opening of proceedings, at least one party still have to perform an obligation which is specific to the contract. During reorganization proceedings, the fate of the ongoing contract-whether to be maintained or terminated will be determined. The law is ambiguous as to who can terminate. Article 593 provides that the SIR in reorganization or the trustee in

liquidation can terminate an ongoing contract. On the other hand, Article 606(4) says the SJ shall “decide on the continuation or termination of ongoing contracts.” These two provisions are seemingly contradictory. One possibility to resolve this contradiction is to read 606(4) together with Article 594 that deals with opposition by creditors against the SIR’s or trustee’s decision to terminate or keep ongoing contracts. Such opposition is decided by the SJ, implying that the SJ’s power is a sort of appellate power and doesn’t overlap with that of the SIR and the trustee.

In any case, if an ongoing contract is terminated, the creditor joins the other pre-insolvency creditors. However, if it is continued, does it imply that the payment of resultant claims is continued as well? Or are they subject to the general stay? The Code doesn’t answer this question clearly. However, from the sweeping language of Article 654, it is safer to assume that payments of claims under continuing obligations are to be stayed.

24.6.2. Pre-insolvency claims

In respect to pre-insolvency claims at least two sub-categories can be identified; namely, secured and unsecured ones. The position of secured creditors during insolvency proceedings is one of the most controversial topics in insolvency law. Two interests stand in conflict in relation to secured claims. On the one hand, the need to protect financial institutions who are the creditors in most collateralized contracts is based on the belief that the financial sector is the backbone of the economy. On the other hand, the need to ensure the success of insolvency proceeding requires that assets needed for successful restructuring, reorganization or sale of the business as a going concern be not dismembered by foreclosure of the secured creditor. Therefore, secured creditors are subject to stay of enforcement under Ethiopian law.

This can harm the interests of the secured creditors. During the time the stay remains in place, the value of the secured asset may deteriorate making its value inadequate

to satisfy the secured claim. According to UNCITRAL Legislative Guide, “some insolvency laws provide that the insolvency representative should protect secured creditors against any diminution either by providing additional or substitute assets or making periodic cash payments corresponding to the amount of the diminution in value.”⁹⁸² Ethiopian law doesn’t take this path. It tries to moderate the harm on the secured creditor by limiting the period of the stay against secured creditors (See Article 777(3)).

All pre-insolvency contracts other than on-going contracts receive varying degrees of treatment depending on the reliability of the contractual relationship with the debtor. Hence, some contracts are voidable, some are subject to invalidation, and others are merely subjected to the requirement of proving their existence by the creditors (see below the procedure for claim submission and verification).

24.6.3. Claims subject to invalidation

Certain claims paid during the suspect period are required to be invalidated by the SIR. The suspect period (as defined in Article 591(5)) is the period from the date of cessation of payments as fixed by the court in accordance with Sub-Article (1) until the date of the opening of proceedings. The maximum length of the suspect period is 18 months. In respect to invalidation of payments made during this period, the rationale of the law is to undo the preferential transfers or transfers with the intention of concealing assets by the debtor- with the view to bringing these assets back into the estate for the benefit of all creditors.

The Code defines two types of invalidations: mandatory and optional. While in principle, invalidations are initiated by the SIR and decided by the court, in the case of mandatory invalidation the court must invalidate the contract performed during the suspect period if the following conditions are met.

⁹⁸² Ibid 96.

- a) If assets or rights were transferred to other persons through gratuitous assignments, donation, cancellation or waiver of rights;
- b) If assets or rights were transferred to other persons for a price that is manifestly undervalued;
- c) If payments were made for debts that were not due, whether in cash, by assignment, set-off or otherwise;
- d) If payments were made for debts due otherwise than in cash, or by set-off, or by negotiable instrument or by transfer to a bank;
- e) If mortgages, pledges or other *in-rem* security interests were created, over the assets of the debtor, in respect of debts contracted before the creation of such rights in rem.

If these circumstances exist the SIR has to submit application to the court, and the court has to invalidate the transactions. Consequently, all transfers made will be recovered and made part of the estate of the debtor for the benefit of all creditors.

There are however, other transfers which are invalidated at the discretion of the court, i.e., transactions subject to optional invalidation. Discretion of the court will be called upon whether to invalidate or not when the contracts falling outside the list of the above mandatory invalidation category exists, subject to two requirements:

- 1) The creditor knew or should have known that the debtor was already in a situation of cessation of payments; and
- 2) The act was detrimental to the estate or the payment was made in preference to other creditors.

The SIR shall bear the burden of proving knowledge of the creditors about the situation the debtor was in when they contracted with him. Admittedly, this is a tough call for the SIR to make. Therefore, the SIR may decide not to initiate action for invalidation in certain cases where he believes he can't persuade the court. The other creditors, however, may want to invalidation action to be filed. The law tries to balance this conflict.

Article 673(2): Where the supervisor in reorganization decides not to institute legal proceedings: a) a controller or a creditor, acting *ut-singuli* on behalf of the estate, may institute such proceedings after having summoned the supervisor in reorganization to do so and, where such a summon is duly served on, or a negative response is received within one month from the receipt; b) where such action is successful, the expenses engaged by the controller or the creditor for purpose of the proceedings shall be borne by the estate.

Whether filed by the SIR or the creditors, invalidation proceedings are not going to be easy. The alleged transferee is not expected to let go the payments received. The defendant might be a seller who has “just recovered from the financial (and occasionally emotional) pain of non-payment of significant invoices, only to have the wound reopened when the vendor is served with a lawsuit seeking the return of payments that it did, quite legitimately, receive.”⁹⁸³

The decision to invalidate a payment or an act will have a retroactive effect. Where restitution in kind is not possible, the market value of the property will be returned to the benefit of the estate. On the other hand, where the property or right subject to invalidation has been transferred to a third party, the cash equivalent of such property or right is required to be returned to the estate at the prevailing market value at the time of the rendering of the judgment. One important question is what happens to the defendant creditor if the contract is invalidated? Sub Article 4 of Article 677 answers this question. Accordingly, the creditors affected by invalidation may submit their pre-insolvency claims arising from the invalidation provided that such submission is still possible in accordance with the timeline for submission of claims.

24.7. Submission and verification of pre-insolvency claims

The procedure of submission and verification of claims has two objectives. One is to identify the creditors and determine their voting on the reorganization plan, while

⁹⁸³ Robert J. Stearn (n 960) 359.

the other purpose is to determine the eventual distribution of proceeds. The law thus regulates the procedure for submission, and verification of claims, the procedure for contested claims, claims exempted from submission requirement, and timelines.

The first step in the pre-insolvency claim processing procedure is claim submission by creditors. Claim submission or filing means a written application addressed to the SIR by the creditor indicating the amount of the pre-insolvency claim (including the principal and, where applicable, interest) the date on which it became due or will become due, the estimation of the claim (i.e., for contingency claims), the legal basis for the claim, the name, address and bank details of the creditor, any preferential status claimed and the legal basis for such preference. If the claim includes securities any security *in-rem* or sale with ownership reserved claimed in respect of the pre-insolvency claim and assets covered by the *in-rem* security interest being claimed, the date on which the security was granted and, if the security has been registered, the place of registration and registration number. In addition, where it exists, any personal guarantee in respect of the claim, and any set-off claimed shall be submitted. Together with the claims, creditors shall also provide documents supporting their claims and shall receive receipts for proofs produced.

There is a strict timeline within which creditors are required to file their claims with the SIR. The timeline for claim filing is four months from the date of the judgment rendered for the opening of reorganization. This period can be extended by the supervisory judge in exceptional cases. However, the consequence of failure to submit claims within the above timeline will be exclusion from the reorganization proceedings. To this effect, Article 662(5) stresses that “creditors, who fail to submit their pre-insolvency claims and security interests within the time limit set out in Sub-Article (1) of this Article may not participate in the distributions and their claims shall not be assumed by the investor in case of the sale of the business as a going-concern.” However, Article 669 creates a window for late comers to participate.

Therefore, creditors who fail to submit their pre-insolvency claims within the specified period of time under Article 662 shall nevertheless participate in reorganization proceedings, subject to making such submission at the latest within one year from the judgment rendering the opening of proceedings. There appears a contradiction between Article 662(5) and 669 (1). The exclusion of creditors failing to keep the timeline in 662(1) is clear. They will not participate in distributions and will not be considered by the investor who acquires the business as a going concern. What is not so clear is the import of the phrase “shall nevertheless participate in reorganization proceedings” in Article 669. One line of thinking is to interpret 669 as referring to participation other than sharing in the distributions and getting their contracts transferred to the acquirer of the business as a going concern. Such creditors can still have valid claims against the debtor even if the reorganization proceeding is closed.

There are certain creditors exempted from filing their claims, apparently because they can be known from the books and records of the debtor. Creditors that belong to this category include tax authorities, employees, and small claim holders (not exceeding 1000 ETB claims). With the latter two, the rationale seems obvious. These are either known from the records (payroll in case of employees), or are too small and undocumented in the case of small claims such as daily labourers, errand runners, etc. These are too small to be bothered by for the SIR. The exemption of tax claims can be questioned from fairness point of view. However, broader national interest justifies the special treatment of these claims. It is stated that the SIR shall verify and admit such claims by reviewing the debtor’s financial statements, pay roll and other relevant documents. However, where the SIR is unable to verify the claims from the existing records, he may require the creditors to submit evidence supporting their claims.

The next step after submission is verification and admission of the claims. Claim verification entails cross-checking the evidences submitted by the creditors against

the records of the debtor. Accordingly, where the SIR confirms the accuracy of the claims submitted, the claim will be admitted. The admission will be partial or total depending on how much the SIR was able to verify. Creditors whose claims are rejected can contest the rejection which will be decided by the court. Sometimes the contestation will be about only the security claimed by the creditor whereupon the court will decide whether the security right was lawfully established. Should the security right be rejected, the creditor will be admitted as an unsecured creditor.

After the conclusion of the verification process the SIR shall deposit with the court's registrar the inventory of verified and admitted pre-insolvency claims showing the claims admitted and those rejected; he shall also send to the supervisory judge a list of creditors claiming special preferences over assets of the bankrupt debtor. Eventually, this will be the basis on which creditor votes and distribution of payments will be determined.

24.8. The reorganization plan and its approval

We have seen at the beginning of this chapter that, the main purpose of reorganization is to maximize the possible eventual return to creditors, providing a better result than if the debtor were to be liquidated and to preserve viable businesses as a means of preserving jobs for employees and trade for suppliers. Therefore, with different creditors involved in reorganization proceedings, “each may have different views of how the various objectives can best be achieved. Some creditors, such as major customers or suppliers, may prefer continued business with the debtor to speedy repayment of their debt. Some creditors may favour taking an equity stake in the business, while others will not. This difference in preferences of creditors can give rise to the opportunity to innovate solutions in the reorganization plan. If all creditors want to be paid in cash it can be much more difficult for the debtor to manoeuvre.

In this context, the reorganization plan is prepared by the debtor with the assistance of the SIR. Like in PR, creditors have the right to seek amendment of the plan, or to suggest an alternative plan. This is not the only similarity. In terms of content also PR plan and reorganization plan are pretty similar. The only exception is the absence of sale of assets or business units in PR proceedings. This is so because the primary objective of PR is saving the business which makes sale of assets or business units out of the equation in PR. Furthermore, reorganization plan is required to outline the criteria used to categorize creditors into different classes. Such an exercise is not however needed in PR because at any rate all creditors have to support the plan by unanimous consent.

Therefore, unlike in PR all creditors don't necessarily come together in one class. The law on reorganization requires that the creditors be constituted in distinct classes depending on the nature of their claims. At the minimum there should be secured and unsecured creditor classes. But the Code provides illustrative examples of the types of classes of creditors. Thus, employees, creditors secured by personal surety and insurance constitute two separate classes. Although shareholders are not creditors *per se*, they shall constitute a separate class of their own for the purpose of reorganization proceedings. The requirement of constituting creditors in separate classes may be dispensed with in the case of small & medium enterprises (SMEs) where supervisory judge allows (for more discussion on SME insolvency, see chapter four below).

While voting on the proposal takes place by each class separately, creditors' vote is weighted by the amount of their principal claim excluding interest. Creditors whose claims are provisionally admitted can vote as per the admitted amount notwithstanding that participation in voting doesn't amount to final admission of their claim. Article 683 provides rather regressive majority requirements for adoption of the plan. First, ideally, a reorganization plan has to be approved by two-thirds majority vote in each of the classes. If the acceptance of two-third majority of

creditors in each class is not obtained, the plan will still be deemed accepted if the debtor and majority of the classes of creditors approve it. This means, for example, if there are five classes, the approval of the plan in three of the classes is enough. Finally, if this reduced majority requirement is not met, “the plan shall be deemed accepted where at least one of the classes of creditors, other than an equity-holders class or any other class which, upon a valuation of the debtor in a liquidation scenario, would not receive any payment or keep any interest, votes in favour of the plan.” (Article 683(4)) In the case of SMEs where class of creditors is not constituted, the reorganization plan can be accepted where creditors representing at least two thirds of the claims of the general creditors' meeting have voted in favour of the plan.

A reorganization plan adopted by the creditors’ meeting needs to be approved by the court before implementation. The court under Article 685 examines the plan in light of the interest of the creditors, the debtor and the debtor’s shareholders (if any). The most important guiding principle for the court is the protection of best interest of the creditors. A plan that doesn’t protect the best interest of creditors cannot be approved by the court. Article 678(5) defines the concept of best interest of creditors’ test:

Article 678(5): The reorganization plan shall at all times comply with the “best-interest-of-creditors’ test”, whereby no dissenting creditor would be worse off under the reorganization plan than he would be if the ranking of priorities in bankruptcy proceedings was applied.

In addition to the best interest of creditors, the court also has to examine the plan in light of its proper voting, probability of preventing liquidation of the debtor, the fate of the debtor’s shareholders, i.e., no shareholder would be worse off under the reorganization plan than such shareholder would be in case of bankruptcy proceedings. The court also examines the plan in light of protection of the interests of secured creditors and creditors in the framework of new financing, fairness to

dissenting creditors subject to cram-down, parity between creditors with same class, etc.

A plan confirmed by the court has to be implemented under the SIR's supervision. However, a plan can be set aside despite approval by the court. A plan confirmed by the court can only be amended by the debtor and the unanimous consent of all affected creditors. Such an amendment shall be valid and binding between the parties without being subject to any confirmation by the Court. Where the debtor fails to carry out the terms of the reorganization plan, the supervisor, a creditor, a controller or the public prosecutor may file an application to the court to terminate the reorganization plan and open bankruptcy proceedings.

24.9. Sale of business as a going concern

The sale of business as a going concern is the sale or transfer of a business in whole or substantial part, as opposed to the sale of separate assets of the business. The term is used to distinguish sale of piecemeal assets such as equipment, machinery, furniture, vehicles etc. It is generally assumed that sale of the business as a going concern yields better value than the sale of separate assets. Therefore, while reorganization as a double purposed procedure can ensure the fair payment to creditors at the same time ensuring survival of the business, sale of the business as a going concern saves the business not the debtor. Thus, the business may continue to thrive with its employees and creditors with a different owner.

The person responsible to prepare the business for sale to third parties is the SIR. Indeed, the law permits the debtor, the board members and the shareholders to make offers for takeover of the business (Article 689(2)). However, for the debtor there is no legal possibility to bid for its own business. Sale of business as a going concern can be through open bid or a private confidential arrangement. The confidentiality is needed in order to protect the sale from the public's eyes. Where offer to purchase the business as a going concern is made, creditors will be required to vote in a

general meeting. Once it is accepted by the creditors' meeting, the SIR has to present it to the court for approval. An approved sale by the court will have to fulfil legal formalities such as resolutions of shareholders, competition authority clearance, document authentication, entry in the commercial register and so on.

Many questions abound reorganization proceeding. One such question is the fate of creditors who were not transferred to the buyer up on completion of sale of business as a going concern? Apparently, they will remain creditors of the debtor, and the latter will not be discharged until they are paid. Remember that there is no discharge in reorganization. Is such an outcome fair? Should these creditors be forced to relinquish their claims on the assets transferred to the buyer in exchange for nothing?

24.10. Closure and/or conversion of reorganization proceedings into bankruptcy

The adoption of the reorganization plan and its approval by the court doesn't bring completion of proceedings. After approval by the court, the reorganization plan has to be implemented by the debtor under the supervision of the SIR. Proper implementation of the plan and payment of creditors as per the plan results in conclusion and closure of the proceedings. There is no provision in the code dealing with formal court order for closure and discharge of the SIR. However, this is to be implied. The Commercial code deals with the reverse scenario. Therefore, where the reorganization plan is not fully implemented, i.e., "where there is a substantial breach of the plan by the debtor or the plan cannot be implemented, the court may convert the proceedings to liquidation in order to avoid the debtor being left in an insolvent state with its financial situation unresolved." In such cases, liquidation/bankruptcy proceeding will commence.

Conversion to bankruptcy will also result from setting aside of the court approved reorganization plan at the application of one or more creditors. Article 696 states that "after the confirmation of the sale of the business as a going-concern or where

the reorganization plan has been rejected, the court shall convert the reorganization proceedings into bankruptcy proceedings.” Why are the reorganization proceedings converted into bankruptcy after confirmation of sale of business as a going concern is not clear? However, it seems that there can be assets and creditors not included in the sale of business as a going concern. With respect to these the proceedings has to change into liquidation. Because after sale of business as a going concern, reorganization cannot be considered, the only feasible venue is the bankruptcy venue.

24.11. Summary

Reorganization is mid-way procedure between PR and liquidation. The aim of reorganization proceeding is two pronged: i.e., ensuring a timely, efficient and effective restructuring of the debts as well as operations of the debtor in a reorganization plan with the view to both saving the business and paying creditors. If the reorganization plan cannot be approved by qualified majority of the creditors or if the one approved is not confirmed by the court, the two-pronged objective changes into one unified objective of realizing the sale of debtor’s business as a going-concern to the benefit of its creditors.

Unlike PR reorganization is not voluntary. This is manifested in many of its procedures. It can be initiated by the debtor as well as by the creditors. The reorganization plan can be adopted by qualified majority of creditors implying that a plan for reduction of creditor claims or postponement of payment can be implemented despite the lack of consent from some of the creditors. There are a number of compulsory activities, timelines, etc that need to be observed. There are timelines for submission and verification of creditors’ claims non-observance of these can lead to loss of claims.

Reorganization also involves close court supervision. Following the pronouncement of opening of proceedings, a supervisory judge and supervisor in reorganization

shall be appointed to administer the proceeding. Though reorganization doesn't result in dispossession of the debtor, it has severe consequences for both debtor and creditors. On the debtor's side, publicity of the reorganization proceeding can give rise to serious economic consequences such as loss of goodwill. For creditors, reorganization results in moratorium on claim enforcement.

The most important aspect of reorganization is however the plan. Like in PR the resolution of financial crisis in reorganization involves contractual negotiation between the debtor on the one hand and creditors on the other as well as among creditors inter se. A plan so adopted has to finally be approved by the court for it

24.12. Review questions

1. Do you think that the law treats dissenting creditors fairly when a reorganization plan is approved by a qualified majority vote? Why should dissenting creditors be forced to accept a plan they do not approve of?
2. reorganization results in general stay of individual enforcement of claims. One category of creditors is financial institutions that may have mortgage rights over the property of the debtor. To what extent does the stay apply against secured creditors?
3. Discuss the fate of creditors that fail to submit their claims within the timeline provided by the law. Should these creditors waive their rights by the mere fact of delay in submitting claims?
4. Explain the difference between reorganization and PR proceedings in terms of preparation and adoption of plan
5. Discuss the concept of best interest of creditors and its importance
6. Explain the fate of contracts made during the suspect period. Do all contracts made during this period need to be avoided?

CHAPTER TWENTY-FIVE: BANKRUPTCY (LIQUIDATION) PROCEEDING

After completing this chapter, students are expected to:

- Explain the objectives of bankruptcy law
- List the persons responsible for administering bankruptcy proceedings and explain their respective roles and responsibilities
- Describe the personal and proprietary consequences of bankruptcy on sole proprietor debtors
- Explain the bankrupt estate illustrating what is included and not included in it
- Explain the priority ranking among creditors in the context of winding up

25.1. The definition of bankruptcy proceeding

In insolvency law, liquidation at the minimum involves the process of collecting, selling and turning into distributable cash the assets of the debtor with eventual distribution to the creditors. Article 588(4) provides the objectives of liquidation (bankruptcy) proceedings:

The objective of bankruptcy proceedings is to timely, efficiently and effectively organize the liquidation of the debtor's business, whether by piecemeal liquidation or by a sale of business as a going-concern, in order to maximize the value of the assets available for recovery by creditors, to ensure for honest debtors a fresh start after a full discharge of their debts and to provide for sanctions against debtors and their management as well as creditors that are responsible for its bankruptcy.

However, liquidation proceeding is more than just collecting and selling debtors assets for the satisfaction of creditors' claims. It can involve sale of the business as

a going concern, and the eventual discharge of the debtor from all his pre-insolvency debts. These additional objectives are however conditional. Sale of business as a going concern may be sometimes a feasible, but not possible in every liquidation scenario. At times, it may simply be too late for the business to be transferred to another owner. Likewise, discharge of the debtor is conditional on the debtor's behaviour. First, discharge is available for natural person debtors, and its availability depends on whether the debtor was honest in surrendering all his property, has no criminal conviction related to his business, was cooperative in the bankruptcy proceedings, and so on.

25.2. Initiation of bankruptcy (liquidation) proceedings

The requirements for the initiation of liquidation proceedings are different in degree to the requirements for initiating PR and reorganization proceedings. While in the latter two cases, proceedings can be initiated even if the debtor hasn't ceased payments (it is enough if cessation of payments is a likely future possibility) in liquidation the debtor must have stopped payments. Thus, the financial problems of the debtor are more severe for liquidation proceedings to be initiated. Article 705 (2) is an important provision in this respect. It states that the "debtor who has been in cessation of payments shall at the latest within forty-five days apply to court for the opening of bankruptcy proceedings unless the debtor has already applied for the opening of reorganization proceedings in accordance with TITLE III of this Book."

The other importance of this provision is that it establishes a link with the other two procedures. One of the grounds for initiation of liquidation proceedings is indeed the failure of PR and/or reorganization proceedings. Thus, as much as one can initiate liquidation proceedings out rightly, an already pending PR or reorganization can be escalated to liquidation where it fails to achieve its objectives. The resolution of a debtor's financial distress can, thus, start with PR, and go to reorganization and eventually to liquidation if the reorganization fails.

Therefore, the question of who initiates liquidation proceedings depends on how it is started. When liquidation starts outright, the debtor, creditors, the public prosecutor, a liquidator, and even heirs of the deceased debtor can initiate the proceeding. A liquidator appointed to liquidate the debtor's business under company law provisions can initiate bankruptcy proceeding when, at the time of liquidation, circumstances show that bankruptcy proceeding is the appropriate procedure. Likewise, the heir of a deceased debtor may apply for bankruptcy in order to prevent the assets of the succession from being mixed with his own property. On the other hand, when a pending PR or reorganization is converted by the court, the initiator can be either the court itself or the public prosecutor or even the creditors.

25.3. The procedures and requirements for entering bankruptcy judgment

One of the many aspects that distinguish bankruptcy from reorganization and PR is that it can be initiated after termination of business, or even death of the debtor. Article 708 deals with bankruptcy after cessation of business, and Article 709 about bankruptcy after death of a trader. Naturally, after death of the individual trader or cessation of business by a business organization, restructuring or reorganization cannot be made. Bankruptcy can be, however, still applicable since it can help in an orderly liquidation, winding up and distribution of the estate's assets among creditors.

Upon submission of an application for opening of bankruptcy proceedings the court will not pronounce its judgement solely on the basis of the application. The Court shall verify whether the debtor is in cessation of payments and fix the date of cessation of payments (Article 591). For the purpose of determining the true state of the debtor, the court may even appoint an independent expert to examine and report the true state of the debtor. Once the court is satisfied that opening of bankruptcy is necessary, it shall enter a judgement in which it shall declare the debtor bankrupt; appoint the SJ; appoint the trustee in bankruptcy; and fix the date of cessation of payments, where the date has not been fixed in the context of reorganization

proceedings. After declaration, the manner of notifying the judgement is similar to that of reorganization proceedings.

Whether or not the court accepts the application for opening of bankruptcy proceedings, the debtor and creditors may oppose its decision. The Commercial Code provides recourse mechanisms against declaration of bankruptcy or a court decision rejecting the application. Hence, under Article 711 (1) and (2) the debtor and the public prosecutor may appeal against the judgment opening bankruptcy proceedings within ten days from the date on which such judgment was handed down. On the other hand, a creditor and the public prosecutor may file an appeal against the judgment rejecting the opening of bankruptcy proceedings. The Commercial Code exempts certain decisions of the court from appeal. These include decisions concerning the appointment or replacement or removal of the supervisory judge or the trustee in bankruptcy; decisions made on requests for discharge and requests for assistance to the debtor and his family; decisions authorizing the sale of property and goods forming part of the estate's assets; decision on any application to set aside orders filed by the trustee in bankruptcy within the scope of his powers; and decisions regarding the continuation of the business. The rationale for exclusion of appeal in these cases is to expedite the proceedings without the interference of litigation on insignificant issues.

An alternative avenue to appeal is setting aside application. In terms of timeline the same ten days' time limit applies for such an application-a time limit within which the applicant has to lodge appeal or annulment application. In the case of setting aside, the person that initiated the proceedings cannot apply. One important question is what the grounds for setting aside application are, and how are these different from the grounds for appeal? While appeal leads to decisions that can confirm, reverse or vary the decision of the lower court, tribunal or decision maker, setting aside has the effect of cancelling only the decision. Article 714 is indicative of the nature of setting aside:

Article 714. Setting aside of Bankruptcy Judgment

- 1/A Judgment shall be set aside where, between the pronouncement of the judgment and the date of the order given in respect of an application to set aside or an appeal, the bankrupt has restored his affairs by repaying his creditors or the court has opened reorganization in lieu of bankruptcy proceedings.
- 2/ The effect of acts taken by persons responsible for conducting bankruptcy proceedings shall not be affected.

Admittedly, where the bankrupt has somehow managed to pay all his creditors there is no need to continue with the proceeding. The only logical consequence is to revoke the earlier decision. Likewise, where reorganization is opened the decision entering bankruptcy will have to be revoked. Decisions that have already been taken by the trustee or SJ cannot be undone. But the notices made can be corrected, and the debtor should be allowed to resume the business.

25.4. Persons responsible for conduct of bankruptcy proceedings

In respect to the persons responsible for administering bankruptcy proceeding, there is some parallelism with reorganization proceedings. In both cases there is the SJ; however, the SIR in reorganization is replaced by the trustee- a central official in bankruptcy proceeding. The controllers in reorganization change their name into creditors' committee in bankruptcy and exercises significant powers in bankruptcy proceeding as opposed to the merely advisory role in reorganization proceedings. Below we shall see the powers and responsibilities of each of them in detail.

The SJ: - where reorganization is converted into bankruptcy, the SJ appointed during reorganization continues his/her role. However, when debtor goes into bankruptcy outright, the court appoints the SJ as new. This indicates the office of the SJ is the same in both reorganization and liquidation proceedings; i.e., it is to

provide overall supervision to the reorganization or liquidation proceedings as the case may be.

The SJ's powers in the context of liquidation proceedings are listed in Article 717. These include: the powers to: a) refer to court any claims which fall within the jurisdiction of the court b) take or cause to be taken by appropriate authorities all steps and measures necessary to preserve the assets of the estate; c) call the creditors' committee as required by law or where he considers it to be necessary; d) authorize, where it is in the interests of the estate, the trustee to appoint assistants, unless such appointment is reserved to the trustee by law; and e) authorize the trustee in writing to enter appearances in civil proceedings.

These powers of the SJ are in addition to the general power provided in Article 606. It is always important to remember that the SJ represents the court. The supervisory judge is required to expedite the process by close involvement of the court. That is the reason for the assurance provided in Article 717 sub-article 2, that the orders of the SJ shall be treated as judicial orders.

The trustee: - since liquidation proceedings focus on the sale of debtor's assets and distributions of the proceeds among the creditors, the trustee is the central figure in bankruptcy. This is because the debtor's assets generally are liquidated by the trustee in bankruptcy while the net proceeds, if any, are distributed to the holders of claims by him.⁹⁸⁴ As explained above, the trustee is the SIR's opposite number in bankruptcy. Therefore, where reorganization is converted into liquidation, the court may appoint the SIR as the trustee. The similarity between trustee and SIR is also evident from the qualification requirements for both positions. While the decision appointing the trustee is not subject to appeal or setting aside, the trustee can be

⁹⁸⁴Charles W. Mooney, 'A Normative Theory of Bankruptcy Law: Bankruptcy As (Is) Civil Procedure', 61 Wash. & Lee L. Rev. 931, (2004) 982
<<https://scholarlycommons.law.wlu.edu/wlulr/vol61/iss3/2>.>

removed or replaced by the court at its own discretion or up on the application of creditors, or the public prosecutor.

In relation to the powers and responsibilities of the trustee Article 720 is the most relevant provision.

Article 720. Powers and Duties of the Trustee in Bankruptcy

The trustee in bankruptcy shall have the following powers and duties:

- a) be responsible for the administration of the bankrupt estate under the supervision of the supervisory judge b) receive information enabling him to know the exact position of the debtor's estate from public authorities, social security institutions, credit institutions and other institutions; c) prepare, with the assistance of the debtor, the inventory of the estate;*
- d) recommend to the supervisory judge the admission or rejection of pre-insolvency claims; e) deposit, without delay, in a bank account opened in the name of the estate any fund received, less the amounts determined by the supervisory judge in bankruptcy proceedings to meet legal costs and management expenses; f) file a report with the court within thirty days after the termination of his services, or, at the latest, within thirty days after the termination of the proceedings.*

However significant the trustee's powers are, it is not an unfettered power. To this effect, Article 721 states that "the bankrupt or any other interested party may file an opposition to any act of the trustee in bankruptcy in respect of the bankrupt estate to the supervisory judge in bankruptcy proceedings; The supervisory judge shall decide on the objection within three days." The trustee is controlled and supervised on two sides: by the supervisory judge and the creditors' committee.

Creditors committee: -UNCITRAL's Legislative guide defines creditors' committee as "representative body of creditors appointed in accordance with the

insolvency law, having consultative and other powers as specified in the insolvency law.” In reorganization proceedings the creditors’ committee is named as controllers, and exercises more of an advisory responsibility. In bankruptcy, not only its name but also its functions are different. The creditors’ committee is constituted by the supervisory judge from creditors with the bigger claims. However, their appointment has to be approved by the court.

In contrast to the controllers in reorganization whose role is limited to advisory function, the creditors committee in bankruptcy has both advisory as well as supervisory power over the proceedings. According to Article 723(3) the advisory role of the creditors committee includes consulting the trustee during the verification of the accounts; the statement of affairs prepared by the debtor; and during legal proceedings.

Moreover, creditors' committee has the power to supervise the trustee in bankruptcy including by requiring report on the state of the bankruptcy proceedings and on the position of receipts and payments. Where creditors, representing a majority of the total amount of pre-insolvency claims want the trustee to be replaced the creditors' committee may make an application to the court to replace the trustee in bankruptcy.

Public prosecutor: - The role of the public prosecutor in bankruptcy proceedings is more magnified compared to its role in other proceedings. The reason for this is that as liquidation is the last stage of insolvency proceedings, things often get worse by the time it is initiated often involving the commission of crimes. Remember also that reorganization proceedings are to be converted into liquidation if the debtor is involved in any fraud. Thus, bankruptcy has some notional proximity with criminal law. This requires close working relationship with the other officials in charge of administering the proceeding such as the supervisory judge. Article 724 thus provides, “the public prosecutor shall have the power to require the supervisory judge to transmit any deeds, books, documents related to the conduct of bankruptcy proceedings.” The prosecutor should also relay relevant information to the

supervisory judge. Hence, the public prosecutor shall have the duty to inform the supervisory judge, upon request or on his own motion, of all information relevant to bankruptcy proceedings, including any information regarding criminal proceedings involving the debtor, notwithstanding the confidentiality of investigations (Article 724(2)).

The public prosecutor can help the trustee as well. Where the debtor fails to appear, either in person or by his attorney, the trustee in bankruptcy shall inform the public prosecutor who shall take the necessary steps to secure debtor's attendance. In this context, the public prosecutor's roles are provided in Articles 728, 740, 800 and so on.

25.5. The effect of bankruptcy on the debtor and creditors

The effect of bankruptcy on debtor and creditors is drastic. While on the debtor the effect is dispossession of the business, as regards the creditors its effect is a more drastic stay- more drastic in the sense that there is no exception unlike the situation in reorganization.

25.5.1. The Effect as Regards the Debtor

As regards the debtor the main effect of bankruptcy is dispossession of his/her business. Article 725 categorically provides that declaration of bankruptcy will lead to dispossession. "The judgment opening bankruptcy proceedings shall automatically entail divestment of the debtor with respect to all of his assets." But it is not just the power to manage the business. The debtor also loses some of his personal rights. Hence, sub-article 2 reads: "Upon the judgment opening bankruptcy proceedings, the capacity to sue or to be sued shall only be vested in the trustee in bankruptcy. The Court may authorize the debtor to intervene in any proceedings upon the latter's request." The element of dispossession is different for individual and corporate debtors. In the case of corporate debtors, dispossession means removal of the management including the board of directors, whereas, in the case of

individual debtors, dispossession entails not only removal from management of business, but also dispossession of all proprietary and some personal rights.

Article 755 provides the dispossession that applies to both corporate and individual debtors. Following declaration of bankruptcy, the debtor shall deliver to the trustee in bankruptcy a list of customers and clients and other related documents, including a list of names and addresses, rights and obligations of contracting parties not supported by contract documents, with a view to facilitate the decision for the continuation of the business.

For sole proprietor debtors, dispossession may leave the debtor and his family without support for their basic needs. Therefore, Articles 757 and 758 provide mechanisms for the support of the debtor. Thus, under Article 757, the debtor may be employed by the trustee in bankruptcy to facilitate bankruptcy proceedings upon authorization by the supervisory judge. In addition, as per Article 758, the supervisory judge may, when requested to do so by the trustee in bankruptcy, authorize part of the estate to be applied in supporting the debtor and his family where the debtor does not have income to support himself and his family other than the estate.

Indeed, the harsh realities of bankruptcy may leave the innocent family of the debtor without basic maintenance. Thus, the Code, besides the above provisions, stipulates that certain household items to be excluded from the bankrupt's estate. Article 731(1) thus provides as follows: "The court may ... dispense him (the trustee) with affixing, or authorize him to remove seals on ...such basic personal movable property and chattels needed by the debtor and his family as have been set out in a list." Clearly, the exclusion is made based on the list prepared by the trustee. This is not an absolute discretion however, and the trustee should exercise some reasonable judgement. UNCITRAL Legislative Guide advises that "in identifying such exclusions, consideration might need to be given to applicable human rights

obligations, including international treaty obligations, which are intended to protect the debtor and relevant family members.”⁹⁸⁵

With respect to the individual debtor, there are even more harsh consequences. Under Article 756, the debtor may be restricted from leaving the area in which he resides without the permission of the supervisory judge under the sanction of the relevant provisions of the Criminal Code of Ethiopia. Where there are adequate reasons showing that the debtor may leave the country or change the area where he resides, the supervisory judge may apply to the Court to put restriction on the debtor from leaving his residence or the seat of his principal business. What is more in terms of personal consequences is the denial of privacy. Article 733 allows the trustee to open and examine all correspondences addressed to the debtor. Although all personal correspondence shall be returned to the debtor after verification by the trustee, unrestricted access by the trustee is a bitter reality for the bankrupt debtor.

25.5.2. Effect as regards the creditors

The most important consequence of liquidation proceeding is the automatic stay. The automatic stay plays a "core role" in bankruptcy, and is "an integral structural component of a bankruptcy case. It stays a host of acts that would disrupt an orderly bankruptcy process, such as the commencement or continuation of judicial or other actions or proceedings, enforcement of judgments against the debtor or the debtor's property, acts to "obtain possession of property of the estate, and the creation, perfection, or enforcement of security interests on property of the estate.”⁹⁸⁶

In liquidation preceding the purpose of the automatic stay is to restrain both the creditors and debtor as the latter is dispossessed of the management of his business. It can thus be said that, the automatic stay protects both the debtor and creditors by preserving the status quo. It supplements and complements the rationale for a special

⁹⁸⁵ UNCITRAL (n 950)80.

⁹⁸⁶ Charles W. Mooney (n 984)1027.

wealth preservation (or enhancing) bankruptcy proceeding. It links property of the estate, claims against the debtor, and the baseline rule of pro rata sharing. In general, the automatic stay permits an orderly and properly structured bankruptcy process to work for the benefit of the debtor and rights-holders and meets the procedural, collective maximization, and supplemental tests.⁹⁸⁷

Like the general stay of individual enforcement action in reorganization proceedings, the stay in liquidation is also immediate. But the consequences are slightly different in liquidation. For instance, guarantors can invoke the stay as a defence in reorganization (Article 654(2)); this is prohibited in liquidation-Article 761(2). Secondly, with the exception of claims secured by mortgage, the interest on claims of creditors in bankruptcy shall cease to run as of the date of the judgment opening bankruptcy proceedings. Such is not the case in reorganization. Interest accruing on pre-insolvency claims shall continue to accrue at the applicable rate during reorganization (Article 655(3)) Likewise; bankruptcy requires that up on declaration of bankruptcy, all pre-insolvency claims shall become immediately due and payable. However, in reorganization the due date of pre-insolvency claims may not be accelerated (Article 655(2)).

25.6. The bankrupt estate

25.6.1. What constitutes the bankrupt estate?

The bankrupt's estate comprises all assets of the debtor with exception of certain exclusions made or permitted by law. In the wording of Article 729, the bankrupt estate shall include: a) all assets and rights, including usufruct, owned by the debtor; and b) civil liability claims against third parties. There are exclusions from the bankrupt estate. These exclusions are provided in different parts of Title IV. For example, Article 725(4) excludes compensation the debtor receives in criminal

⁹⁸⁷ Ibid.

proceedings as falling outside the estate because it is strictly a personal entitlement. On the other hand, basic personal movable property and chattels needed by the debtor and his family may be excluded from the estate at the request of the trustee and approval of the court. This is however for a sole proprietor (individual) debtor.

Other exclusions are provided under Article 751 and 752. Article 751 deals with goods and assets subject to recovery by the owner where such goods and assets are in the possession of the debtor without their price being paid. These include negotiable instruments, goods in deposit or handed over to the debtor, goods delivered under ownership reserved clause, and goods in transit delivered to the debtor's warehouse or to that of an agent entrusted with their sale on the debtor's behalf. A good example of goods subject to recovery is goods which are delivered to the debtor on consignment sale arrangement. The vendor of such goods pays the price of the goods to the owner only if he succeeds in selling the goods to his own customers at a margin. If the goods are not sold, they will be returned to the owner who may be the manufacturer or the wholesaler. The principle of recovery implies that when the debtor is declared bankrupt the manufacturer or the wholesaler who had consigned the goods can recover them from the estate-so that such goods do not make part of the bankrupt estate.

Another exclusion from the bankrupt estate pertains to withholding taxes and duties collected by the debtor on behalf of the state. While direct taxes such as profit tax due from the debtor cannot be claimed, indirect taxes can be claimed. Thus, Article 752 (1) authorizes the tax authorities to collect taxes which the bankrupt debtor holds on behalf of the government. To this extent, the indirect taxes collected and held on behalf of the state (i.e., VAT or TOT and withholding taxes) do not make part of the bankrupt estate. However, such amounts do not include interest and penalties which the bankrupt debtor may have to pay under the relevant tax laws. Hence, the interest and penalties are considered as pre-insolvency claims and shall be submitted as such in bankruptcy proceedings.

The applicability of Article 752 is not conditional upon the existence of liquid cash. As far as the accounts and records submitted by the debtor under Article 738 indicate the debtor's indebtedness for indirect taxes and withholding liabilities, the tax authorities can submit request for recovery under Article 753.

25.6.2. Protection and preservation of the bankrupt estate

We have seen above that the consequence of declaration of bankruptcy is dispossession of the debtor and/or removal of the debtor from management of the business. The main purpose of the divestment of the debtor is ensuring the conservation of the estate not only from the actions of creditors, but also from the debtor. Therefore, the Code provides both short term measures as well as lasting measures about the administration of the estate of the debtor. While ultimately, after commencement of the liquidation proceedings, any transaction involving assets of the estate, including transfer of those assets generally will be under the trustee, some immediate actions are also provided under the law.

Measures to protect and preserve the bankrupt estate need to be taken as soon as the declaration of bankruptcy is pronounced. Even though the main responsibility falls on the trustee to protect, preserve and administer the estate, in real terms it may take time until the trustee takes over from the debtor. Therefore, for the short duration from the date of declaration up until the trustee takes over the debtor's business, the law has no one to entrust with the conservatory measures. The legislator seems to have taken this in mind when entrusting the debtor to take conservatory measures. Article 726-1 thus provides, "the debtor may take conservatory acts and day to day management duties as practiced in its line of business until the trustee in bankruptcy takes over." Article 726 (2) states that the debtor will remain in control only for three days. After three days the debtor has to handover all the property, books, assets, etc, to the trustee.

Upon taking over, the trustee's first responsibility will be to take inventory of the debtor's business, its assets, books and records. The debtor must be present in person or represented by an attorney when the inventory is taken. If debtor refuses to be present, he will be forced to attend through the public prosecutor. The trustee shall also take all measures necessary to protect the rights of the debtor by, among other things, registering mortgages, security interests, and so on. The handing over of the debtor's asset and business to the trustee cannot be completed without completion of inventory taking.

After taking over the estate from the debtor, the next conservatory measure entails affixing of seals on stores, pay counters, tills, books, documents, papers and as may be appropriate on furniture and chattels belonging to the debtor subject to the instruction of the court. While seals will be an important measure of protection, property necessary for the continued operation of the business or undertaking, where such continuation of operations has been authorized will not be sealed (Article 731.1.b). Moreover, the trustee and the SJ may remove from under seal short term bills or bills to be presented for acceptance or in respect of which conservatory steps are required, list them and hand them to the trustee in bankruptcy for purposes of collection or otherwise (Article 732(2)).

25.6.3. The administration of the bankrupt estate

Administration of the bankrupt estate includes all actions involving the collection, preservation and management of the estate. Instituting legal action against third parties on behalf of the estate, defending actions filed against the estate, sale of the assets of the estate, continuation of business where there is authorization for doing so are all aspects of administering the bankrupt estate. Article 742 provides an illustration of administrative acts:

Article 742. General Duties of the Trustee in Bankruptcy

- 1. The trustee in bankruptcy shall, with the permission of the supervisory judge, sell all depreciable or perishable goods or property the preservation of which is costly; the supervisory judge shall fix the conditions and procedures for such sale.*
- 2. The trustee in bankruptcy shall collect receivables and deposit forthwith the proceeds in the bank account of the estate after deduction of costs and expenses authorized by the supervisory judge.*

In the case of a corporate debtor, the trustee's administrative power extends to making calls on the shareholders with unpaid subscriptions. Such calls can be made on the shareholders even if the due date for payment has not arrived under Article 289. Under company law, failure to meet calls on shares doesn't lead to legal action for collection. The company can sell the unpaid shares on the market by auction, or if the sale cannot be realized, the paid-up subscription of the shareholder will be confiscated by the company and the unpaid shares cancelled. However, in the context of bankruptcy, the option of selling the partly paid shares on the market cannot be considered. Who will dare to buy the partly paid shares of a company in liquidation? Hence, the only practical remedy is to call on the subscribers to make good on their promises.

As part of his administrative responsibility, the trustee can institute action as well as defend actions brought against the estate. The trustee's power includes making compromises and settlements. But such authority needs the approval of the supervisory judge, with the creditors' committee and the debtor's opinions included. Hence, it is provided under Article 746 that "the supervisory judge may, in consultation with the creditors' committee and, after having heard the bankrupt debtor or in his absence after having been summoned by a registered letter or any other electronic means with a receipt of acknowledgment, authorize the trustee in bankruptcy to compromise or settle in respect of any claim concerning the bankrupt

estate.” However, any compromise or settlement exceeding one hundred thousand birrs shall be ratified by the court after having heard the debtor’s observations.

The other types of activities making part of administration of the estate are continued operation of the debtor’s business, if and when necessary. Despite the fact that the consequence of bankruptcy is cessation of business, it may be appropriate for business operations to be continued for duration of sixty days only, renewable once. The justification for continuation of business must be either the interest of the creditors or of the public. Article 744(2) thus provides:

The trustee in bankruptcy may continue operating the business where authorized by the court after a report from the supervisory judge and a recommendation of the creditors' committee; such an authorization shall only be given where it is in the creditors' or public interest to maximize the value of the estate, in particular in order to prepare for the sale of the business as a going concern ...; the court may order continuation of business for a maximum period of sixty days, which may be renewed only once for the same duration.

Public interest may necessitate the continuation of business such as schools which cannot dismiss the entire students on the aftermath of bankruptcy declaration; or hospitals that cannot abandon their inpatients following declaration of bankruptcy. On the other hand, the presence of perishable stock may justify continuation of business until such stock is cleared. Continuation of business may also be in the interest of creditors if the purpose of the continuation is for maximizing the value of the business for eventual sale as a going concern to third parties. Thus, a bankrupt real estate company may continue and complete the apartments since completed apartments fetch more value than unfinished blocks.

25.7. Treatment of contracts in bankruptcy proceeding

25.7.1. Post-bankruptcy contracts

The continuation of business after declaration of bankruptcy can give rise to new creditors, known as post-bankruptcy creditors. The Code recognizes two types of post-bankruptcy creditors. One of these is ordinary post-bankruptcy creditors such as suppliers of raw materials, providers of different services, and so on. Where any such post-insolvency claims have not been paid, they shall have priority over unsecured creditors but shall rank below new financing granted in the framework of reorganization or preventive restructuring proceedings (Article 744(4)). The other class of creditors is providers of new financing under Article 745. Accordingly, it is provided that “in exceptional cases, upon approval of the creditors’ committee, new financing may be authorized to finance the continuation of the debtor’s business. Such new financing shall have priority over unsecured creditors but shall rank below new financing granted in the framework of reorganization or preventive restructuring proceedings.” Despite their apparent similarity, the rank of post-bankruptcy creditors is below that of new financiers.⁹⁸⁸

25.7.2. Pre-insolvency creditors whose contracts are subject to invalidation

Like in reorganization proceedings, bankruptcy proceedings also involve the avoidance of suspicious transactions made during the suspect period. While invalidation/avoidance of suspicious transactions has the effect of clawing back transferred property and making it part of the estate for distribution to the debtor's rights holders⁹⁸⁹, the same rules discussed in reorganization apply in the case of bankruptcy. Several provisions of the Titles of reorganization and liquidation/bankruptcy confer on the SIR or trustee in bankruptcy the power to nullify or set aside transfers of property made by the debtor before the opening of

⁹⁸⁸ Commercial Code of Ethiopia, Article 786 (4) & (5).

⁹⁸⁹ Charles W. Mooney (n 984) 1028.

proceedings specifically during the suspect period, i.e., the maximum of 18 months preceding the opening of proceedings.

If liquidation proceedings were opened *de novo*, avoidance proceedings will be initiated by the trustee as per the provisions of Article 671-677. On the other hand, if the liquidation proceedings were converted from reorganization, avoidance actions will be instituted by the trustee only if the SIR didn't invalidate the suspicious transactions as part of the reorganization proceedings. The trustee exercises the same power as the SIR in reorganization whereas, the creditors' committee exercises same amount of power as the controllers.

25.7.3. Pre-insolvency creditors required to submit claims

The provisions in Title III (Reorganization) from Article 662-670 on submission and verification of claims apply in bankruptcy as well subject to the necessary changes made. One of these necessary changes is that the trustee replaces the SIR in reorganization. Those provisions regulate important questions of procedure of claim submission, verification & admission, creditors exempted from submitting claims, contested claims, and the consequence of contesting claim over security, the consequence of failure to submit claims on time, and submission of claims jointly and severally guaranteed. Except the last two, all the other provisions apply to bankruptcy as they apply in reorganization.

The consequence of failure to submit claims on time in bankruptcy is not as severe as in reorganization. Article 772 and 773 allow late comers to share in subsequent distributions, if any. Article 773 in particular is unambiguous in this respect. It states that "Creditors admitted after distributions ordered by the supervisory judge in reorganization proceedings shall have no claim in such distributions, but they may deduct from undistributed assets the dividends relating to their claims in the first distributions." Thus, late comers do not lose earlier distributions entirely.

Why does the law treat late comers in bankruptcy differently from late comers in reorganization? One possible explanation can be the absence of discharge in reorganization. We have seen in relation to reorganization that even if late comer creditors are denied distributions and the right to be transferred to buyers of the business as a going concern, they are still allowed to participate in reorganization proceeding. This means the debtor will not be discharged from its liability for their claims. However, in bankruptcy, since the debtor stands the chance of discharge, the law tolerates late comers as far as there are reserves to be distributed. Hence, while late comers cannot claim distributions made before their arrival, they can get compensated if there are undistributed assets in the estate.

In respect to claims jointly and severally guaranteed, in addition to the applicability of Article 670 from reorganization, bankruptcy provisions address additional issues. Therefore, while both the creditor and the guarantor can submit their claims for the full amount of the claim regardless of their subrogation rights, Article 774 (2) adds another provision to the effect that any payment made by a guarantor in favour of the creditor shall be taken into consideration when calculating the final distribution. Article 774 further provides that where each of the guarantors enters into insolvency proceeding, the creditor can submit his claims in each of the proceedings for the normal amount.

Title IV on bankruptcy has other provisions not stipulated in the reorganization title. One is the submission of claims in respect of entities with joint and several liabilities (Article 769). The reference here is about general partnerships, limited partnerships and joint ventures. Accordingly, where the debtor is such a business organization, debts verified and admitted in the firm's bankruptcy by the creditors of the entity shall be deemed to be verified and admitted in each of the partner's bankruptcy, where the partners of the entity are declared bankrupt jointly with the entity. In such cases, the creditors of the entity can participate in all distributions until they are fully paid, without prejudice to claims as between the various bankrupt estates regarding

over payment of their respective shares of liability. This may reduce the claims of the personal creditors of each partner whose claim is limited to the estate of their debtors.

The other major difference of the provisions of the title on bankruptcy in respect to submission of claims is the possibility of stay of claim submission proceeding. Article 771 provides that the court may stay the admission of claims where an objection contesting a debt is filed until the objection is decided by the court. The court can also stay the proceedings when the claim involves a criminal element. An example can be where the claim arises from usury, or bribes.

While the high value placed on timely resolution of business distress in reorganization makes stay of proceedings out of the equation, the relative importance of final resolution in liquidation proceedings can lead one to tolerate the delays caused by the stay. In addition, it should also be borne in mind that the existence discharge of in bankruptcy reinforces the policy of giving chance for creditors to exhaust their opportunity to prove their claims. Generally, the nature of bankruptcy proceedings allows the formulation of more acceptable balance between the expedience and fair resolution of creditor claims.

25.8. Sale of business as a going concern

In reorganization and liquidation sale of business as a going concern means “the sale or transfer of a business in whole or substantial part, as opposed to the sale of separate assets of the business.”⁹⁹⁰ Sale of the business as a going is believed to enhance the value of the estate in contrast to sale of separate parts of the assets. As one author has explained:

“The unique feature of a going concern sale is that, since the business of the corporate debtor can be transferred as a going concern, there exists a possibility of

⁹⁹⁰ UNCITRAL (n 950) 7.

transfer of a whole lot of intangibles forming part of a business – contracts, leases, licenses, concessions, operational assets, manpower, technology, and so on. If all that is transferred is the assets of a business, several of these assets either may not be transferable at all, or may require third party concurrence for each such transfer, which may be a great hassle in liquidation.”⁹⁹¹

Since sale of business as a going concern entails business transfer, its execution will be subject to procedures of business transfer. Questions about the rights of employees of the business need to be answered. The experiences of some countries indicate that employees have the right to follow the business in case of sale as a going concern.⁹⁹² However, Ethiopian law seems to suggest that employees do not have the right to follow the enterprise. Article 695 speaks about laying-off employees who are not transferred with the business. Indeed, insolvency presents one with hard choices. Unless buyers are given the right to select the contracts including employment contracts which they want to take over, sale of business as a going concern cannot be a realistic alternative. Therefore, the court is required to order the transfer of the contracts that are selected by the buyer (Article 694(2)).

Though sale of the business as a going concern is the better option for maximizing value, it is not straightforward. One thorny question is what happens if the buyer selected assets which are given as security to one or more creditors. The conflict between insolvency remedies and the rights of secured creditors comes into play here. Article 692 tries to balance the conflicting interests. Accordingly, in principle assets which are the subject of pledge or mortgage cannot be transferred without the consent of the secured creditors. The trustee can however pay the secured creditor and redeem the pledged or mortgaged property where the value of the secured claim is less than the asset. If the secured claim is more in value than the mortgaged or

⁹⁹¹ Resolution Services Team, *Vinod Kothari & Company, Enabling Going Concern Sale in Liquidation*, 175<<https://vinodkothari.com/wp-content/uploads/2019/06/Enabling-Going-Concern-Sale-in-Liquidation.pdf>>

⁹⁹² UNCITRAL (n 950) 131.

pledged property, the trustee can substitute another asset not selected by the buyer, and provide cash compensation to the secured creditor. Should the secured creditor refuse to release the property, the court can intervene at the request of the trustee.

There are two more procedural hurdles before the execution of sale as a going concern. The first is that creditors have to approve the sale. Article 748 requires that creditors representing 50% of the total claims shall support the proposal (duly notified absent creditors being disregarded) for the sale to be valid. Remember that the majority vote required under Article 693 for sale as a going concern in the context of reorganization or PR is support by creditors with 2/3rd of the claims. Creditors duly notified but absent will not be counted. Why is a more stringent majority vote required in reorganization? May be because, there are still options. One of these is going the liquidation way; where creditors will vote for the same type of proposal with power voting threshold.

The other hurdle is approval by the court. In like in reorganization proceedings, the approval of the court is a formality. There would not be many reasons why the court will reject a sale proposal which was approved by the required majority vote of creditors. However, the both in reorganization and liquidation the test the court will apply is whether or not the business plan of the winning bidder has a reasonable prospect of assuring the viability of the business (Article 694(1) and Article 749(1).

25.9. Winding up, distributions and closure of bankruptcy proceeding

25.9.1. Ranking and distributions

Winding up involves the sale of assets and realization of value. The provisions from Article 775 to 779 regulate the winding up process. Unless the debtor's business is sold as a going concern, the winding up will comprise sale of all assets. Even in the case of sale of business as a going concern, there can be assets not taken over by the buyer, which need to be sold by the trustee separately. But where sale as a going concern is not achieved, the trustee should sell the assets either piecemeal or the

totality of the assets in a single sale, whether in private sale or public auction sale whichever yields more value. One key issue during winding up is the rights of secured creditors on encumbered assets. The rule is encumbered assets are to be sold by the trustee, unless the trustee fails to sell the encumbered assets within six months from the date of opening of the bankruptcy proceeding. In such cases, unless the court extends the six months period, the secured creditor regains its right to foreclose the encumbered asset (Article 777(3)).

After sale and realization of the assets, distributions will take place. Distribution in bankruptcy proceedings can be interim or final payments to creditors. Where interim distributions are made the position of secured creditors needs careful consideration. A secured creditor will have priority right to be paid the full value of his claim from the proceeds of sale of the encumbered asset. Where the proceeds of the sale don't fully pay the secured creditor's claim, the secured creditor's outstanding claim will rank as an unsecured claim in the priority order. On the other hand, where the trustee in bankruptcy decides to realize and distribute the proceeds of unencumbered assets before the sale of encumbered assets of the estate, secured and preferred creditors with verified and admitted pre-insolvency claims may participate along with unsecured creditors in proportion to the whole of their pre-insolvency claims. However, amounts so paid to the secured creditor can be reduced from the distributions to be made from sale of encumbered assets.

Following interim distributions, final distributions will be made according to the rank of priority in article 786. Article 786 provides a long list of order of priority as follows:

Article 786. Ranking Priorities

After the realization of encumbered assets, the remaining proceeds of the realization shall be distributed among preferred and unsecured creditors in accordance of the following ranking priorities:

- 1/ costs and expenses of the proceedings;
- 2/ new financing in the context of preventive restructuring;
- 3/ new financing in the context of reorganization;
- 4/ new financing authorized in the context of bankruptcy;
- 5/ post-bankruptcy creditors, including creditors of new and ongoing contracts;
- 6/ employee claims and claims of social security authorities;
- 7/ taxes and duties owed to federal, regional and local government authorities, other than those which can be claimed from the debtor holding taxes and duties on behalf of the government;
- 8/ amounts ordered for the maintenance of the bankrupt debtor and his family;
- 9/ other preferred creditors;
- 10 unsecured creditors;
- 11/ Penalties and fines imposed upon the debtor.

Clearly, secured creditors are not part of the order of priority. The assumption is they will have to be paid before the final distributions. Likewise, indirect taxes namely, withholding tax, value added tax, or turnover tax are not part of the bankrupt estate, and can be recovered before the winding up. Under the old Commercial Code, the relative rank of employee claims and tax collector claims was unclear for both Income Tax Proclamation and the Labour Proclamation each declared the claims under them to have priority. While the labour proclamation has maintained the old stipulation that employee claims will have priority over all other claims at the instance of employer insolvency, the new Tax Administration Proclamation is not so categorical. It only ascribes priority to indirect taxes collected in the name of the state. Thus, tax claims in respect to business profits do not have priority.

The application of the rule of priority entails that creditors in one rank shall be paid in full before creditors in the next rank get anything. This is also known as the absolute priority ranking.⁹⁹³ On the other hand, if the amounts are insufficient to pay

⁹⁹³Iraj Hashi (n 949)9.

in full creditors in one rank, they shall receive distributions pro-rata to their respective claims (Article 789). Distributions are proposed by the trustee subject to amendment by the creditor's committee and/or the SJ.

25.9.2. Closure of bankruptcy proceedings

Bankruptcy proceedings may be closed for three different reasons (Article 794). One is the orderly completion of proceedings and making of final distributions in accordance with Article 786. Up on final distribution closure of the proceeding will be the last step. Closure after final distribution of the proceeds of the winding up can result in discharge of the debtor subject to the conditions and requirements for discharge (See Chapter 5 below). The other ground for closure is absence of any claim against the estate. Such is the case contemplated under Article 714 where the debtor pays of all his creditors after opening of proceedings. In such cases, Article 714 allows for the judgement to be set aside by the court. The last ground is insufficiency of assets to cover the costs of administration of the proceedings. If it is known from the outset that the estate doesn't have sufficient assets to cover the costs of proceeding, at the request of the trustee, the court may order the closure of bankruptcy proceedings. Such closure doesn't however lead to discharge of the debtor because it can be reopened anytime in the future when the debtor's fortune turns good (Article 796).

25.10. Summary

Bankruptcy is the third and last option for a debtor in financial difficulties. It can be initiated by many persons including the debtor, creditors, public prosecutor or even the court acting ex-officio. A sole proprietor's bankruptcy can be initiated by his/her heirs after the debtor's death. The public prosecutor can initiate bankruptcy in certain cases where a business organization is engaged in criminal activities. In such cases, it is part of the penalty for the crime committed.

The important point of distinction between bankruptcy and the two other procedures is debtor's dispossession in bankruptcy. The debtor cannot manage the business following opening of proceedings. Other issues including claim submission and verification in reorganization also apply for liquidation proceeding. Except minor differences the procedures are the same in both cases.

As the last option in insolvency, liquidation involves sale of the business as a going concern or piecemeal sale of assets of the business. The ultimate remedy of creditors in liquidation proceedings is winding up and distribution. At this juncture issues of priority arise as it is often the case that the totality of the estate is not sufficient to pay the entire claims of the entire creditors. If the assets of the estate are not enough to cover the claims of all creditors, the effect of priority rules is that some creditors will be paid and others will not; or some creditors can be paid in full other only part of their claim.

25.11. Review questions

1. Explain the effect of declaration of bankruptcy on pre-insolvency creditors' claims. Is there a difference with the effect of reorganization on pre-insolvency claims?
2. Compare the fate of creditors failing to submit their claims in reorganization proceeding and those failing to do so in bankruptcy proceedings. Is there a difference?
3. Is the mandate of the trustee in bankruptcy different from the mandate of the SIR in reorganization? Which key powers/mandates make them different?
4. Discuss the fairness of the order of priority under Article 786 on ordinary creditors. Would ordinary creditors be motivated to initiate bankruptcy proceeding against the debtor in the presence of Article 786?
5. Why does the public prosecutor have broad roles and responsibilities in bankruptcy proceeding?

CHAPTER TWENTY-SIX: OTHER MISCELLANEOUS TOPICS

After completing this chapter, students are expected to:

- Explain the nature and objectives of simplified reorganization and bankruptcy proceedings
- Explain the scope, justifications and requirements for discharge of bankrupt debtors
- Describe the civil and criminal liabilities arising from bankruptcy proceedings

This chapter will present three topics: namely; simplified reorganization and bankruptcy procedures, discharge of the debtor and civil and criminal sanctions arising from bankruptcy. The discussion will be very brief with the aim only of introducing the issues in the chapter.

26.1. Simplified reorganization and bankruptcy procedures

26.1.1. Simplified reorganization procedures

Simplified reorganization proceedings (Articles 700-704) apply to all businesses, whereas simplified bankruptcy is limited to Small & Medium Enterprises (SME). In reorganization, simplified procedures are applicable to a debtor that is already in PR. An important question at this point is what makes simplified reorganization simple? The answer is that the provisions on standard reorganization relating to the estate of the debtor (Article 659-677) do not apply in simplified proceedings. Thus, matters about inventory taking, submission and verification of claims, and invalidation of suspicious transactions do not apply in simplified reorganization proceedings.

To benefit from simplified reorganization proceedings, in addition to submitting the documents required for reorganization under Article 637, the debtor should demonstrate that the restructuring plan is supported by a large number of the

creditors in PR. The submission has to persuade the court that the plan has a good chance being approved by the creditors meeting in the context of reorganization. In particular, the debtor should submit the following documents: a) a copy of the judgment opening preventive restructuring proceedings; b) the draft reorganization plan agreed upon by its main creditors; c) all necessary documents showing the viability of the business under the reorganization plan.

It should be remembered that a PR plan needs the unanimous approval of all creditors, as opposed to qualified majority approval in reorganization. Therefore, the debtor who struggles to garner unanimous creditor support in PR, can easily get approval in a reorganization proceeding. This is essentially the driving motivation for requesting a simplified reorganization.

The availability of simplified reorganization procedures to all businesses is notable. One may wonder why simplified reorganization is not limited to SMEs as it is in simplified bankruptcy. Indeed, the complexity, rigidity, and costly nature of the standard insolvency processes cannot address the needs of quick resolution in SMEs. Regarding this issue, an OECD survey of insolvency regimes concludes that:

Special insolvency procedures for SMEs – such as simplified or pre-packaged in-court proceedings targeting SMEs or the possibility to have instalments in the payment of administrative expenses related to the insolvency proceedings – could ensure that non-viable ones exit and viable ones in temporary distress are restructured without delay.⁹⁹⁴

In making simplified procedures available to all types of businesses, Ethiopian law can be regarded as rather liberal in this respect. However, simplified procedure can also be converted into standard reorganization or bankruptcy proceedings under Article 704. Simplified reorganization will be converted into standard reorganization where the plan doesn't get the required creditor support. On the other hand, if the

⁹⁹⁴ Müge A. McGowan and Dan Andrews (n 972)13.

sale of business as a going concern is not successful, the simplified reorganization will be converted into bankruptcy.

26.1.2. Simplified bankruptcy procedures

Simplified bankruptcy procedures provided from Article 816-825 are applicable for Small & Medium Enterprises (SME) only. The Code defines what SMEs are for the purposes of applying the provisions of simplified bankruptcy provisions. The definition is constructed in reference to three parameters: less than 20 million in assets in the last financial year, or less than 5 million in turn over, or less than ten employees. It is further stated that the monetary thresholds are subject to inflation adjustment. It is clear that the law maker seems at pains in defining SMEs. However, it would have been wiser to leave the definition to other relevant laws. The Federal Micro and Small Development Agency Establishment Regulation No. 201/2011 has a definition of SMEs in accordance with which SMEs are enterprises with a capital of 50,001 ETB up to 1,500,000 ETB.

The unavailability of simplified bankruptcy to dishonest debtors (Article 816(2)) indicates that it is to be viewed as an advantage to debtors. The essence of simplified bankruptcy lies in its less procedural nature. There is no office of the supervisory judge, no creditors' committee, no role for the public prosecutor (except initiating the proceedings). There is also no procedure of submission and verification of claims, no appeal and setting aside procedures against the judgements or decisions. The trustee in bankruptcy acting alone sells the debtor's assets and distributes the proceeds to creditors in accordance with the priority order in Article 786. The procedure of simplified bankruptcy is more like the procedure of liquidation and winding up under company law regime.

The maximum duration of simplified bankruptcy is one year (Article 720), whereas the duration of simplified reorganization is to be fixed by the court (Article 701). Since the maximum duration of reorganization in normal circumstances is 12

months, the duration the court fixes for simplified reorganization will be much lower than that.

26.2. *Discharge of the debtor*

Discharge from unpaid debts and the opportunity for fresh start is one of the motivations for debtors to voluntarily submit to bankruptcy proceeding and cooperate throughout the proceedings. Historically, bankruptcy law was intertwined with retribution against the debtor, and deterrence against others in the market. The availability of discharge in most modern bankruptcy law is an indication of the movement of legal systems from predominantly punitive to a more rational law. In modern laws, even though the punitive element is not completely abandoned, the punitive and deterrent aspects of the law will be less appropriate where the debtor is honest and the victim of competition or some misfortune in the market.

Discharge can have positive impact for broader economic development also. An OECD cross-country study concluded that:

“lower personal costs to failed entrepreneurs can increase self-employment rates, small business owners’ use of insolvency proceedings, firm entry rates and attract “better” entrepreneurs. In particular, a lengthy time to discharge can discourage entrepreneurship by making it costlier to start risky businesses. The availability of a “fresh start” has been found to foster productivity growth via higher incentives for entrepreneurship and experimentation by: i) increasing firm entry ii) providing failed entrepreneurs with a second chance to apply their experience and lessons learnt to ensure their new businesses grow; and iii) attracting better quality entrepreneurs – i.e., individuals with higher observed human capital.”⁹⁹⁵

The Commercial Code provisions on discharge are stipulated from Article 799 to 802. Article 799 defines the subjective and objective scope of discharge and the

⁹⁹⁵ Ibid 12.

circumstances where discharge is not available. The subjective scope of discharge limits it to individual traders or sole proprietors. Hence, business organizations are not eligible for discharge. This means, upon closure of bankruptcy proceedings a business organization will be dissolved. The objective scope on the other hand excludes from discharge certain types of debts, namely; a) debts related to taxes and duties, subject to the application of other laws allowing waiver of taxes, duties and penalties; b) debts arising from dissolution of marriage, maintenance; and c) criminal penalties.

Article 799 also defines the circumstance where discharge is to be denied. Thus, sub-article 2 states that debtors guilty of crime related to bankruptcy; or who conceal or remove their property; or debtors who fail to cooperate, or to carry out in good faith their obligation in the course of bankruptcy proceedings will not be entitled to be discharged. Likewise, debtors who have been declared bankrupt within five consecutive years preceding the judgment opening bankruptcy proceedings cannot benefit from discharge.

Discharge is to be granted up on debtor's separate application after closure of proceedings. The decision to grant or deny discharge is given to the court's discretion. But the court is required to hear the creditors, in particular those that have not been fully paid, the trustee and the public prosecutor before making its decision.

26.3. Civil and criminal sanctions arising from bankruptcy

The civil and criminal sanctions arising out of bankruptcy (liquidation) proceedings are spelt out from Article 803 to 815 of the Code. These provisions can be divided into three categories: those dealing with civil liabilities, those dealing with criminal liabilities and those dealing with disqualifications.

26.3.1. Civil liabilities arising from bankruptcy

The civil liabilities are broad in scope as they can apply to the debtor's management, creditors, and shareholders. Debtor's management can be liable for failure to file for bankruptcy on time, for continuing loss making operations, for private trade in the name of the company, and related wrong doings. The extent of the liability is the aggregate of the decrease in value of assets or the increase in amount of liabilities arising from the failure of the managers. In addition to these, using the company as a cover to derive private gain can lead to personal bankruptcy of the manager under Article 815.

Creditor's liability is based on the existence of fraud, or the proof of acting as de-facto manager of the debtor, or taking disproportionate consideration or disproportionate collateral in comparison to the value of any credit facility extended to the debtor. However, to make creditors liable one should prove additional conditions to the above. Article 804(2) thus provides that one should prove that; a) the terms and conditions of the credit facility were ruinous for the debtor; and b) the creditor knew or should have known the debtor was in cessation of payments and impossible to be redressed.

Shareholders' civil liability on the other hand is dependent on fraud or instruction given to management leading to the cessation of payments. It is arguable as to what types of shareholders are envisaged here. It seems that the law is not interested with all shareholders that vote in a general meeting. Rather, the shareholders contemplated here are controlling shareholders that can influence the management. A good example of such a shareholder is defined in Article 295, Book II of the Code.

Article 295. Liability of Shareholders

....any shareholder with a decisive vote shall be jointly and severally liable with the company where he is found to have committed one of the following:

- 1/ intentionally commits an unlawful act that jeopardizes the interests of the company, shareholders or creditors of the company;
- 2/ intermingles the property of the company with that of the shareholder;
- 3/ blurs the distinction between the identity of the company and that of the shareholder or uses the company as a façade to pursue his own interests and goals or those of third parties;
- 4/ deliberately releases, regarding the financial status of the company, information that can mislead the creditors of the company;
- 5/ makes use of the assets of the company for himself or the benefit of a third party without making an arm's length payment or without the knowledge or decision of an appropriate management body; and
- 6/ causes the payment of dividends in excess of that permitted under the law.

The claimant in such liability proceedings is normally the trustee. But where the trustee is not convinced with the merits of the claim, any creditor, acting individually, can institute proceedings after having requested the trustee to do so, provided the trustee refuses to act.

26.3.2. Criminal liabilities arising from bankruptcy

The criminal liabilities are provided from Article 807 to 813. Article 807 deals with negligent bankruptcy, and Article 808 addresses fraudulent bankruptcy. Both provisions stress that these provisions will be applicable unless a more severe penalty is provided in the Criminal Code. As it is a law defining criminal offences definitions are important. Negligent bankruptcy generally means an act or omission such as entering into contracts giving undue consideration to the other party, making purchases for resale at lower prices with intent to delay cessation of payment, failure to declare cessation of payments in time without lawful excuse, or intentionally keeping incomplete or irregular books and records that grossly depart from applicable accounting rules.

Fraudulent bankruptcy on the other hand is a more grave offence involving the act of deliberately causing one's own bankruptcy. The acts that constitute fraudulent bankruptcy include: embezzling or concealing all or part of the assets of a business organization; fraudulently declaring the entity liable for sums not owed either in the accounting records or by virtue of the law or commitments lawfully entered; fraudulently increasing the bankrupt debtor's liabilities; or keeping fictitious books of accounts or destroying accounting documents and records belonging to the bankrupt debtor.

The other related offence is the act of granting payment, transfer, pledge or mortgage to a third party while a reorganization proceeding is pending in violation of the provisions of Articles 653, 655, 656, 687, 694 and related provisions. The persons liable under Article 807 (negligent bankruptcy) and 808 (fraudulent bankruptcy) are the managers and de-facto managers. The term 'de-facto managers' refers to those persons who exercise ultimate decision-making power without being in the official corporate hierarchy or *organogram* of the entity. On the other hand, in relation to the offence of granting benefit in article 811, not only the managers and de-jure managers but also the creditors who received the payments can be liable.

Other provisions in this section deal with offences committed by legal entities, offences committed by related persons, and offences committed by the supervisory judge, the SIR and the trustee. The offences committed by legal entities are regulated under the Criminal Code and entail fines. Offences committed by related persons refer to the persons related to the debtor, namely, the debtor's spouse and relatives by affinity or consanguinity up to the fourth degree inclusive. The acts that can lead to criminal liability include embezzling, concealing or illegally holding assets that should belong to the estate of the bankrupt debtor. The definition of related persons here lacks depth as it doesn't cover persons related to the debtor in business such as business partners. While partners with joint and several liability can be jointly and

severally declared bankrupt, there can be other business partners that could have been brought to the purview of this provision.

The SIR, the Trustee and the supervisory judge will be held criminally liable if they abuse their office and divert funds to their private benefit at the expense of the creditors (Article 813). There is no mention of criminal liability of the public prosecutor, however. The role of the public prosecutor is mentioned under Article 814 as the person responsible for prosecution of the offences. Nevertheless, this cannot imply that the public prosecutor cannot commit offences or is immune from prosecution. There are laws regulating the code of conduct of public prosecutors which can be the bases for their liability.

26.3.3. Disqualifications

While all the offences provided from 807-813 attract the penalty of imprisonment and/or fines, the offence of fraudulent bankruptcy can give rise to disqualifications or unworthiness to certain offices or positions in addition or as a substitute the imprisonment or monetary fines. These disqualifications apply to debtors and managers, and are defined in Article 809:

- a) prohibition from any commercial act, including the capacity to manage, administrate or control a sole proprietorship business or any legal entity engaged in any commercial activity;
- b) prohibition from exercising civic, civil and family rights according to the Secondary Punishments that may be imposed by the Criminal Division Courts under the Criminal Code of Ethiopia;
- c) prohibition from occupying a public office, from running directly or indirectly professional or corporate entities;
- d) ineligibility for public procurement contracts; and

- e) Prohibition from issuing cheques and other negotiable instruments other than those allowing for the withdrawal of funds by the drawer from the issuing bank or from issuing certified cheques.

The minimum duration of these disqualifications cannot be less than six months while maximum duration of these is five years. The good thing about disqualifications is that only debtors who are convicted of fraudulent bankruptcy are disqualified. This limits the scope of disqualifications.

26.4. Summary

Simplified proceedings, discharge and civil and criminal liabilities and disqualifications are miscellaneous issues discussed in this chapter. The code provides simplified reorganization and liquidation proceedings meant to less complex issues or for smaller firms. There is no simplified PR because PR by its very nature is simplified. The simplification means the non-application of certain procedures from the standard proceedings.

Concerning discharge, its scope and conditions of existence are limited. First, it applies only in the context of sole proprietorships and doesn't exist for business organizations. Secondly, for sole proprietorships it is available on the conditions that the debtor did not commit any fraudulent acts, was not discharged in the preceding five years. When applicable, discharge eliminates liabilities for unpaid claims except certain claims. Therefore, the debtor cannot be discharged from debts related to taxes and duties, debts arising from dissolution of marriage, maintenance; and criminal penalties.

Lastly, civil and criminal sanctions and disqualifications can result from bankruptcy in certain circumstances. These are primarily important for ensuring compliance of officers of insolvent business organizations with insolvency officers such as SIR, trustee and SJ.

26.5. Review Questions

1. Why is the reason for exclusion of business organizations from benefit of discharge? Under what conditions is discharge available for other traders?
2. Which types of shareholders are civilly liable for frauds involved in bankruptcy?
3. What types of crimes can trigger disqualifications from certain rights?
4. Is the benefit of discharge available in reorganization proceeding or should it be available? What is the fate of the debtor in reorganization after the sale of business as a going concern in light of claims of creditors which are not taken by the buyer of the business?

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